

TO ALL STOCK EXCHANGES

**BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE**

April 17, 2025

Dear Sir/ Madam,

Sub: Outcome of Board meeting

This has reference to our letter dated March 14, 2025, regarding the captioned subject. The Board, at their meeting held on April 16-17, 2025 transacted the following items of business:

Financial Results

1. Approved the audited consolidated financial results of the Company and its subsidiaries as per Indian Accounting Standards ("INDAS") for the quarter and year ended March 31, 2025;
2. Approved the audited standalone financial results of the Company as per INDAS for the quarter and year ended March 31, 2025;
3. Approved the audited financial statements of the Company and its subsidiaries as per INDAS and International Financial Reporting Standard ("IFRS") for the quarter and year ended March 31, 2025;
4. Approved the audited financial statements of the Company and its subsidiaries as per INDAS for the year ended March 31, 2025;
5. Approved the audited financial statements of the Company as per INDAS for the year ended March 31, 2025;

Dividend

6. Recommended a final dividend of ₹22/- per equity share for the financial year ended March 31, 2025.

Acquisition

7. Approved acquisition of MRE Consulting Limited. A press release along with additional information as per Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations is enclosed as Annexure I.
8. Approved acquisition of The Missing Link Security Pty Ltd, The Missing Link Network Integration Pty Ltd., The Missing Link Automation Pty Ltd. (together referred to as "The Missing Link"). A press release along with additional information as per Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations is enclosed as Annexure II.

Further, the Board approved incorporation of subsidiaries in USA and Australia, to consummate the above transactions.

Update on Joint venture

9. Approved the investment by Mitsubishi Heavy Industries in the Infosys led Joint Venture in Japan, HiPUS. A press release along with additional information as per Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations is enclosed as Annexure III.

Annual General Meeting and Record date

10. The 44th Annual General Meeting of the Members of the Company will be held on Wednesday, June 25, 2025.
11. The record date for the purpose of the Annual General Meeting and payment of final dividend is May 30, 2025. The dividend will be paid on June 30, 2025.

Appointment of Secretarial Auditors

12. The Board, based on the recommendation of the Audit Committee, has approved the appointment of Makarand M. Joshi & Co., Practising Company Secretaries, as Secretarial Auditors of the Company for a period of five consecutive years commencing from FY 2025-26 till FY 2029-30, subject to approval of the shareholders of the Company at the ensuing Annual General Meeting. Additional information as required under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations is enclosed as Annexure IV.

Stock grants

i) Grants to CEO & MD

The Board, on April 17, 2025, based on the recommendations of the Nomination and Remuneration Committee, approved the following annual grants to Salil Parekh, CEO and MD as per his employment agreement approved by shareholders:

- i) The grant of annual performance-based stock incentives (Annual Performance Equity Grant) in the form of Restricted Stock Units (RSU's) covering Company's equity shares having a market value of ₹34.75 crore as on the date of the grant under the 2015 Stock Incentive Compensation Plan (2015 plan) which shall vest 12 months from the date of grant subject to achievement of performance targets as determined by the Board.
- ii) The grant of annual performance-based stock incentives (Annual performance equity ESG grant) in the form of RSU's covering Company's equity shares having a market value of ₹2 crore as on the date of the grant under the 2015 Plan, which shall vest 12 months from the date of the grant subject to the Company's achievement of certain environment, social and governance milestones as determined by the Board.
- iii) The grant of annual performance-based stock incentives (Annual performance Equity TSR grant) in the form of RSU's covering Company's equity shares having a market value of ₹5 crore as on the date of the grant under the 2015 Plan, which shall vest on or after March 31, 2027 subject to the Company's performance on cumulative relative TSR for the two year cumulative period and as determined by the Board.

iv) The grant of annual performance-based stock incentives (2019 Annual Performance Equity Grant) in the form of Restricted Stock Units (RSU's) covering Company's equity shares having a market value of ₹10 crore as on the date of the grant under the Infosys Expanded Stock Ownership Program-2019 (2019 Plan), which shall vest 12 months from the date of the grant subject to the Company's achievement of certain performance criteria as laid out in the 2019 Plan.

The above RSUs will be granted w.e.f May 2, 2025 and the number of RSU's will be calculated based on the market price at the close of trading on May 2, 2025.

ii) Grants to other employees

The Board, on April 17, 2025, based on the recommendations of the Nomination and Remuneration Committee, approved grant of 5,000 RSUs to eligible employees under the 2015 Plan w.e.f May 2, 2025. The RSUs would vest equally over a period of four years and the exercise price will be equal to the par value of the share.

Policies and committee charter

13. Considered and approved amendments to the following policies and charters.

- Related Party Transactions Policy
- Policy for Determining Material Subsidiaries
- Dividend Distribution Policy
- Stakeholders Relationship Committee Charter
- Nomination and Remuneration Committee Charter
- Corporate Governance Guidelines
- ESG Committee Charter
- Risk Management Committee Charter
- Infosys Group Tax Strategy
- Code of Conduct for Prohibition of Insider Trading
- Infosys Code on Fair Disclosures and Investor Relations
- Supplier Code of Conduct
- Policy for Determining of Materiality for Disclosures
- Corporate Social Responsibility Policy
- Corporate Social Responsibility Charter

Copies of the policies and charters will be made available on the website of the Company under the following link: <https://www.infosys.com/investors.html>.

Other Updates

14. The Board took note of updates on McCamish Cybersecurity incident, the details of which is forming part of the notes to financial statements for the quarter and year ended March 31, 2025.

The Board meeting was held on April 16 and 17, 2025. The Board meeting on April 17, 2025 commenced at 2.00 p.m. IST and concluded at 4.10 p.m.

We are hereby enclosing herewith the financial results, press releases and annexures for your information and record. The same will also be made available on the Company's website www.infosys.com.

This is for your information and records.

Sincerely,
For **Infosys Limited**

Anur Gurugopala
Raju Suryanarayana
Manikantha

Digitally signed by Anur
Gurugopala Raju
Suryanarayana Manikantha
Date: 2025.04.17 16:18:43
+05'30'

Manikantha A.G.S.
Company Secretary
Membership No: A21918

Infosys to Acquire Leading Energy Consulting Company, MRE Consulting

Acquisition to strengthen energy and commodity trading and risk management (E/CTRM) capabilities for Infosys

Bengaluru, India and Houston, US – April 17, 2025: [Infosys](#) (NSE, BSE, NYSE: INFY) a global leader in next-generation digital services and consulting, today announced a definitive agreement to acquire [MRE Consulting Ltd.](#) ('MRE Consulting'), a technology and business consulting service provider. This strategic investment brings newer capabilities for Infosys in trading and risk management, especially in the energy sector.

Headquartered in Houston, Texas, MRE Consulting will bring a team of over 200 professionals with industry knowledge, consulting and deep technology experience in Energy/Commodity Trading and Risk Management (E/CTRM) platforms and ecosystems. Through decades of successful delivery, MRE Consulting has developed proprietary E/CTRM business process frameworks spanning multiple commodities, transportation modes and business models. These frameworks serve as the foundation for commodity trading projects, accelerating vendor selection, solution design and implementation. MRE brings new clients, and synergies with new buying centers.

Ashiss Kumar Dash, EVP & Global Head – Services, Utilities, Resources, Energy, and Sustainability, Infosys, said, "The world is now shifting towards a more sustainable future. With increasing complexity in integrating diverse sources of energy including renewables, global corporations require innovative solutions to navigate transformation. At Infosys, we are witnessing a significant rise in demand for digital transformation in energy and commodity trading and risk management (E/CTRM). By combining MRE Consulting's deep E/CTRM capabilities with Infosys' established leadership in the energy, resources and utilities sector, we are further enhancing our ability to drive value for our clients in this critical area of their business. We are excited to welcome MRE Consulting and its leadership team to the Infosys family."

MRE Founders, Mike Short, Dru Neikirk and Shane Merz, said, "The opportunities for our clients at the intersection of data, AI, and technology are vast. Beyond strong business synergy, we were seeking a partner who shared our values and mutual respect. By joining with Infosys, we will extend our expertise, deliver new capabilities, and expand beyond our current markets, while scaling what makes MRE special. We are truly excited about this new journey."

The acquisition is expected to close during the first quarter of fiscal year 2026 (i.e. quarter ending June 30, 2025), subject to customary closing conditions.

About MRE Consulting

Founded in 1994, MRE Consulting provides technology and business consulting services to the Energy & Utilities, Services, and Healthcare industries. MRE specializes in business advisory and digital transformation for Energy/Commodity Trading and Risk Management (E/CTRM). MRE also provides comprehensive solutions across customer engagement, call center optimization, field service, CPQ/pricing, cloud infrastructure and digital workplace and is a Salesforce and Microsoft partner. We are proud to be recognized as a Houston Business Journal Best Places to Work. For more information, please visit www.mre-consulting.com/.

About Infosys

Infosys is a global leader in next-generation digital services and consulting. Over 300,000 of our people work to amplify human potential and create the next opportunity for people, businesses and communities. We enable clients in more than 56 countries to navigate their digital transformation. With over four decades of experience in managing the systems and workings of global enterprises, we expertly steer clients, as they navigate their digital transformation powered by cloud and AI. We enable them with an AI-first core, empower the business with agile digital at scale and drive continuous improvement with always-on learning through the transfer of digital skills, expertise, and ideas from our innovation ecosystem. We are deeply committed to being a well-governed, environmentally sustainable organization where diverse talent thrives in an inclusive workplace.

Visit www.infosys.com to see how Infosys (NSE, BSE, NYSE: INFY) can help your enterprise navigate your next.

Safe Harbor

Certain statements in this release concerning our future growth prospects, or our future financial or operating performance, are forward-looking statements intended to qualify for the 'safe harbor' under the Private Securities Litigation Reform Act of 1995, which involve a number of risks and uncertainties that could cause actual results or outcomes to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding the execution of our business strategy, increased competition for talent, our ability to attract and retain personnel, increase in wages, investments to reskill our employees, our ability to effectively implement a hybrid work model, economic uncertainties and geo-political situations, technological disruptions and innovations such as Generative AI, the complex and evolving regulatory landscape including immigration regulation changes, our ESG vision, our capital allocation policy and expectations concerning our market position, future operations, margins, profitability, liquidity, capital resources, our corporate actions including acquisitions, and cybersecurity matters. Important factors that



may cause actual results or outcomes to differ from those implied by the forward-looking statements are discussed in more detail in our US Securities and Exchange Commission filings including our Annual Report on Form 20-F for the fiscal year ended March 31, 2024. These filings are available at www.sec.gov. Infosys may, from time to time, make additional written and oral forward-looking statements, including statements contained in the Company's filings with the Securities and Exchange Commission and our reports to shareholders. The Company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the Company unless it is required by law.

Media Contacts:

For further information, please contact: PR_Global@infosys.com

Annexure I

Disclosure under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: -

Name of the target entity	Target Entity: MRE Consulting Limited ('MRE Consulting') Acquirer: Infosys Nova Holdings LLC, a wholly owned subsidiary of Infosys Limited To consummate the above transaction, Infosys Nova Holdings LLC will simultaneously incorporate a wholly owned subsidiary, Infosys Energy Consulting Services LLC. ("Infosys Energy"), in USA.
Whether the acquisition would fall within related party transaction(s) and whether the promoter/ promoter group/ group companies have any interest in the entity being acquired?	No.
Industry to which the entity being acquired belongs	Energy, Resources & Utilities industry sectors.
Objects and effects of acquisition	The acquisition demonstrates our commitment towards industry specific solution offerings and strengthens Infosys' energy and commodity trading and risk management (E/CTRM) capabilities As the world shifts towards a future that is more focused on sustainable energy and with rising energy demand, increasing complexity in integrating diverse sources of energy including renewables; global corporations require innovative solutions to navigate transformation. At Infosys, we are witnessing a significant rise in demand for digital transformation in energy and commodity trading and risk management (E/CTRM). By combining MRE Consulting's deep E/CTRM capabilities with Infosys' established leadership in the energy, resources and utilities sector, we are further enhancing our ability to drive value for our clients in this critical area of their business. MRE brings an extensive industry expertise, marquee new clients, and synergies with new buying centers.
Any governmental or regulatory approvals required for the acquisition	None.
Indicative time period for completion of the acquisition	The acquisition of MRE Consulting is expected to close during the first quarter of fiscal 2026, subject to customary closing conditions.
Nature of consideration	Cash
Cost of acquisition or the price at which the shares are acquired;	Upto USD 36 million, including upfront and earnouts, excluding management incentives, and retention bonus.
Percentage of holding	100% of the partnership interests in MRE Consulting Limited

Brief Background	Founded in 1994, MRE Consulting provides technology and business consulting services to the Energy, Resources & Utilities industries. MRE specializes in business advisory and digital transformation for Energy/Commodity Trading and Risk Management (E/CTRM). (https://mre-consulting.com) MRE Consulting, headquartered in Houston, Texas, offers proprietary E/CTRM business process frameworks spanning multiple commodities, transportation modes and business models. These frameworks serve as the foundation for commodity trading projects, accelerating vendor selection, solution design and implementation. MRE Consulting is primarily owned by Founders and Management. Last 3 years' Revenues (Fiscal year ending December 31st): FY24: USD 63.5 million, FY23: USD 61.8 million, FY22: USD 56.7 million.
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Infosys to Acquire Leading Cybersecurity Services Provider The Missing Link

Acquisition strengthens Infosys' cybersecurity and cloud capabilities across Australia and Asia

Bengaluru, India and Sydney, Australia – April 17, 2024: [Infosys](#) (NSE, BSE, NYSE: INFY), a global leader in next-generation digital services and consulting, today announced a definitive agreement to acquire [The Missing Link](#), an award winning Australian cybersecurity services specialist firm with capabilities across the full stack of cyber solutions. This strategic investment further strengthens Infosys' cybersecurity capabilities, while bolstering its presence in the fast-growing Australian market, and reaffirms its continued commitment to global clients to navigate their digital transformation journey.

Headquartered in Australia, The Missing Link brings to Infosys, a group of highly skilled cybersecurity professionals consisting of Red Team, Blue Team, and a state-of-the-art Global Security Operations Centre (GSOC) adding to the network of Infosys' global cyber defense centers. The Missing Link's accomplished cybersecurity practice provides strategic advice, offensive and defensive security services and tactical support, cybersecurity risk assessments & compliance, and managed services. The company has been serving leading global enterprises in collaboration with market leading technology products, further complemented by its innovative proprietary solutions and accelerators. Their solutions help protect networks, secure assets and equip staff with the tools to mitigate cyber-attacks. Together, Infosys and The Missing Link will be able to offer clients cutting-edge full-stack cybersecurity services covering all aspects of a customer's business, data, systems and networks.

Satish HC, EVP, Chief Delivery Officer, Infosys, said, "Technology led transformation and securing the enterprise are amongst the highest priorities for global corporations. Together with The Missing Link, and our cloud offering [Infosys Cobalt](#), we aim to usher in the new wave of differentiated value to customers, with specialized end-to-end cybersecurity offerings and solutions. We are excited to welcome The Missing Link and their leadership team to Infosys."

Alex Gambotto, Founder & CEO, The Missing Link said, "As we take this exciting next step in our journey, I am proud of all we have accomplished together over the last 27 years. Our team has worked tirelessly to build a company that delivers excellence, innovation, and value to our clients and partners with our core ethos of under promise and overdeliver. I am thrilled that The Missing Link will be joining Infosys. This acquisition marks a significant milestone for us, allowing The Missing Link to leverage the immense expertise, platforms, and global reach of Infosys to better serve our customers and expand our capabilities. While our ownership may change, our commitment to delivering top-tier solutions remains unwavering. We are confident that together, we can create even greater value for all our clients, partners, and team."

Investment Bank TH Global Capital advised The Missing Link on the transaction.

The acquisition is expected to close during the first quarter of fiscal year 2026 (i.e. quarter ending June 30, 2025), subject to customary closing conditions.

About The Missing Link

Established in 1997, The Missing Link was born from a vision to help businesses achieve their goals with the right IT solutions and services. Headquartered in Australia, The Missing Link is a cybersecurity and cloud services specialist, delivering services across the entire spectrum of IT strategy, technology roadmap, project management, cybersecurity, risks assessments & mitigation and automation services. Their highly skilled team of IT specialists includes Cybersecurity, IT Infrastructure/Cloud and Robotic Process



Automation & Generative AI experts, with many years of experience and a commitment to delivering first-class solutions that exceed customers' expectations.

About Infosys

Infosys is a global leader in next-generation digital services and consulting. Over 300,000 of our people work to amplify human potential and create the next opportunity for people, businesses and communities. We enable clients in more than 56 countries to navigate their digital transformation. With over four decades of experience in managing the systems and workings of global enterprises, we expertly steer clients, as they navigate their digital transformation powered by cloud and AI. We enable them with an AI-first core, empower the business with agile digital at scale and drive continuous improvement with always-on learning through the transfer of digital skills, expertise, and ideas from our innovation ecosystem. We are deeply committed to being a well-governed, environmentally sustainable organization where diverse talent thrives in an inclusive workplace.

Visit www.infosys.com to see how Infosys (NYSE: INFY) can help your enterprise navigate your next.

Safe Harbor

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Media Contacts:

For further information, please contact: PR_Global@infosys.com

Annexure II

Disclosure under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: -

Name of the target entity	Target Entity: The Missing Link Security Pty Ltd, The Missing Link Network Integration Pty Ltd., The Missing Link Automation Pty Ltd. (together referred to as "The Missing Link"). Acquirer: Infosys Singapore Pte Ltd., a wholly owned subsidiary of Infosys Limited. To consummate the above transaction Infosys Singapore Pte Ltd. will incorporate a wholly owned subsidiary in Australia.
Whether the acquisition would fall within related party transaction(s) and whether the promoter/ promoter group/ group companies have any interest in the entity being acquired?	No.
Industry to which the entity being acquired belongs	Cybersecurity services
Objects and effects of acquisition	The acquisition strengthens Infosys cybersecurity services bolstering its presence in the fast-growing Australian market and reaffirms its continued commitment to global clients to navigate their digital transformation journey. Technology led transformation and Securing the Enterprise are amongst the highest priorities for global corporations. Together with The Missing Link, and Infosys' cloud offering Infosys Cobalt, we aim to usher in the new wave of differentiated value to customers, with specialized end-to-end cybersecurity offerings and solutions. The Missing Link brings to Infosys, a group of highly skilled cybersecurity professionals consisting of Red Team, Blue Team, and a state-of-the-art Global Security Operations Centre (GSOC) adding to the network of Infosys' global cyber defense centers.
Any governmental or regulatory approvals required for the acquisition	Foreign Investment Review Board (Australia) approval received on February 11, 2025. No other regulatory approval is required.
Indicative time period for completion of the acquisition	The acquisition of The Missing Link entities is expected to close during the first quarter of fiscal 2026, subject to customary closing conditions.
Nature of consideration	Cash
Cost of acquisition or the price at which the shares are acquired;	Up to AUD 98 million, including upfront and earnouts, excluding management incentives, and retention bonus.
Percentage of holding	100% of the equity share capital in The Missing Link
Brief Background	Established in 1997, The Missing Link is a leading cyber security services provider. The Missing Link with 200+ professionals, delivers cybersecurity and technology services

	across the entire spectrum of IT strategy, technology roadmap, project management, cybersecurity, risks assessments & mitigation and automation services. Headquartered in Australia, Missing Link's accomplished cybersecurity practice provides strategic advice, offensive and defensive security services and tactical support, cybersecurity risk assessments & compliance, and managed services. The company has been serving leading global enterprises in collaboration with market leading technology products, further complemented by its innovative proprietary solutions and accelerators. (https://www.themissinglink.com.au/) The Missing Link is primarily owned by Founders and Management. Last 3 years' Revenues (Fiscal year ending June 30): FY24: AUD 43.2 million; FY23: AUD 38.4 million, FY22: AUD 30.2 million.
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Mitsubishi Heavy Industries joins Infosys-led JV in Japan, HIPUS

JV to accelerate business process transformation for enterprises leveraging digital procurement platforms

Bengaluru, India and Tokyo, Japan – April 17, 2025 – [Infosys](#) (NSE, BSE, NYSE: INFY), a global leader in next-generation digital services and consulting, today announced [Mitsubishi Heavy Industries](#) (MHI) has invested in the Infosys-led Joint Venture HIPUS, enhancing Infosys' presence in Japan. MHI is one of the world's leading industrial groups, spanning energy, smart infrastructure, industrial machinery, aerospace and defense, and has established corporations like Hitachi Ltd., Panasonic Corporation and Pasona.

HIPUS, in which Infosys owns a majority stake, was set up in 2019, to drive high-quality, end-to-end procurement processes along with sourcing and category expertise, leveraging next-generation digital platforms for Japanese corporations.

MHI has been a longstanding customer of HIPUS and has now expanded the collaboration by acquiring a 2 percent stake from Infosys. Through this investment MHI aims to further explore new business opportunities in the region.

Anantha Radhakrishnan, CEO and MD, Infosys BPM, and Chairperson, HIPUS Board said, "Japan continues to be a strategic market for Infosys and HIPUS and we have consistently expanded our footprint in the region. This collaboration with MHI reinforces Infosys' commitment towards building trusted collaboration with customers in Japan and accelerating their digital business process transformation journey. Infosys is excited to welcome Mitsubishi Heavy Industries to HIPUS."

Isao Miyake, Head, Value Chain Headquarters, Mitsubishi Heavy Industries, said, "In our company's ongoing efforts to upgrade procurement activities through a data-driven strategy, we expect HIPUS advanced analytics and support to significantly improve procurement operations, enable well informed decision making, and generate greater value across the organization."

Kiyoshi Asami, CEO and Representative Director, HIPUS, said, "MHI has become an important client for HIPUS receiving a wide range of services. HIPUS is also executing MHI services beyond Japan, leveraging Infosys' global presence as well as its strong sourcing and procurement services. We are extremely delighted that MHI has decided to invest in HIPUS and we look forward to an impactful collaboration."

The transaction is expected to close during the first quarter of fiscal year 2026 (i.e. quarter ending June 30, 2025), subject to customary closing conditions.

About Mitsubishi Heavy Industries (MHI) Group

Mitsubishi Heavy Industries (MHI) Group is one of the world's leading industrial groups, spanning energy, smart infrastructure, industrial machinery, aerospace and defense. MHI Group combines cutting-edge technology with deep experience to deliver innovative, integrated solutions that help to realize a carbon neutral world, improve the quality of life and ensure a safer world. For more information, please visit www.mhi.com

About HiPUS

HIPUS Co., Ltd. promotes business process transformation and provide total procurement solutions with the procurement know-how cultivated over many years in the Hitachi Group as our business core. Since April 2019, Infosys has become our parent company, and we provide new, cutting-edge services that combine global knowledge and domestic skills in procurement processes, consulting, analytics, Gen AI, and other digital technology services. For more information, please visit <https://www.hipus.com>.

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Media Contacts:

For further information, please contact: PR_Global@infosys.com

Annexure III

Disclosure under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: -

Name(s) of parties with whom the agreement is entered	Infosys Singapore Pte Ltd. ("Infosys Singapore"), a wholly owned subsidiary of Infosys Limited ("Infosys") and Mitsubishi Heavy Industries Ltd. (Mitsubishi), one of the world's leading industrial groups, spanning energy, smart infrastructure, industrial machinery, aerospace and defense, Hitachi Ltd. ("Hitachi"), Panasonic Corporation ("Panasonic") and Pasona Inc. ("Pasona"). HIPUS Co. Ltd. ("HIPUS"), a joint venture (JV) between Infosys Singapore, Hitachi, Panasonic and Pasona. Infosys Singapore currently owns 81% stake in the JV, Hitachi 15%, Panasonic 2%, and Pasona 2%.
Purpose of entering into the agreement	HIPUS, Infosys' led Joint Venture in Japan aims to accelerate business process transformation for enterprises leveraging digital procurement platforms. Mitsubishi has been a longstanding customer of HIPUS and has now expanded the collaboration by acquiring a 2 percent stake from Infosys Singapore in the joint venture. Japan continues to be a strategic market for Infosys and Infosys has consistently expanded its footprint in the region. This collaboration with Mitsubishi reinforces Infosys' commitment towards building trusted collaboration with customers in Japan and accelerating their digital business process transformation journey.
Shareholding, if any, in the entity with whom the agreement is executed	Nil.
Significant terms of the agreement (in brief) special rights like right to appoint directors, first right to share subscription in case of issuance of shares, right to restrict any change in capital structure etc.	Infosys Singapore to divest 2% stake at JPY 150mn to Mitsubishi.
Whether the said parties are related to promoter/promoter group/ group companies in any manner. If yes, nature of relationship;	No
Whether the transaction would fall within related party transactions? If yes, whether the same is done at "arm's length";	No.

In case of issuance of shares to the parties, details of issue price, class of shares issued;	Not applicable
Any other disclosures related to such agreements, viz., details of nominee on the board of directors of the listed entity, potential conflict of interest arising out of such agreements, etc.;	No
In case of termination or amendment of agreement, listed entity shall disclose additional details to the stock exchange(s): a) name of parties to the agreement; b) nature of the agreement; c) date of execution of the agreement; d) details of amendment and impact thereof or reasons of termination and impact thereof.	a) Infosys Singapore, Hitachi, Panasonic, Pasona and Mitsubishi b) Shareholder Agreement. c) April 17, 2025 d) Amendment to the existing Shareholder agreement of HIPUS executed on December 14 2018 between Infosys Singapore, Hitachi, Panasonic and Pasona for the addition of Mitsubishi as a shareholder to the extent of 2% shares and reducing Infosys Singapore's percentage of equity shareholding from 81% to 79%. The transaction is expected to close during the first quarter of fiscal year 2026 (i.e. quarter ending 30th Jun 2025), subject to customary closing conditions.

Annexure IV

Disclosure under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: -

SI no	Particulars	Details
1.	Reason for Change viz. appointment	Appointment of Makarand M. Joshi & Co, Peer Reviewed Firm of Company Secretaries in Practice (Firm registration number: P2009MH007000), as Secretarial Auditors of the Company.
2.	Date of appointment and term of appointment	The Board at its meeting held on April 17, 2025, approved the appointment of Makarand M. Joshi & Co., as Secretarial Auditors, for an audit period of five consecutive years commencing from FY 2025-26 till FY 2029-30, subject to approval of the shareholders at the ensuing Annual General Meeting.
3.	Brief Profile (in case of appointment)	M/s. Makarand M. Joshi & Co. (MMJC) is a leading firm of practicing Company Secretaries with over 25 years of experience in delivering comprehensive professional services across Corporate Laws, SEBI Regulations and FEMA Regulations. Their expertise includes conducting Secretarial Audits, Due Diligence Audits, Compliance Audits etc.
4.	Disclosure of relationships between directors (in case of appointment of a director)	Not applicable

4.2% FY
4.8% Q4
YoY CC Growth

21.1% FY
21.0% Q4
Operating Margin
0.5% Increase
in FY

8.3% FY
10.1% Q4
EPS Increase*
(₹ terms)

\$11.6 Bn FY
\$2.6 Bn Q4
Large Deal
TCV

\$4.1 Bn FY
\$0.9 Bn Q4
Free
Cash Flow

Revenue Growth- Q4 25

	Reported	CC
QoQ growth (%)	-4.2%	-3.5%
YoY growth (%)	3.6%	4.8%

Revenues by Business Segments

(in %)

	Quarter ended			YoY Growth	
	Mar 31, 2025	Dec 31, 2024	Mar 31, 2024	Reported	CC
Financial services	28.4	27.8	26.4	11.4	12.6
Manufacturing	15.9	15.5	14.7	12.1	14.0
Retail	13.3	13.8	14.3	(3.8)	(2.6)
Energy, Utilities, Resources & Services	13.0	13.5	13.4	0.6	1.5
Communication	11.7	11.2	12.3	(1.3)	0.0
Hi-Tech	8.3	7.9	8.7	(1.6)	(1.1)
Life Sciences	6.8	7.6	7.3	(3.9)	(3.4)
Others	2.6	2.7	2.9	(4.6)	(2.8)
Total	100.0	100.0	100.0	3.6	4.8

Revenues by Client Geography

(in %)

	Quarter ended			YoY Growth	
	Mar 31, 2025	Dec 31, 2024	Mar 31, 2024	Reported	CC
North America	57.1	58.4	59.6	(0.8)	(0.4)
Europe	31.2	29.8	28.6	12.9	15.0
Rest of the world	8.8	8.7	9.6	(4.5)	(2.2)
India	2.9	3.1	2.2	39.0	43.7
Total	100.0	100.0	100.0	3.6	4.8

Client Data

	Quarter ended		
	Mar 31, 2025	Dec 31, 2024	Mar 31, 2024
Number of Clients			
Active	1,869	1,876	1,882
Added during the period (gross)	91	101	98
Number of Million dollar clients^			
1 Million dollar +	992	997	959
10 Million dollar +	309	301	315
50 Million dollar +	85	89	83
100 Million dollar +	39	41	40
Client contribution to revenues			
Top 5 clients	13.1%	12.7%	13.6%
Top 10 clients	20.7%	19.9%	20.4%
Top 25 clients	34.8%	34.2%	34.3%
Days Sales Outstanding^	69	74	71

*EPS Increase post normalisation of Income Tax refunds

^LTM (Last twelve months) Revenues

Effort & Utilization – Consolidated IT Services

(in %)

	Quarter ended		
	Mar 31, 2025	Dec 31, 2024	Mar 31, 2024
Effort			
Onsite	23.6	24.0	24.2
Offshore	76.4	76.0	75.8
Utilization			
Including trainees	81.9	83.4	82.0
Excluding trainees	84.9	86.0	83.5

Employee Metrics

(Nos.)

	Quarter ended		
	Mar 31, 2025	Dec 31, 2024	Mar 31, 2024
Total employees	323,578	323,379	317,240
S/W professionals	306,599	306,528	299,814
Sales & Support	16,979	16,851	17,426
Voluntary Attrition % (LTM - IT Services)	14.1%	13.7%	12.6%
% of Women Employees	39.0%	39.0%	39.3%

Cash Flow

In US \$ million

	Quarter ended		
	Mar 31, 2025	Dec 31, 2024	Mar 31, 2024
Free cash flow ⁽¹⁾	892	1,263	848
Consolidated cash and investments ⁽²⁾	5,562	4,653	4,676

In ₹ crore

	Quarter ended		
	Mar 31, 2025	Dec 31, 2024	Mar 31, 2024
Free cash flow ⁽¹⁾	7,737	10,647	7,032
Consolidated cash and investments ⁽²⁾	47,549	39,836	39,005

⁽¹⁾ Free cash flow is defined as net cash provided by operating activities less capital expenditure as per the consolidated statement of cash flows prepared under IFRS (Non-IFRS measure)

⁽²⁾ Consolidated cash and investments comprise of cash and cash equivalents, current and non-current investments excluding investments in equity and preference shares and others (Non-IFRS measure)

Consolidated statement of Comprehensive Income for three months ended, (Extracted from IFRS Financial Statement)

In US \$ million, except per equity share data

Particulars	Mar 31, 2025	Mar 31, 2024	Growth % YoY	Dec 31, 2024	Growth % QoQ
Revenues	4,730	4,564	3.6%	4,939	-4.2%
Cost of sales	3,302	3,219	2.6%	3,444	-4.1%
Gross Profit	1,428	1,345	6.2%	1,495	-4.5%
Operating Expenses:					
Selling and marketing expenses	226	209	8.1%	218	3.7%
Administrative expenses	210	219	-4.1%	224	-6.3%
Total Operating Expenses	436	428	1.9%	442	-1.4%
Operating Profit	992	917	8.2%	1,053	-5.8%
Operating Margin %	21.0	20.1	0.9%	21.3	-0.3%
Other Income, net ⁽¹⁾⁽²⁾	125	315	-60.3%	90	38.9%
Profit before income taxes	1,117	1,232	-9.3%	1,143	-2.3%
Income tax expense ⁽²⁾	303	273	11.0%	337	-10.1%
Net Profit (before minority interest)	814	959	-15.2%	806	0.9%
Net Profit (after minority interest)	813	958	-15.2%	804	1.1%
Basic EPS (\$) ⁽²⁾	0.20	0.23	-15.2%	0.19	1.1%
Diluted EPS (\$) ⁽²⁾	0.20	0.23	-15.3%	0.19	1.1%
Dividend Per Share (\$) ⁽³⁾⁽⁴⁾⁽⁵⁾	0.26	0.24	10.0%	-	-

Consolidated statement of Comprehensive Income for year ended, (Extracted from IFRS Financial Statement)

In US \$ million, except per equity share data

Particulars	Mar 31, 2025	Mar 31, 2024	Growth %
Revenues	19,277	18,562	3.9%
Cost of sales	13,405	12,975	3.3%
Gross Profit	5,872	5,587	5.1%
Operating Expenses:			
Selling and marketing expenses	898	842	6.7%
Administrative expenses	903	911	-0.9%
Total Operating Expenses	1,801	1,753	2.7%
Operating Profit	4,071	3,834	6.2%
Operating Margin %	21.1	20.7	0.5%
Other Income, net ⁽¹⁾⁽²⁾	376	512	-26.6%
Profit before income taxes	4,447	4,346	2.3%
Income tax expense ⁽²⁾	1,285	1,177	9.2%
Net Profit (before minority interest)	3,162	3,169	-0.2%
Net Profit (after minority interest)	3,158	3,167	-0.3%
Basic EPS (\$) ⁽²⁾	0.76	0.77	-0.3%
Diluted EPS (\$) ⁽²⁾	0.76	0.76	-0.5%
Dividend Per Share (\$) ⁽³⁾⁽⁴⁾⁽⁵⁾	0.51	0.46	13.2%

⁽¹⁾ Other income is net of Finance Cost

⁽²⁾ Includes interest income (pre-tax) of \$38Mn with reversal of net tax provisions amounting to \$12Mn in FY'25 and interest income (pre-tax) of \$232Mn with reversal of net tax provisions amounting to \$5Mn in FY'24 on account of orders received under sections 250 & 254 of the Income Tax Act, 1961, from the Income Tax Authorities in India for certain assessment years. This has resulted in a positive impact on the consolidated Basic and Diluted EPS by approximately \$0.01 for the quarter and year ended March 31, 2025 and \$0.06 for the quarter and year ended March 31, 2024

⁽³⁾ USD/INR exchange rate of 86.10 considered for Q4'25

⁽⁴⁾ Dividend excludes special Dividend of \$0.10 per share for the quarter and year ended March 31, 2024

⁽⁵⁾ Dividend Growth (%) calculated in INR terms

Consolidated statement of Comprehensive Income for three months ended, (Extracted from IFRS Financial Statement)

In ₹ crore, except per equity share data

Particulars	Mar 31, 2025	Mar 31, 2024	Growth % YoY	Dec 31, 2024	Growth % QoQ
Revenues	40,925	37,923	7.9%	41,764	-2.0%
Cost of sales	28,575	26,748	6.8%	29,120	-1.9%
Gross Profit	12,350	11,175	10.5%	12,644	-2.3%
Operating Expenses:					
Selling and marketing expenses	1,957	1,735	12.8%	1,839	6.4%
Administrative expenses	1,818	1,819	-0.1%	1,893	-4.0%
Total Operating Expenses	3,775	3,554	6.2%	3,732	1.2%
Operating Profit	8,575	7,621	12.5%	8,912	-3.8%
Operating Margin %	21.0	20.1	0.9%	21.3	-0.3%
Other Income, net ⁽¹⁾⁽²⁾	1,088	2,619	-58.5%	758	43.5%
Profit before income taxes	9,663	10,240	-5.6%	9,670	-0.1%
Income tax expense ⁽²⁾	2,625	2,265	15.9%	2,848	-7.8%
Net Profit (before minority interest)	7,038	7,975	-11.7%	6,822	3.2%
Net Profit (after minority interest)	7,033	7,969	-11.7%	6,806	3.3%
Basic EPS (₹)⁽²⁾	16.98	19.25	-11.8%	16.43	3.3%
Diluted EPS (₹)⁽²⁾	16.94	19.22	-11.9%	16.39	3.3%
Dividend Per Share (₹)⁽³⁾	22.00	20.00	10.0%	-	-

Consolidated statement of Comprehensive Income for year ended, (Extracted from IFRS Financial Statement)

In ₹ crore, except per equity share data

Particulars	Mar 31, 2025	Mar 31, 2024	Growth %
Revenues	162,990	153,670	6.1%
Cost of sales	113,347	107,413	5.5%
Gross Profit	49,643	46,257	7.3%
Operating Expenses:			
Selling and marketing expenses	7,588	6,973	8.8%
Administrative expenses	7,631	7,537	1.2%
Total Operating Expenses	15,219	14,510	4.9%
Operating Profit	34,424	31,747	8.4%
Operating Margin %	21.1	20.7	0.5%
Other Income, net ⁽¹⁾⁽²⁾	3,184	4,241	-24.9%
Profit before income taxes	37,608	35,988	4.5%
Income tax expense ⁽²⁾	10,858	9,740	11.5%
Net Profit (before minority interest)	26,750	26,248	1.9%
Net Profit (after minority interest)	26,713	26,233	1.8%
Basic EPS (₹)⁽²⁾	64.50	63.39	1.8%
Diluted EPS (₹)⁽²⁾	64.34	63.29	1.7%
Dividend Per Share (₹)⁽³⁾	43.00	38.00	13.2%

⁽¹⁾ Other income is net of Finance Cost

⁽²⁾ Includes interest income (pre-tax) of ₹327 crores and reversal of net tax provisions amounting to ₹101 crores for FY'25 and interest income (pre-tax) of ₹1,933 crores and reversal of net tax provisions amounting to ₹38 crores for FY'24 on account of orders received under sections 250 & 254 of the Income Tax Act, 1961, from the Income Tax Authorities in India for certain assessment years. This has resulted in a positive impact on the consolidated Basic and Diluted EPS by approximately ₹1.03 for the quarter and year ended March 31, 2025 and ₹4.76 for the quarter and year ended March 31, 2024

⁽³⁾ Dividend excludes special Dividend of ₹8.00 per share for the quarter and year ended March 31, 2024

As the quarter and year ended figures are taken from the source and rounded to the nearest digits, the quarter figures in this statement added up to the figures reported for the previous quarter might not always add up to the year ended figures reported in this statement.

**BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED**

April 17, 2025

Dear Sirs/Madam,

Sub: Declaration pursuant to Regulation 33(3)(d) of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended.

DECLARATION

I, Jayesh Sanghrajka, Chief Financial Officer of Infosys Limited (CIN: L85110KA1981PLC013115) having its Registered office at Electronics City, Hosur Road, Bengaluru- 560100, India, hereby declare that, the Statutory Auditors of the Company, Deloitte Haskins & Sells LLP (FRN: 117366W/W-100018) have issued an Audit Report with unmodified opinion on the annual Audited Financial Results of the Company (Standalone & Consolidated) for year ended on March 31, 2025.

This Declaration is given in compliance to Regulation 33(3)(d) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended and Circular no. CIR/CFD/CMD/56/2016 dated May 27, 2016.

Request you to kindly take this declaration on your records.

Yours sincerely,

For Infosys Limited



Jayesh Sanghrajka
Chief Financial Officer

INFOSYS LIMITED

CIN: L85110KA1981PLC013115

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Electronics City, Hosur Road
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**INDEPENDENT AUDITOR'S REPORT ON AUDIT OF QUARTERLY AND ANNUAL
CONSOLIDATED FINANCIAL RESULTS**

TO THE BOARD OF DIRECTORS OF INFOSYS LIMITED

Opinion

We have audited the accompanying statement of Consolidated Financial Results of **INFOSYS LIMITED** (the "Holding Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as the "Group") for the quarter and year ended March 31, 2025 (the "Statement"), being submitted by the Holding Company pursuant to the requirements of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended (the "LODR Regulations").

In our opinion and to the best of our information and according to the explanations given to us, the Statement:

- (i) includes the financial results of the subsidiaries as given in the Annexure to this report;
- (ii) is presented in accordance with the requirements of the LODR Regulations; and
- (iii) gives a true and fair view in conformity with the recognition and measurement principles laid down in the Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34") prescribed under section 133 of the Companies Act, 2013 (the "Act") read with relevant rules issued thereunder and other accounting principles generally accepted in India of the consolidated net profit and consolidated other comprehensive income and other financial information of the Group for the quarter and year ended March 31, 2025.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing ("SA"s) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in Auditor's Responsibilities for audit of the consolidated financial results section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the consolidated financial results for the quarter and year ended March 31, 2025 under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion.

Management's and Board of Directors' Responsibilities for the Statement

The Statement, which includes the Consolidated Financial Results is the responsibility of the Holding Company's Board of Directors and has been approved by them for the issuance. The Statement has been compiled from the related audited interim condensed consolidated financial statements for the three months and year ended March 31, 2025. This responsibility includes the preparation and presentation of the Statement that give a true and fair view of the consolidated net profit and consolidated other comprehensive income and other financial information of the Group in accordance with the recognition and measurement principles laid down in the Ind AS 34, prescribed under Section 133 of

the Act, read with relevant rules issued thereunder and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations.

The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the respective financial results that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of this Statement by the Directors of the Holding Company, as aforesaid.

In preparing the Consolidated Financial Results, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate their respective entities or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group are responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for audit of the Consolidated Financial Results for the quarter and year ended March 31, 2025

Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Results for the quarter and year ended March 31, 2025, as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Results.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Statement, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board of Directors.



- Evaluate the appropriateness and reasonableness of disclosures made by the Board of Directors in terms of the requirements specified under Regulation 33 of the LODR Regulations.
- Conclude on the appropriateness of the Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Statement or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Statement, including the disclosures, and whether the Statement represent the underlying transactions and events in a manner that achieves fair presentation.
- Perform procedures in accordance with the circular issued by the SEBI under Regulation 33(8) of the LODR Regulations to the extent applicable.
- Obtain sufficient appropriate audit evidence regarding the Financial Information of the entities within the Group to express an opinion on the Statement. We are responsible for the direction, supervision and performance of the audit of financial information of such entities included in the Statement of which we are the independent auditors.

Materiality is the magnitude of misstatements in the Statement that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Statement may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Statement.

We communicate with those charged with governance of the Holding Company and such other entities included in the Statement of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

For DELOITTE HASKINS & SELLS LLP

Chartered Accountants

(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria

Partner

(Membership No. 060408)

UDIN:

Place: Bengaluru

Date: April 17, 2025

Annexure to Auditor's Report

List of Entities:

1. Infosys Technologies (China) Co. Limited
2. Infosys Technologies S. de R. L. de C. V.
3. Infosys Technologies (Sweden) AB
4. Infosys Technologies (Shanghai) Company Limited
5. Infosys Nova Holdings LLC.
6. EdgeVerve Systems Limited
7. Infosys Austria GmbH
8. Skava Systems Private Limited (liquidated effective November 14, 2024)
9. Infosys Chile SpA
10. Infosys Arabia Limited (under liquidation)
11. Infosys Consulting Ltda.
12. Infosys Luxembourg S.a.r.l
13. Infosys Americas Inc. (liquidated effective July 14, 2023)
14. Infosys Public Services, Inc. USA
15. Infosys BPM Limited
16. Infosys (Czech Republic) Limited s.r.o.
17. Infosys Poland Sp z.o.o
18. Infosys McCamish Systems LLC
19. Portland Group Pty Ltd
20. Infosys BPO Americas LLC.
21. Infosys Consulting Holding AG
22. Infosys Management Consulting Pty Limited
23. Infosys Consulting AG
24. Infosys Consulting GmbH
25. Infosys Consulting S.R.L (Romania) (Renamed as Infosys Romania SRL)
26. Infosys Consulting SAS
27. Infy Consulting Company Ltd.
28. Infy Consulting B.V.
29. Infosys Consulting S.R.L (Argentina)
30. Infosys Consulting (Belgium) NV
31. Panaya Inc.
32. Infosys Financial Services GmbH
33. Panaya Ltd.
34. Brilliant Basics Holdings Limited (under liquidation)



35. Brilliant Basics Limited (under liquidation)
36. Infosys Singapore Pte. Ltd.
37. Infosys Middle East FZ LLC
38. Fluido Oy
39. Fluido Sweden AB
40. Fluido Norway A/S
41. Fluido Denmark A/S
42. Fluido Slovakia s.r.o
43. Infosys Compaz Pte. Ltd.
44. Infosys South Africa (Pty) Ltd
45. WongDoody, Inc, merged into Infosys Nova Holdings LLC with effect from January 01, 2025
46. HIPUS Co., Ltd.
47. Stater N.V.
48. Stater Nederland B.V.
49. Stater XXL B.V.
50. HypoCasso B.V.
51. Stater Participations B.V. (wholly owned subsidiary of Stater N.V. merged with Stater N.V. with effect from November 24, 2023)
52. Stater Belgium N.V./S.A. (formerly a wholly owned subsidiary of Stater Participations B.V., became the wholly owned subsidiary of Stater N.V. with effect from November 24, 2023)
53. Outbox systems Inc. dba Simplus (US), merged into Infosys Nova Holdings LLC with effect from January 01, 2025
54. Simplus ANZ Pty Ltd.
55. Simplus Australia Pty Ltd
56. Simplus Philippines, Inc.
57. Infosys Fluido UK, Ltd.
58. Infosys Fluido Ireland, Ltd.
59. Infosys Limited Bulgaria EOOD
60. Infosys BPM UK Limited
61. Blue Acorn iCi Inc., merged into Infosys Nova Holdings LLC with effect from January 01, 2025
62. Kaleidoscope Animations, Inc., merged into Infosys Nova Holdings LLC with effect from January 01, 2025
63. Kaleidoscope Prototyping LLC (liquidated effective November 1, 2023)
64. GuideVision s.r.o
65. GuideVision Deutschland GmbH
66. GuideVision Suomi Oy
67. GuideVision Magyarorszag Kft



68. GuideVision Polska Sp. z o.o
69. Infosys Business Solutions LLC
70. Infosys Germany GmbH
71. GuideVision UK Ltd (under liquidation)
72. Infosys Turkey Bilgi Teknolojileri Limited Sirketi
73. Infosys Germany Holding GmbH
74. Infosys Automotive and Mobility GmbH & Co. KG
75. Stater GmbH
76. Infosys Green Forum
77. Infosys (Malaysia) SDN. BHD.
78. oddity space GmbH, merged into WongDoody GmbH (formerly known as oddity GmbH) with effect from September 29, 2023
79. oddity jungle GmbH merged into WongDoody GmbH (formerly known as oddity GmbH) with effect from September 29, 2023
80. oddity waves GmbH merged into WongDoody GmbH (formerly known as oddity GmbH) with effect from September 29, 2023
81. oddity group Services GmbH merged into WongDoody GmbH (formerly known as oddity GmbH) with effect from September 29, 2023
82. oddity code GmbH merged into WongDoody GmbH (formerly known as oddity GmbH) with effect from September 29, 2023
83. WongDoody d.o.o. (formerly known as oddity code d.o.o) which was formerly a subsidiary of oddity Code GmbH has become a subsidiary of Wongdoody GmbH (formerly known as oddity GmbH) with effect from September 29, 2023
84. WongDoody GmbH (formerly known as Oddity GmbH)
85. WongDoody (Shanghai) Co. Limited (formerly known as oddity (Shanghai) Co. Ltd.)
86. WongDoody Limited (Taipei) (formerly known as oddity Limited (Taipei))
87. Infosys Public Services Canada Inc.
88. BASE life science A/S
89. BASE life science AG
90. BASE life science GmbH
91. BASE life science Ltd.
92. BASE life science S.A.S
93. BASE life science S.r.l.
94. Innovisor Inc.
95. BASE life science Inc.
96. BASE life science S.L.
97. Panaya Germany GmbH
98. Infosys Norway
99. Infosys BPM Canada Inc. (Wholly-owned subsidiary of Infosys BPM Limited) which was incorporated on August 11, 2023 has been dissolved on March 15, 2024



100. Danske IT and Support Services India Private Limited acquired by Infosys Limited on September 1, 2023 (Renamed as Idunn Information Technology Private Limited with effect from April 1, 2024)
101. InSemi Technology Services Pvt. Ltd. acquired by Infosys limited on May 10, 2024
102. Elbrus Labs Private Limited (a wholly owned subsidiary of InSemi Technology Services Pvt. Ltd.) acquired by Infosys limited on May 10, 2024
103. Infosys Services (Thailand) Limited, a Wholly-owned subsidiary of Infosys Limited was incorporated on July 26, 2024.
104. Infy tech SAS, a Wholly-owned subsidiary of Infosys Singapore Pte Limited was incorporated on July 03, 2024.
105. in-tech Holding GmbH (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024 merged into in-tech GmbH with effect from January 01, 2025.
106. in-tech GmbH (Subsidiary of in-tech Holding GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
107. in-tech Automotive Engineering SL (Subsidiary of in-tech GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
108. ProIT (Subsidiary of in-tech GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
109. in-tech Automotive Engineering de R.L. de C.V (Subsidiary of in-tech GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024) (under liquidation)
110. drivetech Fahrversuch GmbH (Subsidiary of in-tech GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
111. Friedrich Wagner Holding Inc (Subsidiary of in-tech GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024) (under liquidation)
112. in-tech Automotive Engineering LLC (Subsidiary of Friedrich Wagner Holding Inc) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024) (liquidated effective November 30, 2024)
113. in-tech Services LLC (Subsidiary of Friedrich Wagner Holding Inc) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024) (liquidated effective November 30, 2024)
114. Friedrich & Wagner Asia Pacific GmbH (Subsidiary of in-tech GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024) merged into in-tech GmbH with effect from January 01, 2025.
115. in-tech engineering s.r.o (Subsidiary of Friedrich & Wagner Asia Pacific GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)

116. in-tech engineering GmbH (Subsidiary of Friedrich & Wagner Asia Pacific GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
117. in-tech engineering services S.R.L (Subsidiary of Friedrich & Wagner Asia Pacific GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
118. in-tech Group Ltd (Subsidiary of Friedrich & Wagner Asia Pacific GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
119. in-tech Group India Private Limited (Subsidiary of in-tech Group Ltd) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024). On September 01, 2024 in-tech Group India Private Limited became a wholly-owned subsidiary of Infosys limited.
120. In-tech Automotive Engineering Shenyang Co. (Subsidiary of Friedrich & Wagner Asia Pacific GmbH) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
121. In-tech Automotive Engineering Beijing Co., Ltd (Subsidiary of In-tech Automotive Engineering Shenyang Co.) (acquired by Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited (a wholly owned subsidiary of Infosys Limited) on July 17, 2024)
122. Infosys Employees Welfare Trust
123. Infosys Employee Benefits Trust
124. Infosys Science Foundation
125. Infosys Expanded Stock Ownership Trust
126. Blitz 24-893 SE, Germany acquired by Infosys Singapore Pte Ltd on October 17, 2024
127. Infosys Limited SPC, a Wholly-owned subsidiary of Infosys Limited was incorporated on December 12, 2024.
128. Infosys BPM Netherlands B.V., a Wholly-owned subsidiary of Infosys BPM Limited was incorporated on March 20, 2025.



**INDEPENDENT AUDITOR'S REPORT ON THE AUDIT OF QUARTERLY AND ANNUAL
STANDALONE FINANCIAL RESULTS**

TO THE BOARD OF DIRECTORS OF INFOSYS LIMITED

Opinion

We have audited the accompanying statement of Standalone Financial Results of **INFOSYS LIMITED** (the "Company") for the quarter and year ended March 31, 2025 (the "Statement") being submitted by the Company pursuant to the requirements of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended (the "LODR Regulations").

In our opinion and to the best of our information and according to the explanations given to us, the statement:

- (i) is presented in accordance with the requirements of the LODR Regulations; and
- (ii) gives a true and fair view in conformity with the recognition and measurement principles laid down in the Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34") prescribed under section 133 of the Companies Act, 2013 (the "Act") read with relevant rules issued thereunder and other accounting principles generally accepted in India of the net profit and other comprehensive income and other financial information of the Company for the quarter and year ended March 31, 2025.

Basis for Opinion

We conducted our audit of the Statement in accordance with the Standards on Auditing ("SA"s) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in Auditor's Responsibilities for the Audit of the Standalone Financial Results section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Standalone Financial Results for the quarter and year ended March 31, 2025 under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion.

Management's and Board of Directors' Responsibilities for the Statement

The Statement, which includes the Standalone Financial Results is the responsibility of the Company's Board of Directors and has been approved by them for the issuance. The Statement has been compiled from the related audited interim condensed standalone financial statements for the three months and year ended March 31, 2025. This responsibility includes the preparation and presentation of the Standalone Financial Results for the quarter and year ended March 31, 2025 that give a true and fair view of the net profit and other comprehensive income and other financial information in accordance with the recognition and measurement principles laid down in the Ind AS 34, prescribed under Section 133 of the Act read with relevant rules issued thereunder and other accounting principles generally accepted in India and in compliance with Regulation

33 of the LODR Regulations. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Statements that give a true and fair view and is free from material misstatement, whether due to fraud or error.

In preparing the Statement, the Board of Directors are responsible for assessing the Company's ability, to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the financial reporting process of the Company.

Auditor's Responsibilities for audit of the Standalone Financial Results for the quarter and year ended March 31, 2025

Our objectives are to obtain reasonable assurance about whether the Statement as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Results.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Statement, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board of Directors.
- Evaluate the appropriateness and reasonableness of disclosures made by the Board of Directors in terms of the requirements specified under Regulation 33 of the LODR Regulations.
- Conclude on the appropriateness of the Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Company to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Statement or, if such disclosures are inadequate, to modify



our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the Statement, including the disclosures, and whether the Statement represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the Statement to express an opinion on the Statement.

Materiality is the magnitude of misstatements in the Statement that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Statement may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Statement.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

For DELOITTE HASKINS & SELLS LLP

Chartered Accountants

(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria

Partner

(Membership No. 060408)

UDIN:

Place: Bengaluru

Date: April 17, 2025

Infosys Limited
CIN : L85110KA1981PLC013115
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**Statement of Consolidated Audited Results of Infosys Limited and its subsidiaries for the quarter and year ended March 31, 2025
prepared in compliance with the Indian Accounting Standards (Ind-AS)**

(in ₹ crore, except per equity share data)

Particulars	Quarter ended March 31,	Quarter ended December 31,	Quarter ended March 31,	Year ended March 31,	
	2025	2024	2024	2025	2024
	Audited	Audited	Audited	Audited	Audited
Revenue from operations	40,925	41,764	37,923	162,990	153,670
Other income, net (refer note 1(d))	1,190	859	2,729	3,600	4,711
Total Income	42,115	42,623	40,652	166,590	158,381
Expenses					
Employee benefit expenses	22,015	21,436	20,393	85,950	82,620
Cost of technical sub-contractors	3,276	3,302	2,967	12,937	12,232
Travel expenses	520	439	471	1,894	1,759
Cost of software packages and others	3,899	4,607	3,687	15,911	13,515
Communication expenses	147	157	147	620	677
Consultancy and professional charges	301	459	489	1,655	1,726
Depreciation and amortization expenses ⁽¹⁾	1,299	1,203	1,163	4,812	4,678
Finance cost	102	101	110	416	470
Other expenses	893	1,249	985	4,787	4,716
Total expenses	32,452	32,953	30,412	128,982	122,393
Profit before tax	9,663	9,670	10,240	37,608	35,988
Tax expense: (refer note 1(c))					
Current tax	2,784	3,202	1,173	12,130	8,390
Deferred tax	(159)	(354)	1,092	(1,272)	1,350
Profit for the period	7,038	6,822	7,975	26,750	26,248
Other comprehensive income					
<i>Items that will not be reclassified subsequently to profit or loss</i>					
Remeasurement of the net defined benefit liability/asset, net	(145)	(45)	26	(92)	120
Equity instruments through other comprehensive income, net	29	(15)	(12)	19	19
<i>Items that will be reclassified subsequently to profit or loss</i>					
Fair value changes on derivatives designated as cash flow hedges, net	(56)	56	28	(24)	11
Exchange differences on translation of foreign operations	384	(483)	(231)	357	226
Fair value changes on investments, net	63	10	37	199	144
Total other comprehensive income/(loss), net of tax	275	(477)	(152)	459	520
Total comprehensive income for the period	7,313	6,345	7,823	27,209	26,768
Profit attributable to:					
Owners of the company	7,033	6,806	7,969	26,713	26,233
Non-controlling interests	5	16	6	37	15
	7,038	6,822	7,975	26,750	26,248
Total comprehensive income attributable to:					
Owners of the company	7,304	6,336	7,821	27,167	26,754
Non-controlling interests	9	9	2	42	14
	7,313	6,345	7,823	27,209	26,768
Paid up share capital (par value ₹5/- each, fully paid)	2,073	2,072	2,071	2,073	2,071
Other equity **	93,745	86,045	86,045	93,745	86,045
Earnings per equity share (par value ₹5/- each)**					
Basic (in ₹ per share)	16.98	16.43	19.25	64.50	63.39
Diluted (in ₹ per share)	16.94	16.39	19.22	64.34	63.29

* Balances for the quarter ended December 31, 2024 represent balances as per the audited Balance Sheet as at March 31, 2024 as required by SEBI (Listing and Other Disclosure Requirements) Regulations, 2015

** EPS is not annualized for the quarter ended March 31, 2025, quarter ended December 31, 2024 and quarter ended March 31, 2024.

Excludes non-controlling interest

⁽¹⁾ During the quarter and year ended March 31, 2025, a decline in the revenue estimates led to the carrying value of the customer related intangibles assets recognized on business combination exceeding the estimated recoverable amount. Consequently, the Company has recognized ₹188 crore as the excess of carrying value over the estimated recoverable value for the quarter and year ended March 31, 2025.

1. Notes

a) The audited interim consolidated financial statements for the quarter and year ended March 31, 2025 have been taken on record by the Board of Directors at its meeting held on April 17, 2025. **The statutory auditors, Deloitte Haskins & Sells LLP have expressed an unmodified audit opinion.** The information presented above is extracted from the audited interim condensed consolidated financial statements. These interim condensed consolidated financial statements are prepared in accordance with the Indian Accounting Standards (Ind-AS) as prescribed under Section 133 of the Companies Act, 2013 read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 and relevant amendment rules thereafter.

b) Update on McCamish Cybersecurity incident

In November 2023, certain systems of Infosys McCamish Systems LLC ("McCamish"), a subsidiary of Infosys BPM Limited (a wholly owned subsidiary of Infosys Limited), were encrypted by ransomware, resulting in the non-availability of certain applications and systems. McCamish initiated its incident response and engaged cybersecurity and other specialists to assist in its investigation of and response to the incident and remediation and restoration of impacted applications and systems. By December 31, 2023, McCamish, with external specialists' assistance, substantially remediated and restored the affected applications and systems. Actions taken by McCamish included investigative analysis conducted by a third-party cybersecurity firm to determine, among other things, whether and the extent to which company or customer data was subject to unauthorized access or exfiltration. McCamish also engaged a third-party eDiscovery vendor in assessing the extent and nature of such data. McCamish in coordination with its third-party eDiscovery vendor has identified corporate customers and individuals whose information was subject to unauthorized access and exfiltration. McCamish processes personal data on behalf of its corporate customers.

From March 6, 2024 through July 25, 2024, six actions were filed in the U.S. District Court for the Northern District of Georgia against McCamish. The actions arise out of the cybersecurity incident at McCamish initially disclosed on November 3, 2023. All six actions have since been consolidated, and the consolidated class action complaint was filed on November 7, 2024, purportedly on behalf of all persons residing in the United States whose personally identifiable information was compromised in the incident, including all who were sent a notice of the incident. On December 20, 2024, the Court granted the parties' joint motion to stay proceedings pending the parties' efforts to resolve the lawsuit through mediation. On March 13, 2025, McCamish and the plaintiffs engaged in mediation, resulting in an in-principle agreement that sets forth the terms of a proposed settlement of the class action lawsuits against McCamish, as well as seven class action lawsuits arising out of the incident that have been filed against McCamish's customers. Under the settlement terms, McCamish has agreed to pay \$17.5 million (approximately ₹150 crore) into a fund to settle these matters. The agreed terms are subject to finalization of the terms of the settlement agreement, and preliminary and final court approval. If approved, the settlement will resolve all allegations made in the class action lawsuits without admission of any liability. McCamish has recorded an accrual of \$17.5 million (approximately ₹150 crore) related to the settlement. McCamish has recognized an insurance reimbursement receivable of \$17 million (approximately ₹145 crore) which has been offset against the settlement expense of \$17.5 million (approximately ₹150 crore) in the Statement of Profit and Loss. McCamish may incur additional costs including from indemnities or damages/claims, which are indeterminable at this time.

c) Update on orders received from the Indian Income tax department

During the quarter ending March 31, 2025, the Company received orders under section 250 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2016-17 and 2019-20. These orders confirmed the Company's position with respect to tax treatment of certain disputed matters. As a result interest income (pre-tax) of ₹327 crore (included in other income as mentioned in point (d) below) was recognised and provision for income tax aggregating ₹183 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,068 crore has been reduced from contingent liabilities.

d) Other income includes interest on income tax refund of ₹328 crore and ₹1,916 crore for the quarter ended March 31, 2025 and March 31, 2024 respectively, ₹343 crore and ₹1,965 crore for the year ended March 31, 2025 and March 31, 2024 respectively, and less than a crore for the quarter ended December 31, 2024.

e) Proposed acquisitions

i) On April 17, 2025, Infosys Singapore Pte Ltd., a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the equity share capital of The Missing Link, a leading Cybersecurity service provider headquartered in Australia, for a consideration including earn-outs amounting up to AUD 98 million (approximately ₹527 crore), excluding management incentives and retention bonus, subject to customary closing adjustments. To consummate this transaction, Infosys Singapore Pte Ltd will set up a wholly-owned subsidiary in Australia.

ii) On April 17, 2025, Infosys Nova Holdings LLC, a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the partnership interests of MRE Consulting Ltd, a leading Energy Consulting company, headquartered in USA, for a consideration including earn-outs amounting up to \$36 million (approximately ₹308 crore), excluding management incentives and retention bonus, subject to customary closing adjustments. To consummate this transaction, Infosys Nova Holdings LLC has simultaneously incorporated an entity Infosys Energy Consulting Services LLC.

f) Update on employee stock grants

i) Grants to CEO & MD

The Board, on April 17, 2025, based on the recommendations of the Nomination and Remuneration Committee, approved the following annual grants to Salil Parekh, CEO and MD as per his employment agreement approved by shareholders:

i) The grant of annual performance-based stock incentives (Annual Performance Equity Grant) in the form of Restricted Stock Units (RSU's) covering Company's equity shares having a market value of ₹34.75 crore as on the date of the grant under the 2015 Stock Incentive Compensation Plan (2015 plan) which shall vest 12 months from the date of grant subject to achievement of performance targets as determined by the Board. `

ii) The grant of annual performance-based stock incentives (Annual performance equity ESG grant) in the form of RSU's covering Company's equity shares having a market value of ₹2 crore as on the date of the grant under the 2015 Plan, which shall vest 12 months from the date of the grant subject to the Company's achievement of certain environment, social and governance milestones as determined by the Board.

iii) The grant of annual performance-based stock incentives (Annual performance Equity TSR grant) in the form of RSU's covering Company's equity shares having a market value of ₹5 crore as on the date of the grant under the 2015 Plan, which shall vest on or after March 31, 2027 subject to the Company's performance on cumulative relative TSR for the two year cumulative period and as determined by the Board.

iv) The grant of annual performance-based stock incentives (2019 Annual Performance Equity Grant) in the form of Restricted Stock Units (RSU's) covering Company's equity shares having a market value of ₹10 crore as on the date of the grant under the Infosys Expanded Stock Ownership Program-2019 (2019 Plan), which shall vest 12 months from the date of the grant subject to the Company's achievement of certain performance criteria as laid out in the 2019 Plan.

The above RSUs will be granted w.e.f May 2, 2025 and the number of RSU's will be calculated based on the market price at the close of trading on May 2, 2025.

ii) Grants to other employees

The Board, on April 17, 2025, based on the recommendations of the Nomination and Remuneration Committee, approved grant of 5,000 RSUs to eligible employees under the 2015 Plan w.e.f May 2, 2025. The RSUs would vest equally over a period of four years and the exercise price will be equal to the par value of the share.

2. Information on dividends for the quarter and year ended March 31, 2025

For financial year 2025, the Board recommended a final dividend of 22/- (par value of ₹5/- each) per equity share. This payment is subject to the approval of shareholders in the Annual General Meeting (AGM) of the Company to be held on June 25, 2025. The record date for the purpose of the payment of final dividend is May 30, 2025. The dividend will be paid on June 30, 2025.

For the financial year ended 2024, the Company declared a final dividend of ₹20/- (par value of ₹5/- each) per equity share and additionally a special dividend of ₹8/- (par value of ₹5/- each) per equity share.

The Board of Directors (in the meeting held on October 17, 2024) declared an interim dividend of ₹21/- per equity share. The record date for the payment was October 29, 2024 and the same was paid on November 8, 2024. The interim dividend declared in the previous year was ₹18/- per equity share.

(in ₹)

Particulars	Quarter ended March 31,	Quarter ended December 31,	Quarter ended March 31,	Year ended March 31,	
	2025	2024	2024	2025	2024
Dividend per share (par value ₹5/- each)					
Interim dividend	-	-	-	21.00	18.00
Final dividend	22.00	-	20.00	22.00	20.00
Special dividend	-	-	8.00	-	8.00

3. Audited Consolidated Balance Sheet (in ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
ASSETS		
Non-current assets		
Property, plant and equipment	11,778	12,370
Right of use assets	6,311	6,552
Capital work-in-progress	814	293
Goodwill	10,106	7,303
Other Intangible assets	2,766	1,397
Financial assets		
Investments	11,059	11,708
Loans	16	34
Other financial assets	3,511	3,105
Deferred tax assets (net)	1,108	454
Income tax assets (net)	1,622	3,045
Other non-current assets	2,713	2,121
Total non-current assets	51,804	48,382
Current assets		
Financial assets		
Investments	12,482	12,915
Trade receivables	31,158	30,193
Cash and cash equivalents	24,455	14,786
Loans	249	248
Other financial assets	13,840	12,085
Income tax assets (net)	2,975	6,397
Other current assets	11,940	12,808
Total current assets	97,099	89,432
Total Assets	148,903	137,814
EQUITY AND LIABILITIES		
Equity		
Equity share capital	2,073	2,071
Other equity	93,745	86,045
Total equity attributable to equity holders of the Company	95,818	88,116
Non-controlling interests	385	345
Total equity	96,203	88,461
Liabilities		
Non-current liabilities		
Financial liabilities		
Lease liabilities	5,772	6,400
Other financial liabilities	2,141	2,130
Deferred tax liabilities (net)	1,722	1,794
Other non-current liabilities	215	235
Total non-current liabilities	9,850	10,559
Current liabilities		
Financial liabilities		
Lease liabilities	2,455	1,959
Trade payables	4,164	3,956
Other financial liabilities	18,138	16,959
Other current liabilities	11,765	10,539
Provisions	1,475	1,796
Income tax liabilities (net)	4,853	3,585
Total current liabilities	42,850	38,794
Total equity and liabilities	148,903	137,814

The disclosure is an extract of the audited Consolidated Balance Sheet as at March 31, 2025 and March 31, 2024 prepared in compliance with the Indian Accounting Standards (Ind-AS).

4. Audited Consolidated Statement of Cash Flows

(in ₹ crore)

Particulars	Year ended March 31,	
	2025	2024
Cash flow from operating activities		
Profit for the year	26,750	26,248
Adjustments to reconcile net profit to net cash provided by operating activities:		
Income tax expense	10,858	9,740
Depreciation and amortization	4,812	4,678
Interest and dividend income	(2,570)	(2,067)
Finance cost	416	470
Impairment loss recognized / (reversed) under expected credit loss model	48	121
Exchange differences on translation of assets and liabilities, net	79	76
Stock compensation expense	802	652
Interest receivable on income tax refund	(327)	(1,934)
Provision for post sale client support	(110)	75
Other adjustments	833	1,464
Changes in assets and liabilities		
Trade receivables and unbilled revenue	(1,769)	(2,667)
Loans, other financial assets and other assets	(1,024)	(1,172)
Trade payables	176	91
Other financial liabilities, other liabilities and provisions	2,322	(1,334)
Cash generated from operations	41,296	34,441
Income taxes paid	(5,602)	(9,231)
Net cash generated by operating activities	35,694	25,210
Cash flows from investing activities		
Expenditure on property, plant and equipment and intangibles	(2,237)	(2,201)
Deposits placed with corporation	(1,225)	(847)
Redemption of deposits placed with Corporation	776	710
Interest and dividend received	2,040	1,768
Payment towards acquisition of business, net of cash acquired	(3,155)	-
Payment of contingent consideration pertaining to acquisition of business	-	(101)
Other receipts	10	128
Payments to acquire investments		
Tax free bonds and government bonds	(2)	-
Liquid mutual fund units	(73,048)	(66,191)
Certificates of deposit	(6,978)	(8,509)
Commercial paper	(6,403)	(10,387)
Non convertible debentures	(3,240)	(1,526)
Other investments	(60)	(14)
Proceeds on sale of investments		
Tax free bonds and government bonds	109	150
Liquid mutual fund units	73,987	64,767
Certificates of deposit	6,688	9,205
Commercial paper	7,735	6,479
Non-convertible debentures	2,591	1,230
Government securities	455	304
Equity and preference securities	-	26
Other investments	11	-
Net cash used in investing activities	(1,946)	(5,009)
Cash flows from financing activities:		
Payment of lease liabilities	(2,355)	(2,024)
Payment of dividends	(20,287)	(14,692)
Loan repayment of in-tech Holding GmbH	(985)	-
Payment of dividend to non-controlling interest of subsidiary	(2)	(39)
Payment towards buyback of shares pertaining to non controlling interest of subsidiary	-	(18)
Shares issued on exercise of employee stock options	6	5
Other payments	(538)	(736)
Net cash used in financing activities	(24,161)	(17,504)
Net increase / (decrease) in cash and cash equivalents	9,587	2,697
Effect of exchange rate changes on cash and cash equivalents	82	(84)
Cash and cash equivalents at the beginning of the period	14,786	12,173
Cash and cash equivalents at the end of the period	24,455	14,786
Supplementary information:		
Restricted cash balance	424	348

The disclosure is an extract of the audited Consolidated Statement of Cash flows for the year ended March 31, 2025 and March 31, 2024 prepared in compliance with Indian Accounting Standard (Ind AS) 34 Interim Financial Reporting.

5. Segment reporting (Consolidated - Audited)

(in ₹ crore)

Particulars	Quarter ended March 31,	Quarter ended December 31,	Quarter ended March 31,	Year ended March 31,	
	2025	2024	2024	2025	2024
Revenue by business segment					
Financial Services ⁽¹⁾	11,614	11,589	10,010	45,175	42,158
Retail ⁽²⁾	5,440	5,746	5,429	22,059	22,504
Communication ⁽³⁾	4,798	4,688	4,666	19,108	17,991
Energy, Utilities, Resources and Services	5,308	5,635	5,068	21,710	20,035
Manufacturing	6,527	6,479	5,589	25,207	22,298
Hi-Tech	3,397	3,279	3,316	13,090	12,411
Life Sciences ⁽⁴⁾	2,765	3,195	2,762	11,831	11,515
All other segments ⁽⁵⁾	1,076	1,153	1,083	4,810	4,758
Total	40,925	41,764	37,923	162,990	153,670
Less: Inter-segment revenue	-	-	-	-	-
Net revenue from operations	40,925	41,764	37,923	162,990	153,670
Segment profit before tax, depreciation and non-controlling interests:					
Financial Services ⁽¹⁾	2,948	2,679	1,941	11,099	9,324
Retail ⁽²⁾	1,640	1,975	1,864	7,133	6,882
Communication ⁽³⁾	836	818	810	3,341	3,688
Energy, Utilities, Resources and Services	1,577	1,528	1,431	6,097	5,523
Manufacturing	1,196	1,357	1,081	4,856	4,197
Hi-Tech	795	816	803	3,220	3,153
Life Sciences ⁽⁴⁾	617	819	632	2,663	2,898
All other segments ⁽⁵⁾	265	123	222	827	760
Total	9,874	10,115	8,784	39,236	36,425
Less: Other Unallocable expenditure	1,299	1,203	1,163	4,812	4,678
Add: Unallocable other income	1,190	859	2,729	3,600	4,711
Less: Finance cost	102	101	110	416	470
Profit before tax and non-controlling interests	9,663	9,670	10,240	37,608	35,988

⁽¹⁾ Financial Services include enterprises in Financial Services and Insurance

⁽²⁾ Retail includes enterprises in Retail, Consumer Packaged Goods and Logistics

⁽³⁾ Communication includes enterprises in Communication, Telecom OEM and Media

⁽⁴⁾ Life Sciences includes enterprises in Life sciences and Health care

⁽⁵⁾ All other segments include operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services

Notes on segment information

Business segments

Based on the "management approach" as defined in Ind-AS 108 - Operating Segments, the Chief Operating Decision Maker evaluates the Group's performance and allocates resources based on an analysis of various performance indicators by business segments. Accordingly, information has been presented along these business segments. The accounting principles used in the preparation of the financial statements are consistently applied to record revenue and expenditure in individual segments.

Segmental capital employed

Assets and liabilities used in the Group's business are not identified to any of the reportable segments, as these are used interchangeably between segments. The Management believes that it is currently not practicable to provide segment disclosures relating to total assets and liabilities since a meaningful segregation of the available data is onerous.

6. Audited financial results of Infosys Limited (Standalone Information)

(in ₹ crore)

Particulars	Quarter ended March 31,	Quarter ended December 31,	Quarter ended March 31,	Year ended March 31,	
	2025	2024	2024	2025	2024
Revenue from operations	34,136	34,915	32,001	136,592	128,933
Profit before tax	9,061	8,844	10,414	35,441	35,953
Profit for the period	6,628	6,358	8,480	25,568	27,234

The audited results of Infosys Limited for the above mentioned periods are available on our website, www.infosys.com and on the Stock Exchange website www.nseindia.com and www.bseindia.com. The information above has been extracted from the audited interim standalone financial statements as stated.

By order of the Board
for Infosys Limited



Salil Parekh

Chief Executive Officer and Managing Director

Bengaluru, India

April 17, 2025

The Board has also taken on record the consolidated results of Infosys Limited and its subsidiaries for the quarter and year ended March 31, 2025, prepared as per International Financial Reporting Standards (IFRS) and reported in US dollars. A summary of the financial statements is as follows:

(in US\$ million, except per equity share data)

Particulars	Quarter ended March 31,	Quarter ended December 31,	Quarter ended March 31,	Year ended March 31,	
	2025	2024	2024	2025	2024
	Audited	Audited	Audited	Audited	Audited
Revenues	4,730	4,939	4,564	19,277	18,562
Cost of sales	3,302	3,444	3,219	13,405	12,975
Gross profit	1,428	1,495	1,345	5,872	5,587
Operating expenses	436	442	428	1,801	1,753
Operating profit	992	1,053	917	4,071	3,834
Other income, net	137	102	328	425	568
Finance cost	12	12	13	49	56
Profit before income taxes	1,117	1,143	1,232	4,447	4,346
Income tax expense	303	337	273	1,285	1,177
Net profit	814	806	959	3,162	3,169
Earnings per equity share *					
Basic	0.20	0.19	0.23	0.76	0.77
Diluted	0.20	0.19	0.23	0.76	0.76
Total assets	17,419	16,291	16,523	17,419	16,523
Cash and cash equivalents and current investments	4,321	3,596	3,321	4,321	3,321

* EPS is not annualized for the quarter ended March 31, 2025, quarter ended December 31, 2024 and quarter ended March 31, 2024.

Certain statements in this release concerning our future growth prospects, our future financial or operating performance, the McCamish cybersecurity incident and the related review and notification process are forward looking statements intended to qualify for the 'safe harbor' under the Private Securities Litigation Reform Act of 1995, which involve a number of risks and uncertainties that could cause actual results or outcomes to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding the execution of our business strategy, increased competition for talent, our ability to attract and retain personnel, increase in wages, investments to reskill our employees, our ability to effectively implement a hybrid working model, economic uncertainties and geo-political situations, technological disruptions and innovations such as Generative AI, the complex and evolving regulatory landscape including immigration regulation changes, our ESG vision, our capital allocation policy and expectations concerning our market position, future operations, margins, profitability, liquidity, capital resources, our corporate actions including acquisitions, the amount of any additional costs, including indemnities or damages or claims, resulting directly or indirectly from the McCamish cybersecurity incident and the outcome and effect of pending litigation. Important factors that may cause actual results or outcomes to differ from those implied by the forward-looking statements are discussed in more detail in our US Securities and Exchange Commission filings including our Annual Report on Form 20-F for the fiscal year ended March 31, 2024. These filings are available at <https://www.sec.gov/>. Infosys may, from time to time, make additional written and oral forward-looking statements, including statements contained in the Company's filings with the Securities and Exchange Commission and our reports to shareholders. The Company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the Company unless it is required by law.

Infosys Limited

CIN: L85110KA1981PLC013115

Regd. Office: Electronics City, Hosur Road, Bengaluru – 560 100, India.

Website: www.infosys.com; Email: investors@infosys.com; Telephone: 91 80 2852 0261; Fax: 91 80 2852 0362

**Statement of Audited results of Infosys Limited for the quarter and year ended March 31, 2025
prepared in compliance with the Indian Accounting Standards (Ind-AS)**

(in ₹ crore, except per equity share data)

Particulars	Quarter ended March 31,	Quarter ended December 31,	Quarter ended March 31,	Year ended March 31,	
	2025	2024	2024	2025	2024
	Audited	Audited	Audited	Audited	Audited
Revenue from operations	34,136	34,915	32,001	136,592	128,933
Other income, net (refer note 1(c))	1,323	1,001	3,483	4,782	7,417
Total income	35,459	35,916	35,484	141,374	136,350
Expenses					
Employee benefit expenses	17,259	16,849	16,047	67,466	65,139
Cost of technical sub-contractors	4,941	4,829	4,648	19,353	18,638
Travel expenses	413	329	371	1,467	1,372
Cost of software packages and others	2,142	2,977	2,098	9,617	6,891
Communication expenses	104	115	109	448	489
Consultancy and professional charges	358	322	287	1,245	1,059
Depreciation and amortization expense	590	661	722	2,619	2,944
Finance cost	51	50	62	221	277
Other expenses	540	940	726	3,497	3,588
Total expenses	26,398	27,072	25,070	105,933	100,397
Profit before tax	9,061	8,844	10,414	35,441	35,953
Tax expense: (refer note 1(b))					
Current tax	2,408	2,785	830	10,836	7,306
Deferred tax	25	(299)	1,104	(963)	1,413
Profit for the period	6,628	6,358	8,480	25,568	27,234
Other comprehensive income					
<i>Items that will not be reclassified subsequently to profit or loss</i>					
Remeasurement of the net defined benefit liability / asset, net	(144)	(37)	36	(81)	128
Equity instruments through other comprehensive income, net	30	(16)	(12)	19	19
<i>Items that will be reclassified subsequently to profit or loss</i>					
Fair value changes on derivatives designated as cash flow hedges, net	(57)	57	28	(24)	11
Fair value changes on investments, net	63	9	34	191	129
Total other comprehensive income/ (loss), net of tax	(108)	13	86	105	287
Total comprehensive income for the period	6,520	6,371	8,566	25,673	27,521
Paid-up share capital (par value ₹5/- each fully paid)	2,076	2,076	2,075	2,076	2,075
Other Equity*	85,256	79,101	79,101	85,256	79,101
Earnings per equity share (par value ₹5 /- each)**					
Basic (in ₹ per share)	15.96	15.31	20.43	61.58	65.62
Diluted (in ₹ per share)	15.93	15.29	20.41	61.46	65.56

* Balances for the quarter ended December 31, 2024 represent balances as per the audited Balance Sheet as at March 31, 2024 as required by SEBI (Listing and Other Disclosure Requirements) Regulations, 2015

** EPS is not annualized for the quarter ended March 31, 2025, quarter ended December 31, 2024 and quarter ended March 31, 2024.

1. Notes

a) The audited interim condensed standalone financial statements for the quarter and year ended March 31, 2025 have been taken on record by the Board of Directors at its meeting held on April 17, 2025. **The statutory auditors, Deloitte Haskins & Sells LLP have expressed an unmodified audit opinion.** The information presented above is extracted from the audited interim condensed standalone financial statements. These interim condensed standalone financial statements are prepared in accordance with the Indian Accounting Standards (Ind-AS) as prescribed under Section 133 of the Companies Act, 2013 read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 and relevant amendment rules thereafter.

b) Update on orders received from the Indian Income tax department

During the quarter ending March 31, 2025, the Company received orders under section 250 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2016-17 and 2019-20. These orders confirmed the Company's position with respect to tax treatment of certain disputed matters. As a result interest income (pre-tax) of ₹327 crore (included in other income as mentioned in point (c) below) was recognised and provision for income tax aggregating ₹183 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,068 crore has been reduced from contingent liabilities.

c) Other income includes interest on income tax refund of ₹327 crore and ₹1,934 crore for the quarter ended March 31, 2025 and March 31, 2024 respectively, ₹340 crore and ₹1,936 crore for the year ended March 31, 2025 and March 31, 2024 respectively, and less than a crore for the quarter ended December 31, 2024.

d) Update on employee stock grants

i) Grants to CEO & MD

The Board, on April 17, 2025, based on the recommendations of the Nomination and Remuneration Committee, approved the following annual grants to Salil Parekh, CEO and MD as per his employment agreement approved by shareholders:

- i) The grant of annual performance-based stock incentives (Annual Performance Equity Grant) in the form of Restricted Stock Units (RSU's) covering Company's equity shares having a market value of ₹34.75 crore as on the date of the grant under the 2015 Stock Incentive Compensation Plan (2015 plan) which shall vest 12 months from the date of grant subject to achievement of performance targets as determined by the Board.
- ii) The grant of annual performance-based stock incentives (Annual performance equity ESG grant) in the form of RSU's covering Company's equity shares having a market value of ₹2 crore as on the date of the grant under the 2015 Plan, which shall vest 12 months from the date of the grant subject to the Company's achievement of certain environment, social and governance milestones as determined by the Board.
- iii) The grant of annual performance-based stock incentives (Annual performance Equity TSR grant) in the form of RSU's covering Company's equity shares having a market value of ₹5 crore as on the date of the grant under the 2015 Plan, which shall vest on or after March 31, 2027 subject to the Company's performance on cumulative relative TSR for the two year cumulative period and as determined by the Board.
- iv) The grant of annual performance-based stock incentives (2019 Annual Performance Equity Grant) in the form of Restricted Stock Units (RSU's) covering Company's equity shares having a market value of ₹10 crore as on the date of the grant under the Infosys Expanded Stock Ownership Program-2019 (2019 Plan), which shall vest 12 months from the date of the grant subject to the Company's achievement of certain performance criteria as laid out in the 2019 Plan.

The above RSUs will be granted w.e.f May 2, 2025 and the number of RSU's will be calculated based on the market price at the close of trading on May 2, 2025.

ii) Grants to other employees

The Board, on April 17, 2025, based on the recommendations of the Nomination and Remuneration Committee, approved grant of 5,000 RSUs to eligible employees under the 2015 Plan w.e.f May 2, 2025. The RSUs would vest equally over a period of four years and the exercise price will be equal to the par value of the share.

2. Information on dividends for the quarter and year ended March 31, 2025

For financial year 2025, the Board recommended a final dividend of 22/- (par value of ₹5/- each) per equity share. This payment is subject to the approval of shareholders in the Annual General Meeting (AGM) of the Company to be held on June 25, 2025. The record date for the purpose of the payment of final dividend is May 30, 2025. The dividend will be paid on June 30, 2025.

For the financial year ended 2024, the Company declared a final dividend of ₹20/- (par value of ₹5/- each) per equity share and additionally a special dividend of ₹8/- (par value of ₹5/- each) per equity share.

The Board of Directors (in the meeting held on October 17, 2024) declared an interim dividend of ₹21/- per equity share. The record date for the payment was October 29, 2024 and the same was paid on November 8, 2024. The interim dividend declared in the previous year was ₹18/- per equity share.

Particulars	(in ₹)				
	Quarter ended March 31,	Quarter ended December 31,	Quarter ended March 31,	Year ended March 31,	
	2025	2024	2024	2025	2024
Dividend per share (par value ₹5/- each)					
Interim dividend	-	-	-	21.00	18.00
Final dividend	22.00	-	20.00	22.00	20.00
Special dividend	-	-	8.00	-	8.00

3. Audited Standalone Balance Sheet

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
ASSETS		
Non-current assets		
Property, plant and equipment	10,070	10,813
Right of use assets	3,078	3,303
Capital work-in-progress	778	277
Goodwill	211	211
Financial assets		
Investments	27,371	23,352
Loans	26	34
Other financial assets	2,350	1,756
Deferred tax assets (net)	497	-
Income tax assets (net)	1,164	2,583
Other non-current assets	2,223	1,669
Total non-current assets	47,768	43,998
Current assets		
Financial assets		
Investments	11,147	11,307
Trade receivables	26,413	25,152
Cash and cash equivalents	14,265	8,191
Loans	207	208
Other financial assets	12,569	10,129
Income tax assets (net)	2,949	6,329
Other current assets	9,618	9,636
Total current assets	77,168	70,952
Total assets	124,936	114,950
EQUITY AND LIABILITIES		
Equity		
Equity share capital	2,076	2,075
Other equity	85,256	79,101
Total equity	87,332	81,176
LIABILITIES		
Non-current liabilities		
Financial liabilities		
Lease liabilities	2,694	3,088
Other financial liabilities	1,991	1,941
Deferred tax liabilities (net)	1,062	1,509
Other non-current liabilities	95	150
Total non - current liabilities	5,842	6,688
Current liabilities		
Financial liabilities		
Lease liabilities	765	678
Trade payables		
Total outstanding dues of micro enterprises and small enterprises	8	92
Total outstanding dues of creditors other than micro enterprises and small enterprises	2,720	2,401
Other financial liabilities	14,101	11,808
Other current liabilities	9,159	7,681
Provisions	993	1,464
Income tax liabilities (net)	4,016	2,962
Total current liabilities	31,762	27,086
Total equity and liabilities	124,936	114,950

The disclosure is an extract of the audited Balance Sheet as at March 31, 2025 and March 31, 2024 prepared in compliance with the Indian Accounting Standards (Ind-AS).

4. Audited Standalone Statement of Cash flows

(In ₹ crore)

Particulars	Year ended March 31,	
	2025	2024
Cash flow from operating activities:		
Profit for the year	25,568	27,234
Adjustments to reconcile net profit to net cash provided by operating activities:		
Depreciation and amortization	2,619	2,944
Income tax expense	9,873	8,719
Impairment loss recognized / (reversed) under expected credit loss model	(7)	130
Finance cost	221	277
Interest and dividend income	(3,699)	(4,670)
Stock compensation expense	712	575
Provision for post sale client support	(114)	77
Exchange differences on translation of assets and liabilities, net	170	63
Interest receivable on income tax refund	(327)	(1,934)
Other adjustments	165	235
Changes in assets and liabilities		
Trade receivables and unbilled revenue	(2,994)	(2,933)
Loans, other financial assets and other assets	(1,942)	(1,645)
Trade payables	236	67
Other financial liabilities, other liabilities and provisions	3,529	(117)
Cash generated from operations	34,010	29,022
Income taxes paid	(4,601)	(8,235)
Net cash generated by operating activities	29,409	20,787
Cash flow from investing activities:		
Expenditure on property, plant and equipment	(1,587)	(1,832)
Deposits placed with corporation	(1,026)	(688)
Redemption of deposits placed with corporation	593	522
Interest and dividend received	1,672	1,441
Dividend received from subsidiary	1,522	2,976
Loan given to subsidiaries	(10)	-
Loan repaid by subsidiaries	-	4
Investment in subsidiaries	(4,361)	(63)
Payment towards acquisition of entities	(184)	-
Receipt / (payment) towards business transfer for entities under common control	-	35
Receipt / (payment) from entities under liquidation	-	80
Other receipts	2	123
Payments to acquire investments		
Liquid mutual fund units	(66,637)	(57,606)
Commercial Papers	(6,058)	(9,405)
Certificates of deposit	(6,138)	(7,011)
Non-convertible debentures	(3,240)	(1,526)
Other investments	(25)	(2)
Proceeds on sale of investments		
Tax free bonds and government bonds	105	150
Liquid mutual fund units	67,597	56,124
Non-convertible debentures	2,376	955
Certificates of deposit	5,984	6,962
Commercial Papers	7,260	5,475
Government Securities	200	5
Other investments	12	20
Net cash used in investing activities	(1,943)	(3,261)
Cash flow from financing activities:		
Payment of lease liabilities	(859)	(850)
Shares issued on exercise of employee stock options	3	1
Other payments	(186)	(243)
Payment of dividends	(20,337)	(14,733)
Net cash used in financing activities	(21,379)	(15,825)
Net increase / (decrease) in cash and cash equivalents	6,087	1,701
Effect of exchange differences on translation of foreign currency cash and cash equivalents	(13)	(44)
Cash and cash equivalents at the beginning of the period	8,191	6,534
Cash and cash equivalents at the end of the period	14,265	8,191
Supplementary information:		
Restricted cash balance	45	44

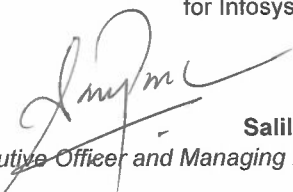
The disclosure is an extract of the audited Statement of Cash flows for the year ended March 31, 2025 and March 31, 2024 prepared in compliance with Indian Accounting Standard (Ind AS) 34 Interim Financial Reporting.

5. Segment Reporting

The Company publishes standalone financial statements along with the consolidated financial statements. In accordance with Ind AS 108, Operating Segments, the Company has disclosed the segment information in the audited interim consolidated financial statements. Accordingly, the segment information is given in the audited consolidated financial results of Infosys Limited and its subsidiaries for the quarter and year ended March 31, 2025.

Bengaluru, India
April 17, 2025

By order of the Board
for Infosys Limited


Salil Parekh
Chief Executive Officer and Managing Director

Certain statements in this release concerning our future growth prospects, our future financial or operating performance, the McCamish cybersecurity incident and the related review and notification process are forward looking statements intended to qualify for the 'safe harbor' under the Private Securities Litigation Reform Act of 1995, which involve a number of risks and uncertainties that could cause actual results or outcomes to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding the execution of our business strategy, increased competition for talent, our ability to attract and retain personnel, increase in wages, investments to reskill our employees, our ability to effectively implement a hybrid working model, economic uncertainties and geo-political situations, technological disruptions and innovations such as Generative AI, the complex and evolving regulatory landscape including immigration regulation changes, our ESG vision, our capital allocation policy and expectations concerning our market position, future operations, margins, profitability, liquidity, capital resources, our corporate actions including acquisitions, the amount of any additional costs, including indemnities or damages or claims, resulting directly or indirectly from the McCamish cybersecurity incident and the outcome and effect of pending litigation. Important factors that may cause actual results or outcomes to differ from those implied by the forward-looking statements are discussed in more detail in our US Securities and Exchange Commission filings including our Annual Report on Form 20-F for the fiscal year ended March 31, 2024. These filings are available at <https://www.sec.gov/>. Infosys may, from time to time, make additional written and oral forward-looking statements, including statements contained in the Company's filings with the Securities and Exchange Commission and our reports to shareholders. The Company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the Company unless it is required by law.

Growth of 4.2% in CC, operating margin expansion of 0.5% in FY25

Highest ever Free Cash Flow at \$4.1 billion for FY25

FY26 revenue guidance at 0%-3% and operating margin at 20%-22%

Bengaluru, India – April 17, 2025: Infosys (NSE, BSE, NYSE: INFY), a global leader in next-generation digital services and consulting, delivered \$19,277 million in FY25 revenues, growth of 4.2% in constant currency. Operating margin was at 21.1%, expansion of 0.5% year on year. Free cash flow was the highest ever at \$4,088 million, an increase of 41.8% year on year. TCV of large deal wins was \$11.6 billion for the year, with 56% net new.

Q4 revenues were \$4,730 million, an increase of 4.8% year on year in constant currency and 3.6% in reported terms. Operating margin was at 21.0%, an increase of 0.9% year on year.

"We have built a resilient organization with sharp focus on client-centricity and responsiveness to the market, thanks to the trust of our clients and dedication of our employees. Our performance for the year has been robust in terms of revenues, expansion in operating margins and highest ever free cash generation", said **Salil Parekh, CEO and MD**. "Our depth in AI, cloud and digital and strength in cost efficiency, automation, and consolidation position us well for the needs of our clients", **he added**.

4.2% FY 4.8% Q4 YoY CC Growth	21.1% FY 21.0% Q4 Operating Margin 0.5% Increase in FY	8.3% FY 10.1% Q4 EPS Increase (₹ terms)*	\$11.6 Bn FY \$2.6 Bn Q4 Large Deal TCV	\$4.1 Bn FY \$0.9 Bn Q4 Free Cash Flow
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Guidance for FY26:

- Revenue growth of 0%-3% in constant currency
- Operating margin of 20%-22%

Key highlights:

For the quarter ended March 31, 2025	For the year ended March 31, 2025
• Revenues in CC terms grew by 4.8% YoY and declined by 3.5% QoQ • Reported revenues at ₹40,925 crore, growth of 7.9% YoY • Operating margin at 21.0%, increase of 0.9% YoY and decline of 0.3% QoQ • Basic EPS at ₹16.98, decline of 11.8% YoY • FCF at ₹7,737 crore, growth of 10.0% YoY; FCF conversion at 109.9% of net profit	• Revenues in CC terms grew by 4.2% YoY • Reported revenues at ₹162,990 crore, growth of 6.1% YoY • Operating margin at 21.1%, growth of 0.5% YoY • Basic EPS at ₹64.50, growth of 1.8% YoY • FCF at ₹34,549 crore, growth of 44.8% YoY; FCF conversion at 129.2% of net profit

"FY25 operating margins expanded by 0.5% which reflects our relentless focus on identifying opportunities for efficiency and executing Project Maximus with discipline, after navigating through multiple headwinds in a challenging macro environment. We delivered the highest ever free cash flows in the history of the company in FY25," said **Jayesh Sanghrajka, CFO**. The Board has proposed a final dividend of ₹22, which along with the interim dividend, is an increase of 13.2% over last year." **he added**.

*EPS Increase post normalization of Income Tax refunds

1. Client wins & Testimonials

- Infosys announced the expansion of its long-standing strategic collaboration with Citizens to Propel AI-led Transformation. **Michael Rutledge, Chief Information Officer, Citizens Financial Group**, said, "Infosys has been a key strategic collaborator in Citizens' next-gen transformation program for the last five years. Together, we have not only modernized our technology landscape with domain-centric, cloud native platforms but also built a foundation for future growth aligned with Citizens' north star technology vision without losing focus on resiliency and stability."
- Infosys announced the expansion of its collaboration with Siemens AG to accelerate Siemens AG digital learning initiatives with generative AI. **Jenny Lin, Global Head of Learning & Growth at Siemens AG**, said, "A thriving learning and growth environment is essential for Siemens to maintain our competitive edge and foster innovation. By providing our people with the tools, resources, and support they need to continuously develop their skills, we empower our people to meet the challenges of the future. Infosys' expertise in digital transformation and AI is very valuable in creating a more engaging and effective learning experience for everyone. By leveraging GenAI on Siemens' digital learning platform we can foster a culture of lifelong learning and empower our teams to reach their full potential."
- Infosys announced a strategic, long-term collaboration with Lufthansa Group (LHG) and Lufthansa Systems GmbH (LSY) to accelerate digital transformation and drive innovation in the aviation industry. **Thomas Wittmann – CEO, Lufthansa Systems**, said, "At Lufthansa Systems, we champion a modular approach to solutions and collaborations, ensuring adaptability and tailoring to the unique needs of each airline. This principle extends perfectly to our collaboration with Infosys. By combining our deep aviation expertise with Infosys's global technology prowess and establishing a dedicated Global Capability Center (GCC), we are not only enhancing our one-stop-shop offerings but also accelerating the pace of digital innovation across the aviation industry. This collaboration empowers us to deliver cutting-edge solutions with greater agility and scale, ultimately benefiting our airline customers with more efficient, innovative, and cost-effective technologies."
- Infosys announced a successful collaboration with LKQ Europe to adopt a unified, cloud-based digital platform to streamline its HR processes across 18 countries, leveraging Infosys Cobalt. **David Brookfield, Vice President, Human Resources, LKQ Europe**, said, "Our collaboration with Infosys is a crucial step in helping us harmonize and simplify our wider business processes – ultimately enabling faster delivery and better service for our end customers. Through the platform, we will unify our HR processes across locations to drive efficiency and enhance regulatory compliance. Looking ahead, we believe this platform will empower our workforce and foster a more cohesive organizational culture, enabling us to continue leading the automotive aftermarket industry."
- Infosys announced the launch of its open-source Responsible AI Toolkit designed to help enterprises innovate responsibly while addressing the challenges and risks associated with ethical AI adoption. **Sunil Abraham, Public Policy Director - Data Economy and Emerging Tech, Meta**, said, "We congratulate Infosys on launching an openly available Responsible AI Toolkit, which will contribute to advancing safe and responsible AI through open innovation. Open-source code and open datasets is essential to empower a broad spectrum of AI innovators, builders, and adopters with the information and tools needed to harness the advancements in ways that prioritize safety, diversity, economic opportunity and benefits to all."

- Infosys announced a strategic collaboration with Ontex Group N.V. to drive their ERP transformation. **Jeroen Dejonckheere, VP Business Transformation, Ontex**, said "We are excited to collaborate with Infosys on our business transformation journey for modernising our ERP systems to SAP S/4HANA. We also look forward to leveraging Infosys Topaz and embrace the power of AI for our enterprise growth. This will be a significant step forward for us to deliver exceptional experiences for our employees, suppliers, and customers."

2. Recognitions & Awards

Brand

- Recognized as one of the World's Most Ethical Companies in 2025 for the fifth consecutive year by Ethisphere
- Recognized as the Global Top Employer 2025 for the fifth consecutive year by the Top Employers Institute
- Recognized as a Top 3 IT services brand and the fastest growing IT services brand globally in the Brand Finance Global 500 2025 report
- Featured in 2025 LinkedIn's Top Companies list in India, US, and Canada

AI and Cloud Services

- Positioned as a leader in The Forrester Wave™: Application Modernization and Multicloud Managed Services, Q1 2025
- Rated as a leader in IDC MarketScape: EMEA Industry Cloud Professional Services 2024-2025 Vendor Assessment
- Recognized as leader in ISG Intelligent Automation - Services 2024 Provider lens™ study in US and Europe
- Recognized as leader in ISG Advanced Analytics and AI Services 2024 Provider lens™ study in US and Europe
- Recognized as leader in ISG Oracle Cloud and Technology Ecosystem 2024 Provider lens™ study in US, APAC and Europe

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- Rated as a leader in Custom Application Development Services PEAK Matrix® Assessment 2025 by Everest Group
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- Positioned as a leader in Constellation ShortList™: Cybersecurity Services
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- Recognized as leader in ISG Mainframe Services 2025 Provider lens™ study in US, Europe, and US Public Services
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Industry & Solutions

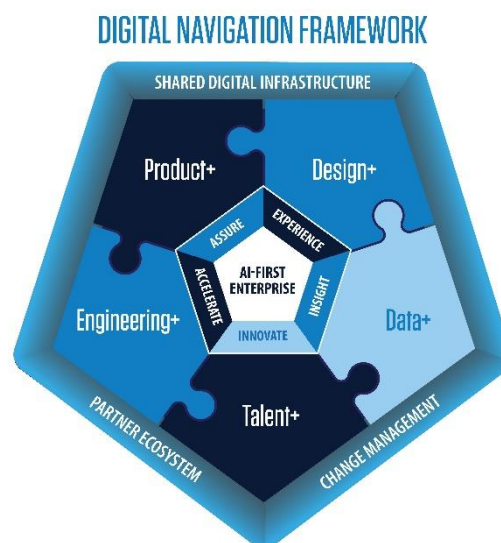
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- Infosys Finacle alongside its clients Newcastle Permanent (NP), Union Bank of Philippines, and Axis Bank received recognition at the Retail Banker International Asia Trailblazer Awards 2025 for Best Partnership for Customer Experience (with NP), Best Open Banking Initiative (with Union Bank of Philippines), and Best Strategic Partnership (with Axis Bank)
- Infosys Finacle alongside its clients Zand Bank, Emirates NBD, Union Bank of Philippines, and Arab National Bank received recognition at the Global Business Magazine Winners 2025 for Best Digital-First Bank UAE 2025 (Zand Bank), Best Cloud-Based Core Banking Implementation Saudi Arabia 2025 (Emirates NBD), Best Customer Experience Innovation Philippines 2025 (Union Bank of Philippines), and Outstanding Digital Banking Transformation Saudi Arabia 2025 (Arab National Bank)
- Infosys Finacle recognized as a leader in the 2025 Gartner® Magic Quadrant™ for Retail Core Banking Systems, Europe
- Infosys BPM received the SSON North America Impact Awards 2025 with T-Mobile in the 'Customer Centricity' category

Read more about our Awards & Recognitions [here](#).

About Infosys

Infosys is a global leader in next-generation digital services and consulting. Over 300,000 of our people work to amplify human potential and create the next opportunity for people, businesses and communities. We enable clients in more than 56 countries to navigate their digital transformation. With over four decades of experience in managing the systems and workings of global enterprises, we expertly steer clients, as they navigate their digital transformation powered by the cloud. We enable them with an AI-powered core, empower the business with agile digital at scale and drive continuous improvement with always-on learning through the transfer of digital skills, expertise, and ideas from our innovation ecosystem. We are deeply committed to being a well-governed, environmentally sustainable organization where diverse talent thrives in an inclusive workplace.

Visit www.infosys.com to see how Infosys (NSE, BSE, NYSE: INFY) can help your enterprise navigate your next.



Safe Harbor

Certain statements in this release concerning our future growth prospects, our future financial or operating performance, the McCamish cybersecurity incident are forward looking statements intended to qualify for the 'safe harbor' under the Private Securities Litigation Reform Act of 1995, which involve a number of risks and uncertainties that could cause actual results or outcomes to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding the execution of our business strategy, increased competition for talent, our ability to attract and retain personnel, increase in wages, investments to reskill our employees, our ability to effectively implement a hybrid working model, economic uncertainties and geo-political situations, technological disruptions and innovations such as Generative AI, the complex and evolving regulatory landscape including immigration regulation changes, our ESG vision, our capital allocation policy and expectations concerning our market position, future operations, margins, profitability, liquidity, capital resources, our corporate actions including acquisitions, the amount of any additional costs, including indemnities or damages or claims, resulting directly or indirectly from the McCamish cybersecurity incident and the outcome and effect of related litigation. Important factors that may cause actual results or outcomes to differ from those implied by the forward-looking statements are discussed in more detail in our US Securities and Exchange Commission filings including our Annual Report on Form 20-F for the fiscal year ended March 31, 2024. These filings are available at <https://www.sec.gov/>. Infosys may, from time to time, make additional written and oral forward-looking statements, including statements contained in the Company's filings with the Securities and Exchange Commission and our reports to shareholders. The Company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the Company unless it is required by law.

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Infosys Limited and subsidiaries

Extracted from the Condensed Consolidated Balance Sheet under IFRS as at:

(in ₹ crore)

	March 31, 2025	March 31, 2024
ASSETS		
Current assets		
Cash and cash equivalents	24,455	14,786
Current investments	12,482	12,915
Trade receivables	31,158	30,193
Unbilled revenue	12,851	12,768
Other current assets	16,153	18,770
Total current assets	97,099	89,432
Non-current assets		
Property, plant and equipment and Right-of-use assets	19,111	19,370
Goodwill and other Intangible assets	12,872	8,700
Non-current investments	11,059	11,708
Unbilled revenue	2,232	1,780
Other non-current assets	6,530	6,824
Total non-current assets	51,804	48,382
Total assets	148,903	137,814
LIABILITIES AND EQUITY		
Current liabilities		
Trade payables	4,164	3,956
Unearned revenue	8,492	7,341
Employee benefit obligations	2,908	2,622
Other current liabilities and provisions	27,286	24,875
Total current liabilities	42,850	38,794
Non-current liabilities		
Lease liabilities	5,772	6,400
Other non-current liabilities	4,078	4,159
Total non-current liabilities	9,850	10,559
Total liabilities	52,700	49,353
Total equity attributable to equity holders of the company	95,818	88,116
Non-controlling interests	385	345
Total equity	96,203	88,461
Total liabilities and equity	148,903	137,814

Extracted from the Condensed Consolidated statement of Comprehensive Income under IFRS for:

(in ₹ crore except per equity share data)

	3 months ended March 31, 2025	3 months ended March 31, 2024	Year ended March 31, 2025	Year ended March 31, 2024
Revenues	40,925	37,923	162,990	153,670
Cost of sales	28,575	26,748	113,347	107,413
Gross profit	12,350	11,175	49,643	46,257
Operating expenses:				
Selling and marketing expenses	1,957	1,735	7,588	6,973
Administrative expenses	1,818	1,819	7,631	7,537
Total operating expenses	3,775	3,554	15,219	14,510
Operating profit	8,575	7,621	34,424	31,747
Other income, net ⁽³⁾⁽⁴⁾	1,088	2,619	3,184	4,241
Profit before income taxes	9,663	10,240	37,608	35,988
Income tax expense	2,625	2,265	10,858	9,740
Net profit (before minority interest)	7,038	7,975	26,750	26,248
Net profit (after minority interest)	7,033	7,969	26,713	26,233
Basic EPS (₹) ⁽⁴⁾	16.98	19.25	64.50	63.39
Diluted EPS (₹) ⁽⁴⁾	16.94	19.22	64.34	63.29

NOTES:

1. *The above information is extracted from the audited condensed consolidated Balance sheet and Statement of Comprehensive Income for the quarter and year ended March 31, 2025, which have been taken on record at the Board meeting held on April 17, 2025.*
2. *A Fact Sheet providing the operating metrics of the Company can be downloaded from www.infosys.com.*
3. *Other income is net of Finance Cost.*
4. *Includes interest income (pre-tax) of ₹327 crores and reversal of net tax provisions amounting to ₹101 crores for FY'25 and interest income (pre-tax) of ₹1,933 crores and reversal of net tax provisions amounting to ₹38 crores for FY'24 on account of orders received under sections 250 & 254 of the Income Tax Act, 1961, from the Income Tax Authorities in India for certain assessment years. This has resulted in a positive impact on the consolidated Basic and Diluted EPS by approximately ₹1.03 for the quarter and year ended March 31, 2025 and ₹4.76 for the quarter and year ended March 31, 2024.*
5. *As the quarter and year ended figures are taken from the source and rounded to the nearest digits, the quarter figures in this statement added up to the figures reported for the previous quarter might not always add up to the year ended figures reported in this statement.*

Growth of 4.2% in CC, operating margin expansion of 0.5% in FY25

Highest ever Free Cash Flow at \$4.1 billion for FY25

FY26 revenue guidance at 0%-3% and operating margin at 20%-22%

Bengaluru, India – April 17, 2025: Infosys (NSE, BSE, NYSE: INFY), a global leader in next-generation digital services and consulting, delivered \$19,277 million in FY25 revenues, growth of 4.2% in constant currency. Operating margin was at 21.1%, expansion of 0.5% year on year. Free cash flow was the highest ever at \$4,088 million, an increase of 41.8% year on year. TCV of large deal wins was \$11.6 billion for the year, with 56% net new.

Q4 revenues were \$4,730 million, an increase of 4.8% year on year in constant currency and 3.6% in reported terms. Operating margin was at 21.0%, an increase of 0.9% year on year.

"We have built a resilient organization with sharp focus on client-centricity and responsiveness to the market, thanks to the trust of our clients and dedication of our employees. Our performance for the year has been robust in terms of revenues, expansion in operating margins and highest ever free cash generation", said **Salil Parekh, CEO and MD**. "Our depth in AI, cloud and digital and strength in cost efficiency, automation, and consolidation position us well for the needs of our clients", **he added**.

4.2% FY 4.8% Q4 YoY CC Growth	21.1% FY 21.0% Q4 Operating Margin 0.5% Increase in FY	8.3% FY 10.1% Q4 EPS Increase (₹ terms)*	\$11.6 Bn FY \$2.6 Bn Q4 Large Deal TCV	\$4.1 Bn FY \$0.9 Bn Q4 Free Cash Flow
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Guidance for FY26:

- Revenue growth of 0%-3% in constant currency
- Operating margin of 20%-22%

Key highlights:

For the quarter ended March 31, 2025	For the year ended March 31, 2025
• Revenues in CC terms grew by 4.8% YoY and declined by 3.5% QoQ • Reported revenues at \$4,730 million, growth of 3.6% YoY • Operating margin at 21.0%, increase of 0.9% YoY and decline of 0.3% QoQ • Basic EPS at \$0.20, decline of 15.2% YoY • FCF at \$892 million, growth of 5.2% YoY; FCF conversion at 109.6% of net profit	• Revenues in CC terms grew by 4.2% YoY • Reported revenues at \$19,277 million, growth of 3.9% YoY • Operating margin at 21.1%, growth of 0.5% YoY • Basic EPS at \$0.76, decline of 0.3% YoY • FCF at \$4,088 million, growth of 41.8% YoY; FCF conversion at 129.3% of net profit

"FY25 operating margins expanded by 0.5% which reflects our relentless focus on identifying opportunities for efficiency and executing Project Maximus with discipline, after navigating through multiple headwinds in a challenging macro environment. We delivered the highest ever free cash flows in the history of the company in FY25," said **Jayesh Sanghrajka, CFO**. The Board has proposed a final dividend of ₹22, which along with the interim dividend, is an increase of 13.2% over last year." **he added**.

*EPS Increase post normalization of Income Tax refunds

1. Client wins & Testimonials

- Infosys announced the expansion of its long-standing strategic collaboration with Citizens to Propel AI-led Transformation. **Michael Rutledge, Chief Information Officer, Citizens Financial Group**, said, "Infosys has been a key strategic collaborator in Citizens' next-gen transformation program for the last five years. Together, we have not only modernized our technology landscape with domain-centric, cloud native platforms but also built a foundation for future growth aligned with Citizens' north star technology vision without losing focus on resiliency and stability."
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2. Recognitions & Awards

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Industry & Solutions

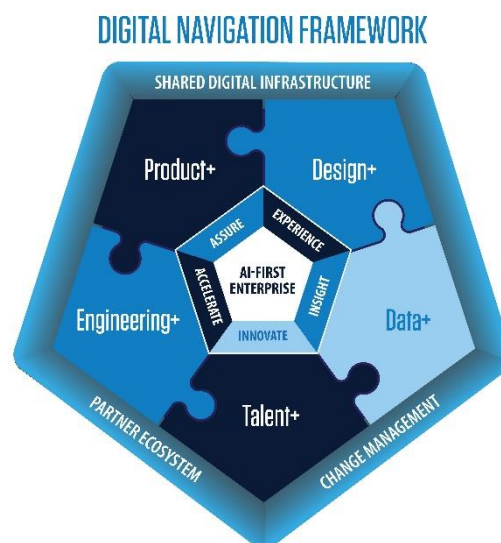
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Infosys Limited and subsidiaries

Extracted from the Condensed Consolidated Balance Sheet under IFRS as at:

(Dollars in millions)

	March 31, 2025	March 31, 2024
ASSETS		
Current assets		
Cash and cash equivalents	2,861	1,773
Current investments	1,460	1,548
Trade receivables	3,645	3,620
Unbilled revenue	1,503	1,531
Other current assets	1,890	2,250
Total current assets	11,359	10,722
Non-current assets		
Property, plant and equipment and Right-of-use assets	2,235	2,323
Goodwill and other Intangible assets	1,505	1,042
Non-current investments	1,294	1,404
Unbilled revenue	261	213
Other non-current assets	765	819
Total non-current assets	6,060	5,801
Total assets	17,419	16,523
LIABILITIES AND EQUITY		
Current liabilities		
Trade payables	487	474
Unearned revenue	994	880
Employee benefit obligations	340	314
Other current liabilities and provisions	3,191	2,983
Total current liabilities	5,012	4,651
Non-current liabilities		
Lease liabilities	675	767
Other non-current liabilities	477	500
Total non-current liabilities	1,152	1,267
Total liabilities	6,164	5,918
Total equity attributable to equity holders of the company	11,205	10,559
Non-controlling interests	50	46
Total equity	11,255	10,605
Total liabilities and equity	17,419	16,523

Extracted from the Condensed Consolidated statement of Comprehensive Income under IFRS for:

(Dollars in millions except per equity share data)

	3 months ended March 31, 2025	3 months ended March 31, 2024	Year ended March 31, 2025	Year ended March 31, 2024
Revenues	4,730	4,564	19,277	18,562
Cost of sales	3,302	3,219	13,405	12,975
Gross profit	1,428	1,345	5,872	5,587
Operating expenses:				
Selling and marketing expenses	226	209	898	842
Administrative expenses	210	219	903	911
Total operating expenses	436	428	1,801	1,753
Operating profit	992	917	4,071	3,834
Other income, net ^{(3) (4)}	125	315	376	512
Profit before income taxes	1,117	1,232	4,447	4,346
Income tax expense ⁽⁴⁾	303	273	1,285	1,177
Net profit (before minority interest)	814	959	3,162	3,169
Net profit (after minority interest)	813	958	3,158	3,167
Basic EPS (\$) ⁽⁴⁾	0.20	0.23	0.76	0.77
Diluted EPS (\$) ⁽⁴⁾	0.20	0.23	0.76	0.76

NOTES:

1. *The above information is extracted from the audited condensed consolidated Balance sheet and Statement of Comprehensive Income for the quarter and year ended March 31, 2025, which have been taken on record at the Board meeting held on April 17, 2025.*
2. *A Fact Sheet providing the operating metrics of the Company can be downloaded from www.infosys.com.*
3. *Other income is net of Finance Cost.*
4. *Includes interest income (pre-tax) of \$38Mn with reversal of net tax provisions amounting to \$12Mn in FY'25 and interest income (pre-tax) of \$232Mn with reversal of net tax provisions amounting to \$5Mn in FY'24 on account of orders received under sections 250 & 254 of the Income Tax Act, 1961, from the Income Tax Authorities in India for certain assessment years. This has resulted in a positive impact on the consolidated Basic and Diluted EPS by approximately \$0.01 for the quarter and year ended March 31, 2025 and \$0.06 for the quarter and year ended March 31, 2024.*
5. *As the quarter and year ended figures are taken from the source and rounded to the nearest digits, the quarter figures in this statement added up to the figures reported for the previous quarter might not always add up to the year ended figures reported in this statement.*

INDEPENDENT AUDITOR'S REPORT

TO THE BOARD OF DIRECTORS OF INFOSYS LIMITED

Report on the Audit of the Interim Condensed Consolidated Financial Statements

Opinion

We have audited the accompanying interim condensed consolidated financial statements of **INFOSYS LIMITED** (the "Company"), and its subsidiaries (the Company and its subsidiaries together referred to as the "Group"), which comprise the Condensed Consolidated Balance Sheet as at March 31, 2025, the Condensed Consolidated Statement of Comprehensive Income for the three months and year ended on that date, the Condensed Consolidated Statement of Changes in Equity and the Condensed Consolidated Statement of Cash Flows for the year ended on that date, and notes to the financial statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as the "Interim Condensed Consolidated Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Interim Condensed Consolidated Financial Statements give a true and fair view in conformity with International Accounting Standard 34 "Interim Financial Reporting" ("IAS 34") as issued by the International Accounting Standards Board ("IASB"), of the consolidated state of affairs of the Group as at March 31, 2025, its consolidated profit and its consolidated total comprehensive income for the three months and year ended on that date, its consolidated changes in equity and its consolidated cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the Interim Condensed Consolidated Financial Statements in accordance with the Standards on Auditing ("SAs") issued by the Institute of Chartered Accountants of India ("ICAI"). Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Interim Condensed Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the ICAI, and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Interim Condensed Consolidated Financial Statements.

Responsibilities of Management and Board of Directors for the Interim Condensed Consolidated Financial Statements

The Company's Board of Directors is responsible for the preparation and presentation of these Interim Condensed Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated total comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with IAS 34 as issued by the IASB. The respective Boards of Directors of the entities included in the Group are responsible for maintenance of the adequate accounting records for safeguarding assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance

of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the respective interim financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error which have been used for the purpose of preparation of the Interim Condensed Consolidated Financial Statements by the Directors of the Company, as aforesaid.

In preparing the Interim Condensed Consolidated Financial Statements, the respective Boards of Directors of the entities included in the Group are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Boards of Directors either intend to liquidate their respective entities or to cease operations, or have no realistic alternative but to do so.

The respective Boards of Directors of the entities included in the Group are also responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Audit of the Interim Condensed Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the Interim Condensed Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Interim Condensed Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Interim Condensed Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Interim Condensed Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Interim Condensed Consolidated Financial Statements, including the disclosures, and whether the Interim Condensed Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.



- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group to express an opinion on the Interim Condensed Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the audit of financial statements of such entities included in the Interim Condensed Consolidated Financial Statements of which we are independent auditors.

Materiality is the magnitude of misstatements in the Interim Condensed Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Interim Condensed Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Interim Condensed Consolidated Financial Statements.

We communicate with those charged with governance of the Company and such other entities included in the Interim Condensed Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal financial controls that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria
Partner
(Membership No.060408)
UDIN:

Place: Bengaluru
Date: April 17, 2025

INFOSYS LIMITED AND SUBSIDIARIES

Condensed Consolidated Financial Statements under International Financial Reporting Standards (IFRS) in US Dollars for the three months and year ended March 31, 2025

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Infosys Limited and subsidiaries
(Dollars in millions except equity share data)

Condensed Consolidated Balance Sheet as at	Note	March 31, 2025	March 31, 2024
ASSETS			
Current assets			
Cash and cash equivalents	2.1	2,861	1,773
Current investments	2.2	1,460	1,548
Trade receivables		3,645	3,620
Unbilled revenue	2.17	1,503	1,531
Prepayments and other current assets	2.4	1,519	1,473
Income tax assets	2.12	348	767
Derivative financial instruments	2.3	23	10
Total current assets		11,359	10,722
Non-current assets			
Property, plant and equipment	2.7	1,497	1,537
Right-of-use assets	2.8	738	786
Goodwill	2.9	1,182	875
Intangible assets		323	167
Non-current investments	2.2	1,294	1,404
Unbilled revenue	2.17	261	213
Deferred income tax assets	2.12	130	55
Income tax assets	2.12	190	365
Other non-current assets	2.4	445	399
Total Non-current assets		6,060	5,801
Total assets		17,419	16,523
LIABILITIES AND EQUITY			
Current liabilities			
Trade payables		487	474
Lease liabilities	2.8	287	235
Derivative financial instruments	2.3	7	4
Current income tax liabilities	2.12	567	430
Unearned revenue		994	880
Employee benefit obligations		340	314
Provisions	2.6	173	215
Other current liabilities	2.5	2,157	2,099
Total current liabilities		5,012	4,651
Non-current liabilities			
Lease liabilities	2.8	675	767
Deferred income tax liabilities	2.12	202	216
Employee benefit obligations		11	11
Other non-current liabilities	2.5	264	273
Total Non-current liabilities		1,152	1,267
Total liabilities		6,164	5,918
Equity			
Share capital - ₹5 (\$0.16) par value 4,800,000,000 (4,800,000,000) equity shares authorized, issued and outstanding 4,143,607,528 (4,139,950,635) equity shares fully paid up, net of 9,655,927 (10,916,829) treasury shares as at March 31, 2025 (March 31, 2024)	2.18	325	325
Share premium		500	425
Retained earnings		13,766	12,557
Cash flow hedge reserves		(2)	1
Other reserves		1,171	1,623
Capital redemption reserve		24	24
Other components of equity		(4,579)	(4,396)
Total equity attributable to equity holders of the Company		11,205	10,559
Non-controlling interests		50	46
Total equity		11,255	10,605
Total liabilities and equity		17,419	16,523

The accompanying notes form an integral part of the interim condensed consolidated financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP
Chartered Accountants
Firm's Registration No:
117366W/ W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman

Salil Parekh
Chief Executive Officer
and Managing Director

Bobby Parikh
Director

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

Infosys Limited and subsidiaries
(Dollars in millions except equity share and per equity share data)

Condensed Consolidated Statement of Comprehensive Income for the	Note	Three months ended		Year ended	
		March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024
Revenues	2.16	4,730	4,564	19,277	18,562
Cost of sales	2.19	3,302	3,219	13,405	12,975
Gross profit		1,428	1,345	5,872	5,587
Operating expenses					
Selling and marketing expenses	2.19	226	209	898	842
Administrative expenses	2.19	210	219	903	911
Total operating expenses		436	428	1,801	1,753
Operating profit		992	917	4,071	3,834
Other income, net	2.19	137	328	425	568
Finance cost		12	13	49	56
Profit before income taxes		1,117	1,232	4,447	4,346
Income tax expense	2.12	303	273	1,285	1,177
Net profit		814	959	3,162	3,169
Other comprehensive income					
<i>Items that will not be reclassified subsequently to profit or loss</i>					
Remeasurement of the net defined benefit liability/asset, net		(17)	4	(11)	15
Equity instruments through other comprehensive income, net		3	(2)	2	2
		(14)	2	(9)	17
<i>Items that will be reclassified subsequently to profit or loss</i>					
Fair value changes on investments, net		8	4	24	17
Fair value changes on derivatives designated as cash flow hedge, net		(7)	3	(3)	1
Exchange differences on translation of foreign operations		72	(54)	(198)	(117)
		73	(47)	(177)	(99)
Total other comprehensive income/(loss), net of tax		59	(45)	(186)	(82)
Total comprehensive income		873	914	2,976	3,087
Profit attributable to:					
Owners of the Company		813	958	3,158	3,167
Non-controlling interests		1	1	4	2
		814	959	3,162	3,169
Total comprehensive income attributable to:					
Owners of the Company		872	914	2,972	3,086
Non-controlling interests		1	-	4	1
		873	914	2,976	3,087
Earnings per equity share					
Basic (\$)		0.20	0.23	0.76	0.77
Diluted (\$)		0.20	0.23	0.76	0.76
Weighted average equity shares used in computing earnings per equity share					
Basic (in shares)	2.13	4,142,429,577	4,139,432,133	4,141,611,738	4,138,568,090
Diluted (in shares)	2.13	4,151,537,321	4,145,052,370	4,152,051,184	4,144,680,425

The accompanying notes form an integral part of the interim condensed consolidated financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP
Chartered Accountants
Firm's Registration No:
117366W/ W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman

Salil Parekh
Chief Executive Officer
and Managing Director

Bobby Parikh
Director

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

Infosys Limited and subsidiaries
Condensed Consolidated Statement of Changes in Equity
(Dollars in millions except equity share data)

	Number of Shares ⁽¹⁾	Share capital	Share premium	Retained earnings	Other reserves ⁽²⁾	Capital redemption reserve	Cash flow hedge reserve	Other components of equity	Total equity attributable to equity holders of the Company	Non- controlling interest	Total equity
Balance as at April 1, 2023	4,136,387,925	325	366	11,401	1,370	24	-	(4,314)	9,172	52	9,224
Changes in equity for the year ended March 31, 2024											
Net profit	-	-	-	3,167	-	-	-	-	3,167	2	3,169
Remeasurement of the net defined benefit liability/asset, net*	-	-	-	-	-	-	-	15	15	-	15
Equity instruments through other comprehensive income, net*	-	-	-	-	-	-	-	2	2	-	2
Fair value changes on derivatives designated as Cash flow hedge, net*	-	-	-	-	-	-	1	-	1	-	1
Exchange differences on translation of foreign operations	-	-	-	-	-	-	-	(116)	(116)	(1)	(117)
Fair value changes on investments, net*	-	-	-	-	-	-	-	17	17	-	17
Total comprehensive income for the period	-	-	-	3,167	-	-	1	(82)	3,086	1	3,087
Shares issued on exercise of employee stock options (Refer to note 2.11)	3,562,710	-	1	-	-	-	-	-	1	-	1
Employee stock compensation expense (Refer to note 2.11)	-	-	77	-	-	-	-	-	77	-	77
Transfer on account of options not exercised	-	-	(19)	19	-	-	-	-	-	-	-
Transferred to other reserves	-	-	-	(357)	357	-	-	-	-	-	-
Transferred from other reserves on utilization	-	-	-	104	(104)	-	-	-	-	-	-
Dividends paid to non controlling interest of subsidiary	-	-	-	-	-	-	-	-	-	(5)	(5)
Buyback of shares pertaining to non controlling interest of subsidiary	-	-	-	-	-	-	-	-	-	(2)	(2)
Dividends [#]	-	-	-	(1,777)	-	-	-	-	(1,777)	-	(1,777)
Balance as at March 31, 2024	4,139,950,635	325	425	12,557	1,623	24	1	(4,396)	10,559	46	10,605

Infosys Limited and subsidiaries
Condensed Consolidated Statement of Changes in Equity
(Dollars in millions except equity share data)

	Number of Shares ⁽¹⁾	Share capital	Share premium	Retained earnings	Other reserves ⁽²⁾	Capital redemption reserve	Cash flow hedge reserve	Other components of equity	Total equity attributable to equity holders of the Company	Non- controlling interest	Total equity
Balance as at April 1, 2024	4,139,950,635	325	425	12,557	1,623	24	1	(4,396)	10,559	46	10,605
Changes in equity for the year ended March 31, 2025											
Net profit	-	-	-	3,158	-	-	-	-	3,158	4	3,162
Remeasurement of the net defined benefit liability/asset, net*	-	-	-	-	-	-	-	(11)	(11)	-	(11)
Equity instruments through other comprehensive income, net*	-	-	-	-	-	-	-	2	2	-	2
Fair value changes on derivatives designated as Cash flow hedge, net*	-	-	-	-	-	-	(3)	-	(3)	-	(3)
Exchange differences on translation of foreign operations	-	-	-	-	-	-	-	(198)	(198)	-	(198)
Fair value changes on investments, net*	-	-	-	-	-	-	-	24	24	-	24
Total comprehensive income for the period	-	-	-	3,158	-	-	(3)	(183)	2,972	4	2,976
Shares issued on exercise of employee stock options (Refer to note 2.11)	3,656,893	-	1	-	-	-	-	-	1	-	1
Employee stock compensation expense (Refer to note 2.11)	-	-	93	-	-	-	-	-	93	-	93
Transferred on account of options not exercised	-	-	(23)	23	-	-	-	-	-	-	-
Income tax benefit arising on exercise of stock options (Refer to note 2.12)	-	-	4	-	-	-	-	-	4	-	4
Transferred to other reserves	-	-	-	(9)	9	-	-	-	-	-	-
Transferred from other reserves on utilization	-	-	-	104	(104)	-	-	-	-	-	-
Transferred from other reserves to retained earnings	-	-	-	357	(357)	-	-	-	-	-	-
Dividends [#]	-	-	-	(2,424)	-	-	-	-	(2,424)	-	(2,424)
Balance as at March 31, 2025	4,143,607,528	325	500	13,766	1,171	24	(2)	(4,579)	11,205	50	11,255

* net of tax

net of treasury shares

⁽¹⁾ excludes treasury shares of 9,655,927 as at March 31, 2025, 10,916,829 as at April 1, 2024 and 12,172,119 as at April 1, 2023, held by consolidated trust

⁽²⁾ Represents the Special Economic Zone Re-investment reserve created out of the profit of the eligible SEZ unit in terms of the provisions of Sec 10AA(1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Group for acquiring new plant and machinery for the purpose of its business in terms of the provisions of the Sec 10AA(2) of the Income Tax Act, 1961.

The accompanying notes form an integral part of the interim condensed consolidated financial statements.

As per our report of even date attached

for and on behalf of the Board of Directors of Infosys Limited

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No:

117366W/ W-100018

Vikas Bagaria
Partner
Membership No. 060408

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Chief Executive Officer
and Managing Director

Bobby Parikh
Director

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

Infosys Limited and subsidiaries

Condensed Consolidated Statement of Cash Flows

Accounting Policy

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Group are segregated. The Group considers all highly liquid investments that are readily convertible to known amounts of cash to be cash equivalents.

Particulars	Note	(Dollars in millions)	
		Year ended	
		March 31, 2025	March 31, 2024
Operating activities			
Net Profit		3,162	3,169
Adjustments to reconcile net profit to net cash provided by operating activities			
Depreciation and amortization		569	565
Interest and dividend income		(139)	(138)
Finance cost		49	56
Income tax expense	2.12	1,285	1,177
Exchange differences on translation of assets and liabilities, net		9	11
Impairment loss recognized/(reversed) under expected credit loss model		6	15
Stock compensation expense		95	79
Provision for post sale client support		(13)	9
Interest receivable on income tax refund		(39)	(234)
Other adjustments		99	176
Changes in working capital			
Trade receivables and unbilled revenue		(209)	(322)
Prepayments and other assets		(157)	(151)
Trade payables		21	11
Unearned revenue		135	21
Other liabilities and provisions		140	(182)
Cash generated from operations		5,013	4,262
Income taxes paid		(662)	(1,114)
Net cash generated by operating activities		4,351	3,148
Investing activities			
Expenditure on property, plant and equipment and intangibles		(263)	(266)
Deposits placed with Corporation		(145)	(102)
Redemption of deposits placed with Corporation		92	86
Interest and dividend received		113	110
Payment for acquisition of business, net of cash acquired	2.10	(377)	-
Payment of contingent consideration pertaining to acquisition of business		-	(12)
Payments to acquire Investments			
Liquid mutual funds units		(8,636)	(7,990)
Certificates of deposit		(825)	(1,027)
Quoted debt securities		(383)	(184)
Commercial paper		(757)	(1,254)
Other investments		(7)	(2)
Proceeds on sale of investments			
Quoted debt securities		373	203
Certificates of deposit		791	1,111
Commercial paper		914	782
Liquid mutual funds units		8,747	7,818
Other investments		1	3
Other receipts		1	16
Net cash used in investing activities		(361)	(708)
Financing activities			
Payment of lease liabilities		(278)	(245)
Payment of dividends		(2,416)	(1,777)
Payment of dividends to non-controlling interests of subsidiary		-	(5)
Payment towards purchase of non-controlling interest		-	(2)
Shares issued on exercise of employee stock options		1	1
Loan repayment of in-tech Holding GmbH (Refer to note 2.10)		(118)	-
Other payments		(64)	(88)
Other receipts		-	-
Net cash used in financing activities		(2,875)	(2,116)
Net increase/(decrease) in cash and cash equivalents		1,115	324
Effect of exchange rate changes on cash and cash equivalents		(27)	(32)
Cash and cash equivalents at the beginning of the period	2.1	1,773	1,481
Cash and cash equivalents at the end of the period	2.1	2,861	1,773
Supplementary information:			
Restricted cash balance	2.1	50	42

The accompanying notes form an integral part of the interim condensed consolidated financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP
Chartered Accountants
Firm's Registration No:
117366W/ W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

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Chairman

Salil Parekh
Chief Executive
and Managing Director

Bobby Parikh
Director

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

INFOSYS LIMITED AND SUBSIDIARIES

Overview and Notes to the Interim Condensed Consolidated Financial Statements

1. Overview

1.1 Company overview

Infosys Limited ('the Company' or Infosys) provides consulting, technology, outsourcing and next-generation digital services, to enable clients to execute strategies for their digital transformation. Infosys strategic objective is to build a sustainable organization that remains relevant to the agenda of clients, while creating growth opportunities for employees and generating profitable returns for investors. Infosys strategy is to be a navigator for our clients as they ideate, plan and execute on their journey to a digital future.

Infosys together with its subsidiaries and controlled trusts is herein after referred to as the "Group".

The company is a public limited company incorporated and domiciled in India and has its registered office at Electronics city, Hosur Road, Bengaluru 560100, Karnataka, India. The company has its primary listings on the BSE Ltd. and National Stock Exchange of India Limited. The company's American Depositary Shares (ADS) representing equity shares are listed on the New York Stock Exchange (NYSE).

The Group's interim condensed consolidated financial statements are approved for issue by the company's Board of Directors on April 17, 2025.

1.2 Basis of preparation of financial statements

The interim condensed consolidated financial statements have been prepared in compliance with IAS 34, Interim Financial Reporting as issued by International Accounting Standards Board, under the historical cost convention on accrual basis except for certain financial instruments which are measured at fair values, defined benefit liability/(asset) which is recognized at the present value of defined benefit obligation less fair value of plan assets. Accordingly, these interim condensed consolidated financial statements do not include all the information required for a complete set of financial statements. These interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in the company's Annual Report on Form 20-F for the year ended March 31, 2024. Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

The material accounting policy information used in preparation of the audited interim condensed consolidated financial statements have been discussed in the respective notes.

As the quarter and year to date figures are taken from the source and rounded to the nearest digits, the quarter figures in this statement added up to the figures reported for the previous quarters might not always add up to the year to date figures reported in this statement.

1.3 Basis of consolidation

Infosys consolidates entities which it owns or controls. The interim condensed consolidated financial statements comprise the financial statements of the company, its controlled trusts and its subsidiaries. Control exists when the parent has power over the entity, is exposed, or has rights to variable returns from its involvement with the entity and has the ability to affect those returns by using its power over the entity. Power is demonstrated through existing rights that give the ability to direct relevant activities, those which significantly affect the entity's returns. Subsidiaries are consolidated from the date control commences until the date control ceases.

The financial statements of the Group companies are consolidated on a line-by-line basis and intra-group balances and transactions including unrealized gain / loss from such transactions are eliminated upon consolidation. These financial statements are prepared by applying uniform accounting policies in use at the Group. Non-controlling interests which represent part of the net profit or loss and net assets of subsidiaries that are not, directly or indirectly, owned or controlled by the company, are excluded.

1.4 Use of estimates and judgments

The preparation of the Interim condensed consolidated financial statements in conformity with IFRS requires Management to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the interim condensed consolidated financial statements and reported amounts of revenues and expenses during the period. The application of accounting policies that require critical accounting estimates involving complex and subjective judgments and the use of assumptions in these financial statements have been disclosed in Note 1.5. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as Management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates and judgements are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the interim condensed consolidated financial statements.

1.5 Critical accounting estimates and judgments

a. Revenue recognition

The Group's contracts with customers include promises to transfer multiple products and services to a customer. Revenues from customer contracts are considered for recognition and measurement when the contract has been approved, in writing, by the parties to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables, and allocation of transaction price to these distinct performance obligations involves significant judgement.

Fixed price maintenance revenue is recognized ratably on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period. Revenue from fixed price maintenance contract is recognized ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and Group's costs to fulfil the contract is not even through the period of the contract because the services are generally discrete in nature and not repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables.

The Group uses the percentage-of-completion method in accounting for other fixed-price contracts. Use of the percentage-of-completion method requires the Group to determine the actual efforts or costs expended to date as a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

b. Income taxes

The Group's two major tax jurisdictions are India and the United States, though the company also files tax returns in other overseas jurisdictions.

Significant judgments are involved in determining the provision for income taxes, including amount expected to be paid/recovered for uncertain tax positions.

In assessing the realizability of deferred income tax assets, Management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. Management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, Management believes that the group will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced. (Refer to note 2.12)

c. Business combinations and intangible assets

Business combinations are accounted for using IFRS 3 (Revised), Business Combinations. IFRS 3 requires us to fair value identifiable intangible assets and contingent consideration to ascertain the net fair value of identifiable assets, liabilities and contingent liabilities of the acquiree. These valuations are conducted by external valuation experts. Estimates are required to be made in determining the value of contingent consideration, value of option arrangements and intangible assets. These measurements are based on information available at the acquisition date and are based on expectations and assumptions that have been deemed reasonable by Management. (Refer to note 2.10 and 2.9.2)

d. Property, plant and equipment

Property, plant and equipment represent a significant proportion of the asset base of the Group. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of Group's assets are determined by Management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology (Refer to note 2.7)

e. Impairment of Goodwill

Goodwill is tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit (CGUs) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or groups of CGUs which benefit from the synergies of the acquisition and which represent the lowest level at which goodwill is monitored for internal management purposes.

The recoverable amount of CGUs is determined based on higher of value-in-use and fair value less cost to sell. Key assumptions in the cash flow projections are prepared based on current economic conditions and comprises estimated long term growth rates, weighted average cost of capital and estimated operating margins. (Refer to note 2.9.1)

1.6 Recent accounting pronouncements

New and revised IFRS Standards in issue but not yet effective:

Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates	Lack of Exchangeability
IFRS 18 Presentation and Disclosures in Financial Statements	Presentation and Disclosures in Financial Statements
Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures	Amendments to the Classification and Measurement of Financial Instruments
Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures	Contracts Referencing Nature-dependent Electricity

Amendments to IAS 21

On August 15, 2023, IASB has issued amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates, Lack of Exchangeability that will require companies to provide more useful information in their financial statements when a currency cannot be exchanged into another currency. These amendments specify when a currency is exchangeable into another currency and when it is not and specify how an entity determines the exchange rate to apply when a currency is not exchangeable.

The effective date for adoption of this amendment is annual periods beginning on or after January 1, 2025, although early adoption is permitted. The Group has evaluated the amendment and the impact is not expected to be material on its consolidated financial statements.

IFRS 18 – Presentation and Disclosures in Financial Statements

On April 9, 2024, IASB has issued IFRS 18 – Presentation and Disclosures in Financial Statements that will replace IAS 1 Presentation of Financial Statements from its effective date. IFRS 18 introduces new requirements for information presented in the primary financial statements and disclosed in the notes. The new requirements are focused on the statement of profit or loss. IFRS 18 introduces three categories for income and expenses, that is, operating, investing and financing to improve the structure of the income statement. IFRS 18 is effective for annual reporting periods beginning on or after 1 January 2027, although early adoption is permitted. The Group is yet to evaluate the impact of the amendment.

Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures

On May 30, 2024, IASB has issued amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures, which clarifies the classification of financial assets with environmental, social and corporate governance (ESG) and similar features, derecognition of financial liability settled through electronic payment systems and also introduces additional disclosure requirements to enhance transparency for investors regarding investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features.

The effective date for adoption of these amendments is annual reporting periods beginning on or after January 1, 2026, although early adoption is permitted. The Group is yet to evaluate the impact of these amendments.

On December 18, 2024, IASB has issued amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures, relating to factors an entity is required to consider in assessing the own-use requirements for contracts to buy and take delivery of nature-dependent renewable electricity; hedge accounting treatment for nature-dependent renewable electricity and related disclosures.

The effective date for adoption of these amendments is annual reporting periods beginning on or after January 1, 2026, although early adoption is permitted. The Group has evaluated the amendment and there is no impact on its consolidated financial statements.

2. Notes to the Interim Condensed Consolidated Financial Statements

2.1 Cash and cash equivalents

Cash and cash equivalents consist of the following:

Particulars	(Dollars in millions)	
	As at	
	March 31, 2025	March 31, 2024
Cash and bank deposits	2,861	1,773
Total Cash and cash equivalents	2,861	1,773

Cash and cash equivalents as at March 31, 2025 and March 31, 2024 include restricted cash and bank balances of \$50 million and \$42 million, respectively. The restrictions are primarily on account of bank balances held by irrevocable trusts controlled by the company.

The deposits maintained by the Group with banks comprise of time deposits, which can be withdrawn by the Group at any point without prior notice or penalty on the principal.

2.2 Investments

The carrying value of the investments are as follows:

Particulars	(Dollars in millions)	
	As at	
	March 31, 2025	March 31, 2024
(i) Current Investments		
Amortized Cost		
Quoted debt securities	20	-
Fair Value through other comprehensive income		
Quoted Debt Securities	375	291
Certificates of deposits	410	365
Commercial Paper	426	579
Fair Value through profit or loss		
Liquid mutual fund units	229	313
Total current investments	1,460	1,548
(ii) Non-current Investments		
Amortized Cost		
Quoted debt securities	173	211
Fair Value through other comprehensive income		
Quoted debt securities	1,014	1,093
Quoted equity securities	7	14
Unquoted equity and preference securities	20	11
Fair Value through profit or loss		
Target maturity fund units	54	51
Unquoted equity and preference securities	3	-
Others ⁽¹⁾	23	24
Total Non-current investments	1,294	1,404
Total investments	2,754	2,952
Investments carried at amortized cost	193	211
Investments carried at fair value through other comprehensive income	2,252	2,353
Investments carried at fair value through profit or loss	309	388

⁽¹⁾ Uncalled capital commitments outstanding as on March 31, 2025 and March 31, 2024 was \$14 million and \$9 million, respectively.

Refer to note 2.3 for accounting policies on financial instruments.

Method of fair valuation:		(Dollars in millions)	
Class of investment	Method	Fair value	
		March 31, 2025	March 31, 2024
Liquid mutual fund units - carried at fair value through profit or loss	Quoted price	229	313
Target maturity fund units - carried at fair value through profit or loss	Quoted price	54	51
Quoted debt securities- carried at amortized cost	Quoted price and market observable inputs	213	236
Quoted debt securities- carried at fair value through other comprehensive income	Quoted price and market observable inputs	1,389	1,384
Commercial Paper - carried at fair value through other comprehensive income	Market observable inputs	426	579
Certificates of Deposit - carried at fair value through other comprehensive income	Market observable inputs	410	365
Unquoted equity and preference securities - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	3	-
Unquoted equity and preference securities - carried at fair value through other comprehensive income	Discounted cash flows method, Market multiples method, Option pricing model	20	11
Quoted equity securities - carried at fair value through other comprehensive income	Quoted price	7	14
Others - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	23	24
Total		2,774	2,977

Note: Certain quoted investments are classified as Level 2 in the absence of active market for such investments.

2.3 Financial instruments

Accounting Policy

2.3.1 Initial recognition

The Group recognizes financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are recognized at fair value on initial recognition, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities, which are not at fair value through profit or loss, are added to the fair value on initial recognition. Regular way purchase and sale of financial assets are accounted for at trade date.

2.3.2 Subsequent measurement

a. Non-derivative financial instruments

(i) Financial assets carried at amortized cost

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

(ii) Financial assets carried at fair value through other comprehensive income (FVOCI)

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The Group has made an irrevocable election for certain investments which are classified as equity instruments to present the subsequent changes in fair value in other comprehensive income based on its business model.

(iii) Financial assets carried at fair value through profit or loss (FVTPL)

A financial asset which is not classified in any of the above categories is subsequently fair valued through profit or loss.

(iv) Financial liabilities

Financial liabilities are subsequently carried at amortized cost using the effective interest method, except for contingent consideration and financial liability under option arrangements recognized in a business combination which is subsequently measured at fair value through profit or loss.

b. Derivative financial instruments

The Group holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for such contracts is generally a bank.

(i) Financial assets or financial liabilities, carried at fair value through profit or loss

This category includes derivative financial assets or liabilities which are not designated as hedges.

Although the Group believes that these derivatives constitute hedges from an economic perspective, they may not qualify for hedge accounting under IFRS 9, Financial Instruments. Any derivative that is either not designated as hedge, or is so designated but is ineffective as per IFRS 9, is categorized as a financial asset or financial liability carried at fair value through profit or loss.

Derivatives not designated as hedges are recognized initially at fair value and attributable transaction costs are recognized in net profit in the statement of comprehensive income when incurred. Subsequent to initial recognition, these derivatives are measured at fair value through profit or loss and the resulting exchange gains or losses are included in other income. Assets/ liabilities in this category are presented as current assets/current liabilities if they are either held for trading or are expected to be realized within 12 months after the balance sheet date.

(ii) Cash flow hedge

Primarily the Group designates certain foreign exchange forward and options contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transaction.

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. Any ineffective portion of changes in the fair value of the derivative is recognized immediately in the net profit in the statement of comprehensive income. If the hedging instrument no longer meets the criteria for hedge accounting, then hedge accounting is discontinued prospectively. If the hedging instrument expires or is sold, terminated or exercised, the cumulative gain or loss on the hedging instrument recognized in cash flow hedging reserve till the period the hedge was effective remains in cash flow hedging reserve until the forecasted transaction occurs. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the net profit in the statement of comprehensive income upon the occurrence of the related forecasted transaction. If the forecasted transaction is no longer expected to occur, then the amount accumulated in cash flow hedging reserve is reclassified to net profit in the interim condensed consolidated statement of comprehensive income.

2.3.3 Derecognition of financial instruments

The Group derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under IFRS 9. A financial liability (or a part of a financial liability) is derecognized from the group's balance sheet when the obligation specified in the contract is discharged or cancelled or expires.

2.3.4 Fair value of financial instruments

In determining the fair value of its financial instruments, the Group uses a variety of methods and assumptions that are based on market conditions and risks existing at each reporting date. The methods used to determine fair value include discounted cash flow analysis, option pricing model, market multiples, available quoted market prices and dealer quotes. All methods of assessing fair value result in general approximation of value, and such value may never actually be realized.

Refer to table 'Financial instruments by category' below for the disclosure on carrying value and fair value of financial assets and liabilities. For financial assets and liabilities maturing within one year from the Balance Sheet date and which are not carried at fair value, the carrying amounts approximate fair value due to the short maturity of these instruments.

2.3.5 Impairment

The Group recognizes loss allowances using the expected credit loss (ECL) model for the financial assets and unbilled revenue which are not fair valued through profit or loss. Loss allowance for trade receivables and unbilled revenues with no significant financing component is measured at an amount equal to lifetime ECL. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL.

The Group determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Group considers current and anticipated future economic conditions relating to industries the Group deals with and the countries where it operates.

The amount of ECL (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recorded is recognized as an impairment loss or gain in interim condensed consolidated statement of comprehensive income.

Financial instruments by category

The carrying value and fair value of financial instruments by categories as at March 31, 2025 were as follows:

(Dollars in millions)

Particulars	Amortized cost	Financial assets / liabilities at fair value through profit or loss		Financial assets / liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to note 2.1)	2,861	-	-	-	-	2,861	2,861
Investments (Refer to note 2.2)							
Liquid mutual fund units	-	-	229	-	-	229	229
Target maturity fund units	-	-	54	-	-	54	54
Quoted debt securities	193	-	-	-	1,389	1,582	1,602 ⁽¹⁾
Certificates of deposit	-	-	-	-	410	410	410
Commercial Papers	-	-	-	-	426	426	426
Quoted equity securities	-	-	-	7	-	7	7
Unquoted equity and preference securities	-	3	-	20	-	23	23
Unquoted investment others	-	-	23	-	-	23	23
Trade receivables	3,645	-	-	-	-	3,645	3,645
Unbilled revenues (Refer to note 2.17) ⁽³⁾	1,195	-	-	-	-	1,195	1,195
Prepayments and other assets (Refer to note 2.4)	844	-	-	-	-	844	835 ⁽²⁾
Derivative financial instruments	-	-	20	-	3	23	23
Total	8,738	3	326	27	2,228	11,322	11,333
Liabilities:							
Trade payables	487	-	-	-	-	487	487
Lease liabilities (Refer to note 2.8)	962	-	-	-	-	962	962
Derivative financial instruments	-	-	3	-	4	7	7
Financial liability under option arrangements (Refer to note 2.5)	-	-	77	-	-	77	77
Other liabilities including contingent consideration (Refer to note 2.5)	1,932	-	3	-	-	1,935	1,935
Total	3,381	-	83	-	4	3,468	3,468

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on quoted debt securities carried at amortized cost of \$9 million

⁽³⁾ Excludes unbilled revenue for contracts where the right to consideration is dependent on completion of contractual milestones

The carrying value and fair value of financial instruments by categories as at March 31, 2024 were as follows:

(Dollars in millions)

Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to note 2.1)	1,773	-	-	-	-	1,773	1,773
Investments (Refer to note 2.2)							
Liquid mutual fund units	-	-	313	-	-	313	313
Target maturity fund units	-	-	51	-	-	51	51
Quoted debt securities	211	-	-	-	1,384	1,595	1,620 ⁽¹⁾
Certificates of deposit	-	-	-	-	365	365	365
Commercial Papers	-	-	-	-	579	579	579
Quoted equity securities	-	-	-	14	-	14	14
Unquoted equity and preference securities	-	-	-	11	-	11	11
Unquoted investments others	-	-	24	-	-	24	24
Trade receivables	3,620	-	-	-	-	3,620	3,620
Unbilled revenues (Refer to note 2.17) ⁽³⁾	1,151	-	-	-	-	1,151	1,151
Prepayments and other assets (Refer to note 2.4)	694	-	-	-	-	694	684 ⁽²⁾
Derivative financial instruments	-	-	7	-	3	10	10
Total	7,449	-	395	25	2,331	10,200	10,215
Liabilities:							
Trade payables	474	-	-	-	-	474	474
Lease liabilities (Refer to note 2.8)	1,002	-	-	-	-	1,002	1,002
Derivative financial instruments	-	-	4	-	-	4	4
Financial liability under option arrangements (Refer to note 2.5)	-	-	72	-	-	72	72
Other liabilities including contingent consideration (Refer to note 2.5)	1,887	-	-	-	-	1,887	1,887
Total	3,363	-	76	-	-	3,439	3,439

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on quoted debt securities carried at amortized cost of \$10 million

⁽³⁾ Excludes unbilled revenue for contracts where the right to consideration is dependent on completion of contractual milestones

For trade receivables and trade payables and other assets and payables maturing within one year from the balance sheet date, the carrying amounts approximate fair value due to the short maturity of these instruments.

Fair value hierarchy

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 - Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2025 is as follows:

(Dollars in millions)

Particulars	As at March 31, 2025	Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.2)				
Investments in liquid mutual fund units	229	229	-	-
Investments in target maturity fund units	54	54	-	-
Investments in quoted debt securities	1,602	1,533	69	-
Investments in certificates of deposit	410	-	410	-
Investments in commercial paper	426	-	426	-
Investments in unquoted equity and preference securities	23	-	-	23
Investments in quoted equity securities	7	7	-	-
Investments in unquoted investments others	23	-	-	23
Others				
Derivative financial instruments- gain	23	-	23	-
Liabilities				
Derivative financial instruments - loss	7	-	7	-
Financial liability under option arrangements (Refer to note 2.5) ⁽¹⁾	77	-	-	77
Liability towards contingent consideration (Refer to note 2.5) ⁽²⁾	3	-	-	3

⁽¹⁾ Discount rate ranges from 9% to 15%

⁽²⁾ Discount rate - 6%

During the year ended March 31, 2025, quoted debt securities of \$35 million were transferred from Level 2 to Level 1 of fair value hierarchy, since these were valued based on quoted price and quoted debt securities of \$65 million were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2024 is as follows:

(Dollars in millions)

Particulars	As at March 31, 2024	Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.2)				
Investments in liquid mutual fund units	313	313	-	-
Investments in target maturity fund units	51	51	-	-
Investments in quoted debt securities	1,620	1,580	40	-
Investments in unquoted equity and preference securities	11	-	-	11
Investments in certificates of deposit	365	-	365	-
Investments in commercial paper	579	-	579	-
Investments in quoted equity securities	14	14	-	-
Investments in unquoted investments others	24	-	-	24
Others				
Derivative financial instruments- gain	10	-	10	-
Liabilities				
Derivative financial instruments- loss	4	-	4	-
Financial liability under option arrangements (Refer to note 2.5) ⁽¹⁾	72	-	-	72

⁽¹⁾ Discount rate ranges from 9% to 15%

During the year ended March 31, 2024, quoted debt securities of \$257 million were transferred from Level 2 to Level 1 of fair value hierarchy, since these were valued based on quoted price and quoted debt securities of \$9 million were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

A one percentage point change in the unobservable inputs used in fair valuation of Level 3 assets and liabilities does not have a significant impact in its value.

Majority of investments of the Group are fair valued based on Level 1 or Level 2 inputs. These investments primarily include investment in liquid mutual fund units, target maturity fund units, quoted debt securities, certificates of deposit, commercial paper, quoted bonds issued by government and quasi-government organizations. The Group invests after considering counterparty risks based on multiple criteria including Tier I Capital, Capital Adequacy Ratio, Credit Rating, Profitability, NPA levels and Deposit base of banks and financial institutions. These risks are monitored regularly as per Group's risk management program.

2.4 Prepayments and other assets

Prepayments and other assets consist of the following:

Particulars	(Dollars in millions)	
	As at	
	March 31, 2025	March 31, 2024
Current		
Security deposits ⁽¹⁾	8	9
Loans to employees ⁽¹⁾	29	30
Prepaid expenses ⁽²⁾	360	399
Interest accrued and not due ⁽¹⁾	99	64
Withholding taxes and others ⁽²⁾⁽⁴⁾	332	424
Advance payments to vendors for supply of goods ⁽²⁾	48	43
Deposit with corporations ⁽¹⁾⁽³⁾	345	304
Deferred contract cost		
Cost of obtaining a contract ⁽²⁾	40	24
Cost of fulfillment ⁽²⁾	59	43
Other non financial assets ⁽²⁾	11	21
Net investment in lease ⁽¹⁾	133	85
Other financial assets ⁽¹⁾	55	27
Total Current prepayment and other assets	1,519	1,473
Non-current		
Security deposits ⁽¹⁾	32	31
Loans to employees ⁽¹⁾	2	4
Prepaid expenses ⁽²⁾	33	41
Deposit with corporations ⁽¹⁾⁽³⁾	10	6
Defined benefit plan assets ⁽²⁾	35	4
Deferred contract cost		
Cost of obtaining a contract ⁽²⁾	36	16
Cost of fulfillment ⁽²⁾	103	82
Withholding taxes and others ⁽²⁾⁽⁴⁾	63	81
Net investment in lease ⁽¹⁾	129	134
Other financial assets ⁽¹⁾	2	-
Total Non- current prepayment and other assets	445	399
Total prepayment and other assets	1,964	1,872
⁽¹⁾ Financial assets carried at amortized cost	844	694

⁽²⁾ Non financial assets

⁽³⁾ Deposit with corporation represents amounts deposited to settle certain employee-related obligations as and when they arise during the normal course of business.

⁽⁴⁾ Withholding taxes and others primarily consist of input tax credits and VAT recoverable from tax authorities.

2.5 Other liabilities

Other liabilities comprise the following:

(Dollars in millions)

Particulars	As at	
	March 31, 2025	March 31, 2024
Current		
Accrued compensation to employees ⁽¹⁾	576	534
Accrued expenses ⁽¹⁾	991	986
Accrued defined benefit liability ⁽³⁾	1	1
Withholding taxes and others ⁽³⁾	381	382
Liabilities of controlled trusts ⁽¹⁾	20	25
Liability towards contingent consideration ⁽²⁾	1	-
Capital Creditors ⁽¹⁾	61	37
Financial liability under option arrangements ⁽²⁾⁽⁴⁾	64	60
Other non-financial liabilities ⁽³⁾	1	1
Other financial liabilities ⁽¹⁾⁽⁵⁾	61	73
Total current other liabilities	2,157	2,099
Non-current		
Accrued compensation to employees ⁽¹⁾	1	1
Accrued expenses ⁽¹⁾	221	213
Accrued defined benefit liability ⁽³⁾	14	19
Liability towards contingent consideration ⁽²⁾	2	-
Financial liability under option arrangements ⁽²⁾⁽⁴⁾	13	12
Other non-financial liabilities ⁽³⁾	12	10
Other financial liabilities ⁽¹⁾⁽⁵⁾	1	18
Total non-current other liabilities	264	273
Total other liabilities	2,421	2,372
⁽¹⁾ Financial liability carried at amortized cost	1,932	1,887
⁽²⁾ Financial liability carried at fair value through profit or loss	80	72
Financial liability under option arrangements on an undiscounted basis	89	83
Financial liability towards contingent consideration on an undiscounted basis	4	-

⁽³⁾ Non financial liabilities

⁽⁴⁾ Represents liability related to options issued by the Group over the non-controlling interests in its subsidiaries.

⁽⁵⁾ The Group entered into financing arrangements with a third party towards technology assets taken over by the Group from a customer as a part of transformation project which was not considered as distinct goods or services as the control related to those assets was not transferred to the Group in accordance with Ind AS 115 - Revenue from contract with customers. As at March 31, 2025 and March 31, 2024, the financial liability pertaining to such arrangements amounts to \$8 million and \$45 million, respectively.

Accrued expenses primarily relate to cost of technical sub-contractors, telecommunication charges, legal and professional charges, brand building expenses, overseas travel expenses and office maintenance and cost of third party software and hardware.

2.6 Provisions and other contingencies

Accounting Policy

2.6.1 Provisions

A provision is recognized if, as a result of a past event, the Group has a present legal or constructive obligation that is reasonably estimable, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The Group recognizes a reimbursement asset when, and only when, it is virtually certain that the reimbursement will be received if the Group settles the obligation.

Contingent liability is a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

a. Post sales client support

The Group provides its clients with a fixed-period post sales support on its fixed-price, fixed-timeframe contracts. Costs associated with such support services are accrued at the time related revenues are recorded and included in cost of sales. The Group estimates such costs based on historical experience and estimates are reviewed on a periodic basis for any material changes in assumptions and likelihood of occurrence.

b. Onerous contracts

Provisions for onerous contracts are recognized when the expected benefits to be derived by the Group from a contract are lower than the unavoidable costs of meeting the future obligations under the contract. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established the Group recognizes any impairment loss on the assets associated with that contract.

Provision for post sales client support and other provisions

Particulars	(Dollars in millions)	
	As at	
	March 31, 2025	March 31, 2024
Post-sales client support and others provisions	155	215
Provision pertaining to settlement (refer to note 2.6.2)	18	—
Total provisions	173	215

Provision for post sales client support and other provisions majorly represents costs associated with providing post sales support services which are accrued at the time of recognition of revenues and are expected to be utilized over a period of 1 year.

Provision for post sales client support and other provisions is included in cost of sales in the interim condensed consolidated statement of comprehensive income.

As at March 31, 2025 and March 31, 2024, claims against the Group, not acknowledged as debts, (excluding demands from income tax authorities- Refer to Note 2.12) amounted to \$119 million (₹1,020 crore) and \$95 million (₹789 crore), respectively.

2.6.2 Legal Proceedings

McCamish Cybersecurity incident

In November 2023, certain systems of Infosys McCamish Systems LLC (“McCamish”), a subsidiary of Infosys BPM Limited (a wholly owned subsidiary of Infosys Limited), were encrypted by ransomware, resulting in the non-availability of certain applications and systems. McCamish initiated its incident response and engaged cybersecurity and other specialists to assist in its investigation of and response to the incident and remediation and restoration of impacted applications and systems. By December 31, 2023, McCamish, with external specialists’ assistance, substantially remediated and restored the affected applications and systems. Actions taken by McCamish included investigative analysis conducted by a third-party cybersecurity firm to determine, among other things, whether and the extent to which company or customer data was subject to unauthorized access or exfiltration. McCamish also engaged a third-party eDiscovery vendor in assessing the extent and nature of such data. McCamish in coordination with its third-party eDiscovery vendor has identified corporate customers and individuals whose information was subject to unauthorized access and exfiltration. McCamish processes personal data on behalf of its corporate customers.

From March 6, 2024 through July 25, 2024, six actions were filed in the U.S. District Court for the Northern District of Georgia against McCamish. The actions arise out of the cybersecurity incident at McCamish initially disclosed on November 3, 2023. All six actions have since been consolidated, and the consolidated class action complaint was filed on November 7, 2024, purportedly on behalf of all persons residing in the United States whose personally identifiable information was compromised in the incident, including all who were sent a notice of the incident. On December 20, 2024, the Court granted the parties’ joint motion to stay proceedings pending the parties’ efforts to resolve the lawsuit through mediation. On March 13, 2025, McCamish and the plaintiffs engaged in mediation, resulting in an in-principle agreement that sets forth the terms of a proposed settlement of the class action lawsuits against McCamish, as well as seven class action lawsuits arising out of the incident that have been filed against McCamish’s customers. Under the settlement terms, McCamish has agreed to pay \$17.5 million into a fund to settle these matters. The agreed terms are subject to finalization of the terms of the settlement agreement, and preliminary and final court approval. If approved, the settlement will resolve all allegations made in the class action lawsuits without admission of any liability.

McCamish has recorded an accrual of \$17.5 million related to the settlement. McCamish has recognized an insurance reimbursement receivable of \$17 million which has been offset against the settlement expense of \$17.5 million in the Statement of Comprehensive Income. McCamish may incur additional costs including from indemnities or damages/claims, which are indeterminable at this time.

Others

Apart from legal proceedings and claims arising from the McCamish cybersecurity incident, the Group is subject to legal proceedings and claims which have arisen in the ordinary course of business. The Group’s management reasonably expects that such ordinary course legal actions, when ultimately concluded and determined, will not have a material and adverse effect on the Group’s results of operations or financial condition.

2.7 Property, plant and equipment

Accounting Policy

Property, plant and equipment are stated at cost, less accumulated depreciation and impairment, if any. Costs directly attributable to acquisition are capitalized until the property, plant and equipment are ready for use, as intended by Management. The charge in respect of periodic depreciation is derived at after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The Group depreciates property, plant and equipment over their estimated useful lives using the straight-line method. The estimated useful lives of assets are as follows:

Building	22-25 years
Plant and machinery ⁽¹⁾	5 years
Computer equipment	3-5 years
Furniture and fixtures	5 years
Vehicles	5 years
Leasehold improvements	Lower of useful life of the asset or lease term

⁽¹⁾ Includes solar plant with a useful life of 25 years

Depreciation methods, useful lives and residual values are reviewed periodically, including at each financial year end. The useful lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology.

Advances paid towards the acquisition of property, plant and equipment outstanding at each balance sheet date and the cost of assets not ready to use before such date are disclosed under 'Capital work-in-progress'. Subsequent expenditures relating to property, plant and equipment is capitalized only when it is probable that future economic benefits associated with these will flow to the Group and the cost of the item can be measured reliably. The cost and related accumulated depreciation are eliminated from the financial statements upon sale or retirement of the asset.

Impairment

Property, plant and equipment are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in net profit in the interim condensed consolidated statement of comprehensive income is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in net profit in the statement of comprehensive income if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated depreciation) had no impairment loss been recognized for the asset in prior years.

The changes in the carrying value of property, plant and equipment for the three months ended March 31, 2025 are as follows:

(Dollars in millions)

Particulars	Land	Buildings	Plant and machinery	Computer equipment	Furniture and fixtures	Vehicles	Total
Gross carrying value as at January 1, 2025	167	1,368	632	1,020	401	6	3,594
Additions	6	-	7	80	5	-	98
Deletions**	-	-	(9)	(17)	(21)	-	(47)
Translation difference	-	3	2	5	1	-	11
Gross carrying value as at March 31, 2025	173	1,371	632	1,088	386	6	3,656
Accumulated depreciation as at January 1, 2025	-	(612)	(507)	(800)	(328)	(5)	(2,252)
Depreciation	-	(12)	(10)	(34)	(7)	-	(63)
Accumulated depreciation on deletions**	-	-	8	16	21	-	45
Translation difference	-	(3)	(2)	(2)	(1)	-	(8)
Accumulated depreciation as at March 31, 2025	-	(627)	(511)	(820)	(315)	(5)	(2,278)
Capital work-in progress as at March 31, 2025							119
Carrying value as at March 31, 2025	173	744	121	268	71	1	1,497
Capital work-in progress as at January 1, 2025							100
Carrying value as at January 1, 2025	167	756	125	220	73	1	1,442

The changes in the carrying value of property, plant and equipment for the three months ended March 31, 2024 are as follows:

(Dollars in millions)

Particulars	Land	Buildings	Plant and machinery	Computer equipment	Furniture and fixtures	Vehicles	Total
Gross carrying value as at January 1, 2024	172	1,381	622	1,021	406	6	3,608
Additions	-	34	22	41	10	-	107
Deletions**	-	-	(5)	(27)	(7)	-	(39)
Translation difference	(1)	(4)	(2)	(3)	(3)	-	(13)
Gross carrying value as at March 31, 2024	171	1,411	637	1,032	406	6	3,663
Accumulated depreciation as at January 1, 2024	-	(578)	(491)	(753)	(320)	(5)	(2,147)
Depreciation	-	(13)	(14)	(40)	(11)	-	(78)
Accumulated depreciation on deletions*	-	-	5	26	7	-	38
Translation difference	-	1	2	2	2	-	7
Accumulated depreciation as at March 31, 2024	-	(590)	(498)	(765)	(322)	(5)	(2,180)
Capital work-in progress as at March 31, 2024							54
Carrying value as at March 31, 2024	171	821	139	267	84	1	1,537
Capital work-in progress as at January 1, 2024							86
Carrying value as at January 1, 2024	172	803	131	268	86	1	1,547

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2025 are as follows:

(Dollars in millions)

Particulars	Land	Buildings	Plant and machinery	Computer equipment	Furniture and fixtures	Vehicles	Total
Gross carrying value as at April 1, 2024	171	1,411	637	1,032	406	6	3,663
Additions	6	5	30	154	22	-	217
Additions - Business Combination (Refer to Note 2.10)	-	-	1	1	3	-	5
Deletions**	-	(13)	(20)	(75)	(36)	-	(144)
Translation difference	(4)	(32)	(16)	(24)	(9)	-	(85)
Gross carrying value as at March 31, 2025	173	1,371	632	1,088	386	6	3,656
Accumulated depreciation as at April 1, 2024	-	(590)	(498)	(765)	(322)	(5)	(2,180)
Depreciation	-	(52)	(44)	(148)	(35)	-	(279)
Accumulated depreciation on deletions**	-	2	18	73	35	-	128
Translation difference	-	13	13	20	7	-	53
Accumulated depreciation as at March 31, 2025	-	(627)	(511)	(820)	(315)	(5)	(2,278)
Capital work-in progress as at April 1, 2024							54
Carrying value as at April 1, 2024	171	821	139	267	84	1	1,537
Capital work-in progress as at March 31, 2025							119
Carrying value as at March 31, 2025	173	744	121	268	71	1	1,497

** During the three months ended and year ended March 31, 2025, certain assets which were not in use having gross book value of \$13 million (net book value: Nil) and \$60 million (net book value: Nil) respectively, were retired

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2024 are as follows:

(Dollars in millions)

Particulars	Land	Buildings	Plant and machinery	Computer equipment	Furniture and fixtures	Vehicles	Total
Gross carrying value as at April 1, 2023	174	1,407	625	1,037	409	6	3,658
Additions	-	36	40	112	24	-	212
Deletions*	-	(7)	(19)	(102)	(20)	-	(148)
Translation difference	(3)	(25)	(9)	(15)	(7)	-	(59)
Gross carrying value as at March 31, 2024	171	1,411	637	1,032	406	6	3,663
Accumulated depreciation as at April 1, 2023	-	(552)	(468)	(709)	(300)	(5)	(2,034)
Depreciation	-	(54)	(56)	(167)	(47)	-	(324)
Accumulated depreciation on deletions*	-	7	18	101	19	-	145
Translation difference	-	9	8	10	6	-	33
Accumulated depreciation as at March 31, 2024	-	(590)	(498)	(765)	(322)	(5)	(2,180)
Capital work-in progress as at April 1, 2023							55
Carrying value as at April 1, 2023	174	855	157	328	109	1	1,679
Capital work-in progress as at March 31, 2024							54
Carrying value as at March 31, 2024	171	821	139	267	84	1	1,537

* During the three months ended and year ended March 31, 2024, certain assets which were not in use having gross book value of \$22 million (net book value: Nil) and \$ 93 million (net book value: Nil) respectively, were retired

The aggregate depreciation expense is included in cost of sales in the interim condensed consolidated statement of comprehensive income.

Repairs and maintenance costs are recognized in the consolidated statement of comprehensive income when incurred.

Consequent to the Companies (Corporate Social Responsibility Policy) Amendment Rules, 2021 ("the Rules"), the Company was required to transfer its CSR capital assets installed prior to January 2021. Towards this the Company had incorporated a subsidiary 'Infosys Green Forum' (IGF) under Section 8 of the Companies Act, 2013. During the year ended March 31, 2022 the Company had completed the transfer of assets upon obtaining the required approvals from regulatory authorities, as applicable. During March 31, 2024, the application filed by IGF for registration u/s.12AB of the Income Tax Act was rejected and registration cancelled. IGF has filed an appeal against this order before Income Tax Appellate Tribunal.

The Group had contractual commitments for capital expenditure primarily comprising of commitments for infrastructure facilities and computer equipments aggregating to \$109 million and \$94 million as at March 31, 2025 and March 31, 2024, respectively.

2.8 Leases

Accounting Policy

The Group as a lessee

The Group's lease asset classes primarily consist of leases for land, buildings and computers. The group assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the group assesses whether: (1) the contract involves the use of an identified asset (2) the group has substantially all of the economic benefits from use of the asset through the period of the lease and (3) the group has the right to direct the use of the asset.

At the date of commencement of the lease, the Group recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Group recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

As a lessee, the Group determines the lease term as the non-cancellable period of a lease adjusted with any option to extend or terminate the lease, if the use of such option is reasonably certain. The Group makes an assessment on the expected lease term on a lease-by-lease basis and thereby assesses whether it is reasonably certain that any options to extend or terminate the contract will be exercised. In evaluating the lease term, the Group considers factors such as any significant leasehold improvements undertaken over the lease term, costs relating to the termination of the lease and the importance of the underlying asset to Group's operations taking into account the location of the underlying asset and the availability of suitable alternatives. The lease term in future periods is reassessed to ensure that the lease term reflects the current economic circumstances.

Certain lease arrangements include the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset.

Right-of-use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related right-of-use asset if the Group changes its assessment if whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

The Group as a lessor

Leases for which the Group is a lessor is classified as a finance or operating lease. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sublease separately. The sublease is classified as a finance or operating lease by reference to the right-of-use asset arising from the head lease.

For operating leases, rental income is recognized on a straight-line basis over the term of the relevant lease.

Following are the changes in the carrying value of right-of-use assets for the three months ended March 31, 2025

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of January 1, 2025	70	390	3	278	741
Additions*	-	33	1	43	77
Deletions	-	(12)	-	(22)	(34)
Depreciation	-	(20)	-	(27)	(47)
Translation difference	-	1	(1)	1	1
Balance as of March 31, 2025	70	392	3	273	738

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right-of-use assets for the three months ended March 31, 2024

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of January 1, 2024	73	424	2	329	828
Additions*	-	8	-	45	53
Deletions	-	(11)	-	(26)	(37)
Depreciation	(1)	(21)	-	(29)	(51)
Translation difference	-	(4)	-	(3)	(7)
Balance as of March 31, 2024	72	396	2	316	786

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right-of-use assets for the year ended March 31, 2025

(Dollars in millions)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of April 1, 2024	72	396	2	316	786
Additions*	-	96	3	155	254
Addition due to Business Combination (Refer to Note 2.10)	-	19	1	-	20
Deletions	-	(28)	(1)	(77)	(106)
Depreciation	(1)	(84)	(1)	(115)	(201)
Translation difference	(1)	(7)	(1)	(6)	(15)
Balance as of March 31, 2025	70	392	3	273	738

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right-of-use assets for the year ended March 31, 2024

(Dollars in millions)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of April 1, 2023	76	474	2	285	837
Additions*	-	47	1	226	274
Deletions	(1)	(22)	-	(91)	(114)
Depreciation	(1)	(87)	(1)	(104)	(193)
Impairment	-	(10)	-	-	(10)
Translation difference	(2)	(6)	-	-	(8)
Balance as of March 31, 2024	72	396	2	316	786

* Net of adjustments on account of modifications and lease incentives

The aggregate depreciation expense on ROU assets is included in cost of sales in the interim condensed consolidated statement of comprehensive income.

The following is the break-up of current and non-current lease liabilities as of March 31, 2025 and March 31, 2024

(Dollars in millions)

Particulars	As at	
	March 31, 2025	March 31, 2024
Current lease liabilities	287	235
Non-current lease liabilities	675	767
Total	962	1,002

2.9 Goodwill and Intangible assets

2.9.1 Goodwill

Accounting Policy

Goodwill represents purchase consideration in excess of the Group's interest in the net fair value of identifiable assets, liabilities and contingent liabilities of the acquired entity. When the net fair value of the identifiable assets, liabilities and contingent liabilities acquired exceeds the purchase consideration, the fair value of net assets acquired is reassessed and the bargain purchase gain is recognized immediately in the net profit in the Statement of Comprehensive Income. Goodwill is measured at cost less accumulated impairment losses.

Impairment

Goodwill is tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit (CGU) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or groups of CGU's which benefit from the synergies of the acquisition and which represents the lowest level at which goodwill is monitored for internal management purposes. A CGU is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or group of assets. Impairment occurs when the carrying amount of a CGU including the goodwill, exceeds the estimated recoverable amount of the CGU. The recoverable amount of a CGU is the higher of its fair value less cost to sell and its value-in-use. Value-in-use is the present value of future cash flows expected to be derived from the CGU. Key assumptions in the cash flow projections are prepared based on current economic conditions and includes estimated long term growth rates, weighted average cost of capital and estimated operating margins.

Following is a summary of changes in the carrying amount of goodwill:

Particulars	(Dollars in millions)	
	As at	
	March 31, 2025	March 31, 2024
Carrying value at the beginning	875	882
Goodwill on acquisitions (Refer to note 2.10)	309	-
Translation differences	(2)	(7)
Carrying value at the end	1,182	875

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to the CGU or groups of CGUs, which benefit from the synergies of the acquisition.

The following table presents the allocation of goodwill to operating segments as at March 31, 2025 and March 31, 2024 respectively :

Segment	(Dollars in millions)	
	As at	
	March 31, 2025	March 31, 2024
Financial services	177	177
Retail	112	112
Communication	81	81
Energy, Utilities, Resources and Services	156	139
Manufacturing	349	69
Life Sciences	114	114
	989	692
Operating segments without significant goodwill	76	66
Total	1,065	758

The goodwill pertaining to Panaya amounting to \$117 and \$117 million as at March 31, 2025 and March 31, 2024, respectively is tested for impairment at the entity level.

The recoverable amount of a CGU is the higher of its fair value less cost to sell and its value-in-use. The fair value of a CGU is determined based on the market capitalization. Value-in-use is determined based on discounted future cash flows. The key assumptions used for the calculations are as follows:

	(in %)	
	As at	
	March 31, 2025	March 31, 2024
Long term growth rate	7-10	7-10
Operating margins	19-21	19-21
Discount rate	13	13

The above discount rate is based on the Weighted Average Cost of Capital (WACC) of the Company. As at March 31, 2025, the estimated recoverable amount of the CGU exceeded its carrying amount. Reasonable sensitivities in the key assumptions is unlikely to cause the carrying amount to exceed the recoverable amount of the cash generating units.

2.9.2 Intangible assets

Accounting Policy

Intangible assets are stated at cost less accumulated amortization and impairment. Intangible assets are amortized over their respective individual estimated useful lives on a straight-line basis, from the date that they are available for use. The estimated useful life of an identifiable intangible asset is based on a number of factors including the effects of obsolescence, demand, competition, and other economic factors (such as the stability of the industry and known technological advances), and the level of maintenance expenditures required to obtain the expected future cash flows from the asset. Amortization methods and useful lives are reviewed periodically including at each financial year end.

Research costs are expensed as incurred. Software product development costs are expensed as incurred unless technical and commercial feasibility of the project is demonstrated, future economic benefits are probable, the Group has an intention and ability to complete and use or sell the software and the costs can be measured reliably. The costs which can be capitalized include the cost of material, direct labour, overhead costs that are directly attributable to prepare the asset for its intended use.

Impairment

Intangible assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the CGU to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in the net profit in the statement of comprehensive income is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in the net profit in the statement of comprehensive income if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated amortization) had no impairment loss been recognized for the asset in prior years.

2.10 Business combinations

Accounting policy

Business combinations have been accounted for using the acquisition method under the provisions of IFRS 3 (Revised), Business Combinations.

The purchase price in an acquisition is measured at the fair value of the assets transferred, equity instruments issued and liabilities incurred or assumed at the date of acquisition, which is the date on which control is transferred to the Group. The purchase price also includes the fair value of any contingent consideration. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair value on the date of acquisition. Contingent consideration is remeasured at fair value at each reporting date and changes in the fair value of the contingent consideration are recognized in the interim condensed Consolidated Statement of Comprehensive Income.

The interest of non-controlling shareholders is initially measured either at fair value or at the non-controlling interests' proportionate share of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity of subsidiaries.

Business combinations between entities under common control is outside the scope of IFRS 3 (Revised), Business Combinations and is accounted for at carrying value of assets acquired and liabilities assumed.

The payments related to options issued by the Group over the non-controlling interests in its subsidiaries are accounted as financial liabilities and initially recognized at the estimated present value of gross obligations. Such options are subsequently measured at fair value in order to reflect the amount payable under the option at the date at which it becomes exercisable. In the event that the option expires unexercised, the liability is derecognized.

Acquisition

InSemi

On May 10, 2024, Infosys Ltd acquired 100% voting interests in InSemi Technology Services Private Limited, a semiconductor design services company headquartered in India. This acquisition is expected to strengthen our expertise in semiconductor ecosystem and Engineering R&D services.

The purchase price is allocated to assets acquired and liabilities assumed based upon determination of fair values at the date of acquisition as follows:

<i>(Dollars in million)</i>			
Component	Acquiree's carrying amount	Fair value adjustments	Purchase price allocated
Net Assets ⁽¹⁾	5	-	5
Intangible assets:			
Customer related [#]	-	7	7
Brand [#]	-	2	2
Deferred tax liabilities on intangible assets	-	(2)	(2)
Total			12
Goodwill			12
Total purchase price			24

⁽¹⁾ Includes cash and cash equivalents acquired of \$5 million.

[#] The estimated useful life is around 1 year to 5 years

The excess of the purchase consideration paid over the fair value of assets acquired has been attributed to goodwill. The primary items that generated this goodwill are the value of the acquired assembled workforce and estimated synergies, neither of which qualify as an intangible asset.

Goodwill is not tax-deductible.

The purchase consideration of \$24 million includes cash of \$20 million and contingent consideration with an estimated fair value of \$4 million as on the date of acquisition.

At the acquisition date, the key inputs used in determination of the fair value of contingent consideration are the probabilities assigned towards achievement of financial targets and discount rate of 5.9%. The undiscounted value of contingent consideration as of March 31, 2025 was \$4 million.

Additionally, this acquisition has retention bonus and management incentive payable to the employees of the acquiree over three years, subject to their continuous employment with the Group and achievement of financial targets for the respective years. Bonus and incentives are recognized in employee benefit expenses in the Consolidated Statement of Comprehensive Income over the period of service.

Fair value of trade receivables acquired is \$4 million as of acquisition date and as of March 31, 2025 the amounts are substantially collected.

Transaction costs that the Group incurs in connection with a business combination such as finder's fees, legal fees, due diligence fees, and other professional and consulting fees are expensed as incurred. The transaction costs of less than a million related to the acquisition have been included under administrative expenses in the Consolidated Statement of Comprehensive Income for the three months ended June 30, 2024.

in-tech Holding GmbH

On July 17, 2024, Infosys Germany GmbH wholly owned step down subsidiary of Infosys Limited acquired 100% voting interests in in-tech Holding GmbH, a leading provider of engineering R&D services headquartered in Germany. This acquisition is expected to strengthen Infosys' engineering R&D capabilities and reaffirms its continued commitment to global clients to navigate their digital engineering journey.

The purchase price is allocated to assets acquired and liabilities assumed based upon determination of fair values at the date of acquisition as follows:

<i>(Dollars in million)</i>			
Component	Acquiree's carrying amount	Fair value adjustments	Purchase price allocated
Assets ⁽¹⁾	87	-	87
Liabilities	(43)	-	(43)
Intangible assets:			
Customer related [#]	-	205	205
Brand [#]	-	18	18
Deferred tax liabilities on intangible assets	-	(61)	(61)
Goodwill			297
Loan	(118)	-	(118)
Total purchase price			385
Loan repayment			118
Total cash outflow			503

⁽¹⁾ Includes cash and cash equivalents acquired of \$23 million.

[#] The estimated useful life is around 6 years to 10 years

The excess of the purchase consideration paid over the fair value of assets acquired has been attributed to goodwill. The primary items that generated this goodwill are the value of the acquired assembled workforce and estimated synergies, neither of which qualify as an intangible asset.

Goodwill is not tax-deductible.

The total purchase consideration of \$385 million comprises the cash consideration paid to selling shareholders at the acquisition date.

Additionally, this acquisition has retention bonus and management incentive payable to the employees of the acquiree over two to five years, subject to their continuous employment with the Group and achievement of financial targets for the respective years. Bonus and incentives are recognized in employee benefit expenses in the Statement of Profit and loss over the period of service.

Fair value of trade receivables acquired is \$17 million as of acquisition date and as of March 31, 2025 the amounts are substantially collected.

Transaction costs that the Group incurs in connection with a business combination such as finder's fees, legal fees, due diligence fees, and other professional and consulting fees are expensed as incurred. The transaction costs of \$1 million related to the acquisition have been included under administrative expenses in the Consolidated Statement of Comprehensive Income for the quarter ended September 30, 2024.

Proposed acquisitions

On April 17, 2025, Infosys Singapore Pte Ltd., a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the equity share capital of The Missing Link, a leading Cybersecurity service provider headquartered in Australia, for a consideration including earn-outs amounting up to AUD 98 million (approximately \$62 million), excluding management incentives, and retention bonus, subject to customary closing adjustments.

On April 17, 2025, Infosys Nova Holdings LLC, a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the partnership interests of MRE Consulting Ltd, a leading Energy Consulting company, headquartered in USA, for a consideration including earn-outs amounting up to \$36 million, excluding management incentives, and retention bonus, subject to customary closing adjustments. To consummate this transaction, Infosys Nova Holdings LLC has simultaneously incorporated an entity Infosys Energy Consulting Services LLC.

2.11 Employees' Stock Option Plans (ESOP)

Accounting Policy

The Group recognizes compensation expense relating to share-based payments in net profit based on estimated fair-values of the awards on the grant date. The estimated fair value of awards is recognized as an expense in net profit in the interim condensed consolidated statement of comprehensive income on a straight-line basis over the requisite service period for each separately vesting portion of the award as if the award was in-substance, multiple awards with a corresponding increase to share premium.

Infosys Expanded Stock Ownership Program 2019 (the 2019 Plan)

On June 22, 2019 pursuant to approval by the shareholders in the Annual General Meeting, the Board has been authorized to introduce, offer, issue and provide share-based incentives to eligible employees of the Company and its subsidiaries under the 2019 Plan. The maximum number of shares under the 2019 plan shall not exceed 50,000,000 equity shares. To implement the 2019 Plan, up to 45,000,000 equity shares may be issued by way of secondary acquisition of shares by Infosys Expanded Stock Ownership Trust. The Restricted Stock Units (RSUs) granted under the 2019 plan shall vest based on the achievement of defined annual performance parameters as determined by the administrator (Nomination and Remuneration Committee). The performance parameters will be based on a combination of relative Total Shareholder Return (TSR) against selected industry peers and certain broader market domestic and global indices and operating performance metrics of the company as decided by administrator. Each of the above performance parameters will be distinct for the purposes of calculation of quantity of shares to vest based on performance. These instruments will generally vest between a minimum of 1 to maximum of 3 years from the grant date.

2015 Stock Incentive Compensation Plan (the 2015 Plan):

On March 31, 2016, pursuant to the approval by the shareholders through postal ballot, the Board was authorized to introduce, offer, issue and allot share-based incentives to eligible employees of the Company and its subsidiaries under the 2015 Plan. The maximum number of shares under the 2015 plan shall not exceed 24,038,883 equity shares (this includes 11,223,576 equity shares which are held by the trust towards the 2011 Plan as at March 31, 2016). These instruments will generally vest over a period of 4 years. The plan numbers mentioned above are further adjusted with the September 2018 bonus issue.

The equity settled and cash settled RSUs and stock options would vest generally over a period of 4 years and shall be exercisable within the period as approved by the Nomination and Remuneration Committee (NARC). The exercise price of the RSUs will be equal to the par value of the shares and the exercise price of the stock options would be the market price as on the date of grant.

Controlled trust holds 9,655,927 and 10,916,829 shares as at March 31, 2025 and March 31, 2024, respectively under the 2015 plan. Out of these shares, 2,00,000 equity shares each have been earmarked for welfare activities of the employees as at March 31, 2025 and March 31, 2024.

The following is the summary of grants during three months and year ended March 31, 2025 and March 31, 2024:

Particulars	2019 Plan				2015 Plan			
	Three months ended March 31,		Year ended March 31,		Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024	2025	2024	2025	2024
Equity settled RSUs								
Key Management Personnel (KMP)	49,000	26,900	119,699	141,171	85,674	77,094	380,842	498,730
Employees other than KMP	3,617,798	3,582,471	3,624,646	4,046,731	1,722,470	3,442,700	1,874,690	4,640,640
Total Grants	3,666,798	3,609,371	3,744,345	4,187,902	1,808,144	3,519,794	2,255,532	5,139,370
Cash settled RSUs								
Key Management Personnel (KMP)	-	-	-	-	-	-	-	-
Employees other than KMP	-	-	-	-	94,050	169,040	94,050	176,990
	-	-	-	-	94,050	169,040	94,050	176,990
Total Grants	3,666,798	3,609,371	3,744,345	4,187,902	1,902,194	3,688,834	2,349,582	5,316,360

Notes on grants to KMP:

CEO & MD

Under the 2015 plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee approved the following grants for fiscal 2025. In accordance with such approval the following grants were made effective May 2, 2024.

- 245,679 performance-based RSUs (Annual performance equity grant) of fair value of ₹34.75 crore. These RSUs will vest in line with the employment agreement based on achievement of certain performance targets.

- 14,140 performance-based grant of RSUs (Annual performance equity ESG grant) of fair value of ₹2 crore. These RSUs will vest in line with the employment agreement based on achievement of certain environment, social and governance milestones as determined by the Board.

- 35,349 performance-based grant of RSUs (Annual performance Equity TSR grant) of fair value of ₹5 crore. These RSUs will vest in line with the employment agreement based on Company's performance on cumulative relative TSR over the years and as determined by the Board.

Further, in accordance with the employee agreement which has been approved by the shareholders, the CEO is eligible to receive an annual grant of RSUs of fair value ₹3 crore which will vest overtime in three equal annual installments upon the completion of each year of service from the respective grant date. Accordingly, annual time-based grant of 16,204 RSUs was made effective February 1, 2025 for fiscal 2025.

Though the annual time based grants and annual performance equity TSR grant for the remaining employment term ending on March 31, 2027 have not been granted as of March 31, 2025, since the service commencement date precedes the grant date, the company has recorded employment stock compensation expense in accordance with IFRS 2, Share based payments. The grant date for this purpose in accordance with IFRS 2, Share based payments is July 1, 2022.

Under the 2019 plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee, approved performance-based grant of RSUs amounting to ₹10 crore for fiscal 2025 under the 2019 Plan. These RSUs will vest based on achievement of certain performance targets. Accordingly, 70,699 performance based RSU's were granted effective May 2, 2024.

Other KMP**Under the 2015 plan:**

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved 69,470 time based RSUs to other KMP under the 2015 plan. Time based RSUs will vest over four years.

Under the 2019 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved performance based grants of 49,000 RSUs to other KMPs under the 2019 plan. These RSUs will vest over three years based on achievement of certain performance targets.

The break-up of employee stock compensation expense is as follows:*(Dollars in millions)*

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Granted to:				
KMP	2	2	8	8
Employees other than KMP	21	25	87	71
Total ⁽¹⁾	23	27	95	79
⁽¹⁾ Cash settled stock compensation expense included in the above	-	1	2	2

The fair value of the awards are estimated using the Black-Scholes Model for time and non-market performance based options and Monte Carlo simulation model is used for TSR based options.

The inputs to the model include the share price at date of grant, exercise price, expected volatility, expected dividends, expected term and the risk free rate of interest. Expected volatility during the expected term of the options is based on historical volatility of the observed market prices of the Company's publicly traded equity shares during a period equivalent to the expected term of the options. Expected volatility of the comparative company have been modelled based on historical movements in the market prices of their publicly traded equity shares during a period equivalent to the expected term of the options. Correlation coefficient is calculated between each peer entity and the indices as a whole or between each entity in the peer group.

The fair value of each equity settled award is estimated on the date of grant using the following assumptions:

Particulars	For options granted in			
	Fiscal 2025- Equity Shares- RSU	Fiscal 2025- ADS-RSU	Fiscal 2024- Equity Shares- RSU	Fiscal 2024- ADS-RSU
Weighted average share price (₹) / (\$ ADS)	1,808	21.44	1,588	19.19
Exercise price (₹) / (\$ ADS)	5.00	0.07	5.00	0.07
Expected volatility (%)	21-26	23-28	23-31	25-33
Expected life of the option (years)	1-4	1-4	1-4	1-4
Expected dividends (%)	2-3	2-3	2-3	2-3
Risk-free interest rate (%)	7	4-5	7	4-5
Weighted average fair value as on grant date (₹) / (\$ ADS)	1,555	18.20	1,317	16.27

The expected life of the RSU/ESOP is estimated based on the vesting term and contractual term of the RSU/ESOP, as well as expected exercise behavior of the employee who receives the RSU/ESOP.

2.12 Income Taxes

Accounting policy

Income tax expense comprises current and deferred income tax. Income tax expense is recognized in net profit in the consolidated statement of comprehensive income except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity or other comprehensive income. Current income tax for current and prior periods is recognized at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date. Deferred income tax assets and liabilities are recognized for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profit or loss at the time of the transaction. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred income tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect of changes in tax rates on deferred income tax assets and liabilities is recognized as income or expense in the period that includes the enactment or the substantive enactment date. A deferred income tax asset is recognized to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilized. Deferred income taxes are not provided on the undistributed earnings of subsidiaries and branches where it is expected that the earnings of the subsidiary or branch will not be distributed in the foreseeable future.

The Group offsets current tax assets and current tax liabilities; deferred tax assets and deferred tax liabilities, where it has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously. The income tax provision for the interim period is made based on the best estimate of the annual average tax rate expected to be applicable for the full financial year. Tax benefits of deductions earned on exercise of employee share options in excess of compensation charged to income are credited to equity.

Income tax expense in the interim condensed consolidated statement of comprehensive income comprises:

Particulars	(Dollars in million)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Current taxes				
Domestic taxes	245	124	1,089	768
Foreign taxes	77	18	346	247
	322	142	1,435	1,015
Deferred taxes				
Domestic taxes	(27)	114	(110)	180
Foreign taxes	8	17	(40)	(18)
	(19)	131	(150)	162
Income tax expense	303	273	1,285	1,177

Income tax expense for the three months ended March 31, 2025 and March 31, 2024 includes reversal (net of provisions) of \$14 million and \$105 million, respectively. Income tax expense for the year ended March 31, 2025 and March 31, 2024 includes provisions (net of reversals) of \$16 million and reversal (net of provisions) of \$113 million, respectively. These provisions and reversals pertaining to prior periods are primarily on account of adjudication of certain disputed matters, upon filing of tax return and completion of assessments, across various jurisdictions

During the three months ended March 31, 2025, the Company received orders under section 250 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2016-17 and 2019-20. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of \$38 million was recognised and provision for income tax aggregating \$21 million was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to \$125 million has been reduced from contingent liabilities.

Deferred income tax for the three months ended and year ended March 31, 2025 and March 31, 2024 substantially relates to origination and reversal of temporary differences

The Company's Advanced Pricing Arrangement (APA) with the Internal Revenue Service (IRS) for US branch income tax expired in March 2021. The Company has applied for renewal of APA and currently the US taxable income is based on the Company's best estimate determined based on the expected value method.

As at March 31, 2025, claims against the Group not acknowledged as debts from the Income tax authorities amounted to \$226 million (₹1,933 crore). As at March 31, 2024, claims against the Group not acknowledged as debts from the Income tax authorities amounted to \$335 million (₹2,794 crore).

Amount paid to statutory authorities against the tax claims amounted to \$491 million (₹4,199 crore) and \$1,048 million (₹8,743 crore) as at March 31, 2025 and March 31, 2024 respectively

The claims against the Group primarily represent demands arising on completion of assessment proceedings under the Income Tax Act, 1961. These claims are on account of issues of disallowance of expenditure towards software being held as capital in nature, payments made to Associated Enterprises held as liable for withholding of taxes, among others. These matters are pending before various Income Tax Authorities and the Management including its tax advisors expect that its position will likely be upheld on ultimate resolution and will not have a material adverse effect on the Group's financial position and results of operations.

2.13 Earnings per equity share

Accounting Policy

Basic earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares outstanding during the period. Diluted earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. The dilutive potential equity shares are adjusted for the proceeds receivable had the equity shares been actually issued at fair value (i.e. the average market value of the outstanding equity shares). Dilutive potential equity shares are deemed converted as of the beginning of the period, unless issued at a later date. Dilutive potential equity shares are determined independently for each period presented.

The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any share splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

2.14 Related party transactions

Refer Note 2.20 "Related party transactions" in the Company's 2024 Annual Report on Form 20-F for the full names and other details of the Company's subsidiaries and controlled trusts.

Changes in Subsidiaries

During the year ended March 31, 2025, the following are the changes in the subsidiaries:

- Danske IT and Support Services India Private Limited renamed as IDUNN Information Technology Private Limited
- On May 10, 2024 Infosys Ltd. acquired 100% of voting interests in InSemi Technology Services Private Limited along with its subsidiary Elbrus Labs Private Limited
- Infosys Services (Thailand) Limited, a Wholly-owned subsidiary of Infosys Limited was incorporated on July 26, 2024.
- Infy tech SAS, a Wholly-owned subsidiary of Infosys Singapore Pte Limited was incorporated on July 03, 2024.
- On July 17, 2024, Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited, acquired 100% of voting interests in in-tech Holding GmbH along with its subsidiary in-tech GmbH along with its six subsidiaries in-tech Automotive Engineering SL, ProIT, in-tech Automotive Engineering de R.L. de C.V, drivetech Fahrversuch GmbH, Friedrich Wagner Holding Inc along with its two subsidiaries (in-tech Automotive Engineering LLC and in-tech Services LLC) and Friedrich & Wagner Asia Pacific GmbH along with its five subsidiaries in-tech engineering s.r.o, in-tech engineering GmbH, in-tech engineering services S.R.L, in-tech Group Ltd along with its subsidiary (in-tech Group India Private Limited) and In-tech Automotive Engineering Shenyang Co., Ltd along with its subsidiary (In-tech Automotive Engineering Beijing Co., Ltd). Subsequently on September 01, 2024 in-tech Group India Private Limited became a wholly-owned subsidiary of Infosys limited.
- On October 17, 2024, Infosys Singapore Pte Ltd. acquired 100% of voting interests in Blitz 24-893 SE ,Germany
- Skava systems Private Limited, a wholly-owned subsidiary of Infosys ltd has been liquidated effective November 14, 2024
- in-tech Automotive Engineering de. R L de. C V, a wholly-owned subsidiary of in-tech GmbH is under liquidation.
- Friedrich Wagner Holding Inc, a wholly-owned subsidiary of in-tech GmbH is under liquidation.
- in-tech Services LLC, a wholly-owned subsidiary of Friedrich Wagner Holding Inc has been liquidated effective November 30, 2024
- in-tech Automotive Engineering LLC, a wholly-owned subsidiary of Friedrich Wagner Holding Inc has been liquidated effective November 30, 2024
- Infosys Consulting S.r.l. (Romania) renamed as Infosys Romania S.r.l.
- Kaleidoscope Animations, a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- Blue Acorn iCi Inc, a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- WongDoody Inc, a wholly-owned subsidiary of Infosys limited merged into Infosys Nova Holdings LLC effective January 1, 2025
- Outbox systems Inc. dba Simplus (US), a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- in-tech Holding GmbH, a wholly-owned subsidiary of Infosys Singapore Pte. Limited merged into in-tech GmbH effective January 1, 2025
- Friedrich & Wagner Asia Pacific GmbH, a wholly-owned subsidiary of in-tech GmbH merged into in-tech GmbH effective January 1, 2025
- Infosys Limited SPC, a Wholly-owned subsidiary of Infosys Limited was incorporated on December 12, 2024.
- Infosys BPM Netherlands B.V., a Wholly-owned subsidiary of Infosys BPM Limited was incorporated on March 20, 2025.

Change in key management personnel

The following are the changes in the key management personnel:

Executive Officers:

- Jayesh Sanghrajka (appointed as Chief Financial Officer effective April 1, 2024)

Transactions with key management personnel

The table below describes the compensation to key management personnel which comprise directors and executive officers:

Particulars	(Dollars in millions)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Salaries and other short term employee benefits to whole-time directors and executive officers ⁽¹⁾⁽²⁾	4	4	14	14
Commission and other benefits to non-executive/ independent directors	-	1	2	2
Total	4	5	16	16

⁽¹⁾ Total employee stock compensation expense for the three months ended March 31, 2025 and March 31, 2024 includes a charge of \$2 million and \$2 million respectively, towards key management personnel. For the year ended March 31, 2025 and March 31, 2024, includes a charge of \$8 million and \$ 8 million respectively, towards key management personnel. (Refer note 2.11).

⁽²⁾ Does not include post-employment benefits and other long-term benefits, based on actuarial valuation as these are done for the Company as a whole.

2.15 Segment reporting

IFRS 8 Operating Segments establishes standards for the way that public business enterprises report information about operating segments and related disclosures about products and services, geographic areas, and major customers. The Group's operations predominantly relate to providing end-to-end business solutions to enable clients to enhance business performance.

The Chief Operating Decision Maker (CODM) evaluates the Group's performance and allocates resources based on an analysis of various performance indicators by business segments. Accordingly, information has been presented along business segments. The accounting principles used in the preparation of the financial statements are consistently applied to record revenue and expenditure in individual segments, and are as set out in the accounting policies.

Business segments of the Group are primarily enterprises in Financial Services and Insurance, enterprises in Manufacturing, enterprises in Retail, Consumer Packaged Goods and Logistics, enterprises in the Energy, Utilities, Resources and Services, enterprises in Communication, Telecom OEM and Media, enterprises in Hi-Tech, enterprises in Life Sciences and Healthcare and all other segments. The Financial services reportable segments has been aggregated to include the Financial Services operating segment and Finacle operating segment because of the similarity of the economic characteristics. All other segments represent the operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services.

Revenue and identifiable operating expenses in relation to segments are categorized based on items that are individually identifiable to that segment. Revenue for 'all other segments' represents revenue generated by Infosys Public Services and revenue generated from customers located in India, Japan and China and other enterprises in public service. Allocated expenses of segments include expenses incurred for rendering services from the Group's offshore software development centers and on-site expenses, which are categorized in relation to the associated efforts of the segment. Certain expenses such as depreciation and amortization, which form a significant component of total expenses, are not specifically allocable to specific segments as the underlying assets are used interchangeably. The Management believes that it is not practical to provide segment disclosures relating to those costs and expenses, and accordingly these expenses are separately disclosed as "unallocated" and adjusted against the total income of the Group.

Assets and liabilities used in the Group's business are not identified to any of the reportable segments, as these are used interchangeably between segments. The Management believes that it is currently not practicable to provide segment disclosures relating to total assets and liabilities since a meaningful segregation of the available data is onerous.

Business segment revenue information is collated based on individual customers invoiced or in relation to which the revenue is otherwise recognized.

Disclosure of revenue by geographic locations is given in note 2.16 Revenue from operations

2.15.1 Business segments

For the three months ended March 31, 2025 and March 31, 2024

Particulars	(Dollars in millions)								Total
	Financial Services ⁽¹⁾	Retail ⁽²⁾	Communication ⁽³⁾	Energy, Utilities, Resources and Services	Manufacturing	Hi-Tech	Life Sciences ⁽⁴⁾	All other segments ⁽⁵⁾	
Revenue	1,342	629	554	614	754	393	320	124	4,730
	1,205	653	562	610	673	399	332	130	4,564
Identifiable operating expenses	770	316	355	320	483	232	190	71	2,737
	727	312	366	327	440	240	197	78	2,687
Allocated expenses	231	123	102	111	133	69	59	23	851
	244	117	99	111	103	62	59	25	820
Segment Profit	341	190	97	183	138	92	71	30	1,142
	234	224	97	172	130	97	76	27	1,057
Unallocable expenses									150
									140
Operating profit									992
									917
Other income, net									137
									328
Finance Cost									12
									13
Profit before income taxes									1,117
									1,232
Income tax expense									303
									273
Net profit									814
									959
Depreciation and amortization									150
									140
Non-cash expenses other than depreciation and amortization									-
									-

⁽¹⁾ Financial Services include enterprises in Financial Services and Insurance

⁽²⁾ Retail includes enterprises in Retail, Consumer Packaged Goods and Logistics

⁽³⁾ Communication includes enterprises in Communication, Telecom OEM and Media

⁽⁴⁾ Life Sciences includes enterprises in Life sciences and Health care

⁽⁵⁾ Others include operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services

For the year ended March 31, 2025 and March 31, 2024

(Dollars in millions)

Particulars	Financial Services ⁽¹⁾	Retail ⁽²⁾	Communication ⁽³⁾	Energy, Utilities, Resources and Services	Manufacturing	Hi-Tech	Life Sciences ⁽⁴⁾	All other segments ⁽⁵⁾	Total
Revenue	5,342	2,609	2,260	2,568	2,980	1,548	1,400	570	19,277
	5,093	2,719	2,173	2,417	2,696	1,498	1,391	575	18,562
Identifiable operating expenses	3,059	1,293	1,469	1,406	1,911	897	848	354	11,237
	2,993	1,414	1,337	1,309	1,763	874	811	355	10,856
Allocated expenses	971	472	396	441	495	270	237	118	3,400
	973	473	391	444	423	245	230	128	3,307
Segment Profit	1,312	844	395	721	574	381	315	98	4,640
	1,127	832	445	664	510	379	350	92	4,399
Unallocable expenses									569
									565
Operating profit									4,071
									3,834
Other income, net									425
									568
Finance Cost									49
									56
Profit before income taxes									4,447
									4,346
Income tax expense									1,285
									1,177
Net profit									3,162
									3,169
Depreciation and amortization									569
									565
Non-cash expenses other than depreciation and amortization									-
									-

⁽¹⁾ Financial Services include enterprises in Financial Services and Insurance

⁽²⁾ Retail includes enterprises in Retail, Consumer Packaged Goods and Logistics

⁽³⁾ Communication includes enterprises in Communication, Telecom OEM and Media

⁽⁴⁾ Life Sciences includes enterprises in Life sciences and Health care

⁽⁵⁾ Others include operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services

2.15.2 Significant clients

No client individually accounted for more than 10% of the revenues for the three months and year ended March 31, 2025 and March 31, 2024, respectively.

2.16 Revenue from Operations

Accounting Policy:

The Group derives revenues primarily from IT services comprising software development and related services, cloud and infrastructure services, maintenance, consulting and package implementation, licensing of software products and platforms across the Group's core and digital offerings (together called as "software related services") and business process management services. Contracts with customers are either on a time-and-material, unit of work, fixed-price or on a fixed-timeframe basis.

Revenues from customer contracts are considered for recognition and measurement when the contract has been approved in writing, by the parties, to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. Revenue is recognized upon transfer of control of promised products or services ("performance obligations") to customers in an amount that reflects the consideration the Group has received or expects to receive in exchange for these products or services ("transaction price"). When there is uncertainty as to collectability, revenue recognition is postponed until such uncertainty is resolved.

The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. The Group allocates the transaction price to each distinct performance obligation based on the relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In the absence of such evidence, the primary method used to estimate standalone selling price is the expected cost plus a margin, under which the Group estimates the cost of satisfying the performance obligation and then adds an appropriate margin based on similar services.

The Group's contracts may include variable consideration including rebates, volume discounts and penalties. The Group includes variable consideration as part of transaction price when there is a basis to reasonably estimate the amount of the variable consideration and when it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved.

Revenue on time-and-material and unit of work based contracts, are recognized as the related services are performed. Fixed price maintenance revenue is recognized ratably either on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and Group's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Efforts or costs expended are used to determine progress towards completion as there is a direct relationship between input and productivity. Progress towards completion is measured as the ratio of costs or efforts incurred to date (representing work performed) to the estimated total costs or efforts. Estimates of transaction price and total costs or efforts are continuously monitored over the term of the contracts and are recognized in net profit in the period when these estimates change or when the estimates are revised. Revenues and the estimated total costs or efforts are subject to revision as the contract progresses. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

The billing schedules agreed with customers include periodic performance based billing and / or milestone based progress billings. Revenues in excess of billing are classified as unbilled revenue while billing in excess of revenues are classified as contract liabilities (which we refer to as unearned revenues).

In arrangements for software development and related services and maintenance services, by applying the revenue recognition criteria for each distinct performance obligation, the arrangements with customers generally meet the criteria for considering software development and related services as distinct performance obligations. For allocating the transaction price, the Group measures the revenue in respect of each performance obligation of a contract at its relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In cases where the Group is unable to determine the standalone selling price, the Group uses the expected cost plus margin approach in estimating the standalone selling price. For software development and related services, the performance obligations are satisfied as and when the services are rendered since the customer generally obtains control of the work as it progresses.

Certain cloud and infrastructure services contracts include multiple elements which may be subject to other specific accounting guidance, such as leasing guidance. These contracts are accounted in accordance with such specific accounting guidance. In such arrangements where the Group is able to determine that hardware and services are distinct performance obligations, it allocates the consideration to these performance obligations on a relative standalone selling price basis. In the absence of standalone selling price, the Group uses the expected cost-plus margin approach in estimating the standalone selling price. When such arrangements are considered as a single performance obligation, revenue is recognized over the period and measure of progress is determined based on promise in the contract.

Revenue from licenses where the customer obtains a "right to use" the licenses is recognized at the time the license is made available to the customer. Revenue from licenses where the customer obtains a "right to access" is recognized over the access period.

Arrangements to deliver software products generally have three elements: license, implementation and Annual Technical Services (ATS). When implementation services are provided in conjunction with the licensing arrangement and the license and implementation have been identified as two distinct separate performance obligations, the transaction price for such contracts are allocated to each performance obligation of the contract based on their relative standalone selling prices. In the absence of standalone selling price for implementation, the Group uses the expected cost plus margin approach in estimating the standalone selling price. Where the license is required to be substantially customized as part of the implementation service the entire arrangement fee for license and implementation is considered to be a single performance obligation and the revenue is recognized using the percentage-of-completion method as the implementation is performed. Revenue from client training, support and other services arising due to the sale of software products is recognized as the performance obligations are satisfied. ATS revenue is recognized ratably on a straight-line basis over the period in which the services are rendered.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

A contract modification is a change in the scope or price or both of a contract that is approved by the parties to the contract. A contract modification that results in the addition of distinct performance obligations are accounted for either as a separate contract if the additional services are priced at the standalone selling price or as a termination of the existing contract and creation of a new contract if they are not priced at the standalone selling price. If the modification does not result in a distinct performance obligation, it is accounted for as part of the existing contract on a cumulative catch-up basis.

The incremental costs of obtaining a contract (i.e., costs that would not have been incurred if the contract had not been obtained) are recognized as an asset if the Group expects to recover them.

Certain eligible, nonrecurring costs (e.g. set-up or transition or transformation costs) that do not represent a separate performance obligation are recognized as an asset when such costs (a) relate directly to the contract; (b) generate or enhance resources of the Group that will be used in satisfying the performance obligation in the future; and (c) are expected to be recovered.

Capitalized contract costs relating to upfront payments to customers are amortized to revenue and other capitalized costs are amortized to cost of sales over the respective contract life on a systematic basis consistent with the transfer of goods or services to customer to which the asset relates. Capitalized costs are monitored regularly for impairment. Impairment losses are recorded when present value of projected remaining operating cash flows is not sufficient to recover the carrying amount of the capitalized costs

The Group presents revenues net of indirect taxes in its interim Consolidated Statement of Comprehensive Income.

Revenues for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(Dollars in millions)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Revenue from software services	4,507	4,341	18,379	17,549
Revenue from products and platforms	223	223	898	1,013
Total revenue from operations	4,730	4,564	19,277	18,562

Products & platforms

The Group also derives revenues from the sale of products and platforms like Finacle – core banking solution, Edge Suite of products, Panaya platform, Stater digital platform and Infosys McCamish – insurance platform.

Disaggregated revenue information

Revenue disaggregation by business segments has been included in segment information (Refer note 2.15). The table below presents disaggregated revenues from contracts with customers by geography and contract type. The Group believes that this disaggregation best depicts how the nature, amount, timing and uncertainty of revenues and cash flows are affected by industry, market and other economic factors.

Three months and year ended March 31, 2025 and March 31, 2024

Particulars	(Dollars in millions)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Revenues by Geography*				
North America	2,698	2,721	11,166	11,163
Europe	1,476	1,307	5,745	5,105
India	139	100	593	469
Rest of the world	417	436	1,773	1,825
Total	4,730	4,564	19,277	18,562

* Geographical revenue is based on the domicile of customer

The percentage of revenue from fixed-price contracts for the three months ended March 31, 2025 and March 31, 2024 is 54% and 54%, respectively. The percentage of revenue from fixed-price contracts for the year ended March 31, 2025 and March 31, 2024 is 54% and 53%, respectively

Trade Receivables and Contract Balances

The timing of revenue recognition, billings and cash collections results in receivables, unbilled revenue, and unearned revenue on the Group's Consolidated Balance Sheet. Amounts are billed as work progresses in accordance with agreed-upon contractual terms, either at periodic intervals (e.g., monthly or quarterly) or upon achievement of contractual milestones.

The Group's receivables are rights to consideration that are unconditional. Unbilled revenues comprising revenues in excess of billings from time and material contracts and fixed price maintenance contracts are classified as financial asset when the right to consideration is unconditional and is due only after a passage of time.

Invoicing to the clients for other fixed price contracts is based on milestones as defined in the contract and therefore the timing of revenue recognition is different from the timing of invoicing to the customers. Therefore, unbilled revenues for other fixed price contracts (contract asset) are classified as non-financial asset because the right to consideration is dependent on completion of contractual milestones.

Invoicing in excess of earnings are classified as unearned revenue.

Trade receivable and unbilled revenues are presented net of impairment in the consolidated balance sheet.

2.17 Unbilled Revenue

Particulars	(Dollars in millions)	
	As at	
	March 31, 2025	March 31, 2024
Unbilled financial asset ⁽¹⁾	1,195	1,151
Unbilled non financial asset ⁽²⁾	569	593
Total	1,764	1,744

⁽¹⁾ Right to consideration is unconditional and is due only after a passage of time.

⁽²⁾ Right to consideration is dependent on completion of contractual milestones.

2.18 Equity

Accounting policy

Ordinary Shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issuance of new ordinary shares, share options and buyback are recognized as a deduction from equity, net of any tax effects.

Treasury Shares

When any entity within the Group purchases the company's ordinary shares, the consideration paid including any directly attributable incremental cost is presented as a deduction from total equity, until they are cancelled, sold or reissued. When treasury shares are sold or reissued subsequently, the amount received is recognized as an increase in equity, and the resulting surplus or deficit on the transaction is transferred to/ from Share premium.

Share premium

The amount received in excess of the par value has been classified as share premium. Additionally, share-based compensation recognized in net profit in the interim condensed consolidated statement of comprehensive income is credited to share premium. Amounts have been utilized for bonus issue and share buyback from share premium account.

The Company has only one class of shares referred to as equity shares having a par value of ₹5/-.

Retained earnings

Retained earnings represent the amount of accumulated earnings of the Group.

Other Reserves

The Special Economic Zone Re-investment reserve has been created out of the profit of the eligible SEZ unit in terms of the provisions of Sec 10AA (1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Company for acquiring new plant and machinery for the purpose of its business in terms of the provisions of the Sec 10AA (2) of the Income Tax Act, 1961.

Capital Redemption Reserve

In accordance with section 69 of the Indian Companies Act, 2013, the Company creates capital redemption reserve equal to the nominal value of the shares bought back as an appropriation from general reserve / retained earnings.

Cash flow hedge reserve

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the net profit in the interim condensed consolidated Statement of Comprehensive Income upon the occurrence of the related forecasted transaction.

Other components of equity

Other components of equity include currency translation, re-measurement of net defined benefit liability/asset, fair value changes of equity instruments fair valued through other comprehensive income, changes on fair valuation of investments, net of taxes.

2.18.1 Voting

Each holder of equity shares is entitled to one vote per share. The equity shares represented by American Depositary Shares (ADS) carry similar rights to voting and dividends as the other equity shares. Each ADS represents one underlying equity share.

2.18.2 Liquidation

In the event of liquidation of the company, the holders of shares shall be entitled to receive any of the remaining assets of the company, after distribution of all preferential amounts. However, no such preferential amounts exist currently, other than the amounts held by irrevocable controlled trusts. The amount distributed will be in proportion to the number of equity shares held by the shareholders. For irrevocable controlled trusts, the corpus would be settled in favor of the beneficiaries.

2.18.3 Share options

There are no voting, dividend or liquidation rights to the holders of options issued under the company's share option plans.

2.18.4 Share capital and share premium

The Company has only one class of shares referred to as equity shares having a par value of ₹5/- each. 96,55,927 shares and 10,916,829 shares were held by controlled trust, as at March 31, 2025 and March 31, 2024, respectively.

2.18.5 Capital allocation policy

Effective fiscal 2025, the Company expects to continue its policy of returning approximately 85% of the free cash flow cumulatively over a 5-year period through a combination of semi-annual dividends and/or share buyback/ special dividends subject to applicable laws and requisite approvals, if any. Under this policy, the Company expects to progressively increase its annual dividend per share (excluding special dividend if any).

Free cash flow is defined as net cash provided by operating activities less capital expenditure as per the consolidated statement of cash flows prepared under IFRS. Dividend and buyback include applicable taxes.

The Company's objective when managing capital is to safeguard its ability to continue as a going concern and to maintain an optimal capital structure so as to maximize shareholder value. In order to maintain or achieve an optimal capital structure, the Company may adjust the amount of dividend payment, return capital to shareholders, issue new shares or buy back issued shares. As of March 31, 2025, the Company has only one class of equity shares and has no debt. Consequent to the above capital structure there are no externally imposed capital requirements.

Dividend

The final dividend on shares is recorded as a liability on the date of approval by the shareholders and interim dividends are recorded as a liability on the date of declaration by the Company's Board of Directors. Income tax consequences of dividends on financial instruments classified as equity will be recognized according to where the entity originally recognized those past transactions or events that generated distributable profits.

The Company declares and pays dividends in Indian rupees. Companies are required to pay/distribute dividend after deducting applicable taxes. The remittance of dividends outside India is governed by Indian law on foreign exchange and is also subject to withholding tax at applicable rates.

The amount of per share dividend recognized as distribution to equity shareholders is as follows:

Particulars	Year ended March 31, 2025		Year ended March 31, 2024	
	in ₹	in US Dollars	in ₹	in US Dollars
Interim dividend for fiscal 2025	21.00	0.25	-	-
Special dividend for fiscal 2024	8.00	0.10	-	-
Final dividend for fiscal 2024	20.00	0.24	-	-
Interim dividend for fiscal 2024	-	-	18.00	0.22
Final dividend for fiscal 2023	-	-	17.50	0.21

During the year ended March 31, 2025, on account of the final and special dividend for fiscal 2024 and interim dividend for fiscal 2025, the Company has incurred a net cash outflow of ₹20,295 crore (approximately \$2,417 million) (excluding dividend paid on treasury shares)

The Board of Directors in their meeting held on April 17, 2025 recommended a final dividend of ₹22/- per equity share (approximately \$0.26 per equity share) for the financial year ended March 31, 2025. The payment is subject to the approval of shareholders in the AGM of the Company to be held on June 25, 2025 and if approved, would result in a net cash outflow of approximately \$1,066 million (excluding dividend paid on treasury shares).

2.19 Break-up of expenses and other income, net

Accounting policy

2.19.1 Gratuity and Pensions

The Group provides for gratuity, a defined benefit retirement plan (the Gratuity Plan) covering eligible employees majorly of Infosys and its Indian subsidiaries. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment with the Group. The Company contributes Gratuity liabilities to the Infosys Limited Employees' Gratuity Fund Trust (the Trust). In case of Infosys BPM and EdgeVerve, contributions are made to the Infosys BPM Employees' Gratuity Fund Trust and EdgeVerve Systems Limited Employees' Gratuity Fund Trust, respectively. Trustees administer contributions made to the Trusts and contributions are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law.

The Group operates defined benefit pension plan in certain overseas jurisdictions, in accordance with the local laws. These plans are managed by third party fund managers. The plans provide for periodic payouts after retirement or for a lumpsum payment as set out in rules of each fund and includes death and disability benefits. The defined benefit plans require contributions which are based on a percentage of salary that varies depending on the age of the respective employees.

Liabilities with regard to these defined benefit plans are determined by actuarial valuation, performed by an external actuary, at each Balance Sheet date using the projected unit credit method. These defined benefit plans expose the Group to actuarial risks, such as longevity risk, interest rate risk and market risk.

The Group recognizes the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability. Gains and losses through re-measurements of the net defined benefit liability/(asset) are recognized in other comprehensive income and are not reclassified to profit or loss in subsequent periods. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognized in other comprehensive income. The effect of any plan amendments is recognized in net profits in the interim condensed consolidated statement of comprehensive income.

2.19.2 Superannuation

Certain employees of Infosys, Infosys BPM and EdgeVerve are participants in a defined contribution plan. The Group has no further obligations to the Plan beyond its monthly contributions which are periodically contributed to a trust fund, the corpus of which is invested with the Life Insurance Corporation of India.

2.19.3 Provident fund

Eligible employees of Infosys receive benefits from a provident fund, which is a defined benefit plan. Both the eligible employee and the company make monthly contributions to the provident fund plan equal to a specified percentage of the covered employee's salary. The company contributes a portion of the contributions to the Infosys Limited Employees' Provident Fund Trust. The trust invests in specific designated instruments as permitted by Indian law. The remaining portion is contributed to the government administered pension fund. The rate at which the annual interest is payable to the beneficiaries by the trust is being administered by the Government of India. The company has an obligation to make good the shortfall, if any, between the return from the investments of the Trust and the notified interest rate.

In respect of Indian subsidiaries, eligible employees receive benefits from a provident fund, which is a defined contribution plan. Both the eligible employee and the respective companies make monthly contributions to this provident fund plan equal to a specified percentage of the covered employee's salary. Amounts collected under the provident fund plan are deposited in a government administered provident fund. The companies have no further obligation to the plan beyond its monthly contributions.

2.19.4 Compensated absences

The Group has a policy on compensated absences which are both accumulating and non-accumulating in nature. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an external actuary at each balance sheet date using projected unit credit method on the additional amount expected to be paid/availed as a result of the unused entitlement that has accumulated at the balance sheet date. Expense on non-accumulating compensated absences is recognized in the period in which the absences occur.

2.19.5 Other income, net

Other income is comprised primarily of interest income, dividend income, gain/loss on investment and exchange gain/loss on forward and options contracts and on translation of foreign currency assets and liabilities. Interest income is recognized using the effective interest method. Dividend income is recognized when the right to receive payment is established.

2.19.6 Foreign Currency

Functional currency and presentation currency

The functional currency of Infosys, its Indian subsidiaries and controlled trusts is the Indian rupee. The functional currencies for foreign subsidiaries are their respective local currencies. These financial statements are presented in U.S. dollars (rounded off to the nearest million) to facilitate the investors' ability to evaluate Infosys' performance and financial position in comparison to similar companies domiciled in other geographic locations.

Transactions and translations

Foreign-currency denominated monetary assets and liabilities are translated into the relevant functional currency at exchange rates in effect at the Balance Sheet date. The gains or losses resulting from such translations are recognized in the interim condensed Consolidated Statement of Comprehensive Income and reported within exchange gains/ (losses) on translation of assets and liabilities, net, except when deferred in Other Comprehensive Income as qualifying cash flow hedges. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at fair value are translated at the exchange rate prevalent at the date when the fair value was determined. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of transaction. The related revenue and expense are recognized using the same exchange rate.

Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net profit for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the relevant functional currencies using the exchange rate in effect on the date of the transaction.

The translation of financial statements of the foreign subsidiaries to the presentation currency is performed for assets and liabilities using the exchange rate in effect at the Balance Sheet date and for revenue, expense and cash-flow items using the average exchange rate for the respective periods. The gains or losses resulting from such translation are included in currency translation reserves under other components of equity. When a subsidiary is disposed off, in full, the relevant amount is transferred to net profit in the Statement of Comprehensive Income. However, when a change in the parent's ownership does not result in loss of control of a subsidiary, such changes are recorded through equity.

Other Comprehensive Income, net of taxes includes translation differences on non-monetary financial assets measured at fair value at the reporting date, such as equities classified as financial instruments and measured at fair value through other comprehensive income (FVOCI).

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the exchange rate in effect at the Balance Sheet date.

2.19.7 Government grants

The Group recognizes government grants only when there is reasonable assurance that the conditions attached to them shall be complied with, and the grants will be received. Government grants related to assets are treated as deferred income and are recognized in the net profit in the statement of comprehensive income on a systematic and rational basis over the useful life of the asset. Government grants related to revenue are recognized on a systematic basis in the statement of comprehensive income over the periods necessary to match them with the related costs which they are intended to compensate.

2.19.8 Operating Profits

Operating profit of the Group is computed considering the revenues, net of cost of sales, selling and marketing expenses and administrative expenses.

The table below provides details of break-up of expenses:

Cost of sales

(Dollars in millions)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Employee benefit costs	2,293	2,214	9,151	8,998
Depreciation and amortization *	150	140	569	565
Travelling costs	41	39	149	150
Cost of technical sub-contractors	379	357	1,530	1,477
Cost of software packages for own use	72	63	278	245
Third party items bought for service delivery to clients	375	377	1,589	1,372
Consultancy and professional charges	(17)	13	11	36
Communication costs	7	8	34	40
Repairs and maintenance	15	14	59	54
Provision for post-sales client support and other provisions	(26)	(15)	(13)	9
Others	13	9	48	29
Total	3,302	3,219	13,405	12,975

* During the three months ended March 31, 2025, a decline in the revenue estimates led to the carrying value of the customer related intangibles assets recognized on business combination exceeding the estimated recoverable amount. Consequently, the Company has recognized \$22 million as the excess of carrying value over the estimated recoverable value for the three months ended March 31, 2025.

Selling and marketing expenses

(Dollars in millions)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Employee benefit costs	165	158	677	656
Travelling costs	12	10	48	38
Branding and marketing	40	34	144	121
Consultancy and professional charges	6	4	19	17
Communication costs	-	-	1	1
Others	3	3	9	9
Total	226	209	898	842

Administrative expenses

(Dollars in millions)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Employee benefit costs	85	83	337	327
Consultancy and professional charges	46	42	167	157
Repairs and maintenance	30	31	123	121
Power and fuel	6	6	26	24
Communication costs	9	9	38	40
Travelling costs	7	7	27	25
Rates and taxes	9	10	41	39
Insurance charges	8	6	35	25
Commission to non-whole time directors	-	1	2	2
Impairment loss recognized/(reversed) under expected credit loss model	(6)	(12)	6	15
Contribution towards Corporate Social Responsibility	11	22	69	64
Others (Refer to note 2.6.2)	5	14	32	72
Total	210	219	903	911

Other income for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

(Dollars in millions)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Interest income on financial assets carried at amortized cost	48	30	180	128
Interest income on financial assets carried at fair value through other comprehensive income	35	38	124	122
Gain/(loss) on investments carried at fair value through profit or loss	6	11	34	34
Interest income on income tax refund	38	231	41	237
Exchange gains / (losses) on forward and options contracts	(8)	23	(24)	12
Exchange gains / (losses) on translation of other assets and liabilities	21	(15)	55	11
Others	(3)	10	15	24
Total	137	328	425	568

for and on behalf of the Board of Directors of Infosys Limited

Nandan M. Nilekani
Chairman

Salil Parekh
Chief Executive Officer
and Managing Director

Bobby Parikh
Director

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

INDEPENDENT AUDITOR'S REPORT

TO THE BOARD OF DIRECTORS OF INFOSYS LIMITED

Report on the Audit of the Interim Consolidated Financial Statements

Opinion

We have audited the accompanying interim consolidated financial statements of **INFOSYS LIMITED** (the "Company"), and its subsidiaries (the Company and its subsidiaries together referred to as the "Group"), which comprise the Consolidated Balance Sheet as at March 31, 2025, the Consolidated Statement of Comprehensive Income for the three months and year ended on that date, the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows for the year ended on that date, and notes to the financial statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as the "Interim Consolidated Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Interim Consolidated Financial Statements give a true and fair view in conformity with International Accounting Standard 34 "Interim Financial Reporting" ("IAS 34") as issued by the International Accounting Standards Board ("IASB"), of the consolidated state of affairs of the Group as at March 31, 2025, its consolidated profit and its consolidated total comprehensive income for the three months and year ended on that date, its consolidated changes in equity and its consolidated cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the Interim Consolidated Financial Statements in accordance with the Standards on Auditing ("SAs") issued by the Institute of Chartered Accountants of India ("ICAI"). Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Interim Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the ICAI, and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Interim Consolidated Financial Statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	Auditor's Response
1	Revenue recognition The Group's contracts with customers include contracts with multiple products and services. The group derives revenues from IT services comprising software development and related services,	Principal Audit Procedures Performed included the following: Our audit procedures related to the (1) identification of distinct performance obligations, (2) determination of whether the Group is acting as a principal or agent and (3) whether fixed price maintenance revenue is recognized on a straight-line

Sr. No.	Key Audit Matter	Auditor's Response
	maintenance, consulting and package implementation, licensing of software products and platforms across the Group's core and digital offerings and business process management services. The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables involves significant judgement. In certain integrated services arrangements, contracts with customers include subcontractor services or third-party vendor equipment or software. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or service before it is transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the products or service and therefore, is acting as a principal or an agent. Fixed price maintenance revenue is recognized ratably either on (1) a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or (2) using a percentage of completion method when the pattern of benefits from the services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of contract because the services are generally	basis or using the percentage of completion method included the following, among others: • We tested the effectiveness of controls relating to the (a) identification of distinct performance obligations, (b) determination of whether the Group is acting as a principal or an agent and (c) determination of whether fixed price maintenance revenue for certain contracts is recognized on a straight-line basis or using the percentage of completion method. • We selected a sample of contracts with customers and performed the following procedures: - Obtained and read contract documents for each selection, including master service agreements, and other documents that were part of the agreement. - Identified significant terms and deliverables in the contract to assess management's conclusions regarding the (i) identification of distinct performance obligations (ii) whether the Group is acting as a principal or an agent and (iii) whether fixed price maintenance revenue is recognized on a straight-line basis or using the percentage of completion method

Sr. No.	Key Audit Matter	Auditor's Response
	discrete in nature and not repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables. As certain contracts with customers involve management's judgment in (1) identifying distinct performance obligations, (2) determining whether the Group is acting as a principal or an agent and (3) whether fixed price maintenance revenue is recognized on a straight-line basis or using the percentage of completion method, revenue recognition from these judgments were identified as a key audit matter and required a higher extent of audit effort. Refer Notes 1.5 and 2.16 to the Consolidated Financial Statements.	
2	Revenue recognition - Fixed price contracts using the percentage of completion method Fixed price maintenance revenue is recognized ratably either (1) on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or (2) using a percentage of completion method when the pattern of benefits from services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Use of the percentage-of-completion method requires the Group to determine the actual efforts or costs expended to date as	Principal Audit Procedures Performed included the following: Our audit procedures related to estimates of total expected costs or efforts to complete for fixed-price contracts included the following, among others: • We tested the effectiveness of controls relating to (1) recording of efforts or costs incurred and estimation of efforts or costs required to complete the remaining contract performance obligations and (2) access and application controls pertaining to time recording, allocation and budgeting systems which prevents unauthorised changes to recording of efforts incurred. • We selected a sample of fixed price contracts with customers measured the using percentage-of-completion method and performed the following: - Evaluated management's ability to reasonably estimate the progress towards satisfying the performance obligation by comparing actual

Sr. No.	Key Audit Matter	Auditor's Response
	a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract. We identified the estimate of total efforts or costs to complete fixed price contracts measured using the percentage of completion method as a key audit matter as the estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information. This estimate has a high inherent uncertainty and requires consideration of progress of the contract, efforts or costs incurred to-date and estimates of efforts or costs required to complete the remaining contract performance obligations over the term of the contracts. This required a high degree of auditor judgment in evaluating the audit evidence and a higher extent of audit effort to evaluate the reasonableness of the total estimated amount of revenue recognized on fixed-price contracts. Refer Notes 1.5 and 2.16 to the Consolidated Financial Statements.	efforts or costs incurred to prior year estimates of efforts or costs budgeted for performance obligations that have been fulfilled. - Compared efforts or costs incurred with Group's estimate of efforts or costs incurred to date to identify significant variations and evaluate whether those variations have been considered appropriately in estimating the remaining costs or efforts to complete the contract. - Tested the estimate for consistency with the status of delivery of milestones and customer acceptances and sign off from customers to identify possible delays in achieving milestones, which require changes in estimated costs or efforts to complete the remaining performance obligations.



Responsibilities of Management and Board of Directors for the Interim Consolidated Financial Statements

The Company's Board of Directors is responsible for the preparation and presentation of these Interim Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated total comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with IAS 34 as issued by the IASB. The respective Boards of Directors of the entities included in the Group are responsible for maintenance of the adequate accounting records for safeguarding assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the respective interim financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error which have been used for the purpose of preparation of the Interim Consolidated Financial Statements by the Directors of the Company, as aforesaid.

In preparing the Interim Consolidated Financial Statements, the respective Boards of Directors of the entities included in the Group are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Boards of Directors either intend to liquidate their respective entities or to cease operations, or have no realistic alternative but to do so.

The respective Boards of Directors of the entities included in the Group are also responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Audit of the Interim Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the Interim Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Interim Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Interim Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists,



we are required to draw attention in our auditor's report to the related disclosures in the Interim Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the Interim Consolidated Financial Statements, including the disclosures, and whether the Interim Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group to express an opinion on the Interim Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the audit of financial statements of such entities included in the Interim Consolidated Financial Statements of which we are independent auditors.

Materiality is the magnitude of misstatements in the Interim Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Interim Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Interim Consolidated Financial Statements.

We communicate with those charged with governance of the Company and such other entities included in the Interim Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal financial controls that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria
Partner
(Membership No. 060408)
UDIN:

Place: Bengaluru
Date: April 17, 2025

INFOSYS LIMITED AND SUBSIDIARIES

Consolidated Financial Statements under International Financial Reporting Standards (IFRS) in Indian Rupee for the three months and year ended March 31, 2025

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Infosys Limited and subsidiaries
(In ₹ crore except equity share data)

Consolidated Balance Sheet as at	Note	March 31, 2025	March 31, 2024
ASSETS			
Current assets			
Cash and cash equivalents	2.1	24,455	14,786
Current investments	2.2	12,482	12,915
Trade receivables		31,158	30,193
Unbilled revenue	2.17	12,851	12,768
Prepayments and other current assets	2.4	12,986	12,289
Income tax assets	2.12	2,975	6,397
Derivative financial instruments	2.3	192	84
Total current assets		97,099	89,432
Non-current assets			
Property, plant and equipment	2.7	12,800	12,818
Right-of-use assets	2.8	6,311	6,552
Goodwill	2.9	10,106	7,303
Intangible assets		2,766	1,397
Non-current investments	2.2	11,059	11,708
Unbilled revenue	2.17	2,232	1,780
Deferred income tax assets	2.12	1,108	454
Income tax assets	2.12	1,622	3,045
Other non-current assets	2.4	3,800	3,325
Total non-current assets		51,804	48,382
Total assets		148,903	137,814
LIABILITIES AND EQUITY			
Current liabilities			
Trade payables		4,164	3,956
Lease liabilities	2.8	2,455	1,959
Derivative financial instruments	2.3	63	31
Current income tax liabilities	2.12	4,853	3,585
Unearned revenue		8,492	7,341
Employee benefit obligations		2,908	2,622
Provisions	2.6	1,475	1,796
Other current liabilities	2.5	18,440	17,504
Total current liabilities		42,850	38,794
Non-current liabilities			
Lease liabilities	2.8	5,772	6,400
Deferred income tax liabilities	2.12	1,722	1,794
Employee benefit obligations		99	89
Other non-current liabilities	2.5	2,257	2,276
Total non-current liabilities		9,850	10,559
Total liabilities		52,700	49,353
Equity			
Share capital - ₹5 par value 4,800,000,000 (4,800,000,000) equity shares authorized, issued and outstanding 4,143,607,528 (4,139,950,635) equity shares fully paid up, net of 9,655,927 (10,916,829) treasury shares as at March 31, 2025 (March 31, 2024)	2.18	2,073	2,071
Share premium		2,180	1,550
Retained earnings		80,096	69,674
Cash flow hedge reserves		(18)	6
Other reserves		8,298	12,104
Capital redemption reserve		169	169
Other components of equity		3,020	2,542
Total equity attributable to equity holders of the Company		95,818	88,116
Non-controlling interests		385	345
Total equity		96,203	88,461
Total liabilities and equity		148,903	137,814

The accompanying notes form an integral part of the consolidated financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP
Chartered Accountants
Firm's Registration No:
117366W/ W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman

Salil Parekh
Chief Executive Officer
and Managing Director

Bobby Parikh
Director

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

Infosys Limited and subsidiaries
(In ₹ crore except equity share and per equity share data)

Consolidated Statement of Comprehensive Income for the	Note	Three months ended March 31,		Year ended March 31,	
		2025	2024	2025	2024
Revenues	2.16	40,925	37,923	162,990	153,670
Cost of sales	2.19	28,575	26,748	113,347	107,413
Gross profit		12,350	11,175	49,643	46,257
Operating expenses					
Selling and marketing expenses	2.19	1,957	1,735	7,588	6,973
Administrative expenses	2.19	1,818	1,819	7,631	7,537
Total operating expenses		3,775	3,554	15,219	14,510
Operating profit		8,575	7,621	34,424	31,747
Other income, net	2.21	1,190	2,729	3,600	4,711
Finance cost		102	110	416	470
Profit before income taxes		9,663	10,240	37,608	35,988
Income tax expense	2.12	2,625	2,265	10,858	9,740
Net profit		7,038	7,975	26,750	26,248
Other comprehensive income					
<i>Items that will not be reclassified subsequently to profit or loss</i>					
Remeasurement of the net defined benefit liability/asset, net		(145)	26	(92)	120
Equity instruments through other comprehensive income, net	2.2	29	(12)	19	19
		(116)	14	(73)	139
<i>Items that will be reclassified subsequently to profit or loss</i>					
Fair value changes on derivatives designated as cash flow hedge, net		(56)	28	(24)	11
Exchange differences on translation of foreign operations		384	(231)	357	226
Fair value changes on investments, net	2.2	63	37	199	144
		391	(166)	532	381
Total other comprehensive income/(loss), net of tax		275	(152)	459	520
Total comprehensive income		7,313	7,823	27,209	26,768
Profit attributable to:					
Owners of the Company		7,033	7,969	26,713	26,233
Non-controlling interests		5	6	37	15
		7,038	7,975	26,750	26,248
Total comprehensive income attributable to:					
Owners of the Company		7,304	7,821	27,167	26,754
Non-controlling interests		9	2	42	14
		7,313	7,823	27,209	26,768
Earnings per equity share					
Equity shares of par value ₹5/- each					
Basic (₹)	2.13	16.98	19.25	64.50	63.39
Diluted (₹)	2.13	16.94	19.22	64.34	63.29
Weighted average equity shares used in computing earnings per equity share					
Basic (in shares)	2.13	4,142,429,577	4,139,432,133	4,141,611,738	4,138,568,090
Diluted (in shares)	2.13	4,151,537,321	4,145,052,370	4,152,051,184	4,144,680,425

The accompanying notes form an integral part of the interim consolidated financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP
Chartered Accountants
Firm's Registration No:
117366W/ W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman

Salil Parekh
Chief Executive Officer
and Managing Director

Bobby Parikh
Director

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

Infosys Limited and subsidiaries
(In ₹ crore except equity share data)

Consolidated Statement of Changes in Equity	Number of Shares ⁽¹⁾	Share capital	Share premium	Retained earnings	Other reserves ⁽²⁾	Capital redemption reserve	Other components of equity	Cash flow hedge reserve	Total equity attributable to equity holders of the Company	Non-controlling interest	Total equity
Balance as at April 1, 2023	4,136,387,925	2,069	1,065	60,063	10,014	169	2,032	(5)	75,407	388	75,795
Changes in equity for the year ended March 31, 2024											
Net profit	-	-	-	26,233	-	-	-	-	26,233	15	26,248
Remeasurement of the net defined benefit liability/asset, net*	-	-	-	-	-	-	120	-	120	-	120
Equity instruments through other comprehensive income, net*	-	-	-	-	-	-	19	-	19	-	19
Fair value changes on derivatives designated as Cash flow hedge, net*	-	-	-	-	-	-	-	11	11	-	11
Exchange differences on translation of foreign operations	-	-	-	-	-	-	227	-	227	(1)	226
Fair value changes on investments, net*	-	-	-	-	-	-	144	-	144	-	144
Total comprehensive income for the period	-	-	-	26,233	-	-	510	11	26,754	14	26,768
Shares issued on exercise of employee stock options (Refer to note 2.11)	3,562,710	2	3	-	-	-	-	-	5	-	5
Employee stock compensation expense (Refer to note 2.11)	-	-	639	-	-	-	-	-	639	-	639
Income tax benefit arising on exercise of stock options (Refer to note 2.12)	-	-	3	-	-	-	-	-	3	-	3
Transfer on account of options not exercised	-	-	(160)	160	-	-	-	-	-	-	-
Transferred to other reserves	-	-	-	(2,957)	2,957	-	-	-	-	-	-
Transferred from other reserves on utilization	-	-	-	867	(867)	-	-	-	-	-	-
Dividends paid to non controlling interest of subsidiary	-	-	-	-	-	-	-	-	-	(39)	(39)
Buyback of shares pertaining to non controlling interest of subsidiary	-	-	-	-	-	-	-	-	-	(18)	(18)
Dividends [#]	-	-	-	(14,692)	-	-	-	-	(14,692)	-	(14,692)
Balance as at March 31, 2024	4,139,950,635	2,071	1,550	69,674	12,104	169	2,542	6	88,116	345	88,461

Infosys Limited and subsidiaries
(In ₹ crore except equity share data)

Consolidated Statement of Changes in Equity	Number of Shares ⁽¹⁾	Share capital	Share premium	Retained earnings	Other reserves ⁽²⁾	Capital redemption reserve	Other components of equity	Cash flow hedge reserve	Total equity attributable to equity holders of the Company	Non-controlling interest	Total equity
Balance as at April 1, 2024	4,139,950,635	2,071	1,550	69,674	12,104	169	2,542	6	88,116	345	88,461
Changes in equity for the year ended March 31, 2025											
Net profit	-	-	-	26,713	-	-	-	-	26,713	37	26,750
Remeasurement of the net defined benefit liability/asset, net*	-	-	-	-	-	-	(92)	-	(92)	-	(92)
Equity instruments through other comprehensive income, net*	-	-	-	-	-	-	19	-	19	-	19
Fair value changes on derivatives designated as cash flow hedge, net*	-	-	-	-	-	-	-	(24)	(24)	-	(24)
Exchange differences on translation of foreign operations	-	-	-	-	-	-	352	-	352	5	357
Fair value changes on investments, net*	-	-	-	-	-	-	199	-	199	-	199
Total comprehensive income for the period	-	-	-	26,713	-	-	478	(24)	27,167	42	27,209
Shares issued on exercise of employee stock options (Refer to note 2.11)	3,656,893	2	4	-	-	-	-	-	6	-	6
Employee stock compensation expense (Refer to note 2.11)	-	-	785	-	-	-	-	-	785	-	785
Income tax benefit arising on exercise of stock options (Refer to note 2.12)	-	-	39	-	-	-	-	-	39	-	39
Transferred on account of options not exercised	-	-	(198)	198	-	-	-	-	-	-	-
Transferred to other reserves	-	-	-	(74)	74	-	-	-	-	-	-
Transferred from other reserves on utilization	-	-	-	881	(881)	-	-	-	-	-	-
Transferred from other reserves to retained earnings	-	-	-	2,999	(2,999)	-	-	-	-	-	-
Dividends paid to non controlling interest of subsidiary	-	-	-	-	-	-	-	-	-	(2)	(2)
Dividends [#]	-	-	-	(20,295)	-	-	-	-	(20,295)	-	(20,295)
Balance as at March 31, 2025	4,143,607,528	2,073	2,180	80,096	8,298	169	3,020	(18)	95,818	385	96,203

* net of tax

net of treasury shares

⁽¹⁾ excludes treasury shares of 9,655,927 as at March 31, 2025, 10,916,829 as at April 1, 2024 and 12,172,119 as at April 1, 2023 held by consolidated trust.

⁽²⁾ Represents the Special Economic Zone Re-investment reserve created out of the profit of the eligible SEZ unit in terms of the provisions of Sec 10AA(1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Group for acquiring new plant and machinery for the purpose of its business in terms of the provisions of the Sec 10AA(2) of the Income Tax Act, 1961.

The accompanying notes form an integral part of the consolidated financial statements.

As per our report of even date attached

for and on behalf of the Board of Directors of Infosys Limited

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No:

117366W/ W-100018

Vikas Bagaria

Partner

Membership No. 060408

Nandan M. Nilekani

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Chief Executive Officer

and Managing Director

Bobby Parikh

Director

Bengaluru

April 17, 2025

Jayesh Sanghrajka

Chief Financial Officer

A.G.S. Manikantha

Company Secretary

Infosys Limited and subsidiaries
Consolidated Statement of Cash Flows
Accounting Policy

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Group are segregated. The Group considers all highly liquid investments that are readily convertible to known amounts of cash to be cash equivalents.

Particulars	Note	(In ₹ crore)	
		Year ended March 31,	
		2025	2024
Operating activities			
Net Profit		26,750	26,248
Adjustments to reconcile net profit to net cash provided by operating activities			
Depreciation and amortization		4,812	4,678
Income tax expense	2.12	10,858	9,740
Finance cost		416	470
Interest and dividend income		(1,168)	(1,138)
Exchange differences on translation of assets and liabilities, net		79	76
Impairment loss recognized/(reversed) under expected credit loss model		48	121
Stock compensation expense		802	652
Provision for post sale client support		(110)	75
Interest receivable on income tax refund		(327)	(1,934)
Other adjustments		833	1,471
Changes in working capital			
Trade receivables and unbilled revenue		(1,769)	(2,667)
Prepayments and other assets		(1,334)	(1,252)
Trade payables		176	91
Unearned revenue		1,145	178
Other liabilities and provisions		1,177	(1,512)
Cash generated from operations		42,388	35,297
Income taxes paid		(5,602)	(9,231)
Net cash generated by operating activities		36,786	26,066
Investing activities			
Expenditure on property, plant and equipment and intangibles		(2,237)	(2,201)
Deposits placed with corporation		(1,225)	(847)
Redemption of deposits placed with corporation		776	710
Interest and dividend received		948	912
Payment for acquisition of business, net of cash acquired	2.10	(3,155)	-
Payment of contingent consideration pertaining to acquisition of business		-	(101)
Payments to acquire Investments			
- Quoted debt securities		(3,242)	(1,526)
- Liquid mutual fund units		(73,048)	(66,191)
- Certificates of deposit		(6,978)	(8,509)
- Commercial paper		(6,403)	(10,387)
- Other investments		(60)	(14)
Proceeds on sale of investments			
- Quoted debt securities		3,155	1,684
- Liquid mutual fund units		73,987	64,767
- Certificates of deposit		6,688	9,205
- Commercial paper		7,735	6,479
- Other investments		11	26
Other receipts		10	128
Net cash generated/(used) in investing activities		(3,038)	(5,865)

Financing activities		
Payment of lease liabilities	(2,355)	(2,024)
Payment of dividends	(20,287)	(14,692)
Loan repayment of in-tech Holding GmbH (Refer to note 2.10)	(985)	-
Payment of dividends to non-controlling interests of subsidiary	-	(39)
Payment towards purchase of non-controlling interest	(2)	(18)
Other payments	(538)	(736)
Shares issued on exercise of employee stock options	6	5
Net cash used in financing activities	(24,161)	(17,504)
Net increase/(decrease) in cash and cash equivalents	9,587	2,697
Effect of exchange rate changes on cash and cash equivalents	82	(84)
Cash and cash equivalents at the beginning of the period	2.1 14,786	12,173
Cash and cash equivalents at the end of the period	2.1 24,455	14,786
Supplementary information:		
Restricted cash balance	2.1 424	348

The accompanying notes form an integral part of the interim consolidated financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP
Chartered Accountants
Firm's Registration No:
117366W/ W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman

Salil Parekh
Chief Executive Officer
and Managing Director

Bobby Parikh
Director

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

INFOSYS LIMITED AND SUBSIDIARIES

Overview and Notes to the Interim Consolidated Financial Statements

1. Overview

1.1 Company overview

Infosys Limited ('the Company' or Infosys) provides consulting, technology, outsourcing and next-generation digital services, to enable clients to execute strategies for their digital transformation. Infosys strategic objective is to build a sustainable organization that remains relevant to the agenda of clients, while creating growth opportunities for employees and generating profitable returns for investors. Infosys strategy is to be a navigator for our clients as they ideate, plan and execute on their journey to a digital future.

Infosys together with its subsidiaries and controlled trusts is herein after referred to as the "Group".

The Company is a public limited company incorporated and domiciled in India and has its registered office at Electronics City, Hosur Road, Bengaluru -560100, Karnataka, India. The Company has its primary listings on the BSE Ltd. and National Stock Exchange of India Limited. The Company's American Depositary Shares (ADS) representing equity shares are listed on the New York Stock Exchange (NYSE).

The Group's interim consolidated financial statements are approved for issue by the Company's Board of Directors on April 17, 2025.

1.2 Basis of preparation of financial statements

These consolidated financial statements are prepared in compliance with IAS 34, Interim Financial Reporting as issued by International Accounting Standards Board, under the historical cost convention on accrual basis except for certain financial instruments which are measured at fair values, defined benefit liability/(asset) which is recognized at the present value of defined benefit obligation less fair value of plan assets.. Accounting policies are consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

The material accounting policy information used in preparation of the audited interim consolidated financial statements have been discussed in the respective notes.

As the quarter and year-end figures are taken from the source and rounded to the nearest digits, the quarter figures in this statement added up to the figures reported for the previous quarters might not always add up to the year-end figures reported in this statement.

1.3 Basis of consolidation

Infosys consolidates entities which it owns or controls. The interim consolidated financial statements comprise the financial statements of the Company, its controlled trusts and its subsidiaries. Control exists when the parent has power over the entity, is exposed, or has rights to variable returns from its involvement with the entity and has the ability to affect those returns by using its power over the entity. Power is demonstrated through existing rights that give the ability to direct relevant activities, those which significantly affect the entity's returns. Subsidiaries are consolidated from the date control commences until the date control ceases.

The financial statements of the Group Companies are consolidated on a line-by-line basis and intra-group balances and transactions including unrealized gain / loss from such transactions are eliminated upon consolidation. These financial statements are prepared by applying uniform accounting policies in use at the Group. Non-controlling interests which represent part of the net profit or loss and net assets of subsidiaries that are not, directly or indirectly, owned or controlled by the Company, are excluded.

Refer to Note 2.14 for the list of subsidiaries and controlled trusts of the Company.

1.4 Use of estimates and judgments

The preparation of the interim consolidated financial statements in conformity with IFRS requires management to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the interim consolidated financial statements and reported amounts of revenues and expenses during the period. Application of accounting policies that require critical accounting estimates involving complex and subjective judgments and the use of assumptions in these financial statements have been disclosed in Note 1.5. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates and judgments are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the interim consolidated financial statements.

1.5 Critical accounting estimates and judgments

a. Revenue recognition

The Group's contracts with customers include promises to transfer multiple products and services to a customer. Revenues from customer contracts are considered for recognition and measurement when the contract has been approved, in writing, by the parties to the contract, the parties to the contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables, and allocation of transaction price to these distinct performance obligations involves significant judgement.

Fixed price maintenance revenue is recognized ratably on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period. Revenue from a fixed price maintenance contract is recognized ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of the contract because the services are generally discrete in nature and not repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables.

The Group uses the percentage-of-completion method in accounting for other fixed-price contracts. Use of the percentage-of-completion method requires the Group to determine the actual efforts or costs expended to date as a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

b. Income taxes

The Group's two major tax jurisdictions are India and the United States, though the Company also files tax returns in other overseas jurisdictions.

Significant judgments are involved in determining the provision for income taxes, including amount expected to be paid/recovered for uncertain tax positions.

In assessing the realizability of deferred income tax assets, the Management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. Management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, the Management believes that the group will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced. (Refer to Note 2.12)

c. Business combinations and intangible assets

Business combinations are accounted for using IFRS 3 (Revised), Business Combinations. IFRS 3 requires us to fair value identifiable intangible assets and contingent consideration to ascertain the net fair value of identifiable assets, liabilities and contingent liabilities of the acquiree. These valuations are conducted by external valuation experts. Estimates are required to be made in determining the value of contingent consideration, value of option arrangements and intangible assets. These measurements are based on information available at the acquisition date and are based on expectations and assumptions that have been deemed reasonable by Management. (Refer to Note 2.10 and 2.9.2).

d. Property, plant and equipment

Property, plant and equipment represent a significant proportion of the asset base of the Group. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of Group's assets are determined by Management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology. (Refer to Note 2.7).

e. Impairment of Goodwill

Goodwill is tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit (CGUs) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or groups of CGUs which benefit from the synergies of the acquisition and which represent the lowest level at which goodwill is monitored for internal management purposes.

The recoverable amount of CGUs is determined based on higher of value-in-use and fair value less cost to sell. Key assumptions in the cash flow projections are prepared based on current economic conditions and comprises estimated long term growth rates, weighted average cost of capital and estimated operating margins. (Refer to note 2.9.1)

1.6 Recent accounting pronouncements

New and revised IFRS Standards in issue but not yet effective:

Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates	Lack of Exchangeability
IFRS 18 Presentation and Disclosures in Financial Statements	Presentation and Disclosures in Financial Statements
Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures	Amendments to the Classification and Measurement of Financial Instruments
Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures	Contracts Referencing Nature-dependent Electricity

Amendments to IAS 21

On August 15, 2023, IASB has issued amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates, Lack of Exchangeability that will require companies to provide more useful information in their financial statements when a currency cannot be exchanged into another currency. These amendments specify when a currency is exchangeable into another currency and when it is not and specify how an entity determines the exchange rate to apply when a currency is not exchangeable.

The effective date for adoption of this amendment is annual periods beginning on or after January 1, 2025, although early adoption is permitted. The Group has evaluated the amendment and the impact is not expected to be material on its consolidated financial statements.

IFRS 18 – Presentation and Disclosures in Financial Statements

On April 9, 2024, IASB has issued IFRS 18 – Presentation and Disclosures in Financial Statements that will replace IAS 1 Presentation of Financial Statements from its effective date. IFRS 18 introduces new requirements for information presented in the primary financial statements and disclosed in the notes. The new requirements are focused on the statement of profit or loss. IFRS 18 introduces three categories for income and expenses, that is, operating, investing and financing to improve the structure of the income statement. IFRS 18 is effective for annual reporting periods beginning on or after 1 January 2027, although early adoption is permitted. The Group is yet to evaluate the impact of the amendment.

Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures

On May 30, 2024, IASB has issued amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures, which clarifies the classification of financial assets with environmental, social and corporate governance (ESG) and similar features, derecognition of financial liability settled through electronic payment systems and also introduces additional disclosure requirements to enhance transparency for investors regarding investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features.

The effective date for adoption of these amendments is annual reporting periods beginning on or after January 1, 2026, although early adoption is permitted. The Group is yet to evaluate the impact of these amendments.

On December 18, 2024, IASB has issued amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures, relating to factors an entity is required to consider in assessing the own-use requirements for contracts to buy and take delivery of nature-dependent renewable electricity; hedge accounting treatment for nature-dependent renewable electricity and related disclosures.

The effective date for adoption of these amendments is annual reporting periods beginning on or after January 1, 2026, although early adoption is permitted. The Group has evaluated the amendment and there is no impact on its consolidated financial statements.

2. Notes to the Interim Consolidated Financial Statements

2.1 Cash and cash equivalents

Cash and cash equivalents consist of the following:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Cash and bank deposits	24,455	14,786
Total Cash and cash equivalents	24,455	14,786

Cash and cash equivalents as at March 31, 2025 and March 31, 2024 include restricted cash and bank balances of ₹424 crore and ₹348 crore, respectively. The restrictions are primarily on account of bank balances held by irrevocable trusts controlled by the Company.

The deposits maintained by the Group with banks and financial institutions comprise of time deposits, which can be withdrawn by the Group at any point without prior notice or penalty on the principal.

2.2 Investments

The carrying value of the investments are as follows:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
(i) Current Investments		
Amortized Cost		
Quoted debt securities	169	-
Fair Value through other comprehensive income		
Quoted debt securities	3,211	2,427
Commercial papers	3,641	4,830
Certificate of deposit	3,504	3,043
Fair Value through profit or loss		
Liquid mutual fund units	1,957	2,615
Total current investments	12,482	12,915
(ii) Non-current Investments		
Amortized Cost		
Quoted debt securities	1,481	1,759
Fair Value through other comprehensive income		
Quoted debt securities	8,666	9,114
Quoted equity securities	57	113
Unquoted equity and preference securities	169	93
Fair Value through profit or loss		
Target maturity fund units	465	431
Unquoted equity and preference securities	25	-
Others ⁽¹⁾	196	198
Total non-current investments	11,059	11,708
Total investments	23,541	24,623
Investments carried at amortized cost	1,650	1,759
Investments carried at fair value through other comprehensive income	19,248	19,620
Investments carried at fair value through profit or loss	2,643	3,244

⁽¹⁾ Uncalled capital commitments outstanding as at March 31, 2025 and March 31, 2024 was ₹122 crore and ₹79 crore, respectively.

Refer to note 2.3 for accounting policies on financial instruments.

Details of amounts recorded in Other comprehensive income :
(In ₹ crore)

	Year ended March 31, 2025			Year ended March 31, 2024		
	Gross	Tax	Net	Gross	Tax	Net
Net Gain/(loss) on						
Quoted debt securities	216	(21)	195	160	(15)	145
Commercial papers	3	(1)	2	-	-	-
Certificates of deposit	3	(1)	2	(1)	-	(1)
Equity and preference securities	20	(1)	19	10	9	19

Method of fair valuation:
(In ₹ crore)

Class of investment	Method	Fair value as at	
		March 31, 2025	March 31, 2024
Liquid mutual fund units - carried at fair value through profit or loss	Quoted price	1,957	2,615
Target maturity fund units - carried at fair value through profit or loss	Quoted price	465	431
Quoted debt securities- carried at amortized cost	Quoted price and market observable inputs	1,812	1,973
Quoted debt securities- carried at fair value through other comprehensive income	Quoted price and market observable inputs	11,877	11,541
Commercial papers- carried at fair value through other comprehensive income	Market observable inputs	3,641	4,830
Certificates of deposit- carried at fair value through other comprehensive income	Market observable inputs	3,504	3,043
Quoted equity securities carried at fair value through other comprehensive income	Quoted price	57	113
Unquoted equity and preference securities - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, option pricing model	25	-
Unquoted equity and preference securities - carried at fair value through other comprehensive income	Discounted cash flows method, Market multiples method, option pricing model	169	93
Others - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, option pricing model	196	198
Total		23,703	24,837

Note: Certain quoted investments are classified as Level 2 in the absence of active market for such investments.

2.3 Financial instruments

Accounting Policy

2.3.1 Initial recognition

The Group recognizes financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are recognized at fair value on initial recognition, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities which are not at fair value through profit or loss, are added to the fair value on initial recognition. Regular way purchase and sale of financial assets are accounted for at trade date.

2.3.2 Subsequent measurement

a. Non-derivative financial instruments

(i) Financial assets carried at amortized cost

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

(ii) Financial assets carried at fair value through other comprehensive income (FVOCI)

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The Group has made an irrevocable election for certain investments which are classified as equity instruments to present the subsequent changes in fair value in other comprehensive income based on its business model.

(iii) Financial assets carried at fair value through profit or loss (FVTPL)

A financial asset which is not classified in any of the above categories is subsequently fair valued through profit or loss.

(iv) Financial liabilities

Financial liabilities are subsequently carried at amortized cost using the effective interest method, except for contingent consideration and financial liability under option arrangements recognized in a business combination which are subsequently measured at fair value through profit or loss.

b. Derivative financial instruments

The Group holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for such contracts is generally a bank.

(i) Financial assets or financial liabilities, carried at fair value through profit or loss

This category includes derivative financial assets or liabilities which are not designated as hedges.

Although the Group believes that these derivatives constitute hedges from an economic perspective, they may not qualify for hedge accounting under IFRS 9, Financial Instruments. Any derivative that is either not designated as hedge, or is so designated but is ineffective as per IFRS 9, is categorized as a financial asset or financial liability, at fair value through profit or loss.

Derivatives not designated as hedges are recognized initially at fair value and attributable transaction costs are recognized in net profit in the consolidated statement of comprehensive income when incurred. Subsequent to initial recognition, these derivatives are measured at fair value through profit or loss and the resulting exchange gains or losses are included in other income. Assets/ liabilities in this category are presented as current assets/current liabilities if they are either held for trading or are expected to be realized within 12 months after the Balance Sheet date.

(ii) Cash flow hedge

Primarily, the Group designates certain foreign exchange forward and options contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transactions.

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. Any ineffective portion of changes in the fair value of the derivative is recognized immediately in the net profit in the interim consolidated statement of comprehensive income. If the hedging instrument no longer meets the criteria for hedge accounting, then hedge accounting is discontinued prospectively. If the hedging instrument expires or is sold, terminated or exercised, the cumulative gain or loss on the hedging instrument recognized in cash flow hedging reserve till the period the hedge was effective remains in cash flow hedging reserve until the forecasted transaction occurs. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the net profit in the consolidated statement of comprehensive income upon the occurrence of the related forecasted transaction. If the forecasted transaction is no longer expected to occur, then the amount accumulated in cash flow hedging reserve is reclassified to net profit in the consolidated statement of comprehensive income.

2.3.3 Derecognition of financial instruments

The Group derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under IFRS 9. A financial liability (or a part of a financial liability) is derecognized from the Group's Balance Sheet when the obligation specified in the contract is discharged or cancelled or expires.

2.3.4 Fair value of financial instruments

In determining the fair value of its financial instruments, the Group uses a variety of methods and assumptions that are based on market conditions and risks existing at each reporting date. The methods used to determine fair value include discounted cash flow analysis, available quoted market prices, option pricing model, market multiples, and dealer quotes. All methods of assessing fair value result in general approximation of value, and such value may never actually be realized.

Refer to table 'Financial instruments by category' below for the disclosure on carrying value and fair value of financial assets and liabilities. For financial assets and liabilities maturing within one year from the Balance Sheet date and which are not carried at fair value, the carrying amounts approximate fair value due to the short maturity of these instruments.

2.3.5 Impairment

The Group recognizes loss allowances using the expected credit loss (ECL) model for the financial assets and unbilled revenue which are not fair valued through profit or loss. Loss allowance for trade receivables and unbilled revenues with no significant financing component is measured at an amount equal to lifetime ECL. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL.

The Group determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Group considers current and anticipated future economic conditions relating to industries the Group deals with and the countries where it operates.

The amount of ECL (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recorded is recognized as an impairment loss or gain in the interim consolidated statement of comprehensive income.

Financial instruments by category

The carrying value and fair value of financial instruments by categories as at March 31, 2025 are as follows:

(In ₹ crore)							
Particulars	Amortized cost	Financial assets / liabilities at fair value through profit or loss		Financial assets / liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to note 2.1)	24,455	-	-	-	-	24,455	24,455
Investments (Refer to note 2.2)							
Liquid mutual fund units	-	-	1,957	-	-	1,957	1,957
Target maturity fund units	-	-	465	-	-	465	465
Quoted debt securities	1,650	-	-	-	11,877	13,527	13,689 ⁽¹⁾
Commercial Papers	-	-	-	-	3,641	3,641	3,641
Certificates of deposit	-	-	-	-	3,504	3,504	3,504
Quoted equity securities	-	-	-	57	-	57	57
Unquoted equity and preference securities	-	25	-	169	-	194	194
Unquoted investment others	-	-	196	-	-	196	196
Trade receivables	31,158	-	-	-	-	31,158	31,158
Unbilled revenues (Refer to note 2.17) ⁽³⁾	10,214	-	-	-	-	10,214	10,214
Prepayments and other assets (Refer to note 2.4)	7,210	-	-	-	-	7,210	7,130 ⁽²⁾
Derivative financial instruments	-	-	164	-	28	192	192
Total	74,687	25	2,782	226	19,050	96,770	96,852
Liabilities:							
Trade payables	4,164	-	-	-	-	4,164	4,164
Lease liabilities (Refer to note 2.8)	8,227	-	-	-	-	8,227	8,227
Derivative financial instruments	-	-	30	-	33	63	63
Financial liability under option arrangements (Refer to note 2.5)	-	-	667	-	-	667	667
Other liabilities including contingent consideration (Refer to note 2.5)	16,511	-	31	-	-	16,542	16,542
Total	28,902	-	728	-	33	29,663	29,663

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on quoted debt securities carried at amortized cost of ₹80 crore.

⁽³⁾ Excludes unbilled revenue for contracts where the right to consideration is dependent on completion of contractual milestones

The carrying value and fair value of financial instruments by categories as at March 31, 2024 were as follows:

(In ₹ crore)

(in ₹ crore)

Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to note 2.1)	14,786	-	-	-	-	14,786	14,786
Investments (Refer to note 2.2)							
Liquid mutual fund units	-	-	2,615	-	-	2,615	2,615
Target maturity fund units	-	-	431	-	-	431	431
Quoted debt securities	1,759	-	-	-	11,541	13,300	13,514 ⁽¹⁾
Commercial papers	-	-	-	-	4,830	4,830	4,830
Certificates of deposit	-	-	-	-	3,043	3,043	3,043
Quoted equity securities	-	-	-	113	-	113	113
Unquoted equity and preference securities	-	-	-	93	-	93	93
Unquoted investments others	-	-	198	-	-	198	198
Trade receivables	30,193	-	-	-	-	30,193	30,193
Unbilled revenue (Refer to note 2.17) ⁽³⁾	9,600	-	-	-	-	9,600	9,600
Prepayments and other assets (Refer to note 2.4)	5,788	-	-	-	-	5,788	5,704 ⁽²⁾
Derivative financial instruments	-	-	61	-	23	84	84
Total	62,126	-	3,305	206	19,437	85,074	85,204
Liabilities:							
Trade payables	3,956	-	-	-	-	3,956	3,956
Lease liabilities (Refer to note 2.8)	8,359	-	-	-	-	8,359	8,359
Derivative financial instruments	-	-	30	-	1	31	31
Financial liability under option arrangements (Refer to note 2.5)	-	-	597	-	-	597	597
Other liabilities including contingent consideration (Refer to note 2.5)	15,750	-	-	-	-	15,750	15,750
Total	28,065	-	627	-	1	28,693	28,693

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on quoted debt securities carried at amortized cost of ₹84 crore.

⁽³⁾ Excludes unbilled revenue for contracts where the right to consideration is dependent on completion of contractual milestones

For trade receivables, trade payables and other assets and payables maturing within one year from the balance sheet date, the carrying amounts approximate fair value due to the short maturity of these instruments.

Fair value hierarchy

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 - Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2025 is as follows:

(In ₹ crore)

Particulars	As at March 31, 2025	Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.2)				
Investments in liquid mutual fund units	1,957	1,957	-	-
Investments in target maturity fund units	465	465	-	-
Investments in quoted debt securities	13,689	13,099	590	-
Investments in certificates of deposit	3,504	-	3,504	-
Investments in commercial papers	3,641	-	3,641	-
Investments in quoted equity securities	57	57	-	-
Investments in unquoted equity and preference securities	194	-	-	194
Investments in unquoted investments others	196	-	-	196
Others				
Derivative financial instruments - gain	192	-	192	-
Liabilities				
Derivative financial instruments - loss	63	-	63	-
Financial liability under option arrangements (Refer to note 2.5) ⁽¹⁾	667	-	-	667
Liability towards contingent consideration (Refer to note 2.5) ⁽²⁾	31	-	-	31

⁽¹⁾ Discount rate ranges from 9% to 15%

⁽²⁾ Discount rate - 6%

During the year ended March 31, 2025, quoted debt securities of ₹297 crore were transferred from Level 2 to Level 1 of fair value hierarchy, since these were valued based on quoted price and quoted debt securities of ₹554 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2024 was as follows:

(In ₹ crore)

Particulars	As at March 31, 2024	Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.2)				
Investments in liquid mutual fund units	2,615	2,615	-	-
Investments in target maturity fund units	431	431	-	-
Investments in quoted debt securities	13,514	13,184	330	-
Investments in unquoted equity and preference securities	93	-	-	93
Investments in quoted equity securities	113	113	-	-
Investments in certificates of deposit	3,043	-	3,043	-
Investments in commercial papers	4,830	-	4,830	-
Investments in unquoted investments others	198	-	-	198
Others				
Derivative financial instruments- gain	84	-	84	-
Liabilities				
Derivative financial instruments- loss	31	-	31	-
Financial liability under option arrangements (Refer to note 2.5) ⁽¹⁾	597	-	-	597

(1) Discount rate ranges from 9% to 15%

⁽¹⁾ Discount rate ranges from 9% to 15%

During the year ended March 31, 2024, quoted debt securities of ₹2,143 crore were transferred from Level 2 to Level 1 of fair value hierarchy, since these were valued based on quoted price and quoted debt securities of ₹73 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

A one percentage point change in the unobservable inputs used in fair valuation of Level 3 assets and liabilities does not have a significant impact in its value.

Majority of investments of the Group are fair valued based on Level 1 or Level 2 inputs. These investments primarily include investment in liquid mutual fund units, target maturity fund units, quoted debt securities, certificates of deposit, commercial paper, quoted bonds issued by government and quasi-government organizations. The Group invests after considering counterparty risks based on multiple criteria including Tier I Capital, Capital Adequacy Ratio, Credit Rating, Profitability, NPA levels and Deposit base of banks and financial institutions. These risks are monitored regularly as per Group's risk management program.

Income from financial assets is as follows :

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Interest income from financial assets carried at amortized cost	416	253	1,523	1,060
Interest income on financial assets fair valued through other comprehensive income	305	318	1,047	1,007
Gain / (loss) on investments carried at fair value through profit or loss	54	88	287	285
Gain / (loss) on investments carried at fair value through other comprehensive Income	-	-	2	-
	775	659	2,859	2,352

Financial risk management

Financial risk factors

The Group's activities expose it to a variety of financial risks: market risk, credit risk and liquidity risk. The Group's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. The primary market risk to the Group is foreign exchange risk. The Group uses derivative financial instruments to mitigate foreign exchange related risk exposures. The Group's exposure to credit risk is influenced mainly by the individual characteristic of each customer and the concentration of risk from the top few customers.

Market risk

The Group operates internationally, and a major portion of the business is transacted in several currencies and consequently the Group is exposed to foreign exchange risk through its sales and services in the United States and elsewhere, and purchases from overseas suppliers in various foreign currencies. The Group holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The Group is also exposed to foreign exchange risk arising on intercompany transaction in foreign currencies. The exchange rate between the Indian rupee and foreign currencies has changed substantially in recent years and may fluctuate substantially in the future. Consequently, the results of the Group's operations are adversely affected as the rupee appreciates/ depreciates against these currencies.

The following table analyses foreign currency risk from financial assets and liabilities as at March 31, 2025:

Particulars	U.S. dollars	Euro	United Kingdom Pound Sterling	Australian dollars	Other currencies	Total
Net financial assets	26,821	11,791	2,228	1,356	3,090	45,286
Net financial liabilities	(13,154)	(3,766)	(1,026)	(706)	(2,161)	(20,813)
Total	13,667	8,025	1,202	650	929	24,473

The following table analyses foreign currency risk from financial assets and liabilities as at March 31, 2024:

(In ₹ crore)

Particulars	U.S. dollars	Euro	United Kingdom Pound Sterling	Australian dollars	Other currencies	Total
Net financial assets	26,126	9,559	2,153	1,479	2,917	42,234
Net financial liabilities	(11,925)	(3,378)	(710)	(813)	(2,218)	(19,044)
Total	14,201	6,181	1,443	666	699	23,190

For the three months and year ended March 31, 2025 and March 31, 2024, every percentage point depreciation / appreciation in the exchange rate between the Indian rupee and the U.S. dollar has affected the Group's incremental operating margins by approximately 0.44%, 0.43%, 0.43% and 0.43%, respectively.

Sensitivity analysis is computed based on the changes in the income and expenses in foreign currency upon conversion into functional currency, due to exchange rate fluctuations between the previous reporting period and the current reporting period.

Derivative financial instruments

The Group primarily holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for such contracts is generally a bank. These derivative financial instruments are valued based on quoted prices for similar assets and liabilities in active markets or inputs that are directly or indirectly observable in the marketplace.

The details in respect of outstanding foreign currency forward and option contracts are as follows:

Particulars	As at		As at	
	As at		As at March 31, 2024	
	In million	In ₹ crore	In million	In ₹ crore
Derivatives designated as cash flow hedges				
Forward contracts				
In Swiss Franc	53	513	-	-
In Euro	-	-	30	270
Option Contracts				
In Euro	341	3,140	236	2,121
In Australian dollars	93	500	106	573
In United Kingdom Pound Sterling	17	188	35	368
Other derivatives				
Forward contracts				
In U.S. dollars	1,284	10,976	1,423	11,866
In Euro	698	6,432	574	5,163
In Singapore dollars	133	849	171	1,046
In United Kingdom Pound Sterling	53	589	86	902
In Swiss Franc	51	495	17	158
In Danish Krone	152	188	100	121
In New Zealand dollars	37	181	30	149
In Norwegian Krone	167	136	130	100
In Australian dollars	24	126	14	75
In Philippine Peso	500	75	-	-
In Czech Koruna	176	64	374	135
In Hungarian Forint	2,000	44	2,500	57
In Hongkong Dollars	40	44	-	-
In Canadian dollars	-	-	15	92
In Chinese Yuan	-	-	43	49
In South African rand	-	-	85	37
Option Contracts				
In U.S. dollars	796	6,800	543	4,527
In Euro	179	1,648	100	897
In Australian dollars	11	57	20	111
Total forwards & options		33,045		28,817

The group recognized a net loss of ₹44 crore and a net loss of ₹99 crore during the three months and year ended March 31, 2025 and a net gain of ₹209 crore and a net gain of ₹186 crore during the three months and year ended March 31, 2024, respectively, on derivative financial instruments not designated as cash flow hedges which are included in other income.

The foreign exchange forward and option contracts mature within twelve months. The table below analyses the derivative financial instruments into relevant maturity groupings based on the remaining period as at the balance sheet date:

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Not later than one month	15,506	10,877
Later than one month and not later than three months	16,641	15,963
Later than three months and not later than one year	898	1,977
Total	33,045	28,817

During the year ended March 31, 2025 and March 31, 2024, the Group has designated certain foreign exchange forward and option contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transactions. The related hedge transactions for balance in cash flow hedging reserve as of March 31, 2025, are expected to occur and reclassified to statement of comprehensive income within three months.

The Group determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of its forecasted cash flows. Hedge effectiveness is determined at the inception of the hedge relationship, and through periodic prospective effectiveness assessments to ensure that an economic relationship exists between the hedged item and hedging instrument, including whether the hedging instrument is expected to offset changes in cash flows of hedged items.

If the hedge ratio for risk management purposes is no longer optimal but the risk management objective remains unchanged and the hedge continues to qualify for hedge accounting, the hedge relationship will be rebalanced by adjusting either the volume of the hedging instrument or the volume of the hedged item so that the hedge ratio aligns with the ratio used for risk management purposes. Any hedge ineffectiveness is calculated and accounted for in profit or loss at the time of the hedge relationship rebalancing.

The following table provides the reconciliation of cash flow hedge reserve for the three months and year ended March 31, 2025 and March 31, 2024:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Gain / (Loss)				
Balance at the beginning of the period	38	22	6	(5)
Gain / (loss) recognized in other comprehensive income during the period	(66)	(11)	(5)	8
Amount reclassified to profit and loss during the period	(8)	4	(27)	7
Tax impact on above	18	(9)	8	(4)
Balance at the end of the period	(18)	6	(18)	6

The Group offsets a financial asset and a financial liability when it currently has a legally enforceable right to set off the recognized amounts and the Group intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

The quantitative information about offsetting of derivative financial assets and derivative financial liabilities is as follows:

Particulars	As at			
	March 31, 2025		March 31, 2024	
	Derivative financial asset	Derivative financial liability	Derivative financial asset	Derivative financial liability
Gross amount of recognized financial asset/liability	250	(121)	98	(45)
Amount set off	(58)	58	(14)	14
Net amount presented in balance sheet	192	(63)	84	(31)

Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. The maximum exposure to the credit risk at the reporting date is primarily from trade receivables amounting to ₹31,158 crore and ₹30,193 crore as at March 31, 2025 and March 31, 2024, respectively and unbilled revenue amounting to ₹15,083 crore and ₹14,548 crore as at March 31, 2025 and March 31, 2024, respectively. Trade receivables and unbilled revenue are typically unsecured and are derived from revenue earned from customers primarily located in the United States of America and Europe. Credit risk has always been managed by the Group through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Group grants credit terms in the normal course of business. The Group uses the expected credit loss model to assess any required allowances; and uses a provision matrix to compute the expected credit loss allowance for trade receivables and unbilled revenues. This matrix takes into account credit reports and other related credit information to the extent available.

The Group's exposure to credit risk is influenced mainly by the individual characteristic of each customer and the concentration of risk from the top few customers. Exposure to customers is diversified and there is no single customer contributing more than 10% of outstanding trade receivables and unbilled revenues.

The following table gives details in respect of percentage of revenues generated from top five customers and top ten customers:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Revenue from top five customers	13.1	13.6	13.2	13.3
Revenue from top ten customers	20.7	20.4	20.5	20.0

Credit risk exposure

Trade receivables ageing schedule as at March 31, 2025 is as follows:

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	
Trade receivables	23,696	7,510	206	272	77	115	31,876
Less: Allowance for credit loss							(718)
Total Trade receivables							31,158

Trade receivables ageing schedule as at March 31, 2024 is as follows:

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	
Trade receivables	22,575	7,418	347	446	8	115	30,909
Less: Allowance for credit loss							(716)
Total Trade receivables							30,193

The allowance of lifetime ECL on customer balances for the three months and year ended March 31, 2025 was ₹(57) crore and ₹108 crore, respectively. The allowance of lifetime expected credit loss on customer balances for the three months and year ended March 31, 2024 was ₹(104) crore and ₹90 crore, respectively.

The movement in credit loss allowance on customer balance is as follows:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Balance at the beginning	1,036	1,049	953	961
Impairment loss recognized / (reversed), net	(57)	(104)	108	90
Amounts written off	(29)	-	(91)	(98)
Translation differences	23	8	3	-
Balance at the end	973	953	973	953

The gross carrying amount of a financial asset is written off (either partially or in full) when there is no realistic prospect of recovery.

Credit exposure

The Group's credit period generally ranges from 30-75 days.

Particulars	As at	
	March 31, 2025	March 31, 2024
Trade receivables	31,158	30,193
Unbilled revenue	15,083	14,548

Days sales outstanding (DSO) was 69 days and 71 days as of March 31, 2025 and March 31, 2024, respectively.

Credit risk on cash and cash equivalents is limited as the Group generally invest in deposits with banks with high ratings assigned by international and domestic credit rating agencies. Ratings are monitored periodically and the Group has considered the latest available credit ratings as at the date of approval of these Consolidated financial statements.

The investments of the Group primarily include investment in liquid mutual fund units, quoted debt securities, certificates of deposit, commercial paper, quoted bonds issued by government and quasi government organizations. The Group invests after considering counterparty risks based on multiple criteria including Tier I Capital, Capital Adequacy Ratio, credit rating, profitability, NPA levels and deposit base of banks and financial institutions. These risks are monitored regularly as per Group's risk management program.

Liquidity risk

Liquidity risk is defined as the risk that the Group will not be able to settle or meet its obligations on time.

The Group's principal sources of liquidity are cash and cash equivalents and investments and the cash flow that is generated from operations. The Group has no outstanding borrowings. The Group believes that the working capital is sufficient to meet its current requirements.

As at March 31, 2025, the Group had a working capital of ₹54,249 crore including cash and cash equivalents of ₹24,455 crore and current investments of ₹12,482 crore. As at March 31, 2024, the Group had a working capital of ₹50,638 crore including cash and cash equivalents of ₹14,786 crore and current investments of ₹12,915 crore.

As at March 31, 2025 and March 31, 2024, the outstanding employee benefit obligations were ₹3,007 crore and ₹2,711 crore, respectively, which have been substantially funded. Accordingly, no liquidity risk is perceived.

Refer to Note 2.8 for remaining contractual maturities of lease liabilities.

The table below provides details regarding the contractual maturities of significant financial liabilities as at March 31, 2025:

Particulars	(In ₹ crore)				
	Less than 1 year	1-2 years	2-4 years	4-7 years	Total
Trade payables	4,164	-	-	-	4,164
Financial liability under option arrangements on an undiscounted basis (Refer to Note 2.5)	612	-	149	-	761
Other financial liabilities (excluding liability towards contingent consideration) on an undiscounted basis (Refer to Note 2.5)	14,606	1,750	145	12	16,513
Liability towards contingent consideration on an undiscounted basis (Refer to Note 2.5)	12	21	-	-	33

The table below provides details regarding the contractual maturities of significant financial liabilities as at March 31, 2024:

Particulars	(In ₹ crore)				
	Less than 1 year	1-2 years	2-4 years	4-7 years	Total
Trade payables	3,956	-	-	-	3,956
Financial liability under option arrangements on an undiscounted basis (Refer to Note 2.5)	554	-	-	136	690
Other financial liabilities (excluding liability towards contingent consideration) (Refer to Note 2.5)	13,820	1,321	570	67	15,778

2.4 Prepayments and other assets

Prepayments and other assets consist of the following:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Current		
Security deposits ⁽¹⁾	65	75
Loans to employees ⁽¹⁾	249	248
Prepaid expenses ⁽²⁾	3,080	3,329
Interest accrued and not due ⁽¹⁾	842	537
Withholding taxes and others ⁽²⁾⁽⁴⁾	2,841	3,540
Advance payments to vendors for supply of goods ⁽²⁾	413	356
Deposit with corporations ⁽¹⁾⁽³⁾	2,949	2,535
Deferred contract cost		
Cost of obtaining a contract ⁽²⁾	343	200
Cost of fulfillment ⁽²⁾	504	358
Other non financial assets ⁽²⁾	91	180
Net investment in lease ⁽¹⁾ (Refer to note 2.8)	1,139	710
Other financial assets ⁽¹⁾	470	221
Total current prepayment and other assets	12,986	12,289
Non-current		
Security deposits ⁽¹⁾	273	259
Loans to employees ⁽¹⁾	16	34
Prepaid expenses ⁽²⁾	282	343
Withholding taxes and others ⁽²⁾⁽⁴⁾	534	673
Deposit with corporations ⁽¹⁾⁽³⁾	82	47
Deferred contract cost		
Cost of obtaining a contract ⁽²⁾	312	129
Cost of fulfillment ⁽²⁾	879	687
Defined benefit plan assets ⁽²⁾	297	31
Net investment in lease ⁽¹⁾ (Refer to note 2.8)	1,106	1,114
Other financial assets ⁽¹⁾	19	8
Total non- current prepayment and other assets	3,800	3,325
Total prepayment and other assets	16,786	15,614
⁽¹⁾ Financial assets carried at amortized cost	7,210	5,788

⁽²⁾ Non financial assets

⁽³⁾ Deposit with corporation represents amounts deposited to settle certain employee-related obligations as and when they arise during the normal course of business.

⁽⁴⁾ Withholding taxes and others primarily consist of input tax credits and VAT recoverable from tax authorities.

2.5 Other liabilities

Other liabilities comprise the following:

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Current		
Accrued compensation to employees ⁽¹⁾	4,924	4,454
Accrued defined benefit liability ⁽³⁾	6	5
Accrued expenses ⁽¹⁾	8,467	8,224
Withholding taxes and others ⁽³⁾	3,256	3,185
Liabilities of controlled trusts ⁽¹⁾	173	211
Liability towards contingent consideration ⁽²⁾	11	-
Capital Creditors ⁽¹⁾	520	310
Financial liability under option arrangements ⁽²⁾⁽⁴⁾	552	499
Other non-financial liabilities ⁽³⁾	11	8
Other financial liabilities ⁽¹⁾⁽⁵⁾	520	608
Total current other liabilities	18,440	17,504
Non-current		
Accrued expenses ⁽¹⁾	1,890	1,779
Accrued defined benefit liability ⁽³⁾	115	159
Accrued compensation to employees ⁽¹⁾	12	7
Liability towards contingent consideration ⁽²⁾	20	-
Financial liability under option arrangements ⁽²⁾⁽⁴⁾	115	98
Other financial liabilities ⁽¹⁾⁽⁵⁾	5	157
Other non-financial liabilities ⁽³⁾	100	76
Total non-current other liabilities	2,257	2,276
Total other liabilities	20,697	19,780
⁽¹⁾ Financial liability carried at amortized cost	16,511	15,750
⁽²⁾ Financial liability carried at fair value through profit or loss	698	597
Financial liability under option arrangements on an undiscounted basis	761	690
Financial liability towards contingent consideration on an undiscounted basis	33	-

⁽³⁾ Non financial liabilities

⁽⁴⁾ Represents liability related to options issued by the Group over the non-controlling interests in its subsidiaries

⁽⁵⁾ The Group entered into financing arrangements with a third party towards technology assets taken over by the Group from a customer as a part of transformation project which was not considered as distinct goods or services as the control related to those assets was not transferred to the Group in accordance with Ind AS 115 - Revenue from contract with customers. As at March 31, 2025 and March 31, 2024, the financial liability pertaining to such arrangements amounts to ₹67 crore and ₹372 crore, respectively.

Accrued expenses primarily relates to cost of technical sub-contractors, telecommunication charges, legal and professional charges, brand building expenses, overseas travel expenses and office maintenance and cost of third party software and hardware.

2.6 Provisions and other contingencies

Accounting Policy

2.6.1 Provisions

A provision is recognized if, as a result of a past event, the Group has a present legal or constructive obligation that is reasonably estimable, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The Group recognizes a reimbursement asset when, and only when, it is virtually certain that the reimbursement will be received if the Group settles the obligation.

Contingent liability is a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

a. Post sales client support

The Group provides its clients with a fixed-period post sales support on its fixed-price, fixed-timeframe contracts. Costs associated with such support services are accrued at the time related revenues are recorded and included in cost of sales. The Group estimates such costs based on historical experience and estimates are reviewed on a periodic basis for any material changes in assumptions and likelihood of occurrence.

b. Onerous contracts

Provisions for onerous contracts are recognized when the expected benefits to be derived by the Group from a contract are lower than the unavoidable costs of meeting the future obligations under the contract. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established the Group recognizes any impairment loss on the assets associated with that contract.

Provision for post sales client support and other provisions

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Post sales client support and other provision	1,325	1,796
Provisions pertaining to settlement (refer to note 2.6.2)	150	—
Total provisions	1,475	1,796

The movement in the provision for post sales client support is as follows:

Particulars	(In ₹ crore)	
	Three months ended	Year ended March
	March 31, 2025	31, 2025
Balance at the beginning	1,492	1,796
Provision recognized / (reversed)	(90)	166
Provision utilized	(92)	(676)
Exchange difference	15	39
Balance at the end	1,325	1,325

Provision for post sales client support and other provisions majorly represents cost associated with providing post sales support services which are accrued at the time of recognition of revenues and are expected to be utilized over a period of 1 year.

Provision for post sales client support and other provisions is included in cost of sales in the consolidated statement of comprehensive income.

As at March 31, 2025 and March 31, 2024 claims against the Group, not acknowledged as debts, (excluding demands from income tax authorities - Refer to note 2.12) amounted to ₹1,020 crore and ₹789 crore respectively.

2.6.2 Legal Proceedings

McCamish Cybersecurity incident

In November 2023, certain systems of Infosys McCamish Systems LLC (“McCamish”), a subsidiary of Infosys BPM Limited (a wholly owned subsidiary of Infosys Limited), were encrypted by ransomware, resulting in the non-availability of certain applications and systems. McCamish initiated its incident response and engaged cybersecurity and other specialists to assist in its investigation of and response to the incident and remediation and restoration of impacted applications and systems. By December 31, 2023, McCamish, with external specialists’ assistance, substantially remediated and restored the affected applications and systems. Actions taken by McCamish included investigative analysis conducted by a third-party cybersecurity firm to determine, among other things, whether and the extent to which Company or customer data was subject to unauthorized access or exfiltration. McCamish also engaged a third-party eDiscovery vendor in assessing the extent and nature of such data. McCamish in coordination with its third-party eDiscovery vendor has identified corporate customers and individuals whose information was subject to unauthorized access and exfiltration. McCamish processes personal data on behalf of its corporate customers.

From March 6, 2024 through July 25, 2024, six actions were filed in the U.S. District Court for the Northern District of Georgia against McCamish. The actions arise out of the cybersecurity incident at McCamish initially disclosed on November 3, 2023. All six actions have since been consolidated, and the consolidated class action complaint was filed on November 7, 2024, purportedly on behalf of all persons residing in the United States whose personally identifiable information was compromised in the incident, including all who were sent a notice of the incident. On December 20, 2024, the Court granted the parties’ joint motion to stay proceedings pending the parties’ efforts to resolve the lawsuit through mediation. On March 13, 2025, McCamish and the plaintiffs engaged in mediation, resulting in an in-principle agreement that sets forth the terms of a proposed settlement of the class action lawsuits against McCamish, as well as seven class action lawsuits arising out of the incident that have been filed against McCamish’s customers. Under the settlement terms, McCamish has agreed to pay \$17.5 million (approximately ₹150 crore) into a fund to settle these matters. The agreed terms are subject to finalization of the terms of the settlement agreement, and preliminary and final court approval. If approved, the settlement will resolve all allegations made in the class action lawsuits without admission of any liability.

McCamish has recorded an accrual of \$17.5 million (approximately ₹150 crore) related to the settlement. McCamish has recognized an insurance reimbursement receivable of \$17 million (approximately ₹145 crore) which has been offset against the settlement expense of \$17.5 million (approximately ₹150 crore) in the Statement of Comprehensive Income. McCamish may incur additional costs including from indemnities or damages/claims, which are indeterminable at this time.

Others

Apart from legal proceedings and claims arising from the McCamish cybersecurity incident, the Group is subject to legal proceedings and claims which have arisen in the ordinary course of business. The Group’s management reasonably expects that such ordinary course legal actions, when ultimately concluded and determined, will not have a material and adverse effect on the Group’s results of operations or financial condition.

2.7 Property, plant and equipment

Accounting Policy

Property, plant and equipment are stated at cost, less accumulated depreciation and impairment, if any. Costs directly attributable to acquisition are capitalized until the property, plant and equipment are ready for use, as intended by the Management. The charge in respect of periodic depreciation is derived at after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The Group depreciates property, plant and equipment over their estimated useful lives using the straight-line method. The estimated useful lives of assets are as follows:

Building	22-25 years
Plant and machinery ⁽¹⁾	5 years
Computer equipment	3-5 years
Furniture and fixtures	5 years
Vehicles	5 years
Leasehold improvements	Lower of useful life of the asset or lease term

⁽¹⁾ Includes solar plant with a useful life of 25 years

Depreciation methods, useful lives and residual values are reviewed periodically, including at each financial year end. The useful lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology.

Advances paid towards the acquisition of property, plant and equipment outstanding at each balance sheet date and the cost of assets not ready to use before such date are disclosed under 'Capital work-in-progress'. Subsequent expenditures relating to property, plant and equipment is capitalized only when it is probable that future economic benefits associated with these will flow to the Group and the cost of the item can be measured reliably. The cost and related accumulated depreciation are eliminated from the financial statements upon sale or retirement of the asset.

Impairment

Property, plant and equipment are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in net profit in the interim consolidated statement of comprehensive income is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in net profit in the consolidated statement of comprehensive income if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated depreciation) had no impairment loss been recognized for the asset in prior years.

The changes in the carrying value of property, plant and equipment for the three months ended March 31, 2025 are as follows:

<i>(In ₹ crore)</i>							
Particulars	Land	Buildings	Plant and machinery	Computer equipment	Furniture and fixtures	Vehicles	Total
Gross carrying value as at January 1, 2025	1,430	11,716	5,458	8,734	3,433	48	30,819
Additions	47	5	55	697	39	-	843
Deletions**	-	(6)	(77)	(140)	(180)	-	(403)
Translation difference	-	6	2	15	8	-	31
Gross carrying value as at March 31, 2025	1,477	11,721	5,438	9,306	3,300	48	31,290
Accumulated depreciation as at January 1, 2025	-	(5,247)	(4,390)	(6,846)	(2,804)	(43)	(19,330)
Depreciation	-	(109)	(86)	(292)	(62)	-	(549)
Accumulated depreciation on deletions**	-	1	76	133	177	-	387
Translation difference	-	(3)	(2)	(8)	(7)	-	(20)
Accumulated depreciation as at March 31, 2025	-	(5,358)	(4,402)	(7,013)	(2,696)	(43)	(19,512)
Capital work-in progress as at January 1, 2025							858
Carrying value as at January 1, 2025	1,430	6,469	1,068	1,888	629	5	12,347
Capital work-in progress as at March 31, 2025							1,022
Carrying value as at March 31, 2025	1,477	6,363	1,036	2,293	604	5	12,800

The changes in the carrying value of property, plant and equipment for the three months ended March 31, 2024 are as follows:

<i>(In ₹ crore)</i>							
Particulars	Land	Buildings	Plant and machinery	Computer equipment	Furniture and fixtures	Vehicles	Total
Gross carrying value as at January 1, 2024	1,430	11,498	5,203	8,497	3,378	45	30,051
Additions	-	287	183	345	79	-	894
Deletions*	-	-	(42)	(224)	(59)	-	(325)
Translation difference	-	(15)	(3)	(7)	(8)	-	(33)
Gross carrying value as at March 31, 2024	1,430	11,770	5,341	8,611	3,390	45	30,587
Accumulated depreciation as at January 1, 2024	-	(4,814)	(4,115)	(6,267)	(2,660)	(42)	(17,898)
Depreciation	-	(111)	(109)	(336)	(90)	-	(646)
Accumulated depreciation on deletions*	-	-	39	219	51	-	309
Translation difference	-	4	3	4	7	-	18
Accumulated depreciation as at March 31, 2024	-	(4,921)	(4,182)	(6,380)	(2,692)	(42)	(18,217)
Capital work-in progress as at January 1, 2024							717
Carrying value as at January 1, 2024	1,430	6,684	1,088	2,230	718	3	12,870
Capital work-in progress as at March 31, 2024							448
Carrying value as at March 31, 2024	1,430	6,849	1,159	2,231	698	3	12,818

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2025 are as follows:

(In ₹ crore)

Particulars	Land	Buildings	Plant and machinery	Computer equipment	Furniture and fixtures	Vehicles	Total
Gross carrying value as at April 1, 2024	1,430	11,770	5,341	8,611	3,390	45	30,587
Additions	47	43	250	1,317	184	2	1,843
Additions - Business Combination (Refer to Note 2.10)	-	1	11	6	23	2	43
Deletions**	-	(113)	(167)	(633)	(307)	(1)	(1,221)
Translation difference	-	20	3	5	10	-	38
Gross carrying value as at March 31, 2025	1,477	11,721	5,438	9,306	3,300	48	31,290
Accumulated depreciation as at April 1, 2024	-	(4,921)	(4,182)	(6,380)	(2,692)	(42)	(18,217)
Depreciation	-	(444)	(372)	(1,249)	(293)	(2)	(2,360)
Accumulated depreciation on deletions**	-	13	155	616	297	1	1,082
Translation difference	-	(6)	(3)	-	(8)	-	(17)
Accumulated depreciation as at March 31, 2025	-	(5,358)	(4,402)	(7,013)	(2,696)	(43)	(19,512)
Capital work-in progress as at April 1, 2024							448
Carrying value as at April 1, 2024	1,430	6,849	1,159	2,231	698	3	12,818
Capital work-in progress as at March 31, 2025							1,022
Carrying value as at March 31, 2025	1,477	6,363	1,036	2,293	604	5	12,800

** During the three months and year ended March 31, 2025, certain assets which were not in use having gross book value of ₹113 crore (net book value: Nil) and ₹513 crore (net book value: Nil), respectively were retired.

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2024 are as follows:

(In ₹ crore)

Particulars	Land	Buildings	Plant and machinery	Computer equipment	Furniture and fixtures	Vehicles	Total
Gross carrying value as at April 1, 2023	1,429	11,562	5,169	8,519	3,365	45	30,089
Additions	1	300	331	931	197	1	1,761
Deletions*	-	(55)	(155)	(846)	(170)	(1)	(1,227)
Translation difference	-	(37)	(4)	7	(2)	-	(36)
Gross carrying value as at March 31, 2024	1,430	11,770	5,341	8,611	3,390	45	30,587
Accumulated depreciation as at April 1, 2023	-	(4,535)	(3,877)	(5,826)	(2,465)	(40)	(16,743)
Depreciation	-	(450)	(458)	(1,387)	(387)	(3)	(2,685)
Accumulated depreciation on deletions*	-	55	151	836	158	1	1,201
Translation difference	-	9	2	(3)	2	-	10
Accumulated depreciation as at March 31, 2024	-	(4,921)	(4,182)	(6,380)	(2,692)	(42)	(18,217)
Capital work-in progress as at April 1, 2023							447
Carrying value as at April 1, 2023	1,429	7,027	1,292	2,693	900	5	13,793
Capital work-in progress as at March 31, 2024							448
Carrying value as at March 31, 2024	1,430	6,849	1,159	2,231	698	3	12,818

* During the three months and year ended March 31, 2024, certain assets which were not in use having gross book value of ₹181 crore (net book value: Nil) and ₹775 crore (net book value: Nil), respectively were retired.

The aggregate depreciation expense is included in cost of sales in the interim consolidated statement of comprehensive income.

Repairs and maintenance costs are recognized in the consolidated statement of comprehensive income when incurred.

Consequent to the Companies (Corporate Social Responsibility Policy) Amendment Rules, 2021 ("the Rules"), the Company was required to transfer its CSR capital assets installed prior to January 2021. Towards this the Company had incorporated a subsidiary 'Infosys Green Forum' (IGF) under Section 8 of the Companies Act, 2013. During the year ended March 31, 2022 the Company had completed the transfer of assets upon obtaining the required approvals from regulatory authorities, as applicable. During March 31, 2024, the application filed by IGF for registration u/s.12AB of the Income Tax Act was rejected and registration cancelled. IGF has filed an appeal against this order before Income Tax Appellate Tribunal.

The Group had contractual commitments for capital expenditure primarily comprising of commitments for infrastructure facilities and computer equipment aggregating to ₹935 crore and ₹780 crore as at March 31, 2025 and March 31, 2024, respectively.

2.8 Leases

Accounting Policy

The Group as a lessee

The Group's lease asset classes primarily consist of leases for land, buildings and computers. The Group assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether: (1) the contract involves the use of an identified asset (2) the Group has substantially all of the economic benefits from use of the asset through the period of the lease and (3) the Group has the right to direct the use of the asset.

At the date of commencement of the lease, the Group recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Group recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

As a lessee, the Group determines the lease term as the non-cancellable period of a lease adjusted with any option to extend or terminate the lease, if the use of such option is reasonably certain. The Group makes an assessment on the expected lease term on a lease-by-lease basis and thereby assesses whether it is reasonably certain that any options to extend or terminate the contract will be exercised. In evaluating the lease term, the Group considers factors such as any significant leasehold improvements undertaken over the lease term, costs relating to the termination of the lease and the importance of the underlying asset to Group's operations taking into account the location of the underlying asset and the availability of suitable alternatives. The lease term in future periods is reassessed to ensure that the lease term reflects the current economic circumstances.

Certain lease arrangements include the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset.

Right-of-use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related right-of-use asset if the group changes its assessment of whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

The Group as a lessor

Leases for which the group is a lessor is classified as a finance or operating lease. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sublease separately. The sublease is classified as a finance or operating lease by reference to the right-of-use asset arising from the head lease.

For operating leases, rental income is recognized on a straight line basis over the term of the relevant lease.

Following are the changes in the carrying value of right-of-use assets for the three months ended March 31, 2025:

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of January 1, 2025	601	3,339	24	2,381	6,345
Additions*	-	284	2	370	656
Deletions	-	(104)	-	(192)	(296)
Depreciation	(1)	(180)	(3)	(223)	(407)
Translation difference	-	9	1	3	13
Balance as of March 31, 2025	600	3,348	24	2,339	6,311

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right-of-use assets for the three months ended March 31, 2024:

(In ₹ crore)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of January 1, 2024	607	3,527	18	2,740	6,892
Additions*	-	61	2	376	439
Deletions	-	(92)	-	(215)	(307)
Depreciation	(2)	(185)	(2)	(234)	(423)
Translation difference	-	(13)	(1)	(35)	(49)
Balance as of March 31, 2024	605	3,298	17	2,632	6,552

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right-of-use assets for the year ended March 31, 2025:

(In ₹ crore)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of April 1, 2024	605	3,298	17	2,632	6,552
Additions*	-	816	13	1,306	2,135
Addition due to Business Combination (Refer to note 2.10)	-	155	5	-	160
Deletions	-	(236)	(6)	(652)	(894)
Depreciation	(6)	(714)	(11)	(965)	(1,696)
Translation difference	1	29	6	18	54
Balance as of March 31, 2025	600	3,348	24	2,339	6,311

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right-of-use assets for the year ended March 31, 2024:

(In ₹ crore)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of April 1, 2023	623	3,896	15	2,348	6,882
Additions*	-	394	12	1,872	2,278
Deletions	(10)	(181)	(1)	(755)	(947)
Impairment	-	(88)	-	-	(88)
Depreciation	(6)	(728)	(10)	(851)	(1,595)
Translation difference	(2)	5	1	18	22
Balance as of March 31, 2024	605	3,298	17	2,632	6,552

* Net of adjustments on account of modifications and lease incentives

The aggregate depreciation expense on ROU assets is included in cost of sales in the consolidated statement of comprehensive income

The following is the break-up of current and non-current lease liabilities as of March 31, 2025 and March 31, 2024:

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Current lease liabilities	2,455	1,959
Non-current lease liabilities	5,772	6,400
Total	8,227	8,359

The movement in lease liabilities during the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

(In ₹ crore)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Balance as at Beginning	8,221	8,744	8,359	8,299
Additions	624	521	2,156	2,190
Addition due to Business Combination (Refer to note 2.10)	-	-	160	-
Deletions	(190)	(332)	(553)	(444)
Finance cost accrued during the period	89	79	341	326
Payment of lease liabilities	(580)	(575)	(2,355)	(2,030)
Translation difference	63	(78)	119	18
Balance as at end	8,227	8,359	8,227	8,359

The table below provides details regarding the contractual maturities of lease liabilities as at March 31, 2025 and March 31, 2024 on an undiscounted basis:

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Less than one year	2,483	2,152
One to five years	5,195	6,123
More than five years	1,296	994
Total	8,974	9,269

The group does not face a significant liquidity risk with regard to its lease liabilities as the current assets are sufficient to meet the obligations related to lease liabilities as and when they fall due.

Rental expense recorded for short-term leases was ₹24 crore and ₹85 crore for the three months and year ended March 31, 2025 respectively. Rental expense recorded for short-term leases was ₹27 crore and ₹97 crore for the three months and year ended March 31, 2024 respectively.

Leases not yet commenced to which Group is committed is ₹176 crore for a lease term ranging from 3 years to 5 years.

The following is the movement in the net investment in lease during the three months and year ended March 31, 2025 and March 31, 2024:

(In ₹ crore)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Balance as at beginning	2,173	1,614	1,824	922
Additions	262	178	1,013	1,281
Interest income accrued during the period	11	7	37	24
Others	(22)	2	(25)	(2)
Lease receipts	(217)	(13)	(676)	(400)
Translation difference	38	36	72	(1)
Balance as at the end	2,245	1,824	2,245	1,824

2.9 Goodwill and Intangible assets

2.9.1 Goodwill

Accounting Policy

Goodwill represents the purchase consideration in excess of the Group's interest in the net fair value of identifiable assets, liabilities and contingent liabilities of the acquired entity. When the net fair value of the identifiable assets, liabilities and contingent liabilities acquired exceeds the purchase consideration, the fair value of net assets acquired is reassessed and the bargain purchase gain is recognized immediately in the net profit in the Statement of Comprehensive Income. Goodwill is measured at cost less accumulated impairment losses.

Impairment

Goodwill is tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit (CGU) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or groups of CGU's which benefit from the synergies of the acquisition and which represents the lowest level at which goodwill is monitored for internal management purposes. A CGU is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or group of assets. Impairment occurs when the carrying amount of a CGU including the goodwill, exceeds the estimated recoverable amount of the CGU. The recoverable amount of a CGU is the higher of its fair value less cost to sell and its value-in-use. Value-in-use is the present value of future cash flows expected to be derived from the CGU. Key assumptions in the cash flow projections are prepared based on current economic conditions and includes estimated long term growth rates, weighted average cost of capital and estimated operating margins.

Following is a summary of changes in the carrying amount of goodwill:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Carrying value at the beginning	7,303	7,248
Goodwill on acquisitions (Refer to note 2.10)	2,593	-
Translation differences	210	55
Carrying value at the end	10,106	7,303

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to the CGUs or groups of CGUs, which benefit from the synergies of the acquisition.

The allocation of goodwill to operating segments as at March 31, 2025 and March 31, 2024 is as follows:

Segment	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Financial services	1,510	1,476
Retail	961	939
Communication	691	675
Energy, Utilities, Resources and Services	1,337	1,160
Manufacturing	2,986	578
Life Sciences	975	951
	8,460	5,779
Operating segments without significant goodwill	650	552
Total	9,110	6,331

The goodwill pertaining to Panaya amounting to ₹996 crore and ₹972 crore as at March 31, 2025 and March 31, 2024, respectively is tested for impairment at the entity level.

The recoverable amount of a CGU is the higher of its fair value less cost to sell and its value-in-use. The fair value of a CGU is determined based on the market capitalization. Value-in-use is determined based on discounted future cash flows. The key assumptions used for the calculations are as follows:

	(in %)	
	As at	
	March 31, 2025	March 31, 2024
Long term growth rate	7-10	7-10
Operating margins	19-21	19-21
Discount rate	13	13

The above discount rate is based on the Weighted Average Cost of Capital (WACC) of the Company. As at March 31, 2025, the estimated recoverable amount of the CGU exceeded its carrying amount. Reasonable sensitivities in key assumptions are unlikely to cause the carrying amount to exceed the recoverable amount of the cash generating units.

2.9.2 Intangible assets

Accounting Policy

Intangible assets are stated at cost less accumulated amortization and impairment. Intangible assets are amortized over their respective individual estimated useful lives on a straight-line basis, from the date that they are available for use. The estimated useful life of an identifiable intangible asset is based on a number of factors including the effects of obsolescence, demand, competition, and other economic factors (such as the stability of the industry and known technological advances), and the level of maintenance expenditures required to obtain the expected future cash flows from the asset. Amortization methods and useful lives are reviewed periodically including at each financial year end.

Research costs are expensed as incurred. Software product development costs are expensed as incurred unless technical and commercial feasibility of the project is demonstrated, future economic benefits are probable, the Group has an intention and ability to complete and use or sell the software and the costs can be measured reliably. The costs which can be capitalized include the cost of material, direct labour, overhead costs that are directly attributable to prepare the asset for its intended use.

Impairment

Intangible assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the CGU to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in net profit in the statement of comprehensive income is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in net profit in the statement of comprehensive income if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated amortization) had no impairment loss been recognized for the asset in prior years.

Following are the changes in the carrying value of acquired intangible assets for the three months ended March 31, 2025:

(In ₹ crore)

Particulars	Customer related	Software related	Intellectual property rights related	Brand or Trademark Related	Others*	Total
Gross carrying value as at January 1, 2025	4,279	1,218	1	512	798	6,808
Additions during the period	-	39	-	-	-	39
Deletions	-	-	-	-	-	-
Translation differences	104	23	-	7	3	137
Gross carrying value as at March 31, 2024	4,383	1,280	1	519	801	6,984
Accumulated amortization as at January 1, 2025	(2,054)	(835)	(1)	(275)	(660)	(3,825)
Amortization expense*	(289)	(24)	-	(14)	(18)	(345)
Deletions	-	-	-	-	-	-
Translation differences	(34)	(10)	-	(2)	(2)	(48)
Accumulated amortization as at March 31, 2025	(2,377)	(869)	(1)	(291)	(680)	(4,218)
Carrying value as at January 1, 2025	2,225	383	-	237	138	2,983
Carrying value as at March 31, 2025	2,006	411	-	228	121	2,766
Estimated Useful Life (in years)	1-15	3-10	-	3-10	3-7	
Estimated Remaining Useful Life (in years)	1-9	1-4	-	1-6	1-3	

Following are the changes in the carrying value of acquired intangible assets for the three months ended March 31, 2024:

(In ₹ crore)

Particulars	Customer related	Software related	Intellectual property rights related	Brand or Trademark Related	Others*	Total
Gross carrying value as at January 1, 2024	2,570	1,102	1	351	784	4,808
Additions during the period	-	22	-	-	-	22
Deletions	-	-	-	-	-	-
Translation differences	(58)	(14)	-	(2)	(2)	(76)
Gross carrying value as at March 31, 2024	2,512	1,110	1	349	782	4,754
Accumulated amortization as at January 1, 2024	(1,797)	(748)	(1)	(227)	(527)	(3,300)
Amortization expense	(44)	(19)	-	(9)	(30)	(102)
Deletions	-	2	-	-	-	2
Translation differences	41	-	-	1	1	43
Accumulated amortization as at March 31, 2024	(1,800)	(765)	(1)	(235)	(556)	(3,357)
Carrying value as at January 1, 2024	773	354	-	124	257	1,508
Carrying value as at March 31, 2024	712	345	-	114	226	1,397
Estimated Useful Life (in years)	1-15	3-10	-	3-10	3-7	
Estimated Remaining Useful Life (in years)	1-10	1-5	-	1-6	1-4	

Following are the changes in the carrying value of acquired intangible assets for the year ended March 31, 2025:

(In ₹ crore)

Particulars	Customer related	Software related	Intellectual property rights related	Brand or Trademark Related	Others*	Total
Gross carrying value as at April 1, 2024	2,512	1,110	1	349	782	4,754
Additions during the period		143				143
Acquisition through business combination (Refer note no. 2.10)	1,780	-	-	160	-	1,940
Deletions	-	-	-	-	-	-
Translation differences	91	27	-	10	19	147
Gross carrying value as at March 31, 2025	4,383	1,280	1	519	801	6,984
Accumulated amortization as at April 1, 2024	(1,800)	(765)	(1)	(235)	(556)	(3,357)
Amortization expense*	(530)	(87)	-	(50)	(110)	(777)
Deletions	-	-	-	-	-	-
Translation differences	(47)	(17)	-	(6)	(14)	(84)
Accumulated amortization as at March 31, 2025	(2,377)	(869)	(1)	(291)	(680)	(4,218)
Carrying value as at April 1, 2024	712	345	-	114	226	1,397
Carrying value as at March 31, 2025	2,006	411	-	228	121	2,766
Estimated Useful Life (in years)	1-15	3-10	-	3-10	3-7	
Estimated Remaining Useful Life (in years)	1-9	1-4	-	1-6	1-3	

* During the three months ended March 31, 2025, a decline in the revenue estimates led to the carrying value of the customer related intangibles assets recognized on business combination exceeding the estimated recoverable amount. Consequently, the Company has recognized ₹188 crore as the excess of carrying value over the estimated recoverable value for the three months ended March 31, 2025.

Following are the changes in the carrying value of acquired intangible assets for the year ended March 31, 2024:

(In ₹ crore)

Particulars	Customer related	Software related	Intellectual property rights related	Brand or Trademark Related	Others*	Total
Gross carrying value as at April 1, 2023	2,507	1,031	1	346	774	4,659
Additions during the period	-	79	-	-	-	79
Deletions	-	(2)	-	-	-	(2)
Translation differences	5	2	-	3	8	18
Gross carrying value as at March 31, 2024	2,512	1,110	1	349	782	4,754
Accumulated amortization as at April 1, 2023	(1,600)	(688)	(1)	(195)	(426)	(2,910)
Amortization expense	(194)	(75)	-	(38)	(125)	(432)
Deletions	-	2	-	-	-	2
Translation differences	(6)	(4)	-	(2)	(5)	(17)
Accumulated amortization as at March 31, 2024	(1,800)	(765)	(1)	(235)	(556)	(3,357)
Carrying value as at April 1, 2023	907	343	-	151	348	1,749
Carrying value as at March 31, 2024	712	345	-	114	226	1,397
Estimated Useful Life (in years)	1-15	3-10	-	3-10	3-7	
Estimated Remaining Useful Life (in years)	1-10	1-5	-	1-6	1-4	

* Majorly includes intangibles related to vendor relationships

The amortization expense has been included under depreciation and amortization expense under cost of sales in the consolidated statement of comprehensive income.

Research and development expense recognized in net profit in the consolidated statement of comprehensive income for the three months ended March 31, 2025 and March 31, 2024 was ₹350 crore and ₹281 crore respectively, and for the year ended March 31, 2025 and March 31, 2024 was ₹1296 crore and ₹1,118 crore respectively.

2.10 Business combinations

Accounting policy

Business combinations have been accounted for using the acquisition method under the provisions of IFRS 3 (Revised), Business Combinations.

The purchase price in an acquisition is measured at the fair value of the assets transferred, equity instruments issued and liabilities incurred or assumed at the date of acquisition, which is the date on which control is transferred to the Group. The purchase price also includes the fair value of any contingent consideration. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair value on the date of acquisition. Contingent consideration is remeasured at fair value at each reporting date and changes in the fair value of the contingent consideration are recognized in the interim Consolidated Statement of Comprehensive Income.

The interest of non-controlling shareholders is initially measured either at fair value or at the non-controlling interests' proportionate share of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity of subsidiaries.

Business combinations between entities under common control is outside the scope of IFRS 3 (Revised), Business Combinations and is accounted for at carrying value of assets acquired and liabilities assumed.

The payments related to options issued by the Group over the non-controlling interests in its subsidiaries are accounted as financial liabilities and initially recognized at the estimated present value of gross obligations. Such options are subsequently measured at fair value in order to reflect the amount payable under the option at the date at which it becomes exercisable. In the event that the option expires unexercised, the liability is derecognized.

Acquisition during the year ended 31 March 2025

InSemi

On May 10, 2024, Infosys Ltd acquired 100% voting interests in InSemi Technology Services Private Limited, a semiconductor design services company headquartered in India. This acquisition is expected to strengthen our expertise in semiconductor ecosystem and Engineering R&D services.

The purchase price is allocated to assets acquired and liabilities assumed based upon determination of fair values at the date of acquisition as follows:

(In ₹ crore)			
Component	Acquiree's carrying amount	Fair value adjustments	Purchase price allocated
Net Assets ⁽¹⁾	40	-	40
Intangible assets :			
Customer related	-	60	60
Brand	-	13	13
Deferred tax liabilities on intangible assets	-	(18)	(18)
Total			95
Goodwill			103
Total purchase price			198

⁽¹⁾ Includes cash and cash equivalents acquired of ₹ 41 crore.

The excess of the purchase consideration paid over the fair value of assets acquired has been attributed to goodwill. The primary items that generated this goodwill are the value of the acquired assembled workforce and estimated synergies, neither of which qualify as an intangible asset.

Goodwill is not tax-deductible.

The purchase consideration of ₹198 crore includes cash of ₹168 crore and contingent consideration with an estimated fair value of ₹30 crore as on the date of acquisition.

At the acquisition date, the key inputs used in determination of the fair value of contingent consideration are the probabilities assigned towards achievement of financial targets and discount rate of 5.9%. The undiscounted value of contingent consideration as of March 31, 2025 was ₹33 crore.

Additionally, this acquisition has retention bonus and management incentive payable to the employees of the acquiree over three years, subject to their continuous employment with the Group and achievement of financial targets for the respective years. Bonus and incentives are recognized in employee benefit expenses in the Consolidated Statement of Comprehensive Income over the period of service.

Fair value of trade receivables acquired is ₹32 crore as of acquisition date and as of March 31, 2025 the amounts are substantially collected.

Transaction costs that the Group incurs in connection with a business combination such as finder's fees, legal fees, due diligence fees, and other professional and consulting fees are expensed as incurred. The transaction costs of ₹2 crore related to the acquisition have been included under administrative expenses in the Consolidated Statement of Comprehensive Income for the three months ended June 30, 2024.

in-tech Holding GmbH

On July 17, 2024, Infosys Germany GmbH wholly owned step down subsidiary of Infosys Limited acquired 100% voting interests in in-tech Holding GmbH, a leading provider of engineering R&D services headquartered in Germany. This acquisition is expected to strengthen Infosys' engineering R&D capabilities and reaffirms its continued commitment to global clients to navigate their digital engineering journey.

The purchase price is allocated to assets acquired and liabilities assumed based upon determination of fair values at the date of acquisition as follows:

(In ₹ crore)			
Component	Acquiree's carrying amount	Fair value adjustments	Purchase price allocated
Assets ⁽¹⁾	731	-	731
Liabilities	(364)	-	(364)
Intangible assets:			
Customer related	-	1,720	1,720
Brand	-	147	147
Deferred tax liabilities on intangible assets	-	(511)	(511)
Goodwill			2,490
Loan	(985)	-	(985)
Total purchase price			3,228
Loan repayment			985
Total cash outflow			4,213

⁽¹⁾ Includes cash and cash equivalents acquired of ₹197 crore.

The excess of the purchase consideration paid over the fair value of assets acquired has been attributed to goodwill. The primary items that generated this goodwill are the value of the acquired assembled workforce and estimated synergies, neither of which qualify as an intangible asset.

Goodwill is not tax-deductible.

The total purchase consideration of EUR 356 million (₹3,228 crore) comprises the cash consideration paid to selling shareholders at the acquisition date.

Additionally, this acquisition has retention bonus and management incentive payable to the employees of the acquiree over two to five years, subject to their continuous employment with the Group and achievement of financial targets for the respective years. Bonus and incentives are recognized in employee benefit expenses in the Statement of Comprehensive Income over the period of service.

Fair value of trade receivables acquired is ₹139 crore as of acquisition date and as of March 31, 2025 the amounts are substantially collected.

Transaction costs that the Group incurs in connection with a business combination such as finder's fees, legal fees, due diligence fees, and other professional and consulting fees are expensed as incurred. The transaction costs of ₹4 crore related to the acquisition have been included under administrative expenses in the Consolidated Statement of Comprehensive Income for the quarter ended September 30, 2024.

Proposed acquisitions

On April 17, 2025, Infosys Singapore Pte Ltd., a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the equity share capital of The Missing Link, a leading Cybersecurity service provider headquartered in Australia, for a consideration including earn-outs amounting up to AUD 98 million (approximately ₹527 crore), excluding management incentives, and retention bonus, subject to customary closing adjustments.

On April 17, 2025, Infosys Nova Holdings LLC, a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the partnership interests of MRE Consulting Ltd, a leading Energy Consulting company, headquartered in USA, for a consideration including earn-outs amounting up to \$36 million (approximately ₹308 crore), excluding management incentives, and retention bonus, subject to customary closing adjustments. To consummate this transaction, Infosys Nova Holdings LLC has simultaneously incorporated an entity Infosys Energy Consulting Services LLC.

2.11 Employees' Stock Option Plans (ESOP)

Accounting Policy

The Group recognizes compensation expense relating to share-based payments in net profit based on estimated fair-values of the awards on the grant date. The estimated fair value of awards is recognized as an expense in net profit in the interim consolidated statement of comprehensive income on a straight-line basis over the requisite service period for each separately vesting portion of the award as if the award was in-substance, multiple awards with a corresponding increase to share premium.

Infosys Expanded Stock Ownership Program 2019 (the 2019 Plan):

On June 22, 2019 pursuant to the approval by the shareholders in the Annual General Meeting, the Board has been authorized to introduce, offer, issue and provide share-based incentives to eligible employees of the Company and its subsidiaries under the 2019 Plan. The maximum number of shares under the 2019 plan shall not exceed 50,000,000 equity shares. To implement the 2019 Plan, up to 45,000,000 equity shares may be issued by way of secondary acquisition of shares by the Infosys Expanded Stock Ownership Trust. The Restricted Stock Units (RSUs) granted under the 2019 plan shall vest based on the achievement of defined annual performance parameters as determined by the administrator (Nomination and Remuneration Committee). The performance parameters will be based on a combination of relative Total Shareholder Return (TSR) against selected industry peers and certain broader market domestic and global indices and operating performance metrics of the company as decided by administrator. Each of the above performance parameters will be distinct for the purposes of calculation of quantity of shares to vest based on performance. These instruments will generally vest between a minimum of 1 to maximum of 3 years from the grant date.

2015 Stock Incentive Compensation Plan (the 2015 Plan):

On March 31, 2016, pursuant to the approval by the shareholders through postal ballot, the Board was authorized to introduce, offer, issue and allot share-based incentives to eligible employees of the Company and its subsidiaries under the 2015 Stock Incentive Compensation Plan. The maximum number of shares under the 2015 plan shall not exceed 24,038,883 equity shares (this includes 11,223,576 equity shares which are held by the trust towards the 2011 Plan as at March 31, 2016). These instruments will generally vest over a period of 4 years. The plan numbers mentioned above are further adjusted with the September 2018 bonus issue.

The equity settled and cash settled RSUs and stock options would vest generally over a period of 4 years and shall be exercisable within the period as approved by the Nomination and Remuneration Committee (NARC). The exercise price of the RSUs will be equal to the par value of the shares and the exercise price of the stock options would be the market price as on the date of grant.

Controlled trust holds 96,55,927 and 10,916,829 shares as at March 31, 2025 and March 31, 2024, respectively under the 2015 plan, out of which 200,000 equity shares each have been earmarked for welfare activities of the employees as at March 31, 2025 and March 31, 2024.

The following is the summary of grants made during the three months and year ended March 31, 2025 and March 31, 2024:

Particulars	2019 Plan				2015 Plan			
	Three months ended		Year ended		Three months ended		Year ended	
	March 31,	March 31,	March 31,	March 31,	March 31,	March 31,	March 31,	March 31,
	2025	2024	2025	2024	2025	2024	2025	2024
Equity settled RSUs								
Key Management Personnel (KMP)	49,000	26,900	119,699	141,171	85,674	77,094	380,842	498,730
Employees other than KMP	3,617,798	3,582,471	3,624,646	4,046,731	1,722,470	3,442,700	1,874,690	4,640,640
Total Grants	3,666,798	3,609,371	3,744,345	4,187,902	1,808,144	3,519,794	2,255,532	5,139,370
Cash settled RSUs								
Key Management Personnel (KMP)	-	-	-	-	-	-	-	-
Employees other than KMP	-	-	-	-	94,050	169,040	94,050	176,990
	-	-	-	-	94,050	169,040	94,050	176,990
Total Grants	3,666,798	3,609,371	3,744,345	4,187,902	1,902,194	3,688,834	2,349,582	5,316,360

Notes on grants to KMP:

CEO & MD

Under the 2015 plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee approved the following grants for fiscal 2025. In accordance with such approval the following grants were made effective May 2, 2024.

- 245,679 performance-based RSUs (Annual performance equity grant) of fair value of ₹34.75 crore. These RSUs will vest in line with the employment agreement based on achievement of certain performance targets.
- 14,140 performance-based grant of RSUs (Annual performance equity ESG grant) of fair value of ₹2 crore. These RSUs will vest in line with the employment agreement based on achievement of certain environment, social and governance milestones as determined by the Board.
- 35,349 performance-based grant of RSUs (Annual performance Equity TSR grant) of fair value of ₹5 crore. These RSUs will vest in line with the employment agreement based on Company's performance on cumulative relative TSR over the years and as determined by the Board.

Further, in accordance with the employee agreement which has been approved by the shareholders, the CEO is eligible to receive an annual grant of RSUs of fair value ₹3 crore which will vest overtime in three equal annual installments upon the completion of each year of service from the respective grant date. Accordingly, annual time-based grant of 16,204 RSUs was made effective February 1, 2025 for fiscal 2025.

Though the annual time based grants and annual performance equity TSR grant for the remaining employment term ending on March 31, 2027 have not been granted as of March 31, 2025, since the service commencement date precedes the grant date, the company has recorded employment stock compensation expense in accordance with IFRS 2, Share based payments. The grant date for this purpose in accordance with IFRS 2, Share based payments is July 1, 2022.

Under the 2019 plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee, approved performance-based grant of RSUs amounting to ₹10 crore for fiscal 2025 under the 2019 Plan. These RSUs will vest based on achievement of certain performance targets. Accordingly, 70,699 performance based RSU's were granted effective May 2, 2024.

Other KMP

Under the 2015 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved 69,470 time based RSUs to other KMP under the 2015 plan. Time based RSUs will vest over four years.

Under the 2019 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved performance based grants of 49,000 RSUs to other KMPs under the 2019 plan. These RSUs will vest over three years based on achievement of certain performance targets.

The break-up of employee stock compensation expense is as follows:

Particulars	(in ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Granted to:				
KMP	18	17	70	68
Employees other than KMP	180	208	732	584
Total ⁽¹⁾	198	225	802	652
⁽¹⁾ Cash settled stock compensation expense included in the above	3	4	17	13

The activity in the 2015 and 2019 plan for equity-settled share based payment transactions is set out as follows:

Particulars	Three months ended March 31, 2025		Three months ended March 31, 2024		Year ended March 31, 2025		Year ended March 31, 2024	
	Shares arising out of options	Weighted average exercise price (₹)	Shares arising out of options	Weighted average exercise price (₹)	Shares arising out of options	Weighted average exercise price (₹)	Shares arising out of options	Weighted average exercise price (₹)
2015 Plan: RSU								
Outstanding at the beginning	6,577,588	5.00	5,154,236	5.00	8,076,058	5.00	5,408,018	5.00
Granted	1,808,144	5.00	3,519,794	5.00	2,255,532	5.00	5,139,370	5.00
Exercised	886,884	5.00	471,536	5.00	2,080,865	5.00	1,815,025	5.00
Forfeited and expired	239,384	5.00	126,436	5.00	991,261	5.00	656,305	5.00
Outstanding at the end	7,259,464	5.00	8,076,058	5.00	7,259,464	5.00	8,076,058	5.00
Exercisable at the end	629,138	4.97	831,050	4.98	629,138	4.97	831,050	4.98
2015 Plan: Employee Stock Options (ESOPs)								
Outstanding at the beginning	17,554	499	82,050	551	82,050	551	134,030	529
Granted	-	-	-	-	-	-	-	-
Exercised	-	-	-	-	61,672	573	51,980	499
Forfeited and expired	-	-	-	-	2,824	499	-	-
Outstanding at the end	17,554	499	82,050	551	17,554	499	82,050	551
Exercisable at the end	17,554	499	82,050	551	17,554	499	82,050	551
2019 Plan: RSU								
Outstanding at the beginning	6,567,358	5.00	5,845,282	5.00	8,023,855	5.00	7,222,038	5.00
Granted	3,666,798	5.00	3,609,371	5.00	3,744,345	5.00	4,187,902	5.00
Exercised	638,563	5.00	281,010	5.00	1,514,356	5.00	1,695,705	5.00
Forfeited and expired	1,522,958	5.00	1,149,788	5.00	2,181,209	5.00	1,690,380	5.00
Outstanding at the end	8,072,635	5.00	8,023,855	5.00	8,072,635	5.00	8,023,855	5.00
Exercisable at the end	770,321	5.00	814,798	5.00	770,321	5.00	814,798	5.00

The weighted average share price of option exercised is set out as follows:

(in ₹)

Particulars	2019 Plan				2015 Plan			
	Three months ended March 31,		Year ended March 31,		Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024	2025	2024	2025	2024
Weighted average share price of options exercised	1,629	1,600	1,587	1,352	1,663	1,630	1,601	1,414

The summary of information about equity settled RSUs and ESOPs outstanding as at March 31, 2025 is as follows:

Range of exercise prices per share (₹)	2019 plan - Options outstanding			2015 plan - Options outstanding		
	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)
0 - 5 (RSU)	8,072,635	1.23	5.00	7,259,464	1.51	5.00
450 - 640 (ESOP)	-	-	-	17,554	0.58	499

The summary of information about equity settled RSUs and ESOPs outstanding as at March 31, 2024 was as follows:

Range of exercise prices per share (₹)	2019 plan - Options outstanding			2015 plan - Options outstanding		
	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)
0 - 5 (RSU)	8,023,855	1.42	5.00	8,076,058	1.77	5.00
450 - 640 (ESOP)	-	-	-	82,050	1.10	551

As at March 31, 2025 and March 31, 2024, 2,88,384 and 2,91,795 cash settled options were outstanding respectively. The carrying value of liability towards cash settled share based payments was ₹18 crore and ₹13 crore as at March 31, 2025 and March 31, 2024 respectively.

The fair value of the awards are estimated using the Black-Scholes Model for time and non-market performance based options and Monte Carlo simulation model is used for TSR based options.

The inputs to the model include the share price at date of grant, exercise price, expected volatility, expected dividends, expected term and the risk free rate of interest. Expected volatility during the expected term of the options is based on historical volatility of the observed market prices of the Company's publicly traded equity shares during a period equivalent to the expected term of the options. Expected volatility of the comparative company have been modelled based on historical movements in the market prices of their publicly traded equity shares during a period equivalent to the expected term of the options. Correlation coefficient is calculated between each peer entity and the indices as a whole or between each entity in the peer group.

The fair value of each equity settled award is estimated on the date of grant using the following assumptions:

Particulars	For options granted in			
	Fiscal 2025- Equity Shares-RSU	Fiscal 2025- ADS-RSU	Fiscal 2024- Equity Shares-RSU	Fiscal 2024- ADS-RSU
Weighted average share price (₹) / (\$ ADS)	1,808	21.44	1,588	19.19
Exercise price (₹) / (\$ ADS)	5.00	0.07	5.00	0.07
Expected volatility (%)	21-26	23-28	23-31	25-33
Expected life of the option (years)	1-4	1-4	1-4	1-4
Expected dividends (%)	2-3	2-3	2-3	2-3
Risk-free interest rate (%)	7	4-5	7	4-5
Weighted average fair value as on grant date (₹) / (\$ ADS)	1,555	18.20	1,317	16.27

The expected life of the RSU/ESOP is estimated based on the vesting term and contractual term of the RSU/ESOP, as well as expected exercise behavior of the employee who receives the RSU/ESOP.

2.12 Income Taxes

Accounting policy

Income tax expense comprises current and deferred income tax. Income tax expense is recognized in net profit in the interim Consolidated Statement of Comprehensive Income except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity or other comprehensive income. Current income tax for current and prior periods is recognized at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date. Deferred income tax assets and liabilities are recognized for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profit or loss at the time of the transaction. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred income tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect of changes in tax rates on deferred income tax assets and liabilities is recognized as income or expense in the period that includes the enactment or the substantive enactment date. A deferred income tax asset is recognized to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilized. Deferred income taxes are not provided on the undistributed earnings of subsidiaries and branches where it is expected that the earnings of the subsidiary or branch will not be distributed in the foreseeable future.

The Group offsets current tax assets and current tax liabilities; deferred tax assets and deferred tax liabilities, where it has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously. The income tax provision for the interim period is made based on the best estimate of the annual average tax rate expected to be applicable for the full financial year. Tax benefits of deductions earned on exercise of employee share options in excess of compensation charged to income are credited to equity.

Income tax expense in the consolidated statement of comprehensive income comprises:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Current taxes				
Domestic taxes	2,114	1,021	9,207	6,346
Foreign taxes	670	152	2,923	2,044
	2,784	1,173	12,130	8,390
Deferred taxes				
Domestic taxes	(229)	950	(933)	1,498
Foreign taxes	70	142	(339)	(148)
	(159)	1,092	(1,272)	1,350
Income tax expense	2,625	2,265	10,858	9,740

A reconciliation of the income tax provision to the amount computed by applying the statutory income tax rate to the income before income taxes is summarized below:

Particulars	Year ended March 31,	
	2025	2024
Profit before income taxes	37,608	35,988
Enacted tax rates in India	25.17%	34.94%
Computed expected tax expense	9,465	12,576
Tax effect due to non-taxable income for Indian tax purposes	-	(3,009)
Overseas taxes	1,109	1,128
Tax provision (reversals)	132	(937)
Effect of exempt non-operating income	(31)	(49)
Effect of unrecognized deferred tax assets	161	203
Effect of differential tax rates	(79)	(568)
Effect of non-deductible expenses	276	165
Others	(175)	231
Income tax expense	10,858	9,740

The applicable Indian corporate statutory tax rate for the year ended March 31, 2025 is 25.17% and for the year ended March 31, 2024 is 34.94%.

Income tax expense for the three months ended March 31, 2025 and March 31, 2024 includes reversals (net of provisions) of ₹117 crore and ₹871 crore, respectively. Income tax expense for the year ended March 31, 2025 and March 31, 2024 includes provisions (net of reversal) of ₹132 crore and reversal (net of provisions) of ₹937 crore, respectively. These provisions and reversals pertaining to prior periods are primarily on account of adjudication of certain disputed matters, upon filing of tax return and completion of assessments, across various jurisdictions.

During the quarter and year ended March 31, 2025, the Company received orders under section 250 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2016-17 and 2019-20. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of ₹327 crore was recognised and provision for income tax aggregating ₹183 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,068 crore has been reduced from contingent liabilities.

During the year ended March 31, 2024, the Company received orders under sections 250 and 254 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2007-08 to 2015-16, 2017-18 and 2018-19. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of ₹1,933 crore was recognised and provision for income tax aggregating ₹525 crore was reversed with a corresponding credit to the Statement of Comprehensive Income. Also, upon resolution of the disputes, an amount aggregating to ₹1,628 crore has been reduced from contingent liabilities.

The foreign tax expense is due to income taxes payable overseas, principally in the United States. In India, the Company has benefited from certain income tax incentives that the Government of India had provided for export of software and services from the units registered under the Special Economic Zones Act (SEZs), 2005 in the prior years. SEZ units which began the provision of services on or after April 1, 2005 are eligible for a deduction of 100% of profits or gains derived from the export of services for the first five years from the financial year in which the unit commenced the provision of services and 50% of such profits or gains for further five years. Up to 50% of such profits or gains is also available for a further five years subject to creation of a Special Economic Zone re-investment Reserve out of the profit for the eligible SEZ units and utilization of such reserve by the Company for acquiring new plant and machinery for the purpose of its business as per the provisions of the Income Tax Act, 1961. (Refer to Special Economic Zone Re-investment reserve under Note 2.18 Equity).

Deferred income tax for the three months and year ended March 31, 2025 and March 31, 2024 substantially relates to origination and reversal of temporary differences.

Infosys is subject to a 15% Branch Profit Tax (BPT) in the U.S. to the extent its U.S. branch's net profit during the year is greater than the increase in the net assets of the U.S. branch during the year, computed in accordance with the Internal Revenue Code. As at March 31, 2025, Infosys' U.S. branch net assets amounted to approximately ₹7,755 crore. As at March 31, 2025, the Company has a deferred tax liability for branch profit tax of ₹271 crore (net of credits), as the Company estimates that these branch profits are expected to be distributed in the foreseeable future.

Deferred income tax liabilities have not been recognized on temporary differences amounting to ₹16,593 crore and ₹10,776 crore as at March 31, 2025 and March 31, 2024, respectively, associated with investments in subsidiaries and branches as the Company is able to control the timing of reversal of the temporary difference and it is probable that the temporary differences will not reverse in the foreseeable future. The Group majorly intends to repatriate earnings from subsidiaries and branches only to the extent these can be distributed in a tax-free manner.

Deferred income tax assets have not been recognized on accumulated losses of ₹4,597 crore and ₹4,668 crore as at March 31, 2025 and March 31, 2024, respectively, as it is probable that future taxable profit will be not available against which the unused tax losses can be utilized in the foreseeable future.

The following table provides details of expiration of unused tax losses as at March 31, 2025:

Year	(In ₹ crore)
	As at March 31, 2025
2026	209
2027	140
2028	508
2029	686
2030	443
Thereafter	2,611
Total	4,597

The following table provides details of expiration of unused tax losses as at March 31, 2024:

Year	(In ₹ crore)
	As at March 31, 2024
2025	13
2026	202
2027	128
2028	467
2029	684
Thereafter	3,174
Total	4,668

The following table provides the details of income tax assets and income tax liabilities as at March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	As at March 31, 2025	March 31, 2024
Income tax assets	4,597	9,442
Current income tax liabilities	4,853	3,585
Net current income tax asset / (liabilities) at the end	(256)	5,857

The gross movement in the current income tax asset/ (liabilities) for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Net current income tax asset/ (liabilities) at the beginning	(591)	3,005	5,857	3,075
Income tax paid [*]	2,738	2,085	5,602	9,231
Interest receivable on income tax refund	327	1,934	327	1,934
Current income tax expense	(2,784)	(1,173)	(12,130)	(8,390)
Income tax benefit arising on exercise of stock options	27	3	39	3
Additions through business combination	-	-	(1)	-
Income tax on other comprehensive income	8	2	19	4
Translation differences	19	1	31	-
Net current income tax asset/ (liabilities) at the end	(256)	5,857	(256)	5,857

* net of refund

The movement in gross deferred income tax assets / (liabilities) (before set off) for the three months ended March 31, 2025 is as follows:

Particulars	(In ₹ crore)					
	Carrying value as at January 1, 2025	Changes through profit and loss	Addition through business combination	Changes through OCI	Translation difference	Carrying value as at March 31, 2025
Deferred income tax assets/(liabilities)						
Property, plant and equipment	245	(4)	-	-	(2)	239
Lease liabilities	185	(32)	-	-	1	154
Accrued compensation to employees	59	20	-	-	1	80
Trade receivables	239	(20)	-	-	1	220
Compensated absences	689	15	-	-	2	706
Post sales client support	84	(15)	-	-	(1)	68
Credits related to branch profits	614	178	-	-	(1)	791
Derivative financial instruments	(15)	(31)	-	18	-	(28)
Intangible assets	66	5	-	-	-	71
Intangibles arising on business combinations	(729)	65	-	-	(20)	(684)
Branch profit tax	(806)	(257)	-	-	1	(1,062)
SEZ reinvestment reserve	(1,566)	133	-	-	-	(1,433)
Interest receivable on income tax refund	(107)	36	-	-	-	(71)
Others	281	66	-	(14)	2	335
Total deferred income tax assets/(liabilities)	(761)	159	-	4	(16)	(614)

The movement in gross deferred income tax assets / (liabilities) (before set off) for the three months ended March 31, 2024 is as follows:

(In ₹ crore)						
Particulars	Carrying value as at January 1, 2024	Changes through profit and loss	Addition through business combination	Changes through OCI	Translation difference	Carrying value as at March 31, 2024
Deferred income tax assets/(liabilities)						
Property, plant and equipment	231	12	-	-	1	244
Lease liabilities	215	(17)	-	-	-	198
Accrued compensation to employees	57	5	-	-	-	62
Trade receivables	242	(19)	-	-	-	223
Compensated absences	655	(28)	-	-	-	627
Post sales client support	250	(194)	-	-	-	56
Credits related to branch profits	537	273	-	-	1	811
Derivative financial instruments	24	(26)	-	(9)	-	(11)
Intangible assets	64	-	-	-	-	64
Intangibles arising on business combinations	(301)	15	-	-	4	(282)
Branch profit tax	(638)	(440)	-	-	(2)	(1,080)
SEZ reinvestment reserve	(1,798)	(198)	-	-	-	(1,996)
Interest receivable on income tax refund	-	(487)	-	-	-	(487)
Others	222	12	-	(3)	-	231
Total deferred income tax assets/(liabilities)	(240)	(1,092)	-	(12)	4	(1,340)

The movement in gross deferred income tax assets / (liabilities) (before set off) for the year ended March 31, 2025 is as follows:

(In ₹ crore)						
Particulars	Carrying value as at April 1, 2024	Changes through profit and loss	Addition through business combination	Changes through OCI	Translation difference	Carrying value as at March 31, 2025
Deferred income tax assets/(liabilities)						
Property, plant and equipment	244	(4)	-	-	(1)	239
Lease liabilities	198	(45)	-	-	1	154
Accrued compensation to employees	62	18	-	-	-	80
Trade receivables	223	(3)	-	-	-	220
Compensated absences	627	77	2	-	-	706
Post sales client support	56	11	-	-	1	68
Credits related to branch profits	811	(37)	-	-	17	791
Derivative financial instruments	(11)	(25)	-	8	-	(28)
Intangible assets	64	5	-	-	2	71
Intangibles arising on business combinations	(282)	141	(529)	-	(14)	(684)
Branch profit tax	(1,080)	41	-	-	(23)	(1,062)
SEZ reinvestment reserve	(1,996)	563	-	-	-	(1,433)
Interest receivable on income tax refund	(487)	416	-	-	-	(71)
Others	231	114	9	(22)	3	335
Total deferred income tax assets/(liabilities)	(1,340)	1,272	(518)	(14)	(14)	(614)

The movement in gross deferred income tax assets / liabilities (before set off) for the year ended March 31, 2024 is as follows:

							(In ₹ crore)
Particulars	Carrying value as at April 1, 2024	Changes through profit and loss	Addition through business combination	Impact on account of IAS 37 adoption	Changes through OCI	Translation difference	Carrying value as at March 31, 2024
Deferred income tax assets/(liabilities)							
Property, plant and equipment	169	75	-	-	-	-	244
Lease liabilities	223	(25)	-	-	-	-	198
Accrued compensation to employees	68	(6)	-	-	-	-	62
Trade receivables	261	(40)	-	-	-	2	223
Compensated absences	576	50	-	-	-	1	627
Post sales client support	248	(192)	-	-	-	-	56
Credits related to branch profits	718	84	-	-	-	9	811
Derivative financial instruments	-	(7)	-	-	(4)	-	(11)
Intangible assets	62	1	-	-	-	1	64
Intangibles arising on business combinations	(344)	63	-	-	-	(1)	(282)
Branch profit tax	(866)	(202)	-	-	-	(12)	(1,080)
SEZ reinvestment reserve	(1,351)	(645)	-	-	-	-	(1,996)
Interest receivable on income tax refund	-	(487)	-	-	-	-	(487)
Others	261	(19)	-	-	(4)	(7)	231
Total deferred income tax assets/(liabilities)	25	(1,350)	-	-	(8)	(7)	(1,340)

The deferred income tax assets and liabilities are as follows:

(In ₹ crore)		
Particulars	As at	
	March 31, 2025	March 31, 2024
Deferred income tax assets after set off	1,108	454
Deferred income tax liabilities after set off	(1,722)	(1,794)

In assessing the realizability of deferred income tax assets, the management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. The Management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, the management believes that the Group will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced.

The Company's Advanced Pricing Arrangement (APA) with the Internal Revenue Service (IRS) for US branch income tax expired in March 2021. The Company has applied for renewal of APA and currently the US taxable income is based on the Company's best estimate determined based on the expected value method.

As at March 31, 2025, claims against the Group not acknowledged as debts from the Income tax authorities amounted to ₹ 1,933 crore.

As at March 31, 2024, claims against the Group not acknowledged as debts from the Income tax authorities amounted to ₹ 2,794 crore.

The amount paid to statutory authorities against the tax claims amounted to ₹ 4,199 crore and ₹ 8,743 crore as at March 31, 2025 and March 31, 2024, respectively.

The claims against the Group primarily represent demands arising on completion of assessment proceedings under the Income Tax Act, 1961. These claims are on account of issues of disallowance of expenditure towards software being held as capital in nature, payments made to associated enterprises held as liable for withholding of taxes, among others. These matters are pending before various Income Tax Authorities and the Management including its tax advisors expect that its position will likely be upheld on ultimate resolution and will not have a material adverse effect on the Group's financial position and results of operations.

2.13 Earnings per equity share

Accounting Policy

Basic earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares outstanding during the period. Diluted earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. The dilutive potential equity shares are adjusted for the proceeds receivable had the equity shares been actually issued at fair value (i.e. the average market value of the outstanding equity shares). Dilutive potential equity shares are deemed converted as at the beginning of the period, unless issued at a later date. Dilutive potential equity shares are determined independently for each period presented.

The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any share splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Profit attributable to equity holders of the Company (<i>In ₹ Crores</i>)	7,033	7,969	26,713	26,233
Basic earnings per equity share - weighted average number of equity shares outstanding ⁽¹⁾	4,142,429,577	4,139,432,133	4,141,611,738	4,138,568,090
Basic earnings per equity share (₹)	16.98	19.25	64.50	63.39

The following is a reconciliation of the equity shares used in the computation of basic and diluted earnings per equity share:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Profit attributable to equity holders of the Company (<i>In ₹ Crores</i>)	7,033	7,969	26,713	26,233
Basic earnings per equity share - weighted average number of equity shares outstanding ⁽¹⁾	4,142,429,577	4,139,432,133	4,141,611,738	4,138,568,090
Effect of dilutive common equivalent shares - share options outstanding	9,107,744	5,620,237	10,439,446	6,112,335
Diluted earnings per equity share - weighted average number of equity shares and common equivalent shares outstanding	4,151,537,321	4,145,052,370	4,152,051,184	4,144,680,425
Diluted earnings per equity share (₹)	16.94	19.22	64.34	63.29

⁽¹⁾ excludes treasury shares

For the three months ended March 31, 2025 and March 31, 2024, there were 14,270 and 4,36,473 options to purchase equity shares which had an anti-dilutive effect.

For the years ended March 31, 2025 and March 31, 2024, there were 13,931 and 1,19,711 options to purchase equity shares which had an anti-dilutive effect.

2.14 Related party transactions

List of related parties:

Name of subsidiaries	Country	Holdings as at	
		March 31, 2025	March 31, 2024
Infosys Technologies (China) Co. Limited (Infosys China) ⁽¹⁾	China	100%	100%
Infosys Technologies S. de R. L. de C. V. (Infosys Mexico) ⁽¹⁾	Mexico	100%	100%
Infosys Technologies (Sweden) AB (Infosys Sweden) ⁽¹⁾	Sweden	100%	100%
Infosys Technologies (Shanghai) Company Limited (Infosys Shanghai) ⁽¹⁾	China	100%	100%
EdgeVerve Systems Limited (EdgeVerve) ⁽¹⁾	India	100%	100%
Infosys Austria GmbH ⁽¹⁾	Austria	100%	100%
Skava Systems Private Limited (Skava Systems) ⁽¹⁾⁽³⁵⁾	India	-	100%
Infosys Chile SpA ⁽¹⁾	Chile	100%	100%
Infosys Arabia Limited ⁽²⁾⁽²⁰⁾	Saudi Arabia	70%	70%
Infosys Consulting Ltda. ⁽¹⁾	Brazil	100%	100%
Infosys Luxembourg S.a.r.l ⁽¹⁾	Luxembourg	100%	100%
Infosys Americas Inc. (Infosys Americas) ⁽¹⁾⁽²³⁾	U.S.	-	-
Infosys Consulting S.R.L. ⁽²⁾	Argentina	100%	100%
Infosys Romania S.r.l. (formerly Infosys Consulting S.R.L. (Romania)) ⁽¹⁾	Romania	100%	100%
Infosys Limited Bulgaria EOOD ⁽¹⁾	Bulgaria	100%	100%
Infosys Turkey Bilgi Teknolojileri Limited Sirketi ⁽¹⁾	Turkey	100%	100%
Infosys Germany Holding GmbH ⁽¹⁾	Germany	100%	100%
Infosys Automotive and Mobility GmbH & Co. KG ⁽¹⁾	Germany	100%	100%
Infosys Green Forum ⁽¹⁾	India	100%	100%
Infosys Business Solutions LLC ⁽¹⁾	Qatar	100%	100%
WongDoody Inc. ⁽¹⁾⁽³⁷⁾	U.S.	-	100%

IDUNN Information Technology Private Limited (formerly Danske IT and Support Services India Private Limited (“Danske IT”)) ⁽¹⁾⁽²⁵⁾	India	100%	100%
Infosys Public Services, Inc. USA (Infosys Public Services) ⁽¹⁾	U.S.	100%	100%
Infosys Public Services Canada Inc. ⁽¹¹⁾	Canada	100%	100%
Infosys BPM Limited ⁽¹⁾	India	100%	100%
Infosys BPM UK Limited ⁽³⁾	U.K.	100%	100%
Infosys (Czech Republic) Limited s.r.o. ⁽³⁾	Czech Republic	100%	100%
Infosys Poland Sp z.o.o. ⁽³⁾	Poland	100%	100%
Infosys McCamish Systems LLC ⁽³⁾	U.S.	100%	100%
Portland Group Pty Ltd ⁽³⁾	Australia	100%	100%
Infosys BPO Americas LLC. ⁽³⁾	U.S.	100%	100%
Infosys BPM Canada Inc. ⁽³⁾⁽²⁴⁾⁽²⁹⁾	Canada	-	-
Panaya Inc. (Panaya) ⁽¹⁾	U.S.	100%	100%
Panaya Ltd. ⁽⁴⁾	Israel	100%	100%
Panaya Germany GmbH ⁽⁴⁾	Germany	100%	100%
Brilliant Basics Holdings Limited (Brilliant Basics) ⁽¹⁾⁽²⁰⁾	U.K.	100%	100%
Brilliant Basics Limited ⁽⁵⁾⁽²⁰⁾	U.K.	100%	100%
Infosys Consulting Holding AG ⁽¹⁾	Switzerland	100%	100%
Infosys Management Consulting Pty Limited ⁽⁶⁾	Australia	100%	100%
Infosys Consulting AG ⁽⁶⁾	Switzerland	100%	100%
Infosys Consulting GmbH ⁽⁶⁾	Germany	100%	100%
Infosys Consulting SAS ⁽⁶⁾	France	100%	100%
Infy Consulting B.V. ⁽⁶⁾	The Netherlands	100%	100%
Infosys Consulting (Belgium) NV ⁽⁶⁾	Belgium	100%	100%
Infy Consulting Company Ltd ⁽⁶⁾	U.K.	100%	100%
GuideVision s.r.o. ⁽⁷⁾	Czech Republic	100%	100%
GuideVision Deutschland GmbH ⁽⁸⁾	Germany	100%	100%
GuideVision Suomi Oy ⁽⁸⁾	Finland	100%	100%
GuideVision Magyarország Kft ⁽⁸⁾	Hungary	100%	100%
GuideVision Polska Sp. z.o.o. ⁽⁸⁾	Poland	100%	100%
GuideVision UK Ltd ⁽⁸⁾⁽²⁰⁾	U.K.	100%	100%
Infosys Nova Holdings LLC. (Infosys Nova) ⁽¹⁾	U.S.	100%	100%
Outbox systems Inc. dba Simplus (US) ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Simplus ANZ Pty Ltd. ⁽⁹⁾	Australia	100%	100%
Simplus Australia Pty Ltd ⁽¹⁰⁾	Australia	100%	100%
Simplus Philippines, Inc. ⁽⁹⁾	Philippines	100%	100%
Kaleidoscope Animations, Inc. ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Kaleidoscope Prototyping LLC ⁽¹⁷⁾⁽²⁷⁾	U.S.	-	-
Blue Acorn iCi Inc (formerly Beringer Commerce Inc) ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.) ⁽¹⁾	Singapore	100%	100%
Infosys Financial Services GmbH. (formerly Panaya GmbH) ⁽¹²⁾	Germany	100%	100%
Infosys South Africa (Pty) Ltd ⁽¹²⁾	South Africa	100%	100%
Infosys (Malaysia) SDN. BHD. (formerly Global Enterprise International (Malaysia) Sdn. Bhd.) ⁽¹²⁾	Malaysia	100%	100%
Infosys Middle East FZ LLC ⁽¹²⁾	Dubai	100%	100%
Infosys Norway ⁽¹²⁾	Norway	100%	100%
Infosys Compaz Pte. Ltd ⁽¹³⁾	Singapore	60%	60%
HIPUS Co., Ltd ⁽¹³⁾	Japan	81%	81%
Fluido Oy ⁽¹²⁾	Finland	100%	100%
Fluido Sweden AB ⁽¹⁴⁾	Sweden	100%	100%
Fluido Norway A/S ⁽¹⁴⁾	Norway	100%	100%
Fluido Denmark A/S ⁽¹⁴⁾	Denmark	100%	100%
Fluido Slovakia s.r.o. ⁽¹⁴⁾	Slovakia	100%	100%
Infosys Fluido UK, Ltd. ⁽¹⁴⁾	U.K.	100%	100%
Infosys Fluido Ireland, Ltd. ⁽¹⁵⁾	Ireland	100%	100%
Stater N.V. ⁽¹³⁾	The Netherlands	75%	75%
Stater Nederland B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
Stater XXL B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
HypoCasso B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
Stater Participations B.V. ⁽²⁸⁾	The Netherlands	-	-
Stater Belgium N.V./S.A. ⁽¹⁶⁾⁽²⁸⁾	Belgium	75%	75%
Stater GmbH ⁽¹⁶⁾	Germany	75%	75%

Infosys Germany GmbH (formerly Kristall 247. GmbH (“Kristall”)) ⁽¹²⁾	Germany	100%	100%
Wongdoody GmbH (formerly known as oddity GmbH) ⁽¹⁸⁾	Germany	100%	100%
WongDoody (Shanghai) Co. Limited (formerly known as oddity (Shanghai) Co., Ltd.) ⁽¹⁹⁾	China	100%	100%
WongDoody limited (Taipei) (formerly known as oddity Limited (Taipei)) ⁽¹⁹⁾	Taiwan	100%	100%
oddity space GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity jungle GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity code GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
WongDoody d.o.o (formerly known as oddity code d.o.o) ⁽¹⁹⁾⁽²⁶⁾	Serbia	100%	100%
oddity waves GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity group services GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
BASE life science A/S ⁽¹²⁾	Denmark	100%	100%
BASE life science AG ⁽²¹⁾	Switzerland	100%	100%
BASE life science GmbH ⁽²¹⁾	Germany	100%	100%
BASE life science S.A.S ⁽²¹⁾	France	100%	100%
BASE life science Ltd. ⁽²¹⁾	U.K.	100%	100%
BASE life science S.r.l. ⁽²¹⁾	Italy	100%	100%
Innovisor Inc. ⁽²¹⁾	U.S.	100%	100%
BASE life science Inc. ⁽²¹⁾	U.S.	100%	100%
BASE life science S.L. ⁽²¹⁾	Spain	100%	100%
InSemi Technology Services Private Limited ⁽³⁰⁾	India	100%	-
Elbrus Labs Private Limited ⁽³⁰⁾⁽²²⁾	India	100%	-
Infosys Services (Thailand) Limited ⁽¹⁾⁽³²⁾	Thailand	100%	-
Infy tech SAS ⁽¹²⁾⁽³¹⁾	France	100%	-
in-tech Holding GmbH ⁽³³⁾⁽³⁹⁾	Germany	-	-
in-tech GmbH ⁽³³⁾	Germany	100%	-
Friedrich & Wagner Asia Pacific GmbH ⁽³³⁾⁽³⁹⁾	Germany	-	-
drivetechnik Fahrversuch GmbH ⁽³³⁾	Germany	100%	-
ProIT ⁽³³⁾	Romania	100%	-
in-tech Automotive Engineering de R.L. de C.V. ⁽³³⁾⁽²⁰⁾	Mexico	100%	-
Friedrich Wagner Holding Inc. ⁽³³⁾⁽²⁰⁾	U.S.	100%	-
in-tech Automotive Engineering SL ⁽³³⁾	Spain	100%	-
in-tech Automotive Engineering LLC ⁽³³⁾⁽³⁶⁾	U.S.	-	-
in-tech Services LLC ⁽³³⁾⁽³⁶⁾	U.S.	-	-
in-tech Engineering s.r.o ⁽³³⁾	Czech Republic	100%	-
in-tech Engineering GmbH ⁽³³⁾	Austria	100%	-
in-tech Engineering services S.R.L ⁽³³⁾	Romania	100%	-
in-tech Group Ltd ⁽³³⁾	U.K.	100%	-
In-tech Automotive Engineering Shenyang Co. Ltd ⁽³³⁾	China	100%	-
in-tech Group India Private Ltd ⁽³³⁾	India	-	-
In-tech Automotive Engineering Beijing Co., Ltd ⁽³³⁾	China	100%	-
Blitz 24-893 SE ⁽³⁴⁾	Germany	100%	-
Infosys Limited SPC ⁽¹⁾⁽⁴⁰⁾	Oman	100%	-
Infosys BPM Netherlands B.V. ⁽³⁾⁽⁴¹⁾	The Netherlands	100%	-
In-tech Automotive Engineering Beijing Co., Ltd ⁽³⁴⁾	China	100%	-
Blitz 24-893 SE ⁽³⁵⁾	Germany	100%	-

⁽¹⁾ Wholly-owned subsidiary of Infosys Limited

⁽²⁾ Majority owned and controlled subsidiary of Infosys Limited

⁽³⁾ Wholly-owned subsidiary of Infosys BPM Limited

⁽⁴⁾ Wholly-owned subsidiary of Panaya Inc

⁽⁵⁾ Wholly-owned subsidiary of Brilliant Basics Holding Limited.

⁽⁶⁾ Wholly-owned subsidiary of Infosys Consulting Holding AG

⁽⁷⁾ Wholly-owned subsidiary of Infy Consulting Company Limited

⁽⁸⁾ Wholly-owned subsidiary of GuideVision s.r.o.

⁽⁹⁾ Wholly-owned subsidiary of Infosys Nova Holdings LLC

⁽¹⁰⁾ Wholly-owned subsidiary of Simplus ANZ Pty Ltd

⁽¹¹⁾ Wholly-owned subsidiary of Infosys Public Services, Inc.

⁽¹²⁾ Wholly-owned subsidiary of Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.)

⁽¹³⁾ Majority owned and controlled subsidiary of Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.)

⁽¹⁴⁾ Wholly-owned subsidiary of Fluidio Oy

⁽¹⁵⁾ Wholly-owned subsidiary of Infosys Fluidio UK, Ltd.

⁽¹⁶⁾ Wholly-owned subsidiary of Stater N.V

- ⁽¹⁷⁾ Wholly-owned subsidiary of Kaleidoscope Animations, Inc.
- ⁽¹⁸⁾ Wholly-owned subsidiary of Infosys Germany GmbH (formerly Kristall 247. GmbH (“Kristall”))
- ⁽¹⁹⁾ Wholly-owned subsidiary of Wongdoody GmbH (formerly known as oddity GmbH)
- ⁽²⁰⁾ Under liquidation
- ⁽²¹⁾ Wholly-owned subsidiary of BASE life science A/S
- ⁽²²⁾ Wholly-owned subsidiary of InSemi Technology Services Private Limited
- ⁽²³⁾ Liquidated effective July 14, 2023
- ⁽²⁴⁾ Incorporated on August 11, 2023
- ⁽²⁵⁾ On September 1, 2023 Infosys Ltd. acquired 100% of voting interests in IDUNN Information Technology Private Limited (formerly Danske IT and Support Services India Private Limited (“Danske IT”))
- ⁽²⁶⁾ On September 29, 2023, oddity space GmbH, oddity waves GmbH, oddity jungle GmbH, oddity group services GmbH and oddity code GmbH merged into WongDoody GmbH and oddity code d.o.o which was formerly a subsidiary of oddity code GmbH has become a subsidiary of Wongdoody GmbH (formerly known as oddity GmbH).
- ⁽²⁷⁾ Kaleidoscope Prototyping LLC, a Wholly-owned subsidiary of Kaleidoscope Animations is liquidated effective November 1, 2023
- ⁽²⁸⁾ On November 24, 2023 Stater Participations B.V (Wholly-owned subsidiary of Stater N.V) merged with Stater N.V and Stater Belgium N.V./S.A which was formerly a wholly owned subsidiary of Stater Participations B.V. became a wholly owned subsidiary of Stater N.V
- ⁽²⁹⁾ On March 15, 2024 Infosys BPM Canada Inc., a Wholly-owned subsidiary of Infosys BPM Limited got dissolved.
- ⁽³⁰⁾ On May 10, 2024 Infosys Ltd. acquired 100% of voting interests in InSemi Technology Services Private Limited along with its subsidiary Elbrus Labs Private Limited
- ⁽³¹⁾ Incorporated on July 03, 2024
- ⁽³²⁾ Incorporated on July 26, 2024
- ⁽³³⁾ On July 17, 2024, Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited, acquired 100% of voting interests in in-tech Holding GmbH along with its subsidiary in-tech GmbH along with its six subsidiaries in-tech Automotive Engineering SL, ProIT, in-tech Automotive Engineering de R.L. de C.V, drivetech Fahrversuch GmbH, Friedrich Wagner Holding Inc along with its two subsidiaries (in-tech Automotive Engineering LLC and in-tech Services LLC) and Friedrich & Wagner Asia Pacific GmbH along with its five subsidiaries in-tech engineering s.r.o, in-tech engineering GmbH, in-tech engineering services S.R.L, in-tech Group Ltd along with its subsidiary (in-tech Group India Private Limited) and In-tech Automotive Engineering Shenyang Co., Ltd along with its subsidiary (In-tech Automotive Engineering Beijing Co., Ltd). Subsequently on September 01, 2024 in-tech Group India Private Limited became a wholly-owned subsidiary of Infosys limited.
- ⁽³⁴⁾ On October 17, 2024, Infosys Singapore Pte Ltd. acquired 100% of voting interests in Blitz 24-893 SE
- ⁽³⁵⁾ Liquidated effective November 14, 2024
- ⁽³⁶⁾ Liquidated effective November 30, 2024
- ⁽³⁷⁾ WongDoody Inc, a wholly-owned subsidiary of Infosys limited merged into Infosys Nova Holdings LLC effective January 1, 2025
- ⁽³⁸⁾ Kaleidoscope Animations, Blue Acorn iCi Inc and Outbox systems Inc. dba Simplus (US) merged into Infosys Nova Holdings LLC effective January 1, 2025
- ⁽³⁹⁾ in-tech Holding GmbH and Friedrich & Wagner Asia Pacific GmbH merged into in-tech GmbH effective January 1, 2025
- ⁽⁴⁰⁾ Incorporated on December 12, 2024
- ⁽⁴¹⁾ Incorporated on March 20, 2025

Particulars	Country	Nature of relationship
Infosys Limited Employees' Gratuity Fund Trust	India	Post-employment benefit plan of Infosys
Infosys Limited Employees' Provident Fund Trust	India	Post-employment benefit plan of Infosys
Infosys Limited Employees' Superannuation Fund Trust	India	Post-employment benefit plan of Infosys
Infosys BPM Limited Employees' Superannuation Fund Trust	India	Post-employment benefit plan of Infosys BPM
Infosys BPM Limited Employees' Gratuity Fund Trust	India	Post-employment benefit plan of Infosys BPM
EdgeVerve Systems Limited Employees' Gratuity Fund Trust	India	Post-employment benefit plan of EdgeVerve
EdgeVerve Systems Limited Employees' Superannuation Fund Trust	India	Post-employment benefit plan of EdgeVerve
Infosys Employees Welfare Trust	India	Controlled trust
Infosys Employee Benefits Trust	India	Controlled trust
Infosys Science Foundation	India	Controlled trust
Infosys Expanded Stock Ownership Trust	India	Controlled trust
Infosys Foundation ⁽¹⁾	India	Trust jointly controlled by KMPs

Refer to Note 2.22 for information on transactions with post-employment benefit plans mentioned above.

⁽¹⁾ During the year ended March 31, 2025 and March 31, 2024, the Group contributed ₹434 crore and ₹408 crore, respectively towards CSR.

List of key management personnel

Whole-time Directors

Salil Parekh, Chief Executive Officer and Managing Director

Non-whole-time Directors

Nandan M. Nilekani

D. Sundaram

Micheal Gibbs

Bobby Parikh

Chitra Nayak

Govind Iyer

Helene Auriol Potier (appointed as independent director effective May 26, 2023)

Nitin Paranjpe (appointed as an additional and independent director effective January 1, 2024)

Uri Levine (retired as independent director effective April 19, 2023)

Executive Officers

Inderpreet Sawhney, Chief Legal Officer and Chief Compliance Officer

Jayesh Sanghrajka (appointed as Chief Financial Officer effective April 1, 2024)

Nilanjan Roy (resigned as Chief Financial Officer of the Company effective March 31, 2024)

Shaji Mathew, Chief Human Resources Officer

Mohit Joshi (resigned as President effective March 11, 2023 and was on leave till June 9, 2023 which was his last date with the Company)

Company Secretary

A.G.S. Manikantha

Transactions with key management personnel

The table below describes the compensation to key management personnel which comprise directors and executive officers:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Salaries and other short term employee benefits to whole-time directors and executive officers ⁽¹⁾⁽²⁾	33	30	118	113
Commission and other benefits to non-executive/ independent directors	5	5	19	17
Total	38	35	137	130

⁽¹⁾ For the three months ended March 31, 2025 and March 31, 2024, includes a charge of ₹18 crore and ₹17 crore respectively, towards employee stock compensation expense. For the year ended March 31, 2025 and March 31, 2024, includes a charge of ₹70 crore and ₹68 crore respectively, towards employee stock compensation expense. (Refer to note 2.11).

⁽²⁾ Does not include post-employment benefits and other long-term benefits based on actuarial valuation as these are done for the Company as a whole.

2.15 Segment reporting

IFRS 8 Operating Segments establishes standards for the way that public business enterprises report information about operating segments and related disclosures about products and services, geographic areas, and major customers. The Group's operations predominantly relate to providing end-to-end business solutions to enable clients to enhance business performance. The Chief Operating Decision Maker (CODM) evaluates the Group's performance and allocates resources based on an analysis of various performance indicators by business segments. Accordingly, information has been presented along business segments. The accounting principles used in the preparation of the financial statements are consistently applied to record revenue and expenditure in individual segments, and are as set out in the accounting policies.

Business segments of the Group are primarily enterprises in Financial Services and Insurance, enterprises in Manufacturing, enterprises in Retail, Consumer Packaged Goods and Logistics, enterprises in the Energy, Utilities, Resources and Services, enterprises in Communication, Telecom OEM and Media, enterprises in Hi-Tech, enterprises in Life Sciences and Healthcare and all other segments. The Financial services reportable segments has been aggregated to include the Financial Services operating segment and Finacle operating segment because of the similarity of the economic characteristics. All other segments represents the operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services.

Revenue and identifiable operating expenses in relation to segments are categorized based on items that are individually identifiable to that segment. Revenue for 'all other segments' represents revenue generated by Infosys Public Services and revenue generated from customers located in India, Japan and China and other enterprises in Public services. Allocated expenses of segments include expenses incurred for rendering services from the Group's offshore software development centers and on-site expenses, which are categorized in relation to the associated efforts of the segment. Certain expenses such as depreciation and amortization, which form a significant component of total expenses, are not specifically allocable to specific segments as the underlying assets are used interchangeably. The Management believes that it is not practical to provide segment disclosures relating to those costs and expenses, and accordingly these expenses are separately disclosed as "unallocated" and adjusted against the total income of the Group.

Assets and liabilities used in the Group's business are not identified to any of the reportable segments, as these are used interchangeably between segments. The Management believes that it is currently not practicable to provide segment disclosures relating to total assets and liabilities since a meaningful segregation of the available data is onerous.

Business segment revenue information is collated based on individual customers invoiced or in relation to which the revenue is otherwise recognized.

Disclosure of revenue by geographic locations is given in note 2.16 Revenue from operations.

2.15.1 Business segments

Three months ended March 31, 2025 and March 31, 2024

Particulars	(In ₹ crore)								Total
	Financial Services ⁽¹⁾	Retail ⁽²⁾	Communication ⁽³⁾	Energy, Utilities, Resources and Services	Manufacturing	Hi-Tech	Life Sciences ⁽⁴⁾	All other segments ⁽⁵⁾	
Revenue	11,614	5,440	4,798	5,308	6,527	3,397	2,765	1,076	40,925
	10,010	5,429	4,666	5,068	5,589	3,316	2,762	1,083	37,923
Identifiable operating expenses	6,665	2,736	3,074	2,771	4,182	2,005	1,639	613	23,685
	6,042	2,591	3,033	2,717	3,656	1,995	1,639	652	22,325
Allocated expenses	2,001	1,064	888	960	1,149	597	509	198	7,366
	2,027	974	823	920	852	518	491	209	6,814
Segment Profit	2,948	1,640	836	1,577	1,196	795	617	265	9,874
	1,941	1,864	810	1,431	1,081	803	632	222	8,784
Unallocable expenses									1,299
									1,163
Operating profit									8,575
									7,621
Other income, net									1,190
									2,729
Finance cost									102
									110
Profit before income taxes									9,663
									10,240
Income tax expense									2,625
									2,265
Net profit									7,038
									7,975
Depreciation and amortization									1,299
									1,163
Non-cash expenses other than depreciation and amortization									-
									-

⁽¹⁾ Financial Services include enterprises in Financial Services and Insurance

⁽²⁾ Retail includes enterprises in Retail, Consumer Packaged Goods and Logistics

⁽³⁾ Communication includes enterprises in Communication, Telecom OEM and Media

⁽⁴⁾ Life Sciences includes enterprises in Life sciences and Health care

⁽⁵⁾ Others include operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services

Year ended March 31, 2025 and March 31, 2024

(In ₹ crore)

Particulars	Financial Services ⁽¹⁾	Retail ⁽²⁾	Communication ⁽³⁾	Energy, Utilities, Resources and Services	Manufacturing	Hi-Tech	Life Sciences ⁽⁴⁾	All other segments ⁽⁵⁾	Total
Revenue	45,175	22,059	19,108	21,710	25,207	13,090	11,831	4,810	162,990
	42,158	22,504	17,991	20,035	22,298	12,411	11,515	4,758	153,670
Identifiable operating expenses	25,871	10,931	12,420	11,882	16,167	7,592	7,166	2,986	95,015
	24,782	11,704	11,071	10,838	14,596	7,232	6,716	2,938	89,877
Allocated expenses	8,205	3,995	3,347	3,731	4,184	2,278	2,002	997	28,739
	8,052	3,918	3,232	3,674	3,505	2,026	1,901	1,060	27,368
Segment Profit	11,099	7,133	3,341	6,097	4,856	3,220	2,663	827	39,236
	9,324	6,882	3,688	5,523	4,197	3,153	2,898	760	36,425
Unallocable expenses									4,812
									4,678
Operating profit									34,424
									31,747
Other income, net									3,600
									4,711
Finance cost									416
									470
Profit before income taxes									37,608
									35,988
Income tax expense									10,858
									9,740
Net profit									26,750
									26,248
Depreciation and amortization									4,812
									4,678
Non-cash expenses other than depreciation and amortization									-
									-

⁽¹⁾ Financial Services include enterprises in Financial Services and Insurance

⁽²⁾ Retail includes enterprises in Retail, Consumer Packaged Goods and Logistics

⁽³⁾ Communication includes enterprises in Communication, Telecom OEM and Media

⁽⁴⁾ Life Sciences includes enterprises in Life sciences and Health care

⁽⁵⁾ Others include operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services

2.15.2 Significant clients

No client individually accounted for more than 10% of the revenues for the three months and year ended March 31, 2025 and March 31, 2024, respectively.

2.16 Revenue from Operations

Accounting Policy

The Group derives revenues primarily from IT services comprising software development and related services, cloud and infrastructure services, maintenance, consulting and package implementation, licensing of software products and platforms across the Group's core and digital offerings (together called as "software related services") and business process management services. Contracts with customers are either on a time-and-material, unit of work, fixed-price or on a fixed-time frame basis.

Revenues from customer contracts are considered for recognition and measurement when the contract has been approved in writing by the parties, to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. Revenue is recognized upon transfer of control of promised products or services ("performance obligations") to customers in an amount that reflects the consideration the Group has received or expects to receive in exchange for these products or services ("transaction price"). When there is uncertainty as to collectability, revenue recognition is postponed until such uncertainty is resolved.

The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. The Group allocates the transaction price to each distinct performance obligation based on the relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In the absence of such evidence, the primary method used to estimate standalone selling price is the expected cost plus a margin, under which the Group estimates the cost of satisfying the performance obligation and then adds an appropriate margin based on similar services.

The Group's contracts may include variable consideration including rebates, volume discounts and penalties. The Group includes variable consideration as part of transaction price when there is a basis to reasonably estimate the amount of the variable consideration and when it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved.

Revenue on time-and-material and unit of work based contracts, are recognized as the related services are performed. Fixed price maintenance revenue is recognized ratably either on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and Group's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Efforts or costs expended are used to determine progress towards completion as there is a direct relationship between input and productivity. Progress towards completion is measured as the ratio of costs or efforts incurred to date (representing work performed) to the estimated total costs or efforts. Estimates of transaction price and total costs or efforts are continuously monitored over the term of the contracts and are recognized in net profit in the period when these estimates change or when the estimates are revised. Revenues and the estimated total costs or efforts are subject to revision as the contract progresses. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

The billing schedules agreed with customers include periodic performance based billing and / or milestone based progress billings. Revenues in excess of billing are classified as unbilled revenue while billing in excess of revenues are classified as contract liabilities (which we refer to as unearned revenues).

In arrangements for software development and related services and maintenance services, by applying the revenue recognition criteria for each distinct performance obligation, the arrangements with customers generally meet the criteria for considering software development and related services as distinct performance obligations. For allocating the transaction price, the Group measures the revenue in respect of each performance obligation of a contract at its relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In cases where the Group is unable to determine the standalone selling price, the Group uses the expected cost plus margin approach in estimating the standalone selling price. For software development and related services, the performance obligations are satisfied as and when the services are rendered since the customer generally obtains control of the work as it progresses.

Certain cloud and infrastructure services contracts include multiple elements which may be subject to other specific accounting guidance, such as leasing guidance. These contracts are accounted in accordance with such specific accounting guidance. In such arrangements where the Group is able to determine that hardware and services are distinct performance obligations, it allocates the consideration to these performance obligations on a relative standalone selling price basis. In the absence of standalone selling price, the Group uses the expected cost-plus margin approach in estimating the standalone selling price. When such arrangements are considered as a single performance obligation, revenue is recognized over the period and measure of progress is determined based on promise in the contract.

Revenue from licenses where the customer obtains a "right to use" the licenses is recognized at the time the license is made available to the customer. Revenue from licenses where the customer obtains a "right to access" is recognized over the access period.

Arrangements to deliver software products generally have three elements: license, implementation and Annual Technical Services (ATS). When implementation services are provided in conjunction with the licensing arrangement and the license and implementation have been identified as two distinct separate performance obligations, the transaction price for such contracts are allocated to each performance obligation of the contract based on their relative standalone selling prices. In the absence of standalone selling price for implementation, the Group uses the expected cost plus margin approach in estimating the standalone selling price. Where the license is required to be substantially customized as part of the implementation service the entire arrangement fee for license and implementation is considered to be a single performance obligation and the revenue is recognized using the percentage-of-completion method as the implementation is performed. Revenue from client training, support and other services arising due to the sale of software products is recognized as the performance obligations are satisfied. ATS revenue is recognized ratably on a straight line basis over the period in which the services are rendered.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

A contract modification is a change in the scope or price or both of a contract that is approved by the parties to the contract. A contract modification that results in the addition of distinct performance obligations are accounted for either as a separate contract if the additional services are priced at the standalone selling price or as a termination of the existing contract and creation of a new contract if they are not priced at the standalone selling price. If the modification does not result in a distinct performance obligation, it is accounted for as part of the existing contract on a cumulative catch-up basis.

The incremental costs of obtaining a contract (i.e., costs that would not have been incurred if the contract had not been obtained) are recognized as an asset if the Group expects to recover them.

Certain eligible, nonrecurring costs (e.g. set-up or transition or transformation costs) that do not represent a separate performance obligation are recognized as an asset when such costs (a) relate directly to the contract; (b) generate or enhance resources of the Group that will be used in satisfying the performance obligation in the future; and (c) are expected to be recovered.

Capitalized contract costs relating to upfront payments to customers are amortized to revenue and other capitalized costs are amortized to cost of sales over the respective contract life on a systematic basis consistent with the transfer of goods or services to customer to which the asset relates. Capitalized costs are monitored regularly for impairment. Impairment losses are recorded when present value of projected remaining operating cash flows is not sufficient to recover the carrying amount of the capitalized costs.

The Group presents revenues net of indirect taxes in its interim Consolidated Statement of Comprehensive Income.

Revenues for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Revenue from software services	38,999	36,064	155,395	145,285
Revenue from products and platforms	1,926	1,859	7,595	8,385
Total revenue from operations	40,925	37,923	162,990	153,670

Products & platforms

The Group also derives revenues from the sale of products and platforms like Finacle – core banking solution, Edge Suite of products, Panaya platform, Stater digital platform and Infosys McCamish – insurance platform.

Disaggregated revenue information

Revenue disaggregation by business segments has been included in segment information (Refer note 2.15). The table below presents disaggregated revenues from contracts with customers by geography and contract type. The Group believes that this disaggregation best depicts how the nature, amount, timing and uncertainty of revenues and cash flows are affected by industry, market and other economic factors.

For the three months and year ended March 31, 2025 and March 31, 2024

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Revenues by Geography*				
North America	23,344	22,606	94,397	92,411
Europe	12,771	10,861	48,595	42,267
India	1,206	833	5,014	3,881
Rest of the world	3,604	3,623	14,984	15,111
Total	40,925	37,923	162,990	153,670

* Geographical revenues is based on the domicile of customer.

The percentage of revenue from fixed-price contracts for the three months ended March 31, 2025 and March 31, 2024 is 54% and 54%, respectively. The percentage of revenue from fixed-price contracts for the year ended March 31, 2025 and March 31, 2024 is 54% and 53%, respectively.

Trade Receivables and Contract Balances

The timing of revenue recognition, billings and cash collections results in receivables, unbilled revenue, and unearned revenue on the Group's Consolidated Balance Sheet. Amounts are billed as work progresses in accordance with agreed-upon contractual terms, either at periodic intervals (e.g., monthly or quarterly) or upon achievement of contractual milestones.

The Group's Receivables are rights to consideration that are unconditional. Unbilled revenues comprising revenues in excess of billings from time and material contracts and fixed price maintenance contracts are classified as financial asset when the right to consideration is unconditional and is due only after a passage of time.

Invoicing to the clients for other fixed price contracts is based on milestones as defined in the contract and therefore the timing of revenue recognition is different from the timing of invoicing to the customers. Therefore, unbilled revenues for other fixed price contracts (contract asset) are classified as non-financial asset because the right to consideration is dependent on completion of contractual milestones.

Invoicing in excess of earnings are classified as unearned revenue.

Trade receivables and unbilled revenues are presented net of impairment in the consolidated statement of balance sheet.

During the year ended March 31, 2025 and March 31, 2024, the Company recognized revenue of ₹5,669 crore and ₹5,432 crore arising from opening unearned revenue as of April 1, 2024 and April 1, 2023 respectively.

During the year ended March 31, 2025 and March 31, 2024, ₹4,896 crore and ₹7,023 crore of unbilled revenue pertaining to other fixed price and fixed time frame contracts as of April 1, 2024 and April 1, 2023, respectively has been reclassified to trade receivables upon billing to customers on completion of milestones.

Remaining performance obligation disclosure

The remaining performance obligation disclosure provides the aggregate amount of the transaction price yet to be recognized as of the end of the reporting period and an explanation as to when the Group expects to recognize these amounts in revenue. Applying the practical expedient as given in IFRS 15, the Group has not disclosed the remaining performance obligation related disclosures for contracts where the revenue recognized corresponds directly with the value to the customer of the entity's performance completed to date, typically those contracts where invoicing is on time & material basis and unit of work based contracts. Remaining performance obligation estimates are subject to change and are affected by several factors, including terminations, changes in the scope of contracts, periodic revaluations, adjustment for revenue that has not materialized and adjustments for currency fluctuations.

The aggregate value of performance obligations that are completely or partially unsatisfied as at March 31, 2025, other than those meeting the exclusion criteria mentioned above, is ₹104,785 crore. Out of this, the Group expects to recognize revenue of around 50.3% within the next one year and the remaining thereafter. The aggregate value of performance obligations that are completely or partially unsatisfied as at March 31, 2024 is ₹90,658 crore. The contracts can generally be terminated by the customers and typically includes an enforceable termination penalty payable by them. Generally, customers have not terminated contracts without cause.

2.17 Unbilled Revenue

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Unbilled financial asset ⁽¹⁾	10,214	9,600
Unbilled non financial asset ⁽²⁾	4,869	4,948
Total	15,083	14,548

⁽¹⁾ Right to consideration is unconditional and is due only after a passage of time.

⁽²⁾ Right to consideration is dependent on completion of contractual milestones.

2.18 Equity

Accounting policy

Ordinary Shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issuance of new ordinary shares, share options and buyback are recognized as a deduction from equity, net of any tax effects.

Treasury Shares

When any entity within the Group purchases the company's ordinary shares, the consideration paid including any directly attributable incremental cost is presented as a deduction from total equity, until they are cancelled, sold or reissued. When treasury shares are sold or reissued subsequently, the amount received is recognized as an increase in equity, and the resulting surplus or deficit on the transaction is transferred to/from Share premium.

Retained earnings

Retained earnings represent the amount of accumulated earnings of the Group.

Share premium

The amount received in excess of the par value of equity shares has been classified as share premium. Additionally, share-based compensation recognized in net profit in the interim consolidated statement of comprehensive income is credited to share premium. Amounts have been utilized for bonus issue and share buyback from share premium account.

Other Reserve

The Special Economic Zone Re-investment reserve has been created out of the profit of the eligible SEZ unit in terms of the provisions of Sec 10AA (1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Company for acquiring new plant and machinery for the purpose of its business in terms of the provisions of the Sec 10AA (2) of the Income Tax Act, 1961.

Capital Redemption Reserve

In accordance with section 69 of the Indian Companies Act, 2013, the Company creates capital redemption reserve equal to the nominal value of the shares bought back as an appropriation from general reserve / retained earnings.

Cash flow hedge reserve

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the net profit in the interim consolidated Statement of Comprehensive Income upon the occurrence of the related forecasted transaction.

Other components of equity

Other components of equity include currency translation, re-measurement of net defined benefit liability/asset, fair value changes of equity instruments fair valued through other comprehensive income, changes on fair valuation of investments, net of taxes.

2.18.1 Voting

Each holder of equity shares is entitled to one vote per share. The equity shares represented by American Depositary Shares (ADS) carry similar rights to voting and dividends as the other equity shares. Each ADS represents one underlying equity share.

2.18.2 Liquidation

In the event of liquidation of the company, the holders of shares shall be entitled to receive any of the remaining assets of the company, after distribution of all preferential amounts. However, no such preferential amounts exist currently, other than the amounts held by irrevocable controlled trusts. The amount distributed will be in proportion to the number of equity shares held by the shareholders. For irrevocable controlled trusts, the corpus would be settled in favor of the beneficiaries.

2.18.3 Share options

There are no voting, dividend or liquidation rights to the holders of options issued under the company's share option plans.

2.18.4 Share capital and share premium

The Company has only one class of shares referred to as equity shares having a par value of ₹5/- each. 96,55,927 shares and 10,916,829 shares were held by controlled trust, as at March 31, 2025 and March 31, 2024, respectively.

2.18.5 Capital allocation policy

Effective fiscal 2025, the Company expects to continue its policy of returning approximately 85% of the free cash flow cumulatively over a 5-year period through a combination of semi-annual dividends and/or share buyback/ special dividends subject to applicable laws and requisite approvals, if any. Under this policy, the Company expects to progressively increase its annual dividend per share (excluding special dividend if any).

Free cash flow is defined as net cash provided by operating activities less capital expenditure as per the consolidated statement of cash flows prepared under IFRS. Dividend and buyback include applicable taxes.

The Company's objective when managing capital is to safeguard its ability to continue as a going concern and to maintain an optimal capital structure so as to maximize shareholder value. In order to maintain or achieve an optimal capital structure, the Company may adjust the amount of dividend payment, return capital to shareholders, issue new shares or buy back issued shares. As of March 31, 2025, the Company has only one class of equity shares and has no debt. Consequent to the above capital structure there are no externally imposed capital requirements.

Dividend

The final dividend on shares is recorded as a liability on the date of approval by the shareholders and interim dividends are recorded as a liability on the date of declaration by the Company's Board of Directors. Income tax consequences of dividends on financial instruments classified as equity will be recognized according to where the entity originally recognized those past transactions or events that generated distributable profits.

The Company declares and pays dividends in Indian rupees. Companies are required to pay / distribute dividend after deducting applicable taxes. The remittance of dividends outside India is governed by Indian law on foreign exchange and is also subject to withholding tax at applicable rates.

The amount of per share dividend recognized as distribution to equity shareholders is as follows:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
	(In ₹)			
Interim dividend for fiscal 2025	-	-	21.00	-
Special dividend for fiscal 2024	-	-	8.00	-
Final dividend for fiscal 2024	-	-	20.00	-
Interim dividend for fiscal 2024	-	-	-	18.00
Final dividend for fiscal 2023	-	-	-	17.50

During the year ended March 31, 2025, on account of the final and special dividend for fiscal 2024 and interim dividend for fiscal 2025, the Company has incurred a net cash outflow of ₹20,295 crore (excluding dividend paid on treasury shares)

The Board of Directors in their meeting held on April 17, 2025 recommended a final dividend of ₹22/- per equity share for the financial year ended March 31, 2025. The payment is subject to the approval of shareholders in the AGM of the Company to be held on June 25, 2025 and if approved, would result in a net cash outflow of approximately ₹9,116 crore (excluding dividend paid on treasury shares).

2.19 Expense by nature

(In ₹ crore)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Employee benefit costs	22,015	20,393	85,950	82,620
Depreciation and amortization	1,299	1,163	4,812	4,678
Travelling costs	520	471	1,894	1,759
Consultancy and professional charges	301	489	1,655	1,726
Cost of Software packages for own use	655	555	2,467	2,145
Third party items bought for service delivery to clients	3,244	3,132	13,444	11,370
Communication costs	147	147	620	677
Cost of technical sub-contractors	3,276	2,967	12,937	12,232
Power and fuel	50	48	222	199
Repairs and maintenance	322	316	1,320	1,278
Rates and taxes	77	84	346	326
Insurance charges	73	53	301	210
Commission to non-whole time directors	5	5	18	16
Branding and marketing expenses	344	285	1,223	1,007
Provision for post-sales client support and other provisions	(228)	(129)	(110)	75
Impairment loss recognized / (reversed) on financial assets	(53)	(98)	48	121
Contribution towards Corporate Social Responsibility	92	182	585	533
Others	211	239	834	951
Total cost of sales, selling and marketing expenses and administrative expenses	32,350	30,302	128,566	121,923

The table below provides details of break-up of expenses:

Cost of sales

(In ₹ crore)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Employee benefit costs	19,849	18,392	77,382	74,480
Depreciation and amortization	1,299	1,163	4,812	4,678
Travelling costs	353	328	1,261	1,243
Cost of technical sub-contractors	3,276	2,966	12,934	12,227
Cost of software packages for own use	622	528	2,349	2,032
Third party items bought for service delivery to clients	3,244	3,132	13,444	11,370
Consultancy and professional charges	(145)	107	85	293
Communication costs	61	70	287	332
Repairs and maintenance	127	113	497	445
Provision for post-sales client support and other provisions	(228)	(129)	(110)	75
Others	117	78	406	238
Total	28,575	26,748	113,347	107,413

Selling and marketing expenses

(In ₹ crore)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Employee benefit costs	1,431	1,309	5,720	5,434
Travelling costs	105	86	407	314
Branding and marketing	344	284	1,220	1,001
Communication costs	3	3	10	12
Consultancy and professional charges	46	31	157	137
Others	28	22	74	75
Total	1,957	1,735	7,588	6,973

Administrative expenses

(In ₹ crore)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Employee benefit costs	735	692	2,847	2,706
Consultancy and professional charges	400	351	1,413	1,296
Repairs and maintenance	258	254	1,040	1,001
Power and fuel	50	48	221	199
Communication costs	83	74	323	333
Travelling costs	62	57	226	202
Impairment loss recognized/(reversed) under expected credit loss model	(53)	-98	48	121
Rates and taxes	77	84	344	325
Insurance charges	72	54	293	209
Commission to non-whole time directors	5	5	18	16
Contribution towards Corporate Social Responsibility	92	182	585	533
Others (Refer to note 2.6.2)	37	116	273	596
Total	1,818	1,819	7,631	7,537

2.20 Employee Benefits

Accounting policy

Gratuity and Pensions

The Group provides for gratuity, a defined benefit retirement plan ('the Gratuity Plan') covering eligible employees majorly of Infosys and its Indian subsidiaries. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment with the Group. The Company contributes Gratuity liabilities to the Infosys Limited Employees' Gratuity Fund Trust (the Trust). In case of Infosys BPM and EdgeVerve, contributions are made to the Infosys BPM Employees' Gratuity Fund Trust and EdgeVerve Systems Limited Employees' Gratuity Fund Trust, respectively. Trustees administer contributions made to the Trusts and contributions are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law.

The Group operates defined benefit pension plan in certain overseas jurisdictions, in accordance with the local laws. These plans are managed by third party fund managers. The plans provide for periodic payouts after retirement and/or a lumpsum payment as set out in rules of each fund and includes death and disability benefits. The defined benefit plans require contributions which are based on a percentage of salary that varies depending on the age of the respective employees.

Liabilities with regard to these defined benefit plans are determined by actuarial valuation, performed by an external actuary, at each Balance Sheet date using the projected unit credit method. These defined benefit plans expose the Group to actuarial risks, such as longevity risk, interest rate risk and market risk.

The Group recognizes the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability. Gains and losses through re-measurements of the net defined benefit liability / (asset) are recognized in other comprehensive income and are not reclassified to profit or loss in subsequent periods. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognized in other comprehensive income. The effect of any plan amendments is recognized in net profit in the Interim Consolidated Statement of Comprehensive Income.

Provident fund

Eligible employees of Infosys receive benefits from a provident fund, which is a defined benefit plan. Both the eligible employee and the Company make monthly contributions to the provident fund plan equal to a specified percentage of the covered employee's salary. The Company contributes a portion to the Infosys Limited Employees' Provident Fund Trust. The trust invests in specific designated instruments as permitted by Indian law. The remaining portion is contributed to the government administered pension fund. The rate at which the annual interest is payable to the beneficiaries by the trust is being administered by the Government of India. The Company has an obligation to make good the shortfall, if any, between the return from the investments of the trust and the notified interest rate.

In respect of Indian subsidiaries, eligible employees receive benefits from a provident fund, which is a defined contribution plan. Both the eligible employee and the respective companies make monthly contributions to this provident fund plan equal to a specified percentage of the covered employee's salary. Amounts collected under the provident fund plan are deposited in a government administered provident fund. The Companies have no further obligation to the plan beyond its monthly contributions.

Superannuation

Certain employees of Infosys, Infosys BPM and EdgeVerve are participants in a defined contribution plan. The Group has no further obligations to the plan beyond its monthly contributions which are periodically contributed to a trust fund, the corpus of which is invested with the Life Insurance Corporation of India.

Compensated absences

The Group has a policy on compensated absences which are both accumulating and non-accumulating in nature. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an external actuary at each Balance Sheet date using projected unit credit method on the additional amount expected to be paid/availed as a result of the unused entitlement that has accumulated at the Balance Sheet date. Expense on non-accumulating compensated absences is recognized in the period in which the absences occur.

2.20.1 Gratuity and pensions

The following table sets out the details of the defined benefit retirement plans and the amounts recognized in the Group's financial statements as at March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	As at		As at	
	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024
Change in benefit obligations				
Benefit obligations at the beginning	2,116	1,778	1,020	917
Transfer	5	29	-	0
Service cost	335	307	52	54
Interest expense	141	121	18	20
Remeasurements - Actuarial (gains) / losses	93	34	69	24
Past service cost - plan amendments	-	-	-	(33)
Employee contribution	-	-	33	34
Benefits paid	(181)	(154)	(60)	(10)
Translation difference	2	1	51	14
Benefit obligations at the end	2,511	2,116	1,183	1,020
Change in plan assets				
Fair value of plan assets at the beginning	2,079	1,755	991	870
Transfer	-	-	-	0
Interest income	151	127	19	20
Remeasurements- Return on plan assets excluding amounts included in interest income	22	18	60	16
Employer contribution	656	328	46	51
Employee contribution	-	-	33	34
Benefits paid	(176)	(149)	(60)	(10)
Translation difference	1	-	48	10
Fair value of plan assets at the end	2,733	2,079	1,137	991
Funded status	222	(37)	(46)	(29)
Defined benefit plan asset (Refer note 2.4)	286	16	11	15
Defined benefit plan liability (Refer note 2.5)	(64)	(53)	(57)	(44)

Amount for the three months and year ended March 31, 2025 and March 31, 2024 recognized in the Consolidated Statement of Comprehensive income under employee benefit expense:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	Three months ended March 31,	Year ended March 31,	Three months ended March 31,	Year ended March 31,
	2025	2024	2025	2024
Service cost	84	78	13	54
Net interest on the net defined benefit liability/(asset)	(8)	(4)	-	(1)
Plan amendments	-	-	(8)	(33)
Net cost	76	74	13	21

Amount for the three months and year ended March 31, 2025 and March 31, 2024 recognized in the Consolidated Statement of other comprehensive income:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	Three months ended March 31,	Year ended March 31,	Three months ended March 31,	Year ended March 31,
	2025	2024	2025	2024
Remeasurements of the net defined benefit liability/ (asset)				
Actuarial (gains) / losses	33	14	18	24
(Return) / loss on plan assets excluding amounts included in the net interest on the net defined benefit liability/(asset)	2	2	(15)	(16)
	35	16	3	8

Break up of actuarial (gains)/losses for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

(In ₹ crore)

Particulars	Gratuity				Pension			
	Three months ended March 31,		Year ended March 31,		Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024	2025	2024	2025	2024
(Gain)/loss from change in demographic assumptions	-	-	-	-	-	-	-	-
(Gain)/loss from change in financial assumptions	95	2	38	10	12	6	47	24
(Gain)/loss from experience adjustment	(62)	12	55	24	6	-	22	-
	33	14	93	34	18	6	69	24

The gratuity and pension cost recognized in statement of comprehensive income apportioned between cost of sales, selling and marketing expenses and administrative expenses on the basis of direct employee cost is as follows:

(In ₹ crore)

Particulars	Gratuity				Pension			
	Three months ended March 31,		Year ended March 31,		Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024	2025	2024	2025	2024
Cost of sales	69	67	292	271	13	5	46	19
Selling and marketing expenses	5	5	22	20	-	-	3	1
Administrative expenses	2	2	11	10	-	-	2	1
	76	74	325	301	13	5	51	21

The weighted-average assumptions used to determine benefit obligations as at March 31, 2025 and March 31, 2024 are set out below:

Particulars	Gratuity		Pension	
	As at		As at	
	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024
Discount rate ⁽¹⁾	6.5%	7.0%	0.9%-3.7%	1.5%-3.4%
Weighted average rate of increase in compensation levels ⁽²⁾	6.0%	6.0%	1%-3%	1%-3%
Weighted average duration of defined benefit obligation ⁽³⁾	5.7 years	5.8 years	13 years	12 years

The weighted-average assumptions used to determine net periodic benefit cost for the three months and year ended March 31, 2025 and March 31, 2024 are set out below:

Particulars	Gratuity				Pension			
	Three months ended March 31,		Year ended March 31,		Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024	2025	2024	2025	2024
Discount rate	7.0%	7.1%	7.0%	7.1%	1.5%-3.4%	1.8%-3.8%	1.5%-3.4%	1.8%-3.8%
Weighted average rate of increase in compensation levels	6.0%	6.0%	6.0%	6.0%	1%-3%	1%-3%	1%-3%	1%-3%

⁽¹⁾For domestic defined benefit plan in India, the market for high quality corporate bonds being not developed, the yield of government bonds is considered as the discount rate. For most of our overseas defined benefit plan, given that the market for high quality corporate bonds is not developed, the Government bond rate adjusted for corporate spreads is used.

⁽²⁾The average rate of increase in compensation levels is determined by the Company, considering factors such as, the Company's past compensation revision trends, inflation in respective markets and management's estimate of future salary increases.

⁽³⁾Attrition rate considered is the management's estimate based on the past long-term trend of employee turnover in the Company. The tenure has been considered taking into account the past long-term trend of employees' average remaining service life which reflects the average estimated term of post-employment benefit obligation.

For domestic defined benefit plan in India, assumptions regarding future mortality experience are set in accordance with the published statistics by the Life Insurance Corporation of India. For overseas defined benefit plan, the assumptions regarding future mortality experience are set with regard to the latest statistics in life expectancy, plan experience and other relevant data.

The Group assesses these assumptions with its projected long-term plans of growth and prevalent industry standards.

The Company contributes all ascertained liabilities towards gratuity to the Infosys Limited Employees' Gratuity Fund Trust. In case of Infosys BPM and EdgeVerve, contributions are made to the Infosys BPM Employees' Gratuity Fund Trust and EdgeVerve Systems Limited Employees Gratuity Fund Trust, respectively. Trustees administer contributions made to the trust as of March 31, 2025 and March 31, 2024, and contributions for gratuity are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law. The plan assets of the overseas defined benefit plan have been primarily invested in insurer managed funds and the asset allocation for plan assets is determined based on the investment criteria prescribed under the relevant regulations applicable to pension funds and the insurer managers. The insurers' investments are diversified and provide for guaranteed interest rates arrangements.

Actual return on assets (including remeasurements) of the gratuity plan for the three months ended March 31, 2025 and March 31, 2024 were ₹44 crore and ₹35 crore, respectively and for the pension plan were ₹20 crore and ₹9 crore, respectively.

Actual return on assets (including remeasurements) of the gratuity plan for the year ended March 31, 2025 and March 31, 2024 were ₹173 crore and ₹145 crore, respectively and for the pension plan were ₹79 crore and ₹36 crore, respectively.

The contributions for gratuity are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law. The table below sets out the details of major plan assets into various categories as at March 31, 2025 and March 31, 2024:

Particulars	Pension	
	As at	
	March 31, 2025	March 31, 2024
Equity	34%	34%
Bonds	30%	32%
Real Estate/Property	26%	26%
Cash and Cash Equivalents	1%	1%
Other	9%	7%

These defined benefit plans expose the Group to actuarial risk which are set out below:

Interest rate risk: The present value of the defined benefit plan liability is generally calculated using a discount rate determined by reference to government bond yields and in certain overseas jurisdictions, it is calculated in reference to government bond yield adjusted for a corporate spread. If bond yields fall, the defined benefit obligation will tend to increase.

Life expectancy and investment risk: The pension fund offers the choice between a lifelong pension and a cash lump sum upon retirement. The pension fund has defined rates for converting the lump sum to a pension and there is the risk that the members live longer than implied by these conversion rates and that the pension assets don't achieve the investment return implied by these conversion rates.

Asset volatility: A proportion of the pension fund is held in equities, which is expected to outperform corporate bonds in the long term but give exposure to volatility and risk in the short term. The pension fund board of insurer is responsible for the investment strategy and equity allocation is justified given the long-term investment horizon of the pension fund and the objective to provide a reasonable long term return on members' account balances.

Sensitivity of significant assumptions used for valuation of defined benefit obligation:

Impact from	(in ₹ crore)	
	As at March 31, 2025	
	Gratuity	Pension
	1% point increase / decrease	0.5% point increase / decrease
Discount rate	135	55
Weighted average rate of increase in compensation levels	135	6

Sensitivity to significant actuarial assumptions is computed by varying one actuarial assumption used for the valuation of the defined benefit obligation and keeping all other actuarial assumptions constant. In practice, this is not probable, and changes in some of the assumptions may be correlated.

The Group expects to contribute ₹370 crore to gratuity and ₹44 crore to pension during the fiscal 2026.

Maturity profile of defined benefit obligation:

	(In ₹ crore)	
	Gratuity	Pension
Within 1 year	349	72
1-2 year	333	70
2-3 year	345	72
3-4 year	321	74
4-5 year	289	75
5-10 years	1,042	342

2.20.2 Provident fund

Infosys has an obligation to fund any shortfall on the yield of the trust's investments over the administered interest rates on an annual basis. These administered rates are determined annually predominantly considering the social and economic factors. The actuary has provided a valuation for provident fund liabilities on the basis of guidance issued by Actuarial Society of India.

The following tables set out the funded status of the defined benefit provident fund plan of Infosys limited and the amounts recognized in the Group's financial statements as at March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Change in benefit obligations		
Benefit obligations at the beginning	11,879	10,527
Service cost	952	880
Employee contribution	1,683	1,652
Interest expense	862	764
Actuarial (gains) / loss	218	96
Benefits paid	(1,727)	(2,040)
Benefit obligations at the end	13,867	11,879
Change in plan assets		
Fair value of plan assets at the beginning	11,812	10,184
Interest income	858	740
Remeasurements- Return on plan assets excluding amounts included in interest income	245	234
Employer contribution	1,057	1,042
Employee contribution	1,683	1,652
Benefits paid	(1,727)	(2,040)
Fair value of plan assets at the end	13,928	11,812
Funded status surplus/(deficit)	61	(67)
Irrecoverable surplus - effect of asset ceiling	(61)	-
Net defined benefit asset/ (liability) (Refer note 2.5)	-	(67)

Amount for the three months and year ended March 31, 2025 and March 31, 2024 recognized in the consolidated statement of comprehensive income:

Particulars	(In ₹ crore)	
	Three months ended March 31,	
	2025	2024
Service cost	257	234
Net interest on the net defined benefit liability / asset	1	6
Net provident fund cost	258	240

Amount for the three months and year ended March 31, 2025 and March 31, 2024 recognized in the consolidated statement of other comprehensive income:

Particulars	(In ₹ crore)	
	Three months ended March 31,	
	2025	2024
Remeasurements of the net defined benefit liability/ (asset)		
Actuarial (gains) / losses	158	48
(Return) / loss on plan assets excluding amounts included in the net interest on the net defined benefit liability/(asset)	(95)	(89)
Irrecoverable surplus - effect of asset ceiling	54	-
	117	(41)

The assumptions used in determining the present value obligation of the defined benefit plan under the Deterministic Approach are as follows:

Particulars	As at	
	March 31, 2025	March 31, 2024
Government of India (GOI) bond yield ⁽¹⁾	6.50%	7.00%
Expected rate of return on plan assets	8.00%	8.20%
Remaining term to maturity of portfolio	6 years	6 years
Expected guaranteed interest rate	8.25%	8.25%

⁽¹⁾ In India, the market for high quality corporate bonds being not developed, the yield of government bonds is considered as the discount rate. The tenure has been considered taking into account the past long-term trend of employees' average remaining service life which reflects the average estimated term of the post-employment benefit obligation.

The breakup of the plan assets into various categories as at March 31, 2025 and March 31, 2024 are as follows:

Particulars	As at	
	March 31, 2025	March 31, 2024
Central and State government bonds	60%	60%
Public sector undertakings and Private sector bonds	28%	30%
Others	12%	10%

The asset allocation for plan assets is determined based on the investment criteria prescribed under the relevant regulations.

The actuarial valuation of PF liability exposes the Group to interest rate risk. The defined benefit obligation calculated uses a discount rate based on government bonds. If bond yields fall, the defined benefit obligation will tend to increase.

As at March 31, 2025 the defined benefit obligation would be affected by approximately ₹129 crore on account of a 0.25% increase / decrease in the expected rate of return on plan assets.

The Group contributed ₹351 crore and ₹315 crore to the provident fund during the three months ended March 31, 2025 and March 31, 2024, respectively. The Group contributed ₹1,323 crore and ₹1,257 crore to the provident fund during the year ended March 31, 2025 and March 31, 2024, respectively. The same has been recognized in the net profit in the consolidated Statement of comprehensive income under the head employee benefit expense.

The provident plans are applicable only to employees drawing a salary in Indian rupees.

Provident fund contributions have been apportioned between cost of sales, selling and marketing expenses and administrative expenses on the basis of direct employee cost as follows: -

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Cost of sales	317	285	1,191	1,133
Selling and marketing expenses	23	21	88	83
Administrative expenses	11	10	44	41
	351	316	1,323	1,257

2.20.3 Superannuation

The group contributed ₹125 crore and ₹123 crore to the superannuation plan during the three months ended March 31, 2025 and March 31, 2024, respectively. The group contributed ₹512 crore and ₹513 crore to the superannuation plan during the year ended March 31, 2025 and March 31, 2024, respectively and the same has been recognized in the Consolidated Statement of comprehensive income under the head employee benefit expense.

Superannuation contribution have been apportioned between cost of sales, selling and marketing expenses and administrative expenses on the basis of direct employee cost as follows: -

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Cost of sales	113	111	461	462
Selling and marketing expenses	8	8	34	34
Administrative expenses	4	4	17	17
	125	123	512	513

2.20.4 Employee benefit costs include:

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Salaries and bonus ⁽¹⁾	21,447	19,897	83,739	80,532
Defined contribution plans	167	161	677	670
Defined benefit plans	401	335	1,534	1,418
	22,015	20,393	85,950	82,620

⁽¹⁾ Includes an employee stock compensation expense of ₹198 crore and ₹802 crore for the three months and year ended March 31, 2025 respectively and, includes employee stock compensation expense of ₹225 crore and ₹652 crore for the three months and year ended March 31, 2024 respectively (Refer to Note 2.11).

The employee benefit cost is recognized in the following line items in the consolidated statement of comprehensive income: -

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Cost of sales	19,849	18,392	77,382	74,480
Selling and marketing expenses	1,431	1,309	5,720	5,434
Administrative expenses	735	692	2,847	2,706
	22,015	20,393	85,949	82,620

2.21 Other income, net

Other income is comprised primarily of interest income, dividend income, gain/loss on investment and exchange gain/loss on forward and options contracts and on translation of foreign currency assets and liabilities. Interest income is recognized using the effective interest method. Dividend income is recognized when the right to receive payment is established.

Foreign currency

Accounting policy

Functional currency and presentation currency

The functional currency of Infosys, its Indian subsidiaries and controlled trusts is the Indian rupee. The functional currencies for foreign subsidiaries are their respective local currencies. These financial statements are presented in Indian rupees (rounded off to crore; one crore equals ten million).

Transactions and translations

Foreign-currency denominated monetary assets and liabilities are translated into the relevant functional currency at exchange rates in effect at the Balance Sheet date. The gains or losses resulting from such translations are recognized in the interim Consolidated Statement of Comprehensive Income and reported within exchange gains/ (losses) on translation of assets and liabilities, net, except when deferred in Other Comprehensive Income as qualifying cash flow hedges. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at fair value are translated at the exchange rate prevalent at the date when the fair value was determined. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of transaction. The related revenue and expense are recognized using the same exchange rate.

Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net profit for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the relevant functional currencies using the exchange rate in effect on the date of the transaction.

The translation of financial statements of the foreign subsidiaries to the presentation currency is performed for assets and liabilities using the exchange rate in effect at the Balance Sheet date and for revenue, expense and cash-flow items using the average exchange rate for the respective periods. The gains or losses resulting from such translation are included in currency translation reserves under other components of equity. When a subsidiary is disposed off, in full, the relevant amount is transferred to net profit in the statement of comprehensive income. However when a change in the parent's ownership does not result in loss of control of a subsidiary, such changes are recorded through equity.

Other Comprehensive Income, net of taxes includes translation differences on non-monetary financial assets measured at fair value at the reporting date, such as equities classified as financial instruments and measured at fair value through other comprehensive income (FVOCI).

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the exchange rate in effect at the Balance Sheet date.

Government grants

The Group recognizes government grants only when there is reasonable assurance that the conditions attached to them will be complied with, and the grants will be received. Government grants related to assets are treated as deferred income and are recognized in the net profit in the statement of comprehensive income on a systematic and rational basis over the useful life of the asset. Government grants related to revenue are recognized on a systematic basis in the statement of comprehensive income over the periods necessary to match them with the related costs which they are intended to compensate.

Operating Profits

Operating profit of the Group is computed considering the revenues, net of cost of sales, selling and marketing expenses and administrative expenses.

Other income for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

(In ₹ crore)

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Interest income on financial assets carried at amortized cost	416	253	1,523	1,060
Interest income on financial assets carried at fair value through other comprehensive income	305	318	1,047	1,007
Gain/(loss) on investments carried at fair value through other comprehensive income	-	-	2	-
Gain/(loss) on investments carried at fair value through profit or loss	54	88	287	285
Gain/(loss) on investments carried at amortized cost	4	-	4	-
Interest income on income tax refund	328	1,916	343	1,965
Exchange gains / (losses) on forward and options contracts	(70)	190	(205)	100
Exchange gains / (losses) on translation of other assets and liabilities	180	(123)	464	87
Others	(27)	87	135	207
Total	1,190	2,729	3,600	4,711

for and on behalf of the Board of Directors of Infosys Limited

Nandan M. Nilekani
Chairman

Salil Parekh
Chief Executive Officer
and Managing Director

Bobby Parikh
Director

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

Bengaluru
April 17, 2025

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF INFOSYS LIMITED

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the accompanying standalone financial statements of **INFOSYS LIMITED** (the "Company"), which comprise the Balance Sheet as at March 31, 2025, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended on that date and notes to the financial statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as the "Standalone Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2025 and its profit, total comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the Standalone Financial Statements in accordance with the Standards on Auditing ("SA"s) specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Standalone Financial Statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Financial Statements of the current period. These matters were addressed in the context of our audit of the Standalone Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	Auditor's Response
1	Revenue recognition The Company's contracts with customers include contracts with multiple products and services. The Company derives	Principal Audit Procedures Performed included the following: Our audit procedures related to the (1) identification of distinct performance obligations,

Sr. No.	Key Audit Matter	Auditor's Response
	revenues from IT services comprising software development and related services, maintenance, consulting and package implementation, licensing of software products and platforms across the Company's core and digital offerings and business process management services. The Company assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables involves significant judgement. In certain integrated services arrangements, contracts with customers include subcontractor services or third-party vendor equipment or software. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Company is acting as an agent between the customer and the vendor, and gross when the Company is the principal for the transaction. In doing so, the Company first evaluates whether it obtains control of the specified goods or service before it is transferred to the customer. The Company considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or service, inventory risk, pricing discretion and other factors to determine whether it controls the products or service and therefore, is acting as a principal or an agent. Fixed price maintenance revenue is recognized ratably either on (1) a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or (2) using a percentage of completion method when the pattern of benefits from the services rendered to the customer and the Company's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables.	(2) determination of whether the Company is acting as a principal or agent and (3) whether fixed price maintenance revenue is recognized on a straight-line basis or using the percentage of completion method included the following, among others: • We tested the effectiveness of controls relating to the (a) identification of distinct performance obligations, (b) determination of whether the Company is acting as a principal or an agent and (c) determination of whether fixed price maintenance revenue for certain contracts is recognized on a straight-line basis or using the percentage of completion method. • We selected a sample of contracts with customers and performed the following procedures: - Obtained and read contract documents for each selection, including master service agreements, and other documents that were part of the agreement. - Identified significant terms and deliverables in the contract to assess management's conclusions regarding the (i) identification of distinct performance obligations (ii) whether the Company is acting as a principal or an agent and (iii) whether fixed price maintenance revenue is recognized on a straight-line basis or using the percentage of completion method.

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Sr. No.	Key Audit Matter	Auditor's Response
	As certain contracts with customers involve management's judgment in (1) identifying distinct performance obligations, (2) determining whether the Company is acting as a principal or an agent and (3) whether fixed price maintenance revenue is recognized on a straight-line basis or using the percentage of completion method, revenue recognition from these judgments were identified as a key audit matter and required a higher extent of audit effort. Refer Notes 1.4 and 2.18 to the Standalone Financial Statements.	
2	Revenue recognition - Fixed price contracts using the percentage of completion method Fixed price maintenance revenue is recognized ratably either (1) on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or (2) using a percentage of completion method when the pattern of benefits from services rendered to the customer and the Company's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Use of the percentage-of-completion method requires the Company to determine the actual efforts or costs expended to date as a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the period in which such losses become probable based	Principal Audit Procedures Performed included the following: Our audit procedures related to estimates of total expected costs or efforts to complete for fixed-price contracts included the following, among others: • We tested the effectiveness of controls relating to (1) recording of efforts or costs incurred and estimation of efforts or costs required to complete the remaining contract performance obligations and (2) access and application controls pertaining to time recording, allocation and budgeting systems which prevents unauthorised changes to recording of efforts incurred. • We selected a sample of fixed price contracts with customers measured the using percentage-of-completion method and performed the following: – Evaluated management's ability to reasonably estimate the progress towards satisfying the performance obligation by comparing actual efforts or costs incurred to prior year estimates of efforts or costs budgeted for performance obligations that have been fulfilled.

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Sr. No.	Key Audit Matter	Auditor's Response
	on the estimated efforts or costs to complete the contract. We identified the estimate of total efforts or costs to complete fixed price contracts measured using the percentage of completion method as a key audit matter as the estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information. This estimate has a high inherent uncertainty and requires consideration of progress of the contract, efforts or costs incurred to-date and estimates of efforts or costs required to complete the remaining contract performance obligations over the term of the contracts. This required a high degree of auditor judgment in evaluating the audit evidence and a higher extent of audit effort to evaluate the reasonableness of the total estimated amount of revenue recognized on fixed-price contracts. Refer Notes 1.4 and 2.18 to the Standalone Financial Statements.	- Compared efforts or costs incurred with Company's estimate of efforts or costs incurred to date to identify significant variations and evaluate whether those variations have been considered appropriately in estimating the remaining costs or efforts to complete the contract. - Tested the estimate for consistency with the status of delivery of milestones and customer acceptances and sign off from customers to identify possible delays in achieving milestones, which require changes in estimated costs or efforts to complete the remaining performance obligations.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Business Responsibility and Sustainability Report, Corporate Governance and Shareholder's Information, but does not include the consolidated financial statements, Standalone Financial Statements and our auditor's report thereon.

Our opinion on the Standalone Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Board of Directors for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these Standalone Financial Statements that give a true and fair view of the financial position, financial performance, including other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including Ind AS specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Financial Statements, management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Company's Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the Standalone Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to Standalone Financial Statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Standalone Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Standalone Financial Statements, including the disclosures, and whether the Standalone Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Standalone Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Standalone Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Standalone Financial Statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal financial controls that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c) The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.
 - d) In our opinion, the aforesaid Standalone Financial Statements comply with the Ind AS specified under Section 133 of the Act.



- e) On the basis of the written representations received from the directors as on March 31, 2025 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2025 from being appointed as a director in terms of Section 164(2) of the Act.
- f) With respect to the adequacy of the internal financial controls with reference to Standalone Financial Statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls with reference to Standalone Financial Statements.
- g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid by the Company to its directors during the year is in accordance with the provisions of section 197 of the Act.
- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its Standalone Financial Statements. Refer Note 2.23 to the Standalone Financial Statements.
 - ii. The Company has made provision as required under applicable law or accounting standards for material foreseeable losses. Refer Note 2.16 to the Standalone Financial Statements. The Company did not have any long-term derivative contracts.
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.
 - iv. (a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(b) The Management has represented, that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;



- (c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
 - v. As stated in Note 2.12.3 to the Standalone Financial Statements
 - (a) The final dividend proposed in the previous year, declared and paid by the Company during the year is in accordance with Section 123 of the Act, as applicable.
 - (b) The interim dividend declared and paid by the Company during the year and until the date of this report is in compliance with Section 123 of the Act.
 - (c) The Board of Directors of the Company have proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The amount of dividend proposed is in accordance with section 123 of the Act, as applicable.
 - vi. Based on our examination, which included test checks, the Company has used accounting software systems for maintaining its books of account for the financial year ended March 31, 2025 which have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software systems. Further, during the course of our audit we did not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved by the Company as per the statutory requirements for record retention.
2. As required by the Companies (Auditor's Report) Order, 2020 (the "Order") issued by the Central Government in terms of Section 143(11) of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria
Partner
(Membership No. 060408)
UDIN:

Place: Bengaluru
Date: April 17, 2025

ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 1(f) under 'Report on Other Legal and Regulatory Requirements' section of our report to the Members of Infosys Limited of even date)

Report on the Internal Financial Controls with reference to Standalone Financial Statements under Clause (i) of sub-section 3 of Section 143 of the Companies Act, 2013 (the "Act")

We have audited the internal financial controls with reference to Standalone Financial Statements of **INFOSYS LIMITED** (the "Company") as of March 31, 2025 in conjunction with our audit of the Standalone Financial Statements of the Company for the year ended on that date.

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and Board of Directors are responsible for establishing and maintaining internal financial controls with reference to Standalone Financial Statements based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to Standalone Financial Statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the ICAI and the Standards on Auditing prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to Standalone Financial Statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Standalone Financial Statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to Standalone Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Standalone Financial Statements included obtaining an understanding of internal financial controls with reference to Standalone Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to Standalone Financial Statements.



Meaning of Internal Financial Controls with reference to Standalone Financial Statements

A company's internal financial control with reference to Standalone Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to Standalone Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Standalone Financial Statements

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Standalone Financial Statements to future periods are subject to the risk that the internal financial control with reference to Standalone Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

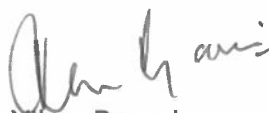
Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls with reference to Standalone Financial Statements and such internal financial controls with reference to Standalone Financial Statements were operating effectively as at March 31, 2025, based on the criteria for internal financial control with reference to Standalone Financial Statements established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the ICAI.

For DELOITTE HASKINS & SELLS LLP

Chartered Accountants

(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria

Partner

(Membership No.060408)

UDIN:

Place: Bengaluru

Date: April 17, 2025

ANNEXURE 'B' TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 2 under 'Report on Other Legal and Regulatory Requirements' section of our report to the Members of Infosys Limited of even date)

To the best of our information and according to the explanations provided to us by the Company and the books of account and records examined by us in the normal course of audit, we state that:

- i. In respect of the Company's property, plant and equipment, right-of-use assets and intangible assets:
 - (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of property, plant and equipment and relevant details of right-of-use assets.
 - (B) The Company has maintained proper records showing full particulars of intangible assets.
 - (b) The Company has a program of physical verification of property, plant and equipment and right-of-use assets so to cover all the assets once every three years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, certain property, plant and equipment and right-of-use assets were due for verification during the year and were physically verified by the Management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.
 - (c) Based on our examination of the property tax receipts and lease agreement for land on which building is constructed, registered sale deed / transfer deed / conveyance deed provided to us, we report that, the title in respect of self-constructed buildings and title deeds of all other immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee), disclosed in the financial statements included under Property, Plant and Equipment are held in the name of the Company as at the balance sheet date.
 - (d) The Company has not revalued any of its property, plant and equipment (including right-of-use assets) and intangible assets during the year.
 - (e) No proceedings have been initiated during the year or are pending against the Company as at March 31, 2025 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made thereunder.
- ii.
 - (a) The Company does not have any inventory and hence reporting under clause 3(ii)(a) of the Order is not applicable.
 - (b) The Company has not been sanctioned working capital limits in excess of ₹ 5 crore, in aggregate, at any points of time during the year, from banks or financial institutions on the basis of security of current assets and hence reporting under clause 3(ii)(b) of the Order is not applicable.
- iii. The Company has made investments in, Companies and granted unsecured loans to other parties, during the year, in respect of which:
 - (a) The Company has provided loans or advances in the nature of loans during the year, details of which are given below:

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(Amount in INR Crore)

Particulars	Loans	Advances in nature of loans
<u>A. Aggregate amount granted /provided during the year:</u>		
- Subsidiary	10	-
<u>B. Balance outstanding as at balance sheet date in respect of above cases:</u>		
- Subsidiary	10	-

The Company has not provided any guarantee or security to any other entity during the year.

- (b) In our opinion, the investments made and the terms and conditions of the grant of loans, during the year are, prima facie, not prejudicial to the Company's interest.
- (c) In respect of loans granted by the Company, the schedule of repayment of principal and payment of interest has been stipulated and the repayments of principal amounts and receipts of interest are generally regular as per stipulation.
- (d) In respect of loans granted by the Company, there is no overdue amount remaining outstanding as at the balance sheet date.
- (e) No loan granted by the Company which has fallen due during the year, has been renewed or extended or fresh loans granted to settle the overdue of existing loans given to the same parties.
- (f) The Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment during the year. Hence, reporting under clause 3(iii)(f) is not applicable.

The Company has not made investments in Firms and Limited Liability Partnerships during the year. Further the Company has not provided any guarantee or security or granted any advances in the nature of loans, secured or unsecured, to Companies, Firms, Limited Liability Partnerships or any other parties.

- iv. The Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of loans granted, investments made and guarantees and securities provided, as applicable.
- v. The Company has not accepted any deposit or amounts which are deemed to be deposits. Hence, reporting under clause 3(v) of the Order is not applicable.
- vi. The maintenance of cost records has not been specified by the Central Government under sub-section (1) of section 148 of the Companies Act, 2013 for the business activities carried out by the Company. Hence, reporting under clause (vi) of the Order is not applicable to the Company.
- vii. In respect of statutory dues:
 - (a) In our opinion, the Company has generally been regular in depositing undisputed statutory dues, including Goods and Services tax, Provident Fund, Employees' State Insurance, Income Tax, Sales Tax, Service Tax, duty of Custom, duty of Excise, Value Added Tax, Cess and other material statutory dues applicable to it with the appropriate authorities.

There were no undisputed amounts payable in respect of Goods and Service tax, Provident Fund, Employees' State Insurance, Income Tax, Sales Tax, Service Tax, duty of Custom, duty of Excise, Value Added Tax, Cess and other

material statutory dues in arrears as at March 31, 2025 for a period of more than six months from the date they became payable.

(b) Details of statutory dues referred to in sub-clause (a) above which have not been deposited as on March 31, 2025 on account of disputes are given below:

Nature of the statute	Nature of dues	Forum where Dispute is Pending	Period to which the Amount Relates	Amount ₹ crore
The Income Tax Act, 1961`	Income Tax	Income Tax Appellate Tribunal	AY ⁽¹⁾ 2016-17	-(⁴)
	Income Tax	Commissioner (Appeals)	AY ⁽¹⁾ 2010-11, AY ⁽¹⁾ 2011-12, AY ⁽¹⁾ 2014-15, AY ⁽¹⁾ 2020-21, AY ⁽¹⁾ 2022-23 to AY ⁽¹⁾ 2024-25	1,798(⁵)
	Income Tax	Assessing Officer	AY ⁽¹⁾ 2020-21 and AY ⁽¹⁾ 2021-22	2,677
Customs Act, 1962	Duty of Custom	Specified Officer of Special Economic Zone	FY ⁽¹⁾ 2008-09 to FY ⁽¹⁾ 2011-12	5
Central Excise Act, 1944	Duty of Excise	Supreme Court ⁽³⁾	FY ⁽¹⁾ 2005-06 to FY ⁽¹⁾ 2015-16	68
		Customs Excise and Service Tax Appellate Tribunal	FY ⁽¹⁾ 2015-16	-(⁴)
Goods and Service Tax Act, 2017 Sales Tax Act and VAT Laws	Goods and Services Tax.	Joint Commissioner (Appeals)	FY ⁽¹⁾ 2017-18 to FY ⁽¹⁾ 2019-20, FY ⁽¹⁾ 2021-22	92
		High Court of Karnataka	FY ⁽¹⁾ 2017-18 and FY ⁽¹⁾ 2020-21	3
		Assessing Officer	FY ⁽¹⁾ 2017-18 to FY ⁽¹⁾ 2021-22	55
	Sales Tax	Joint Commissioner (Appeals) ⁽³⁾	FY ⁽¹⁾ 2006-07 to FY ⁽¹⁾ 2010-11 and FY ⁽¹⁾ 2014-15	2
	Sales Tax	High Court of Andhra Pradesh	FY ⁽¹⁾ 2007-08	-(⁴)
Finance Act, 1994	Service Tax	Customs Excise and Service Tax Appellate Tribunal ⁽²⁾	FY ⁽¹⁾ 2004-05 to FY ⁽¹⁾ 2010-11, FY ⁽¹⁾ 2012-13 to FY ⁽¹⁾ 2017-18	299
Central Sales Tax Act, 1956	Central Sales Tax	Joint Commissioner (Appeals)	FY ⁽¹⁾ 2016-17	-(⁴)
The Karnataka [Gram Swaraj and Panchayat Raj] Act, 1993	Panchayat Property Tax	High Court of Karnataka at Bengaluru	FY ⁽¹⁾ 2017-18 to FY ⁽¹⁾ 2020-21	33
Greater Hyderabad Municipal Corporation Act, 1955	Trade Licence Fee	Ministry for Information Technology & Municipal Administration & Urban Development	FY ⁽¹⁾ 2021-22 to FY ⁽¹⁾ 2022-23	3

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Nature of the statute	Nature of dues	Forum where Dispute is Pending	Period to which the Amount Relates	Amount ₹ crore
UK Finance Act 1998	Corporation Tax	His Majesty's Revenue and Customs (HMRC) Tax Officer, United Kingdom ⁽³⁾	FY ⁽¹⁾ 2014-15 to FY ⁽¹⁾ 2016-17	220
Sales and use tax Act	Sales and use tax Act	Board of Finance & Revenue, Pennsylvania	CY ⁽¹⁾ 2019 to CY ⁽¹⁾ 2022	10
Employer Health Tax Act, Canada	Employer Health Tax	Employer Health Tax Act	FY ⁽¹⁾ 2019-20	2

Footnotes:

⁽¹⁾ AY=Assessment Year; CY=Calendar Year; FY= Financial Year.

⁽²⁾ Stay order has been granted against ₹60 crore disputed which has not been deposited.

⁽³⁾ Stay order has been granted.

⁽⁴⁾ Less than ₹ 1 crore.

⁽⁵⁾ Stay order has been granted for FY 2021-22 against ₹1,305 crore.

- viii. There were no transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).
- ix. (a) The Company has not taken any loans or other borrowings from any lender. Hence reporting under clause 3(ix)(a) of the Order is not applicable.
- (b) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.
- (c) The Company has not taken any term loan during the year and there are no outstanding term loans at the beginning of the year and hence, reporting under clause 3(ix)(c) of the Order is not applicable.
- (d) On an overall examination of the financial statements of the Company, funds raised on short-term basis have, prima facie, not been used during the year for long-term purposes by the Company.
- (e) On an overall examination of the financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries.
- (f) The Company has not raised any loans during the year and hence reporting on clause 3(ix)(f) of the Order is not applicable.
- x. (a) The Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3(x)(a) of the Order is not applicable.

- (b) During the year, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause 3(x)(b) of the Order is not applicable.
- xi. (a) No fraud by the Company and no material fraud on the Company has been noticed or reported during the year.
- (b) No report under sub-section (12) of section 143 of the Companies Act has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and upto the date of this report.
- (c) We have taken into consideration the whistle blower complaints received by the Company during the year (and upto the date of this report), while determining the nature, timing and extent of our audit procedures.
- xii. The Company is not a Nidhi Company and hence reporting under clause (xii) of the Order is not applicable.
- xiii. In our opinion, the Company is in compliance with Section 177 and 188 of the Companies Act, 2013 with respect to applicable transactions with the related parties and the details of related party transactions have been disclosed in the Standalone Financial Statements as required by the applicable accounting standards.
- xiv. (a) In our opinion, the Company has an adequate internal audit system commensurate with the size and the nature of its business.
- (b) We have considered, the internal audit reports for the year under audit, issued to the Company during the year and till date, in determining the nature, timing and extent of our audit procedures.
- xv. In our opinion, during the year the Company has not entered into any non-cash transactions with its Directors or persons connected with its directors and hence provisions of section 192 of the Companies Act, 2013 are not applicable to the Company.
- xvi. (a) In our opinion, the Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a), (b) and (c) of the Order is not applicable.
- (b) In our opinion, there is no core investment company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) and accordingly reporting under clause 3(xvi)(d) of the Order is not applicable.
- xvii. The Company has not incurred cash losses during the financial year covered by our audit and the immediately preceding financial year.
- xviii. There has been no resignation of the statutory auditors of the Company during the year.
- xix. On the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the financial statements and our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that



all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

- xx. (a) There are no unspent amounts towards Corporate Social Responsibility ("CSR") on other than ongoing projects requiring a transfer to a Fund specified in Schedule VII to the Companies Act, 2013 in compliance with second proviso to sub-section (5) of Section 135 of the said Act. Accordingly, reporting under clause 3(xx)(a) of the Order is not applicable for the year.
- (b) In respect of ongoing projects, the Company has transferred unspent CSR amount as at the end of the previous financial year, to a Special account within a period of 30 days from the end of the said financial year in compliance with the provision of section 135(6) of the Companies Act, 2013.

In respect of ongoing projects, the Company has not transferred the unspent CSR amount as at the Balance Sheet date out of the amounts that was required to be spent during the year, to a Special Account in compliance with the provision of sub-section (6) of section 135 of the said Act till the date of our report since the time period for such transfer, i.e., 30 days from the end of the financial year has not elapsed till the date of our report.

For DELOITTE HASKINS & SELLS LLP

Chartered Accountants

(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria

Partner

(Membership No.060408)

UDIN:

Place: Bengaluru

Date: April 17, 2025

INFOSYS LIMITED

Standalone Financial Statements

under Indian Accounting Standards (Ind AS)

for the year ended March 31, 2025

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(In ₹ crore)

Balance Sheet as at	Note No.	March 31, 2025	March 31, 2024
ASSETS			
Non-current assets			
Property, plant and equipment	2.1	10,070	10,813
Right-of-use assets	2.3	3,078	3,303
Capital work-in-progress	2.4	778	277
Goodwill	2.2	211	211
Financial assets			
Investments	2.5	27,371	23,352
Loans	2.6	26	34
Other financial assets	2.7	2,350	1,756
Deferred tax assets (net)	2.17	497	-
Income tax assets (net)	2.17	1,164	2,583
Other non-current assets	2.10	2,223	1,669
Total non - current assets		47,768	43,998
Current assets			
Financial assets			
Investments	2.5	11,147	11,307
Trade receivables	2.8	26,413	25,152
Cash and cash equivalents	2.9	14,265	8,191
Loans	2.6	207	208
Other financial assets	2.7	12,569	10,129
Income tax assets (net)	2.17	2,949	6,329
Other current assets	2.10	9,618	9,636
Total current assets		77,168	70,952
Total assets		124,936	114,950
EQUITY AND LIABILITIES			
Equity			
Equity share capital	2.12	2,076	2,075
Other equity		85,256	79,101
Total equity		87,332	81,176
LIABILITIES			
Non-current liabilities			
Financial liabilities			
Lease liabilities	2.3	2,694	3,088
Other financial liabilities	2.13	1,991	1,941
Deferred tax liabilities (net)	2.17	1,062	1,509
Other non-current liabilities	2.15	95	150
Total non - current liabilities		5,842	6,688
Current liabilities			
Financial liabilities			
Lease liabilities	2.3	765	678
Trade payables	2.14		
Total outstanding dues of micro enterprises and small enterprises		8	92
Total outstanding dues of creditors other than micro enterprises and small enterprises		2,720	2,401
Other financial liabilities	2.13	14,101	11,808
Other current liabilities	2.15	9,159	7,681
Provisions	2.16	993	1,464
Income tax liabilities (net)	2.17	4,016	2,962
Total current liabilities		31,762	27,086
Total equity and liabilities		124,936	114,950

The accompanying notes form an integral part of the standalone financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

for and on behalf of the Board of Directors of Infosys Limited

Chartered Accountants

Firm's Registration No:

117366W/W-100018

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

(In ₹ crore except equity share and per equity share data)

Statement of Profit and Loss for the	Note No.	Year ended March 31,	
		2025	2024
Revenue from operations	2.18	136,592	128,933
Other income, net	2.19	4,782	7,417
Total income		141,374	136,350
Expenses			
Employee benefit expenses	2.20	67,466	65,139
Cost of technical sub-contractors		19,353	18,638
Travel expenses		1,467	1,372
Cost of software packages and others	2.20	9,617	6,891
Communication expenses		448	489
Consultancy and professional charges		1,245	1,059
Depreciation and amortization expenses	2.1, 2.2.2, 2.3	2,619	2,944
Finance cost		221	277
Other expenses	2.20	3,497	3,588
Total expenses		105,933	100,397
Profit before tax		35,441	35,953
Tax expense:			
Current tax	2.17	10,836	7,306
Deferred tax	2.17	(963)	1,413
Profit for the year		25,568	27,234
Other comprehensive income			
<i>Items that will not be reclassified subsequently to profit or loss</i>			
Remeasurement of the net defined benefit liability/asset, net	2.17 & 2.21	(81)	128
Equity instruments through other comprehensive income, net	2.5 & 2.17	19	19
<i>Items that will be reclassified subsequently to profit or loss</i>			
Fair value changes on derivatives designated as cash flow hedge, net	2.11 & 2.17	(24)	11
Fair value changes on investments, net	2.5 & 2.17	191	129
Total other comprehensive income/ (loss), net of tax		105	287
Total comprehensive income for the year		25,673	27,521
Earnings per equity share			
Equity shares of par value ₹5/- each			
Basic (in ₹ per share)	2.22	61.58	65.62
Diluted (in ₹ per share)	2.22	61.46	65.56
Weighted average equity shares used in computing earnings per equity share			
Basic (in shares)	2.22	4,151,936,905	4,150,099,796
Diluted (in shares)	2.22	4,159,905,476	4,153,994,624

The accompanying notes form an integral part of the standalone financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No:

117366W/W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

Statement of Changes in Equity

(In ₹ crore)

Particulars	Statement of Changes in Equity (in crore)												
	Equity Share Capital	Reserves & Surplus				Other Equity			Other comprehensive income			Total equity attributable to equity holders of the Company	
		Capital reserve	Other reserves ⁽²⁾	Capital redemption reserve	Securities Premium	Retained earnings	General reserve	Share Options Outstanding Account	Special Economic Zone Re-investment reserve ⁽¹⁾	Equity Instruments through other comprehensive income	Effective portion of Cash flow hedges		Other items of other comprehensive income / (loss)
Balance as at April 1, 2023	2,074	54	2,862	169	133	52,183	2	878	9,654	260	(5)	(519)	67,745
Changes in equity for the year ended March 31, 2024													
Profit for the year	-	-	-	-	-	27,234	-	-	-	-	-	-	27,234
Remeasurement of the net defined benefit liability/asset, net*	-	-	-	-	-	-	-	-	-	-	-	128	128
Equity instruments through other comprehensive income, net* (Refer to note 2.5 and 2.17)	-	-	-	-	-	-	-	-	-	19	-	-	19
Fair value changes on derivatives designated as cash flow hedge, net*(Refer to note 2.11)	-	-	-	-	-	-	-	-	-	-	11	-	11
Fair value changes on investments, net* (Refer to note 2.5 and 2.17)	-	-	-	-	-	-	-	-	-	-	-	129	129
Total comprehensive income for the year	-	-	-	-	-	27,234	-	-	-	19	11	257	27,521
Transferred to Special Economic Zone Re-investment reserve	-	-	-	-	-	(2,957)	-	-	2,957	-	-	-	-
Transferred from Special Economic Zone Re-investment reserve on utilization	-	-	-	-	-	824	-	-	(824)	-	-	-	-
Transferred on account of exercise of stock options (Refer to note 2.12)	-	-	-	-	447	-	-	(447)	-	-	-	-	-
Transferred on account of options not exercised	-	-	-	-	-	-	160	(160)	-	-	-	-	-
Shares issued on exercise of employee stock options (Refer to note 2.12)	1	-	-	-	-	-	-	-	-	-	-	-	1
Employee stock compensation expense (Refer to note 2.12)	-	-	-	-	-	-	-	639	-	-	-	-	639
Income tax benefit arising on exercise of stock options	-	-	-	-	-	-	-	3	-	-	-	-	3
Dividends	-	-	-	-	-	(14,733)	-	-	-	-	-	-	(14,733)
Balance as at March 31, 2024	2,075	54	2,862	169	580	62,551	162	913	11,787	279	6	(262)	81,176

INFOSYS LIMITED
Statement of Changes in Equity (contd.)
(In ₹ crore)

Particulars	Other Equity												Total equity attributable to equity holders of the Company
	Equity Share Capital	Capital reserve		Capital redemption reserve	Reserves & Surplus		General reserve	Share Options Outstanding Account	Special Economic Zone Re-investment reserve ⁽¹⁾	Other comprehensive income			
		Capital reserve	Other reserves ⁽²⁾		Securities Premium	Retained earnings				Equity Instruments through other comprehensive income	Effective portion of Cash flow hedges	Other items of other comprehensive income / (loss)	
Balance as at April 1, 2024	2,075	54	2,862	169	580	62,551	162	913	11,787	279	6	(262)	81,176
Changes in equity for the year ended March 31, 2025													
Profit for the year	-	-	-	-	-	25,568	-	-	-	-	-	-	25,568
Remeasurement of the net defined benefit liability/asset, net*	-	-	-	-	-	-	-	-	-	-	-	(81)	(81)
Equity instruments through other comprehensive income, net* (Refer to note 2.5 and 2.17)	-	-	-	-	-	-	-	-	-	19	-	-	19
Fair value changes on derivatives designated as cash flow hedge, net*(Refer to note 2.11 and 2.17)	-	-	-	-	-	-	-	-	-	-	(24)	-	(24)
Fair value changes on investments, net* (Refer to note 2.5 and 2.17)	-	-	-	-	-	-	-	-	-	-	-	191	191
Total comprehensive income for the year	-	-	-	-	-	25,568	-	-	-	19	(24)	110	25,673
Transferred from Special Economic Zone Re-investment reserve on utilization	-	-	-	-	-	821	-	-	(821)	-	-	-	-
Transferred from Special Economic Zone Re-investment reserve to retained earnings	-	-	-	-	-	2,999	-	-	(2,999)	-	-	-	-
Transferred to Special Economic Zone Re-investment reserve	-	-	-	-	-	(74)	-	-	74	-	-	-	-
Transferred on account of exercise of stock options	-	-	-	-	472	-	-	(472)	-	-	-	-	-
Transferred on account of options not exercised	-	-	-	-	-	-	197	(197)	-	-	-	-	-
Shares issued on exercise of employee stock options (Refer to note 2.12)	1	-	-	-	2	-	-	-	-	-	-	-	3
Employee stock compensation expense (Refer to note 2.12)	-	-	-	-	-	-	-	786	-	-	-	-	786
Income tax benefit arising on exercise of stock options (Refer to note 2.17)	-	-	-	-	-	-	-	39	-	-	-	-	39
Dividends	-	-	-	-	-	(20,345)	-	-	-	-	-	-	(20,345)
Balance as at March 31, 2025	2,076	54	2,862	169	1,054	71,520	359	1,069	8,041	298	(18)	(152)	87,332

**net of tax*

⁽¹⁾ The Special Economic Zone Re-investment Reserve has been created out of the profit of eligible SEZ units in terms of the provisions of Sec 10AA(1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Company for acquiring new plant and machinery for the purpose of its business in the terms of the Sec 10AA(2) of the Income Tax Act, 1961.

⁽²⁾ Profit / loss on transfer of business between entities under common control taken to reserve.

The accompanying notes form an integral part of the standalone financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No:

117366W/W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INFOSYS LIMITED

Statement of Cash Flows

Accounting Policy

Cash flows are reported using the indirect method, whereby profit for the year is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. The Company considers all highly liquid investments that are readily convertible to known amounts of cash to be cash equivalents.

Particulars	Note No.	(In ₹ crore)	
		Year ended March 31,	
		2025	2024
Cash flow from operating activities:			
Profit for the year		25,568	27,234
Adjustments to reconcile net profit to net cash provided by operating activities:			
Depreciation and Amortization	2.1, 2.2.2, 2.3	2,619	2,944
Income tax expense	2.17	9,873	8,719
Impairment loss recognized / (reversed) under expected credit loss model		(7)	130
Finance cost		221	277
Interest and dividend income	2.19	(3,699)	(4,670)
Stock compensation expense	2.12	712	575
Provision for post sale client support		(114)	77
Exchange differences on translation of assets and liabilities, net		170	63
Interest receivable on income tax refund		(327)	(1,934)
Other adjustments		165	235
Changes in assets and liabilities			
Trade receivables and unbilled revenue		(2,994)	(2,933)
Loans, other financial assets and other assets		(1,942)	(1,645)
Trade payables		236	67
Other financial liabilities, other liabilities and provisions		3,529	(117)
Cash generated from operations		34,010	29,022
Income taxes paid		(4,601)	(8,235)
Net cash generated by operating activities		29,409	20,787
Cash flow from investing activities:			
Expenditure on property, plant and equipment		(1,587)	(1,832)
Deposits placed with corporation		(1,026)	(688)
Redemption of deposits placed with corporation		593	522
Interest and dividend received		1,672	1,441
Dividend received from subsidiary		1,522	2,976
Loan given to subsidiaries		(10)	-
Loan repaid by subsidiaries		-	4
Investment in subsidiaries		(4,361)	(63)
Payment towards acquisition of entities		(184)	-
Receipt / (payment) towards business transfer for entities under common control		-	35
Receipt / (payment) from entities under liquidation		-	80
Other receipts		2	123
Payments to acquire investments			
Liquid mutual fund units		(66,637)	(57,606)
Commercial papers		(6,058)	(9,405)
Certificates of deposit		(6,138)	(7,011)
Non-convertible debentures		(3,240)	(1,526)
Other investments		(25)	(2)
Proceeds on sale of investments			
Tax free bonds and government bonds		105	150
Liquid mutual fund units		67,597	56,124
Non-convertible debentures		2,376	955
Certificates of deposit		5,984	6,962
Commercial papers		7,260	5,475
Government Securities		200	5
Other investments		12	20
Net cash used in investing activities		(1,943)	(3,261)

(In ₹ crore)

Particulars	Note No.	Year ended March 31,	
		2025	2024
Cash flow from financing activities:			
Payment of lease liabilities	2.3	(859)	(850)
Shares issued on exercise of employee stock options		3	1
Other payments		(186)	(243)
Payment of dividends		(20,337)	(14,733)
Net cash used in financing activities		(21,379)	(15,825)
Net increase / (decrease) in cash and cash equivalents		6,087	1,701
Effect of exchange differences on translation of foreign currency cash and cash equivalents		(13)	(44)
Cash and cash equivalents at the beginning of the year	2.9	8,191	6,534
Cash and cash equivalents at the end of the year	2.9	14,265	8,191
Supplementary information:			
Restricted cash balance	2.9	45	44

The accompanying notes form an integral part of the standalone financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No:

117366W/W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INFOSYS LIMITED

Overview and Notes to the Standalone Financial Statements

1. Overview

1.1 Company overview

Infosys Limited ('the Company' or Infosys) provides consulting, technology, outsourcing and next-generation digital services, to enable clients to execute strategies for their digital transformation. Infosys strategic objective is to build a sustainable organization that remains relevant to the agenda of clients, while creating growth opportunities for employees and generating profitable returns for investors. Infosys strategy is to be a navigator for our clients as they ideate, plan and execute on their journey to a digital future.

The Company is a public limited company incorporated and domiciled in India and has its registered office at Electronics City, Hosur Road, Bengaluru 560100, Karnataka, India. The company has its primary listings on the BSE Ltd. and National Stock Exchange of India Limited. The Company's American Depositary Shares (ADS) representing equity shares are listed on the New York Stock Exchange (NYSE).

The standalone financial statements are approved for issue by the Company's Board of Directors on April 17, 2025.

1.2 Basis of preparation of financial statements

These standalone financial statements are prepared in accordance with the provisions of the Companies Act, 2013 ("the Act"), guidelines issued by the Securities and Exchange Board of India (SEBI) and Indian Accounting Standard (Ind AS) under the historical cost convention on accrual basis except for certain financial instruments which are measured at fair values, defined benefit liability/(asset) which is recognized at the present value of defined benefit obligation less fair value of plan assets. The Ind AS are prescribed under Section 133 of the Act read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 and relevant amendment rules issued thereafter.

Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use. The material accounting policy information used in preparation of the audited condensed standalone interim financial statements have been discussed in the respective notes.

As the year to date figures are taken from the source and rounded to the nearest digits, the figures reported for the previous quarters might not always add up to the year to date figures reported in this statement.

1.3 Use of estimates and judgments

The preparation of the financial statements in conformity with Ind AS requires the management to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and reported amounts of revenues and expenses during the period. The application of accounting policies that require critical accounting estimates involving complex and subjective judgments and the use of assumptions in these financial statements have been disclosed in Note no. 1.4. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates and judgements are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the standalone financial statements.

1.4 Critical accounting estimates and judgments

a. Revenue recognition

The Company's contracts with customers include promises to transfer multiple products and services to a customer. Revenues from customer contracts are considered for recognition and measurement when the contract has been approved, in writing, by the parties to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. The Company assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables, and allocation of transaction price to these distinct performance obligations involves significant judgement.

Fixed price maintenance revenue is recognized ratably on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period. Revenue from fixed price maintenance contract is recognized ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and Company's costs to fulfil the contract is not even through the period of the contract because the services are generally discrete in nature and not repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables.

The Company uses the percentage-of-completion method in accounting for other fixed-price contracts. Use of the percentage-of-completion method requires the Company to determine the actual efforts or costs expended to date as a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Company is acting as an agent between the customer and the vendor, and gross when the Company is the principal for the transaction. In doing so, the Company first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Company considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

b. Income taxes

The Company's two major tax jurisdictions are India and the United States, though the Company also files tax returns in other overseas jurisdictions.

Significant judgments are involved in determining the provision for income taxes, including amount expected to be paid/recovered for uncertain tax positions.

In assessing the realizability of deferred income tax assets, Management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. Management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, management believes that the company will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced. (Refer to note 2.17)

c. Property, plant and equipment

Property, plant and equipment represent a significant proportion of the asset base of the Company. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of Company's assets are determined by the management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology. (Refer to note 2.1)

2. Notes to the Standalone Financial Statements

2.1 PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

Property, plant and equipment are stated at cost, less accumulated depreciation and impairment, if any. Costs directly attributable to acquisition are capitalized until the property, plant and equipment are ready for use, as intended by the Management. The charge in respect of periodic depreciation is derived at after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The Company depreciates property, plant and equipment over their estimated useful lives using the straight-line method.

The estimated useful lives of assets are as follows:

Building ⁽¹⁾	22-25 years
Plant and machinery ⁽¹⁾	5 years
Office equipment	5 years
Computer equipment ⁽¹⁾	3-5 years
Furniture and fixtures ⁽¹⁾	5 years
Vehicles ⁽¹⁾	5 years
Leasehold improvements	Lower of useful life of the asset or lease term

⁽¹⁾ Based on technical evaluation, the Management believes that the useful lives as given above best represent the period over which Management expects to use these assets. Hence, the useful lives for these assets is different from the useful lives as prescribed under Part C of Schedule II of the Companies Act 2013.

Depreciation methods, useful lives and residual values are reviewed periodically, including at each financial year end. The useful lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology.

Advances paid towards the acquisition of property, plant and equipment outstanding at each Balance Sheet date is classified as capital advances under other non-current assets and the cost of assets not ready to use before such date are disclosed under 'Capital work-in-progress'. Subsequent expenditures relating to property, plant and equipment is capitalized only when it is probable that future economic benefits associated with these will flow to the Company and the cost of the item can be measured reliably. The cost and related accumulated depreciation are eliminated from the financial statements upon sale or retirement of the asset.

Impairment

Property, plant and equipment are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in the Statement of Profit and Loss is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in the Statement of Profit and Loss if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated depreciation) had no impairment loss been recognized for the asset in prior years.

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2025 are as follows:

(In ₹ crore)									
Particulars	Land-Freehold	Buildings ⁽¹⁾⁽²⁾	Plant and machinery ⁽²⁾	Office Equipment ⁽²⁾	Computer equipment ⁽²⁾	Furniture and fixtures ⁽²⁾	Leasehold Improvements	Vehicles	Total
Gross carrying value as at April 1, 2024	1,430	10,679	3,214	1,370	7,379	2,160	963	45	27,240
Additions	47	32	45	97	1,013	47	68	2	1,351
Deletions**	-	(90)	(21)	(44)	(475)	(81)	(250)	(1)	(962)
Gross carrying value as at March 31, 2025	1,477	10,621	3,238	1,423	7,917	2,126	781	46	27,629
Accumulated depreciation as at April 1, 2024	-	(4,575)	(2,732)	(1,139)	(5,497)	(1,709)	(733)	(42)	(16,427)
Depreciation	-	(402)	(176)	(99)	(1,034)	(166)	(125)	(2)	(2,004)
Accumulated depreciation on deletions**	-	13	20	43	469	79	247	1	872
Accumulated depreciation as at March 31, 2025	-	(4,964)	(2,888)	(1,195)	(6,062)	(1,796)	(611)	(43)	(17,559)
Carrying value as at April 1, 2024	1,430	6,104	482	231	1,882	451	230	3	10,813
Carrying value as at March 31, 2025	1,477	5,657	350	228	1,855	330	170	3	10,070

** During the Year ended March 31, 2025, certain assets which were not in use having gross book value of ₹411 crore (net book value: Nil) were retired.

The changes in the carrying value of property, plant and equipment for the Year ended March 31, 2024 are as follows:

(In ₹ crore)									
Particulars	Land-Freehold	Buildings ⁽¹⁾⁽²⁾	Plant and machinery ⁽²⁾	Office Equipment ⁽²⁾	Computer equipment ⁽²⁾	Furniture and fixtures ⁽²⁾	Leasehold Improvements	Vehicles	Total
Gross carrying value as at April 1, 2023	1,429	10,445	3,144	1,314	7,235	2,129	968	45	26,709
Additions	1	289	119	90	765	100	70	1	1,435
Additions through business transfer (Refer to note 2.5)	-	-	-	2	12	8	12	-	34
Deletions*	-	(55)	(49)	(36)	(633)	(77)	(87)	(1)	(938)
Gross carrying value as at March 31, 2024	1,430	10,679	3,214	1,370	7,379	2,160	963	45	27,240
Accumulated depreciation as at April 1, 2023	-	(4,223)	(2,558)	(1,060)	(4,977)	(1,549)	(646)	(40)	(15,053)
Depreciation	-	(407)	(223)	(114)	(1,144)	(230)	(171)	(3)	(2,292)
Accumulated depreciation on deletions*	-	55	49	35	624	70	84	1	918
Accumulated depreciation as at March 31, 2024	-	(4,575)	(2,732)	(1,139)	(5,497)	(1,709)	(733)	(42)	(16,427)
Carrying value as at April 1, 2023	1,429	6,222	586	254	2,258	580	322	5	11,656
Carrying value as at March 31, 2024	1,430	6,104	482	231	1,882	451	230	3	10,813

*During the year ended March 31, 2024, certain assets which were not in use having gross book value of ₹646 crore (net book value: Nil), were retired.

⁽¹⁾ Buildings include ₹250/- being the value of five shares of ₹50/- each in Mittal Towers Premises Co-operative Society Limited.

⁽²⁾ Includes certain assets provided on cancellable operating lease to subsidiaries.

The aggregate depreciation has been included under depreciation and amortization expense in the statement of Profit and Loss.

Repairs and maintenance costs are recognized in the statement of Profit and Loss when incurred.

Tangible assets provided on operating lease to subsidiaries as at March 31, 2025 and March 31, 2024 are as follows:

Particulars	Cost	Accumulated depreciation	(In ₹ crore)
			Net book value
Land	32	-	32
	32	-	32
Buildings	333	150	183
	333	138	195
Plant and machinery	36	34	2
	36	34	2
Furniture and fixtures ⁽¹⁾	28	25	3
	29	25	4
Computer Equipment	2	2	-
	2	2	-
Leasehold Improvement	40	30	10
	40	24	16
Office equipment ⁽¹⁾	22	20	2
	23	20	3

⁽¹⁾ During the year ended March 31, 2025, certain assets provided on operating lease which were not in use having gross book value of ₹2 crore (net book value: Nil) were retired.

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Aggregate depreciation charged on above assets	21	26

The rental income from subsidiary in current year is ₹ 75 crore and in last year it was ₹ 78 crore.

2.2 GOODWILL AND INTANGIBLE ASSETS

2.2.1 Goodwill

Following is a summary of changes in the carrying amount of goodwill:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Carrying value at the beginning	211	211
Carrying value at the end	211	211

The allocation of goodwill to operating segments as at March 31, 2025 and March 31, 2024 is as follows:

Segment	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Financial services	64	64
Retail	34	34
Communication	28	28
Energy, Utilities, Resources and Services	27	27
Manufacturing	21	21
	174	174
Operating segments without significant goodwill	37	37
Total	211	211

2.2.2 Other Intangible Assets

Accounting Policy

Intangible assets are stated at cost less accumulated amortization and impairment. Intangible assets are amortized over their respective individual estimated useful lives on a straight-line basis, from the date that they are available for use. The estimated useful life of an identifiable intangible asset is based on a number of factors including the effects of obsolescence, demand, competition, and other economic factors (such as the stability of the industry, and known technological advances), and the level of maintenance expenditures required to obtain the expected future cash flows from the asset. Amortization methods and useful lives are reviewed periodically including at each financial year end.

Research costs are expensed as incurred. Software product development costs are expensed as incurred unless technical and commercial feasibility of the project is demonstrated, future economic benefits are probable, the Company has an intention and ability to complete and use or sell the software and the costs can be measured reliably. The costs which can be capitalized include the cost of material, direct labor, overhead costs that are directly attributable to prepare the asset for its intended use.

The changes in the carrying value of acquired intangible assets for the year ended March 31, 2025 are as follows

Particulars	(In ₹ crore)				
	Customer related	Software related	Trade name related	Others	Total
Gross carrying value as at April 1, 2024	113	54	26	26	219
Deletions	-	-	-	-	-
Gross carrying value as at March 31, 2025	113	54	26	26	219
Accumulated amortization as at April 1, 2024	(113)	(54)	(26)	(26)	(219)
Amortization expense	-	-	-	-	-
Accumulated amortization on deletions	-	-	-	-	-
Accumulated amortization as at March 31, 2025	(113)	(54)	(26)	(26)	(219)
Carrying value as at March 31, 2025	-	-	-	-	-
Carrying value as at April 1, 2024	-	-	-	-	-

Following are the changes in the carrying value of acquired intangible assets for the year ended March 31, 2024:

Particulars	(In ₹ crore)				
	Customer related	Software related	Trade name related	Others	Total
Gross carrying value as at April 1, 2023	113	54	26	26	219
Deletions	-	-	-	-	-
Gross carrying value as at March 31, 2024	113	54	26	26	219
Accumulated amortization as at April 1, 2023	(113)	(51)	(26)	(26)	(216)
Amortization expense	-	(3)	-	-	(3)
Accumulated amortization on deletions	-	-	-	-	-
Accumulated amortization as at March 31, 2024	(113)	(54)	(26)	(26)	(219)
Carrying value as at March 31, 2024	-	-	-	-	-
Carrying value as at April 1, 2023	-	3	-	-	3
Estimated Useful Life (in years)	7	2	5	5	
Estimated Remaining Useful Life (in years)	-	-	-	-	

The amortization expense has been included under depreciation and amortization expense in the Standalone Statement of Profit and Loss.

Research and Development Expenditure

Research and Development expense recognized in net profit in the statement of profit and loss for the year ended March 31, 2025 and March 31, 2024 is ₹850 crore and ₹695 crore, respectively.

2.3 LEASES

Accounting Policy

The Company as a lessee

The Company's lease asset classes primarily consist of leases for land, buildings and computers. The Company assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether: (i) the contract involves the use of an identified asset (ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Company has the right to direct the use of the asset.

At the date of commencement of the lease, the Company recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Company recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

As a lessee, the Company determines the lease term as the non-cancellable period of a lease adjusted with any option to extend or terminate the lease, if the use of such option is reasonably certain. The Company makes an assessment on the expected lease term on a lease-by-lease basis and thereby assesses whether it is reasonably certain that any options to extend or terminate the contract will be exercised. In evaluating the lease term, the Company considers factors such as any significant leasehold improvements undertaken over the lease term, costs relating to the termination of the lease and the importance of the underlying asset to Infosys's operations taking into account the location of the underlying asset and the availability of suitable alternatives. The lease term in future periods is reassessed to ensure that the lease term reflects the current economic circumstances.

Certain lease arrangements include the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. Right-of-use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related right of use asset if the Company changes its assessment if whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

The Company as a lessor

Leases for which the Company is a lessor is classified as a finance or operating lease. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

When the Company is an intermediate lessor, it accounts for its interests in the head lease and the sublease separately. The sublease is classified as a finance or operating lease by reference to the right-of-use asset arising from the head lease.

For operating leases, rental income is recognized on a straight line basis over the term of the relevant lease.

Following are the changes in the carrying value of right of use assets for the year ended March 31, 2025:

Particulars	Category of ROU asset			(In ₹ crore)
	Land	Buildings	Computers	Total
Balance as at April 1, 2024	534	2,266	503	3,303
Additions*	-	430	353	783
Deletions	-	(181)	(207)	(388)
Depreciation	(4)	(410)	(206)	(620)
Balance as at March 31, 2025	530	2,105	443	3,078

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right of use assets for the year ended March 31, 2024:

Particulars	Category of ROU asset			(In ₹ crore)
	Land	Buildings	Computers	Total
Balance as at April 1, 2023	548	2,669	344	3,561
Additions*	-	336	420	756
Deletions	(10)	(169)	(92)	(271)
Impairment	-	(88)	-	(88)
Depreciation	(4)	(482)	(169)	(655)
Balance as at March 31, 2024	534	2,266	503	3,303

* Net of adjustments on account of modifications and lease incentives

The aggregate depreciation expense on ROU assets is included under depreciation and amortization expense in the statement of Profit and Loss.

The following is the break-up of current and non-current lease liabilities as at March 31, 2025 and March 31, 2024:

Particulars	As at		(In ₹ crore)
	March 31, 2025	March 31, 2024	
Current lease liabilities	765	678	
Non-current lease liabilities	2,694	3,088	
Total	3,459	3,766	

The movement in lease liabilities during the year ended March 31, 2025 and March 31, 2024 is as follows :

Particulars	As at		(In ₹ crore)
	March 31, 2025	March 31, 2024	
Balance at the beginning	3,766	4,266	
Additions	718	590	
Finance cost accrued during the period	162	166	
Deletions	(394)	(413)	
Payment of lease liabilities	(859)	(852)	
Translation Difference	66	9	
Balance at the end	3,459	3,766	

The table below provides details regarding the contractual maturities of lease liabilities as at March 31, 2025 and March 31, 2024 on an undiscounted basis:

Particulars	As at		(In ₹ crore)
	March 31, 2025	March 31, 2024	
Less than one year	812	803	
One to five years	2,152	2,735	
More than five years	990	819	
Total	3,954	4,357	

The Company does not face a significant liquidity risk with regard to its lease liabilities as the current assets are sufficient to meet the obligations related to lease liabilities as and when they fall due.

Rental expense recorded for short-term leases was ₹19 crore and ₹16 crore for the year ended March 31, 2025 and March 31, 2024.

Leases not yet commenced to which Company is committed is ₹66 crore for a lease term up to 5 years.

The following is the movement in the net investment in lease during the year ended March 31, 2025 and March 31, 2024:

Particulars	As at		(In ₹ crore)
	March 31, 2025	March 31, 2024	
Balance at the beginning	319	131	
Addition	268	193	
Interest income accrued during the period	11	6	
Lease receipts	(133)	(8)	
Translation Difference	4	(3)	
Balance at the end	469	319	

2.4 CAPITAL WORK -IN-PROGRESS

Changes in capital work-in-progress are as follows:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Balance at the beginning	277	275
Additions during the year	1,805	1,436
Capitalized during the year	(1,304)	(1,434)
Balance at the end	778	277

The capital work-in-progress ageing schedule for the year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)				
	Amount in CWIP for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	540	204	22	12	778
	243	22	1	11	277
Total Capital work-in-progress	540	204	22	12	778
	243	22	1	11	277

For capital-work-in progress, whose completion is overdue or has exceeded its cost compared to its original plan the project wise details of when the project is expected to be completed is given below as of March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)				
	To be completed in				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress					
NO-SZ-SDB	256	-	-	-	256
	-	-	-	-	-
Total Capital work-in-progress	256	-	-	-	256
	-	-	-	-	-

2.5 INVESTMENTS

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Non-current investments		
Equity instruments of subsidiaries	13,724	9,150
Redeemable Preference shares of subsidiary	2,831	2,831
Preference securities and equity securities	251	206
Target maturity fund units	465	431
Others	61	84
Tax free bonds	1,465	1,731
Government bonds	14	14
Non-convertible debentures	3,320	2,216
Government Securities	5,240	6,689
Total non-current investments	27,371	23,352
Current investments		
Liquid mutual fund units	1,185	1,913
Commercial Papers	3,442	4,507
Certificates of deposit	3,257	2,945
Tax free bonds	154	-
Government Securities	1,560	204
Non-convertible debentures	1,549	1,738
Total current investments	11,147	11,307
Total carrying value	38,518	34,659

Particulars	(In ₹ crore, except as otherwise stated)	
	As at	
	March 31, 2025	March 31, 2024
Non-current investments		
Unquoted		
Investment carried at cost		
Investments in equity instruments of subsidiaries		
Infosys BPM Limited	662	662
33,828 (33,828) equity shares of ₹10,000/- each, fully paid up		
Infosys Technologies (China) Co. Limited	369	369
Infosys Technologies, S. de R.L. de C.V., Mexico	65	65
17,49,99,990 (17,49,99,990) equity shares of MXN 1 par value, fully paid up		
Infosys Technologies (Sweden) AB	76	76
1,000 (1,000) equity shares of SEK 100 par value, fully paid		
Infosys Technologies (Shanghai) Company Limited	1,010	1,010
Infosys Public Services, Inc.	99	99
3,50,00,000 (3,50,00,000) shares of USD 0.50 par value, fully paid		
Infosys Consulting Holding AG	1,323	1,323
23,350 (23,350) - Class A shares of CHF 1,000 each and		
26,460 (26,460) - Class B Shares of CHF 100 each, fully paid up		
EdgeVerve Systems Limited	1,312	1,312
1,31,18,40,000 (1,31,18,40,000) equity shares of ₹10/- each, fully paid up		
Infosys Nova Holdings LLC [#]	3,017	2,637
Infosys Singapore Pte Ltd	4,327	10
2,73,19,411 (1,09,90,000) shares		
Brilliant Basics Holding Limited	59	59
1,346 (1,346) shares of GBP 0.005 each, fully paid up		
Infosys Arabia Limited	2	2
70 (70) shares		
Panaya Inc.	582	582
2 (2) shares of USD 0.01 per share, fully paid up		
Infosys Chile SpA	7	7
100 (100) shares		
WongDoody, Inc.	-	380
Nil (100) shares		
Infosys Luxembourg S.a r.l.	26	26
30,000 (30,000) shares		
Infosys Austria GmbH	-	-
80,000 (80,000) shares of EUR 1 par value, fully paid up		
Infosys Consulting Brazil	337	337
27,50,71,070 (27,50,71,070) shares of BRL 1 per share, fully paid up		
Infosys Consulting S.R.L. (Romania)	34	34
99,183 (99,183) shares of RON 100 per share, fully paid up		
Infosys Limited Bulgaria EOOD	2	2
4,58,000 (4,58,000) shares of BGN 1 per share, fully paid up		
Infosys Germany Holdings GmbH	2	2
25,000 (25,000) shares EUR 1 per share, fully paid up		
Infosys Green Forum	1	1
10,00,000 (10,00,000) shares ₹10 per share, fully paid up		
Infosys Automotive and Mobility GmbH	15	15
Infosys Turkey Bilgi Teknolojileri Limited Sirketi	79	48
2,770,326 (1,508,060) share Turkish Liras 100 (10,000) per share, fully paid up		
Infosys Consulting S.R.L. (Argentina)	2	2
2,94,500 (2,94,500) shares ARS 100 per share, fully paid up		
Infosys Business Solutions LLC	8	8
10,000 (10,000) shares USD 100 per share, fully paid up		
Idunn Information Technology Private Limited	82	82
3,27,788 (3,27,788) shared ₹ 10 per share fully paid up		
InSemi Technology Services Private Limited ⁽²⁾	198	-
10,33,440 (Nil) shares ₹ 10 per share fully paid up		
in-tech Group India Private Limited	15	-
10,000 (Nil) shares ₹ 10 per share fully paid up		
Infosys Services (Thailand) Limited	13	-
49,99,998 (Nil) shares THB 10 per share fully paid up		
Investments in Redeemable Preference shares of subsidiary		
Infosys Singapore Pte Ltd	2,831	2,831
51,02,00,000 (51,02,00,000) shares		
	16,555	11,981

(In ₹ crore, except as otherwise stated)

Particulars	As at	
	March 31, 2025	March 31, 2024
Investments carried at fair value through profit or loss		
Target maturity fund units	465	431
Equity and Preference securities	25	-
Others ⁽¹⁾	61	84
	551	515
Investments carried at fair value through other comprehensive income		
Preference securities	167	91
Equity securities	2	2
	169	93
Quoted		
Investments carried at amortized cost		
Tax free bonds	1,465	1,731
Government bonds	14	14
	1,479	1,745
Investments carried at fair value through other comprehensive income		
Non-convertible debentures	3,320	2,216
Equity Securities	57	113
Government Securities	5,240	6,689
	8,617	9,018
Total non-current investments	27,371	23,352
Current investments		
Unquoted		
Investments carried at fair value through profit or loss		
Liquid mutual fund units	1,185	1,913
	1,185	1,913
Investments carried at fair value through other comprehensive income		
Commercial Papers	3,442	4,507
Certificates of deposit	3,257	2,945
	6,699	7,452
Quoted		
Investments carried at amortized cost		
Tax free bonds	154	-
	154	-
Investments carried at fair value through other comprehensive income		
Government Securities	1,560	204
Non-convertible debentures	1,549	1,738
	3,109	1,942
Total current investments	11,147	11,307
Total investments	38,518	34,659
Aggregate amount of quoted investments	13,359	12,705
Market value of quoted investments (including interest accrued), current	3,266	1,942
Market value of quoted investments (including interest accrued), non-current	10,269	10,978
Aggregate amount of unquoted investments	25,159	21,954
[#] Aggregate amount of impairment in value of investments	94	94
Reduction in the fair value of assets held for sale	854	854
Investments carried at cost	16,555	11,981
Investments carried at amortized cost	1,633	1,745
Investments carried at fair value through other comprehensive income	18,594	18,505
Investments carried at fair value through profit or loss	1,736	2,428

⁽¹⁾ Uncalled capital commitments outstanding as of March 31, 2025 and March 31, 2024 was ₹27 crore and ₹5 crore, respectively.

⁽²⁾ On May 10, 2024, Infosys Ltd acquired 100% voting interests in InSemi Technology Services Private Limited, a semiconductor design services company headquartered in India. This acquisition is expected to strengthen our expertise in semiconductor ecosystem and Engineering R&D services. The business acquisition was conducted by entering into a share purchase agreement for a total consideration of ₹198 crore as on acquisition date, which includes a cash consideration of ₹168 crore and contingent consideration with an estimated fair value of ₹30 crore as on the date of acquisition. At the acquisition date, the key inputs used in determination of the fair value of contingent consideration are the probabilities assigned towards achievement of financial targets and discount rate of 5.9%. The undiscounted value of contingent consideration as of March 31, 2025 was ₹33 crore.

Refer to note 2.11 for accounting policies on financial instruments.

Details of amounts recorded in other comprehensive income:

(In ₹ crore)

	Year ended			Year ended		
	March 31, 2025			March 31, 2024		
	Gross	Tax	Net	Gross	Tax	Net
Net Gain/(loss) on						
Non-convertible debentures	52	(6)	46	55	5	60
Government Securities	155	(14)	141	89	(20)	69
Commercial Paper	3	(1)	2	-	-	-
Certificate of deposits	3	(1)	2	-	-	-
Equity and preference securities	20	(1)	19	10	9	19

(In ₹ crore, except as otherwise stated)

Particulars	(In ₹ crore, except as otherwise stated)		
	As at		
	March 31, 2025	March 31, 2024	
Method of fair valuation:			
Class of investment	Method	(In ₹ crore)	
		Fair value as at	
		March 31, 2025	March 31, 2024
Liquid mutual fund units - carried at fair value through profit or loss	Quoted price	1,185	1,913
Target maturity fund units - carried at fair value through profit or loss	Quoted price	465	431
Tax free bonds and government bonds - carried at amortized cost	Quoted price and market observable inputs	1,796	1,959
Non-convertible debentures - carried at fair value through other comprehensive income	Quoted price and market observable inputs	4,869	3,954
Government securities - carried at fair value through other comprehensive income	Quoted price and market observable inputs	6,800	6,893
Commercial Papers - carried at fair value through other comprehensive income	Market observable inputs	3,442	4,507
Certificates of deposit - carried at fair value through other comprehensive income	Market observable inputs	3,257	2,945
Quoted Equity Securities - carried at fair value through other comprehensive income	Quoted price	57	113
Unquoted equity and preference securities - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	25	-
Unquoted equity and preference securities - carried at fair value through other comprehensive income	Discounted cash flows method, Market multiples method, Option pricing model	169	93
Others - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	61	84
Total		22,126	22,892

Note : Certain quoted investments are classified as Level 2 in the absence of active market for such investments.

2.5.1 Business transfer - IDUNN Information Technology Private Limited

During the year ended March 31, 2024 the Company completed business transfer agreement with IDUNN Information Technology Private Limited by transferring the assets, liabilities and employees to the Company. The details of the assets and liabilities transferred and the consideration received is as below:

Particulars	(In ₹ crore)	
	Total	
Property plant and equipment	34	
Net liabilities	(72)	
Net consideration	(38)	

2.5.2 Details of Investments

The details of investments in preference, equity and other instruments at March 31, 2025 and March 31, 2024 are as follows:

Particulars	(In ₹ crore, except as otherwise stated)	
	As at	
	March 31, 2025	March 31, 2024
<u>Preference Securities</u>		
Investments carried at fair value through other comprehensive income		
Airviz Inc.	-	-
2,89,695 (2,89,695) Series A Preferred Stock, fully paid up, par value USD 0.001 each		
Whoop Inc	129	60
1,10,59,340 (1,10,59,340) Series B Preferred Stock, fully paid up, par value USD 0.0001 each		
Nivetti Systems Private Limited	38	31
2,28,501 (2,28,501) Preferred Stock, fully paid up, par value ₹1/- each		
Investments carried at fair value through profit or loss		
Galaxeye Space Solutions Private Limited	17	-
1,210 (Nil) Series A compulsorily convertible cumulative Preference shares of ₹10/- each, fully paid up		
4Basecare Precision Health Private Limited	8	-
18,850 (Nil) Series A compulsorily convertible cumulative Preference shares of ₹1/- each, fully paid up		
<u>Equity Instrument</u>		
Investments carried at fair value through other comprehensive income		
Merasport Technologies Private Limited	-	-
2,420 (2,420) equity shares at ₹ 8,052/- each, fully paid up, par value ₹10/- each		
Global Innovation and Technology Alliance	2	2
15,000 (15,000) equity shares at ₹1,000/- each, fully paid up, par value ₹1,000/- each		
Ideaforge Technology Limited	57	113
16,47,314 (16,47,314) equity shares at ₹10/-, fully paid up		
Investments carried at fair value through profit or loss		
Galaxeye Space Solutions Private Limited	-	-
10 (Nil) equity shares at ₹1,36,080/- each, fully paid up, par value ₹10/- each		
<u>Others-Investments carried at fair value through profit or loss</u>		
Stellaris Venture Partners India	53	84
Yali Deeptech Fund I	8	-
Total	312	290

2.6 LOANS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non- Current		
Loan to subsidiary ⁽¹⁾	10	-
Loans considered good - Unsecured		
Other Loans		
Loans to employees	16	34
	26	34
Loans credit impaired - Unsecured		
Other Loans		
Loans to employees	-	-
Less: Allowance for credit impairment	-	-
	-	-
Total non - current loans	26	34
Current		
Loans considered good - Unsecured		
Other Loans		
Loans to employees	207	208
Total current loans	207	208
Total Loans	233	242
⁽¹⁾ Includes dues from subsidiaries	10	-

2.7 OTHER FINANCIAL ASSETS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Security deposits ⁽¹⁾	205	205
Unbilled revenues ^{(1)(5)#}	1,904	1,366
Net investment in lease ⁽¹⁾ (Refer to note 2.3)	241	185
Total non-current other financial assets	2,350	1,756
Current		
Security deposits ⁽¹⁾	21	25
Restricted deposits ^{(1)*}	2,716	2,282
Unbilled revenues ^{(1)(5)#}	5,681	4,993
Interest accrued but not due ⁽¹⁾	739	476
Foreign currency forward and options contracts ⁽²⁾⁽³⁾	171	81
Net investment in lease ⁽¹⁾ (Refer to note 2.3)	228	134
Others ⁽¹⁾⁽⁴⁾	3,013	2,138
Total current other financial assets	12,569	10,129
Total other financial assets	14,919	11,885
⁽¹⁾ Financial assets carried at amortized cost	14,748	11,804
⁽²⁾ Financial assets carried at fair value through other comprehensive income	28	23
⁽³⁾ Financial assets carried at fair value through Profit or Loss	143	58
⁽⁴⁾ Includes dues from subsidiaries	2,863	2,052
⁽⁵⁾ Includes dues from subsidiaries	165	153

* Restricted deposits represent deposit with financial institutions to settle employee related obligations as and when they arise during the normal course of business.

Classified as financial asset as right to consideration is unconditional and is due only after a passage of time.

2.8 TRADE RECEIVABLES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Current		
Trade Receivable considered good - Unsecured ⁽¹⁾	26,807	25,575
Less: Allowance for expected credit loss	394	423
Trade Receivable considered good - Unsecured	26,413	25,152
Trade Receivable - credit impaired - Unsecured	169	157
Less: Allowance for credit impairment	169	157
Trade Receivable - credit impaired - Unsecured	-	-
Total trade receivables ⁽²⁾	26,413	25,152
⁽¹⁾ Includes dues from subsidiaries	250	259
⁽²⁾ Includes dues from companies where directors are interested	-	-

Trade receivables ageing schedule for the year ended as on March 31, 2025 and March 31, 2024:

(In ₹ crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables – considered good	20,082	6,458	80	150	31	6	26,807
	18,724	6,175	219	394	62	1	25,575
Undisputed Trade receivables – credit impaired	-	5	4	2	5	87	103
	3	12	7	5	3	81	111
Disputed Trade receivables – considered good	-	-	-	-	-	-	-
	-	-	-	-	-	-	-
Disputed Trade receivables – credit impaired	-	-	-	42	23	1	66
	-	1	21	22	1	1	46
	20,082	6,463	84	194	59	94	26,976
	18,727	6,188	247	421	66	83	25,732
Less: Allowance for credit loss							563
							580
Total Trade Receivables							26,413
							25,152

2.9 CASH AND CASH EQUIVALENTS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Balances with banks		
In current and deposit accounts	14,265	8,191
Cash on hand	-	-
Total Cash and cash equivalents	14,265	8,191
Balances with banks in unpaid dividend accounts	45	37
Deposit with more than 12 months maturity	-	-

Cash and cash equivalents as at March 31, 2025 and March 31, 2024 include restricted cash and bank balances of ₹45 crore and ₹44 crore, respectively.

The deposits maintained by the Company with banks comprise of time deposits, which can be withdrawn by the Company at any point without prior notice or penalty on the principal.

2.10 OTHER ASSETS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Capital advances	206	151
Advances other than capital advances		
Others		
Prepaid expenses	154	68
Defined benefit plan assets (Refer note no 2.21)	257	9
Deferred contract cost		
Cost of obtaining a contract	299	88
Cost of fulfillment	676	640
Unbilled revenues ⁽²⁾	119	58
Withholding taxes and others ⁽³⁾	512	655
Total non-current other assets	2,223	1,669
Current		
Advances other than capital advances		
Payment to vendors for supply of goods	373	325
Others		
Prepaid expenses ⁽¹⁾	2,003	1,886
Unbilled revenues ⁽²⁾	4,284	4,397
Deferred contract cost		
Cost of obtaining a contract	212	154
Cost of fulfillment	428	266
Withholding taxes and others ⁽³⁾	2,309	2,593
Other receivables ⁽¹⁾	9	15
Total current other assets	9,618	9,636
Total other assets	11,841	11,305
⁽¹⁾ Includes dues from subsidiaries	151	155

⁽²⁾ Classified as non-financial asset as the contractual right to consideration is dependent on completion of contractual milestones.

⁽³⁾ Withholding taxes and others primarily consist of input tax credits and VAT recoverable from tax authorities.

2.11 FINANCIAL INSTRUMENTS

Accounting Policy

2.11.1 Initial recognition

The Company recognizes financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are recognized at fair value on initial recognition, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities, which are not at fair value through profit or loss, are added to the fair value on initial recognition. Regular way purchase and sale of financial assets are accounted for at trade date.

2.11.2 Subsequent measurement

a. Non-derivative financial instruments

(i) Financial assets carried at amortized cost

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

(ii) Financial assets carried at fair value through other comprehensive income (FVOCI)

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The Company has made an irrevocable election for its investments which are classified as equity instruments to present the subsequent changes in fair value in other comprehensive income based on its business model.

(iii) Financial assets carried at fair value through profit or loss (FVTPL)

A financial asset which is not classified in any of the above categories are subsequently fair valued through profit or loss.

(iv) Financial liabilities

Financial liabilities are subsequently carried at amortized cost using the effective interest method, except for contingent consideration recognized in a business combination which is subsequently measured at fair value through profit or loss.

(v) Investment in subsidiaries

Investment in subsidiaries is carried at cost in the separate financial statements.

b. Derivative financial instruments

The Company holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for such contracts is generally a bank.

(i) Financial assets or financial liabilities, carried at fair value through profit or loss.

This category includes derivative financial assets or liabilities which are not designated as hedges.

Although the Company believes that these derivatives constitute hedges from an economic perspective, they may not qualify for hedge accounting under Ind AS 109, Financial Instruments. Any derivative that is either not designated as hedge, or is so designated but is ineffective as per Ind AS 109, is categorized as a financial asset or financial liability, at fair value through profit or loss.

Derivatives not designated as hedges are recognized initially at fair value and attributable transaction costs are recognized in net profit in the Statement of Profit and Loss when incurred. Subsequent to initial recognition, these derivatives are measured at fair value through profit or loss and the resulting exchange gains or losses are included in other income. Assets/ liabilities in this category are presented as current assets/current liabilities if they are either held for trading or are expected to be realized within 12 months after the Balance Sheet date.

(ii) Cash flow hedge

The Company designates certain foreign exchange forward and options contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transactions.

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. Any ineffective portion of changes in the fair value of the derivative is recognized immediately in the net profit in the Statement of Profit and Loss. If the hedging instrument no longer meets the criteria for hedge accounting, then hedge accounting is discontinued prospectively. If the hedging instrument expires or is sold, terminated or exercised, the cumulative gain or loss on the hedging instrument recognized in cash flow hedging reserve till the period the hedge was effective remains in cash flow hedging reserve until the forecasted transaction occurs. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the net profit in the Statement of Profit and Loss upon the occurrence of the related forecasted transaction. If the forecasted transaction is no longer expected to occur, then the amount accumulated in cash flow hedging reserve is reclassified to net profit in the Statement of Profit and Loss.

2.11.3 Derecognition of financial instruments

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under Ind AS 109. A financial liability (or a part of a financial liability) is derecognized from the Company's Balance Sheet when the obligation specified in the contract is discharged or cancelled or expires.

2.11.4 Fair value of financial instruments

In determining the fair value of its financial instruments, the Company uses a variety of methods and assumptions that are based on market conditions and risks existing at each reporting date. The methods used to determine fair value include discounted cash flow analysis, option pricing model, market multiples, available quoted market prices and dealer quotes. All methods of assessing fair value result in general approximation of value, and such value may never actually be realized.

Refer to table 'Financial instruments by category' below for the disclosure on carrying value and fair value of financial assets and liabilities. For financial assets and liabilities maturing within one year from the Balance Sheet date and which are not carried at fair value, the carrying amounts approximate fair value due to the short maturity of these instruments.

2.11.5 Impairment

The Company recognizes loss allowances using the expected credit loss (ECL) model for the financial assets and unbilled revenues which are not fair valued through profit or loss. Loss allowance for trade receivables and unbilled revenues with no significant financing component is measured at an amount equal to lifetime ECL. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL.

The Company determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Company considers current and anticipated future economic conditions relating to industries the Company deals with and the countries where it operates.

The amount of ECLs (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recorded is recognized as an impairment loss or gain in statement of profit and loss.

Financial instruments by category

The carrying value and fair value of financial instruments by categories as at March 31, 2025 are as follows:

							(In ₹ crore)
Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to note 2.9)	14,265	-	-	-	-	14,265	14,265
Investments (Refer to note 2.5)							
Preference securities, Equity securities and others	-	25	61	226	-	312	312
Tax free bonds and government bonds	1,633	-	-	-	-	1,633	1,796 ⁽¹⁾
Liquid mutual fund units	-	-	1,185	-	-	1,185	1,185
Target maturity fund units	-	-	465	-	-	465	465
Commercial Papers	-	-	-	-	3,442	3,442	3,442
Certificates of deposit	-	-	-	-	3,257	3,257	3,257
Non convertible debentures	-	-	-	-	4,869	4,869	4,869
Government Securities	-	-	-	-	6,800	6,800	6,800
Trade receivables (Refer to note 2.8)	26,413	-	-	-	-	26,413	26,413
Loans (Refer to note 2.6)	233	-	-	-	-	233	233
Other financial assets (Refer to note 2.7) ⁽³⁾	14,748	-	143	-	28	14,919	14,839 ⁽²⁾
Total	57,292	25	1,854	226	18,396	77,793	77,876
Liabilities:							
Trade payables (Refer to note 2.14)	2,728	-	-	-	-	2,728	2,728
Lease liabilities (Refer to note 2.3)	3,459	-	-	-	-	3,459	3,459
Other financial liabilities (Refer to note 2.13)	13,593	-	54	-	33	13,680	13,680
Total	19,780	-	54	-	33	19,867	19,867

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on tax free bonds and government bonds carried at amortized cost of ₹80 crore

⁽³⁾ Excludes unbilled revenue on contracts where the right to consideration is dependent on completion of contractual milestones

The carrying value and fair value of financial instruments by categories as at March 31, 2024 were as follows:

Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
(In ₹ crore)							
Assets:							
Cash and cash equivalents (Refer to note 2.9)	8,191	-	-	-	-	8,191	8,191
Investments (Refer to note 2.5)							
Preference securities, Equity securities and others	-	-	84	206	-	290	290
Tax free bonds and government bonds	1,745	-	-	-	-	1,745	1,959
Target maturity fund units	-	-	431	-	-	431	431
Liquid mutual fund units	-	-	1,913	-	-	1,913	1,913
Commercial Papers	-	-	-	-	4,507	4,507	4,507
Certificates of deposit	-	-	-	-	2,945	2,945	2,945
Non convertible debentures	-	-	-	-	3,954	3,954	3,954
Government Securities	-	-	-	-	6,893	6,893	6,893
Trade receivables (Refer to note 2.8)	25,152	-	-	-	-	25,152	25,152
Loans (Refer to note 2.6)	242	-	-	-	-	242	242
Other financial assets (Refer to note 2.7) ⁽³⁾	11,804	-	58	-	23	11,885	11,801
Total	47,134	-	2,486	206	18,322	68,148	68,278
Liabilities:							
Trade payables (Refer to note 2.14)	2,493	-	-	-	-	2,493	2,493
Lease Liabilities (Refer to note 2.3)	3,766	-	-	-	-	3,766	3,766
Other financial liabilities (Refer to note 2.13)	11,569	-	20	-	1	11,590	11,590
Total	17,828	-	20	-	1	17,849	17,849

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on tax free bonds and government bonds carried at amortized cost of ₹84 crore

⁽³⁾ Excludes unbilled revenue on contracts where the right to consideration is dependent on completion of contractual milestones

For trade receivables, trade payables, other assets and payables maturing within one year from the Balance Sheet date, the carrying amounts approximate the fair value due to the short maturity of these instruments.

Fair value hierarchy

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 - Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2025 is as follows:

Particulars	As at March 31, 2025	(In ₹ crore)		
		Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.5)				
Investments in tax free bonds	1,781	1,227	554	-
Investments in government bonds	15	15	-	-
Investments in liquid mutual fund units	1,185	1,185	-	-
Investments in target maturity fund units	465	465	-	-
Investments in certificates of deposit	3,257	-	3,257	-
Investments in commercial papers	3,442	-	3,442	-
Investments in non convertible debentures	4,869	4,869	-	-
Investments in government securities	6,800	6,763	37	-
Investments in equity securities	59	57	-	2
Investments in preference securities	192	-	-	192
Other investments	61	-	-	61
Others				
Derivative financial instruments - gain (Refer to note 2.7)	171	-	171	-
Liabilities				
Derivative financial instruments - loss (Refer to note 2.13)	56	-	56	-
Liability towards contingent consideration (Refer to note 2.12) ⁽¹⁾	31	-	-	31

⁽¹⁾ Discount rate - 6%

During the year ended March 31, 2025, State government securities and non-convertible debentures of ₹36 crore and ₹261 crore were transferred from Level 2 to Level 1 of fair value hierarchy since these were valued based on quoted price. Further Tax free bond of ₹554 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2024 was as follows:

Particulars	As at March 31, 2024	(In ₹ crore)		
		Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.5)				
Investments in tax free bonds	1,944	1,944	-	-
Investments in government bonds	15	15	-	-
Investments in liquid mutual fund units	1,913	1,913	-	-
Investments in target maturity fund units	431	431	-	-
Investments in certificates of deposit	2,945	-	2,945	-
Investments in commercial papers	4,507	-	4,507	-
Investments in non convertible debentures	3,954	3,697	257	-
Investments in government securities	6,893	6,820	73	-
Investments in equity securities	115	113	-	2
Investments in preference securities	91	-	-	91
Other investments	84	-	-	84
Others				
Derivative financial instruments - gain (Refer to note 2.7)	81	-	81	-
Liabilities				
Derivative financial instruments - loss (Refer note 2.13)	21	-	21	-

During the year ended March 31, 2024, tax free bonds and non-convertible debentures of ₹1,986 crore were transferred from Level 2 to Level 1 of fair value hierarchy since these were valued based on quoted price. Further State government securities of ₹73 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs

A one percentage point change in the unobservable inputs used in fair valuation of Level 3 assets and liabilities does not have a significant impact in its value.

Majority of investments of the Company are fair valued based on Level 1 or Level 2 inputs. These investments primarily include investment in liquid mutual fund units, target maturity fund units, tax free bonds, certificates of deposit, commercial papers, treasury bills, government securities, non-convertible debentures, quoted bonds issued by government and quasi-government organizations. The Company invests after considering counterparty risks based on multiple criteria including Tier 1 capital, Capital Adequacy Ratio, Credit Rating, Profitability, NPA levels and Deposit base of banks and financial institutions. These risks are monitored regularly as per Group's risk management program.

Financial risk management

Financial risk factors

The Company's activities expose it to a variety of financial risks: market risk, credit risk and liquidity risk. The Company's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. The primary market risk to the Company is foreign exchange risk. The Company uses derivative financial instruments to mitigate foreign exchange related risk exposures. The Company's exposure to credit risk is influenced mainly by the individual characteristic of each customer and the concentration of risk from the top few customers.

Market risk

The Company operates internationally and a major portion of the business is transacted in several currencies and consequently the Company is exposed to foreign exchange risk through its sales and services in the United States and elsewhere, and purchases from overseas suppliers in various foreign currencies. The Company holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The exchange rate between the Indian rupee and foreign currencies has changed substantially in recent years and may fluctuate substantially in the future. Consequently, the results of the Company's operations are adversely affected as the rupee appreciates/ depreciates against these currencies.

The following table analyses the foreign currency risk from financial assets and liabilities as at March 31, 2025:

Particulars	U.S. dollars	Euro	United Kingdom Pound Sterling	Australian dollars	Other currencies	(In ₹ crore)
						Total
Net financial assets	24,242	9,143	1,943	1,322	2,842	39,492
Net financial liabilities	(11,234)	(2,132)	(977)	(690)	(997)	(16,030)
Total	13,008	7,011	966	632	1,845	23,462

The following table analyses the foreign currency risk from financial assets and liabilities as at March 31, 2024:

Particulars	U.S. dollars	Euro	United Kingdom Pound Sterling	Australian dollars	Other currencies	(In ₹ crore)
						Total
Net financial assets	23,447	6,929	1,940	1,463	2,575	36,354
Net financial liabilities	(9,918)	(1,911)	(663)	(798)	(1,112)	(14,402)
Total	13,529	5,018	1,277	665	1,463	21,952

Sensitivity analysis between Indian Rupee and U.S. dollars

Particulars	Year ended March 31,	
	2025	2024
Impact on the Company's incremental Operating Margins	0.46%	0.46%

Sensitivity analysis is computed based on the changes in the income and expenses in foreign currency upon conversion into functional currency, due to exchange rate fluctuations between the previous reporting period and the current reporting period.

Derivative financial instruments

The Company primarily holds derivative financial instruments such as foreign currency forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for these contracts is generally a bank. These derivative financial instruments are valued based on quoted prices for similar assets and liabilities in active markets or inputs that are directly or indirectly observable in the marketplace.

The details in respect of outstanding foreign currency forward and option contracts are as follows :

Particulars	As at		As at	
	March 31, 2025		March 31, 2024	
	In million	In ₹ crore	In million	In ₹ crore
Derivatives designated as cash flow hedges				
Forward contracts				
In Swiss Franc		53	513	-
In Euro		-	-	30
Option Contracts				
In Euro		341	3,140	236
In Australian dollars		93	500	106
In United Kingdom Pound Sterling		17	188	35
Other derivatives				
Forward contracts				
In U.S. dollars		1,098	9,386	1,223
In Euro		652	6,009	554
In Singapore dollars		133	849	171
In United Kingdom Pound Sterling		26	284	78
In Swiss Franc		51	495	16
In Danish Krone		152	188	100
In New Zealand dollars		37	181	30
In Canadian dollars		-	-	15
In Australian dollars		24	126	14
In Norwegian Krone		167	136	130
In Philippine Peso		-	-	43
In Hongkong dollar		40	44	-
In Hungarian Forint		2,000	44	2,500
In South African rand		-	-	85
Option contracts				
In U.S. dollars		796	6,800	543
In Euro		179	1,648	100
In Australian dollars		11	57	20
Total forwards and option contracts		30,588		26,739

The foreign exchange forward and option contracts mature within 12 months. The table below analyses the derivative financial instruments into relevant maturity groupings based on the remaining period as at the Balance Sheet date:

Particulars	As at	
	March 31, 2025	March 31, 2024
	(In ₹ crore)	(In ₹ crore)
Not later than one month	14,515	9,581
Later than one month and not later than three months	15,175	15,181
Later than three months and not later than one year	898	1,977
Total	30,588	26,739

During the year ended March 31, 2025 and March 31, 2024 the Company has designated certain foreign exchange forward and option contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transactions. The related hedge transactions for balance in cash flow hedge reserve as at March 31, 2025 are expected to occur and reclassified to statement of profit and loss within 3 months.

The Company determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of its forecasted cash flows. Hedge effectiveness is determined at the inception of the hedge relationship, and through periodic prospective effectiveness assessments to ensure that an economic relationship exists between the hedged item and hedging instrument, including whether the hedging instrument is expected to offset changes in cash flows of hedged items.

If the hedge ratio for risk management purposes is no longer optimal but the risk management objective remains unchanged and the hedge continues to qualify for hedge accounting, the hedge relationship will be rebalanced by adjusting either the volume of the hedging instrument or the volume of the hedged item so that the hedge ratio aligns with the ratio used for risk management purposes. Any hedge ineffectiveness is calculated and accounted for in the Statement of Profit or Loss at the time of the hedge relationship rebalancing.

The following table provides the reconciliation of cash flow hedge reserve for the year ended March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Gain / (Loss)		
Balance at the beginning of the year	6	(5)
Gain / (Loss) recognized in other comprehensive income during the year	(5)	8
Amount reclassified to profit and loss during the year	(27)	7
Tax impact on above	8	(4)
Balance at the end of the year	(18)	6

The Company offsets a financial asset and a financial liability when it currently has a legally enforceable right to set off the recognized amounts and the Company intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

The quantitative information about offsetting of derivative financial assets and derivative financial liabilities is as follows:

Particulars	(In ₹ crore)			
	As at			
	March 31, 2025		March 31, 2024	
	Derivative financial asset	Derivative financial liability	Derivative financial asset	Derivative financial liability
Gross amount of recognized financial asset / liability	226	(111)	93	(33)
Amount set off	(55)	55	(12)	12
Net amount presented in Balance Sheet	171	(56)	81	(21)

Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. The maximum exposure to the credit risk at the reporting date is primarily from trade receivables amounting to ₹26,437 crore and ₹25,152 crore as at March 31, 2025 and March 31, 2024, respectively and unbilled revenue amounting to ₹11,988 crore and ₹10,814 crore as at March 31, 2025 and March 31, 2024, respectively. Trade receivables and unbilled revenue are typically unsecured and are derived from revenue from customers majorly located in the United States of America and Europe. Credit risk has always been managed by the Company through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of the customers to which the Company grants credit terms in the normal course of business. The Company uses the expected credit loss model to assess any required allowances; and uses a provision matrix to compute the expected credit loss allowance for trade receivables and unbilled revenues. This matrix takes into account credit reports and other related credit information to the extent available.

The Company's exposure to credit risk is influenced mainly by the individual characteristic of each customer and the concentration of risk from the top few customers. Exposure to customers is diversified and there is no single customer contributing more than 10% of outstanding trade receivables and unbilled revenues.

The following table gives details in respect of percentage of revenues generated from top five customers and top ten customers:

Particulars	(In %)	
	Year ended March 31,	
	2025	2024
Revenue from top five customers	12.0	11.6
Revenue from top ten customers	19.9	18.9

Credit risk exposure

The Company's credit period generally ranges from 30-75 days.

The allowance for lifetime expected credit loss on customer balances recognized for the year ended March 31, 2025 and March 31, 2024 is ₹63 crore and ₹108 crore, respectively.

The movement in credit loss allowance on customer balance is as follows:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Balance at the beginning	721	699
Impairment loss recognized/ (reversed), net	63	108
Amounts written off	(69)	(93)
Translation differences	(13)	7
Balance at the end	702	721

The gross carrying amount of a financial asset is written off (either partially or in full) when there is no realistic prospect of recovery.

Credit risk on cash and cash equivalents is limited as the Company generally invest in deposits with banks with high ratings assigned by international and domestic credit rating agencies. Ratings are monitored periodically and the Company has considered the latest available credit ratings as at the date of approval of these financial statements.

The investments of the Company primarily include investment in liquid mutual fund units, target maturity fund units, tax free bonds, certificates of deposit, commercial paper, treasury bills, government securities, non-convertible debentures, quoted bonds issued by government and quasi government organizations. The Company invests after considering counterparty risks based on multiple criteria including Tier I Capital, Capital Adequacy Ratio, credit rating, profitability, NPA levels and deposit base of banks and financial institutions. These risks are monitored regularly as per Group's risk management program.

Liquidity risk

Liquidity risk is defined as the risk that the Company will not be able to settle or meet its obligations on time.

The Company's principal sources of liquidity are cash and cash equivalents and the cash flow that is generated from operations. The Company has no outstanding borrowings. The Company believes that the working capital is sufficient to meet its current requirements.

As at March 31, 2025, the Company had a working capital of ₹45406 crore including cash and cash equivalents of ₹14265 crore and current investments of ₹11147 crore. As at March 31, 2024, the Company had a working capital of ₹43,866 crore including cash and cash equivalents of ₹8,191 crore and current investments of ₹11,306 crore.

As at March 31, 2025 and March 31, 2024, the outstanding compensated absences were ₹2412 crore and ₹2,159 crore, respectively, which have been substantially funded. Accordingly, no liquidity risk is perceived.

Refer to Note 2.3 for remaining contractual maturities of lease liabilities.

The table below provides details regarding the contractual maturities of significant financial liabilities as at March 31, 2025:

Particulars	(In ₹ crore)				
	Less than 1 year	1-2 years	2-4 years	4-7 years	Total
Trade payables	2,728	-	-	-	2,728
Other financial liabilities on an undiscounted basis (Refer to note 2.13)	11,712	1,732	138	11	13,593
Liability towards contingent consideration on an undiscounted basis (Refer to note 2.13)	11	20	-	-	31

The table below provides details regarding the contractual maturities of significant financial liabilities as at March 31, 2024:

Particulars	(In ₹ crore)				
	Less than 1 year	1-2 years	2-4 years	4-7 years	Total
Trade payables	2,493	-	-	-	2,493
Other financial liabilities on an undiscounted basis (Refer to note 2.13)	9,697	1,240	567	67	11,571

2.12 EQUITY

Accounting policy

Ordinary Shares

Ordinary shares are classified as equity share capital. Incremental costs directly attributable to the issuance of new ordinary shares, share options and buyback are recognized as a deduction from equity, net of any tax effects.

Description of reserves

Capital redemption reserve

In accordance with section 69 of the Indian Companies Act, 2013, the Company creates capital redemption reserve equal to the nominal value of the shares bought back as an appropriation from general reserve / retained earnings.

Retained earnings

Retained earnings represent the amount of accumulated earnings of the Company.

Securities premium

The amount received in excess of the par value of equity shares has been classified as securities premium. Amounts have been utilized for bonus issue and share buyback from share premium account.

Share options outstanding account

The Share options outstanding account is used to record the fair value of equity-settled share based payment transactions with employees. The amounts recorded in share options outstanding account are transferred to securities premium upon exercise of stock options and transferred to general reserve on account of stock options not exercised by employees.

Special Economic Zone Re-investment reserve

The Special Economic Zone Re-investment reserve has been created out of the profit of the eligible SEZ unit in terms of the provisions of Sec 10AA (1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Company for acquiring new plant and machinery for the purpose of its business in terms of the provisions of the Sec 10AA (2) of the Income Tax Act, 1961.

Other components of equity

Other components of equity include remeasurement of net defined benefit liability / asset, equity instruments fair valued through other comprehensive income, changes on fair valuation of investments and changes in fair value of derivatives designated as cash flow hedges, net of taxes.

Cash flow hedge reserve

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the Statement of Profit and Loss upon the occurrence of the related forecasted transaction.

2.12.1 EQUITY SHARE CAPITAL

(In ₹ crore, except as otherwise stated)

Particulars	As at	
	March 31, 2025	March 31, 2024
Authorized		
Equity shares, ₹5/- par value		
480,00,00,000 (480,00,00,000) equity shares	2,400	2,400
Issued, Subscribed and Paid-Up		
Equity shares, ₹5/- par value ⁽¹⁾	2,076	2,075
415,32,63,455 (415,08,67,464) equity shares fully paid-up		
	2,076	2,075

⁽¹⁾ Refer to note 2.22 for details of basic and diluted shares

Forfeited shares amounted to ₹1500/- (₹1,500/-)

The Company has only one class of shares referred to as equity shares having a par value of ₹5/-. Each holder of equity shares is entitled to one vote per share. The equity shares represented by American Depository Shares (ADS) carry similar rights to voting and dividends as the other equity shares. Each ADS represents one underlying equity share.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the company in proportion to the number of equity shares held by the shareholders, after distribution of all preferential amounts. However, no such preferential amounts exist currently.

There are no voting, dividend or liquidation rights to the holders of options issued under the company's share option plans.

For details of shares reserved for issue under the employee stock option plan of the Company, refer to the note below.

In the period of five years immediately preceding March 31, 2025:

Buyback

In the period of five years immediately preceding March 31, 2025, the Company had purchased and extinguished a total of 11,62,33,685 fully paid-up equity shares of face value ₹5/- each from the stock exchange. The Company has only one class of equity shares.

Capital allocation policy

Effective from financial year 2025, the Company expects to continue the policy of returning approximately 85% of the free cash flow cumulatively over a 5-year period through a combination of semi-annual dividends and/or share buyback/ special dividends subject to applicable laws and requisite approvals, if any. Under this policy, the Company expects to progressively increase its annual dividend per share (excluding special dividend if any).

Free cash flow is defined as net cash provided by operating activities less capital expenditure as per the consolidated statement of cash flows prepared under IFRS. Dividend and buyback include applicable taxes

The Company's objective when managing capital is to safeguard its ability to continue as a going concern and to maintain an optimal capital structure so as to maximize shareholder value. In order to maintain or achieve an optimal capital structure, the Company may adjust the amount of dividend payment, return capital to shareholders, issue new shares or buy back issued shares. As of March 31, 2025, the Company has only one class of equity shares and has no debt. Consequent to the above capital structure there are no externally imposed capital requirements.

2.12.2 Shareholding of promoter

The details of the shares held by promoters as at March 31, 2025 are as follows:

Promoter name	No. of shares	% of total shares	% Change during the year
Sudha Gopalakrishnan	95,357,000	2.30%	-
Rohan Murty	60,812,892	1.46%	-
S. Gopalakrishnan	31,853,808	0.77%	-
Nandan M. Nilekani	40,783,162	0.98%	-
Akshata Murty	38,957,096	0.94%	-
Asha Dinesh	38,579,304	0.93%	-
Sudha N. Murty	34,550,626	0.83%	-
Rohini Nilekani	34,335,092	0.83%	-
Dinesh Krishnaswamy	32,479,590	0.78%	-
Shreyas Shibulal	19,929,860	0.48%	(6.54%)
N. R. Narayana Murthy	15,145,638	0.36%	-
Nihar Nilekani	12,677,752	0.31%	-
Janhavi Nilekani	8,589,721	0.21%	-
Kumari Shibulal	4,945,935	0.12%	-
Deeksha Dinesh	7,646,684	0.18%	-
Divya Dinesh	7,646,684	0.18%	-
Meghana Gopalakrishnan	14,834,928	0.36%	-
Shruti Shibulal	8,705,651	0.21%	218.01%
S. D. Shibulal	5,208,673	0.13%	-
Promoters Group			
Ekagrah Rohan Murty	1,500,000	0.04%	-
Gaurav Manchanda	5,773,233	0.14%	(53.90%)
Milan Shibulal Manchanda	6,106,302	0.15%	(6.25%)
Nikita Shibulal Manchanda	6,106,302	0.15%	(6.25%)
Bhairavi Madhusudhan Shibulal	5,427,875	0.13%	(9.86%)
Shray Chandra	719,424	0.02%	-
Tanush Nilekani Chandra	3,356,017	0.08%	-

2.12.3 DIVIDEND

The final dividend on shares is recorded as a liability on the date of approval by the shareholders and interim dividends are recorded as a liability on the date of declaration by the Company's Board of Directors. Income tax consequences of dividends on financial instruments classified as equity will be recognized according to where the entity originally recognized those past transactions or events that generated distributable profits.

The Company declares and pays dividends in Indian rupees. Companies are required to pay/distribute dividend after deducting applicable taxes. The remittance of dividends outside India is governed by Indian law on foreign exchange and is also subject to withholding tax at applicable rates.

The amount of per share dividend recognized as distribution to equity shareholders in accordance with Companies act 2013 is as follows:-

Particulars	Year ended March 31,	
	2025	2024
Final dividend for fiscal 2023	-	17.50
Interim dividend for fiscal 2024	-	18.00
Final dividend for fiscal 2024	20.00	-
Special dividend for fiscal 2024	8.00	-
Interim dividend for fiscal 2025	21.00	-

During the year ended March 31, 2025, on account of the final and special dividend for fiscal 2024 and interim dividend for fiscal 2025, the Company has incurred a net cash outflow of ₹20,345 crore.

The Board of Directors in their meeting held on April 17, 2025 recommended a final dividend of ₹22/- per equity share for the financial year ended March 31, 2025. The payment is subject to approval of shareholders in the AGM of the Company to be held on June 25, 2025 and if approved, would result in a net cash outflow of approximately ₹9,137 crore (excluding dividend paid on treasury shares).

The details of shareholders holding more than 5% shares as at March 31, 2025 and March 31, 2024 are set out below:

Name of the shareholder	As at March 31, 2025		As at March 31, 2024	
	Number of shares	% held	Number of shares	% held
Deutsche Bank Trust Company Americas (Depository of ADR's - legal ownership)	43,98,60,715	10.59	44,24,17,564	10.66
Life Insurance Corporation of India	38,81,12,531	9.34	38,59,52,941	9.30

The reconciliation of the number of shares outstanding and the amount of share capital as at March 31, 2025 and March 31, 2024 is set out below:

Particulars	(in ₹ crore, except as stated otherwise)			
	As at March 31, 2025		As at March 31, 2024	
	Number of shares	Amount	Number of shares	Amount
As at the beginning of the period	4,15,08,67,464	2,075	4,14,85,60,044	2,074
Add: Shares issued on exercise of employee stock options	2,395,991	1	23,07,420	1
As at the end of the period	4,15,32,63,455	2,076	4,15,08,67,464	2,075

2.12.4 Employee Stock Option Plan (ESOP):

Accounting Policy

The Company recognizes compensation expense relating to share-based payments in net profit based on estimated fair-values of the awards on the grant date. The estimated fair value of awards is recognized as an expense in the statement of profit and loss on a straight-line basis over the requisite service period for each separately vesting portion of the award as if the award was in-substance, multiple awards with a corresponding increase to share options outstanding account.

Infosys Expanded Stock Ownership Program 2019 (the 2019 Plan):

On June 22, 2019 pursuant to approval by the shareholders in the Annual General Meeting, the Board has been authorized to introduce, offer, issue and provide share-based incentives to eligible employees of the Company and its subsidiaries under the 2019 Plan. The maximum number of shares under the 2019 plan shall not exceed 5,00,00,000 equity shares. To implement the 2019 Plan, up to 4,50,00,000 equity shares may be issued by way of secondary acquisition of shares by Infosys Expanded Stock Ownership Trust. The Restricted Stock Units (RSUs) granted under the 2019 plan shall vest based on the achievement of defined annual performance parameters as determined by the administrator (Nomination and Remuneration Committee). The performance parameters will be based on a combination of relative Total Shareholder Return (TSR) against selected industry peers and certain broader market domestic and global indices and operating performance metrics of the company as decided by administrator. Each of the above performance parameters will be distinct for the purposes of calculation of quantity of shares to vest based on performance. These instruments will generally vest between a minimum of 1 to maximum of 3 years from the grant date.

2015 Stock Incentive Compensation Plan (the 2015 Plan):

On March 31, 2016, pursuant to the approval by the shareholders through postal ballot, the Board was authorized to introduce, offer, issue and allot share-based incentives to eligible employees of the Company and its subsidiaries under the 2015 Plan. The maximum number of shares under the 2015 plan shall not exceed 2,40,38,883 equity shares (this includes 1,12,23,576 equity shares which are held by the trust towards the 2011 Plan as at March 31, 2016). These instruments will generally vest over a period of 4 years. The plan numbers mentioned above are further adjusted with the September 2018 bonus issue.

The equity settled and cash settled RSUs and stock options would vest generally over a period of 4 years and shall be exercisable within the period as approved by the Nomination and Remuneration Committee (NARC). The exercise price of the RSUs will be equal to the par value of the shares and the exercise price of the stock options would be the market price as on the date of grant.

Controlled trust holds 96,55,927 shares and 1,09,16,829 shares as at March 31, 2025 and March 31, 2024, respectively under the 2015 plan. Out of these shares, 200,000 equity shares each have been earmarked for welfare activities of the employees as at March 31, 2025 and March 31, 2024.

The following is the summary of grants during the year ended March 31, 2025 and March 31, 2024:

Particulars	2019 Plan		2015 Plan	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Equity settled RSUs				
Key Management Personnel (KMP)	119,699	141,171	380,842	498,730
Employees other than KMP	3,624,646	4,046,731	1,874,690	4,640,640
	3,744,345	4,187,902	2,255,532	5,139,370
Cash settled RSUs				
Key Management Personnel (KMP)	-	-	-	-
Employees other than KMP	-	-	94,050	176,990
	-	-	94,050	176,990
Total Grants	3,744,345	4,187,902	2,349,582	5,316,360

Notes on grants to KMP:

CEO & MD

Under the 2015 plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee approved the following grants for fiscal 2025. In accordance with such approval the following grants were made effective May 2, 2024.

- 245,679 performance-based RSUs (Annual performance equity grant) of fair value of ₹34.75 crore. These RSUs will vest in line with the employment agreement based on achievement of certain performance targets.
- 14,140 performance-based grant of RSUs (Annual performance equity ESG grant) of fair value of ₹2 crore. These RSUs will vest in line with the employment agreement based on achievement of certain environment, social and governance milestones as determined by the Board.
- 35,349 performance-based grant of RSUs (Annual performance Equity TSR grant) of fair value of ₹5 crore . These RSUs will vest in line with the employment agreement based on Company's performance on cumulative relative TSR over the years and as determined by the Board.

Further, in accordance with the employee agreement which has been approved by the shareholders, the CEO is eligible to receive an annual grant of RSUs of fair value ₹3 crore which will vest overtime in three equal annual installments upon the completion of each year of service from the respective grant date. Accordingly, annual time-based grant of 16,204 RSUs was made effective February 1, 2025 for fiscal 2025.

Though the annual time based grants and annual performance equity TSR grant for the remaining employment term ending on March 31, 2027 have not been granted as of March 31, 2025, since the service commencement date precedes the grant date, the company has recorded employment stock compensation expense in accordance with Ind AS 102, Share based payments. The grant date for this purpose in accordance with Ind AS 102, Share based payments is July 1, 2022.

Under the 2019 plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee, approved performance-based grant of RSUs amounting to ₹10 crore for fiscal 2025 under the 2019 Plan. These RSUs will vest based on achievement of certain performance targets. Accordingly, 70,699 performance based RSU's were granted effective May 2, 2024.

Other KMP

Under the 2015 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved 69,470 time based RSUs to other KMP under the 2015 plan. Time based RSUs will vest over four years.

Under the 2019 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved performance based grants of 49,000 RSUs to other KMPs under the 2019 plan. These RSUs will vest over three years based on achievement of certain performance targets.

The break-up of employee stock compensation expense is as follows:

Particulars	(in ₹ crore)	
	Year ended March 31,	
	2025	2024
Granted to:		
KMP	70	68
Employees other than KMP	642	507
Total ⁽¹⁾	712	575
⁽¹⁾ Cash settled stock compensation expense included in the above	8	5

The activity in the 2015 and 2019 Plan for equity-settled share based payment transactions during the year ended March 31, 2025 and March 31, 2024 is set out as follows:

Particulars	Year ended March 31, 2025		Year ended March 31, 2024	
	Shares arising out of options	Weighted average exercise price (₹)	Shares arising out of options	Weighted average exercise price (₹)
2015 Plan: RSUs				
Outstanding at the beginning	80,76,058	5.00	54,08,018	5.00
Granted	22,55,532	5.00	51,39,370	5.00
Exercised	20,80,865	5.00	18,15,025	5.00
Forfeited and expired	991,261	5.00	6,56,305	5.00
Outstanding at the end	72,59,464	5.00	80,76,058	5.00
Exercisable at the end	6,29,138	4.97	8,31,050	4.98
2015 Plan: Employee Stock Options (ESOPs)				
Outstanding at the beginning	82,050	551	134,030	529
Granted	-	-	-	-
Exercised	61,672	573	51,980	499
Forfeited and expired	2,824	499	-	-
Outstanding at the end	17,554	499	82,050	551
Exercisable at the end	17,554	499	82,050	551
2019 Plan: RSUs				
Outstanding at the beginning	80,23,855	5.00	72,22,038	5.00
Granted	37,44,345	5.00	41,87,902	5.00
Exercised	15,14,356	5.00	16,95,705	5.00
Forfeited and expired	21,81,209	5.00	16,90,380	5.00
Outstanding at the end	80,72,635	5.00	80,23,855	5.00
Exercisable at the end	7,70,321	5.00	8,14,798	5.00

The weighted average share price of option exercised is set out as follows:

Particulars	2019 Plan		2015 Plan	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Weighted average share price of options exercised	1,587	1,352	1,601	1,414

The summary of information about equity settled RSUs and ESOPs outstanding as at March 31, 2025 is as follows:

Range of exercise prices per share (₹)	2019 plan - Options outstanding			2015 plan - Options outstanding		
	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)
0 - 5 (RSU)	8,072,635	1.23	5.00	7,259,464	1.51	5.00
450 - 640 (ESOP)	-	-	-	17,554	0.58	499

The summary of information about equity settled RSUs and ESOPs outstanding as at March 31, 2024 was as follows:

Range of exercise prices per share (₹)	2019 plan - Options outstanding			2015 plan - Options outstanding		
	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)
0 - 5 (RSU)	8,023,855	1.42	5.00	8,076,058	1.77	5.00
450 - 640 (ESOP)	-	-	-	82,050	1.10	551

As at March 31, 2025 and March 31, 2024, 2,88,384 and 2,91,795 cash settled options were outstanding respectively. The carrying value of liability towards cash settled share based payments was ₹8 crore and ₹13 crore as at March 31, 2025 and March 31, 2024 respectively.

The fair value of the awards are estimated using the Black-Scholes Model for time and non-market performance-based options and Monte Carlo simulation model is used for TSR based options.

The inputs to the model include the share price at date of grant, exercise price, expected volatility, expected dividends, expected term and the risk free rate of interest. Expected volatility during the expected term of the options is based on historical volatility of the observed market prices of the Company's publicly traded equity shares during a period equivalent to the expected term of the options. Expected volatility of the comparative company have been modelled based on historical movements in the market prices of their publicly traded equity shares during a period equivalent to the expected term of the options. Correlation coefficient is calculated between each peer entity and the indices as a whole or between each entity in the peer group.

The fair value of each equity settled award is estimated on the date of grant using the following assumptions:

Particulars	For options granted in			
	Fiscal 2025- Equity Shares- RSU	Fiscal 2025- ADS-RSU	Fiscal 2024- Equity Shares- RSU	Fiscal 2024- ADS-RSU
Weighted average share price (₹) / (\$ ADS)	1,808	21.44	1,588	19.19
Exercise price (₹) / (\$ ADS)	5.00	0.07	5.00	0.07
Expected volatility (%)	21-26	23-28	23-31	25-33
Expected life of the option (years)	1-4	1-4	1-4	1-4
Expected dividends (%)	2-3	2-3	2-3	2-3
Risk-free interest rate (%)	7	4-5	7	4-5
Weighted average fair value as on grant date (₹) / (\$ ADS)	1,555	18.20	1,317	16.27

The expected life of the RSU/ESOP is estimated based on the vesting term and contractual term of the RSU/ESOP, as well as expected exercise behavior of the employee who receives the RSU/ESOP.

2.13 OTHER FINANCIAL LIABILITIES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Others		
Compensated absences	90	81
Accrued compensation to employees ⁽¹⁾	5	7
Accrued expenses ⁽¹⁾	1,876	1,779
Payable for acquisition of business - Contingent consideration ⁽²⁾	20	-
Other payables ⁽¹⁾	-	74
Total non-current other financial liabilities	1,991	1,941
Current		
Unpaid dividends ⁽¹⁾	45	37
Others		
Accrued compensation to employees ⁽¹⁾	3,781	3,336
Accrued expenses ⁽¹⁾⁽⁴⁾	6,210	5,134
Capital creditors ⁽¹⁾	470	269
Compensated absences	2,322	2,078
Payable for acquisition of business - Contingent consideration ⁽²⁾	11	-
Other payables ⁽¹⁾⁽⁵⁾	1,206	933
Foreign currency forward and options contracts ⁽²⁾⁽³⁾	56	21
Total current other financial liabilities	14,101	11,808
Total other financial liabilities	16,092	13,749
⁽¹⁾ Financial liability carried at amortized cost	13,593	11,569
⁽²⁾ Financial liability carried at fair value through profit or loss	54	20
⁽³⁾ Financial liability carried at fair value through other comprehensive income	33	1
⁽⁴⁾ Includes dues to subsidiaries	56	29
⁽⁵⁾ Includes dues to subsidiaries	669	405
Financial liability towards contingent consideration on an undiscounted basis	33	-

Accrued expenses primarily relate to cost of technical sub-contractors, telecommunication charges, legal and professional charges, brand building expenses, overseas travel expenses, office maintenance and cost of third party software and hardware.

2.14 TRADE PAYABLES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Outstanding dues of micro enterprises and small enterprises	8	92
Outstanding dues of creditors other than micro enterprises and small enterprises ⁽¹⁾	2,720	2,401
Total trade payables	2,728	2,493
⁽¹⁾ Includes dues to subsidiaries	900	778

The information as required to be disclosed pursuant under the Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006) has been determined to the extent such parties have been identified on the basis of information available with the Company

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Amount remaining unpaid :		
Principal	8	92
Interest	-	-
Interest paid by the Company under MSMED Act, 2006 along with the amounts of the payment made to the supplier beyond the appointed day	9	6
Interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act, 2006;	-	-
Interest accrued and remaining unpaid at the end of the year	-	-
Interest remaining due and payable (pertaining to prior years), until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23 of MSMED Act 2006.	-	-

Trade payables ageing schedule for the year ended as on March 31, 2025 and March 31, 2024:

(In ₹ crore)

Particulars	Outstanding for following periods from due date of payment					Total
	Not Due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Outstanding dues to MSME	8	-	-	-	-	8
	92	-	-	-	-	92
Others	1,557	1,163	-	-	-	2,720
	2,039	362	-	-	-	2,401
Total trade payables	1,565	1,163	-	-	-	2,728
	2,131	362	-	-	-	2,493

Relationship with struck off companies

(In ₹ crore)

Name of Struck off Company	Nature of transactions	Transactions during the year March 31, 2025	Balance outstanding as at March 31, 2025	Relationship with the Struck off company
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There are no transactions with struck off companies for the year ending March 31, 2024

2.15 OTHER LIABILITIES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Others		
Accrued defined benefit liability	74	123
Others	21	27
Total non - current other liabilities	95	150
Current		
Unearned revenue	6,713	5,698
Others		
Withholding taxes and others	2,433	1,974
Accrued defined benefit liability	3	2
Others	10	7
Total current other liabilities	9,159	7,681
Total other liabilities	9,254	7,831

2.16 PROVISIONS

Accounting Policy

A provision is recognized if, as a result of a past event, the Company has a present legal or constructive obligation that is reasonably estimable, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The Company recognizes a reimbursement asset when, and only when, it is virtually certain that the reimbursement will be received if the Company settles the obligation.

a. Post-sales client support

The Company provides its clients with a fixed-period post sales support on its fixed-price, fixed-timeframe contracts. Costs associated with such support services are accrued at the time related revenues are recorded in the Statement of Profit and Loss. The Company estimates such costs based on historical experience and estimates are reviewed on a periodic basis for any material changes in assumptions and likelihood of occurrence.

b. Onerous contracts

Provisions for onerous contracts are recognized when the expected benefits to be derived by the Company from a contract are lower than the unavoidable costs of meeting the future obligations under the contract. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Company recognizes any impairment loss on the assets associated with that contract.

Provision for post-sales client support and other provisions

Particulars	As at	
	March 31, 2025	March 31, 2024
Current		
Others		
Post-sales client support and other provisions	993	1,464
Total provisions	993	1,464

The movement in the provision for post-sales client support is as follows :

Particulars	Year ended March 31, 2025
Balance at the beginning	1,464
Provision recognized/(reversed)	119
Provision utilized	(618)
Translation difference	28
Balance at the end	993

Provision for post sales client support and other provisions majorly represents costs associated with providing sales support services which are accrued at the time of recognition of revenues and are expected to be utilized over a period of 1 year.

2.17 INCOME TAXES

Accounting Policy

Income tax expense comprises current and deferred income tax. Income tax expense is recognized in net profit in the Statement of Profit and Loss except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity or other comprehensive income. Current income tax for current and prior periods is recognized at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date. Deferred income tax assets and liabilities are recognized for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred income tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect of changes in tax rates on deferred income tax assets and liabilities is recognized as income or expense in the period that includes the enactment or the substantive enactment date. A deferred income tax asset is recognized to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilized. Deferred income taxes are not provided on the undistributed earnings of subsidiaries and branches where it is expected that the earnings of the subsidiary or branch will not be distributed in the foreseeable future.

The Company offsets current tax assets and current tax liabilities; deferred tax assets and deferred tax liabilities, where it has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously. The income tax provision for the interim period is made based on the best estimate of the annual average tax rate expected to be applicable for the full financial year. Tax benefits of deductions earned on exercise of employee share options in excess of compensation charged to income are credited to equity.

Income tax expense in the statement of Profit and Loss comprises:

Particulars	Year ended March 31,	
	2025	2024
Current taxes	10,836	7,306
Deferred taxes	(963)	1,413
Income tax expense	9,873	8,719

A reconciliation of the income tax provision to the amount computed by applying the statutory income tax rate to the income before income taxes is summarized below:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Profit before income taxes	35,441	35,953
Enacted tax rates in India	25.17%	34.94%
Computed expected tax expense	8,920	12,564
Tax effect due to non-taxable income for Indian tax purposes	-	(3,009)
Overseas taxes	1,064	1,081
Tax provision (reversals)	97	(913)
Effect of exempt non-operating income	(413)	(1,086)
Effect of non-deductible expenses	168	135
Effect of differential tax rates	-	(189)
Others	37	136
Income tax expense	9,873	8,719

The applicable Indian corporate statutory tax rate for the year ended March 31, 2025 is 25.17% and for the year ended March 31, 2024 is 34.94%.

Income tax expense for the year ended March 31, 2025 and March 31, 2024 includes provisions (net of reversals) of ₹97 crore and reversals (net of provisions) of ₹913 crore, respectively. These provisions and reversals pertaining to prior periods are primarily on account of adjudication of certain disputed matters, upon filing of tax return and completion of assessments, across various jurisdictions.

During the year ended March 31, 2025, the Company received orders under section 250 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2016-17 and 2019-20. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of ₹327 crore was recognised and provision for income tax aggregating ₹183 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,068 crore has been reduced from contingent liabilities.

During the year ended March 31, 2024, the Company received orders under sections 250 and 254 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2007-08 to 2015-16, 2017-18 and 2018-19. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of ₹1,933 crore was recognised and provision for income tax aggregating ₹525 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,628 crore has been reduced from contingent liabilities.

The foreign tax expense is due to income taxes payable overseas, principally in the United States.

In India, the Company has benefited from certain income tax incentives that the Government of India had provided for export of software and services from the units registered under the Special Economic Zones Act (SEZs), 2005 in the prior years. SEZ units which began the provision of services on or after April 1, 2005 are eligible for a deduction of 100% of profits or gains derived from the export of services for the first five years from the financial year in which the unit commenced the provision of services and 50% of such profits or gains for further five years. Up to 50% of such profits or gains is also available for a further five years subject to creation of a Special Economic Zone re-investment Reserve out of the profit for the eligible SEZ units and utilization of such reserve by the Company for acquiring new plant and machinery for the purpose of its business as per the provisions of the Income Tax Act, 1961. (Refer to Special Economic Zone Re-investment reserve under Note 2.12 Equity).

Deferred income tax for the year ended March 31, 2025 and March 31, 2024 substantially relates to origination and reversal of temporary differences.

Infosys is subject to a 15% Branch Profit Tax (BPT) in the U.S. to the extent its U.S. branch's net profit during the year is greater than the increase in the net assets of the U.S. branch during the year, computed in accordance with the Internal Revenue Code. As at March 31, 2025, Infosys' U.S. branch net assets amounted to approximately ₹ 7,755 crore. As at March 31, 2025, the Company has a deferred tax liability for branch profit tax of ₹271 crore (net of credits), as the Company estimates that these branch profits are expected to be distributed in the foreseeable future.

Deferred income tax liabilities have not been recognized on temporary differences amounting to ₹16,593 crore and ₹10,776 crore as at March 31, 2025 and March 31, 2024, respectively, associated with investments in subsidiaries and branches as the Company is able to control the timing of reversal of the temporary difference and it is probable that the temporary differences will not reverse in the foreseeable future. The Company majorly intends to repatriate earnings from subsidiaries and branches only to the extent these can be distributed in a tax free manner.

Deferred income tax assets have not been recognized on accumulated losses of ₹1,466 crore and ₹1,358 crore as at March 31, 2025 and March 31, 2024, respectively as it is probable that future taxable profit will not be available against which the unused tax losses can be utilized in the foreseeable future. Majority of the accumulated losses as at March 31, 2025 will expire between financial years 2028 to 2030.

The details of income tax assets and income tax liabilities as at March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Income tax assets	4,113	8,912
Current income tax liabilities	4,016	2,962
Net current income tax assets/(liabilities) at the end	97	5,950

The gross movement in the current income tax assets/ (liabilities) for the year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Net current income tax assets/(liabilities) at the beginning	5,950	3,082
Income tax paid*	4,601	8,235
Interest receivable on income tax refund	327	1,934
Current income tax expense	(10,836)	(7,306)
Income tax benefit arising on exercise of stock options	39	3
Income tax on other comprehensive income	13	2
Transfer on account of liquidation of subsidiary	3	-
Net current income tax assets/ (liabilities) at the end	97	5,950

* net of refund

The movement in gross deferred income tax assets and liabilities (before set off) for the year ended March 31, 2025 is as follows:

Particulars	Carrying value as of April 1, 2024	Changes through profit and loss	Changes through OCI	Translation difference	(In ₹ crore)	
					Carrying value as of March 31, 2025	
Deferred income tax assets/(liabilities)						
Property, plant and equipment	280	15	-	1		296
Lease liabilities	173	(53)	-	-		120
Trade receivables	181	(5)	-	-		176
Compensated absences	542	65	-	-		607
Post sales client support	19	14	-	-		33
Derivative financial instruments	(11)	(21)	8	-		(24)
Credits related to branch profits	811	(37)	-	17		791
Intangibles through business transfer	1	(1)	-	-		-
Branch profit tax	(1,080)	41	-	(23)		(1,062)
SEZ reinvestment reserve	(1,939)	554	-	-		(1,385)
Interest receivable on income tax refund	(487)	416	-	-		(71)
Others	1	(25)	(21)	(1)		(46)
Total deferred income tax assets/(liabilities)	(1,509)	963	(13)	(6)		(565)

The movement in gross deferred income tax assets and liabilities (before set off) for the year ended March 31, 2024 is as follows:

Particulars	Carrying value as of April 1, 2023	Changes through profit and loss	Changes through OCI	Translation difference	(In ₹ crore)	
					Carrying value as of March 31, 2024	
Deferred income tax assets/(liabilities)						
Property, plant and equipment	211	69	-	-		280
Lease liabilities	199	(26)	-	-		173
Trade receivables	211	(30)	-	-		181
Compensated absences	501	41	-	-		542
Post sales client support	188	(169)	-	-		19
Derivative financial instruments	-	(7)	(4)	-		(11)
Credits related to branch profits	718	84	-	9		811
Intangibles through business transfer	2	(1)	-	-		1
Branch profit tax	(866)	(202)	-	(12)		(1,080)
SEZ reinvestment reserve	(1,329)	(610)	-	-		(1,939)
Interest receivable on income tax refund	-	(487)	-	-		(487)
Others	78	(75)	(4)	2		1
Total deferred income tax assets/(liabilities)	(87)	(1,413)	(8)	(1)		(1,509)

The tax effects of significant temporary differences that resulted in deferred income tax assets and liabilities are as follows:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Deferred income tax assets after set off	497	-
Deferred income tax liabilities after set off	(1,062)	(1,509)

In assessing the reliability of deferred income tax assets, the management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. The management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income, and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, management believes that the Company will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced.

The Company's Advanced Pricing Arrangement (APA) with the Internal Revenue Service (IRS) for US branch income tax expired in March 2021. The Company has applied for renewal of APA and currently the US taxable income is based on the Company's best estimate determined based on the expected value method.

2.18 REVENUE FROM OPERATIONS

Accounting Policy

The Company derives revenues primarily from IT services comprising software development and related services, cloud and infrastructure services, maintenance, consulting and package implementation, licensing of software products and platforms across the Company's core and digital offerings (together called as "software related services"). Contracts with customers are either on a time-and-material, unit of work, fixed-price or on a fixed-timeframe basis.

Revenues from customer contracts are considered for recognition and measurement when the contract has been approved in writing, by the parties, to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. Revenue is recognized upon transfer of control of promised products or services ("performance obligations") to customers in an amount that reflects the consideration the Company has received or expects to receive in exchange for these products or services ("transaction price"). When there is uncertainty as to collectability, revenue recognition is postponed until such uncertainty is resolved.

The Company assesses the services promised in a contract and identifies distinct performance obligations in the contract. The Company allocates the transaction price to each distinct performance obligation based on the relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In the absence of such evidence, the primary method used to estimate standalone selling price is the expected cost plus a margin, under which the Company estimates the cost of satisfying the performance obligation and then adds an appropriate margin based on similar services.

The Company's contracts may include variable consideration including rebates, volume discounts and penalties. The Company includes variable consideration as part of transaction price when there is a basis to reasonably estimate the amount of the variable consideration and when it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved.

Revenue on time-and-material and unit of work based contracts, are recognized as the related services are performed. Fixed price maintenance revenue is recognized ratably either on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and Company's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Efforts or costs expended are used to determine progress towards completion as there is a direct relationship between input and productivity. Progress towards completion is measured as the ratio of costs or efforts incurred to date (representing work performed) to the estimated total costs or efforts. Estimates of transaction price and total costs or efforts are continuously monitored over the term of the contracts and are recognized in net profit in the period when these estimates change or when the estimates are revised. Revenues and the estimated total costs or efforts are subject to revision as the contract progresses. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

The billing schedules agreed with customers include periodic performance based billing and / or milestone based progress billings. Revenues in excess of billing are classified as unbilled revenue while billing in excess of revenues are classified as contract liabilities (which we refer to as "unearned revenues").

In arrangements for software development and related services and maintenance services, by applying the revenue recognition criteria for each distinct performance obligation, the arrangements with customers generally meet the criteria for considering software development and related services as distinct performance obligations. For allocating the transaction price, the Company measures the revenue in respect of each performance obligation of a contract at its relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In cases where the Company is unable to determine the standalone selling price, the Company uses the expected cost plus margin approach in estimating the standalone selling price. For software development and related services, the performance obligations are satisfied as and when the services are rendered since the customer generally obtains control of the work as it progresses.

Certain cloud and infrastructure services contracts include multiple elements which may be subject to other specific accounting guidance, such as leasing guidance. These contracts are accounted in accordance with such specific accounting guidance. In such arrangements where the Company is able to determine that hardware and services are distinct performance obligations, it allocates the consideration to these performance obligations on a relative standalone selling price basis. In the absence of standalone selling price, the Company uses the expected cost-plus margin approach in estimating the standalone selling price. When such arrangements are considered as a single performance obligation, revenue is recognized over the period and measure of progress is determined based on promise in the contract.

Revenue from licenses where the customer obtains a "right to use" the licenses is recognized at the time the license is made available to the customer. Revenue from licenses where the customer obtains a "right to access" is recognized over the access period.

Arrangements to deliver software products generally have three elements: license, implementation and Annual Technical Services (ATS). When implementation services are provided in conjunction with the licensing arrangement and the license and implementation have been identified as two distinct separate performance obligations, the transaction price for such contracts are allocated to each performance obligation of the contract based on their relative standalone selling prices. In the absence of standalone selling price for implementation, the Company uses the expected cost plus margin approach in estimating the standalone selling price. Where the license is required to be substantially customized as part of the implementation service the entire arrangement fee for license and implementation is considered to be a single performance obligation and the revenue is recognized using the percentage-of-completion method as the implementation is performed. Revenue from client training, support and other services arising due to the sale of software products is recognized as the performance obligations are satisfied. ATS revenue is recognized ratably on a straight line basis over the period in which the services are rendered.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Company is acting as an agent between the customer and the vendor, and gross when the Company is the principal for the transaction. In doing so, the Company first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Company considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

A contract modification is a change in the scope or price or both of a contract that is approved by the parties to the contract. A contract modification that results in the addition of distinct performance obligations are accounted for either as a separate contract if the additional services are priced at the standalone selling price or as a termination of the existing contract and creation of a new contract if they are not priced at the standalone selling price. If the modification does not result in a distinct performance obligation, it is accounted for as part of the existing contract on a cumulative catch-up basis.

The incremental costs of obtaining a contract (i.e., costs that would not have been incurred if the contract had not been obtained) are recognized as an asset if the Company expects to recover them.

Certain eligible, nonrecurring costs (e.g. set-up or transition or transformation costs) that do not represent a separate performance obligation are recognized as an asset when such costs (a) relate directly to the contract; (b) generate or enhance resources of the Company that will be used in satisfying the performance obligation in the future; and (c) are expected to be recovered.

Capitalized contract costs relating to upfront payments to customers are amortized to revenue and other capitalized costs are amortized to expenses over the respective contract life on a systematic basis consistent with the transfer of goods or services to customer to which the asset relates. Capitalized costs are monitored regularly for impairment. Impairment losses are recorded when present value of projected remaining operating cash flows is not sufficient to recover the carrying amount of the capitalized costs.

The Company presents revenues net of indirect taxes in its Statement of Profit and Loss.

Revenue from operations for the year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	Year ended March 31,	
	2025	2024
Revenue from software services	135,525	128,637
Revenue from products and platforms	1,067	296
Total revenue from operations	136,592	128,933

(In ₹ crore)

Products & platforms

The Company derives revenues from the sale of products and platforms including Infosys Applied AI which applies next-generation AI and machine learning.

The percentage of revenue from fixed-price contracts for the Year ended March 31, 2025 and March 31, 2024 is 58% and 56%, respectively.

Trade receivables and Contract Balances

The timing of revenue recognition, billings and cash collections results in receivables, unbilled revenue, and unearned revenue on the Company's Balance Sheet. Amounts are billed as work progresses in accordance with agreed-upon contractual terms, either at periodic intervals (e.g., monthly or quarterly) or upon achievement of contractual milestones.

The Company's receivables are rights to consideration that are unconditional. Unbilled revenues comprising revenues in excess of billings from time and material contracts and fixed price maintenance contracts are classified as financial asset when the right to consideration is unconditional and is due only after a passage of time.

Invoicing to the clients for other fixed price contracts is based on milestones as defined in the contract and therefore the timing of revenue recognition is different from the timing of invoicing to the customers. Therefore unbilled revenues for other fixed price contracts (contract asset) are classified as non-financial asset because the right to consideration is dependent on completion of contractual milestones.

Invoicing in excess of earnings are classified as unearned revenue.

Trade receivables and unbilled revenues are presented net of impairment in the Balance Sheet.

During the year ended March 31, 2025 and March 31, 2024, the company recognized revenue of ₹4,404 crore and ₹4,189 crore arising from opening unearned revenue as of April 1, 2024 and April 1, 2023 respectively.

During the year ended March 31, 2025 and March 31, 2024, ₹4,448 crore and ₹6,396 crore of unbilled revenue pertaining to other fixed price and fixed time frame contracts as of April 1, 2024 and April 1, 2023, respectively has been reclassified to Trade receivables upon billing to customers on completion of milestones.

Remaining performance obligation disclosure

The remaining performance obligation disclosure provides the aggregate amount of the transaction price yet to be recognized as at the end of the reporting period and an explanation as to when the Company expects to recognize these amounts in revenue. Applying the practical expedient as given in Ind AS 115, the Company has not disclosed the remaining performance obligation related disclosures for contracts where the revenue recognized corresponds directly with the value to the customer of the entity's performance completed to date, typically those contracts where invoicing is on time-and-material and unit of work-based contracts. Remaining performance obligation estimates are subject to change and are affected by several factors, including terminations, changes in the scope of contracts, periodic revalidations, adjustment for revenue that has not materialized and adjustments for currency fluctuations.

The aggregate value of performance obligations that are completely or partially unsatisfied as at March 31, 2025, other than those meeting the exclusion criteria mentioned above, is ₹90,815 crore. Out of this, the Company expects to recognize revenue of around 50.9% within the next one year and around 20.4% between one and two years and remaining thereafter. The aggregate value of performance obligations that are completely or partially unsatisfied as at March 31, 2024 is ₹80,334 crore. The contracts can generally be terminated by the customers and typically includes an enforceable termination penalty payable by them. Generally, customers have not terminated contracts without cause.

2.19 OTHER INCOME, NET

2.19.1 Other income

Accounting Policy

Other income is comprised primarily of interest income, dividend income, gain / loss on investments and exchange gain/loss on forward and options contracts and on translation of foreign currency assets and liabilities. Interest income is recognized using the effective interest method. Dividend income is recognized when the right to receive payment is established.

2.19.2 Foreign currency

Accounting Policy

Functional currency

The functional currency of the Company is the Indian rupee. These financial statements are presented in Indian rupees (rounded off to crore; one crore equals ten million).

Transactions and translations

Foreign-currency denominated monetary assets and liabilities are translated into the relevant functional currency at exchange rates in effect at the Balance Sheet date. The gains or losses resulting from such translations are recognized in the Statement of Profit and Loss and reported within exchange gains/(losses) on translation of assets and liabilities, net, except when deferred in Other Comprehensive Income as qualifying cash flow hedges. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at fair value are translated at the exchange rate prevalent at the date when the fair value was determined. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of the transaction. The related revenue and expense are recognized using the same exchange rate.

Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net profit for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the relevant functional currencies using the exchange rate in effect on the date of the transaction.

Other Comprehensive Income, net of taxes includes translation differences on non-monetary financial assets measured at fair value at the reporting date, such as equities classified as financial instruments and measured at fair value through other comprehensive income (FVOCI).

Government grant

The Company recognizes government grants only when there is reasonable assurance that the conditions attached to them shall be complied with, and the grants will be received. Government grants related to assets are treated as deferred income and are recognized in the net profit in the Statement of Profit and Loss on a systematic and rational basis over the useful life of the asset. Government grants related to revenue are recognized on a systematic basis in the net profit in the Statement of Profit and Loss over the periods necessary to match them with the related costs which they are intended to compensate.

Other income for the year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Interest income on financial assets carried at amortized cost		
Tax free bonds and government bonds	121	131
Deposit with Bank and others	1,051	665
Interest income on financial assets carried at fair value through other comprehensive income		
Non-convertible debentures, commercial papers, certificates of deposit and government securities	1,005	898
Income on investments carried at fair value through other comprehensive income	2	-
Income on investments carried at fair value through profit or loss		
Gain / (loss) on liquid mutual funds and other investments	242	224
Gain/(loss) on investments carried at amortized cost		
Gain/(loss) on tax free bonds	4	-
Interest on income tax refund	340	1,936
Dividend received from subsidiary	1,522	2,976
Exchange gains/(losses) on foreign currency forward and options contracts	(206)	111
Exchange gains/(losses) on translation of other assets and liabilities	478	214
Miscellaneous income, net	223	262
Total other income	4,782	7,417

2.20 EXPENSES

(In ₹ crore)

Particulars	Year ended March 31,	
	2025	2024
<i>Employee benefit expenses</i>		
Salaries including bonus	64,296	62,383
Contribution to provident and other funds	2,080	1,972
Share based payments to employees (Refer to note 2.12)	712	575
Staff welfare	378	209
	67,466	65,139
<i>Cost of software packages and others</i>		
For own use	1,947	1,635
Third party items bought for service delivery to clients	7,670	5,256
	9,617	6,891
<i>Other expenses</i>		
Power and fuel	196	172
Brand and Marketing	1,067	851
Rates and taxes	257	248
Repairs and Maintenance	965	953
Consumables	32	23
Insurance	242	172
Provision for post-sales client support and others	(114)	77
Commission to non-whole time directors	18	16
Impairment loss recognized / (reversed) under expected credit loss model	(7)	130
Auditor's remuneration		
Statutory audit fees	8	8
Tax matters	-	-
Other services	-	-
Contributions towards Corporate Social Responsibility (Refer note no 2.25)	540	492
Others	293	446
	3,497	3,588

2.21 EMPLOYEE BENEFITS

Accounting Policy

2.21.1 Gratuity and Pensions

The Company provides for gratuity, a defined benefit retirement plan ('the Gratuity Plan') covering eligible Indian employees of Infosys. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment with the Company. The Company contributes Gratuity liabilities to the Infosys Limited Employees' Gratuity Fund Trust (the Trust). Trustees administer contributions made to the Trusts and contributions are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law.

The Company operates defined benefit pension plan in certain overseas jurisdictions, in accordance with the local laws. These plans are managed by third party fund managers. The plans provide for periodic payouts after retirement and/or a lumpsum payment as set out in rules of each fund and includes death and disability benefits. The defined benefit plans require contributions which are based on a percentage of salary that varies depending on the age of the respective employees.

Liabilities with regard to these defined benefit plans are determined by actuarial valuation, performed by an external actuary, at each Balance Sheet date using the projected unit credit method. These defined benefit plans expose the Company to actuarial risks, such as longevity risk, interest rate risk and market risk.

The Company recognizes the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability. Gains and losses through re-measurements of the net defined benefit liability/(asset) are recognized in other comprehensive income and are not reclassified to profit or loss in subsequent periods. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognized in other comprehensive income. The effect of any plan amendments is recognized in net profit in the Statement of Profit and Loss.

2.21.2 Provident fund

Eligible employees of Infosys receive benefits from a provident fund, which is a defined benefit plan. Both the eligible employee and the Company make monthly contributions to the provident fund plan equal to a specified percentage of the covered employee's salary. The Company contributes a portion to the Infosys Limited Employees' Provident Fund Trust. The trust invests in specific designated instruments as permitted by Indian law. The remaining portion is contributed to the government administered pension fund. The rate at which the annual interest is payable to the beneficiaries by the trust is being administered by the Government of India. The Company has an obligation to make good the shortfall, if any, between the return from the investments of the Trust and the notified interest rate.

2.21.3 Superannuation

Certain employees of Infosys are participants in a defined contribution plan. The Company has no further obligations to the Plan beyond its monthly contributions which are periodically contributed to a trust fund, the corpus of which is invested with the Life Insurance Corporation of India.

2.21.4 Compensated absences

The Company has a policy on compensated absences which are both accumulating and non-accumulating in nature. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an external actuary at each Balance Sheet date using projected unit credit method on the additional amount expected to be paid / availed as a result of the unused entitlement that has accumulated at the Balance Sheet date. Expense on non-accumulating compensated absences is recognized in the period in which the absences occur.

a. Gratuity and Pension

The following table sets out the details of the defined benefit retirement plans and the amounts recognized in the standalone financial statements as at March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	As at March 31,		As at March 31,	
	2025	2024	2025	2024
Change in benefit obligations				
Benefit obligations at the beginning	1,830	1,524	686	591
Service cost	305	280	28	30
Interest expense	122	104	11	11
Past service cost - plan amendments	-	-	-	(28)
Transfer	4	32	-	-
Remeasurements - Actuarial (gains)/ losses	73	22	57	18
Employee contribution	-	-	24	23
Benefits paid	(158)	(132)	(18)	29
Translation difference	1	-	37	12
Benefit obligations at the end	2,177	1,830	825	686
Change in plan assets				
Fair value of plan assets at the beginning	1,817	1,516	650	537
Interest income	132	110	11	10
Transfer	4	3	-	-
Remeasurements- Return on plan assets excluding amounts included in interest income	20	15	48	11
Employee contribution	-	-	24	23
Employer contribution	590	303	28	29
Benefits paid	(155)	(130)	(18)	29
Translation difference	(1)	-	32	11
Fair value of plan assets at the end	2,407	1,817	775	650
Funded status	230	(13)	(50)	(36)
Defined benefit plan asset (Refer note 2.10)	257	9	-	-
Defined benefit plan liability	(27)	(22)	(50)	(36)

The amount for the year ended March 31, 2025 and March 31, 2024 recognized in the Statement of Profit and Loss under employee benefit expense are as follows:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Service cost	305	280	28	30
Net interest on the net defined benefit liability/asset	(10)	(6)	-	1
Plan amendments	-	-	-	(28)
Net cost	295	274	28	3

The amount for the year ended March 31, 2025 and March 31, 2024 recognized in the statement of other comprehensive income are as follows:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Remeasurements of the net defined benefit liability/ (asset)				
Actuarial (gains) / losses	73	22	57	18
(Return) / loss on plan assets excluding amounts included in the net interest on the net defined benefit liability/(asset)	(20)	(15)	(48)	(11)
	53	7	9	7

Break up of actuarial (gains)/losses for year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
(Gain)/loss from change in demographic assumptions	-	-	-	-
(Gain)/loss from change in financial assumptions	39	9	36	16
(Gain) / loss from change in experience assumptions	34	13	21	2
	73	22	57	18

The weighted-average assumptions used to determine benefit obligations as at March 31, 2025 and March 31, 2024 are set out below:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	As at March 31,		As at March 31,	
	2025	2024	2025	2024
Discount Rate ⁽¹⁾	6.50%	7%	0.9%-3.4%	1.5%-3.4%
Weighted average rate of increase in compensation levels ⁽²⁾	6%	6%	1%-3%	1%-3%
Weighted average duration of defined benefit obligation ⁽³⁾	5.7 years	5.8 years	13 years	12 years

The weighted-average assumptions used to determine net periodic benefit cost for the year ended March 31, 2025 and March 31, 2024 are set out below:

Particulars	(In ₹ crore)			
	Gratuity		Pension	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Discount rate	7.0%	7.1%	1.5%-3.4%	1.8%-3.2%
Weighted average rate of increase in compensation levels	6%	6%	1%-3%	1%-3%

⁽¹⁾For domestic defined benefit plan in India, the market for high quality corporate bonds being not developed, the yield of government bonds is considered as the discount rate. For most of our overseas defined benefit plan, given that the market for high quality corporate bonds is not developed, the Government bond rate adjusted for corporate spreads is used.

⁽²⁾The average rate of increase in compensation levels is determined by the Company, considering factors such as, the Company's past compensation revision trends, inflation in respective markets and management's estimate of future salary increases.

⁽³⁾Attrition rate considered is the management's estimate based on the past long-term trend of employee turnover in the Company. The tenure has been considered taking into account the past long-term trend of employees' average remaining service life which reflects the average estimated term of post-employment benefit obligation.

For domestic defined benefit plan in India, assumptions regarding future mortality experience are set in accordance with the published statistics by the Life Insurance Corporation of India. For overseas defined benefit plan, the assumptions regarding future mortality experience are set with regard to the latest statistics in life expectancy, plan experience and other relevant data.

The Company assesses all the above assumptions with its projected long-term plans of growth and prevalent industry standards.

The Company contributes all ascertained liabilities towards gratuity to the Infosys Limited Employees' Gratuity Fund Trust. Trustees administer contributions made to the trust. The plan assets of the overseas defined benefit plan have been primarily invested in insurer managed funds and the asset allocation for plan assets is determined based on the investment criteria prescribed under the relevant regulations applicable to pension funds and the insurer managers. The insurers' investment are diversified and provide for guaranteed interest rates arrangements.

Actual return on assets (including remeasurement) of the gratuity plan for the year ended March 31, 2025 and March 31, 2024 were ₹152 crore and ₹125 crore, respectively and for the pension plan were ₹59 crore and ₹21 crore, respectively.

The contributions for gratuity are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law. The table below sets out the details of major plan assets into various categories as at March 31, 2025 and March 31, 2024:

Particulars	Pension	
	As at March 31,	
	2025	2024
Equity	34%	34%
Bonds	30%	32%
Real Estate/Property	26%	26%
Cash and Cash Equivalents	1%	1%
Other	9%	7%

These defined benefit plans expose the Company to actuarial risk which are set out below:

Interest rate risk: The present value of the defined benefit plan liability is generally calculated using a discount rate determined by reference to government bond yields and in certain overseas jurisdictions, it is calculated in reference to government bond yield adjusted for a corporate spread. If bond yields fall, the defined benefit obligation will tend to increase.

Life expectancy and investment risk: The pension fund offers the choice between a lifelong pension and a cash lump sum upon retirement. The pension fund has defined rates for converting the lump sum to a pension and there is the risk that the members live longer than implied by these conversion rates and that the pension assets don't achieve the investment return implied by these conversion rates.

Asset volatility: A proportion of the pension fund is held in equities, which is expected to outperform corporate bonds in the long term but give exposure to volatility and risk in the short term. The pension fund board of insurer is responsible for the investment strategy and equity allocation is justified given the long-term investment horizon of the pension fund and the objective to provide a reasonable long term return on members' account balances.

The sensitivity of significant assumptions used for valuation of defined benefit obligation is as follows :

Impact from	(In ₹ crore)	
	As at March 31, 2025	
	Gratuity	Pension
	1% point increase / decrease	0.5% point increase / decrease
Discount Rate	122	38
Weighted average rate of increase in compensation level	123	4

Sensitivity for significant actuarial assumptions is computed by varying one actuarial assumption used for the valuation of defined benefit obligation, keeping all other actuarial assumptions constant. In practice, this is not probable, and changes in some of the assumptions may be correlated.

The Company expects to contribute ₹350 crore to gratuity and ₹ 27 crore to pension during the fiscal 2026.

Maturity profile of defined benefit obligation:

	(In ₹ crore)	
	Gratuity	Pension
Within 1 year	267	46
1-2 year	268	49
2-3 year	292	50
3-4 year	278	54
4-5 year	255	50
5-10 years	950	222

b. Superannuation

The Company contributed ₹493 crore and ₹493 crore to the Superannuation trust during the year ended March 31, 2025 and March 31, 2024 respectively and the same has been recognized in the Statement of Profit and Loss account under the head employee benefit expense.

c. Provident fund

Infosys has an obligation to fund any shortfall on the yield of the trust's investments over the administered interest rates on an annual basis. These administered rates are determined annually predominantly considering the social and economic factors. The actuary has provided a valuation for provident fund liabilities on the basis of guidance issued by Actuarial Society of India.

The following tables set out the funded status of the defined benefit provident fund plan of Infosys limited and the amounts recognized in the Company's financial statements as at March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	As at March 31,	
	2025	2024
Change in benefit obligations		
Benefit obligations at the beginning	11,879	10,527
Service cost	952	880
Employee contribution	1,683	1,652
Interest expense	862	764
Actuarial (gains) / loss	218	96
Benefits paid	(1,727)	(2,040)
Benefit obligations at the end	13,867	11,879
Change in plan assets		
Fair value of plan assets at the beginning	11,812	10,184
Interest income	858	740
Remeasurements- Return on plan assets excluding amounts included in interest income	245	234
Employer contribution	1,057	1,042
Employee contribution	1,683	1,652
Benefits paid	(1,727)	(2,040)
Fair value of plan assets at the end	13,928	11,812
Funded status [surplus/(deficit)]	61	(67)
Irrecoverable Surplus (Effect of Asset Ceiling)	(61)	-
Net defined benefit asset/ (liability)	-	(67)

Amount for the year ended March 31, 2025 and March 31, 2024 recognized in the statement of other comprehensive income:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Service cost	952	880
Net interest on the net defined benefit liability / asset	4	24
Net provident fund cost	956	904

Amount for the year ended March 31, 2025 and March 31, 2024 recognized in the statement of other comprehensive income:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Remeasurements of the net defined benefit liability/ (asset)		
Actuarial (gains) / losses	218	96
(Return) / loss on plan assets excluding amounts included in the net interest on the net defined benefit liability/(asset)	(245)	(234)
Asset Ceiling Effect	61	-
	34	(138)

The assumptions used in determining the present value obligation of the defined benefit plan under the Deterministic Approach are as follows:

Particulars	As at March 31,	
	2025	2024
Government of India (GOI) bond yield ⁽¹⁾	6.50%	7.00%
Expected rate of return on plan assets	8.00%	8.20%
Remaining term to maturity of portfolio	6 years	6 years
Expected guaranteed interest rate	8.25%	8.25%

⁽¹⁾ In India, the market for high quality corporate bonds being not developed, the yield of government bonds is considered as the discount rate. The tenure has been considered taking into account the past long-term trend of employees' average remaining service life which reflects the average estimated term of the post-employment benefit obligations.

The breakup of the plan assets into various categories as at March 31, 2025 and March 31, 2024 is as follows:

Particulars	As at March 31,	
	2025	2024
Central and State government bonds	60%	60%
Public sector undertakings and Private sector bonds	28%	30%
Others	12%	10%

The asset allocation for plan assets is determined based on the investment criteria prescribed under the relevant regulations.

The actuarial valuation of PF liability exposes the Company to interest rate risk. The defined benefit obligation calculated uses a discount rate based on government bonds. If bond yields fall, the defined benefit obligation will tend to increase.

As at March 31, 2025 the defined benefit obligation would be affected by approximately ₹129 crore and ₹129 crore on account of a 0.25% increase / decrease in the expected rate of return on plan assets.

The Company contributed ₹1158 crore and ₹1,100 crore to the provident fund during the year ended March 31, 2025 and March 31, 2024, respectively. The same has been recognized in the net profit in the statement of profit and loss under the head employee benefit expense.

The provident plans are applicable only to employees drawing a salary in Indian rupees.

Employee benefits cost include:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Salaries and bonus ⁽¹⁾	65,492	63,274
Defined contribution plans	493	493
Defined benefit plans	1,481	1,372
	67,466	65,139

⁽¹⁾ Includes employee stock compensation expense of ₹712 crore and ₹575 crore for the year ended March 31, 2025 and March 31, 2024, respectively (Refer to note 2.12).

2.22 EARNINGS PER EQUITY SHARE

Accounting Policy

Basic earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Company by the weighted average number of equity shares outstanding during the period. Diluted earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Company by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. The dilutive potential equity shares are adjusted for the proceeds receivable had the equity shares been actually issued at fair value (i.e. the average market value of the outstanding equity shares). Dilutive potential equity shares are deemed converted as at the beginning of the period, unless issued at a later date. Dilutive potential equity shares are determined independently for each period presented.

The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any share splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

Particulars	Year ended March 31,	
	2025	2024
Profit for the year	25,568	27,234
Basic earnings per equity share - weighted average number of equity shares outstanding	4,15,19,36,905	4,15,00,99,796
Basic earnings per equity share	61.58	65.62

The following is a reconciliation of the equity shares used in the computation of basic and diluted earnings per equity share:

Particulars	Year ended March 31,	
	2025	2024
Profit for the year	25,568	27,234
Basic earnings per equity share - weighted average number of equity shares outstanding	4,15,19,36,905	4,15,00,99,796
Effect of dilutive common equivalent shares - share options outstanding	79,68,571	38,94,828
Diluted earnings per equity share - weighted average number of equity shares and common equivalent shares outstanding	4,15,99,05,476	4,15,39,94,624
Diluted earnings per equity share	61.46	65.56

For the years ended March 31, 2025 and March 31, 2024, there were Nil and 47,395 options to purchase equity shares which had an anti-dilutive effect.

2.23 CONTINGENT LIABILITIES AND COMMITMENTS

Accounting Policy

Contingent liability is a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

Particulars	As at	
	March 31, 2025	March 31, 2024
Contingent liabilities:		
Claims against the Company, not acknowledged as debts ⁽¹⁾	1,772	2,649
[Amount paid to statutory authorities ₹3,815 crore (₹8,283 crore)]		
Commitments:		
Estimated amount of contracts remaining to be executed on capital contracts and not provided for (net of advances and deposits) ⁽²⁾	868	688
Other Commitments*	27	5

* Uncalled capital pertaining to investments

⁽¹⁾ As at March 31, 2025 and March 31, 2024, claims against the Company not acknowledged as debts in respect of income tax matters amounted to ₹1,290 crore and ₹2,260 crore, respectively.

The claims against the Company primarily represent demands arising on completion of assessment proceedings under the Income Tax Act, 1961. These claims are on account of issues of disallowance of expenditure towards software being held as capital in nature, payments made to Associated Enterprises held as liable for withholding of taxes, among others. These matters are pending before various Income Tax Authorities and the Management including its tax advisors expect that its position will likely be upheld on ultimate resolution and will not have a material adverse effect on the Company financial position and results of operations

Amount paid to statutory authorities against the tax claims amounted to ₹ 3,810 crore and ₹8,273 crore as at March 31, 2025 and March 31, 2024, respectively.

⁽²⁾ Capital contracts primarily comprises of commitments for infrastructure facilities and computer equipments.

Legal Proceedings

The Company is subject to legal proceedings and claims, which have arisen in the ordinary course of business. The Company's management reasonably expects that such ordinary course legal actions, when ultimately concluded and determined, will not have a material and adverse effect on the Company's results of operations or financial condition.

2.24 RELATED PARTY TRANSACTIONS

List of related parties

Name of subsidiaries	Country	Holdings as at	
		March 31, 2025	March 31, 2024
Infosys Technologies (China) Co. Limited (Infosys China) ⁽¹⁾	China	100%	100%
Infosys Technologies S. de R. L. de C. V. (Infosys Mexico) ⁽¹⁾	Mexico	100%	100%
Infosys Technologies (Sweden) AB (Infosys Sweden) ⁽¹⁾	Sweden	100%	100%
Infosys Technologies (Shanghai) Company Limited (Infosys Shanghai) ⁽¹⁾	China	100%	100%
EdgeVerve Systems Limited (EdgeVerve) ⁽¹⁾	India	100%	100%
Infosys Austria GmbH ⁽¹⁾	Austria	100%	100%
Skava Systems Private Limited (Skava Systems) ⁽¹⁾⁽³⁵⁾	India	-	100%
Infosys Chile SpA ⁽¹⁾	Chile	100%	100%
Infosys Arabia Limited ⁽²⁾⁽²⁰⁾	Saudi Arabia	70%	70%
Infosys Consulting Ltda. ⁽¹⁾	Brazil	100%	100%
Infosys Luxembourg S.a.r.l. ⁽¹⁾	Luxembourg	100%	100%
Infosys Americas Inc. (Infosys Americas) ⁽¹⁾⁽²³⁾	U.S.	-	-
Infosys Consulting S.R.L. ⁽²⁾	Argentina	100%	100%
Infosys Romania S.r.l. (formerly Infosys Consulting S.R.L. (Romania)) ⁽¹⁾	Romania	100%	100%

Infosys Limited Bulgaria EOOD ⁽¹⁾	Bulgaria	100%	100%
Infosys Turkey Bilgi Teknolojileri Limited Sirketi ⁽¹⁾	Turkey	100%	100%
Infosys Germany Holding GmbH ⁽¹⁾	Germany	100%	100%
Infosys Automotive and Mobility GmbH & Co. KG ⁽¹⁾	Germany	100%	100%
Infosys Green Forum ⁽¹⁾	India	100%	100%
Infosys Business Solutions LLC ⁽¹⁾	Qatar	100%	100%
WongDoody Inc. ⁽¹⁾⁽³⁷⁾	U.S.	-	100%
IDUNN Information Technology Private Limited (formerly Danske IT and Support Services India Private Limited ("Danske IT")) ⁽¹⁾⁽²⁵⁾	India	100%	100%
Infosys Public Services, Inc. USA (Infosys Public Services) ⁽¹⁾	U.S.	100%	100%
Infosys Public Services Canada Inc. ⁽¹¹⁾	Canada	100%	100%
Infosys BPM Limited ⁽¹⁾	India	100%	100%
Infosys BPM UK Limited ⁽³⁾	U.K.	100%	100%
Infosys (Czech Republic) Limited s.r.o. ⁽³⁾	Czech Republic	100%	100%
Infosys Poland Sp z.o.o ⁽³⁾	Poland	100%	100%
Infosys McCamish Systems LLC ⁽³⁾	U.S.	100%	100%
Portland Group Pty Ltd ⁽³⁾	Australia	100%	100%
Infosys BPO Americas LLC. ⁽³⁾	U.S.	100%	100%
Infosys BPM Canada Inc. ⁽³⁾⁽²⁴⁾⁽²⁹⁾	Canada	-	-
Panaya Inc. (Panaya) ⁽¹⁾	U.S.	100%	100%
Panaya Ltd. ⁽⁴⁾	Israel	100%	100%
Panaya Germany GmbH ⁽⁴⁾	Germany	100%	100%
Brilliant Basics Holdings Limited (Brilliant Basics) ⁽¹⁾⁽²⁰⁾	U.K.	100%	100%
Brilliant Basics Limited ⁽⁵⁾⁽²⁰⁾	U.K.	100%	100%
Infosys Consulting Holding AG ⁽¹⁾	Switzerland	100%	100%
Infosys Management Consulting Pty Limited ⁽⁶⁾	Australia	100%	100%
Infosys Consulting AG ⁽⁶⁾	Switzerland	100%	100%
Infosys Consulting GmbH ⁽⁶⁾	Germany	100%	100%
Infosys Consulting SAS ⁽⁶⁾	France	100%	100%
Infy Consulting B.V. ⁽⁶⁾	The Netherlands	100%	100%
Infosys Consulting (Belgium) NV ⁽⁶⁾	Belgium	100%	100%
Infy Consulting Company Ltd ⁽⁶⁾	U.K.	100%	100%
GuideVision s.r.o. ⁽⁷⁾	Czech Republic	100%	100%
GuideVision Deutschland GmbH ⁽⁸⁾	Germany	100%	100%
GuideVision Suomi Oy ⁽⁸⁾	Finland	100%	100%
GuideVision Magyarország Kft ⁽⁸⁾	Hungary	100%	100%
GuideVision Polska Sp. z o.o ⁽⁸⁾	Poland	100%	100%
GuideVision UK Ltd ⁽⁹⁾⁽²⁰⁾	U.K.	100%	100%
Infosys Nova Holdings LLC. (Infosys Nova) ⁽¹⁾	U.S.	100%	100%
Outbox systems Inc. dba Simplus (US) ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Simplus ANZ Pty Ltd. ⁽⁹⁾	Australia	100%	100%
Simplus Australia Pty Ltd ⁽¹⁰⁾	Australia	100%	100%
Simplus Philippines, Inc. ⁽⁹⁾	Philippines	100%	100%
Kaleidoscope Animations, Inc. ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Kaleidoscope Prototyping LLC ⁽¹⁷⁾⁽²⁷⁾	U.S.	-	-
Blue Acorn iCi Inc (formerly Beringer Commerce Inc) ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.) ⁽¹⁾	Singapore	100%	100%
Infosys Financial Services GmbH. (formerly Panaya GmbH) ⁽¹²⁾	Germany	100%	100%
Infosys South Africa (Pty) Ltd ⁽¹²⁾	South Africa	100%	100%
Infosys (Malaysia) SDN. BHD. (formerly Global Enterprise International (Malaysia) Sdn. Bhd.) ⁽¹²⁾	Malaysia	100%	100%
Infosys Middle East FZ LLC ⁽¹²⁾	Dubai	100%	100%
Infosys Norway ⁽¹²⁾	Norway	100%	100%
Infosys Compaz Pte. Ltd ⁽¹³⁾	Singapore	60%	60%
HIPUS Co., Ltd ⁽¹³⁾	Japan	81%	81%
Fluido Oy ⁽¹²⁾	Finland	100%	100%
Fluido Sweden AB ⁽¹⁴⁾	Sweden	100%	100%
Fluido Norway A/S ⁽¹⁴⁾	Norway	100%	100%
Fluido Denmark A/S ⁽¹⁴⁾	Denmark	100%	100%
Fluido Slovakia s.r.o ⁽¹⁴⁾	Slovakia	100%	100%
Infosys Fluido UK, Ltd. ⁽¹⁴⁾	U.K.	100%	100%
Infosys Fluido Ireland, Ltd. ⁽¹⁵⁾	Ireland	100%	100%
Stater N.V. ⁽¹³⁾	The Netherlands	75%	75%
Stater Nederland B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
Stater XXL B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
HypoCasso B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
Stater Participations B.V. ⁽²⁸⁾	The Netherlands	-	-
Stater Belgium N.V./S.A. ⁽¹⁶⁾⁽²⁸⁾	Belgium	75%	75%
Stater GmbH ⁽¹⁶⁾	Germany	75%	75%
Infosys Germany GmbH (formerly Kristall 247. GmbH ("Kristall")) ⁽¹²⁾	Germany	100%	100%
Wongdoody GmbH (formerly known as oddity GmbH) ⁽¹⁸⁾	Germany	100%	100%
WongDoody (Shanghai) Co. Limited (formerly known as oddity (Shanghai) Co., Ltd.) ⁽¹⁹⁾	China	100%	100%
WongDoody limited (Taipei) (formerly known as oddity Limited (Taipei)) ⁽¹⁹⁾	Taiwan	100%	100%
oddity space GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity jungle GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity code GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
WongDoody d.o.o (formerly known as oddity code d.o.o) ⁽¹⁹⁾⁽²⁶⁾	Serbia	100%	100%
oddity waves GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity group services GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
BASE life science A/S ⁽¹²⁾	Denmark	100%	100%
BASE life science AG ⁽²¹⁾	Switzerland	100%	100%
BASE life science GmbH ⁽²¹⁾	Germany	100%	100%

BASE life science S.A.S ⁽²¹⁾	France	100%	100%
BASE life science Ltd. ⁽²¹⁾	U.K.	100%	100%
BASE life science S.r.l. ⁽²¹⁾	Italy	100%	100%
Innovisor Inc. ⁽²¹⁾	U.S.	100%	100%
BASE life science Inc. ⁽²¹⁾	U.S.	100%	100%
BASE life science S.L. ⁽²¹⁾	Spain	100%	100%
InSemi Technology Services Private Limited ⁽³⁰⁾	India	100%	-
Elbrus Labs Private Limited ⁽³⁰⁾⁽²²⁾	India	100%	-
Infosys Services (Thailand) Limited ⁽¹⁾⁽³²⁾	Thailand	100%	-
Infy tech SAS ⁽¹²⁾⁽³¹⁾	France	100%	-
in-tech Holding GmbH ⁽³³⁾⁽³⁹⁾	Germany	-	-
in-tech GmbH ⁽³³⁾	Germany	100%	-
Friedrich & Wagner Asia Pacific GmbH ⁽³³⁾⁽³⁹⁾	Germany	-	-
drivetech Fahrversuch GmbH ⁽³³⁾	Germany	100%	-
ProIT ⁽³³⁾	Romania	100%	-
in-tech Automotive Engineering de R.L. de C.V. ⁽³³⁾⁽²⁰⁾	Mexico	100%	-
Friedrich Wagner Holding Inc. ⁽³³⁾⁽²⁰⁾	U.S.	100%	-
in-tech Automotive Engineering SL ⁽³³⁾	Spain	100%	-
in-tech Automotive Engineering LLC ⁽³³⁾⁽³⁶⁾	U.S.	-	-
in-tech Services LLC ⁽³³⁾⁽³⁶⁾	U.S.	-	-
in-tech Engineering s.r.o ⁽³³⁾	Czech Republic	100%	-
in-tech Engineering GmbH ⁽³³⁾	Austria	100%	-
in-tech Engineering services S.R.L ⁽³³⁾	Romania	100%	-
in-tech Group Ltd ⁽³³⁾	U.K.	100%	-
In-tech Automotive Engineering Shenyang Co. Ltd ⁽³³⁾	China	100%	-
in-tech Group India Private Ltd ⁽³³⁾	India	-	-
In-tech Automotive Engineering Beijing Co., Ltd ⁽³³⁾	China	100%	-
Blitz 24-893 SE ⁽³⁴⁾	Germany	100%	-
Infosys Limited SPC ⁽¹⁾⁽⁴⁰⁾	Oman	100%	-
Infosys BPM Netherlands B.V. ⁽³⁾⁽⁴¹⁾	The Netherlands	100%	-

⁽¹⁾ Wholly-owned subsidiary of Infosys Limited

⁽²⁾ Majority owned and controlled subsidiary of Infosys Limited

⁽³⁾ Wholly-owned subsidiary of Infosys BPM Limited

⁽⁴⁾ Wholly-owned subsidiary of Panaya Inc

⁽⁵⁾ Wholly-owned subsidiary of Brilliant Basics Holding Limited.

⁽⁶⁾ Wholly-owned subsidiary of Infosys Consulting Holding AG

⁽⁷⁾ Wholly-owned subsidiary of Infy Consulting Company Limited

⁽⁸⁾ Wholly-owned subsidiary of GuideVision s.r.o.

⁽⁹⁾ Wholly-owned subsidiary of Infosys Nova Holdings LLC

⁽¹⁰⁾ Wholly-owned subsidiary of Simplus ANZ Pty Ltd

⁽¹¹⁾ Wholly-owned subsidiary of Infosys Public Services, Inc.

⁽¹²⁾ Wholly-owned subsidiary of Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.)

⁽¹³⁾ Majority owned and controlled subsidiary of Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.)

⁽¹⁴⁾ Wholly-owned subsidiary of Fluidio Oy

⁽¹⁵⁾ Wholly-owned subsidiary of Infosys Fluidio UK, Ltd.

⁽¹⁶⁾ Wholly-owned subsidiary of Stater N.V

⁽¹⁷⁾ Wholly-owned subsidiary of Kaleidoscope Animations, Inc.

⁽¹⁸⁾ Wholly-owned subsidiary of Infosys Germany GmbH (formerly Kristall 247. GmbH ("Kristall"))

⁽¹⁹⁾ Wholly-owned subsidiary of Wongdoody GmbH (formerly known as oddity GmbH)

⁽²⁰⁾ Under liquidation

⁽²¹⁾ Wholly-owned subsidiary of BASE life science A/S

⁽²²⁾ Wholly-owned subsidiary of InSemi Technology Services Private Limited

⁽²³⁾ Liquidated effective July 14, 2023

⁽²⁴⁾ Incorporated on August 11, 2023

⁽²⁵⁾ On September 1, 2023 Infosys Ltd. acquired 100% of voting interests in IDUNN Information Technology Private Limited (formerly Danske IT and Support Services India Private Limited ("Danske IT"))

⁽²⁶⁾ On September 29, 2023, oddity space GmbH, oddity waves GmbH, oddity jungle GmbH, oddity group services GmbH and oddity code GmbH merged into WongDoody GmbH and oddity code d.o.o which was formerly a subsidiary of oddity code GmbH has become a subsidiary of Wongdoody GmbH (formerly known as oddity GmbH).

⁽²⁷⁾ Kaleidoscope Prototyping LLC, a Wholly-owned subsidiary of Kaleidoscope Animations is liquidated effective November 1, 2023

⁽²⁸⁾ On November 24, 2023 Stater Participations B.V (Wholly-owned subsidiary of Stater N.V) merged with Stater N.V and Stater Belgium N.V./S.A which was formerly a wholly owned subsidiary of Stater Participations B.V. became a wholly owned subsidiary of Stater N.V

⁽²⁹⁾ On March 15, 2024 Infosys BPM Canada Inc., a Wholly-owned subsidiary of Infosys BPM Limited got dissolved.

⁽³⁰⁾ On May 10, 2024 Infosys Ltd. acquired 100% of voting interests in InSemi Technology Services Private Limited along with its subsidiary Elbrus Labs Private Limited

⁽³¹⁾ Incorporated on July 03, 2024

⁽³²⁾ Incorporated on July 26, 2024

⁽³³⁾ On July 17, 2024, Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited, acquired 100% of voting interests in in-tech Holding GmbH along with its subsidiary in-tech GmbH along with its six subsidiaries in-tech Automotive Engineering SL, ProIT, in-tech Automotive Engineering de R.L. de C.V, drivetech Fahrversuch GmbH, Friedrich Wagner Holding Inc along with its two subsidiaries (in-tech Automotive Engineering LLC and in-tech Services LLC) and Friedrich & Wagner Asia Pacific GmbH along with its five subsidiaries in-tech engineering s.r.o, in-tech engineering GmbH, in-tech engineering services S.R.L, in-tech Group Ltd along with its subsidiary (in-tech Group India Private Limited) and In-tech Automotive Engineering Shenyang Co., Ltd along with its subsidiary (In-tech Automotive Engineering Beijing Co., Ltd). Subsequently on September 01, 2024 in-tech Group India Private Limited became a wholly-owned subsidiary of Infosys limited.

⁽³⁴⁾ On October 17, 2024, Infosys Singapore Pte Ltd. acquired 100% of voting interests in Blitz 24-893 SE

⁽³⁵⁾ Liquidated effective November 14, 2024

⁽³⁶⁾ Liquidated effective November 30, 2024

⁽³⁷⁾ WongDoody Inc, a wholly-owned subsidiary of Infosys limited merged into Infosys Nova Holdings LLC effective January 1, 2025

⁽³⁸⁾ Kaleidoscope Animations, Blue Acorn iCi Inc and Outbox systems Inc. dba Simplus (US) merged into Infosys Nova Holdings LLC effective January 1, 2025

⁽³⁹⁾ in-tech Holding GmbH and Friedrich & Wagner Asia Pacific GmbH merged into in-tech GmbH effective January 1, 2025

⁽⁴⁰⁾ Incorporated on December 12, 2024

⁽⁴¹⁾ Incorporated on March 20, 2025

Infosys has provided guarantee for performance of certain contracts entered into by its subsidiaries.

List of other related party

Particulars	Country	Nature of relationship
Infosys Limited Employees' Gratuity Fund Trust	India	Post-employment benefit plan of Infosys Limited
Infosys Limited Employees' Provident Fund Trust	India	Post-employment benefit plan of Infosys Limited
Infosys Limited Employees' Superannuation Fund Trust	India	Post-employment benefit plan of Infosys Limited
Infosys Employees Welfare Trust	India	Controlled trust
Infosys Employee Benefits Trust	India	Controlled trust
Infosys Science Foundation	India	Controlled trust
Infosys Expanded Stock Ownership Trust	India	Controlled trust
Infosys Foundation	India	Trust jointly controlled by KMP

Refer to note 2.21 for information on transactions with post-employment benefit plans mentioned above.

List of key management personnel**Whole-time directors**

Salil Parekh , Chief Executive Officer and Managing Director

Non-whole-time directors

Nandan M. Nilekani

D. Sundaram

Micheal Gibbs

Bobby Parikh

Chitra Nayak

Govind Iyer

Helene Auriol Potier (appointed as independent director effective May 26, 2023)

Nitin Paranjpe (appointed as an additional and independent director effective January 1, 2024)

Uri Levine (retired as independent director effective April 19, 2023)

Executive Officers

Inderpreet Sawhney, Chief Legal Officer and Chief Compliance Officer

Jayesh Sanghrajka (appointed as Chief Financial Officer effective April 1, 2024)

Nilanjan Roy (resigned as Chief Financial Officer of the Company effective March 31, 2024)

Shaji Mathew , Chief Human Resources Officer

Mohit Joshi (resigned as President effective March 11, 2023 and was on leave till June 9, 2023 which was his last date with the Company)

Company Secretary

A. G. S. Manikantha

The details of amounts due to or due from related parties as at March 31, 2025 and March 31, 2024 are as follows:

Particulars		(In ₹ crore)	
		As at	
		March 31, 2025	March 31, 2024
Trade receivables			
	BASE life science A/S	3	3
	BASE life science AG	-	2
	BASE life science GmbH	-	-
	Blue Acorn iCi Inc	-	-
	Infosys China	1	2
	Infosys Mexico	2	3
	Infosys BPM Limited	13	15
	Infy Consulting Company Limited	8	12
	Infosys Public Services	93	55
	Infosys Public Services Canada Inc.	2	10
	Infosys Sweden	25	7
	Fluidio Oy	7	3
	Fluidio Denmark A/S	4	-
	Simplus Australia Pty Ltd	-	1
	Infosys McCamish Systems LLC	6	45
	Panaya Ltd	1	2
	Infosys Compaz Pte Ltd	27	55
	Stater Nederland B.V.	8	1
	Outbox systems Inc. dba Simplus (US)	-	-
	Infosys Luxembourg S.a.r.l	27	25
	Infosys Chile SPA	1	4
	Infosys South Africa (Pty) Ltd	2	-
	HIPUS Co., Ltd	1	1
	Infosys Turkey Bilgi Teknolojikeri Limited Sirketi	-	3
	WongDoody, Inc	-	-
	Kaleidoscope Animations, Inc.	-	-
	Infosys Automotive and Mobility GmbH & Co. KG	-	-
	Infosys Middle East FZ LLC	9	10
	Infosys Nova Holdings LLC	10	-
		250	259
Loans			
	Insemi Technology Service	10	-
		10	-
Prepaid expense and other assets			
	Panaya Ltd	127	151
	GuideVision, s.r.o.	1	1
	EdgeVerve Systems Limited	23	-
	Infosys Green Forum	-	3
		151	155
Other financial assets			
	Infosys BPM Limited	16	19
	Infosys Consulting GmbH	3	5
	Infosys China	23	31
	Infosys Shanghai	-	6
	Infy Consulting Company Limited	23	31
	Infosys Management Consulting Pty Ltd	2	2
	Infosys Consulting AG	3	6

	Infosys Consulting Ltda	-	1
	Infy Consulting B.V.	1	3
	Fluidio Oy	7	1
	Panaya Ltd	-	-
	Infosys McCamish Systems LLC	111	68
	Infosys Singapore Pte. Ltd	-	1
	Infosys Automotive and Mobility GmbH & Co. KG	2,584	1,815
	Infosys Poland Sp. Z.o.o	-	7
	Fluidio Sweden AB	2	-
	Fluidio Denmark A/S	3	2
	Infosys Fluidio UK Ltd	1	-
	Infosys Consulting S.R.L. (Romania)	3	3
	Infosys Consulting (Belgium) NV	-	4
	WongDoody, Inc	-	6
	Infosys Public Services	5	9
	Simplus Philippines, Inc.	4	1
	Simplus Australia Pty Ltd	2	-
	Outbox systems Inc. dba Simplus (US)	-	2
	Infosys Luxembourg S.a.r.l	1	2
	Infosys Business Solutions LLC	2	2
	Infosys Compaz PTE Ltd	-	1
	Kaleidoscope Animations, Inc.	-	2
	Portland Group Pty Ltd	-	2
	GuideVision, s.r.o.	2	2
	Infosys (Czech Republic) Limited s.r.o.	-	1
	Danske IT	1	4
	WongDoody GmbH (formerly known as oddity GmbH)	14	1
	Blue Acorn iCi Inc	-	2
	Infosys Turkey Bilgi Teknolojikeri Limited Sirketi	2	2
	Infosys Austria GMBH	-	2
	Infosys Consulting S.R.L. (Argentina)	3	1
	BASE life science SL	2	-
	BASE life science A/S	3	1
	Infosys Public Services Canada Inc.	-	1
	Infosys Norway	2	1
	Infosys Green Forum	-	-
	Infosys Mexico	-	-
	Infosys Sweden	1	-
	Infosys Middle East FZ LLC	-	1
	HIPUS Co., Ltd	2	1
	EdgeVerve Systems Limited	2	-
	Fluidio Norway AS	1	-
	GuideVision Magyarország Kft.	2	-
	Infosys Nova Holdings LLC	28	-
	Infosys Services Thailand	1	-
	Infosys South Africa (Pty) Ltd	1	-
		2,863	2,052
Unbilled revenues			
	EdgeVerve Systems Limited	113	101
	Infosys Consulting S.R.L.(Romania)	1	1
	Infosys McCamish Systems LLC	45	45
	Infosys Poland sp. z o o	1	1
	Stater Nederland B.V.	5	5
	Infy Consulting Company Ltd	-	-
		165	153
Trade payables			
	Infosys China	19	17
	Infosys BPM Limited	136	135
	Infosys (Czech Republic) Limited s.r.o.	15	33
	Infosys Mexico	25	54
	Infosys Sweden	53	98
	Infosys Shanghai	13	14
	Infosys Management Consulting Pty Ltd	20	29
	Infosys Singapore Pte. Ltd	16	15
	Infy Consulting Company Limited	370	165
	Infosys (Malaysia) SDN. BHD. (formerly Global Enterprise International (Malaysia) Sdn. Bhd.)	12	13
	Panaya Ltd	5	5
	Infosys Public Services	1	1
	Portland Group Pty Ltd	2	3
	Infosys Chile SpA	2	3
	Infosys Compaz Pte Ltd	4	2
	Infosys Middle East FZ LLC	3	3
	Infosys Poland Sp. Z.o.o	42	34
	Infosys Luxembourg S.a.r.l	8	-
	Infosys Consulting S.R.L. (Romania)	44	25
	Fluidio Oy	5	6
	Fluidio Sweden AB	3	5
	EdgeVerve Systems Limited	13	2
	WongDoody, Inc	-	63
	Fluidio Denmark A/S	1	1
	Infosys Fluidio UK Ltd	6	5
	BASE life science AG	1	1
	BASE life science GmbH	1	1
	BASE life science Ltd.	2	2
	Wongdoody D.O.O	1	1
	WongDoody GmbH (formerly known as oddity GmbH)	2	2
	BASE life science SL	2	1
	BASE life science Inc.	1	-
	Infosys Business Solutions LLC	1	3
	Infosys South Africa (Pty) Ltd	6	4
	Infosys Norway	6	6
	Infosys McCamish Systems LLC	-	1
	Infosys Limited Bulgaria EOOD	6	6

WongDoody Limited(Taipei)	-	1
Infosys Consulting Ltda	9	17
BASE life science A/S	4	1
Infosys Nova Holdings LLC	40	-
	900	778
Other financial liabilities		
Infosys BPM Limited	47	44
Infosys Mexico	2	2
Infosys China	-	7
Infosys Shanghai	-	5
Infosys Norway	1	1
Outbox systems Inc. dba Simplus (US)	-	27
GuideVision, s.r.o.	11	5
Simplus Australia Pty Ltd	5	9
Simplus Philippines, Inc.	2	4
GuideVision Polska SP. Z O.O.	1	1
Kaleidoscope Animations, Inc.	-	46
Infosys Public Services	10	5
GuideVision Magyarország Kft.	1	1
Infosys Consulting Ltda	2	1
Infosys Consulting AG	1	2
Infosys Automotive and Mobility GmbH & Co. KG	320	162
Danske IT	16	16
Infy Consulting Company Limited	15	14
Infosys South Africa (Pty) Ltd	5	1
Infosys Sweden	5	4
Infosys Compaz PTE Ltd	6	1
Infosys McCamish Systems LLC	7	2
Infosys Green Forum	2	5
Infosys Consulting (Belgium) NV	-	4
Blue Acorn iCi Inc	-	35
GuideVision Deutschland GmbH	1	-
Infosys Middle East FZ LLC	-	1
BASE life science A/S	2	-
Infosys Consulting GmbH	1	-
Infosys Luxembourg S.a.r.l	6	-
Infosys Nova Holdings LLC	200	-
	669	405
Accrued expenses		
BASE life science A/S	1	-
EdgeVerve Systems Limited	13	-
Infosys BPM Limited	29	29
BASE life science Ltd	1	-
Infosys Germany Holding GmbH	7	-
Infosys Nova Holdings LLC	4	-
In-tech group Ltd.	1	-
	56	29

(In ₹ crore)

Particulars	Maximum amount outstanding during the	
	Year ended March 31,	
	2025	2024
Loans and advances in the nature of loans given to subsidiaries		
Insemi Technology Service	10	-
Infosys Turkey Bilgi Teknolojileri Limited Sirketi	-	57

The details of the related parties transactions entered into by the Company for the year ended March 31, 2025 and March 31, 2024 are as follows:

Particulars	Year ended March 31,	
	2025	
	2025	2024
Capital transactions:		
Financing transactions		
Equity		
Infosys Singapore Pte Ltd.	4,317	-
Infosys Turkey Bilgi Teknolojileri Limited Sirketi	31	41
Insemi Technology Service	198	-
in-tech	15	-
Infosys America Inc.	-	(1)
Skava Systems	-	(59)
Infosys Luxembourg S.a.r.l	-	9
Danske IT	-	82
Infosys Services (Thailand) Limited	13	-
	4,574	72
Loans given		
Insemi Technology Service	10	-
Infosys Turkey Bilgi Teknolojileri Limited Sirketi	-	-
	10	-
Loans repaid		
Infosys Turkey Bilgi Teknolojileri Limited Sirketi	-	4
	-	4
Revenue transactions:		
Purchase of services		
Infosys China	214	198
Infosys Management Consulting Pty Ltd	385	297
Infy Consulting Company Limited	2,075	1,914
Infosys Singapore Pte. Ltd	181	173
Portland Group Pty Ltd	17	33
Infosys (Czech Republic) Limited s.r.o.	209	360
Infosys BPM Limited	2,216	2,162
Infosys Sweden	160	99
Infosys Shanghai	151	179

Infosys Mexico	299	304
Infosys Public Services	8	6
Panaya Ltd	147	152
Infosys Poland Sp. Z.o.o	350	287
Infosys Consulting S.R.L. (Romania)	268	278
Infosys Compaz Pte Ltd	17	19
Infosys Consulting Ltda	139	173
BASE life science A/S	26	12
Kaleidoscope Animations, Inc.	233	151
Infosys Chile SpA	28	40
Infosys Middle East FZ LLC	43	50
Fluido Oy	68	70
Fluido Sweden AB	44	55
Fluido Denmark A/S	10	14
Infosys McCamish Systems LLC	9	9
GuideVision, s.r.o.	88	93
GuideVision Polska SP. Z O.O.	12	9
Simplus Australia Pty Ltd	86	109
Simplus Philippines, Inc.	31	44
Outbox systems Inc. dba Simplus (US)	148	372
Infosys Fluido UK Ltd	65	57
Blue Acorn iCi Inc	321	461
GuideVision Deutschland GmbH	7	5
GuideVision Suomi Oy	2	5
GuideVision Magyarország Kft.	9	12
Infosys Limited Bulgaria EOOD	74	65
WongDoody, Inc	509	765
Infosys Luxembourg S.a.r.l	13	3
Infosys (Malaysia) SDN. BHD. (formerly Global Enterprise International (Malaysia) Sdn. Bhd.)	151	165
oddity space GmbH	-	2
Wongdoody D.O.O	6	6
oddity jungle GmbH	-	1
oddity Limited(Taipei)	2	4
Fluido Norway A/S	3	2
Infosys Consulting S.R.L. (Argentina)	1	2
Infosys South Africa (Pty) Ltd	45	29
Infosys Business Solutions LLC	4	3
WongDoody GmbH (formerly known as oddity GmbH)	11	6
oddity code GmbH	-	1
BASE life science AG	15	17
BASE life science S.r.l.	2	-
BASE life science Inc.	10	-
BASE life science Ltd.	12	2
BASE life science GmbH	5	1
BASE life science SL	12	1
Infosys Norway	37	15
Danske IT	-	16
Insemi Technology Service	7	-
EdgeVerve Systems Limited	93	19
Infosys Germany Holding GmbH	7	-
Infosys Nova Holdings LLC	436	-
In-tech group Ltd.	1	-
	9,522	9,327
Purchase of shared services including facilities and personnel		
Infosys BPM Limited	9	7
WongDoody, Inc	6	11
Infosys McCamish Systems LLC	1	-
WongDoody limited Taipei	-	1
Infosys Green Forum	42	36
Kaleidoscope Animations, Inc.	1	-
Infosys (Czech Republic) Limited s.r.o.	-	4
Infosys Mexico	1	4
Outbox systems Inc. dba Simplus (US)	2	7
Infosys Consulting AG	2	2
Infosys Automotive and Mobility GmbH & Co.KG	150	6
Portland Group Pty Ltd	-	1
WongDoody GmbH (formerly known as oddity GmbH)	9	2
oddity Jungle GmbH	-	1
Infosys Nova Holdings LLC	2	-
Infosys Technologies (Sweden) AB.	1	-
Infosys Singapore Pte. Ltd.	9	-
Infosys Compaz Pte. Ltd	-	-
GuideVision, s.r.o.	1	-
WongDoody Code d.o.o	1	-
BASE life science A/S	3	-
	240	82
Interest income		
Infosys Turkey Bilgi Teknolojileri Limited Sirketi	-	2
Insemi Technology Service	1	-
	1	2
Guarantee income		
Infosys Singapore Pte. Ltd.	1	1
	1	1

Dividend income			
	EdgeVerve Systems Limited	525	1,089
	Infosys Consulting Holding AG	148	-
	Infosys BPM Limited	849	1,887
		1,522	2,976
Sale of services			
	Infosys China	16	13
	Infosys Mexico	23	30
	Infy Consulting Company Limited	56	74
	Infosys BPM Limited	147	112
	Fluidio Oy	4	2
	Fluidio Denmark A/S	4	-
	Infosys Luxembourg S.a.r.l	163	146
	Infosys Middle East FZ LLC	26	26
	Infosys McCamish Systems LLC	90	401
	Infosys Sweden	92	91
	Infosys Shanghai	2	1
	EdgeVerve Systems Limited	1,001	961
	Infosys Public Services	659	696
	Infosys Compaz Pte Ltd	160	176
	Infosys Consulting Ltda	-	1
	Simplus Australia Pty Ltd	2	5
	Infosys Chile SpA	7	9
	Infosys Automotive and Mobility GmbH & Co. KG	-	1
	Blue Acorn iCi Inc	2	2
	Kaleidoscope Animations, Inc.	1	-
	Infosys Singapore Pte. Ltd.	-	1
	BASE life science A/S	14	8
	BASE life science GmbH	1	-
	Infosys Poland Sp. Z.o.o	-	-
	Infosys Business Solutions LLC	-	1
	Infosys South Africa (Pty) Ltd	2	1
	HIPUS Co., Ltd	-	1
	BASE life science AG	4	4
	Infosys Public Services Canada Inc.	32	46
	Stater N.V.	3	-
	Stater Nederland B.V.	69	74
		2,580	2,883
Sale of shared services including facilities and personnel			
	EdgeVerve Systems Limited	47	25
	Panaya Ltd	10	8
	GuideVision, s.r.o.	5	-
	Infy Consulting Company Limited	20	17
	Infosys Public Services, Inc.	8	2
	Infosys Public Services Canada Inc.	-	1
	Infosys McCamish System LLC	5	27
	Infosys China	1	12
	Infosys Luxembourg S.a.r.l	4	4
	Infosys Singapore Pte. Ltd	9	-
	Infosys Shanghai	2	1
	Portland Group Pty. Limited	-	2
	Infosys Poland Sp. z.o.o.	2	4
	WongDoody, Inc.	7	2
	Wongdoody GmbH	11	1
	Fluidio Oy	5	1
	Fluidio Denmark A/S	1	-
	Infosys Fluidio U.K., Ltd	1	-
	Outbox systems Inc. dba Simplus (US)	3	1
	Infosys BPO Americas LLC	-	1
	Infosys Consulting AG	2	2
	Infy Consulting B.V.	2	3
	Infosys Consulting SAS	2	1
	Infosys Consulting GmbH	1	2
	HIPUS Co. Limited	-	1
	Kaleidoscope Animations, Inc	7	1
	Blue Acorn iCi Inc.	6	1
	Infosys Automotive and Mobility GmbH & Co.KG ⁽¹⁾	739	880
	Infosys Green Forum	5	5
	Infosys BPM Limited ⁽²⁾	143	107
	Infosys Management Consulting Pty Ltd	1	2
	Infosys Sweden	2	1
	Infosys Mexico	1	2
	Infosys (Czech Republic) Limited s.r.o.	-	2
	Infosys Compaz PTE Ltd	-	1
	Infosys Consulting Ltda	1	3
	BASE life science A/S	3	-
	BASE life science Ltd	1	-
	BASE life sciences SL	1	-
	Infosys Austria GMBH	-	1
	Infosys Consulting S.R.L. (Romania)	1	3
	Infosys Turkey Bilgi Teknolojikeri Limited Sirketi	-	2
	Fluidio Sweden AB	1	-
	Simplus Australia Pty Ltd	1	-

Simplus Philippines, Inc.	4	-
Infosys Nova Holdings LLC	3	-
GuideVision Magyarország Kft.	2	-
	1,070	1,129
Any other transaction		
Infosys Foundation	390	369
	390	369

⁽¹⁾ Includes amounts netted off against respective expenses

⁽²⁾ Includes sale of fixed assets of ₹4 crore and ₹6 crore for the year ending March 31, 2025 and March 31, 2024, respectively

Refer to Note 2.5.1 for business transfer with wholly owned subsidiaries

The Company's related party transactions during the year ended March 31, 2025 and March 31, 2024 and outstanding balances as at March 31, 2025 and March 31, 2024 are with its subsidiaries with whom the Company generally enters into transactions which are at arms length and in the ordinary course of business.

Transactions with key management personnel

The table below describes the compensation to key management personnel which comprise directors and executive officers:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Salaries and other short term employee benefits to whole-time directors and executive officers ⁽¹⁾⁽²⁾	118	113
Commission and other benefits to non-executive / independent directors	19	17
Total	137	130

⁽¹⁾Total employee stock compensation expense for the year ended March 31, 2025 and March 31, 2024, includes a charge of ₹70 crore and ₹68 crore respectively, towards key management personnel.(Refer to note 2.12)

⁽²⁾ Does not include post-employment benefits and other long-term benefits based on actuarial valuation as these are done for the Company as a whole.

2.25 CORPORATE SOCIAL RESPONSIBILITY (CSR)

As per Section 135 of the Companies Act, 2013, a company, meeting the applicability threshold, needs to spend at least 2% of its average net profit for the immediately preceding three financial years on corporate social responsibility (CSR) activities. The areas for CSR activities are promoting education, promoting gender equality by empowering women, healthcare, environment sustainability, art and culture, destitute care and rehabilitation, disaster relief, COVID-19 relief and rural development projects. A CSR committee has been formed by the company as per the Act. The funds were primarily utilized through the year on these activities which are specified in Schedule VII of the Companies Act, 2013:

Particulars		(In ₹ crore)	
		As at	
		March 31, 2025	March 31, 2024
i)	Amount required to be spent by the company during the year	540	492
ii)	Amount of expenditure incurred	524	453
iii)	Shortfall at the end of the year*	16	39
iv)	Total of previous years shortfall	0	7
v)	Reason for shortfall	Pertains to ongoing projects	Pertains to ongoing projects
vi)	Nature of CSR activities	Promoting education, promoting gender equality by empowering women, healthcare, , environment sustainability, art and culture, destitute care and rehabilitation, disaster relief, COVID-19 relief and rural development projects	
vii)	Details of related party transactions, e.g. contribution to a trust controlled by the company in relation to CSR expenditure as per relevant Accounting Standard	390	369
viii)	Where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year shall be shown separately	NA	NA

*The unspent amount will be transferred to unspent CSR account within 30 days from the end of the financial year, in accordance with the Companies Act, 2013 read with the CSR Amendment Rules.

2.26 SEGMENT REPORTING

The Company publishes this financial statement along with the consolidated financial statements. In accordance with Ind AS 108, Operating Segments, the Company has disclosed the segment information in the consolidated financial statements.

2.27 Ratios

The ratios for the years ended March 31, 2025 and March 31, 2024 are as follows:

Particulars	Numerator	Denominator	March 31, 2025	March 31, 2024	Variance
Current Ratio	Current assets	Current liabilities	2.4	2.6	(7.3%) #
Debt – Equity Ratio	Total Debt (represents lease liabilities) ⁽¹⁾	Shareholder's Equity	0.0	0.0	-0.7%
Debt Service Coverage Ratio	Earnings available for debt service ⁽²⁾	Debt Service ⁽³⁾	33.9	36.4	(6.9%)
Return on Equity (ROE)	Net Profits after taxes	Average Shareholder's Equity	30.3%	36.6%	-6.2%
Trade receivables turnover ratio	Revenue	Average Trade Receivable	5.3	5.6	-5.7%
Trade payables turnover ratio	Purchases of services and other expenses	Average Trade Payables	13.5	12.7	5.9%
Net capital turnover ratio	Revenue	Working Capital	3.0	2.9	2.3% *
Net profit ratio	Net Profit	Revenue	18.7%	21.1%	(2.4%)
Return on capital employed (ROCE)	Earning before interest and taxes	Capital Employed ⁽⁴⁾	38.9%	42.0%	(3.1%)
Return on Investment(ROI)					
Unquoted	Income generated from investments	Time weighted average investments	9.7%	8.5%	1.2%
Quoted	Income generated from investments	Time weighted average investments	8.2%	7.2%	1.0%

⁽¹⁾ Debt represents only lease liabilities

⁽²⁾ Net Profit after taxes + Non-cash operating expenses + Interest + other adjustments like loss on sale of Fixed assets etc.

⁽³⁾ Lease payments for the current year

⁽⁴⁾ Tangible net worth + deferred tax liabilities + Lease Liabilities

* Working capital increase higher than the increase in revenue.

Current ratio has decreased due to increase in current assets higher than decrease in current liabilities.

2.28 FUNCTION-WISE CLASSIFICATION OF STATEMENT OF PROFIT AND LOSS

(In ₹ crore)

Particulars	Note No.	Year ended March 31,	
		2025	2024
Revenue from operations	2.18	136,592	128,933
Cost of sales		94,111	89,032
Gross Profit		42,481	39,901
Operating expenses			
Selling and marketing expenses		6,282	5,668
General and administration expenses		5,319	5,420
Total operating expenses		11,601	11,088
Operating profit		30,880	28,813
Interest expense		221	277
Other income, net	2.19	4,782	7,417
Profit before tax		35,441	35,953
Tax expense:			
Current tax	2.17	10,836	7,306
Deferred tax	2.17	(963)	1,413
Profit for the year		25,568	27,234
Other comprehensive income			
<i>Items that will not be reclassified subsequently to profit or loss</i>			
Remeasurement of the net defined benefit liability/asset, net		(81)	128
Equity instruments through other comprehensive income, net	2.5 & 2.17	19	19
<i>Items that will be reclassified subsequently to profit or loss</i>			
Fair value changes on derivatives designated as cash flow hedge, net	2.11 & 2.17	(24)	11
Fair value changes on investments, net	2.5	191	129
Total other comprehensive income/(loss), net of tax		105	287
Total comprehensive income for the year		25,673	27,521

for and on behalf of the Board of Directors of Infosys Limited

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INDEPENDENT AUDITOR'S REPORT

TO THE BOARD OF DIRECTORS OF INFOSYS LIMITED

Report on the Audit of the Interim Condensed Standalone Financial Statements

Opinion

We have audited the accompanying interim condensed standalone financial statements of **INFOSYS LIMITED** (the "Company"), which comprise the Condensed Balance Sheet as at March 31, 2025, the Condensed Statement of Profit and Loss (including Other Comprehensive Income) for the three months and year ended on that date, the Condensed Statement of Changes in Equity and the Condensed Statement of Cash Flows for the year ended on that date, and notes to the financial statements including a summary of the material accounting policies and other explanatory information (hereinafter referred to as the "interim condensed standalone financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid interim condensed standalone financial statements give a true and fair view in conformity with Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34") prescribed under section 133 of the Companies Act, 2013 (the "Act"), read with relevant rules issued thereunder and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2025 its profit and total comprehensive income for the three months and year ended on that date, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the interim condensed standalone financial statements in accordance with the Standards on Auditing ("SAs") specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Interim Condensed Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the interim condensed standalone financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the interim condensed standalone financial statements.

Responsibilities of Management and Board of Directors for the Interim Condensed Standalone Financial Statements

The Company's Board of Directors is responsible for the preparation and presentation of these interim condensed standalone financial statements that give a true and fair view of the financial position, financial performance, including total comprehensive income, changes in equity and cash flows of the Company in accordance with Ind AS 34 and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness



of the accounting records, relevant to the preparation and presentation of the interim condensed standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the interim condensed standalone financial statements, Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Interim Condensed Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the interim condensed standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these interim condensed standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the interim condensed standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the interim condensed standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the interim condensed standalone financial statements, including the disclosures, and whether the interim condensed standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the interim condensed standalone financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the interim condensed standalone financial statements

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may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the interim condensed standalone financial statements.

We also communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

For DELOITTE HASKINS & SELLS LLP

Chartered Accountants

(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria

Partner

(Membership No.060408)

UDIN:

Place: Bengaluru

Date: April 17, 2025

INFOSYS LIMITED

Condensed Standalone Financial Statements

under Indian Accounting Standards (Ind AS)

for the three months and year ended March 31, 2025

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Condensed Balance Sheet as at	Note No.	March 31, 2025	March 31, 2024
ASSETS			
Non-current assets			
Property, plant and equipment	2.1	10,070	10,813
Right-of-use assets	2.3	3,078	3,303
Capital work-in-progress		778	277
Goodwill	2.2	211	211
Financial assets			
Investments	2.4	27,371	23,352
Loans	2.5	26	34
Other financial assets	2.6	2,350	1,756
Deferred tax assets (net)	2.16	497	-
Income tax assets (net)	2.16	1,164	2,583
Other non-current assets	2.9	2,223	1,669
Total non-current assets		47,768	43,998
Current assets			
Financial assets			
Investments	2.4	11,147	11,307
Trade receivables	2.7	26,413	25,152
Cash and cash equivalents	2.8	14,265	8,191
Loans	2.5	207	208
Other financial assets	2.6	12,569	10,129
Income tax assets (net)	2.16	2,949	6,329
Other current assets	2.9	9,618	9,636
Total current assets		77,168	70,952
Total assets		124,936	114,950
EQUITY AND LIABILITIES			
Equity			
Equity share capital	2.11	2,076	2,075
Other equity		85,256	79,101
Total equity		87,332	81,176
LIABILITIES			
Non-current liabilities			
Financial liabilities			
Lease liabilities	2.3	2,694	3,088
Other financial liabilities	2.12	1,991	1,941
Deferred tax liabilities (net)		1,062	1,509
Other non-current liabilities	2.14	95	150
Total non - current liabilities		5,842	6,688
Current liabilities			
Financial liabilities			
Lease liabilities	2.3	765	678
Trade payables	2.13		
Total outstanding dues of micro enterprises and small enterprises		8	92
Total outstanding dues of creditors other than micro enterprises and small enterprises		2,720	2,401
Other financial liabilities	2.12	14,101	11,808
Other current liabilities	2.14	9,159	7,681
Provisions	2.15	993	1,464
Income tax liabilities (net)	2.16	4,016	2,962
Total current liabilities		31,762	27,086
Total equity and liabilities		124,936	114,950

The accompanying notes form an integral part of the interim condensed standalone financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

for and on behalf of the Board of Directors of Infosys Limited

Chartered Accountants

Firm's Registration No:

117366W/W-100018

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

(In ₹ crore except equity share and per equity share data)

Condensed Statement of Profit and Loss for the	Note No.	Three months ended March 31,		Year ended March 31,	
		2025	2024	2025	2024
Revenue from operations	2.17	34,136	32,001	136,592	128,933
Other income, net	2.18	1,323	3,483	4,782	7,417
Total income		35,459	35,484	141,374	136,350
Expenses					
Employee benefit expenses	2.19	17,259	16,047	67,466	65,139
Cost of technical sub-contractors		4,941	4,648	19,353	18,638
Travel expenses		413	371	1,467	1,372
Cost of software packages and others	2.19	2,142	2,098	9,617	6,891
Communication expenses		104	109	448	489
Consultancy and professional charges		358	287	1,245	1,059
Depreciation and amortization expenses		590	722	2,619	2,944
Finance cost		51	62	221	277
Other expenses	2.19	540	726	3,497	3,588
Total expenses		26,398	25,070	105,933	100,397
Profit before tax		9,061	10,414	35,441	35,953
Tax expense:					
Current tax	2.16	2,408	830	10,836	7,306
Deferred tax	2.16	25	1,104	(963)	1,413
Profit for the period		6,628	8,480	25,568	27,234
Other comprehensive income					
<i>Items that will not be reclassified subsequently to profit or loss</i>					
Remeasurement of the net defined benefit liability/asset, net		(144)	36	(81)	128
Equity instruments through other comprehensive income, net		30	(12)	19	19
<i>Items that will be reclassified subsequently to profit or loss</i>					
Fair value changes on derivatives designated as cash flow hedge, net		(57)	28	(24)	11
Fair value changes on investments, net		63	34	191	129
Total other comprehensive income/ (loss), net of tax		(108)	86	105	287
Total comprehensive income for the period		6,520	8,566	25,673	27,521
Earnings per equity share					
Equity shares of par value ₹5/- each					
Basic (in ₹ per share)		15.96	20.43	61.58	65.62
Diluted (in ₹ per share)		15.93	20.41	61.46	65.56
Weighted average equity shares used in computing earnings per equity share					
Basic (in shares)	2.20	4,152,456,999	4,150,556,748	4,151,936,905	4,150,099,796
Diluted (in shares)	2.20	4,159,621,677	4,154,351,655	4,159,905,476	4,153,994,624

The accompanying notes form an integral part of the interim condensed standalone financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No:

117366W/W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

Condensed Statement of Changes in Equity

(In ₹ crore)

Particulars	Statement of Financial Position as at 31 March 2024												Total equity attributable to equity holders of the Company
	Equity Share Capital	Reserves & Surplus					Other Equity			Other comprehensive income			
		Capital reserve		Capital redemption reserve	Securities Premium	Retained earnings	General reserve	Share Options Outstanding Account	Special Economic Zone Re-investment reserve ⁽¹⁾	Equity Instruments through other comprehensive income	Effective portion of Cash flow hedges	Other items of other comprehensive income / (loss)	
		Capital reserve	Other reserves ⁽²⁾										
Balance as at April 1, 2023	2,074	54	2,862	169	133	52,183	2	878	9,654	260	(5)	(519)	67,745
Changes in equity for the period ended March 31, 2024													
Profit for the period	-	-	-	-	-	27,234	-	-	-	-	-	-	27,234
Remeasurement of the net defined benefit liability/asset, net*	-	-	-	-	-	-	-	-	-	-	-	128	128
Equity instruments through other comprehensive income, net*	-	-	-	-	-	-	-	-	-	19	-	-	19
Fair value changes on derivatives designated as cash flow hedge, net*	-	-	-	-	-	-	-	-	-	-	11	-	11
Fair value changes on investments, net*	-	-	-	-	-	-	-	-	-	-	-	129	129
Total comprehensive income for the period	-	-	-	-	-	27,234	-	-	-	19	11	257	27,521
Transferred to Special Economic Zone Re-investment reserve	-	-	-	-	-	(2,957)	-	-	2,957	-	-	-	-
Transferred from Special Economic Zone Re-investment reserve on utilization	-	-	-	-	-	824	-	-	(824)	-	-	-	-
Transferred on account of exercise of stock options (Refer to note 2.11)	-	-	-	-	447	-	-	(447)	-	-	-	-	-
Transferred on account of options not exercised	-	-	-	-	-	-	160	(160)	-	-	-	-	-
Shares issued on exercise of employee stock options (Refer to note 2.11)	1	-	-	-	-	-	-	-	-	-	-	-	1
Employee stock compensation expense (Refer to note 2.11)	-	-	-	-	-	-	-	639	-	-	-	-	639
Income tax benefit arising on exercise of stock options	-	-	-	-	-	-	-	3	-	-	-	-	3
Dividends	-	-	-	-	-	(14,733)	-	-	-	-	-	-	(14,733)
Balance as at March 31, 2024	2,075	54	2,862	169	580	62,551	162	913	11,787	279	6	(262)	81,176

Particulars	Other Equity													Total equity attributable to equity holders of the Company
	Equity Share Capital	Reserves & Surplus		Capital redemption reserve	Securities Premium	Retained earnings	General reserve	Share Options Outstanding Account	Special Economic Zone Re-investment reserve ⁽¹⁾	Other comprehensive income				
		Capital reserve	Other reserves ⁽²⁾							Equity Instruments through other comprehensive income	Effective portion of Cash flow hedges	Other items of other comprehensive income / (loss)		
	Capital reserve	Other reserves ⁽²⁾												
Balance as at April 1, 2024	2,075	54	2,862	169	580	62,551	162	913	11,787	279	6	(262)	81,176	
Changes in equity for the period ended March 31, 2025														
Profit for the period	-	-	-	-	-	25,568	-	-	-	-	-	-	25,568	
Remeasurement of the net defined benefit liability/asset, net*	-	-	-	-	-	-	-	-	-	-	-	(81)	(81)	
Equity instruments through other comprehensive income, net*	-	-	-	-	-	-	-	-	-	19	-	-	19	
Fair value changes on derivatives designated as cash flow hedge, net*	-	-	-	-	-	-	-	-	-	-	(24)	-	(24)	
Fair value changes on investments, net*	-	-	-	-	-	-	-	-	-	-	-	191	191	
Total comprehensive income for the period	-	-	-	-	-	25,568	-	-	-	19	(24)	110	25,673	
Transferred from Special Economic Zone Re-investment reserve on utilization	-	-	-	-	-	821	-	-	(821)	-	-	-	-	
Transferred from Special Economic Zone Re-investment reserve to retained earnings	-	-	-	-	-	2,999	-	-	(2,999)	-	-	-	-	
Transferred to Special Economic Zone Re-investment reserve	-	-	-	-	-	(74)	-	-	74	-	-	-	-	
Transferred on account of exercise of stock options (Refer to note 2.11)	-	-	-	-	472	-	-	(472)	-	-	-	-	-	
Transferred on account of options not exercised	-	-	-	-	-	-	197	(197)	-	-	-	-	-	
Shares issued on exercise of employee stock options (Refer to note 2.11)	1	-	-	-	2	-	-	-	-	-	-	-	3	
Employee stock compensation expense (Refer to note 2.11)	-	-	-	-	-	-	-	786	-	-	-	-	786	
Income tax benefit arising on exercise of stock options	-	-	-	-	-	-	-	39	-	-	-	-	39	
Dividends	-	-	-	-	-	(20,345)	-	-	-	-	-	-	(20,345)	
Balance as at March 31, 2025	2,076	54	2,862	169	1,054	71,520	359	1,069	8,041	298	(18)	(152)	87,332	

*net of tax

⁽¹⁾ The Special Economic Zone Re-investment Reserve has been created out of the profit of eligible SEZ units in terms of the provisions of Sec 10AA(1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Company for acquiring new plant and machinery for the purpose of its business in the terms of the Sec 10AA(2) of the Income Tax Act, 1961.

⁽²⁾ Profit / loss on transfer of business between entities under common control taken to reserve.

The accompanying notes form an integral part of the interim condensed standalone financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No:

117366W/W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INFOSYS LIMITED

Condensed Statement of Cash Flows

Accounting Policy

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. The Company considers all highly liquid investments that are readily convertible to known amounts of cash to be cash equivalents.

(In ₹ crore)			
Particulars	Note No.	Year ended March 31,	
		2025	2024
Cash flow from operating activities			
Profit for the period		25,568	27,234
Adjustments to reconcile net profit to net cash provided by operating activities			
Depreciation and Amortization		2,619	2,944
Income tax expense	2.16	9,873	8,719
Impairment loss recognized / (reversed) under expected credit loss model		(7)	130
Finance cost		221	277
Interest and dividend income		(3,699)	(4,670)
Stock compensation expense		712	575
Provision for post sale client support		(114)	77
Exchange differences on translation of assets and liabilities, net		170	63
Interest receivable on income tax refund		(327)	(1,934)
Other adjustments		165	235
Changes in assets and liabilities			
Trade receivables and unbilled revenue		(2,994)	(2,933)
Loans, other financial assets and other assets		(1,942)	(1,645)
Trade payables		236	67
Other financial liabilities, other liabilities and provisions		3,529	(117)
Cash generated from operations		34,010	29,022
Income taxes paid		(4,601)	(8,235)
Net cash generated by operating activities		29,409	20,787
Cash flow from investing activities			
Expenditure on property, plant and equipment		(1,587)	(1,832)
Deposits placed with corporation		(1,026)	(688)
Redemption of deposits placed with corporation		593	522
Interest and dividend received		1,672	1,441
Dividend received from subsidiary		1,522	2,976
Loan given to subsidiaries		(10)	-
Loan repaid by subsidiaries		-	4
Investment in subsidiaries		(4,361)	(63)
Payment towards acquisition of entities		(184)	-
Receipt / (payment) towards business transfer for entities under common control		-	35
Receipt / (payment) from entities under liquidation		-	80
Other receipts		2	123
Payments to acquire investments			
Liquid mutual fund units		(66,637)	(57,606)
Commercial papers		(6,058)	(9,405)
Certificates of deposit		(6,138)	(7,011)
Non-convertible debentures		(3,240)	(1,526)
Other investments		(25)	(2)
Proceeds on sale of investments			
Liquid mutual fund units		67,597	56,124
Tax free bonds and government bonds		105	150
Non-convertible debentures		2,376	955
Certificates of deposit		5,984	6,962
Commercial papers		7,260	5,475
Government Securities		200	5
Other investments		12	20
Net cash used in investing activities		(1,943)	(3,261)

(In ₹ crore)

Particulars	Note No.	Year ended March 31,	
		2025	2024
Cash flow from financing activities			
Payment of Lease Liabilities		(859)	(850)
Shares issued on exercise of employee stock options		3	1
Other payments		(186)	(243)
Payment of dividends		(20,337)	(14,733)
Net cash used in financing activities		(21,379)	(15,825)
Net increase / (decrease) in cash and cash equivalents		6,087	1,701
Effect of exchange differences on translation of foreign currency cash and cash equivalents		(13)	(44)
Cash and cash equivalents at the beginning of the period	2.8	8,191	6,534
Cash and cash equivalents at the end of the period	2.8	14,265	8,191
Supplementary information:			
Restricted cash balance	2.8	45	44

The accompanying notes form an integral part of the interim condensed standalone financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No:

117366W/W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
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Nandan M. Nilekani
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Chief Executive Officer
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DIN: 01876159

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DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

Overview and Notes to the Interim Condensed Standalone Financial Statements**1. Overview****1.1 Company overview**

Infosys Limited ('the Company' or Infosys) provides consulting, technology, outsourcing and next-generation digital services, to enable clients to execute strategies for their digital transformation. Infosys strategic objective is to build a sustainable organization that remains relevant to the agenda of clients, while creating growth opportunities for employees and generating profitable returns for investors. Infosys strategy is to be a navigator for our clients as they ideate, plan and execute on their journey to a digital future.

The Company is a public limited company incorporated and domiciled in India and has its registered office at Electronics City, Hosur Road, Bengaluru 560100, Karnataka, India. The company has its primary listings on the BSE Ltd. and National Stock Exchange of India Limited. The Company's American Depositary Shares (ADS) representing equity shares are listed on the New York Stock Exchange (NYSE).

The interim condensed standalone financial statements are approved for issue by the Company's Board of Directors on April 17, 2025.

1.2 Basis of preparation of financial statements

These interim condensed standalone financial statements are prepared in compliance with Indian Accounting Standard (Ind AS) 34 Interim Financial Reporting, under the historical cost convention on accrual basis except for certain financial instruments which are measured at fair values, defined benefit liability/(asset) which is recognised at the present value of defined benefit obligation less fair value of plan assets, the provisions of the Companies Act, 2013 ('the Act') and guidelines issued by the Securities and Exchange Board of India (SEBI). Accordingly, these interim condensed consolidated financial statements do not include all the information required for a complete set of financial statements. These interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in the Company's Annual Report for the year ended March 31, 2024. The Ind AS are prescribed under Section 133 of the Act read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 and relevant amendment rules issued thereafter.

Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use. The material accounting policy information used in preparation of the audited interim condensed standalone financial statements have been discussed in the respective notes.

As the quarter and year-end figures are taken from the source and rounded to the nearest digits, the quarter figures in this statement added up to the figures reported for the previous quarters might not always add up to the year-end figures reported in this statement.

1.3 Use of estimates and judgments

The preparation of the interim condensed standalone financial statements in conformity with Ind AS requires the management to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the interim condensed standalone financial statements and reported amounts of revenues and expenses during the period. The application of accounting policies that require critical accounting estimates involving complex and subjective judgments and the use of assumptions in these financial statements have been disclosed in Note no. 1.4. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates and judgements are reflected in the interim condensed standalone financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the interim condensed standalone financial statements.

1.4 Critical accounting estimates and judgments**a. Revenue recognition**

The Company's contracts with customers include promises to transfer multiple products and services to a customer. Revenues from customer contracts are considered for recognition and measurement when the contract has been approved, in writing, by the parties to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. The Company assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables, and allocation of transaction price to these distinct performance obligations involves significant judgement.

Fixed price maintenance revenue is recognized ratably on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period. Revenue from fixed price maintenance contract is recognized ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and Company's costs to fulfil the contract is not even through the period of the contract because the services are generally discrete in nature and not repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables.

The Company uses the percentage-of-completion method in accounting for other fixed-price contracts. Use of the percentage-of-completion method requires the Company to determine the actual efforts or costs expended to date as a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Company is acting as an agent between the customer and the vendor, and gross when the Company is the principal for the transaction. In doing so, the Company first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Company considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

b. Income taxes

The Company's two major tax jurisdictions are India and the United States, though the Company also files tax returns in other overseas jurisdictions.

Significant judgments are involved in determining the provision for income taxes, including amount expected to be paid/recovered for uncertain tax positions.

In assessing the realizability of deferred income tax assets, Management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. Management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, management believes that the company will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced. (Refer to note 2.16).

c. Property, plant and equipment

Property, plant and equipment represent a significant proportion of the asset base of the Company. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of Company's assets are determined by the management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology. (Refer to note 2.1).

2.1 PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

Property, plant and equipment are stated at cost, less accumulated depreciation and impairment, if any. Costs directly attributable to acquisition are capitalized until the property, plant and equipment are ready for use, as intended by the Management. The charge in respect of periodic depreciation is derived at after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The Company depreciates property, plant and equipment over their estimated useful lives using the straight-line method.

The estimated useful lives of assets are as follows:

Building ⁽¹⁾	22-25 years
Plant and machinery ⁽¹⁾	5 years
Office equipment	5 years
Computer equipment ⁽¹⁾	3-5 years
Furniture and fixtures ⁽¹⁾	5 years
Vehicles ⁽¹⁾	5 years
Leasehold improvements	Lower of useful life of the asset or lease term

⁽¹⁾ Based on technical evaluation, the Management believes that the useful lives as given above best represent the period over which Management expects to use these assets. Hence, the useful lives for these assets is different from the useful lives as prescribed under Part C of Schedule II of the Companies Act 2013.

Depreciation methods, useful lives and residual values are reviewed periodically, including at each financial year end. The useful lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology.

Advances paid towards the acquisition of property, plant and equipment outstanding at each Balance Sheet date is classified as capital advances under other non-current assets and the cost of assets not ready to use before such date are disclosed under 'Capital work-in-progress'. Subsequent expenditures relating to property, plant and equipment is capitalized only when it is probable that future economic benefits associated with these will flow to the Company and the cost of the item can be measured reliably. The cost and related accumulated depreciation are eliminated from the financial statements upon sale or retirement of the asset.

Impairment

Property, plant and equipment are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in the interim condensed Statement of Profit and Loss is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in the interim condensed Statement of Profit and Loss if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated depreciation) had no impairment loss been recognized for the asset in prior years.

The changes in the carrying value of property, plant and equipment for the three months ended March 31, 2025 are as follows:

(In ₹ crore)

Particulars	Land-Freehold	Buildings ⁽¹⁾⁽²⁾	Plant and machinery ⁽²⁾	Office Equipment ⁽²⁾	Computer equipment ⁽²⁾	Furniture and fixtures ⁽²⁾	Leasehold Improvements	Vehicles	Total
Gross carrying value as at January 1, 2025	1,430	10,623	3,241	1,421	7,439	2,162	945	45	27,306
Additions	47	3	6	15	576	6	17	1	671
Deletions**	-	(5)	(9)	(13)	(98)	(42)	(181)	-	(348)
Gross carrying value as at March 31, 2025	1,477	10,621	3,238	1,423	7,917	2,126	781	46	27,629
Accumulated depreciation as at January 1, 2025	-	(4,867)	(2,856)	(1,183)	(5,921)	(1,801)	(770)	(42)	(17,440)
Depreciation	-	(98)	(40)	(24)	(238)	(36)	(22)	(1)	(459)
Accumulated depreciation on deletions**	-	1	8	12	97	41	181	-	340
Accumulated depreciation as at March 31, 2025	-	(4,964)	(2,888)	(1,195)	(6,062)	(1,796)	(611)	(43)	(17,559)
Carrying value as at January 1, 2025	1,430	5,756	385	238	1,518	361	175	3	9,866
Carrying value as at March 31, 2025	1,477	5,657	350	228	1,855	330	170	3	10,070

The changes in the carrying value of property, plant and equipment for the three months ended March 31, 2024 are as follows:

(In ₹ crore)

Particulars	Land-Freehold	Buildings ⁽¹⁾⁽²⁾	Plant and machinery ⁽²⁾	Office Equipment ⁽²⁾	Computer equipment ⁽²⁾	Furniture and fixtures ⁽²⁾	Leasehold Improvements	Vehicles	Total
Gross carrying value as at January 1, 2024	1,430	10,403	3,154	1,354	7,240	2,141	977	45	26,744
Additions	-	276	76	29	298	48	16	-	743
Deletions*	-	-	(16)	(13)	(159)	(29)	(30)	-	(247)
Gross carrying value as at March 31, 2024	1,430	10,679	3,214	1,370	7,379	2,160	963	45	27,240
Accumulated depreciation as at January 1, 2024	-	(4,475)	(2,694)	(1,123)	(5,373)	(1,680)	(722)	(42)	(16,109)
Depreciation	-	(100)	(54)	(28)	(277)	(53)	(39)	-	(551)
Accumulated depreciation on deletions*	-	-	16	12	153	24	28	-	233
Accumulated depreciation as at March 31, 2024	-	(4,575)	(2,732)	(1,139)	(5,497)	(1,709)	(733)	(42)	(16,427)
Carrying value as at January 1, 2024	1,430	5,928	460	231	1,867	461	255	3	10,635
Carrying value as at March 31, 2024	1,430	6,104	482	231	1,882	451	230	3	10,813

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2025 are as follows:

(In ₹ crore)

Particulars	Land-Freehold	Buildings ⁽¹⁾⁽²⁾	Plant and machinery ⁽²⁾	Office Equipment ⁽²⁾	Computer equipment ⁽²⁾	Furniture and fixtures ⁽²⁾	Leasehold Improvements	Vehicles	Total
Gross carrying value as at April 1, 2024	1,430	10,679	3,214	1,370	7,379	2,160	963	45	27,240
Additions	47	32	45	97	1,013	47	68	2	1,351
Deletions**	-	(90)	(21)	(44)	(475)	(81)	(250)	(1)	(962)
Gross carrying value as at March 31, 2025	1,477	10,621	3,238	1,423	7,917	2,126	781	46	27,629
Accumulated depreciation as at April 1, 2024	-	(4,575)	(2,732)	(1,139)	(5,497)	(1,709)	(733)	(42)	(16,427)
Depreciation	-	(402)	(176)	(99)	(1,034)	(166)	(125)	(2)	(2,004)
Accumulated depreciation on deletions**	-	13	20	43	469	79	247	1	872
Accumulated depreciation as at March 31, 2025	-	(4,964)	(2,888)	(1,195)	(6,062)	(1,796)	(611)	(43)	(17,559)
Carrying value as at April 1, 2024	1,430	6,104	482	231	1,882	451	230	3	10,813
Carrying value as at March 31, 2025	1,477	5,657	350	228	1,855	330	170	3	10,070

** During the three months and year ended March 31, 2025, certain assets which were not in use having gross book value of ₹76 crore (net book value: Nil) and ₹411 crore (net book value: Nil), respectively were retired.

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2024 are as follows:

(In ₹ crore)

Particulars	Land-Freehold	Buildings ⁽¹⁾⁽²⁾	Plant and machinery ⁽²⁾	Office Equipment ⁽²⁾	Computer equipment ⁽²⁾	Furniture and fixtures ⁽²⁾	Leasehold Improvements	Vehicles	Total
Gross carrying value as at April 1, 2023	1,429	10,445	3,144	1,314	7,235	2,129	968	45	26,709
Additions	1	289	119	90	765	100	70	1	1,435
Additions through business transfer	-	-	-	2	12	8	12	-	34
Deletions*	-	(55)	(49)	(36)	(633)	(77)	(87)	(1)	(938)
Gross carrying value as at March 31, 2024	1,430	10,679	3,214	1,370	7,379	2,160	963	45	27,240
Accumulated depreciation as at April 1, 2023	-	(4,223)	(2,558)	(1,060)	(4,977)	(1,549)	(646)	(40)	(15,053)
Depreciation	-	(407)	(223)	(114)	(1,144)	(230)	(171)	(3)	(2,292)
Accumulated depreciation on deletions*	-	55	49	35	624	70	84	1	918
Accumulated depreciation as at March 31, 2024	-	(4,575)	(2,732)	(1,139)	(5,497)	(1,709)	(733)	(42)	(16,427)
Carrying value as at April 1, 2023	1,429	6,222	586	254	2,258	580	322	5	11,656
Carrying value as at March 31, 2024	1,430	6,104	482	231	1,882	451	230	3	10,813

* During the three months and year ended March 31, 2024, certain assets which were not in use having gross book value of ₹156 crore (net book value: Nil) and ₹646 crore (net book value: Nil), respectively were retired.

⁽¹⁾ Buildings include ₹250/- being the value of five shares of ₹50/- each in Mittal Towers Premises Co-operative Society Limited.

⁽²⁾ Includes certain assets provided on cancellable operating lease to subsidiaries.

The aggregate depreciation has been included under depreciation and amortization expense in the statement of Profit and Loss.

Repairs and maintenance costs are recognized in the statement of Profit and Loss when incurred.

2.2 GOODWILL AND INTANGIBLE ASSETS

2.2.1 Goodwill

Following is a summary of changes in the carrying amount of goodwill:

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Carrying value at the beginning	211	211
Carrying value at the end	211	211

2.2.2 Other Intangible Assets

Accounting Policy

Intangible assets are stated at cost less accumulated amortization and impairment. Intangible assets are amortized over their respective individual estimated useful lives on a straight-line basis, from the date that they are available for use. The estimated useful life of an identifiable intangible asset is based on a number of factors including the effects of obsolescence, demand, competition, and other economic factors (such as the stability of the industry, and known technological advances), and the level of maintenance expenditures required to obtain the expected future cash flows from the asset. Amortization methods and useful lives are reviewed periodically including at each financial year end.

Research costs are expensed as incurred. Software product development costs are expensed as incurred unless technical and commercial feasibility of the project is demonstrated, future economic benefits are probable, the Company has an intention and ability to complete and use or sell the software and the costs can be measured reliably. The costs which can be capitalized include the cost of material, direct labor, overhead costs that are directly attributable to prepare the asset for its intended use.

2.3 LEASES

Accounting Policy

The Company as a lessee

The Company's lease asset classes primarily consist of leases for land, buildings and computers. The Company assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether: (i) the contract involves the use of an identified asset (ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Company has the right to direct the use of the asset.

At the date of commencement of the lease, the Company recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Company recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

As a lessee, the Company determines the lease term as the non-cancellable period of a lease adjusted with any option to extend or terminate the lease, if the use of such option is reasonably certain. The Company makes an assessment on the expected lease term on a lease-by-lease basis and thereby assesses whether it is reasonably certain that any options to extend or terminate the contract will be exercised. In evaluating the lease term, the Company considers factors such as any significant leasehold improvements undertaken over the lease term, costs relating to the termination of the lease and the importance of the underlying asset to Infosys's operations taking into account the location of the underlying asset and the availability of suitable alternatives. The lease term in future periods is reassessed to ensure that the lease term reflects the current economic circumstances.

Certain lease arrangements include the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. Right-of-use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related right of use asset if the Company changes its assessment if whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

The Company as a lessor

Leases for which the Company is a lessor is classified as a finance or operating lease. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

When the Company is an intermediate lessor, it accounts for its interests in the head lease and the sublease separately. The sublease is classified as a finance or operating lease by reference to the right-of-use asset arising from the head lease.

For operating leases, rental income is recognized on a straight line basis over the term of the relevant lease.

Following are the changes in the carrying value of right-of-use assets for the three months ended March 31, 2025:

Particulars	Category of ROU asset			Total
	Land	Buildings	Computers	
Balance as at January 1, 2025	531	2,092	502	3,125
Additions*	-	212	48	260
Deletions	-	(107)	(68)	(175)
Depreciation / Amortization	(1)	(92)	(39)	(132)
Balance as at March 31, 2025	530	2,105	443	3,078

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right-of-use assets for the three months ended March 31, 2024:

Particulars	Category of ROU asset			Total
	Land	Buildings	Computers	
Balance as at January 1, 2024	535	2,435	517	3,487
Additions*	-	45	49	94
Deletions	-	(91)	(16)	(107)
Depreciation / Amortization	(1)	(123)	(47)	(171)
Balance as at March 31, 2024	534	2,266	503	3,303

* Net of adjustments on account of modifications and lease incentives

Following are the changes in the carrying value of right of use assets for the year ended March 31, 2025:

Particulars	Category of ROU asset			Total
	Land	Buildings	Computers	
Balance as at April 1, 2024	534	2,266	503	3,303
Additions*	-	430	353	783
Deletions	-	(181)	(207)	(388)
Depreciation / Amortization	(4)	(410)	(206)	(620)
Balance as at March 31, 2025	530	2,105	443	3,078

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right of use assets for the year ended March 31, 2024:

Particulars	Category of ROU asset			(In ₹ crore)
	Land	Buildings	Computers	Total
Balance as at April 1, 2023	548	2,669	344	3,561
Additions*	-	336	420	756
Deletions	(10)	(169)	(92)	(271)
Impairment	-	(88)	-	(88)
Depreciation / Amortization	(4)	(482)	(169)	(655)
Balance as at March 31, 2024	534	2,266	503	3,303

* Net of adjustments on account of modifications and lease incentives

The aggregate depreciation expense on ROU assets is included under depreciation and amortization expense in the interim condensed statement of Profit and Loss.

The following is the break-up of current and non-current lease liabilities as at March 31, 2025 and March 31, 2024:

Particulars	As at		(In ₹ crore)
	March 31, 2025	March 31, 2024	
Current lease liabilities	765	678	
Non-current lease liabilities	2,694	3,088	
Total	3,459	3,766	

2.4 INVESTMENTS

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Non-current investments		
Equity instruments of subsidiaries	13,724	9,150
Redeemable Preference shares of subsidiary	2,831	2,831
Preference securities and equity securities	251	206
Target maturity fund units	465	431
Others	61	84
Tax free bonds	1,465	1,731
Government bonds	14	14
Non-convertible debentures	3,320	2,216
Government Securities	5,240	6,689
Total non-current investments	27,371	23,352
Current investments		
Liquid mutual fund units	1,185	1,913
Commercial Papers	3,442	4,507
Certificates of deposit	3,257	2,945
Tax free bonds	154	-
Government Securities	1,560	204
Non-convertible debentures	1,549	1,738
Total current investments	11,147	11,307
Total carrying value	38,518	34,659

Particulars	(In ₹ crore, except as otherwise stated)	
	As at	
	March 31, 2025	March 31, 2024
Non-current investments		
Unquoted		
Investment carried at cost		
Investments in equity instruments of subsidiaries		
Infosys BPM Limited	662	662
33,828 (33,828) equity shares of ₹10,000/- each, fully paid up		
Infosys Technologies (China) Co. Limited	369	369
Infosys Technologies, S. de R.L. de C.V., Mexico	65	65
17,49,99,990 (17,49,99,990) equity shares of MXN 1 par value, fully paid up		
Infosys Technologies (Sweden) AB	76	76
1,000 (1,000) equity shares of SEK 100 par value, fully paid		
Infosys Technologies (Shanghai) Company Limited	1,010	1,010
Infosys Public Services, Inc.	99	99
3,50,00,000 (3,50,00,000) shares of USD 0.50 par value, fully paid		
Infosys Consulting Holding AG	1,323	1,323
23,350 (23,350) - Class A shares of CHF 1,000 each and		
26,460 (26,460) - Class B Shares of CHF 100 each, fully paid up		
EdgeVerve Systems Limited	1,312	1,312
1,31,18,40,000 (1,31,18,40,000) equity shares of ₹10/- each, fully paid up		
Infosys Nova Holdings LLC [#]	3,017	2,637
Infosys Singapore Pte Ltd	4,327	10
2,73,19,411 (1,09,90,000) shares		
Brilliant Basics Holding Limited	59	59
1,346 (1,346) shares of GBP 0.005 each, fully paid up		
Infosys Arabia Limited	2	2
70 (70) shares		
Panaya Inc.	582	582
2 (2) shares of USD 0.01 per share, fully paid up		
Infosys Chile SpA	7	7
100 (100) shares		
WongDoody, Inc.	-	380
Nil (100) shares		
Infosys Luxembourg S.a r.l.	26	26
30,000 (30,000) shares		
Infosys Austria GmbH	-	-
80,000 (80,000) shares of EUR 1 par value, fully paid up		
Infosys Consulting Brazil	337	337
27,50,71,070 (27,50,71,070) shares of BRL 1 per share, fully paid up		
Infosys Consulting S.R.L. (Romania)	34	34
99,183 (99,183) shares of RON 100 per share, fully paid up		
Infosys Limited Bulgaria EOOD	2	2
4,58,000 (4,58,000) shares of BGN 1 per share, fully paid up		
Infosys Germany Holdings GmbH	2	2
25,000 (25,000) shares EUR 1 per share, fully paid up		
Infosys Green Forum	1	1
10,00,000 (10,00,000) shares ₹10 per share, fully paid up		
Infosys Automotive and Mobility GmbH	15	15
Infosys Turkey Bilgi Teknolojileri Limited Sirketi	79	48
27,70,326 (15,08,060) share Turkish Liras 100 (10,000) per share, fully paid up		
Infosys Consulting S.R.L. (Argentina)	2	2
2,94,500 (2,94,500) shares AR\$ 100 per share, fully paid up		
Infosys Business Solutions LLC	8	8
10,000 (10,000) shares USD 100 per share, fully paid up		
Idunn Information Technology Private Limited	82	82
3,27,788 (3,27,788) shares ₹ 10 per share fully paid up		
InSemi Technology Services Private Limited ⁽²⁾	198	-
10,33,440 (Nil) shares ₹ 10 per share fully paid up		
in-tech Group India Private Limited	15	-
10,000 (Nil) shares ₹ 10 per share fully paid up		
Infosys Services (Thailand) Limited	13	-
49,99,998 (Nil) shares THB 10 per share fully paid up		
Investments in Redeemable Preference shares of subsidiary		
Infosys Singapore Pte Ltd	2,831	2,831
51,02,00,000 (51,02,00,000) shares		
	16,555	11,981

Particulars	(In ₹ crore, except as otherwise stated)	
	As at	
	March 31, 2025	March 31, 2024
Investments carried at fair value through profit or loss		
Target maturity fund units	465	431
Equity and Preference securities	25	-
Others ⁽¹⁾	61	84
	551	515
Investments carried at fair value through other comprehensive income		
Preference securities	167	91
Equity securities	2	2
	169	93
Quoted		
Investments carried at amortized cost		
Tax free bonds	1,465	1,731
Government bonds	14	14
	1,479	1,745
Investments carried at fair value through other comprehensive income		
Non-convertible debentures	3,320	2,216
Equity Securities	57	113
Government Securities	5,240	6,689
	8,617	9,018
Total non-current investments	27,371	23,352
Current investments		
Unquoted		
Investments carried at fair value through profit or loss		
Liquid mutual fund units	1,185	1,913
	1,185	1,913
Investments carried at fair value through other comprehensive income		
Commercial Papers	3,442	4,507
Certificates of deposit	3,257	2,945
	6,699	7,452
Quoted		
Investments carried at amortized cost		
Tax free bonds	154	-
	154	-
Investments carried at fair value through other comprehensive income		
Government Securities	1,560	204
Non-convertible debentures	1,549	1,738
	3,109	1,942
Total current investments	11,147	11,307
Total investments	38,518	34,659
Aggregate amount of quoted investments	13,359	12,705
Market value of quoted investments (including interest accrued), current	3,266	1,942
Market value of quoted investments (including interest accrued), non-current	10,269	10,978
Aggregate amount of unquoted investments	25,159	21,954
# Aggregate amount of impairment in value of investments	94	94
Reduction in the fair value of assets held for sale	854	854
Investments carried at cost	16,555	11,981
Investments carried at amortized cost	1,633	1,745
Investments carried at fair value through other comprehensive income	18,594	18,505
Investments carried at fair value through profit or loss	1,736	2,428

⁽¹⁾ Uncalled capital commitments outstanding as of March 31, 2025 and March 31, 2024 was ₹27 crore and ₹5 crore, respectively.

⁽²⁾ On May 10, 2024, Infosys Ltd acquired 100% voting interests in InSemi Technology Services Private Limited, a semiconductor design services company headquartered in India. This acquisition is expected to strengthen our expertise in semiconductor ecosystem and Engineering R&D services. The business acquisition was conducted by entering into a share purchase agreement for a total consideration of ₹198 crore as on acquisition date, which includes a cash consideration of ₹168 crore and contingent consideration with an estimated fair value of ₹30 crore as on the date of acquisition.

At the acquisition date, the key inputs used in determination of the fair value of contingent consideration are the probabilities assigned towards achievement of financial targets and discount rate of 5.9%. The undiscounted value of contingent consideration as of March 31, 2025 was ₹33 crore.

Refer to note 2.10 for accounting policies on financial instruments.

Method of fair valuation:

Class of investment	Method	(In ₹ crore)	
		Fair value as at	
		March 31, 2025	March 31, 2024
Liquid mutual fund units - carried at fair value through profit or loss	Quoted price	1,185	1,913
Target maturity fund units - carried at fair value through profit or loss	Quoted price	465	431
Tax free bonds and government bonds - carried at amortized cost	Quoted price and market observable inputs	1,796	1,959
Non-convertible debentures - carried at fair value through other comprehensive income	Quoted price and market observable inputs	4,869	3,954
Government securities - carried at fair value through other comprehensive income	Quoted price and market observable inputs	6,800	6,893
Commercial Papers - carried at fair value through other comprehensive income	Market observable inputs	3,442	4,507
Certificates of deposit - carried at fair value through other comprehensive income	Market observable inputs	3,257	2,945
Quoted equity securities - carried at fair value through other comprehensive income	Quoted price	57	113
Unquoted equity and preference securities - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	25	-
Unquoted equity and preference securities - carried at fair value through other comprehensive income	Discounted cash flows method, Market multiples method, Option pricing model	169	93
Others - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	61	84
Total		22,126	22,892

Note : Certain quoted investments are classified as Level 2 in the absence of active market for such investments.

2.5 LOANS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non- Current		
Loan to subsidiary ⁽¹⁾	10	-
Loans considered good - Unsecured		
Other Loans		
Loans to employees	16	34
	26	34
Loans credit impaired - Unsecured		
Other Loans		
Loans to employees	-	-
Less: Allowance for credit impairment	-	-
	-	-
Total non - current loans	26	34
Current		
Loans considered good - Unsecured		
Other Loans		
Loans to employees	207	208
Total current loans	207	208
Total Loans	233	242
⁽¹⁾ Includes dues from subsidiaries	10	-

2.6 OTHER FINANCIAL ASSETS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Security deposits ⁽¹⁾	205	205
Unbilled revenues ^{(1)(5)#}	1,904	1,366
Net investment in lease ⁽¹⁾	241	185
Total non-current other financial assets	2,350	1,756
Current		
Security deposits ⁽¹⁾	21	25
Restricted deposits ^{(1)*}	2,716	2,282
Unbilled revenues ^{(1)(5)#}	5,681	4,993
Interest accrued but not due ⁽¹⁾	739	476
Foreign currency forward and options contracts ⁽²⁾⁽³⁾	171	81
Net investment in lease ⁽¹⁾	228	134
Others ⁽¹⁾	3,013	2,138
Total current other financial assets	12,569	10,129
Total other financial assets	14,919	11,885
⁽¹⁾ Financial assets carried at amortized cost	14,748	11,804
⁽²⁾ Financial assets carried at fair value through other comprehensive income	28	23
⁽³⁾ Financial assets carried at fair value through Profit or Loss	143	58
⁽⁴⁾ Includes dues from subsidiaries	2,909	2,052
⁽⁵⁾ Includes dues from subsidiaries	198	153

* Restricted deposits represent deposit with financial institutions to settle employee related obligations as and when they arise during the normal course of business.

Classified as financial asset as right to consideration is unconditional and is due only after a passage of time.

2.7 TRADE RECEIVABLES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Current		
Trade Receivable considered good - Unsecured ⁽¹⁾	26,807	25,575
Less: Allowance for expected credit loss	394	423
Trade Receivable considered good - Unsecured	26,413	25,152
Trade Receivable - credit impaired - Unsecured	169	157
Less: Allowance for credit impairment	169	157
Trade Receivable - credit impaired - Unsecured	-	-
Total trade receivables ⁽²⁾	26,413	25,152
⁽¹⁾ Includes dues from subsidiaries	250	259
⁽²⁾ Includes dues from companies where directors are interested	-	-

2.8 CASH AND CASH EQUIVALENTS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Balances with banks		
In current and deposit accounts	14,265	8,191
Cash on hand	-	-
Total Cash and cash equivalents	14,265	8,191
Balances with banks in unpaid dividend accounts	45	37
Deposit with more than 12 months maturity	-	-

Cash and cash equivalents as at March 31, 2025 and March 31, 2024 include restricted cash and bank balances of ₹45 crore and ₹44 crore, respectively.

The deposits maintained by the Company with banks comprise of time deposits, which can be withdrawn by the Company at any point without prior notice or penalty on the principal.

2.9 OTHER ASSETS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Capital advances	206	151
Advances other than capital advances		
Others		
Prepaid expenses	154	68
Defined benefit plan assets	257	9
Deferred contract cost		
Cost of obtaining a contract	299	88
Cost of fulfillment	676	640
Unbilled revenues ⁽²⁾	119	58
Withholding taxes and others	512	655
Total non-current other assets	2,223	1,669
Current		
Advances other than capital advances		
Payment to vendors for supply of goods	373	325
Others		
Prepaid expenses ⁽¹⁾	2,003	1,886
Unbilled revenues ⁽²⁾	4,284	4,397
Deferred contract cost		
Cost of obtaining a contract	212	154
Cost of fulfillment	428	266
Withholding taxes and others	2,309	2,593
Other receivables ⁽¹⁾	9	15
Total current other assets	9,618	9,636
Total other assets	11,841	11,305

⁽¹⁾ Includes dues from subsidiaries

⁽²⁾ Classified as non-financial asset as the contractual right to consideration is dependent on completion of contractual milestones.

Withholding taxes and others primarily consist of input tax credits and VAT recoverable from tax authorities.

2.10 FINANCIAL INSTRUMENTS

Accounting Policy

2.10.1 Initial recognition

The Company recognizes financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are recognized at fair value on initial recognition, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities, which are not at fair value through profit or loss, are added to the fair value on initial recognition. Regular way purchase and sale of financial assets are accounted for at trade date.

2.10.2 Subsequent measurement

a. Non-derivative financial instruments

(i) Financial assets carried at amortized cost

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

(ii) Financial assets carried at fair value through other comprehensive income (FVOCI)

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The Company has made an irrevocable election for certain investments which are classified as equity instruments to present the subsequent changes in fair value in other comprehensive income based on its business model.

(iii) Financial assets carried at fair value through profit or loss (FVTPL)

A financial asset which is not classified in any of the above categories are subsequently fair valued through profit or loss.

(iv) Financial liabilities

Financial liabilities are subsequently carried at amortized cost using the effective interest method, except for contingent consideration recognized in a business combination which is subsequently measured at fair value through profit or loss.

(v) Investment in subsidiaries

Investment in subsidiaries is carried at cost in the separate financial statements.

b. Derivative financial instruments

The Company holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for such contracts is generally a bank.

(i) Financial assets or financial liabilities, carried at fair value through profit or loss.

This category includes derivative financial assets or liabilities which are not designated as hedges.

Although the Company believes that these derivatives constitute hedges from an economic perspective, they may not qualify for hedge accounting under Ind AS 109, Financial Instruments. Any derivative that is either not designated as hedge, or is so designated but is ineffective as per Ind AS 109, is categorized as a financial asset or financial liability, at fair value through profit or loss.

Derivatives not designated as hedges are recognized initially at fair value and attributable transaction costs are recognized in net profit in the Statement of Profit and Loss when incurred. Subsequent to initial recognition, these derivatives are measured at fair value through profit or loss and the resulting exchange gains or losses are included in other income. Assets/ liabilities in this category are presented as current assets/current liabilities if they are either held for trading or are expected to be realized within 12 months after the Balance Sheet date.

(ii) Cash flow hedge

Primarily, the Company designates certain foreign exchange forward and options contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transactions.

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. Any ineffective portion of changes in the fair value of the derivative is recognized immediately in the net profit in the condensed standalone Statement of Profit and Loss. If the hedging instrument no longer meets the criteria for hedge accounting, then hedge accounting is discontinued prospectively. If the hedging instrument expires or is sold, terminated or exercised, the cumulative gain or loss on the hedging instrument recognized in cash flow hedging reserve till the period the hedge was effective remains in cash flow hedging reserve until the forecasted transaction occurs. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the net profit in the condensed standalone Statement of Profit and Loss upon the occurrence of the related forecasted transaction. If the forecasted transaction is no longer expected to occur, then the amount accumulated in cash flow hedging reserve is reclassified to net profit in the condensed Statement of Profit and Loss.

2.10.3 Derecognition of financial instruments

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under Ind AS 109. A financial liability (or a part of a financial liability) is derecognized from the Company's Balance Sheet when the obligation specified in the contract is discharged or cancelled or expires.

2.10.4 Fair value of financial instruments

In determining the fair value of its financial instruments, the Company uses a variety of methods and assumptions that are based on market conditions and risks existing at each reporting date. The methods used to determine fair value include discounted cash flow analysis, option pricing model, market multiples, available quoted market prices and dealer quotes. All methods of assessing fair value result in general approximation of value, and such value may never actually be realized.

Refer to table 'Financial instruments by category' below for the disclosure on carrying value and fair value of financial assets and liabilities. For financial assets and liabilities maturing within one year from the Balance Sheet date and which are not carried at fair value, the carrying amounts approximate fair value due to the short maturity of these instruments.

2.10.5 Impairment

The Company recognizes loss allowances using the expected credit loss (ECL) model for the financial assets and unbilled revenues which are not fair valued through profit or loss. Loss allowance for trade receivables and unbilled revenues with no significant financing component is measured at an amount equal to lifetime ECL. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL.

The Company determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Company considers current and anticipated future economic conditions relating to industries the Company deals with and the countries where it operates.

The amount of ECLs (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recorded is recognized as an impairment loss or gain in condensed Statement of Profit and Loss.

Financial instruments by category

The carrying value and fair value of financial instruments by categories as at March 31, 2025 are as follows:

(In ₹ crore)							
Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to note 2.8)	14,265	-	-	-	-	14,265	14,265
Investments (Refer to note 2.4)							
Preference securities, Equity securities and others	-	25	61	226	-	312	312
Tax free bonds and government bonds	1,633	-	-	-	-	1,633	1,796 ⁽¹⁾
Liquid mutual fund units	-	-	1,185	-	-	1,185	1,185
Target maturity fund units	-	-	465	-	-	465	465
Commercial Papers	-	-	-	-	3,442	3,442	3,442
Certificates of deposit	-	-	-	-	3,257	3,257	3,257
Non convertible debentures	-	-	-	-	4,869	4,869	4,869
Government Securities	-	-	-	-	6,800	6,800	6,800
Trade receivables (Refer to note 2.7)	26,413	-	-	-	-	26,413	26,413
Loans (Refer to note 2.5)	233	-	-	-	-	233	233
Other financial assets (Refer to note 2.6) ⁽³⁾	14,748	-	143	-	28	14,919	14,839 ⁽²⁾
Total	57,292	25	1,854	226	18,396	77,793	77,876
Liabilities:							
Trade payables (Refer to note 2.13)	2,728	-	-	-	-	2,728	2,728
Lease liabilities (Refer to note 2.3)	3,459	-	-	-	-	3,459	3,459
Other financial liabilities (Refer to note 2.12)	13,593	-	54	-	33	13,680	13,680
Total	19,780	-	54	-	33	19,867	19,867

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on tax free bonds and government bonds carried at amortized cost of ₹80 crore

⁽³⁾ Excludes unbilled revenue on contracts where the right to consideration is dependent on completion of contractual milestones

The carrying value and fair value of financial instruments by categories as at March 31, 2024 were as follows:

carrying value and fair value of financial instruments by categories as at March 31, 2024 were as follows:

Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to note 2.8)	8,191	-	-	-	-	8,191	8,191
Investments (Refer to note 2.4)							
Preference securities, Equity securities and others	-	-	84	206	-	290	290
Tax free bonds and government bonds	1,745	-	-	-	-	1,745	1,959 ⁽¹⁾
Target maturity fund units	-	-	431	-	-	431	431
Liquid mutual fund units	-	-	1,913	-	-	1,913	1,913
Commercial Papers	-	-	-	-	4,507	4,507	4,507
Certificates of deposit	-	-	-	-	2,945	2,945	2,945
Non convertible debentures	-	-	-	-	3,954	3,954	3,954
Government Securities	-	-	-	-	6,893	6,893	6,893
Trade receivables (Refer to note 2.7)	25,152	-	-	-	-	25,152	25,152
Loans (Refer to note 2.5)	242	-	-	-	-	242	242
Other financial assets (Refer to note 2.6) ⁽³⁾	11,804	-	58	-	23	11,885	11,801 ⁽²⁾
Total	47,134	-	2,486	206	18,322	68,148	68,278
Liabilities:							
Trade payables (Refer to note 2.13)	2,493	-	-	-	-	2,493	2,493
Lease Liabilities (Refer to note 2.3)	3,766	-	-	-	-	3,766	3,766
Other financial liabilities (Refer to note 2.12)	11,569	-	20	-	1	11,590	11,590
Total	17,828	-	20	-	1	17,849	17,849

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on tax free bonds and government bonds carried at amortized cost of ₹84 crore

⁽³⁾ Excludes unbilled revenue on contracts where the right to consideration is dependent on completion of contractual milestones

For trade receivables, trade payables, other assets and payables maturing within one year from the Balance Sheet date, the carrying amounts approximate the fair value due to the short maturity of these instruments.

Fair value hierarchy

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 - Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2025 was as follows:

Particulars	As at March 31, 2025	(In ₹ crore)		
		Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.4)				
Investments in tax free bonds	1,781	1,227	554	-
Investments in government bonds	15	15	-	-
Investments in liquid mutual fund units	1,185	1,185	-	-
Investments in target maturity fund units	465	465	-	-
Investments in certificates of deposit	3,257	-	3,257	-
Investments in commercial papers	3,442	-	3,442	-
Investments in non convertible debentures	4,869	4,869	-	-
Investments in government securities	6,800	6,763	37	-
Investments in equity securities	59	57	-	2
Investments in preference securities	192	-	-	192
Other investments	61	-	-	61
Others				
Derivative financial instruments - gain (Refer to Note 2.6)	171	-	171	-
Liabilities				
Derivative financial instruments - loss (Refer to Note 2.12)	56	-	56	-
Liability towards contingent consideration (Refer to note 2.12) ⁽¹⁾	31	-	-	31

⁽¹⁾ Discount rate - 6%

During the year ended March 31, 2025, State government securities and non-convertible debentures of ₹36 crore and ₹261 crore were transferred from Level 2 to Level 1 of fair value hierarchy since these were valued based on quoted price. Further Tax free bond of ₹554 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2024 was as follows:

Particulars	As at March 31, 2024	(In ₹ crore)		
		Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.4)				
Investments in tax free bonds	1,944	1,944	-	-
Investments in target maturity fund units	431	431	-	-
Investments in government bonds	15	15	-	-
Investments in liquid mutual fund units	1,913	1,913	-	-
Investments in certificates of deposit	2,945	-	2,945	-
Investments in commercial papers	4,507	-	4,507	-
Investments in non convertible debentures	3,954	3,697	257	-
Investments in government securities	6,893	6,820	73	-
Investments in equity securities	115	113	-	2
Investments in preference securities	91	-	-	91
Other investments	84	-	-	84
Others				
Derivative financial instruments - gain	81	-	81	-
Liabilities				
Derivative financial instruments - loss	21	-	21	-

During the year ended March 31, 2024, tax free bonds and non-convertible debentures of ₹1,986 crore were transferred from Level 2 to Level 1 of fair value hierarchy since these were valued based on quoted price. Further government securities of ₹73 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

A one percentage point change in the unobservable inputs used in fair valuation of Level 3 assets and liabilities does not have a significant impact in its value.

Majority of investments of the Company are fair valued based on Level 1 or Level 2 inputs. These investments primarily include investment in liquid mutual fund units, target maturity fund units, tax free bonds, certificates of deposit, commercial papers, treasury bills, government securities, non-convertible debentures, quoted bonds issued by government and quasi-government organizations. The Company invests after considering counterparty risks based on multiple criteria including Tier I capital, Capital Adequacy Ratio, Credit Rating, Profitability, NPA levels and Deposit base of banks and financial institutions. These risks are monitored regularly as per Company's risk management program.

2.11 EQUITY

Accounting policy

Ordinary Shares

Ordinary shares are classified as equity share capital. Incremental costs directly attributable to the issuance of new ordinary shares, share options and buyback are recognized as a deduction from equity, net of any tax effects.

Description of reserves

Capital redemption reserve

In accordance with section 69 of the Indian Companies Act, 2013, the Company creates capital redemption reserve equal to the nominal value of the shares bought back as an appropriation from general reserve / retained earnings.

Retained earnings

Retained earnings represent the amount of accumulated earnings of the Company.

Securities premium

The amount received in excess of the par value of equity shares has been classified as securities premium. Amounts have been utilized for bonus issue and share buyback from share premium account.

Share options outstanding account

The Share options outstanding account is used to record the fair value of equity-settled share based payment transactions with employees. The amounts recorded in share options outstanding account are transferred to securities premium upon exercise of stock options and transferred to general reserve on account of stock options not exercised by employees.

Special Economic Zone Re-investment reserve

The Special Economic Zone Re-investment reserve has been created out of the profit of the eligible SEZ unit in terms of the provisions of Sec 10AA (1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Company for acquiring new plant and machinery for the purpose of its business in terms of the provisions of the Sec 10AA (2) of the Income Tax Act, 1961.

Other components of equity

Other components of equity include remeasurement of net defined benefit liability / asset, equity instruments fair valued through other comprehensive income, changes on fair valuation of investments and changes in fair value of derivatives designated as cash flow hedges, net of taxes.

Cash flow hedge reserve

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the condensed standalone Statement of Profit and Loss upon the occurrence of the related forecasted transaction.

2.11.1 EQUITY SHARE CAPITAL

(In ₹ crore, except as otherwise stated)

Particulars	As at	
	March 31, 2025	March 31, 2024
Authorized		
Equity shares, ₹5/- par value		
480,00,00,000 (480,00,00,000) equity shares	2,400	2,400
Issued, Subscribed and Paid-Up		
Equity shares, ₹5/- par value ⁽¹⁾	2,076	2,075
415,32,63,455 (415,08,67,464) equity shares fully paid-up	2,076	2,075

⁽¹⁾ Refer to note 2.20 for details of basic and diluted shares

Forfeited shares amounted to ₹1,500/- (₹1,500/-)

The Company has only one class of shares referred to as equity shares having a par value of ₹5/-. Each holder of equity shares is entitled to one vote per share. The equity shares represented by American Depository Shares (ADS) carry similar rights to voting and dividends as the other equity shares. Each ADS represents one underlying equity share.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the company in proportion to the number of equity shares held by the shareholders, after distribution of all preferential amounts. However, no such preferential amounts exist currently.

There are no voting, dividend or liquidation rights to the holders of options issued under the company's share option plans.

For details of shares reserved for issue under the employee stock option plan of the Company, refer to the note below.

The reconciliation of the number of shares outstanding and the amount of share capital as at March 31, 2025 and March 31, 2024 is set out below:

(in ₹ crore, except as stated otherwise)

Particulars	As at March 31, 2025		As at March 31, 2024	
	Number of shares	Amount	Number of shares	Amount
As at the beginning of the period	4,15,08,67,464	2,075	4,14,85,60,044	2,074
Add: Shares issued on exercise of employee stock options	2,395,991	1	2,307,420	1
As at the end of the period	4,15,32,63,455	2,076	4,15,08,67,464	2,075

Capital allocation policy

Effective fiscal 2025, the Company expects to continue its policy of returning approximately 85% of the free cash flow cumulatively over a 5-year period through a combination of semi-annual dividends and/or share buyback/ special dividends subject to applicable laws and requisite approvals, if any. Under this policy, the Company expects to progressively increase its annual dividend per share (excluding special dividend if any).

Free cash flow is defined as net cash provided by operating activities less capital expenditure as per the consolidated statement of cash flows prepared under IFRS. Dividend and buyback include applicable taxes.

The Company's objective when managing capital is to safeguard its ability to continue as a going concern and to maintain an optimal capital structure so as to maximize shareholder value. In order to maintain or achieve an optimal capital structure, the Company may adjust the amount of dividend payment, return capital to shareholders, issue new shares or buy back issued shares. As of March 31, 2025, the Company has only one class of equity shares and has no debt. Consequent to the above capital structure there are no externally imposed capital requirements.

2.11.2 DIVIDEND

The final dividend on shares is recorded as a liability on the date of approval by the shareholders and interim dividends are recorded as a liability on the date of declaration by the Company's Board of Directors. Income tax consequences of dividends on financial instruments classified as equity will be recognized according to where the entity originally recognized those past transactions or events that generated distributable profits.

The Company declares and pays dividends in Indian rupees. Companies are required to pay/distribute dividend after deducting applicable taxes. The remittance of dividends outside India is governed by Indian law on foreign exchange and is also subject to withholding tax at applicable rates.

The amount of per share dividend recognized as distribution to equity shareholders in accordance with Companies Act 2013 is as follows:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Interim dividend for fiscal 2025	-	-	21.00	-
Special dividend for fiscal 2024	-	-	8.00	-
Final dividend for fiscal 2024	-	-	20.00	-
Interim dividend for fiscal 2024	-	-	-	18.00
Final dividend for fiscal 2023	-	-	-	17.50

During the year ended March 31, 2025, on account of the final and special dividend for fiscal 2024 and interim dividend for fiscal 2025, the Company has incurred a net cash outflow of ₹20,345 crore.

The Board of Directors in their meeting held on April 17, 2025 recommended a final dividend of ₹22/- per equity share for the financial year ended March 31, 2025. The payment is subject to approval of shareholders in the AGM of the Company to be held on June 25, 2025 and if approved, would result in a net cash outflow of approximately ₹9,137 crore (excluding dividend paid on treasury shares).

2.11.3 Employee Stock Option Plan (ESOP):

Accounting Policy

The Company recognizes compensation expense relating to share-based payments in net profit based on estimated fair-values of the awards on the grant date. The estimated fair value of awards is recognized as an expense in the statement of profit and loss on a straight-line basis over the requisite service period for each separately vesting portion of the award as if the award was in-substance, multiple awards with a corresponding increase to share options outstanding account.

Infosys Expanded Stock Ownership Program 2019 (the 2019 Plan):

On June 22, 2019 pursuant to approval by the shareholders in the Annual General Meeting, the Board has been authorized to introduce, offer, issue and provide share-based incentives to eligible employees of the Company and its subsidiaries under the 2019 Plan. The maximum number of shares under the 2019 plan shall not exceed 5,00,00,000 equity shares. To implement the 2019 Plan, up to 4,50,00,000 equity shares may be issued by way of secondary acquisition of shares by Infosys Expanded Stock Ownership Trust. The Restricted Stock Units (RSUs) granted under the 2019 plan shall vest based on the achievement of defined annual performance parameters as determined by the administrator (Nomination and Remuneration Committee). The performance parameters will be based on a combination of relative Total Shareholder Return (TSR) against selected industry peers and certain broader market domestic and global indices and operating performance metrics of the company as decided by administrator. Each of the above performance parameters will be distinct for the purposes of calculation of quantity of shares to vest based on performance. These instruments will generally vest between a minimum of 1 to maximum of 3 years from the grant date.

2015 Stock Incentive Compensation Plan (the 2015 Plan):

On March 31, 2016, pursuant to the approval by the shareholders through postal ballot, the Board was authorized to introduce, offer, issue and allot share-based incentives to eligible employees of the Company and its subsidiaries under the 2015 Plan. The maximum number of shares under the 2015 plan shall not exceed 2,40,38,883 equity shares (this includes 1,12,23,576 equity shares which are held by the trust towards the 2011 Plan as at March 31, 2016). These instruments will generally vest over a period of 4 years. The plan numbers mentioned above are further adjusted with the September 2018 bonus issue.

The equity settled and cash settled RSUs and stock options would vest generally over a period of 4 years and shall be exercisable within the period as approved by the Nomination and Remuneration Committee (NARC). The exercise price of the RSUs will be equal to the par value of the shares and the exercise price of the stock options would be the market price as on the date of grant.

Controlled trust holds 96,55,927 shares and 10,916,829 shares as at March 31, 2025 and March 31, 2024, respectively under the 2015 plan. Out of these shares, 2,00,000 equity shares each have been earmarked for welfare activities of the employees as at March 31, 2025 and March 31, 2024.

The following is the summary of grants made during the three months and year ended March 31, 2025 and March 31, 2024:

Particulars	2019 Plan				2015 Plan			
	Three months ended March 31,		Year ended March 31,		Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024	2025	2024	2025	2024
Equity settled RSUs								
Key Management Personnel (KMP)	49,000	26,900	119,699	141,171	85,674	77,094	380,842	498,730
Employees other than KMP	3,617,798	3,582,471	3,624,646	4,046,731	1,722,470	3,442,700	1,874,690	4,640,640
Total Grants	3,666,798	3,609,371	3,744,345	4,187,902	1,808,144	3,519,794	2,255,532	5,139,370
Cash settled RSUs								
Key Management Personnel (KMP)	-	-	-	-	-	-	-	-
Employees other than KMP	-	-	-	-	94,050	169,040	94,050	176,990
Total Grants	3,666,798	3,609,371	3,744,345	4,187,902	1,902,194	3,688,834	2,349,582	5,316,360

Notes on grants to KMP:

CEO & MD

Under the 2015 plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee approved the following grants for fiscal 2025. In accordance with such approval the following grants were made effective May 2, 2024.

- 245,679 performance-based RSUs (Annual performance equity grant) of fair value of ₹34.75 crore. These RSUs will vest in line with the employment agreement based on achievement of certain performance targets.
- 14,140 performance-based grant of RSUs (Annual performance equity ESG grant) of fair value of ₹2 crore. These RSUs will vest in line with the employment agreement based on achievement of certain environment, social and governance milestones as determined by the Board.
- 35,349 performance-based grant of RSUs (Annual performance Equity TSR grant) of fair value of ₹5 crore. These RSUs will vest in line with the employment agreement based on Company's performance on cumulative relative TSR over the years and as determined by the Board.

Further, in accordance with the employee agreement which has been approved by the shareholders, the CEO is eligible to receive an annual grant of RSUs of fair value ₹3 crore which will vest overtime in three equal annual installments upon the completion of each year of service from the respective grant date. Accordingly, annual time-based grant of 16,204 RSUs was made effective February 1, 2025 for fiscal 2025.

Though the annual time based grants and annual performance equity TSR grant for the remaining employment term ending on March 31, 2027 have not been granted as of March 31, 2025, since the service commencement date precedes the grant date, the company has recorded employment stock compensation expense in accordance with Ind AS 102, Share based payment. The grant date for this purpose in accordance with Ind AS 102, Share based payment is July 1, 2022.

Under the 2019 plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee, approved performance-based grant of RSUs amounting to ₹10 crore for fiscal 2025 under the 2019 Plan. These RSUs will vest based on achievement of certain performance targets. Accordingly, 70,699 performance based RSU's were granted effective May 2, 2024.

Other KMP

Under the 2015 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved 69,470 time based RSUs to other KMP under the 2015 plan. Time based RSUs will vest over four years.

Under the 2019 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved performance based grants of 49,000 RSUs to other KMPs under the 2019 plan. These RSUs will vest over three years based on achievement of certain performance targets.

The break-up of employee stock compensation expense is as follows:

Particulars	(in ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Granted to:				
KMP	18	17	70	68
Employees other than KMP	158	181	642	507
Total ⁽¹⁾	176	198	712	575
⁽¹⁾ Cash settled stock compensation expense included in the above	1	2	8	5

The fair value of the awards are estimated using the Black-Scholes Model for time and non-market performance-based options and Monte Carlo simulation model is used for TSR based options.

The inputs to the model include the share price at date of grant, exercise price, expected volatility, expected dividends, expected term and the risk free rate of interest. Expected volatility during the expected term of the options is based on historical volatility of the observed market prices of the Company's publicly traded equity shares during a period equivalent to the expected term of the options. Expected volatility of the comparative company have been modelled based on historical movements in the market prices of their publicly traded equity shares during a period equivalent to the expected term of the options. Correlation coefficient is calculated between each peer entity and the indices as a whole or between each entity in the peer group.

The fair value of each equity settled award is estimated on the date of grant using the following assumptions:

Particulars	For options granted in			
	Fiscal 2025- Equity Shares- RSU	Fiscal 2025- ADS-RSU	Fiscal 2024- Equity Shares-RSU	Fiscal 2024- ADS-RSU
Weighted average share price (₹) / (\$ ADS)	1,808	21.44	1,588	19.19
Exercise price (₹) / (\$ ADS)	5.00	0.07	5.00	0.07
Expected volatility (%)	21-26	23-28	23-31	25-33
Expected life of the option (years)	1-4	1-4	1-4	1-4
Expected dividends (%)	2-3	2-3	2-3	2-3
Risk-free interest rate (%)	7	4-5	7	4-5
Weighted average fair value as on grant date (₹) / (\$ ADS)	1,555	18.20	1,317	16.27

The expected life of the RSU/ESOP is estimated based on the vesting term and contractual term of the RSU/ESOP, as well as expected exercise behavior of the employee who receives the RSU/ESOP.

2.12 OTHER FINANCIAL LIABILITIES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Others		
Compensated absences	90	81
Accrued compensation to employees ⁽¹⁾	5	7
Accrued expenses ⁽¹⁾	1,876	1,779
Payable for acquisition of business - Contingent consideration ⁽²⁾	20	-
Other payables ⁽¹⁾	-	74
Total non-current other financial liabilities	1,991	1,941
Current		
Unpaid dividends ⁽¹⁾	45	37
Others		
Accrued compensation to employees ⁽¹⁾	3,781	3,336
Accrued expenses ⁽¹⁾⁽⁴⁾	6,210	5,134
Capital creditors ⁽¹⁾	470	269
Compensated absences	2,322	2,078
Payable for acquisition of business - Contingent consideration ⁽²⁾	11	-
Other payables ⁽¹⁾⁽⁵⁾	1,206	933
Foreign currency forward and options contracts ⁽²⁾⁽³⁾	56	21
Total current other financial liabilities	14,101	11,808
Total other financial liabilities	16,092	13,749
⁽¹⁾ Financial liability carried at amortized cost	13,593	11,569
⁽²⁾ Financial liability carried at fair value through profit or loss	54	20
⁽³⁾ Financial liability carried at fair value through other comprehensive income	33	1
⁽⁴⁾ Includes dues to subsidiaries	56	29
⁽⁵⁾ Includes dues to subsidiaries	962	405
Financial liability towards contingent consideration on an undiscounted basis	33	-

Accrued expenses primarily relate to cost of technical sub-contractors, telecommunication charges, legal and professional charges, brand building expenses, overseas travel expenses, office maintenance and cost of third party software and hardware.

2.13 TRADE PAYABLES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Outstanding dues of micro enterprises and small enterprises	8	92
Outstanding dues of creditors other than micro enterprises and small enterprises ⁽¹⁾	2,720	2,401
Total trade payables	2,728	2,493
⁽¹⁾ Includes dues to subsidiaries	907	778

2.14 OTHER LIABILITIES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Others		
Accrued defined benefit liability	74	123
Others	21	27
Total non - current other liabilities	95	150
Current		
Unearned revenue	6,713	5,698
Others		
Withholding taxes and others	2,433	1,974
Accrued defined benefit liability	3	2
Others	10	7
Total current other liabilities	9,159	7,681
Total other liabilities	9,254	7,831

2.15 PROVISIONS

Accounting Policy

A provision is recognized if, as a result of a past event, the Company has a present legal or constructive obligation that is reasonably estimable, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The Company recognizes a reimbursement asset when, and only when, it is virtually certain that the reimbursement will be received if the Company settles the obligation.

a. Post-sales client support

The Company provides its clients with a fixed-period post sales support on its fixed-price, fixed-timeframe contracts. Costs associated with such support services are accrued at the time related revenues are recorded in the Statement of Profit and Loss. The Company estimates such costs based on historical experience and estimates are reviewed on a periodic basis for any material changes in assumptions and likelihood of occurrence.

b. Onerous contracts

Provisions for onerous contracts are recognized when the expected benefits to be derived by the Company from a contract are lower than the unavoidable costs of meeting the future obligations under the contract. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Company recognizes any impairment loss on the assets associated with that contract.

Provision for post-sales client support and other provisions

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Current		
Others		
Post-sales client support and other provisions	993	1,464
Total provisions	993	1,464

Provision for post sales client support and other provisions majorly represents costs associated with providing sales support services which are accrued at the time of recognition of revenues and are expected to be utilized over a period of 1 year.

Provision for post sales client support and other provisions is included in cost of sales in the interim condensed standalone statement of profit and loss.

2.16 INCOME TAXES

Accounting Policy

Income tax expense comprises current and deferred income tax. Income tax expense is recognized in net profit in the Statement of Profit and Loss except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity or other comprehensive income. Current income tax for current and prior periods is recognized at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date. Deferred income tax assets and liabilities are recognized for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred income tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect of changes in tax rates on deferred income tax assets and liabilities is recognized as income or expense in the period that includes the enactment or the substantive enactment date. A deferred income tax asset is recognized to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilized. Deferred income taxes are not provided on the undistributed earnings of subsidiaries and branches where it is expected that the earnings of the subsidiary or branch will not be distributed in the foreseeable future.

The Company offsets current tax assets and current tax liabilities; deferred tax assets and deferred tax liabilities, where it has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously. The income tax provision for the interim period is made based on the best estimate of the annual average tax rate expected to be applicable for the full financial year. Tax benefits of deductions earned on exercise of employee share options in excess of compensation charged to income are credited to equity.

Income tax expense in the statement of Profit and Loss comprises:

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Current taxes	2,408	830	10,836	7,306
Deferred taxes	25	1,104	(963)	1,413
Income tax expense	2,433	1,934	9,873	8,719

Income tax expense for the three months ended March 31, 2025 and March 31, 2024 includes reversals (net of provisions) of ₹116 crore and ₹832 crore, respectively. Income tax expense for the year ended March 31, 2025 and March 31, 2024 includes provisions (net of reversals) of ₹97 crore and reversals (net of provisions) of ₹913 crore, respectively. These reversals pertaining to prior periods are primarily on account of adjudication of certain disputed matters, upon filing of tax return and completion of assessments, across various jurisdictions.

During the quarter ended March 31, 2025, the Company received orders under section 250 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2016-17 and 2019-20. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of ₹327 crore was recognised and provision for income tax aggregating ₹183 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,068 crore has been reduced from contingent liabilities.

Deferred income tax for the three months and year ended March 31, 2025 and March 31, 2024 substantially relates to origination and reversal of temporary differences.

The Company's Advanced Pricing Arrangement (APA) with the Internal Revenue Service (IRS) for US branch income tax expired in March 2021. The Company has applied for renewal of APA and currently the US taxable income is based on the Company's best estimate determined based on the expected value method.

2.17 REVENUE FROM OPERATIONS

Accounting Policy

The Company derives revenues primarily from IT services comprising software development and related services, cloud and infrastructure services, maintenance, consulting and package implementation, licensing of software products and platforms across the Company's core and digital offerings (together called as "software related services"). Contracts with customers are either on a time-and-material, unit of work, fixed-price or on a fixed-timeframe basis.

Revenues from customer contracts are considered for recognition and measurement when the contract has been approved in writing, by the parties, to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. Revenue is recognized upon transfer of control of promised products or services ("performance obligations") to customers in an amount that reflects the consideration the Company has received or expects to receive in exchange for these products or services ("transaction price"). When there is uncertainty as to collectability, revenue recognition is postponed until such uncertainty is resolved.

The Company assesses the services promised in a contract and identifies distinct performance obligations in the contract. The Company allocates the transaction price to each distinct performance obligation based on the relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In the absence of such evidence, the primary method used to estimate standalone selling price is the expected cost plus a margin, under which the Company estimates the cost of satisfying the performance obligation and then adds an appropriate margin based on similar services.

The Company's contracts may include variable consideration including rebates, volume discounts and penalties. The Company includes variable consideration as part of transaction price when there is a basis to reasonably estimate the amount of the variable consideration and when it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved.

Revenue on time-and-material and unit of work based contracts, are recognized as the related services are performed. Fixed price maintenance revenue is recognized ratably either on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and Company's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Efforts or costs expended are used to determine progress towards completion as there is a direct relationship between input and productivity. Progress towards completion is measured as the ratio of costs or efforts incurred to date (representing work performed) to the estimated total costs or efforts. Estimates of transaction price and total costs or efforts are continuously monitored over the term of the contracts and are recognized in net profit in the period when these estimates change or when the estimates are revised. Revenues and the estimated total costs or efforts are subject to revision as the contract progresses. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

The billing schedules agreed with customers include periodic performance based billing and / or milestone based progress billings. Revenues in excess of billing are classified as unbilled revenue while billing in excess of revenues are classified as contract liabilities (which we refer to as "unearned revenues").

In arrangements for software development and related services and maintenance services, by applying the revenue recognition criteria for each distinct performance obligation, the arrangements with customers generally meet the criteria for considering software development and related services as distinct performance obligations. For allocating the transaction price, the Company measures the revenue in respect of each performance obligation of a contract at its relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In cases where the Company is unable to determine the standalone selling price, the Company uses the expected cost plus margin approach in estimating the standalone selling price. For software development and related services, the performance obligations are satisfied as and when the services are rendered since the customer generally obtains control of the work as it progresses.

Certain cloud and infrastructure services contracts include multiple elements which may be subject to other specific accounting guidance, such as leasing guidance. These contracts are accounted in accordance with such specific accounting guidance. In such arrangements where the Company is able to determine that hardware and services are distinct performance obligations, it allocates the consideration to these performance obligations on a relative standalone selling price basis. In the absence of standalone selling price, the Company uses the expected cost-plus margin approach in estimating the standalone selling price. When such arrangements are considered as a single performance obligation, revenue is recognized over the period and measure of progress is determined based on promise in the contract.

Revenue from licenses where the customer obtains a "right to use" the licenses is recognized at the time the license is made available to the customer. Revenue from licenses where the customer obtains a "right to access" is recognized over the access period.

Arrangements to deliver software products generally have three elements: license, implementation and Annual Technical Services (ATS). When implementation services are provided in conjunction with the licensing arrangement and the license and implementation have been identified as two distinct separate performance obligations, the transaction price for such contracts are allocated to each performance obligation of the contract based on their relative standalone selling prices. In the absence of standalone selling price for implementation, the Company uses the expected cost plus margin approach in estimating the standalone selling price. Where the license is required to be substantially customized as part of the implementation service the entire arrangement fee for license and implementation is considered to be a single performance obligation and the revenue is recognized using the percentage-of-completion method as the implementation is performed. Revenue from client training, support and other services arising due to the sale of software products is recognized as the performance obligations are satisfied. ATS revenue is recognized ratably on a straight line basis over the period in which the services are rendered.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Company is acting as an agent between the customer and the vendor, and gross when the Company is the principal for the transaction. In doing so, the Company first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Company considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

A contract modification is a change in the scope or price or both of a contract that is approved by the parties to the contract. A contract modification that results in the addition of distinct performance obligations are accounted for either as a separate contract if the additional services are priced at the standalone selling price or as a termination of the existing contract and creation of a new contract if they are not priced at the standalone selling price. If the modification does not result in a distinct performance obligation, it is accounted for as part of the existing contract on a cumulative catch-up basis.

The incremental costs of obtaining a contract (i.e., costs that would not have been incurred if the contract had not been obtained) are recognized as an asset if the Company expects to recover them.

Certain eligible, nonrecurring costs (e.g. set-up or transition or transformation costs) that do not represent a separate performance obligation are recognized as an asset when such costs (a) relate directly to the contract; (b) generate or enhance resources of the Company that will be used in satisfying the performance obligation in the future; and (c) are expected to be recovered.

Capitalized contract costs relating to upfront payments to customers are amortized to revenue and other capitalized costs are amortized to expenses over the respective contract life on a systematic basis consistent with the transfer of goods or services to customer to which the asset relates. Capitalized costs are monitored regularly for impairment. Impairment losses are recorded when present value of projected remaining operating cash flows is not sufficient to recover the carrying amount of the capitalized costs.

The Company presents revenues net of indirect taxes in its Statement of Profit and Loss.

Revenue from operations for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Revenue from software services	33,876	31,940	135,525	128,637
Revenue from products and platforms	260	61	1,067	296
Total revenue from operations	34,136	32,001	136,592	128,933

The percentage of revenue from fixed-price contracts for the three months ended March 31, 2025 and March 31, 2024 is 58% and 57%, respectively. The percentage of revenue from fixed-price contracts for the year ended March 31, 2025 and March 31, 2024 is 58% and 56%, respectively.

Trade receivables and Contract Balances

The timing of revenue recognition, billings and cash collections results in receivables, unbilled revenue, and unearned revenue on the Company's Balance Sheet. Amounts are billed as work progresses in accordance with agreed-upon contractual terms, either at periodic intervals (e.g., monthly or quarterly) or upon achievement of contractual milestones.

The Company's receivables are rights to consideration that are unconditional. Unbilled revenues comprising revenues in excess of billings from time and material contracts and fixed price maintenance contracts are classified as financial asset when the right to consideration is unconditional and is due only after a passage of time.

Invoicing to the clients for other fixed price contracts is based on milestones as defined in the contract and therefore the timing of revenue recognition is different from the timing of invoicing to the customers. Therefore unbilled revenues for other fixed price contracts (contract asset) are classified as non-financial asset because the right to consideration is dependent on completion of contractual milestones.

Invoicing in excess of earnings are classified as unearned revenue.

Trade receivables and unbilled revenues are presented net of impairment in the Balance Sheet.

2.18 OTHER INCOME, NET

2.18.1 Other income

Accounting Policy

Other income is comprised primarily of interest income, dividend income, gain / loss on investments and exchange gain/loss on forward and options contracts and on translation of foreign currency assets and liabilities. Interest income is recognized using the effective interest method. Dividend income is recognized when the right to receive payment is established.

2.18.2 Foreign currency

Accounting Policy

Functional currency

The functional currency of the Company is the Indian rupee. These financial statements are presented in Indian rupees (rounded off to crore; one crore equals ten million).

Transactions and translations

Foreign-currency denominated monetary assets and liabilities are translated into the relevant functional currency at exchange rates in effect at the Balance Sheet date. The gains or losses resulting from such translations are recognized in the condensed standalone Statement of Profit and Loss and reported within exchange gains/(losses) on translation of assets and liabilities, net, except when deferred in Other Comprehensive Income as qualifying cash flow hedges. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at fair value are translated at the exchange rate prevalent at the date when the fair value was determined. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of the transaction. The related revenue and expense are recognized using the same exchange rate.

Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net profit for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the relevant functional currencies using the exchange rate in effect on the date of the transaction.

Other Comprehensive Income, net of taxes includes translation differences on non-monetary financial assets measured at fair value at the reporting date, such as equities classified as financial instruments and measured at fair value through other comprehensive income (FVOCI).

Government grant

The Company recognizes government grants only when there is reasonable assurance that the conditions attached to them shall be complied with, and the grants will be received. Government grants related to assets are treated as deferred income and are recognized in the net profit in the Statement of Profit and Loss on a systematic and rational basis over the useful life of the asset. Government grants related to revenue are recognized on a systematic basis in the net profit in the Statement of Profit and Loss over the periods necessary to match them with the related costs which they are intended to compensate.

Other income for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Interest income on financial assets carried at amortized cost				
Tax free bonds and government bonds	30	30	121	131
Deposit with Bank and others	287	160	1,051	665
Interest income on financial assets carried at fair value through other comprehensive income				
Non-convertible debentures, commercial papers, certificates of deposit and government securities	294	297	1,005	898
Income on investments carried at fair value through profit or loss				
Gain / (loss) on liquid mutual funds and other investments	47	64	242	224
Income on investments carried at fair value through other comprehensive income	-	-	2	-
Income on investments carried at amortized cost				
Gain/(loss) on tax free bond	4	-	4	-
Interest income on income tax refund	327	1,934	340	1,936
Dividend received from subsidiary	200	858	1,522	2,976
Exchange gains/(losses) on foreign currency forward and options contracts	(98)	214	(206)	111
Exchange gains/(losses) on translation of other assets and liabilities	197	(126)	478	214
Miscellaneous income, net	35	52	223	262
Total other income	1,323	3,483	4,782	7,417

2.19 EXPENSES

Accounting Policy

2.19.1 Gratuity and Pension

The Company provides for gratuity, a defined benefit retirement plan (the Gratuity Plan) covering eligible Indian employees of Infosys. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment with the Company. The Company contributes Gratuity liabilities to the Infosys Limited Employees' Gratuity Fund Trust (the Trust). Trustees administer contributions made to the Trusts and contributions are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law.

The Company operates defined benefit pension plan in certain overseas jurisdictions, in accordance with the local laws. These plans are managed by third party fund managers. The plans provide for periodic payouts after retirement and / or for a lumpsum payment as set out in rules of each fund and includes death and disability benefits. The defined benefit plans require contributions which are based on a percentage of salary that varies depending on the age of the respective employees.

Liabilities with regard to these defined benefit plans are determined by actuarial valuation, performed by an external actuary, at each Balance Sheet date using the projected unit credit method. These defined benefit plans expose the Company to actuarial risks, such as longevity risk, interest rate risk and market risk.

The Company recognizes the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability. Gains and losses through re-measurements of the net defined benefit liability/(asset) are recognized in other comprehensive income and are not reclassified to profit or loss in subsequent periods. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognized in other comprehensive income. The effect of any plan amendments is recognized in net profit in the Statement of Profit and Loss.

2.19.2 Provident fund

Eligible employees of Infosys receive benefits from a provident fund, which is a defined benefit plan. Both the eligible employee and the Company make monthly contributions to the provident fund plan equal to a specified percentage of the covered employee's salary. The Company contributes a portion to the Infosys Limited Employees' Provident Fund Trust. The trust invests in specific designated instruments as permitted by Indian law. The remaining portion is contributed to the government administered pension fund. The rate at which the annual interest is payable to the beneficiaries by the trust is being administered by the Government of India. The Company has an obligation to make good the shortfall, if any, between the return from the investments of the Trust and the notified interest rate.

2.19.3 Superannuation

Certain employees of Infosys are participants in a defined contribution plan. The Company has no further obligations to the Plan beyond its monthly contributions which are periodically contributed to a trust fund, the corpus of which is invested with the Life Insurance Corporation of India.

2.19.4 Compensated absences

The Company has a policy on compensated absences which are both accumulating and non-accumulating in nature. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an external actuary at each Balance Sheet date using projected unit credit method on the additional amount expected to be paid/availed as a result of the unused entitlement that has accumulated at the Balance Sheet date. Expense on non-accumulating compensated absences is recognized in the period in which the absences occur.

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Employee benefit expenses				
Salaries including bonus	16,430	15,349	64,296	62,383
Contribution to provident and other funds	535	470	2,080	1,972
Share based payments to employees (Refer to note 2.11)	176	198	712	575
Staff welfare	118	30	378	209
	17,259	16,047	67,466	65,139
Cost of software packages and others				
For own use	513	420	1,947	1,635
Third party items bought for service delivery to clients	1,629	1,678	7,670	5,256
	2,142	2,098	9,617	6,891
Other expenses				
Power and fuel	44	42	196	172
Brand and Marketing	310	250	1,067	851
Rates and taxes	55	60	257	248
Repairs and Maintenance	233	234	965	953
Consumables	11	5	32	23
Insurance	58	44	242	172
Provision for post-sales client support and others	(224)	(128)	(114)	77
Commission to non-whole time directors	5	5	18	16
Impairment loss recognized / (reversed) under expected credit loss model	(93)	(64)	(7)	130
Auditor's remuneration				
Statutory audit fees	3	3	8	8
Contributions towards Corporate Social Responsibility	82	177	540	492
Others	56	98	293	446
	540	726	3,497	3,588

2.20 EARNINGS PER EQUITY SHARE

Accounting Policy

Basic earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Company by the weighted average number of equity shares outstanding during the period. Diluted earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Company by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. The dilutive potential equity shares are adjusted for the proceeds receivable had the equity shares been actually issued at fair value (i.e. the average market value of the outstanding equity shares). Dilutive potential equity shares are deemed converted as at the beginning of the period, unless issued at a later date. Dilutive potential equity shares are determined independently for each period presented.

The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any share splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

2.21 CONTINGENT LIABILITIES AND COMMITMENTS

Accounting Policy

Contingent liability is a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

Particulars	As at	
	March 31, 2025	March 31, 2024
<i>(In ₹ crore)</i>		
Contingent liabilities:		
Claims against the Company, not acknowledged as debts ⁽¹⁾	1,772	2,649
[Amount paid to statutory authorities ₹3,815 crore (₹8,283 crore)]		
Commitments:		
Estimated amount of contracts remaining to be executed on capital contracts and not provided for (net of advances and deposits) ⁽²⁾	868	688
Other Commitments*	27	5

* *Uncalled capital pertaining to investments*

⁽¹⁾ As at March 31, 2025 and March 31, 2024, claims against the Company not acknowledged as debts in respect of income tax matters amounted to ₹1,290 crore and ₹2,260 crore, respectively.

The claims against the Company primarily represent demands arising on completion of assessment proceedings under the Income Tax Act, 1961. These claims are on account of issues of disallowance of expenditure towards software being held as capital in nature, payments made to Associated Enterprises held as liable for withholding of taxes, among others. These matters are pending before various Income Tax Authorities and the Management including its tax advisors expect that its position will likely be upheld on ultimate resolution and will not have a material adverse effect on the Company's financial position and results of operations.

Amount paid to statutory authorities against the tax claims amounted to ₹3,810 crore and ₹8,273 crore as at March 31, 2025 and March 31, 2024, respectively.

⁽²⁾ Capital contracts primarily comprises of commitments for infrastructure facilities and computer equipments.

Legal Proceedings

The Company is subject to legal proceedings and claims, which have arisen in the ordinary course of business. The Company's management reasonably expects that such ordinary course legal actions, when ultimately concluded and determined, will not have a material and adverse effect on the Company's results of operations or financial condition.

2.22 RELATED PARTY TRANSACTIONS

Refer to the Company's Annual Report for the year ended March 31, 2025 for the full names and other details of the Company's subsidiaries and controlled trusts.

Changes in Subsidiaries

During the year ended March 31, 2025, the following are the changes in the subsidiaries:

- Danske IT and Support Services India Private Limited renamed as IDUNN Information Technology Private Limited
- On May 10, 2024 Infosys Ltd. acquired 100% of voting interests in InSemi Technology Services Private Limited along with its subsidiary Elbrus Labs Private Limited
- Infosys Services (Thailand) Limited, a Wholly-owned subsidiary of Infosys Limited was incorporated on July 26, 2024.
- Infy tech SAS, a Wholly-owned subsidiary of Infosys Singapore Pte Limited was incorporated on July 03, 2024.
- On July 17, 2024, Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited, acquired 100% of voting interests in in-tech Holding GmbH along with its subsidiary in-tech GmbH along with its six subsidiaries in-tech Automotive Engineering SL, ProIT, in-tech Automotive Engineering de R.L. de C.V, drivetech Fahrversuch GmbH, Friedrich Wagner Holding Inc along with its two subsidiaries (in-tech Automotive Engineering LLC and in-tech Services LLC) and Friedrich & Wagner Asia Pacific GmbH along with its five subsidiaries in-tech engineering s.r.o, in-tech engineering GmbH, in-tech engineering services S.R.L., in-tech Group Ltd along with its subsidiary (in-tech Group India Private Limited) and In-tech Automotive Engineering Shenyang Co., Ltd along with its subsidiary (In-tech Automotive Engineering Beijing Co., Ltd). Subsequently on September 01, 2024 in-tech Group India Private Limited became a wholly-owned subsidiary of Infosys limited.
- On October 17, 2024, Infosys Singapore Pte Ltd. acquired 100% of voting interests in Blitz 24-893 SE ,Germany
- Skava systems Private Limited, a wholly-owned subsidiary of Infosys Ltd has been liquidated effective November 14, 2024
- in-tech Automotive Engineering de. R L de. C V, a wholly-owned subsidiary of in-tech GmbH is under liquidation.
- Friedrich Wagner Holding Inc, a wholly-owned subsidiary of in-tech GmbH is under liquidation.
- in-tech Services LLC, a wholly-owned subsidiary of Friedrich Wagner Holding Inc has been liquidated effective November 30, 2024
- in-tech Automotive Engineering LLC, a wholly-owned subsidiary of Friedrich Wagner Holding Inc has been liquidated effective November 30, 2024
- Infosys Consulting S.r.l. (Romania) renamed as Infosys Romania S.r.l.
- Kaleidoscope Animations, a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- Blue Acorn iCi Inc, a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- WongDoody Inc, a wholly-owned subsidiary of Infosys limited merged into Infosys Nova Holdings LLC effective January 1, 2025
- Outbox systems Inc. dba Simplus (US), a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- in-tech Holding GmbH, a wholly-owned subsidiary of Infosys Singapore Pte. Limited merged into in-tech GmbH effective January 1, 2025
- Friedrich & Wagner Asia Pacific GmbH, a wholly-owned subsidiary of in-tech GmbH merged into in-tech GmbH effective January 1, 2025
- Infosys Limited SPC, a Wholly-owned subsidiary of Infosys Limited was incorporated on December 12, 2024.
- Infosys BPM Netherlands B.V., a Wholly-owned subsidiary of Infosys BPM Limited was incorporated on March 20, 2025.

The Company's related party transactions during the three months and year ended March 31, 2025 and March 31, 2024 and outstanding balances as at March 31, 2025 and March 31, 2024 are with its subsidiaries with whom the Company generally enters into transactions which are at arms length and in the ordinary course of business.

Change in key management personnel

The following are the changes in the key management personnel:

Executive Officers:

- Jayesh Sanghrajka (appointed as Chief Financial Officer effective April 1, 2024)

Transactions with key management personnel

The table below describes the compensation to key management personnel which comprise directors and executive officers:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Salaries and other short term employee benefits to whole-time directors and executive officers ⁽¹⁾⁽²⁾	33	30	118	113
Commission and other benefits to non-executive / independent directors	5	5	19	17
Total	38	35	137	130

⁽¹⁾ Total employee stock compensation expense for the three months ended March 31, 2025 and March 31, 2024 includes a charge of ₹18 crore and 17 crore, respectively, towards key management personnel. For the year ended March 31, 2025 and March 31, 2024, includes a charge of ₹70 crore and ₹68 crore respectively, towards key management personnel. (Refer to note 2.11).

⁽²⁾ Does not include post-employment benefits and other long-term benefits based on actuarial valuation as these are done for the Company as a whole.

2.23 SEGMENT REPORTING

The Company publishes this financial statement along with the interim condensed consolidated financial statements. In accordance with Ind AS 108, Operating Segments, the Company has disclosed the segment information in the interim condensed consolidated financial statements.

for and on behalf of the Board of Directors of Infosys Limited

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF INFOSYS LIMITED

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of **INFOSYS LIMITED** (the "Company") and its subsidiaries (the Company and its subsidiaries together referred to as the "Group") which comprise the Consolidated Balance Sheet as at March 31, 2025, and the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows for the year ended on that date, and notes to the financial statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as the "Consolidated Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Consolidated Financial Statements, give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act, ("Ind AS") and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at March 31, 2025 and their consolidated profit, their consolidated total comprehensive income, their consolidated changes in equity and their consolidated cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the Consolidated Financial Statements in accordance with the Standards on Auditing ("SAs") specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Financial Statements of the current period. These matters were addressed in the context of our audit of the Consolidated Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	Auditor's Response
1	Revenue recognition The Group's contracts with customers include contracts with	Principal Audit Procedures Performed included the following: Our audit procedures related to the (1) identification of distinct performance

Sr. No.	Key Audit Matter	Auditor's Response
	products and services. The group derives revenues from IT services comprising software development and related services, maintenance, consulting and package implementation, licensing of software products and platforms across the Group's core and digital offerings and business process management services. The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables involves significant judgement. In certain integrated services arrangements, contracts with customers include subcontractor services or third-party vendor equipment or software. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before it is transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the products or service and therefore, is acting as a principal or an agent. Fixed price maintenance revenue is recognized ratably either on (1) a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or (2) using a percentage of completion method when the pattern of benefits from the services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not	obligations, (2) determination of whether the Group is acting as a principal or agent and (3) whether fixed price maintenance revenue is recognized on a straight-line basis or using the percentage of completion method included the following, among others: • We tested the effectiveness of controls relating to the (a) identification of distinct performance obligations, (b) determination of whether the Group is acting as a principal or an agent and (c) determination of whether fixed price maintenance revenue for certain contracts is recognized on a straight-line basis or using the percentage of completion method. • We selected a sample of contracts with customers and performed the following procedures: - Obtained and read contract documents for each selection, including master service agreements, and other documents that were part of the agreement. - Identified significant terms and deliverables in the contract to assess management's conclusions regarding the (i) identification of distinct performance obligations (ii) whether the Group is acting as a principal or an agent and (iii) whether fixed price maintenance revenue is recognized on a straight-line basis or using the percentage of completion method

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Sr. No.	Key Audit Matter	Auditor's Response
	repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables. As certain contracts with customers involve management's judgment in (1) identifying distinct performance obligations, (2) determining whether the Group is acting as a principal or an agent and (3) whether fixed price maintenance revenue is recognized on a straight-line basis or using the percentage of completion method, revenue recognition from these judgments were identified as a key audit matter and required a higher extent of audit effort. Refer Notes 1.5 and 2.18 to the Consolidated Financial Statements.	
2	Revenue recognition - Fixed price contracts using the percentage of completion method Fixed price maintenance revenue is recognized ratably either (1) on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or (2) using a percentage of completion method when the pattern of benefits from services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Use of the percentage-of-completion method requires the Group to determine the actual efforts or costs expended to date as a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total	Principal Audit Procedures Performed included the following: Our audit procedures related to estimates of total expected costs or efforts to complete for fixed-price contracts included the following, among others: • We tested the effectiveness of controls relating to (1) recording of efforts or costs incurred and estimation of efforts or costs required to complete the remaining contract performance obligations and (2) access and application controls pertaining to time recording, allocation and budgeting systems which prevents unauthorised changes to recording of efforts incurred. • We selected a sample of fixed price contracts with customers measured the using percentage-of-completion method and performed the following: - Evaluated management's ability to reasonably estimate the progress towards satisfying the performance obligation by comparing actual efforts or costs incurred to prior year estimates of efforts or costs budgeted for

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Sr. No.	Key Audit Matter	Auditor's Response
	efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract. We identified the estimate of total efforts or costs to complete fixed price contracts measured using the percentage of completion method as a key audit matter as the estimation of total efforts or costs involves significant judgement and is assessed throughout the period of the contract to reflect any changes based on the latest available information. This estimate has a high inherent uncertainty and requires consideration of progress of the contract, efforts or costs incurred to-date and estimates of efforts or costs required to complete the remaining contract performance obligations over the term of the contracts. This required a high degree of auditor judgment in evaluating the audit evidence and a higher extent of audit effort to evaluate the reasonableness of the total estimated amount of revenue recognized on fixed-price contracts. Refer Notes 1.5 and 2.18 to the Consolidated Financial Statements.	performance obligations that have been fulfilled. - Compared efforts or costs incurred with Group's estimate of efforts or costs incurred to date to identify significant variations and evaluate whether those variations have been considered appropriately in estimating the remaining costs or efforts to complete the contract. - Tested the estimate for consistency with the status of delivery of milestones and customer acceptances and sign off from customers to identify possible delays in achieving milestones, which require changes in estimated costs or efforts to complete the remaining performance obligations.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Business Responsibility and Sustainability Report, Corporate Governance and Shareholder's Information, but does not include the Consolidated Financial Statements, standalone financial statements and our auditor's report thereon.

Our opinion on the Consolidated Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information, consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Board of Directors for the Consolidated Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation and presentation of these Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including Ind AS specified under section 133 of the Act. The respective Boards of Directors/Trustees of the entities included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Consolidated Financial Statements by the Directors of the Company, as aforesaid.

In preparing the Consolidated Financial Statements, the respective Boards of Directors/Trustees of the entities included in the Group are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Boards of Directors either intends to liquidate their respective entities or to cease operations, or have no realistic alternative but to do so.

The respective Boards of Directors/Trustees of the entities included in the Group are also responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to



provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company and its subsidiary companies which are companies incorporated in India, has adequate internal financial controls with reference to Consolidated Financial Statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group to express an opinion on the Consolidated Financial Statements.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Financial Statements.

We communicate with those charged with governance of the Company and such other entities included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal financial controls that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be

communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit we report that:

- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Financial Statements.
- b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid Consolidated Financial Statements have been kept by the Group, including relevant records so far as it appears from our examination of those books.
- c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including Other Comprehensive Income, Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the Consolidated Financial Statements.
- d) In our opinion, the aforesaid Consolidated Financial Statements comply with the Ind AS specified under section 133 of the Act.
- e) On the basis of the written representations received from the directors of the Company as on March 31, 2025 taken on record by the Board of Directors of the Company and the reports of the statutory auditors of its subsidiary companies incorporated in India, none of the directors of the Group companies incorporated in India is disqualified as on March 31, 2025 from being appointed as a director in terms of Section 164 (2) of the Act.
- f) With respect to the adequacy of the internal financial controls with reference to Consolidated Financial Statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure A" which is based on the auditors' reports of the Company and its subsidiary companies incorporated in India. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of internal financial controls with reference to Consolidated Financial Statements of those companies.
- g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid by the Company to its directors during the year is in accordance with the provisions of section 197 of the Act.
- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - i) The Consolidated Financial Statements disclose the impact of pending litigations on the consolidated financial position of the Group. Refer Note 2.24 to the Consolidated Financial Statements.
 - ii) The Group has made provision as required under applicable law or accounting standards for material foreseeable losses. Refer Note 2.16 to the Consolidated Financial Statements. The Group did not have any long-term derivative contracts.



- iii) There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company and its subsidiary companies incorporated in India.
- iv) (a) The respective Managements of the Company and its subsidiaries which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us that, to the best of their knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company or any of such subsidiaries to or in any other person or entity, outside the Group, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company or any of such subsidiaries ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (b) The respective Managements of the Company and its subsidiaries which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us that, to the best of their knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company or any of such subsidiaries from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company or any of such subsidiaries shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances performed by us on the Company and its subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v) As stated in Note 2.12.3 to the Consolidated Financial Statements
 - a. The final dividend proposed in the previous year, declared and paid by the Company during the year is in accordance with Section 123 of the Act, as applicable.
 - b. The interim dividend declared and paid by the Company during the year and until the date of this report is in compliance with Section 123 of the Act.
 - c. The Board of Directors of the Company have proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The amount of dividend proposed is in accordance with section 123 of the Act, as applicable.
- vi) Based on our examination which included test checks, performed by us on the Company and its subsidiaries incorporated in India, except for the instances mentioned below, have used accounting software systems for maintaining their respective books of account for the financial year ended March 31, 2025 which



have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software systems. Further, during the course of audit, we have not come across any instance of the audit trail feature being tampered with. Additionally, the audit trail has been preserved by the Parent Company and above referred subsidiary companies incorporated in India as per the statutory requirements for record retention.

The financial statements of five subsidiaries that are not material to the Consolidated Financial Statements of the Group, have not been audited under the provisions of the Act as of the date of this report. Therefore, we are unable to comment on the reporting requirement under Rule 11 (g) of the Companies (Audit and Auditors) Rules, 2014 in respect of these five subsidiaries.

2. With respect to the matters specified in paragraphs 3(xxi) and 4 of the Companies (Auditor's Report) Order, 2020 (the "Order"/ "CARO") issued by the Central Government in terms of Section 143(11) of the Act, to be included in the Auditor's report, according to the information and explanations given to us, and based on the Auditor's Reports on the financial statements of Company and its subsidiaries as at and for the year ended March 31, 2025, included in the Consolidated Financial Statements of the Group, we report in respect of those companies where audits have been completed under section 143 of the Act, we have not reported any qualifications or adverse remarks. In respect of the following company included in the consolidated financial statements of the Company, whose audit under section 143 of the Act has not yet been completed, the CARO report as applicable in respect of this subsidiary is not available.

Name of the Company	CIN	Relationship
Idunn Information Technology Private Limited (formerly known as Danske IT and Support Services India Private Limited)	U74900KA2012PTC063260	Subsidiary
InSemi Technology Services Private Limited	U72200KA2013PTC069109	Subsidiary
Elbrus Labs Private Limited	U72200DL2018PTC339939	Subsidiary
in-tech Group India Private Limited	U72900KL2022FTC076055	Subsidiary

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria
Partner
(Membership No.060408)
UDIN:

ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 1(f) under 'Report on Other Legal and Regulatory Requirements' section of our report to the Members of Infosys Limited of even date)

Report on the Internal Financial Controls with reference to Consolidated Financial Statements under Clause (i) of sub-section 3 of Section 143 of the Companies Act, 2013 (the "Act")

In conjunction with our audit of the Consolidated Financial Statements of the Company as of and for the year ended March 31, 2025, we have audited the internal financial controls with reference to Consolidated Financial Statements of **INFOSYS LIMITED** (hereinafter referred to as the "Company") and its subsidiary companies, which are companies incorporated in India, as of that date.

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The respective Company's management and Boards of Directors of the Company and its subsidiary companies, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the respective Companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the internal financial controls with reference to Consolidated Financial Statements of the Company and its subsidiary companies, which are companies incorporated in India, based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India ("ICAI") and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to Consolidated Financial Statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Consolidated Financial Statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to Consolidated Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Consolidated Financial Statements included obtaining an understanding of internal financial controls with reference to Consolidated Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

 We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to Consolidated

Financial Statements of the Company and its subsidiary companies, which are companies incorporated in India.

Meaning of Internal Financial Controls with reference to Consolidated Financial Statements

A company's internal financial control with reference to Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to Consolidated Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Consolidated Financial Statements

Because of the inherent limitations of internal financial controls with reference to Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Consolidated Financial Statements to future periods are subject to the risk that the internal financial control with reference to Consolidated Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the Company and its subsidiary companies, which are companies incorporated in India, have, in all material respects, an adequate internal financial controls system with reference to Consolidated Financial Statements and such internal financial controls with reference to Consolidated Financial Statements were operating effectively as at March 31, 2025, based on the criteria for internal financial control with reference to Consolidated Financial Statements established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the ICAI.

For DELOITTE HASKINS & SELLS LLP
Chartered Accountants
(Firm's Registration No. 117366W/W-100018)



Vikas Bagaria
Partner
(Membership No.060408)
UDIN:

Place: Bengaluru
Date: April 17, 2025

INFOSYS LIMITED AND SUBSIDIARIES

Consolidated Financial Statements under Indian Accounting Standards (Ind AS) for the year ended March 31, 2025

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INFOSYS LIMITED AND SUBSIDIARIES
(In ₹ crore)

Consolidated Balance Sheets as at	Note No.	March 31, 2025	March 31, 2024
ASSETS			
Non-current assets			
Property, plant and equipment	2.2	11,778	12,370
Right-of-use assets	2.21	6,311	6,552
Capital work-in-progress	2.3	814	293
Goodwill	2.4.1 and 2.1	10,106	7,303
Other intangible assets	2.4.2	2,766	1,397
Financial assets			
Investments	2.5	11,059	11,708
Loans	2.6	16	34
Other financial assets	2.7	3,511	3,105
Deferred tax assets (net)	2.17	1,108	454
Income tax assets (net)	2.17	1,622	3,045
Other non-current assets	2.10	2,713	2,121
Total non-current assets		51,804	48,382
Current assets			
Financial assets			
Investments	2.5	12,482	12,915
Trade receivables	2.8	31,158	30,193
Cash and cash equivalents	2.9	24,455	14,786
Loans	2.6	249	248
Other financial assets	2.7	13,840	12,085
Income tax assets (net)	2.17	2,975	6,397
Other current assets	2.10	11,940	12,808
Total current assets		97,099	89,432
Total assets		148,903	137,814
EQUITY AND LIABILITIES			
Equity			
Equity share capital	2.12	2,073	2,071
Other equity		93,745	86,045
Total equity attributable to equity holders of the Company		95,818	88,116
Non-controlling interests		385	345
Total equity		96,203	88,461
Liabilities			
Non-current liabilities			
Financial Liabilities			
Lease liabilities	2.21	5,772	6,400
Other financial liabilities	2.13	2,141	2,130
Deferred tax liabilities (net)	2.17	1,722	1,794
Other non-current liabilities	2.15	215	235
Total non-current liabilities		9,850	10,559
Current liabilities			
Financial Liabilities			
Lease liabilities	2.21	2,455	1,959
Trade payables	2.14	4,164	3,956
Other financial liabilities	2.13	18,138	16,959
Other current liabilities	2.15	11,765	10,539
Provisions	2.16	1,475	1,796
Income tax liabilities (net)	2.17	4,853	3,585
Total current liabilities		42,850	38,794
Total equity and liabilities		148,903	137,814

The accompanying notes form an integral part of the consolidated financial statements
As per our report of even date attached
for Deloitte Haskins & Sells LLP
for and on behalf of the Board of Directors of Infosys Limited
Chartered Accountants

Firm's Registration No :

117366W/ W-100018

Vikas Bagaria

Partner

Membership No. 060408

Nandan M. Nilekani

Chairman

DIN: 00041245

Salil Parekh

Chief Executive Officer

and Managing Director

DIN: 01876159

Bobby Parikh

Director

DIN: 00019437

Bengaluru

April 17, 2025

Jayesh Sanghrajka

Chief Financial Officer

A.G.S. Manikantha

Company Secretary

Membership No. A21918

INFOSYS LIMITED AND SUBSIDIARIES
(In ₹ crore, except equity share and per equity share data)

Consolidated Statement of Profit and Loss for the	Note No.	Year ended March 31,	
		2025	2024
Revenue from operations	2.18	162,990	153,670
Other income, net	2.19	3,600	4,711
Total income		166,590	158,381
Expenses			
Employee benefit expenses	2.22	85,950	82,620
Cost of technical sub-contractors		12,937	12,232
Travel expenses		1,894	1,759
Cost of software packages and others	2.20	15,911	13,515
Communication expenses		620	677
Consultancy and professional charges		1,655	1,726
Depreciation and amortization expenses	2.2, 2.4.2 and 2.21	4,812	4,678
Finance cost		416	470
Other expenses	2.20	4,787	4,716
Total expenses		128,982	122,393
Profit before tax		37,608	35,988
Tax expense:			
Current tax	2.17	12,130	8,390
Deferred tax	2.17	(1,272)	1,350
Profit for the period		26,750	26,248
Other comprehensive income			
<i>Items that will not be reclassified subsequently to profit or loss</i>			
Remeasurement of the net defined benefit liability/asset, net	2.22	(92)	120
Equity instruments through other comprehensive income, net	2.5	19	19
		(73)	139
<i>Items that will be reclassified subsequently to profit or loss</i>			
Fair value changes on derivatives designated as cash flow hedge, net	2.11	(24)	11
Exchange differences on translation of foreign operations		357	226
Fair value changes on investments, net	2.5	199	144
		532	381
Total other comprehensive income /(loss), net of tax		459	520
Total comprehensive income for the period		27,209	26,768
Profit attributable to:			
Owners of the Company		26,713	26,233
Non-controlling interests		37	15
		26,750	26,248
Total comprehensive income attributable to:			
Owners of the Company		27,167	26,754
Non-controlling interests		42	14
		27,209	26,768
Earnings per equity share			
Equity shares of par value ₹5/- each			
Basic (₹)	2.23	64.50	63.39
Diluted (₹)	2.23	64.34	63.29
Weighted average equity shares used in computing earnings per equity share			
Basic (in shares)	2.23	4,141,611,738	4,138,568,090
Diluted (in shares)	2.23	4,152,051,184	4,144,680,425

The accompanying notes form an integral part of the consolidated financial statements

As per our report of even date attached

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No :

117366W/ W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
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Chief Executive Officer
and Managing Director
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Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INFOSYS LIMITED AND SUBSIDIARIES
Consolidated Statement of Changes in Equity
(In ₹ crore)

Particulars	OTHER EQUITY													Total equity attributable to equity holders of the Company	Non-controlling interest	Total equity
	Equity Share capital ⁽¹⁾	Capital reserve	Capital redemption reserve	Securities Premium	Reserves & Surplus				Other comprehensive income							
					Retained earnings	General reserve	Share Options Outstanding Account	Special Economic Zone Re-investment reserve ⁽²⁾	Other reserves ⁽³⁾	Equity instruments through other comprehensive income	Exchange differences on translating the financial statements of a	Effective portion of Cash Flow Hedges	Other items of other comprehensive income / (loss)			
Balance as at April 1, 2023	2,069	54	169	166	58,957	1,054	878	10,014	19	247	2,325	(5)	(540)	75,407	388	75,795
Changes in equity for the year ended March 31, 2024																
Profit for the period	—	—	—	—	26,233	—	—	—	—	—	—	—	—	26,233	15	26,248
Remeasurement of the net defined benefit liability/asset, net* (Refer to Note 2.22)	—	—	—	—	—	—	—	—	—	—	—	—	120	120	—	120
Equity instruments through other comprehensive income, net* (Refer to Notes 2.5 and 2.17)	—	—	—	—	—	—	—	—	—	19	—	—	—	19	—	19
Fair value changes on derivatives designated as cash flow hedge, net* (Refer to Note 2.11)	—	—	—	—	—	—	—	—	—	—	—	11	—	11	—	11
Exchange differences on translation of foreign operations	—	—	—	—	—	—	—	—	—	—	227	—	—	227	(1)	226
Fair value changes on investments, net* (Refer to Notes 2.5 and 2.17)	—	—	—	—	—	—	—	—	—	—	—	—	144	144	—	144
Total Comprehensive income for the period	—	—	—	—	26,233	—	—	—	—	19	227	11	264	26,754	14	26,768
Shares issued on exercise of employee stock options (Refer to Note 2.12)	2	—	—	3	—	—	—	—	—	—	—	—	—	5	—	5
Employee stock compensation expense (Refer to Note 2.12)	—	—	—	—	—	—	639	—	—	—	—	—	—	639	—	639
Transferred on account of exercise of stock options (Refer to note 2.12)	—	—	—	447	—	—	(447)	—	—	—	—	—	—	—	—	—
Transferred on account of options not exercised	—	—	—	—	—	160	(160)	—	—	—	—	—	—	—	—	—
Income tax benefit arising on exercise of stock options	—	—	—	—	—	—	3	—	—	—	—	—	—	3	—	3
Transfer to legal reserve	—	—	—	—	(3)	—	—	—	3	—	—	—	—	—	—	—
Dividends ⁽¹⁾	—	—	—	—	(14,692)	—	—	—	—	—	—	—	—	(14,692)	—	(14,692)
Dividends paid to non controlling interest of subsidiary	—	—	—	—	—	—	—	—	—	—	—	—	—	—	(39)	(39)
Buyback of shares pertaining to non controlling interest of subsidiary	—	—	—	—	—	—	—	—	—	—	—	—	—	—	(18)	(18)
Transferred to Special Economic Zone Re-investment reserve	—	—	—	—	(2,957)	—	—	2,957	—	—	—	—	—	—	—	—
Transferred from Special Economic Zone Re-investment reserve on utilization	—	—	—	—	867	—	—	(867)	—	—	—	—	—	—	—	—
Balance as at March 31, 2024	2,071	54	169	616	68,405	1,214	913	12,104	22	266	2,552	6	(276)	88,116	345	88,461

Particulars	OTHER EQUITY														Total equity attributable to equity holders of the Company	Non-controlling interest	Total equity
	Equity Share capital ⁽¹⁾	Reserves & Surplus					Other comprehensive income										
		Capital reserve	Capital redemption reserve	Securities Premium	Retained earnings	General reserve	Share Options Outstanding Account	Special Economic Zone Re-investment reserve ⁽²⁾	Other reserves ⁽³⁾	Equity instruments through other comprehensive income	Exchange differences on translating the financial statements of a	Effective portion of Cash Flow Hedges	Other items of other comprehensive income / (loss)				
Balance as at April 1, 2024	2,071	54	169	616	68,405	1,214	913	12,104	22	266	2,552	6	(276)	88,116	345	88,461	
Changes in equity for the year ended March 31, 2025																	
Profit for the period	—	—	—	—	26,713	—	—	—	—	—	—	—	—	26,713	37	26,750	
Remeasurement of the net defined benefit liability/asset, net* (Refer to Note 2.22)	—	—	—	—	—	—	—	—	—	—	—	—	(92)	(92)	—	(92)	
Equity instruments through other comprehensive income, net* (Refer to Notes 2.5 and 2.17)	—	—	—	—	—	—	—	—	—	19	—	—	—	19	—	19	
Fair value changes on derivatives designated as cash flow hedge, net* (Refer to Note 2.11)	—	—	—	—	—	—	—	—	—	—	—	(24)	—	(24)	—	(24)	
Exchange differences on translation of foreign operations	—	—	—	—	—	—	—	—	—	—	352	—	—	352	5	357	
Fair value changes on investments, net* (Refer to Notes 2.5 and 2.17)	—	—	—	—	—	—	—	—	—	—	—	—	199	199	—	199	
Total Comprehensive income for the period	—	—	—	—	26,713	—	—	—	—	19	352	(24)	107	27,167	42	27,209	
Shares issued on exercise of employee stock options (Refer to Note 2.12)	2	—	—	4	—	—	—	—	—	—	—	—	—	6	—	6	
Employee stock compensation expense (Refer to Note 2.12)	—	—	—	—	—	—	785	—	—	—	—	—	—	785	—	785	
Transferred on account of exercise of stock options (Refer to Note 2.12)	—	—	—	471	—	—	(471)	—	—	—	—	—	—	—	—	—	
Transferred on account of options not exercised	—	—	—	—	—	198	(198)	—	—	—	—	—	—	—	—	—	
Income tax benefit arising on exercise of stock options	—	—	—	—	—	—	39	—	—	—	—	—	—	39	—	39	
Transfer to legal reserve	—	—	—	—	(2)	—	—	—	2	—	—	—	—	—	—	—	
Dividends ⁽¹⁾	—	—	—	—	(20,295)	—	—	—	—	—	—	—	—	(20,295)	—	(20,295)	
Dividends paid to non controlling interest of subsidiary	—	—	—	—	—	—	—	—	—	—	—	—	—	—	(2)	(2)	
Transferred to Special Economic Zone Re-investment reserve	—	—	—	—	(74)	—	—	74	—	—	—	—	—	—	—	—	
Transferred from Special Economic Zone Re-investment reserve to retained earnings	—	—	—	—	2,999	—	—	(2,999)	—	—	—	—	—	—	—	—	
Transferred from Special Economic Zone Re-investment reserve on utilization	—	—	—	—	881	—	—	(881)	—	—	—	—	—	—	—	—	
Balance as at March 31, 2025	2,073	54	169	1,091	78,627	1,412	1,068	8,298	24	285	2,904	(18)	(169)	95,818	385	96,203	

* Net of tax

⁽¹⁾ Net of treasury shares⁽²⁾ The Special Economic Zone Re-investment Reserve has been created out of the profit of eligible SEZ units in terms of the provisions of Sec 10AA(1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Group for acquiring new plant and machinery for the purpose of its business in the terms of the Sec 10AA(2) of the Income Tax Act, 1961.⁽³⁾ Under the Swiss Code of Obligation, few subsidiaries of Infosys Consulting are required to appropriate a certain percentage of the annual profit to legal reserve which may be used only to cover losses or for measures designed to sustain the Company through difficult times, to prevent unemployment or to mitigate its consequences.

The accompanying notes form an integral part of the consolidated financial statements.

As per our report of even date attached

for Deloitte Haskins & Sells LLP

Chartered Accountants

Firm's Registration No :

117366W/ W-100018

for and on behalf of the Board of Directors of Infosys Limited

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INFOSYS LIMITED AND SUBSIDIARIES

Consolidated Statement of Cash Flows

Accounting policy

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Group are segregated. The Group considers all highly liquid investments that are readily convertible to known amounts of cash to be cash equivalents.

(In ₹ crore)

Particulars	Note No.	Year ended March 31,	
		2025	2024
Cash flow from operating activities			
Profit for the year		26,750	26,248
Adjustments to reconcile net profit to net cash provided by operating activities:			
Income tax expense	2.17	10,858	9,740
Depreciation and amortization	2.2, 2.4.2 and 2.21	4,812	4,678
Interest and dividend income	2.19	(2,570)	(2,067)
Finance cost		416	470
Impairment loss recognized / (reversed) under expected credit loss model		48	121
Exchange differences on translation of assets and liabilities, net		79	76
Stock compensation expense	2.12	802	652
Interest receivable on income tax refund		(327)	(1,934)
Provision for post sale client support		(110)	75
Other adjustments		833	1,464
Changes in assets and liabilities			
Trade receivables and unbilled revenue		(1,769)	(2,667)
Loans, other financial assets and other assets		(1,024)	(1,172)
Trade payables		176	91
Other financial liabilities, other liabilities and provisions		2,322	(1,334)
Cash generated from operations		41,296	34,441
Income taxes paid		(5,602)	(9,231)
Net cash generated by operating activities		35,694	25,210
Cash flows from investing activities			
Expenditure on property, plant and equipment and intangibles		(2,237)	(2,201)
Deposits placed with corporation		(1,225)	(847)
Redemption of deposits placed with Corporation		776	710
Interest and dividend received		2,040	1,768
Payment towards acquisition of business, net of cash acquired	2.1	(3,155)	—
Payment of contingent consideration pertaining to acquisition of business		—	(101)
Other receipts		10	128
Payments to acquire investments			
Tax free bonds and government bonds		(2)	—
Liquid mutual fund units		(73,048)	(66,191)
Certificates of deposit		(6,978)	(8,509)
Commercial papers		(6,403)	(10,387)
Non-convertible debentures		(3,240)	(1,526)
Other investments		(60)	(14)
Proceeds on sale of investments			
Tax free bonds and government bonds		109	150
Liquid mutual funds units		73,987	64,767
Certificates of deposit		6,688	9,205
Commercial papers		7,735	6,479
Non-convertible debentures		2,591	1,230
Government securities		455	304
Equity and preference securities		—	26
Other investments		11	—
Net cash used in from investing activities		(1,946)	(5,009)

Cash flows from financing activities

Payment of lease liabilities		(2,355)	(2,024)
Payment of dividends		(20,287)	(14,692)
Loan repayment of in-tech Holding GmbH (<i>Refer to Note 2.1</i>)		(985)	—
Payment of dividend to non-controlling interest of subsidiary		(2)	(39)
Payment towards buyback of shares pertaining to non controlling interest of subsidiary		—	(18)
Shares issued on exercise of employee stock options		6	5
Other payments		(538)	(736)
Net cash used in financing activities		(24,161)	(17,504)
Net increase / (decrease) in cash and cash equivalents		9,587	2,697
Effect of exchange rate changes on cash and cash equivalents		82	(84)
Cash and cash equivalents at the beginning of the period	2.9	14,786	12,173
Cash and cash equivalents at the end of the period	2.9	24,455	14,786
Supplementary information:			
Restricted cash balance	2.9	424	348

The accompanying notes form an integral part of the consolidated financial statements

As per our report of even date attached

for Deloitte Haskins & Sells LLP

for and on behalf of the Board of Directors of Infosys Limited

Chartered Accountants

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Bengaluru
April 17, 2025

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Company Secretary
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INFOSYS LIMITED AND SUBSIDIARIES

Overview and notes to the Consolidated Financial Statements

1. Overview

1.1 Company overview

Infosys Limited ('the Company' or Infosys) provides consulting, technology, outsourcing and next-generation digital services, to enable clients to execute strategies for their digital transformation. Infosys strategic objective is to build a sustainable organization that remains relevant to the agenda of clients, while creating growth opportunities for employees and generating profitable returns for investors. Infosys strategy is to be a navigator for our clients as they ideate, plan and execute on their journey to a digital future.

Infosys together with its subsidiaries and controlled trusts is hereinafter referred to as the "Group".

The Company is a public limited company incorporated and domiciled in India and has its registered office at Electronics city, Hosur Road, Bengaluru 560100, Karnataka, India. The Company has its primary listings on the BSE Ltd. and National Stock Exchange of India Limited. The Company's American Depositary Shares (ADS) representing equity shares are listed on the New York Stock Exchange (NYSE).

The Group's consolidated financial statements are approved for issue by the Company's Board of Directors on April 17, 2025.

1.2 Basis of preparation of financial statements

These consolidated financial statements are prepared in accordance with the provisions of the Companies Act, 2013 ("the Act"), guidelines issued by the Securities and Exchange Board of India (SEBI) and Indian Accounting Standard (Ind AS) under the historical cost convention on accrual basis except for certain financial instruments which are measured at fair values and defined benefit liability/(asset) which is recognized at the present value of defined benefit obligation less fair value of plan assets. The Ind AS are prescribed under Section 133 of the Act read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 and relevant amendment rules issued thereafter.

Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use. The material accounting policy information used in preparation of the audited consolidated financial statements have been discussed in the respective notes.

As the year-end figures are taken from the source and rounded to the nearest digits, the figures reported for the previous quarters might not always add up to the year-end figures reported in this statement.

1.3 Basis of consolidation

Infosys consolidates entities which it owns or controls. The consolidated financial statements comprise the financial statements of the Company, its controlled trusts and its subsidiaries. Control exists when the parent has power over the entity, is exposed, or has rights to variable returns from its involvement with the entity and has the ability to affect those returns by using its power over the entity. Power is demonstrated through existing rights that give the ability to direct relevant activities, those which significantly affect the entity's returns. Subsidiaries are consolidated from the date control commences until the date control ceases.

The financial statements of the Group companies are consolidated on a line-by-line basis and intra-group balances and transactions including unrealized gain / loss from such transactions are eliminated upon consolidation. These financial statements are prepared by applying uniform accounting policies in use at the Group. Non-controlling interests which represent part of the net profit or loss and net assets of subsidiaries that are not, directly or indirectly, owned or controlled by the Company, are excluded.

Refer to Note 2.25 for the list of subsidiaries and controlled trusts of the Company

1.4 Use of estimates and judgments

The preparation of the consolidated financial statements in conformity with Ind AS requires the Management to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the consolidated financial statements and reported amounts of revenues and expenses during the period. The application of accounting policies that require critical accounting estimates involving complex and subjective judgments and the use of assumptions in these financial statements have been disclosed in *Note no. 1.5*. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as Management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates and judgements are reflected in the consolidated financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the consolidated financial statements.

1.5 Critical accounting estimates and judgments

a. Revenue recognition

The Group's contracts with customers include promises to transfer multiple products and services to a customer. Revenues from customer contracts are considered for recognition and measurement when the contract has been approved, in writing, by the parties to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables, and allocation of transaction price to these distinct performance obligations involves significant judgment.

Fixed price maintenance revenue is recognized ratably on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period. Revenue from fixed price maintenance contract is recognized ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of the contract because the services are generally discrete in nature and not repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables.

The Group uses the percentage-of-completion method in accounting for other fixed-price contracts. Use of the percentage-of-completion method requires the Group to determine the actual efforts or costs expended to date as a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total efforts or costs involves significant judgment and is assessed throughout the period of the contract to reflect any changes based on the latest available information.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

b. Income taxes

The Group's two major tax jurisdictions are India and the United States, though the Company also files tax returns in other overseas jurisdictions.

Significant judgments are involved in determining the provision for income taxes, including amount expected to be paid / recovered for uncertain tax positions.

In assessing the realizability of deferred income tax assets, the Management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. Management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, the Management believes that the Group will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced (*Refer to Notes 2.17*).

c. Business combinations and intangible assets

Business combinations are accounted for using Ind AS 103, Business Combinations. Ind AS 103 requires us to fair value identifiable intangible assets and contingent consideration to ascertain the net fair value of identifiable assets, liabilities and contingent liabilities of the acquiree. These valuations are conducted by external valuation experts. Estimates are required to be made in determining the value of contingent consideration, value of option arrangements and intangible assets. These measurements are based on information available at the acquisition date and are based on expectations and assumptions that have been deemed reasonable by the Management (*Refer to Note 2.1 and 2.4.2*).

d. Property, plant and equipment

Property, plant and equipment represent a significant proportion of the asset base of the Group. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of Group's assets are determined by the Management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology (*Refer to Note 2.2*).

e. Impairment of Goodwill

Goodwill is tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit (CGUs) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or groups of CGUs which benefit from the synergies of the acquisition and which represent the lowest level at which goodwill is monitored for internal management purposes.

The recoverable amount of CGUs is determined based on higher of value-in-use and fair value less cost to sell. Key assumptions in the cash flow projections are prepared based on current economic conditions and comprises estimated long term growth rates, weighted average cost of capital and estimated operating margins (*Refer to note 2.4.1*).

2. Notes to the Consolidated Financial Statements

2.1 BUSINESS COMBINATIONS

Accounting policy

Business combinations have been accounted for using the acquisition method under the provisions of Ind AS 103, Business Combinations.

The purchase price in an acquisition is measured at the fair value of the assets transferred, equity instruments issued and liabilities incurred or assumed at the date of acquisition, which is the date on which control is transferred to the Group. The purchase price also includes the fair value of any contingent consideration. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair value on the date of acquisition. Contingent consideration is remeasured at fair value at each reporting date and changes in the fair value of the contingent consideration are recognized in the Consolidated Statement of Profit and Loss.

The interest of non-controlling shareholders is initially measured either at fair value or at the non-controlling interests' proportionate share of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity of subsidiaries.

Business combinations between entities under common control is accounted for at carrying value of the assets acquired and liabilities assumed in the Group's consolidated financial statements.

The payments related to options issued by the Group over the non-controlling interests in its subsidiaries are accounted as financial liabilities and initially recognized at the estimated present value of gross obligations. Such options are subsequently measured at fair value in order to reflect the amount payable under the option at the date at which it becomes exercisable. In the event that the option expires unexercised, the liability is derecognized.

Acquisition

InSemi

On May 10, 2024, Infosys Ltd acquired 100% voting interests in InSemi Technology Services Private Limited, a semiconductor design services company headquartered in India. This acquisition is expected to strengthen our expertise in semiconductor ecosystem and Engineering R&D services.

The purchase price is allocated to assets acquired and liabilities assumed based upon determination of fair values at the date of acquisition as follows:

(In ₹ crore)			
Component	Acquiree's carrying amount	Fair value adjustments	Purchase price allocated
Net Assets ⁽¹⁾	40	-	40
Intangible assets:			
Customer related	-	60	60
Brand	-	13	13
Deferred tax liabilities on intangible assets	-	(18)	(18)
Total			95
Goodwill			103
Total purchase price			198

⁽¹⁾ Includes cash and cash equivalents acquired of ₹ 41 crore.

The excess of the purchase consideration paid over the fair value of assets acquired has been attributed to goodwill. The primary items that generated this goodwill are the value of the acquired assembled workforce and estimated synergies, neither of which qualify as an intangible asset.

Goodwill is not tax-deductible.

The purchase consideration of ₹198 crore includes cash of ₹168 crore and contingent consideration with an estimated fair value of ₹30 crore as on the date of acquisition.

At the acquisition date, the key inputs used in determination of the fair value of contingent consideration are the probabilities assigned towards achievement of financial targets and discount rate of 5.9%. The undiscounted value of contingent consideration as of March 31, 2025 was ₹33 crore.

Additionally, this acquisition has retention bonus and management incentive payable to the employees of the acquiree over three years, subject to their continuous employment with the Group and achievement of financial targets for the respective years. Bonus and incentives are recognized in employee benefit expenses in the Statement of Profit and loss over the period of service.

Fair value of trade receivables acquired is ₹32 crore as of acquisition date and as of March 31, 2025 the amounts are substantially collected.

Transaction costs that the Group incurs in connection with a business combination such as finder's fees, legal fees, due diligence fees, and other professional and consulting fees are expensed as incurred. The transaction costs of ₹2 crore related to the acquisition have been included under administrative expenses in the Consolidated Statement of Profit and loss for the three months ended June 30, 2024.

in-tech Holding GmbH

On July 17, 2024, Infosys Germany GmbH a wholly owned step down subsidiary of Infosys Limited acquired 100% voting interests in in-tech Holding GmbH, a leading provider of engineering R&D services headquartered in Germany. This acquisition is expected to strengthen Infosys' engineering R&D capabilities and reaffirms its continued commitment to global clients to navigate their digital engineering journey.

The purchase price is allocated to assets acquired and liabilities assumed based upon determination of fair values at the date of acquisition as follows:

(In ₹ crore)			
Component	Acquiree's carrying amount	Fair value adjustments	Purchase price allocated
Assets ⁽¹⁾	731	-	731
Liabilities	(364)	-	(364)
Intangible assets:			
Customer related	-	1,720	1,720
Brand	-	147	147
Deferred tax liabilities on intangible assets	-	(511)	(511)
Goodwill	-	-	2,490
Loan	(985)		(985)
Total purchase price			3,228
Loan repayment			985
Total cash outflow			4,213

⁽¹⁾ Includes cash and cash equivalents acquired of ₹197 crore.

The excess of the purchase consideration paid over the fair value of assets acquired has been attributed to goodwill. The primary items that generated this goodwill are the value of the acquired assembled workforce and estimated synergies, neither of which qualify as an intangible asset.

Goodwill is not tax-deductible.

The total purchase consideration of EUR 356 million (₹3,228 crore) comprises the cash consideration paid to selling shareholders at the acquisition date.

Additionally, this acquisition has retention bonus and management incentive payable to the employees of the acquiree over two to five years, subject to their continuous employment with the Group and achievement of financial targets for the respective years. Bonus and incentives are recognized in employee benefit expenses in the Statement of Profit and loss over the period of service.

Fair value of trade receivables acquired is ₹139 crore as of acquisition date and as of March 31, 2025 the amounts are substantially collected.

Transaction costs that the Group incurs in connection with a business combination such as finder's fees, legal fees, due diligence fees, and other professional and consulting fees are expensed as incurred. The transaction costs of ₹4 crore related to the acquisition have been included under administrative expenses in the Consolidated Statement of Profit and loss for the quarter ended September 30, 2024.

Proposed acquisitions

On April 17, 2025, Infosys Singapore Pte Ltd., a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the equity share capital of The Missing Link, a leading Cybersecurity service provider headquartered in Australia, for a consideration including earn-outs amounting up to AUD 98 million (approximately ₹527 crore), excluding management incentives, and retention bonus, subject to customary closing adjustments.

On April 17, 2025, Infosys Nova Holdings LLC, a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the partnership interests of MRE Consulting Ltd, a leading Energy Consulting company, headquartered in USA, for a consideration including earn-outs amounting up to \$36 million (approximately ₹308 crore), excluding management incentives, and retention bonus, subject to customary closing adjustments. To consummate this transaction, Infosys Nova Holdings LLC has simultaneously incorporated an entity Infosys Energy Consulting Services LLC.

2.2 PROPERTY, PLANT AND EQUIPMENT

Accounting policy

Property, plant and equipment are stated at cost, less accumulated depreciation and impairment, if any. Costs directly attributable to acquisition are capitalized until the property, plant and equipment are ready for use, as intended by the Management. The charge in respect of periodic depreciation is derived at after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The Group depreciates property, plant and equipment over their estimated useful lives using the straight-line method. The estimated useful lives of assets are as follows:

Buildings ⁽¹⁾	22-25 years
Plant and machinery ⁽¹⁾⁽²⁾	5 years
Office equipment	5 years
Computer equipment ⁽¹⁾	3-5 years
Furniture and fixtures ⁽¹⁾	5 years
Vehicles ⁽¹⁾	5 years
Leasehold improvements	Lower of useful life of the asset or lease term

⁽¹⁾ Based on technical evaluation, the Management believes that the useful lives as given above best represent the period over which the Management expects to use these assets. Hence, the useful lives for these assets is different from the useful lives as prescribed under Part C of Schedule II of the Companies Act 2013

⁽²⁾ Includes Solar plant with a useful life of 25 years

Depreciation methods, useful lives and residual values are reviewed periodically, including at each financial year end. The useful lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology.

Advances paid towards the acquisition of property, plant and equipment outstanding at each Balance Sheet date is classified as capital advances under other non-current assets and the cost of assets not ready to use before such date are disclosed under 'Capital work-in-progress'. Subsequent expenditures relating to property, plant and equipment is capitalized only when it is probable that future economic benefits associated with these will flow to the Group and the cost of the item can be measured reliably. The cost and related accumulated depreciation are eliminated from the financial statements upon sale or retirement of the asset.

Impairment

Property, plant and equipment are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in the Consolidated Statement of Profit and Loss is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in the Consolidated Statement of Profit and Loss if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated depreciation) had no impairment loss been recognized for the asset in prior years.

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2025 are as follows:

(In ₹ crore)									
Particulars	Land - Freehold	Buildings ⁽¹⁾	Plant and machinery	Office Equipment	Computer equipment	Furniture and fixtures	Leasehold Improvements	Vehicles	Total
Gross carrying value as at April 1, 2024	1,432	11,770	3,428	1,528	8,611	2,326	1,447	45	30,587
Additions	47	43	63	139	1,317	93	139	2	1,843
Additions on Business Combinations (Refer to note 2.1)	—	1	—	11	6	23	—	2	43
Deletions**	—	(113)	(31)	(52)	(633)	(101)	(290)	(1)	(1,221)
Translation difference	—	20	1	2	5	(1)	11	—	38
Gross carrying value as at March 31, 2025	1,479	11,721	3,461	1,628	9,306	2,340	1,307	48	31,290
Accumulated depreciation as at April 1, 2024	—	(4,921)	(2,630)	(1,269)	(6,380)	(1,837)	(1,138)	(42)	(18,217)
Depreciation	—	(444)	(203)	(118)	(1,249)	(187)	(157)	(2)	(2,360)
Accumulated depreciation on deletions**	—	13	21	51	616	94	286	1	1,082
Translation difference	—	(6)	(1)	(1)	—	1	(10)	—	(17)
Accumulated depreciation as at March 31, 2025	—	(5,358)	(2,813)	(1,337)	(7,013)	(1,929)	(1,019)	(43)	(19,512)
Carrying value as at April 1, 2024	1,432	6,849	798	259	2,231	489	309	3	12,370
Carrying value as at March 31, 2025	1,479	6,363	648	291	2,293	411	288	5	11,778

** During the year ended March 31, 2025, certain assets which were not in use having gross book value of ₹513 crore (net book value: Nil) were retired.

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2024 are as follows:

Particulars	Land - Freehold	Buildings ⁽¹⁾	Plant and machinery	Office Equipment	Computer equipment	Furniture and fixtures	Leasehold Improvements	Vehicles	(In ₹ crore)
									Total
Gross carrying value as at April 1, 2023	1,431	11,562	3,302	1,482	8,519	2,303	1,445	45	30,089
Additions	1	300	193	106	931	121	108	1	1,761
Deletions*	—	(55)	(64)	(60)	(846)	(99)	(102)	(1)	(1,227)
Translation difference	—	(37)	(3)	—	7	1	(4)	—	(36)
Gross carrying value as at March 31, 2024	1,432	11,770	3,428	1,528	8,611	2,326	1,447	45	30,587
Accumulated depreciation as at April 1, 2023	—	(4,535)	(2,437)	(1,198)	(5,826)	(1,675)	(1,032)	(40)	(16,743)
Depreciation	—	(450)	(259)	(130)	(1,387)	(250)	(206)	(3)	(2,685)
Accumulated depreciation on deletions*	—	55	64	59	836	89	97	1	1,201
Translation difference	—	9	2	—	(3)	(1)	3	—	10
Accumulated depreciation as at March 31, 2024	—	(4,921)	(2,630)	(1,269)	(6,380)	(1,837)	(1,138)	(42)	(18,217)
Carrying value as at April 1, 2023	1,431	7,027	865	284	2,693	628	413	5	13,346
Carrying value as at March 31, 2024	1,432	6,849	798	259	2,231	489	309	3	12,370

* During the year ended March 31, 2024, certain assets which were not in use having gross book value of ₹775 crore (net book value: Nil) were retired.

⁽¹⁾ Buildings include ₹250/- being the value of five shares of ₹50/- each in Mittal Towers Premises Co-operative Society Limited.

The aggregate depreciation has been included under depreciation and amortization expense in the Consolidated Statement of Profit and Loss.

Repairs and maintenance costs are recognized in the Consolidated Statement of Profit and Loss when incurred.

Consequent to the Companies (Corporate Social Responsibility Policy) Amendment Rules, 2021 (“the Rules”), the Company was required to transfer its CSR capital assets installed prior to January 2021. Towards this the Company had incorporated a subsidiary ‘Infosys Green Forum’ (IGF) under Section 8 of the Companies Act, 2013. During the year ended March 31, 2022 the Company had completed the transfer of assets upon obtaining the required approvals from regulatory authorities, as applicable. During March 31, 2024, the application filed by IGF for registration u/s.12AB of the Income Tax Act was rejected and registration cancelled. IGF has filed an appeal against this order before Income Tax Appellate Tribunal.

2.3 CAPITAL WORK-IN-PROGRESS

The changes in capital work-in-progress for the year ended March 31, 2025 and March 31, 2024 are as follows:

Particulars	(In ₹ crore)	
	March 31, 2025	March 31, 2024
Balance at the beginning	293	288
Additions during the year	2,316	1,764
Capitalised during the year	(1,796)	(1,760)
Translation difference	1	1
Balance at the end	814	293

Capital work-in-progress ageing schedule for the year ended March 31, 2025 and March 31, 2024 :

Particulars	(In ₹ crore)				
	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	576	204	22	12	814
	259	22	1	11	293
Total Capital work-in-progress	576	204	22	12	814
	259	22	1	11	293

For capital-work-in progress, whose completion is overdue or has exceeded its cost compared to its original plan the project wise details of when the project is expected to be completed is given below as of March 31, 2025 and March 31, 2024 :

Particulars	(In ₹ crore)			
	To be completed in			Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress				
NO-SZ-SDB	256	-	-	-
	-	-	-	-
Total Capital work-in-progress*	256	-	-	-
	-	-	-	-

* There are no subsidiaries in the group having more than 10% of the total capital work in progress.

2.4 GOODWILL AND OTHER INTANGIBLE ASSETS

2.4.1 Goodwill

Accounting policy

Goodwill represents the purchase consideration in excess of the Group's interest in the net fair value of identifiable assets, liabilities and contingent liabilities of the acquired entity. When the net fair value of the identifiable assets, liabilities and contingent liabilities acquired exceeds purchase consideration, the fair value of net assets acquired is reassessed and the bargain purchase gain is recognized in capital reserve. Goodwill is measured at cost less accumulated impairment losses.

Impairment

Goodwill is tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit (CGU) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or groups of CGUs which benefit from the synergies of the acquisition and which represents the lowest level at which goodwill is monitored for internal management purposes. A CGU is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or group of assets. Impairment occurs when the carrying amount of a CGU including the goodwill, exceeds the estimated recoverable amount of the CGU. The recoverable amount of a CGU is the higher of its fair value less cost to sell and its value-in-use. Value-in-use is the present value of future cash flows expected to be derived from the CGU. Key assumptions in the cash flow projections are prepared based on current economic conditions and includes estimated long term growth rates, weighted average cost of capital and estimated operating margins.

Following is a summary of changes in the carrying amount of goodwill:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Carrying value at the beginning	7,303	7,248
Goodwill on acquisitions (Refer to note 2.1)	2,593	—
Translation differences	210	55
Carrying value at the end	10,106	7,303

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to the CGU or groups of CGUs, which benefit from the synergies of the acquisition. The Group internally reviews the goodwill for impairment at the operating segment level, after allocation of the goodwill to CGUs or groups of CGUs.

The allocation of goodwill to operating segments as at March 31, 2025 and March 31, 2024 is as follows:

Segment	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Financial services	1,510	1,476
Retail	961	939
Communication	691	675
Energy, Utilities, Resources and Services	1,337	1,160
Manufacturing	2,986	578
Life Sciences	975	951
	8,460	5,779
Operating segments without significant goodwill	650	552
Total	9,110	6,331

The goodwill pertaining to Panaya amounting to ₹996 crore and ₹972 crore as at March 31, 2025 and March 31, 2024, respectively is tested for impairment at the entity level.

The recoverable amount of a CGU is the higher of its fair value less cost to sell and its value-in-use. The fair value of a CGU is determined based on the market capitalization. Value-in-use is determined based on discounted future cash flows. The key assumptions used for the calculations are as follows:

	(in %)	
	As at	
	March 31, 2025	March 31, 2024
Long term growth rate	7-10	7-10
Operating margins	19-21	19-21
Discount rate	13	13

The above discount rate is based on the Weighted Average Cost of Capital (WACC) of the Company. As at March 31, 2025, the estimated recoverable amount of the CGU exceeded its carrying amount. Reasonable sensitivities in key assumptions is unlikely to cause the carrying amount to exceed the recoverable amount of the cash generating units.

2.4.2 Intangible Assets

Accounting policy

Intangible assets are stated at cost less accumulated amortization and impairment. Intangible assets are amortized over their respective individual estimated useful lives on a straight-line basis, from the date that they are available for use. The estimated useful life of an identifiable intangible asset is based on a number of factors including the effects of obsolescence, demand, competition, and other economic factors (such as the stability of the industry, and known technological advances) and the level of maintenance expenditures required to obtain the expected future cash flows from the asset. Amortization methods and useful lives are reviewed periodically including at each financial year end.

Research costs are expensed as incurred. Software product development costs are expensed as incurred unless technical and commercial feasibility of the project is demonstrated, future economic benefits are probable, the Group has an intention and ability to complete and use or sell the software and the costs can be measured reliably. The costs which can be capitalized include the cost of material, direct labor, overhead costs that are directly attributable to prepare the asset for its intended use.

Impairment

Intangible assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the CGU to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in the Consolidated Statement of Profit and Loss is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in the Consolidated Statement of Profit and Loss if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated amortization) had no impairment loss been recognized for the asset in prior years.

The changes in the carrying value of acquired intangible assets for the year ended March 31, 2025 are as follows :

(In ₹ crore)

Particulars	Customer related	Software related	Intellectual property rights related	Brand or Trademark Related	Others*	Total
Gross carrying value as at April 1, 2024	2,512	1,110	1	349	782	4,754
Additions	-	143	-	-	-	143
Acquisition through business combination (Refer to Note 2.1)	1,780	-	-	160	-	1,940
Deletions	-	-	-	-	-	-
Translation difference	91	27	-	10	19	147
Gross carrying value as at March 31, 2025	4,383	1,280	1	519	801	6,984
Accumulated amortization as at April 1, 2024	(1,800)	(765)	(1)	(235)	(556)	(3,357)
Amortization expense [#]	(530)	(87)	-	(50)	(110)	(777)
Deletions	-	-	-	-	-	-
Translation differences	(47)	(17)	-	(6)	(14)	(84)
Accumulated amortization as at March 31, 2025	(2,377)	(869)	(1)	(291)	(680)	(4,218)
Carrying value as at April 1, 2024	712	345	-	114	226	1,397
Carrying value as at March 31, 2025	2,006	411	-	228	121	2,766
Estimated Useful Life (in years)	1-15	3-10	-	3-10	3-7	
Estimated Remaining Useful Life (in years)	1-9	1-4	-	1-6	1-3	

* Majorly includes intangibles related to vendor relationships

[#] During the quarter ended March 31, 2025, a decline in the revenue estimates led to the carrying value of the customer related intangibles assets recognized on business combination exceeding the estimated recoverable amount. Consequently, the Company has recognized ₹188 crore as the excess of carrying value over the estimated recoverable value for the quarter ended March 31, 2025.

Following are the changes in the carrying value of acquired intangible assets for the year ended March 31, 2024:

(In ₹ crore)

Particulars	Customer related	Software related	Intellectual property rights related	Brand or Trademark Related	Others*	Total
Gross carrying value as at April 1, 2023	2,507	1,031	1	346	774	4,659
Additions	-	79	-	-	-	79
Deletions	-	(2)	-	-	-	(2)
Translation difference	5	2	-	3	8	18
Gross carrying value as at March 31, 2024	2,512	1,110	1	349	782	4,754
Accumulated amortization as at April 1, 2023	(1,600)	(688)	(1)	(195)	(426)	(2,910)
Amortization expense	(194)	(75)	-	(38)	(125)	(432)
Deletions	-	2	-	-	-	2
Translation differences	(6)	(4)	-	(2)	(5)	(17)
Accumulated amortization as at March 31, 2024	(1,800)	(765)	(1)	(235)	(556)	(3,357)
Carrying value as at April 1, 2023	907	343	-	151	348	1,749
Carrying value as at March 31, 2024	712	345	-	114	226	1,397
Estimated Useful Life (in years)	1-15	3-10	-	3-10	3-7	
Estimated Remaining Useful Life (in years)	1-10	1-5	-	1-6	1-4	

* Majorly includes intangibles related to vendor relationships

The amortization expense has been included under depreciation and amortization expense in the Consolidated Statement of Profit and Loss.

Research and Development Expenditure

Research and development expense recognized in the Consolidated Statement of Profit and Loss for the year ended March 31, 2025 and March 31, 2024 was ₹1,296 crore and ₹1,118 crore respectively.

2.5 INVESTMENTS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current Investments		
Unquoted		
Investments carried at fair value through other comprehensive income		
Preference securities	167	91
Equity instruments	2	2
	169	93
Investments carried at fair value through profit or loss		
Target maturity fund units	465	431
Equity and Preference securities	25	—
Others ⁽¹⁾	196	198
	686	629
Quoted		
Investments carried at amortized cost		
Government bonds	16	28
Tax free bonds	1,465	1,731
	1,481	1,759
Investments carried at fair value through other comprehensive income		
Non convertible debentures	3,320	2,217
Equity securities	57	113
Government securities	5,346	6,897
	8,723	9,227
Total non-current investments	11,059	11,708
Current Investments		
Unquoted		
Investments carried at fair value through profit or loss		
Liquid mutual fund units	1,957	2,615
	1,957	2,615
Investments carried at fair value through other comprehensive income		
Commercial Paper	3,641	4,830
Certificates of deposit	3,504	3,043
	7,145	7,873
Quoted		
Investments carried at amortized cost		
Government bonds	15	—
Tax free bonds	154	—
	169	—
Investments carried at fair value through other comprehensive income		
Non convertible debentures	1,549	1,962
Government securities	1,662	465
	3,211	2,427
Total current investments	12,482	12,915
Total investments	23,541	24,623
Aggregate amount of quoted investments	13,584	13,413
Market value of quoted investments (including interest accrued), current	3,369	2,428
Market value of quoted investments (including interest accrued), non current	10,392	11,201
Aggregate amount of unquoted investments	9,957	11,210
Investments carried at amortized cost	1,650	1,759
Investments carried at fair value through other comprehensive income	19,248	19,620
Investments carried at fair value through profit or loss	2,643	3,244

⁽¹⁾ Uncalled capital commitments outstanding as at March 31, 2025 and March 31, 2024 was ₹122 crore and ₹79 crore, respectively.

Refer to Note 2.11 for Accounting policies on Financial Instruments.

Details of amounts recorded in Other comprehensive income :

(In ₹ crore)

	Year ended March 31, 2025			Year ended March 31, 2024		
	Gross	Tax	Net	Gross	Tax	Net
Net Gain/(loss) on						
Non-convertible debentures	54	(6)	48	62	5	67
Commercial Paper	3	(1)	2	-	-	-
Certificates of deposit	3	(1)	2	(1)	-	(1)
Government securities	162	(15)	147	98	(20)	78
Equity and preference securities	20	(1)	19	10	9	19

Method of fair valuation:

Class of investment	Method	(In ₹ crore)	
		Fair value as at	
		March 31, 2025	March 31, 2024
Liquid mutual fund units - carried at fair value through profit or loss	Quoted price	1,957	2,615
Target maturity fund units - carried at fair value through profit or loss	Quoted price	465	431
Tax free bonds and government bonds - carried at amortized cost	Quoted price and market observable inputs	1,812	1,973
Non-convertible debentures - carried at fair value through other comprehensive income	Quoted price and market observable inputs	4,869	4,179
Government securities - carried at fair value through other comprehensive income	Quoted price and market observable inputs	7,008	7,362
Commercial Papers - carried at fair value through other comprehensive income	Market observable inputs	3,641	4,830
Certificates of deposit - carried at fair value through other comprehensive income	Market observable inputs	3,504	3,043
Quoted Equity securities - carried at fair value through other comprehensive income	Quoted price	57	113
Unquoted equity and preference securities - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	25	—
Unquoted equity and preference securities - carried at fair value through other comprehensive income	Discounted cash flows method, Market multiples method, Option pricing model	169	93
Others - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	196	198
Total		23,703	24,837

Note: Certain quoted investments are classified as Level 2 in the absence of active market for such investments.

2.5.1 Details of investments

The details of investments in preference, equity and other instruments at March 31, 2025 and March 31, 2024 are as follows:

Particulars	(In ₹ crore, except otherwise stated)	
	As at	
	March 31, 2025	March 31, 2024
<u>Preference securities</u>		
Investments carried at fair value through other comprehensive income		
Airviz, Inc.	-	-
2,89,695 (2,89,695) Series A Preferred Stock, fully paid up, par value USD 0.001 each		
Whoop, Inc.	129	60
1,10,59,340 (1,10,59,340) Series B Preferred Stock, fully paid up, par value USD 0.0001 each		
Nivetti Systems Private Limited	38	31
2,28,501 (2,28,501) Preferred Stock, fully paid up, par value ₹1/- each		
Investments carried at fair value through profit or loss		
Galaxeye Space Solutions Private Limited	17	-
1,210 (Nil) Series A compulsorily convertible cumulative Preference shares of ₹10/- each, fully paid up		
4Basecare Precision Health Private Limited	8	-
18,850 (Nil) Series A compulsorily convertible cumulative Preference shares of ₹1/- each, fully paid up		
Total investment in preference securities	192	91
<u>Equity Instruments</u>		
Investments carried at fair value through other comprehensive income		
Merasport Technologies Private Limited	-	-
2,420 (2,420) equity shares at ₹8,052/- each, fully paid up, par value ₹10/- each		
Global Innovation and Technology Alliance	2	2
15,000 (15,000) equity shares at ₹1,000/- each, fully paid up, par value ₹1,000/- each		
Ideaforge Technology Limited	57	113
16,47,314 (16,47,314) equity shares at ₹10/-, fully paid up		
Investments carried at fair value through profit or loss		
Galaxeye Space Solutions Private Limited	-	-
10 (Nil) equity shares at ₹1,36,080/- each, fully paid up, par value ₹10/- each		
Total investment in equity instruments	59	115
<u>Others - Investments carried at fair value through profit or loss</u>		
Stellaris Venture Partners India	53	84
UVC Fonds IV GmbH & Co. KG	1	-
The House Fund II, L.P.	102	107
The House Fund III, L.P.	32	7
Yali Deeptech Fund I	8	-
Total investment in others	196	198
Total	447	404

2.6 LOANS

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Non Current		
Loans considered good - Unsecured		
Other loans		
Loans to employees	16	34
	16	34
Loans credit impaired - Unsecured		
Other loans		
Loans to employees	3	2
Less: Allowance for credit impairment	(3)	(2)
	—	—
Total non-current loans	16	34
Current		
Loans considered good - Unsecured		
Other loans		
Loans to employees	249	248
Total current loans	249	248
	—	—
Total loans	265	282

2.7 OTHER FINANCIAL ASSETS

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Non Current		
Security deposits ⁽¹⁾	273	259
Unbilled revenues ^{(1)#}	2,031	1,677
Restricted deposits ^{(1)*}	82	47
Net investment in lease ⁽¹⁾ (Refer to note 2.21)	1,106	1,114
Others ⁽¹⁾	19	8
Total non-current other financial assets	3,511	3,105
Current		
Security deposits ⁽¹⁾	65	75
Restricted deposits ^{(1)*}	2,949	2,535
Unbilled revenues ^{(1)#}	8,183	7,923
Interest accrued but not due ⁽¹⁾	842	537
Foreign currency forward and options contracts ^{(2) (3)}	192	84
Net investment in lease ⁽¹⁾ (Refer to note 2.21)	1,139	710
Others ⁽¹⁾	470	221
Total current other financial assets	13,840	12,085
	—	—
Total other financial assets	17,351	15,190
⁽¹⁾ Financial assets carried at amortized cost	17,159	15,106
⁽²⁾ Financial assets carried at fair value through other comprehensive income	28	23
⁽³⁾ Financial assets carried at fair value through profit or loss	164	61

* Restricted deposits represent deposits with financial institutions to settle employee related obligations as and when they arise during the normal course of business.

Classified as financial asset as right to consideration is unconditional and is due only after a passage of time.

2.8 TRADE RECEIVABLES

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Current		
Trade Receivable considered good - Unsecured	31,670	30,713
Less: Allowance for expected credit loss	512	520
Trade Receivable considered good - Unsecured	31,158	30,193
Trade Receivable - credit impaired - Unsecured	206	196
Less: Allowance for credit impairment	206	196
Trade Receivable - credit impaired - Unsecured	—	—
Total trade receivables	31,158	30,193

Trade receivables ageing schedule for the year ended as on March 31, 2025 and March 31, 2024 :

(In ₹ crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables – considered good	23,696	7,505	202	223	44	—	31,670
	22,572	7,402	319	414	2	4	30,713
Undisputed Trade receivables – credit impaired	—	5	4	6	6	113	134
	3	15	7	6	4	106	141
Disputed Trade receivables – considered good	—	—	—	—	—	—	—
	—	—	—	—	—	—	—
Disputed Trade receivables – credit impaired	—	—	—	43	28	1	72
	—	1	21	26	2	5	55
	23,696	7,510	206	272	78	114	31,876
	22,575	7,418	347	446	8	115	30,909
Less: Allowance for credit loss							718
							716
Total Trade Receivables							31,158
							30,193

2.9 CASH AND CASH EQUIVALENTS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Balances with banks		
In current and deposit accounts	24,455	14,786
Cash on hand	—	—
Total cash and cash equivalents	24,455	14,786
Balances with banks in unpaid dividend accounts	45	37
Deposit with more than 12 months maturity	75	57

Cash and cash equivalents as at March 31, 2025 and March 31, 2024 include restricted cash and bank balances of ₹424 crore and ₹348 crore respectively. The restrictions are primarily on account of bank balances held by irrevocable trusts controlled by the company.

The deposits maintained by the Group with banks and financial institutions comprise of time deposits, which can be withdrawn by the Group at any point without prior notice or penalty on the principal.

2.10 OTHER ASSETS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Capital advances	208	155
Advances other than capital advances		
Others		
Withholding taxes and others	534	673
Unbilled revenues [#]	201	103
Defined benefit plan assets	297	31
Prepaid expenses	282	343
Deferred Contract Cost		
Cost of obtaining a contract	312	129
Cost of fulfillment	879	687
Total non-current other assets	2,713	2,121
Current		
Advances other than capital advances		
Payment to vendors for supply of goods	413	356
Others		
Unbilled revenues [#]	4,668	4,845
Withholding taxes and others	2,841	3,540
Prepaid expenses	3,080	3,329
Deferred Contract Cost		
Cost of obtaining a contract	343	200
Cost of fulfillment	504	358
Other receivables	91	180
Total current other assets	11,940	12,808
Total other assets	14,653	14,929

[#] Classified as non financial asset as the contractual right to consideration is dependent on completion of contractual milestones.

Withholding taxes and others primarily consist of input tax credits and VAT recoverable from tax authorities.

2.11 FINANCIAL INSTRUMENTS

Accounting policy

2.11.1 Initial recognition

The Group recognizes financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are recognized at fair value on initial recognition, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities, which are not at fair value through profit or loss, are added to the fair value on initial recognition. Regular way purchase and sale of financial assets are accounted for at trade date.

2.11.2 Subsequent measurement

a. Non-derivative financial instruments

(i) Financial assets carried at amortized cost

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

(ii) Financial assets carried at fair value through other comprehensive income (FVOCI)

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The Group has made an irrevocable election for certain investments which are classified as equity instruments to present the subsequent changes in fair value in other comprehensive income based on its business model.

(iii) Financial assets carried at fair value through profit or loss (FVTPL)

A financial asset which is not classified in any of the above categories is subsequently fair valued through profit or loss.

(iv) Financial liabilities

Financial liabilities are subsequently carried at amortized cost using the effective interest method, except for contingent consideration and financial liability under option arrangements recognized in a business combination which is subsequently measured at fair value through profit or loss.

b. Derivative financial instruments

The Group holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for such contracts is generally a bank.

(i) Financial assets or financial liabilities, carried at fair value through profit or loss.

This category includes derivative financial assets or liabilities which are not designated as hedges.

Although the Group believes that these derivatives constitute hedges from an economic perspective, they may not qualify for hedge accounting under Ind AS 109, Financial Instruments. Any derivative that is either not designated as hedge, or is so designated but is ineffective as per Ind AS 109, is categorized as a financial asset or financial liability, at fair value through profit or loss.

Derivatives not designated as hedges are recognized initially at fair value and attributable transaction costs are recognized in net profit in the Consolidated Statement of Profit and Loss when incurred. Subsequent to initial recognition, these derivatives are measured at fair value through profit or loss and the resulting exchange gains or losses are included in other income. Assets/liabilities in this category are presented as current assets/current liabilities if they are either held for trading or are expected to be realized within 12 months after the Balance Sheet date.

(ii) Cash flow hedge

Primarily, the Group designates certain foreign exchange forward and options contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transactions.

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. Any ineffective portion of changes in the fair value of the derivative is recognized immediately in the net profit in the Consolidated Statement of Profit and Loss. If the hedging instrument no longer meets the criteria for hedge accounting, then hedge accounting is discontinued prospectively. If the hedging instrument expires or is sold, terminated or exercised, the cumulative gain or loss on the hedging instrument recognized in cash flow hedging reserve till the period the hedge was effective remains in cash flow hedging reserve until the forecasted transaction occurs. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the net profit in the Consolidated Statement of Profit and Loss upon the occurrence of the related forecasted transaction. If the forecasted transaction is no longer expected to occur, then the amount accumulated in cash flow hedging reserve is reclassified to net profit in the Consolidated Statement of Profit and Loss.

2.11.3 Derecognition of financial instruments

The Group derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under Ind AS 109. A financial liability (or a part of a financial liability) is derecognized from the Group's Balance Sheet when the obligation specified in the contract is discharged or cancelled or expires.

2.11.4 Fair value of financial instruments

In determining the fair value of its financial instruments, the Group uses a variety of methods and assumptions that are based on market conditions and risks existing at each reporting date. The methods used to determine fair value include discounted cash flow analysis, option pricing model, market multiples, available quoted market prices and dealer quotes. All methods of assessing fair value result in general approximation of value, and such value may never actually be realized.

Refer to table 'Financial instruments by category' below for the disclosure on carrying value and fair value of financial assets and liabilities. For financial assets and liabilities maturing within one year from the Balance Sheet date and which are not carried at fair value, the carrying amounts approximates fair value due to the short maturity of these instruments.

2.11.5 Impairment

The Group recognizes loss allowances using the expected credit loss (ECL) model for the financial assets and unbilled revenue which are not fair valued through profit or loss. Loss allowance for trade receivables and unbilled revenues with no significant financing component is measured at an amount equal to lifetime ECL. For all other financial assets, ECLs are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL.

The Group determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Group considers current and anticipated future economic conditions relating to industries the Group deals with and the countries where it operates.

The amount of ECL (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recorded is recognized as an impairment loss or gain in Consolidated Statement of Profit and Loss.

Financial instruments by category

The carrying value and fair value of financial instruments by categories as at March 31, 2025 are as follows:

Particulars	Amortized cost					(In ₹ crore)	
		Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to Note 2.9)	24,455	—	—	—	—	24,455	24,455
Investments (Refer to Note 2.5)							
Equity and preference securities	—	25	—	226	—	251	251
Tax free bonds and government bonds	1,650	—	—	—	—	1,650	1,812 ⁽¹⁾
Liquid mutual fund units	—	—	1,957	—	—	1,957	1,957
Target maturity fund units	—	—	465	—	—	465	465
Non convertible debentures	—	—	—	—	4,869	4,869	4,869
Government securities	—	—	—	—	7,008	7,008	7,008
Certificates of deposit	—	—	—	—	3,504	3,504	3,504
Commercial paper	—	—	—	—	3,641	3,641	3,641
Other investments	—	—	196	—	—	196	196
Trade receivables (Refer to Note 2.8)	31,158	—	—	—	—	31,158	31,158
Loans (Refer to Note 2.6)	265	—	—	—	—	265	265
Other financial assets (Refer to Note 2.7) ⁽³⁾	17,159	—	164	—	28	17,351	17,271 ⁽²⁾
Total	74,687	25	2,782	226	19,050	96,770	96,852
Liabilities:							
Trade payables (Refer to Note 2.14)	4,164	—	—	—	—	4,164	4,164
Lease liabilities (Refer to Note 2.21)	8,227	—	—	—	—	8,227	8,227
Financial Liability under option arrangements (Refer to Note 2.13)	—	—	667	—	—	667	667
Other financial liabilities (Refer to Note 2.13)	16,511	—	61	—	33	16,605	16,605
Total	28,902	—	728	—	33	29,663	29,663

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on tax free bonds and government bonds carried at amortized cost of ₹80 crore

⁽³⁾ Excludes unbilled revenue on contracts where the right to consideration is dependent on completion of contractual milestones

The carrying value and fair value of financial instruments by categories as at March 31, 2024 were as follows:

							(In ₹ crore)
Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to Note 2.9)	14,786	—	—	—	—	14,786	14,786
Investments (Refer to Note 2.5)							
Equity and preference securities	—	—	—	206	—	206	206
Tax free bonds and government bonds	1,759	—	—	—	—	1,759	1,973
Liquid mutual fund units	—	—	2,615	—	—	2,615	2,615
Target maturity fund units	—	—	431	—	—	431	431
Non convertible debentures	—	—	—	—	4,179	4,179	4,179
Government securities	—	—	—	—	7,362	7,362	7,362
Commercial paper	—	—	—	—	4,830	4,830	4,830
Certificates of deposit	—	—	—	—	3,043	3,043	3,043
Other investments	—	—	198	—	—	198	198
Trade receivables (Refer to Note 2.8)	30,193	—	—	—	—	30,193	30,193
Loans (Refer to Note 2.6)	282	—	—	—	—	282	282
Other financials assets (Refer to Note 2.7) ⁽³⁾	15,106	—	61	—	23	15,190	15,106
Total	62,126	—	3,305	206	19,437	85,074	85,204
Liabilities:							
Trade payables (Refer to Note 2.14)	3,956	—	—	—	—	3,956	3,956
Lease liabilities (Refer to Note 2.21)	8,359	—	—	—	—	8,359	8,359
Financial Liability under option arrangements (Refer to Note 2.13)	—	—	597	—	—	597	597
Other financial liabilities (Refer to Note 2.13)	15,750	—	30	—	1	15,781	15,781
Total	28,065	—	627	—	1	28,693	28,693

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on tax free bonds and government bonds carried at amortized cost of ₹84 crore

⁽³⁾ Excludes unbilled revenue on contracts where the right to consideration is dependent on completion of contractual milestones

For trade receivables, trade payables, other assets and payables maturing within one year from the Balance Sheet date, the carrying amounts approximate the fair value due to the short maturity of these instruments.

Fair value hierarchy

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 - Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2025 is as follows:

Particulars	As at March 31, 2025	Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.5)				
Investments in liquid mutual fund units	1,957	1,957	—	—
Investments in target maturity fund units	465	465	—	—
Investments in tax free bonds	1,781	1,227	554	—
Investments in government bonds	31	31	—	—
Investments in non convertible debentures	4,869	4,869	—	—
Investment in government securities	7,008	6,972	36	—
Investments in commercial paper	3,641	—	3,641	—
Investments in certificates of deposit	3,504	—	3,504	—
Investments in equity instruments	59	57	—	2
Investments in preference securities	192	—	—	192
Other investments	196	—	—	196
Others				
Derivative financial instruments - gain (Refer to Note 2.13)	192	—	192	—
Liabilities				
Derivative financial instruments - loss (Refer to Note 2.13)	63	—	63	—
Financial liability under option arrangements (Refer to Note 2.13) ⁽¹⁾	667	—	—	667
Liability towards contingent consideration (Refer to Note 2.13) ⁽²⁾	31	—	—	31

⁽¹⁾ Discount rate ranges from 9% to 15%

⁽²⁾ Discount rate - 6%

During the year ended March 31, 2025, government securities and non convertible debentures of ₹297 crore was transferred from Level 2 to Level 1 of fair value hierarchy, since these were valued based on quoted price. Further, tax free bonds of ₹554 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2024 was as follows:

Particulars	As at March 31, 2024	Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.5)				
Investments in liquid mutual fund units	2,615	2,615	—	—
Investments in target maturity fund units	431	431	—	—
Investments in tax free bonds	1,944	1,944	—	—
Investments in government bonds	29	29	—	—
Investments in non convertible debentures	4,179	3,922	257	—
Investment in government securities	7,362	7,289	73	—
Investments in equity instruments	115	113	—	2
Investments in preference securities	91	—	—	91
Investments in commercial paper	4,830	—	4,830	—
Investments in certificates of deposit	3,043	—	3,043	—
Other investments	198	—	—	198
Others				
Derivative financial instruments - gain (Refer to Note 2.13)	84	—	84	—
Liabilities				
Derivative financial instruments - loss (Refer to Note 2.13)	31	—	31	—
Financial liability under option arrangements (Refer to Note 2.13) ⁽¹⁾	597	—	—	597

⁽¹⁾ Discount rate ranges from 9% to 15%

During the year ended March 31, 2024, government securities, non convertible debentures and tax free bonds of ₹2,143 crore was transferred from Level 2 to Level 1 of fair value hierarchy, since these were valued based on quoted price. Further, government securities of ₹ 73 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

A one percentage point change in the unobservable inputs used in fair valuation of Level 3 assets and liabilities does not have a significant impact in its value.

Majority of investments of the Group are fair valued based on Level 1 or Level 2 inputs. These investments primarily include investment in liquid mutual fund units, target maturity fund units, tax-free bonds, certificates of deposit, commercial papers, treasury bills, government securities, non-convertible debentures, quoted bonds issued by government and quasi-government organizations. The Group invests after considering counterparty risks based on multiple criteria including Tier I capital, Capital Adequacy Ratio, Credit Rating, Profitability, NPA levels and Deposit base of banks and financial institutions. These risks are monitored regularly as per Group's risk management program.

Financial risk management

Financial risk factors

The Group's activities expose it to a variety of financial risks: market risk, credit risk and liquidity risk. The Group's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. The primary market risk to the Group is foreign exchange risk. The Group uses derivative financial instruments to mitigate foreign exchange related risk exposures. The Group's exposure to credit risk is influenced mainly by the individual characteristic of each customer and the concentration of risk from the top few customers.

Market risk

The Group operates internationally and a major portion of the business is transacted in several currencies and consequently the Group is exposed to foreign exchange risk through its sales and services in the United States and elsewhere, and purchases from overseas suppliers in various foreign currencies. The Group holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The Group is also exposed to foreign exchange risk arising on intercompany transaction in foreign currencies. The exchange rate between the Indian rupee and foreign currencies has changed substantially in recent years and may fluctuate substantially in the future. Consequently, the results of the Group's operations are adversely affected as the rupee appreciates/ depreciates against these currencies.

The following table analyses the foreign currency risk from financial assets and liabilities as at March 31, 2025:

Particulars	(In ₹ crore)					
	U.S. dollars	Euro	United Kingdom Pound Sterling	Australian dollars	Other currencies	Total
Net financial assets	26,821	11,791	2,228	1,356	3,090	45,286
Net financial liabilities	(13,154)	(3,766)	(1,026)	(706)	(2,161)	(20,813)
Total	13,667	8,025	1,202	650	929	24,473

The following table analyses the foreign currency risk from financial assets and liabilities as at March 31, 2024:

Particulars	(In ₹ crore)					
	U.S. dollars	Euro	United Kingdom Pound Sterling	Australian dollars	Other currencies	Total
Net financial assets	26,126	9,559	2,153	1,479	2,917	42,234
Net financial liabilities	(11,925)	(3,378)	(710)	(813)	(2,218)	(19,044)
Total	14,201	6,181	1,443	666	699	23,190

Sensitivity analysis between Indian rupee and U.S. Dollar

Particulars	Year ended March 31,	
	2025	2024
Impact on the Group's incremental operating margins	0.43%	0.43%

Sensitivity analysis is computed based on the changes in the income and expenses in foreign currency upon conversion into functional currency, due to exchange rate fluctuations between the previous reporting period and the current reporting period.

Derivative financial instruments

The Group primarily holds derivative financial instruments such as foreign currency forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for these contracts is generally a bank. These derivative financial instruments are valued based on quoted prices for similar assets and liabilities in active markets or inputs that are directly or indirectly observable in the marketplace.

The details in respect of outstanding foreign currency forward and option contracts are as follows:

Particulars	As at		As at	
	March 31, 2025		March 31, 2024	
	In million	In ₹ crore	In million	In ₹ crore
Derivatives designated as cash flow hedges				
Forward contracts				
In Swiss Franc	53	513	-	-
In Euro	-	-	30	270
Option Contracts				
In Euro	341	3,140	236	2,121
In Australian dollars	93	500	106	573
In United Kingdom Pound Sterling	17	188	35	368
Other derivatives				
Forward contracts				
In U.S. dollars	1,284	10,976	1,423	11,866
In Euro	698	6,432	574	5,163
In Singapore dollars	133	849	171	1,046
In United Kingdom Pound Sterling	53	589	86	902
In Swiss Franc	51	495	17	158
In Danish Krone	152	188	100	121
In New Zealand dollars	37	181	30	149
In Norwegian Krone	167	136	130	100
In Australian dollars	24	126	14	75
In Philippine Peso	500	75	-	-
In Czech Koruna	176	64	374	135
In Hungarian Forint	2,000	44	2,500	57
In Hongkong dollar	40	44	-	-
In Canadian dollars	-	-	15	92
In Chinese Yuan	-	-	43	49
In South African rand	-	-	85	37
Option Contracts				
In U.S. dollars	796	6,800	543	4,527
In Euro	179	1,648	100	897
In Australian dollars	11	57	20	111
Total forwards and options contracts		33,045		28,817

The group recognized a net loss of ₹99 crore during the year ended March 31, 2025 and a net gain of ₹186 crore for the year ended March 31, 2024, respectively, on derivative financial instruments not designated as cash flow hedges which are included in other income.

The foreign exchange forward and option contracts mature within 12 months. The table below analyses the derivative financial instruments into relevant maturity groupings based on the remaining period as at the Balance Sheet date:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Not later than one month	15,506	10,877
Later than one month and not later than three months	16,641	15,963
Later than three months and not later than one year	898	1,977
Total	33,045	28,817

During the year ended March 31, 2025 and March 31, 2024, the Group has designated certain foreign exchange forward and option contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transactions. The related hedge transactions for balance in cash flow hedges as of March 31, 2025 are expected to occur and will be reclassified to the Consolidated Statement of Profit and Loss within 3 months.

The Group determines the existence of an economic relationship between the hedging instrument and the hedged item based on the currency, amount and timing of its forecasted cash flows. Hedge effectiveness is determined at the inception of the hedge relationship, and through periodic prospective effectiveness assessments to ensure that an economic relationship exists between the hedged item and hedging instrument, including whether the hedging instrument is expected to offset changes in cash flows of hedged items.

If the hedge ratio for risk management purposes is no longer optimal but the risk management objective remains unchanged and the hedge continues to qualify for hedge accounting, the hedge relationship will be rebalanced by adjusting either the volume of the hedging instrument or the volume of the hedged item so that the hedge ratio aligns with the ratio used for risk management purposes. Any hedge ineffectiveness is calculated and accounted for in the Consolidated Statement of Profit and Loss at the time of the hedge relationship rebalancing.

The following table provides reconciliation of cash flow hedge reserve for the year ended March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Gain/(Loss)		
Balance at the beginning of the year	6	(5)
Gain / (Loss) recognized in other comprehensive income during the year	(5)	8
Amount reclassified to profit or loss during the year	(27)	7
Tax impact on above	8	(4)
Balance at the end of the year	(18)	6

The Group offsets a financial asset and a financial liability when it currently has a legally enforceable right to set off the recognized amounts and the Group intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

The quantitative information about offsetting of derivative financial assets and derivative financial liabilities is as follows:

Particulars	(In ₹ crore)			
	As at		As at	
	March 31, 2025		March 31, 2024	
	Derivative financial asset	Derivative financial liability	Derivative financial asset	Derivative financial liability
Gross amount of recognized financial asset/liability	250	(121)	98	(45)
Amount set off	(58)	58	(14)	14
Net amount presented in Balance Sheet	192	(63)	84	(31)

Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. The maximum exposure to the credit risk at the reporting date is primarily from trade receivables amounting to ₹31,158 crore and ₹30,193 crore as at March 31, 2025 and March 31, 2024, respectively and unbilled revenues amounting to ₹15,083 crore and ₹14,548 crore as at March 31, 2025 and March 31, 2024, respectively. Trade receivables and unbilled revenues are typically unsecured and are derived from revenues from customers primarily located in the United States of America and Europe. Credit risk has always been managed by the Group through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Group grants credit terms in the normal course of business. The Group uses the expected credit loss model to assess any required allowances; and uses a provision matrix to compute the expected credit loss allowance for trade receivables and unbilled revenues. This matrix takes into account credit reports and other related credit information to the extent available.

The Group's exposure to credit risk is influenced mainly by the individual characteristic of each customer and the concentration of risk from the top few customers. Exposure to customers is diversified and there is no single customer contributing more than 10% of outstanding trade receivables and unbilled revenues.

The following table gives details in respect of percentage of revenues generated from top five customers and top ten customers:

Particulars	(In %)	
	Year ended March 31,	
	2025	2024
Revenue from five top customers	13.2	13.3
Revenue from top ten customers	20.5	20.0

Credit risk exposure

The Group's credit period generally ranges from 30-75 days.

The allowance for lifetime ECL on customer balances for the year ended March 31, 2025 and March 31, 2024 was ₹108 crore and ₹90 crore, respectively.

The movement in credit loss allowance on customer balance is as follows:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Balance at the beginning	953	961
Impairment loss recognized/ (reversed), net	108	90
Amounts written off	(91)	(98)
Translation differences	3	-
Balance at the end	973	953

The gross carrying amount of a financial asset is written off (either partially or in full) when there is no realistic prospect of recovery.

Credit exposure

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Trade receivables	31,158	30,193
Unbilled revenues	15,082	14,548

Days sales outstanding was 69 days and 71 days as of March 31, 2025 and March 31, 2024, respectively.

Credit risk on cash and cash equivalents is limited as the Group generally invest in deposits with banks with high ratings assigned by international and domestic credit rating agencies. Ratings are monitored periodically and the Group has considered the latest available credit ratings as at the date of approval of these Consolidated financial statements.

The investments of the Group primarily include investment in liquid mutual fund units, target maturity fund units, tax free bonds, certificates of deposit, commercial paper, treasury bills, government securities, non-convertible debentures, quoted bonds issued by government and quasi government organizations. The Group invests after considering counterparty risks based on multiple criteria including Tier I Capital, Capital Adequacy Ratio, credit rating, profitability, NPA levels and deposit base of banks and financial institutions. These risks are monitored regularly as per Group's risk management program.

Liquidity risk

Liquidity risk is defined as the risk that the Group will not be able to settle or meet its obligations on time.

The Group's principal sources of liquidity are cash and cash equivalents and the cash flow that is generated from operations. The Group has no outstanding borrowings. The Group believes that the working capital is sufficient to meet its current requirements.

As at March 31, 2025, the Group had a working capital of ₹54,249 crore including cash and cash equivalents of ₹24,455 crore and current investments of ₹12,482 crore. As at March 31, 2024, the Group had a working capital of ₹50,638 crore including cash and cash equivalents of ₹14,786 crore and current investments of ₹12,915 crore.

As at March 31, 2025 and March 31, 2024, the outstanding compensated absences were ₹3,007 crore and ₹2,711 crore, respectively, which have been substantially funded. Accordingly no liquidity risk is perceived.

Refer to Note 2.21 Leases for remaining contractual maturities of lease liabilities.

The table below provides details regarding the contractual maturities of significant financial liabilities as at March 31, 2025:

<i>(In ₹ crore)</i>					
Particulars	Less than 1 year	1-2 years	2-4 years	4-7 years	Total
Trade payables	4,164	-	-	-	4,164
Other financial liabilities (excluding liability towards contingent consideration) on an undiscounted basis (Refer to Note 2.13)	14,606	1,750	145	12	16,513
Financial liability under option arrangements on an undiscounted basis (Refer to Note 2.13)	612	-	149	-	761
Liability towards contingent consideration on an undiscounted basis (Refer to Note 2.13)	12	21	-	-	33

The table below provides details regarding the contractual maturities of significant financial liabilities as at March 31, 2024:

<i>(In ₹ crore)</i>					
Particulars	Less than 1 year	1-2 years	2-4 years	4-7 years	Total
Trade payables	3,956	-	-	-	3,956
Other financial liabilities (excluding liability towards contingent consideration) (Refer to Note 2.13)	13,820	1,321	570	67	15,778
Financial liability under option arrangements on an undiscounted basis (Refer to Note 2.13)	554	-	-	136	690
Liability towards contingent consideration on an undiscounted basis (Refer to Note 2.13)	-	-	-	-	-

2.12 EQUITY

Accounting policy

Ordinary Shares

Ordinary shares are classified as equity share capital. Incremental costs directly attributable to the issuance of new ordinary shares, share options and buyback are recognized as a deduction from equity, net of any tax effects.

Treasury Shares

When any entity within the Group purchases the company's ordinary shares, the consideration paid including any directly attributable incremental cost is presented as a deduction from total equity, until they are cancelled, sold or reissued. When treasury shares are sold or reissued subsequently, the amount received is recognized as an increase in equity, and the resulting surplus or deficit on the transaction is transferred to / from securities premium.

Description of reserves

Capital Redemption Reserve

In accordance with section 69 of the Indian Companies Act, 2013, the Company creates capital redemption reserve equal to the nominal value of the shares bought back as an appropriation from general reserve / retained earnings.

Retained earnings

Retained earnings represent the amount of accumulated earnings of the Group.

Securities premium

The amount received in excess of the par value of equity shares has been classified as securities premium. Amounts have been utilized for bonus issue and share buyback from share premium account.

Share options outstanding account

The share options outstanding account is used to record the fair value of equity-settled share based payment transactions with employees. The amounts recorded in share options outstanding account are transferred to securities premium upon exercise of stock options and transferred to general reserve on account of stock options not exercised by employees.

Special Economic Zone Re-investment reserve

The Special Economic Zone Re-investment reserve has been created out of the profit of the eligible SEZ unit in terms of the provisions of Sec 10AA (1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Company for acquiring new plant and machinery for the purpose of its business in terms of the provisions of the Sec 10AA (2) of the Income Tax Act, 1961.

Other components of equity

Other components of equity include currency translation, remeasurement of net defined benefit liability / asset, equity instruments fair valued through other comprehensive income, changes on fair valuation of investments and changes in fair value of derivatives designated as cash flow hedges, net of taxes.

Currency translation reserve

The exchange differences arising from the translation of financial statements of foreign subsidiaries with functional currency other than Indian rupees is recognized in other comprehensive income and is presented within equity.

Cash flow hedge reserve

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the Consolidated Statement of Profit and Loss upon the occurrence of the related forecasted transaction.

EQUITY SHARE CAPITAL

Particulars	<i>(In ₹ crore, except as otherwise stated)</i>	
	As at	
	March 31, 2025	March 31, 2024
Authorized		
Equity shares, ₹5 par value		
480,00,00,000 (480,00,00,000) equity shares	2,400	2,400
Issued, Subscribed and Paid-Up		
Equity shares, ₹5 par value ⁽¹⁾	2,073	2,071
414,36,07,528 (413,99,50,635) equity shares fully paid-up ⁽²⁾		
	2,073	2,071

Note: Forfeited shares amounted to ₹1,500 (₹1,500)

⁽¹⁾ Refer to Note 2.23 for details of basic and diluted shares

⁽²⁾ Net of treasury shares 96,55,927 (1,09,16,829)

The Company has only one class of shares referred to as equity shares having a par value of ₹5/-. Each holder of equity shares is entitled to one vote per share. The equity shares represented by American Depositary Shares (ADS) carry similar rights to voting and dividends as the other equity shares. Each ADS represents one underlying equity share.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the Company in proportion to the number of equity shares held by the shareholders, after distribution of all preferential amounts. However, no such preferential amounts exist currently, other than the amounts held by irrevocable controlled trusts. For irrevocable controlled trusts, the corpus would be settled in favor of the beneficiaries.

There are no voting, dividend or liquidation rights to the holders of options issued under the company's share option plans

For details of shares reserved for issue under the employee stock option plan of the Company refer to the note below.

In the period of five years immediately preceding March 31, 2025:

Buyback

In the period of five years immediately preceding March 31, 2025, the Company had purchased and extinguished a total of 11,62,33,685 fully paid-up equity shares of face value ₹5/- each from the stock exchange. The Company has only one class of equity shares.

Capital allocation policy

Effective from financial year 2025, the Company expects to continue its policy of returning approximately 85% of the free cash flow cumulatively over a 5-year period through a combination of semi-annual dividends and/or share buyback/ special dividends subject to applicable laws and requisite approvals, if any. Under this policy, the Company expects to progressively increase its annual dividend per share (excluding special dividend if any).

Free cash flow is defined as net cash provided by operating activities less capital expenditure as per the consolidated statement of cash flows prepared under IFRS. Dividend and buyback include applicable taxes.

The Company's objective when managing capital is to safeguard its ability to continue as a going concern and to maintain an optimal capital structure so as to maximize shareholder value. In order to maintain or achieve an optimal capital structure, the Company may adjust the amount of dividend payment, return capital to shareholders, issue new shares or buy back issued shares. As of March 31, 2025, the Company has only one class of equity shares and has no debt. Consequent to the above capital structure there are no externally imposed capital requirements.

2.12.2 Shareholding of promoter

Shares held by promoters as at March 31, 2025 and the change during the year ended March 31, 2025:

Promoter name	No. of shares	% of total shares	% Change during the year
Sudha Gopalakrishnan	95,357,000	2.30%	-
Rohan Murty	60,812,892	1.46%	-
S. Gopalakrishnan	31,853,808	0.77%	-
Nandan M. Nilekani	40,783,162	0.98%	-
Akshata Murty	38,957,096	0.94%	-
Asha Dinesh	38,579,304	0.93%	-
Sudha N. Murty	34,550,626	0.83%	-
Rohini Nilekani	34,335,092	0.83%	-
Dinesh Krishnaswamy	32,479,590	0.78%	-
Shreyas Shibulal	19,929,860	0.48%	(6.54%)
N. R. Narayana Murthy	15,145,638	0.36%	-
Nihar Nilekani	12,677,752	0.31%	-
Janhavi Nilekani	8,589,721	0.21%	-
Kumari Shibulal	4,945,935	0.12%	-
Deeksha Dinesh	7,646,684	0.18%	-
Divya Dinesh	7,646,684	0.18%	-
Meghana Gopalakrishnan	14,834,928	0.36%	-
Shruti Shibulal	8,705,651	0.21%	218.01%
S. D. Shibulal	5,208,673	0.13%	-
Promoters Group			
Ekagrah Rohan Murty	1,500,000	0.04%	-
Gaurav Manchanda	5,773,233	0.14%	(53.90%)
Milan Shibulal Manchanda	6,106,302	0.15%	(6.25%)
Nikita Shibulal Manchanda	6,106,302	0.15%	(6.25%)
Bhairavi Madhusudhan Shibulal	5,427,875	0.13%	(9.86%)
Shray Chandra	719,424	0.02%	-
Tanush Nilekani Chandra	3,356,017	0.08%	-

The percentage shareholding above has been computed considering the outstanding number of shares of 4,153,263,455 as at March 31, 2025.

2.12.3 Dividend

The final dividend on shares is recorded as a liability on the date of approval by the shareholders and interim dividends are recorded as a liability on the date of declaration by the Company's Board of Directors. Income tax consequences of dividends on financial instruments classified as equity will be recognized according to where the entity originally recognized those past transactions or events that generated distributable profits.

The Company declares and pays dividends in Indian rupees. Companies are required to pay/distribute dividend after deducting applicable taxes. The remittance of dividends outside India is governed by Indian law on foreign exchange and is also subject to withholding tax at applicable rates.

The amount of per share dividend recognized as distribution to equity shareholders in accordance with Companies Act 2013 is as follows:

Particulars	Year ended March 31, (in ₹)	
	2025	2024
Interim dividend for fiscal 2025	21.00	—
Special dividend for fiscal 2024	8.00	—
Final dividend for fiscal 2024	20.00	—
Interim dividend for fiscal 2024	—	18.00
Final dividend for fiscal 2023	—	17.50

During the year ended March 31, 2025, on account of the final and special dividend for fiscal 2024 and interim dividend for fiscal 2025, the Company has incurred a net cash outflow of ₹20,295 crore (excluding dividend paid on treasury shares)

The Board of Directors in their meeting held on April 17, 2025 recommended a final dividend of ₹22/- per equity share for the financial year ended March 31, 2025. The payment is subject to the approval of shareholders in the AGM of the Company to be held on June 25, 2025 and if approved, would result in a net cash outflow of approximately ₹9,116 crore (excluding dividend paid on treasury shares).

The details of shareholders holding more than 5% shares as at March 31, 2025 and March 31, 2024 are as follows:

Name of the shareholder	As at March 31, 2025		As at March 31, 2024	
	Number of shares	% held	Number of shares	% held
Deutsche Bank Trust Company Americas (Depository of ADR's - legal ownership)	43,98,60,715	10.59	44,24,17,564	10.66
Life Insurance Corporation of India	38,81,12,531	9.34	38,59,52,941	9.30

The reconciliation of the number of shares outstanding and the amount of share capital as at March 31, 2025 and March 31, 2024 are as follows:

Particulars	As at March 31, 2025		As at March 31, 2024	
	Number of shares	Amount	Number of shares	Amount
As at the beginning of the year	413,99,50,635	2,071	413,63,87,925	2,069
Add: Shares issued on exercise of employee stock options	36,56,893	2	35,62,710	2
As at the end of the year	414,36,07,528	2,073	413,99,50,635	2,071

2.12.4 Employee Stock Option Plan (ESOP):

Accounting policy

The Group recognizes compensation expense relating to share-based payments in net profit based on estimated fair values of the awards on the grant date. The estimated fair value of awards is recognized as an expense in the statement of profit and loss on a straight-line basis over the requisite service period for each separately vesting portion of the award as if the award was in-substance, multiple awards with a corresponding increase to share options outstanding account.

Infosys Expanded Stock Ownership Program 2019 (the 2019 Plan) :

On June 22, 2019 pursuant to approval by the shareholders in the Annual General Meeting, the Board has been authorized to introduce, offer, issue and provide share-based incentives to eligible employees of the Company and its subsidiaries under the 2019 Plan. The maximum number of shares under the 2019 Plan shall not exceed 5,00,00,000 equity shares. To implement the 2019 Plan, up to 4,50,00,000 equity shares may be issued by way of secondary acquisition of shares by Infosys Expanded Stock Ownership Trust. The Restricted Stock Units (RSUs) granted under the 2019 Plan shall vest based on the achievement of defined annual performance parameters as determined by the administrator (Nomination and Remuneration Committee). The performance parameters will be based on a combination of relative Total Shareholder Return (TSR) against selected industry peers and certain broader market domestic and global indices and operating performance metrics of the Company as decided by administrator. Each of the above performance parameters will be distinct for the purposes of calculation of quantity of shares to vest based on performance. These instruments will generally vest between a minimum of 1 to maximum of 3 years from the grant date.

2015 Stock Incentive Compensation Plan (the 2015 Plan) :

On March 31, 2016, pursuant to the approval by the shareholders through postal ballot, the Board was authorized to introduce, offer, issue and allot share-based incentives to eligible employees of the Company and its subsidiaries under the 2015 Stock Incentive Compensation Plan. The maximum number of shares under the 2015 Plan shall not exceed 2,40,38,883 equity shares (this includes 1,12,23,576 equity shares which are held by the trust towards the 2011 Plan as at March 31, 2016). These instruments will generally vest over a period of 4 years. The plan numbers mentioned above are further adjusted with the September 2018 bonus issue.

The equity settled and cash settled RSUs and stock options would vest generally over a period of 4 years and shall be exercisable within the period as approved by the Nomination and Remuneration Committee (NARC). The exercise price of the RSUs will be equal to the par value of the shares and the exercise price of the stock options would be the market price as on the date of grant.

Controlled trust holds 96,55,927 and 1,09,16,829 shares as at March 31, 2025 and March 31, 2024, respectively, under the 2015 Plan. Out of these shares, 200,000 equity shares each have been earmarked for welfare activities of the employees as at March 31, 2025 and March 31, 2024.

The following is the summary of grants made during year ended March 31, 2025 and March 31, 2024:

Particulars	2019 Plan		2015 Plan	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Equity Settled RSUs				
Key Management Personnel (KMP)	119,699	141,171	380,842	498,730
Employees other than KMP	3,624,646	4,046,731	1,874,690	4,640,640
	3,744,345	4,187,902	2,255,532	5,139,370
Cash settled RSUs				
Key Management Personnel (KMP)	-	-	-	-
Employees other than KMP	-	-	94,050	176,990
	-	-	94,050	176,990
Total Grants	3,744,345	4,187,902	2,349,582	5,316,360

Notes on grants to KMP:

CEO & MD

Under the 2015 Plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee approved the following grants for fiscal 2025. In accordance with such approval the following grants were made effective May 2, 2024.

- 245,679 performance-based RSUs (Annual performance equity grant) of fair value of ₹34.75 crore. These RSUs will vest in line with the employment agreement based on achievement of certain performance targets.
- 14,140 performance-based grant of RSUs (Annual performance equity ESG grant) of fair value of ₹2 crore. These RSUs will vest in line with the employment agreement based on achievement of certain environment, social and governance milestones as determined by the Board.
- 35,349 performance-based grant of RSUs (Annual performance Equity TSR grant) of fair value of ₹5 crore . These RSUs will vest in line with the employment agreement based on Company's performance on cumulative relative TSR over the years and as determined by the Board.

Further, in accordance with the employee agreement which has been approved by the shareholders, the CEO is eligible to receive an annual grant of RSUs of fair value ₹3 crore which will vest overtime in three equal annual installments upon the completion of each year of service from the respective grant date. Accordingly, annual time-based grant of 16,204 RSUs was made effective February 1, 2025 for fiscal 2025.

Though the annual time based grants and annual performance equity TSR grant for the remaining employment term ending on March 31, 2027 have not been granted as of March 31, 2025, since the service commencement date precedes the grant date, the company has recorded employment stock compensation expense in accordance with Ind AS 102, Share based payment. The grant date for this purpose in accordance with Ind AS 102, Share based payment is July 01, 2022.

Under the 2019 Plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee, approved performance-based grant of RSUs amounting to ₹10 crore for fiscal 2025 under the 2019 Plan. These RSUs will vest based on achievement of certain performance targets. Accordingly, 70,699 performance based RSU's were granted effective May 2, 2024.

Other KMP

Under the 2015 Plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved 69,470 time based RSUs to other KMP under the 2015 plan. Time based RSUs will vest over four years.

Under the 2019 Plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved performance based grants of 49,000 RSUs to other KMPs under the 2019 plan. These RSUs will vest over three years based on achievement of certain performance targets.

The break-up of employee stock compensation expense is as follows:

Particulars	(in ₹ crore)	
	Year ended March 31,	
	2025	2024
<i>Granted to:</i>		
KMP	70	68
Employees other than KMP	732	584
Total ⁽¹⁾	802	652
⁽¹⁾ Cash-settled stock compensation expense included in the above	17	13

The activity in the 2015 and 2019 Plan for equity-settled share based payment transactions during the year ended March 31, 2025 and March 31, 2024 is set out as follows:

Particulars	Year ended March 31, 2025		Year ended March 31, 2024	
	Shares arising out of options	Weighted average exercise price (₹)	Shares arising out of options	Weighted average exercise price (₹)
2015 Plan: RSU				
Outstanding at the beginning	80,76,058	5.00	54,08,018	5.00
Granted	22,55,532	5.00	51,39,370	5.00
Exercised	20,80,865	5.00	18,15,025	5.00
Forfeited and expired	9,91,261	5.00	6,56,305	5.00
Outstanding at the end	7,259,464	5.00	80,76,058	5.00
Exercisable at the end	6,29,138	4.97	8,31,050	4.98
2015 Plan: Employee Stock Options (ESOPs)				
Outstanding at the beginning	82,050	551	1,34,030	529
Granted	-	-	-	-
Exercised	61,672	573	51,980	499
Forfeited and expired	2,824	499	-	-
Outstanding at the end	17,554	499	82,050	551
Exercisable at the end	17,554	499	82,050	551
2019 Plan: RSU				
Outstanding at the beginning	80,23,855	5.00	72,22,038	5.00
Granted	37,44,345	5.00	41,87,902	5.00
Exercised	15,14,356	5.00	16,95,705	5.00
Forfeited and expired	21,81,209	5.00	16,90,380	5.00
Outstanding at the end	8,072,635	5.00	80,23,855	5.00
Exercisable at the end	7,70,321	5.00	8,14,798	5.00

The weighted average share price of option exercised is set out as follows:

Particulars	2019 Plan		2015 Plan	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Weighted average share price of options exercised	1,587	1,352	1,601	1,414

The summary of information about equity settled RSUs and ESOPs outstanding as at March 31, 2025 is as follows:

Range of exercise prices per share (₹)	2019 Plan - Options outstanding			2015 Plan - Options outstanding		
	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)
0 - 5 (RSU)	8,072,635	1.23	5.00	7,259,464	1.51	5.00
450 - 640 (ESOP)	-	-	-	17,554	0.58	499

The summary of information about equity settled RSUs and ESOPs outstanding as at March 31, 2024 is as follows:

Range of exercise prices per share (₹)	2019 Plan - Options outstanding			2015 Plan - Options outstanding		
	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)	No. of shares arising out of options	Weighted average remaining contractual life	Weighted average exercise price (₹)
0 - 5 (RSU)	80,23,855	1.42	5.00	80,76,058	1.77	5.00
450 - 640 (ESOP)	-	-	-	82,050	1.10	551

As at March 31, 2025 and March 31, 2024, 2,88,384 and 2,91,795 cash settled options were outstanding respectively. The carrying value of liability towards cash settled share based payments was ₹18 crore and ₹13 crore as at March 31, 2025 and March 31, 2024 respectively.

The fair value of the awards are estimated using the Black-Scholes Model for time and non-market performance based options and Monte Carlo simulation model is used for TSR based options.

The inputs to the model include the share price at date of grant, exercise price, expected volatility, expected dividends, expected term and the risk free rate of interest. Expected volatility during the expected term of the options is based on historical volatility of the observed market prices of the Company's publicly traded equity shares during a period equivalent to the expected term of the options. Expected volatility of the comparative company have been modelled based on historical movements in the market prices of their publicly traded equity shares during a period equivalent to the expected term of the options. Correlation coefficient is calculated between each peer entity and the indices as a whole or between each entity in the peer group.

The fair value of each equity settled award is estimated on the date of grant using the following assumptions:

Particulars	For options granted in			
	Fiscal 2025- Equity Shares-RSU	Fiscal 2025- ADS-RSU	Fiscal 2024- Equity Shares-RSU	Fiscal 2024- ADS-RSU
Weighted average share price (₹) / (\$ ADS)	1,808	21.44	1,588	19.19
Exercise price (₹) / (\$ ADS)	5.00	0.07	5.00	0.07
Expected volatility (%)	21-26	23-28	23-31	25-33
Expected life of the option (years)	1-4	1-4	1-4	1-4
Expected dividends (%)	2-3	2-3	2-3	2-3
Risk-free interest rate (%)	7	4-5	7	4-5
Weighted average fair value as on grant date (₹) / (\$ ADS)	1,555	18.20	1,317	16.27

The expected life of the RSU/ESOP is estimated based on the vesting term and contractual term of the RSU/ESOP, as well as expected exercise behavior of the employee who receives the RSU/ESOP.

2.13 OTHER FINANCIAL LIABILITIES

Particulars	(In ₹ crore)	
	As at March 31, 2025	March 31, 2024
Non-current		
Others		
Accrued compensation to employees ⁽¹⁾	12	7
Accrued expenses ⁽¹⁾	1,890	1,779
Compensated absences	99	89
Financial liability under option arrangements ^{(2) #}	115	98
Payable for acquisition of business - Contingent consideration ⁽²⁾	20	—
Other Payables ⁽¹⁾⁽⁴⁾	5	157
Total non-current other financial liabilities	2,141	2,130
Current		
Unpaid dividends ⁽¹⁾	45	37
Others		
Accrued compensation to employees ⁽¹⁾	4,924	4,454
Accrued expenses ⁽¹⁾	8,467	8,224
Payable for acquisition of business - Contingent consideration ⁽²⁾	11	—
Payable by controlled trusts ⁽¹⁾	173	211
Compensated absences	2,908	2,622
Financial liability under option arrangements ^{(2) #}	552	499
Foreign currency forward and options contracts ^{(2) (3)}	63	31
Capital creditors ⁽¹⁾	520	310
Other payables ⁽¹⁾⁽⁴⁾	475	571
Total current other financial liabilities	18,138	16,959
Total other financial liabilities	20,279	19,089
⁽¹⁾ Financial liability carried at amortized cost	16,511	15,750
⁽²⁾ Financial liability carried at fair value through profit or loss	728	627
⁽³⁾ Financial liability carried at fair value through other comprehensive income	33	1
Financial liability under option arrangements on an undiscounted basis	761	690
Contingent consideration on undiscounted basis	33	—

⁽⁴⁾ The Group entered into financing arrangements with a third party towards technology assets taken over by the Group from a customer as a part of transformation project which was not considered as distinct goods or services as the control related to those assets was not transferred to the Group in accordance with Ind AS 115 - Revenue from contract with customers. As at March 31, 2025 and March 31, 2024, the financial liability pertaining to such arrangements amounts to ₹67 crore and ₹372 crore, respectively.

Represents liability related to options issued by the Group over the non-controlling interests in its subsidiaries

Accrued expenses primarily relate to cost of technical sub-contractors, telecommunication charges, legal and professional charges, brand building expenses, overseas travel expenses, office maintenance and cost of third party software and hardware.

2.14 TRADE PAYABLES

Particulars	(In ₹ crore)	
	As at March 31, 2025	March 31, 2024
Outstanding dues of micro enterprises and small enterprises (MSME)	8	101
Outstanding dues of creditors other than micro enterprises and small enterprises ⁽¹⁾	4,156	3,855
Total trade payables	4,164	3,956

Trade payables ageing schedule for the year ended as on March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)					
	Outstanding for following periods from due date of payment					
	Not Due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Outstanding dues to MSME	8	-	-	-	-	8
Others	101	-	-	-	-	101
Others	3,742	414	-	-	-	4,156
	3,688	167	-	-	-	3,855
Total trade payables	3,750	414	-	-	-	4,164
	3,789	167	-	-	-	3,956

Relationship with struck off companies

There are no transactions with struck off companies for the year ending March 31, 2025 and March 31, 2024.

2.15 OTHER LIABILITIES

Particulars	(In ₹ crore)	
	As at March 31, 2025	March 31, 2024
Non-current		
Others		
Accrued defined benefit liability	115	159
Others	100	76
Total non-current other liabilities	215	235
Current		
Unearned revenue	8,492	7,341
Others		
Withholding taxes and others	3,256	3,185
Accrued defined benefit liability	6	5
Others	11	8
Total current other liabilities	11,765	10,539
Total other liabilities	11,980	10,774

2.16 PROVISIONS

Accounting policy

A provision is recognized if, as a result of a past event, the Group has a present legal or constructive obligation that is reasonably estimable, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The Group recognizes a reimbursement asset when, and only when, it is virtually certain that the reimbursement will be received if the Group settles the obligation.

a. Post sales client support

The Group provides its clients with a fixed-period post sales support on its fixed-price, fixed-timeframe contracts. Costs associated with such support services are accrued at the time related revenues are recorded and included in Consolidated Statement of Profit and Loss. The Group estimates such costs based on historical experience and estimates are reviewed on a periodic basis for any material changes in assumptions and likelihood of occurrence.

b. Onerous contracts

Provisions for onerous contracts are recognized when the expected benefits to be derived by the Group from a contract are lower than the unavoidable costs of meeting the future obligations under the contract. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established the Group recognizes any impairment loss on the assets associated with that contract.

Provision for post-sales client support and other provisions:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Current		
Others		
Post-sales client support and others	1,325	1,796
Other provisions pertaining to settlement (refer to note 2.24.2)	150	—
Total provisions	1,475	1,796

The movement in the provision for post-sales client support and others is as follows:

Particulars	(In ₹ crore)	
	Year ended	
	March 31, 2025	
Balance at the beginning		1,796
Provision recognized / (reversed)		166
Provision utilized		(676)
Translation difference		39
Balance at the end		1,325

Provision for post sales client support and other provisions majorly represents costs associated with providing sales support services which are accrued at the time of recognition of revenues and are expected to be utilized over a period of 1 year.

Provision for post sales client support and other provisions is included in cost of sales in the consolidated statement of profit and loss.

2.17 INCOME TAXES

Accounting policy

Income tax expense comprises current and deferred income tax. Income tax expense is recognized in net profit in the Consolidated Statement of Profit and Loss except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity or other comprehensive income. Current income tax for current and prior periods is recognized at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date. Deferred income tax assets and liabilities are recognized for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profit or loss at the time of the transaction. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred income tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect of changes in tax rates on deferred income tax assets and liabilities is recognized as income or expense in the period that includes the enactment or the substantive enactment date. A deferred income tax asset is recognized to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilized. Deferred income taxes are not provided on the undistributed earnings of subsidiaries and branches where it is expected that the earnings of the subsidiary or branch will not be distributed in the foreseeable future.

The Group offsets current tax assets and current tax liabilities; deferred tax assets and deferred tax liabilities, where it has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously. The income tax provision for the interim period is made based on the best estimate of the annual average tax rate expected to be applicable for the full financial year. Tax benefits of deductions earned on exercise of employee share options in excess of compensation charged to income are credited to equity.

Income tax expense in the Consolidated Statement of Profit and Loss comprises:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Current taxes	12,130	8,390
Deferred taxes	(1,272)	1,350
Income tax expense	10,858	9,740

A reconciliation of the income tax provision to the amount computed by applying the statutory income tax rate to the income before income taxes is summarized below:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Profit before income taxes	37,608	35,988
Enacted tax rates in India	25.17%	34.94%
Computed expected tax expense	9,465	12,576
Tax effect due to non-taxable income for Indian tax purposes	-	(3,009)
Overseas taxes	1,109	1,128
Tax provision (reversals)	132	(937)
Effect of exempt non-operating income	(31)	(49)
Effect of unrecognized deferred tax assets	161	203
Effect of differential tax rates	(79)	(568)
Effect of non-deductible expenses	276	165
Others	(175)	231
Income tax expense	10,858	9,740

The applicable Indian corporate statutory tax rate for the year ended March 31, 2025 is 25.17% and for the year ended March 31, 2024 is 34.94%.

Income tax expense for the year ended March 31, 2025 and March 31, 2024 includes provisions (net of reversals) of ₹132 crore and reversals (net of provisions) of ₹937 crore, respectively. These provisions and reversals pertaining to prior periods are primarily on account of adjudication of certain disputed matters, upon filing of tax return and completion of assessments, across various jurisdictions.

During the year ended March 31, 2025, the Company received orders under section 250 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2016-17 and 2019-20. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of ₹327 crore was recognised and provision for income tax aggregating ₹183 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,068 crore has been reduced from contingent liabilities.

During the year ended March 31, 2024, the Company received orders under sections 250 and 254 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2007-08 to 2015-16, 2017-18 and 2018-19. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of ₹1,933 crore was recognized and provision for income tax aggregating ₹525 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,628 crore has been reduced from contingent liabilities.

The foreign tax expense is due to income taxes payable overseas principally in the United States. In India, the Group has benefited from certain tax incentives that the Government of India had provided for export of software and services from the units registered under the Special Economic Zones (SEZs) Act, 2005 in the prior years. SEZ units which began the provision of services on or after April 1, 2005 are eligible for a deduction of 100% of profits or gains derived from the export of services for the first five years from the financial year in which the unit commenced the provision of services and 50% of such profits or gains for further five years. Up to 50% of such profits or gains is also available for a further five years subject to creation of a Special Economic Zone re-Investment Reserve out of the profit of the eligible SEZ units and utilization of such reserve by the Group for acquiring new plant and machinery for the purpose of its business as per the provisions of the Income Tax Act, 1961. (Refer to Special Economic Zone Re-investment reserve under Note 2.12 Equity)

Deferred income tax for the year ended March 31, 2025 and March 31, 2024 substantially relates to origination and reversal of temporary differences.

Infosys is subject to a 15% Branch Profit Tax (BPT) in the U.S. to the extent its U.S. branch's net profit during the year is greater than the increase in the net assets of the U.S. branch during the year, computed in accordance with the Internal Revenue Code. As at March 31, 2025, Infosys' U.S. branch net assets amounted to approximately ₹7,755 crore. As at March 31, 2025, the Company has a deferred tax liability for Branch Profit Tax of ₹271 crore (net of credits), as the Company estimates that these branch profits are expected to be distributed in the foreseeable future.

Deferred income tax liabilities have not been recognized on temporary differences amounting to ₹16,593 crore and ₹10,776 crore as at March 31, 2025 and March 31, 2024, respectively, associated with investments in subsidiaries and branches as the Company is able to control the timing of reversal of the temporary difference and it is probable that the temporary differences will not reverse in the foreseeable future. The Group majorly intends to repatriate earnings from subsidiaries and branches only to the extent these can be distributed in a tax free manner.

Deferred income tax assets have not been recognized on accumulated losses of ₹4,597 crore and ₹4,668 crore as at March 31, 2025 and March 31, 2024, respectively, as it is probable that future taxable profit will not be available against which the unused tax losses can be utilized in the foreseeable future.

The following table provides details of expiration of unused tax losses as at March 31, 2025:

Year	(In ₹ crore)	
	As at	
	March 31, 2025	
2026	209	
2027	140	
2028	508	
2029	686	
2030	443	
Thereafter	2,611	
Total	4,597	

The following table provides details of expiration of unused tax losses as at March 31, 2024:

Year	(In ₹ crore)	
	As at	
	March 31, 2024	
2025	13	
2026	202	
2027	128	
2028	467	
2029	684	
Thereafter	3,174	
Total	4,668	

The following table provides the details of income tax assets and income tax liabilities as at March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Income tax assets	4,597	9,442
Current income tax liabilities	4,853	3,585
Net current income tax asset / (liability) at the end	(256)	5,857

The gross movement in the current income tax assets / (liabilities) for the year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Net current income tax asset / (liability) at the beginning	5,857	3,075
Income tax paid*	5,602	9,231
Interest receivable on income tax refund	327	1,934
Current income tax expense	(12,130)	(8,390)
Income tax benefit arising on exercise of stock options	39	3
Additions through business combination	(1)	-
Income tax on other comprehensive income	19	4
Translation differences	31	-
Net current income tax asset / (liability) at the end	(256)	5,857

* net of refund

The movement in gross deferred income tax assets / liabilities (before set off) for the year ended March 31, 2025 is as follows:

Particulars	(In ₹ crore)					
	Carrying value as at April 1, 2024	Changes through profit and loss	Addition through business combination	Changes through OCI	Translation difference	Carrying value as at March 31, 2025
Deferred income tax assets/(liabilities)						
Property, plant and equipment	244	(4)	-	-	(1)	239
Lease liabilities	198	(45)	-	-	1	154
Accrued compensation to employees	62	18	-	-	-	80
Trade receivables	223	(3)	-	-	-	220
Compensated absences	627	77	2	-	-	706
Post sales client support	56	11	-	-	1	68
Credits related to branch profits	811	(37)	-	-	17	791
Derivative financial instruments	(11)	(25)	-	8	-	(28)
Intangible assets	64	5	-	-	2	71
Intangibles arising on business combinations	(282)	141	(529)	-	(14)	(684)
Branch profit tax	(1,080)	41	-	-	(23)	(1,062)
SEZ reinvestment reserve	(1,996)	563	-	-	-	(1,433)
Interest receivable on income tax refund	(487)	416	-	-	-	(71)
Others	231	114	9	(22)	3	335
Total deferred income tax assets/(liabilities)	(1,340)	1,272	(518)	(14)	(14)	(614)

The movement in gross deferred income tax assets / liabilities (before set off) for the year ended March 31, 2024 is as follows:

Particulars	Carrying value as at April 1, 2023	Changes through profit and loss	Addition through business combination	Changes through OCI	Translation difference	(In ₹ crore)
						Carrying value as at March 31, 2024
Deferred income tax assets/(liabilities)						
Property, plant and equipment	169	75	-	-	-	244
Lease liabilities	223	(25)	-	-	-	198
Accrued compensation to employees	68	(6)	-	-	-	62
Trade receivables	261	(40)	-	-	2	223
Compensated absences	576	50	-	-	1	627
Post sales client support	248	(192)	-	-	-	56
Credits related to branch profits	718	84	-	-	9	811
Derivative financial instruments	-	(7)	-	(4)	-	(11)
Intangible assets	62	1	-	-	1	64
Intangibles arising on business combinations	(344)	63	-	-	(1)	(282)
Branch profit tax	(866)	(202)	-	-	(12)	(1,080)
SEZ reinvestment reserve	(1,351)	(645)	-	-	-	(1,996)
Interest receivable on income tax refund	-	(487)	-	-	-	(487)
Others	261	(19)	-	(4)	(7)	231
Total deferred income tax assets/(liabilities)	25	(1,350)	-	(8)	(7)	(1,340)

The deferred income tax assets and liabilities are as follows:

Particulars	As at	
	March 31, 2025	March 31, 2024
Deferred income tax assets after set off	1,108	454
Deferred income tax liabilities after set off	(1,722)	(1,794)

In assessing the realizability of deferred income tax assets, the management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. The management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income, and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, the Management believes that the Group will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced.

The Company's Advanced Pricing Arrangement (APA) with the Internal Revenue Service (IRS) for US branch income tax expired in March 2021. The Company has applied for renewal of APA and currently the US taxable income is based on the Company's best estimate determined based on the expected value method.

2.18 REVENUE FROM OPERATIONS

Accounting policy

The Group derives revenues primarily from IT services comprising software development and related services, cloud and infrastructure services, maintenance, consulting and package implementation, licensing of software products and platforms across the Group's core and digital offerings (together called as "software related services") and business process management services. Contracts with customers are either on a time-and-material, unit of work, fixed-price or on a fixed-timeframe basis.

Revenues from customer contracts are considered for recognition and measurement when the contract has been approved in writing by the parties, to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. Revenue is recognized upon transfer of control of promised products or services ("performance obligations") to customers in an amount that reflects the consideration the Group has received or expects to receive in exchange for these products or services ("transaction price"). When there is uncertainty as to collectability, revenue recognition is postponed until such uncertainty is resolved.

The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. The Group allocates the transaction price to each distinct performance obligation based on the relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In the absence of such evidence, the primary method used to estimate standalone selling price is the expected cost plus a margin, under which the Group estimates the cost of satisfying the performance obligation and then adds an appropriate margin based on similar services.

The Group's contracts may include variable consideration including rebates, volume discounts and penalties. The Group includes variable consideration as part of transaction price when there is a basis to reasonably estimate the amount of the variable consideration and when it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved.

Revenue on time-and-material and unit of work based contracts, are recognized as the related services are performed. Fixed price maintenance revenue is recognized ratably either on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Efforts or costs expended are used to determine progress towards completion as there is a direct relationship between input and productivity. Progress towards completion is measured as the ratio of costs or efforts incurred to date (representing work performed) to the estimated total costs or efforts. Estimates of transaction price and total costs or efforts are continuously monitored over the term of the contracts and are recognized in net profit in the period when these estimates change or when the estimates are revised. Revenues and the estimated total costs or efforts are subject to revision as the contract progresses. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

The billing schedules agreed with customers include periodic performance based billing and / or milestone based progress billings. Revenues in excess of billing are classified as unbilled revenue while billing in excess of revenues are classified as contract liabilities (which we refer to as unearned revenues).

In arrangements for software development and related services and maintenance services, by applying the revenue recognition criteria for each distinct performance obligation, the arrangements with customers generally meet the criteria for considering software development and related services as distinct performance obligations. For allocating the transaction price, the Group measures the revenue in respect of each performance obligation of a contract at its relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In cases where the Group is unable to determine the standalone selling price, the Group uses the expected cost plus margin approach in estimating the standalone selling price. For software development and related services, the performance obligations are satisfied as and when the services are rendered since the customer generally obtains control of the work as it progresses.

Certain cloud and infrastructure services contracts include multiple elements which may be subject to other specific accounting guidance, such as leasing guidance. These contracts are accounted in accordance with such specific accounting guidance. In such arrangements where the Group is able to determine that hardware and services are distinct performance obligations, it allocates the consideration to these performance obligations on a relative standalone selling price basis. In the absence of standalone selling price, the Group uses the expected cost-plus margin approach in estimating the standalone selling price. When such arrangements are considered as a single performance obligation, revenue is recognized over the period and measure of progress is determined based on promise in the contract.

Revenue from licenses where the customer obtains a "right to use" the licenses is recognized at the time the license are made available to the customer. Revenue from licenses where the customer obtains a "right to access" is recognized over the access period.

Arrangements to deliver software products generally have three elements: license, implementation and Annual Technical Services (ATS). When implementation services are provided in conjunction with the licensing arrangement and the license and implementation have been identified as two distinct separate performance obligations, the transaction price for such contracts are allocated to each performance obligation of the contract based on their relative standalone selling prices. In the absence of standalone selling price for implementation, the Group uses the expected cost plus margin approach in estimating the standalone selling price. Where the license is required to be substantially customized as part of the implementation service the entire arrangement fee for license and implementation is considered to be a single performance obligation and the revenue is recognized using the percentage-of-completion method as the implementation is performed. Revenue from client training, support and other services arising due to the sale of software products is recognized as the performance obligations are satisfied. ATS revenue is recognized ratably on a straight line basis over the period in which the services are rendered.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

A contract modification is a change in the scope or price or both of a contract that is approved by the parties to the contract. A contract modification that results in the addition of distinct performance obligations are accounted for either as a separate contract if the additional services are priced at the standalone selling price or as a termination of the existing contract and creation of a new contract if they are not priced at the standalone selling price. If the modification does not result in a distinct performance obligation, it is accounted for as part of the existing contract on a cumulative catch-up basis.

The incremental costs of obtaining a contract (i.e., costs that would not have been incurred if the contract had not been obtained) are recognized as an asset if the Group expects to recover them.

Certain eligible, nonrecurring costs (e.g. set-up or transition or transformation costs) that do not represent a separate performance obligation are recognized as an asset when such costs (a) relate directly to the contract; (b) generate or enhance resources of the Group that will be used in satisfying the performance obligation in the future; and (c) are expected to be recovered.

Capitalized contract costs relating to upfront payments to customers are amortized to revenue and other capitalized costs are amortized to expenses over the respective contract life on a systematic basis consistent with the transfer of goods or services to customer to which the asset relates. Capitalized costs are monitored regularly for impairment. Impairment losses are recorded when present value of projected remaining operating cash flows is not sufficient to recover the carrying amount of the capitalized costs.

The Group presents revenues net of indirect taxes in its Consolidated Statement of Profit and Loss.

Revenue from operations for the year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Revenue from software services	155,395	145,285
Revenue from products and platforms	7,595	8,385
Total revenue from operations	162,990	153,670

Products & platforms

The Group also derives revenues from the sale of products and platforms like Finacle – core banking solution, Edge Suite of products, Panaya platform, Stater digital platform and Infosys McCamish – insurance platform.

Disaggregated revenue information

Revenue disaggregation by business segments has been included in segment information (Refer to Note 2.26). The table below presents disaggregated revenues from contracts with customers by geography and contract type. The Group believes that this disaggregation best depicts how the nature, amount, timing and uncertainty of revenues and cash flows are affected by industry, market and other economic factors.

For the year ended March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Revenues by Geography*		
North America	94,397	92,411
Europe	48,595	42,267
India	5,014	3,881
Rest of the world	14,984	15,111
Total	162,990	153,670

* Geographical revenue is based on the domicile of customer

The percentage of revenue from fixed-price contracts for the year ended March 31, 2025 and March 31, 2024 is 54% and 53%, respectively.

Trade Receivables and Contract Balances

The timing of revenue recognition, billings and cash collections results in receivables, unbilled revenue, and unearned revenue on the Group's Consolidated Balance Sheet. Amounts are billed as work progresses in accordance with agreed-upon contractual terms, either at periodic intervals (e.g., monthly or quarterly) or upon achievement of contractual milestones.

The Group's receivables are rights to consideration that are unconditional. Unbilled revenues comprising revenues in excess of billings from time and material contracts and fixed price maintenance contracts are classified as financial asset when the right to consideration is unconditional and is due only after a passage of time.

Invoicing to the clients for other fixed price contracts is based on milestones as defined in the contract and therefore the timing of revenue recognition is different from the timing of invoicing to the customers. Therefore unbilled revenues for other fixed price contracts (contract asset) are classified as non-financial asset because the right to consideration is dependent on completion of contractual milestones.

Invoicing in excess of earnings are classified as unearned revenue.

Trade receivables and unbilled revenues are presented net of impairment in the consolidated Balance Sheet.

During the year ended March 31, 2025 and March 31, 2024, the Company recognized revenue of ₹5,669 crore and ₹5,432 crore arising from opening unearned revenue as of April 1, 2024 and April 1, 2023 respectively.

During the year ended March 31, 2025 and March 31, 2024, ₹4,896 crore and ₹7,023 crore of unbilled revenue pertaining to other fixed price and fixed time frame contracts as of April 1, 2024 and April 1, 2023, respectively has been reclassified to Trade receivables upon billing to customers on completion of milestones.

Remaining performance obligation disclosure

The remaining performance obligation disclosure provides the aggregate amount of the transaction price yet to be recognized as at the end of the reporting period and an explanation as to when the Group expects to recognize these amounts in revenue. Applying the practical expedient as given in Ind AS 115, the Group has not disclosed the remaining performance obligation related disclosures for contracts where the revenue recognized corresponds directly with the value to the customer of the entity's performance completed to date, typically those contracts where invoicing is on time and material and unit of work based contracts. Remaining performance obligation estimates are subject to change and are affected by several factors, including terminations, changes in the scope of contracts, periodic revalidations, adjustment for revenue that has not materialized and adjustments for currency fluctuations.

The aggregate value of performance obligations that are completely or partially unsatisfied as at March 31, 2025, other than those meeting the exclusion criteria mentioned above, is ₹104,785 crore. Out of this, the Group expects to recognize revenue of around 50.3% within the next one year and the remaining thereafter. The aggregate value of performance obligations that are completely or partially unsatisfied as at March 31, 2024 is ₹90,658 crore. The contracts can generally be terminated by the customers and typically includes an enforceable termination penalty payable by them. Generally, customers have not terminated contracts without cause.

2.19 OTHER INCOME, NET

Accounting policy

Other income is comprised primarily of interest income, dividend income, gain/loss on investment and exchange gain/loss on forward and options contracts and on translation of foreign currency assets and liabilities. Interest income is recognized using the effective interest method. Dividend income is recognized when the right to receive payment is established.

Foreign currency

Accounting policy

Functional currency

The functional currency of Infosys, its Indian subsidiaries and controlled trusts is the Indian rupee. The functional currencies for foreign subsidiaries are their respective local currencies. These financial statements are presented in Indian rupees (rounded off to crore; one crore equals ten million).

Transactions and translations

Foreign-currency denominated monetary assets and liabilities are translated into the relevant functional currency at exchange rates in effect at the Balance Sheet date. The gains or losses resulting from such translations are recognized in the Consolidated Statement of Profit and Loss and reported within exchange gains/ (losses) on translation of assets and liabilities, net, except when deferred in Other Comprehensive Income as qualifying cash flow hedges. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at fair value are translated at the exchange rate prevalent at the date when the fair value was determined. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of transaction. The related revenue and expense are recognized using the same exchange rate.

Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net profit for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the relevant functional currencies using the exchange rate in effect on the date of the transaction.

The translation of financial statements of the foreign subsidiaries to the presentation currency is performed for assets and liabilities using the exchange rate in effect at the Balance Sheet date and for revenue, expense and cash-flow items using the average exchange rate for the respective periods. The gains or losses resulting from such translation are included in currency translation reserves under other components of equity. When a subsidiary is disposed off, in full, the relevant amount is transferred to net profit in the Consolidated Statement of Profit and Loss. However when a change in the parent's ownership does not result in loss of control of a subsidiary, such changes are recorded through equity.

Other Comprehensive Income, net of taxes includes translation differences on non-monetary financial assets measured at fair value at the reporting date, such as equities classified as financial instruments and measured at fair value through other comprehensive income (FVOCI).

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the exchange rate in effect at the Balance Sheet date.

Government grant

The Group recognizes government grants only when there is reasonable assurance that the conditions attached to them shall be complied with, and the grants will be received. Government grants related to assets are treated as deferred income and are recognized in net profit in the Consolidated Statement of Profit and Loss on a systematic and rational basis over the useful life of the asset. Government grants related to revenue are recognized on a systematic basis in net profit in the Consolidated Statement of Profit and Loss over the periods necessary to match them with the related costs which they are intended to compensate.

Other income for the year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Interest income on financial assets carried at amortized cost		
Tax free bonds and Government bonds	122	131
Deposit with Bank and others	1,401	929
Interest income on financial assets carried at fair value through other comprehensive income		
Non-convertible debentures, commercial paper, certificates of deposit and government securities	1,047	1,007
Income on investments carried at fair value through profit or loss:		
Gain / (loss) on liquid mutual funds and other investments	287	285
Income on investments carried at fair value through other comprehensive income	2	—
Income on investments carried at amortized cost		
Gain/(loss) on tax free bond	4	—
Interest on income tax refund	343	1,965
Exchange gains / (losses) on forward and options contracts	(205)	100
Exchange gains / (losses) on translation of other assets and liabilities	464	87
Miscellaneous income, net	135	207
Total other income	3,600	4,711

2.20 EXPENSES

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Employee benefit expenses		
Salaries including bonus	82,232	79,315
Contribution to provident and other funds	2,338	2,213
Share based payments to employees (Refer to Note 2.12)	802	652
Staff welfare	578	440
	85,950	82,620
Cost of software packages and others		
For own use	2,467	2,145
Third party items bought for service delivery to clients	13,444	11,370
	15,911	13,515
Other expenses		
Repairs and maintenance	1,320	1,278
Power and fuel	222	199
Brand and marketing	1,223	1,007
Rates and taxes	346	326
Consumables	227	170
Insurance	301	210
Provision for post-sales client support and others	(110)	75
Commission to non-whole time directors	18	16
Impairment loss recognized / (reversed) under expected credit loss model	48	121
Contributions towards Corporate Social Responsibility	585	533
Others	607	781
	4,787	4,716

2.21 Leases

Accounting Policy

The Group as a lessee

The Group's lease asset classes primarily consist of leases for land, buildings and computers. The Group assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the group assesses whether: (1) the contract involves the use of an identified asset (2) the Group has substantially all of the economic benefits from use of the asset through the period of the lease and (3) the Group has the right to direct the use of the asset.

At the date of commencement of the lease, the Group recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Group recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

As a lessee, the Group determines the lease term as the non-cancellable period of a lease adjusted with any option to extend or terminate the lease, if the use of such option is reasonably certain. The Group makes an assessment on the expected lease term on a lease-by-lease basis and thereby assesses whether it is reasonably certain that any options to extend or terminate the contract will be exercised. In evaluating the lease term, the Group considers factors such as any significant leasehold improvements undertaken over the lease term, costs relating to the termination of the lease and the importance of the underlying asset to Group's operations taking into account the location of the underlying asset and the availability of suitable alternatives. The lease term in future periods is reassessed to ensure that the lease term reflects the current economic circumstances.

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset.

Right-of-use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related right-of-use asset if the Group changes its assessment if whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

The Group as a lessor

Leases for which the Group is a lessor is classified as a finance or operating lease. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sublease separately. The sublease is classified as a finance or operating lease by reference to the right-of-use asset arising from the head lease.

For operating leases, rental income is recognized on a straight line basis over the term of the relevant lease.

Following are the changes in the carrying value of right-of-use assets for the year ended March 31, 2025:

Particulars	Category of ROU asset				
	Land	Buildings	Vehicles	Computers	Total
Balance as of April 1, 2024	605	3,298	17	2,632	6,552
Additions*	—	816	13	1,306	2,135
Addition due to Business Combination (Refer to Note 2.1)	—	155	5	—	160
Deletions	—	(236)	(6)	(652)	(894)
Depreciation	(6)	(714)	(11)	(965)	(1,696)
Translation difference	1	29	6	18	54
Balance as of March 31, 2025	600	3,348	24	2,339	6,311

* Net of adjustments on account of modifications.

Following are the changes in the carrying value of right-of-use assets for the year ended March 31, 2024:

Particulars	Category of ROU asset				
	Land	Buildings	Vehicles	Computers	Total
Balance as of April 1, 2023	623	3,896	15	2,348	6,882
Additions*	—	394	12	1,872	2,278
Deletions	(10)	(181)	(1)	(755)	(947)
Impairment	—	(88)	—	—	(88)
Depreciation	(6)	(728)	(10)	(851)	(1,595)
Translation difference	(2)	5	1	18	22
Balance as of March 31, 2024	605	3,298	17	2,632	6,552

* Net of adjustments on account of modifications and lease incentives

The aggregate depreciation expense on ROU assets is included under depreciation and amortization expense in the Consolidated Statement of Profit and Loss.

The following is the break-up of current and non-current lease liabilities as at March 31, 2025 and March 31, 2024:

Particulars	As at	
	March 31, 2025	March 31, 2024
Current lease liabilities	2,455	1,959
Non-current lease liabilities	5,772	6,400
Total	8,227	8,359

The movement in lease liabilities during the year ended March 31, 2025 and March 31, 2024 is as follows :

Particulars	Year ended March 31,	
	2025	2024
Balance at the beginning	8,359	8,299
Additions	2,156	2,190
Addition due to Business Combination (Refer to Note 2.1)	160	-
Deletions	(553)	(444)
Finance cost accrued during the period	341	326
Payment of lease liabilities	(2,355)	(2,030)
Translation difference	119	18
Balance at the end	8,227	8,359

The table below provides details regarding the contractual maturities of lease liabilities as at March 31, 2025 and March 31, 2024 on an undiscounted basis:

Particulars	As at	
	March 31, 2025	March 31, 2024
Less than one year	2,483	2,152
One to five years	5,195	6,123
More than five years	1,296	994
Total	8,974	9,269

The Group does not face a significant liquidity risk with regard to its lease liabilities as the current assets are sufficient to meet the obligations related to lease liabilities as and when they fall due.

Rental expense recorded for short-term leases was ₹85 crore and ₹97 crore for the year ended March 31, 2025 and March 31, 2024, respectively

Leases not yet commenced to which Group is committed is ₹176 crore for a lease term ranging from 3 years to 5 years.

The following is the movement in the net investment in lease during the year ended March 31, 2025 and March 31, 2024:

Particulars	Year ended March 31	
	2025	2024
Balance at the beginning	1,824	922
Additions	1,013	1,281
Interest income accrued during the period	37	24
Others	(25)	(2)
Lease receipts	(676)	(400)
Translation difference	72	(1)
Balance at the end	2,245	1,824

2.22 EMPLOYEE BENEFITS

Accounting policy

Gratuity and Pensions

The Group provides for gratuity, a defined benefit retirement plan ('the Gratuity Plan') covering eligible employees majorly of Infosys and its Indian subsidiaries. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment with the Group. The Company contributes Gratuity liabilities to the Infosys Limited Employees' Gratuity Fund Trust (the Trust). In case of Infosys BPM and EdgeVerve, contributions are made to the Infosys BPM Employees' Gratuity Fund Trust and EdgeVerve Systems Limited Employees' Gratuity Fund Trust, respectively. Trustees administer contributions made to the Trusts and contributions are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law.

The Group operates defined benefit pension plan in certain overseas jurisdictions, in accordance with the local laws. These plans are managed by third party fund managers. The plans provide for periodic payouts after retirement and/or a lumpsum payment as set out in rules of each fund and includes death and disability benefits. The defined benefit plans require contributions which are based on a percentage of salary that varies depending on the age of the respective employees.

Liabilities with regard to these defined benefit plans are determined by actuarial valuation, performed by an external actuary, at each Balance Sheet date using the projected unit credit method. These defined benefit plans expose the Group to actuarial risks, such as longevity risk, interest rate risk and market risk.

The Group recognizes the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability. Gains and losses through re-measurements of the net defined benefit liability / (asset) are recognized in other comprehensive income and are not reclassified to profit or loss in subsequent periods. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognized in other comprehensive income. The effect of any plan amendments is recognized in net profit in the Consolidated Statement of Profit and Loss.

Provident fund

Eligible employees of Infosys receive benefits from a provident fund, which is a defined benefit plan. Both the eligible employee and the Company make monthly contributions to the provident fund plan equal to a specified percentage of the covered employee's salary. The Company contributes a portion to the Infosys Limited Employees' Provident Fund Trust. The trust invests in specific designated instruments as permitted by Indian law. The remaining portion is contributed to the government administered pension fund. The rate at which the annual interest is payable to the beneficiaries by the trust is being administered by the Government of India. The Company has an obligation to make good the shortfall, if any, between the return from the investments of the trust and the notified interest rate.

In respect of Indian subsidiaries, eligible employees receive benefits from a provident fund, which is a defined contribution plan. Both the eligible employee and the respective companies make monthly contributions to this provident fund plan equal to a specified percentage of the covered employee's salary. Amounts collected under the provident fund plan are deposited in a government administered provident fund. The Companies have no further obligation to the plan beyond its monthly contributions.

Superannuation

Certain employees of Infosys, Infosys BPM and EdgeVerve are participants in a defined contribution plan. The Group has no further obligations to the plan beyond its monthly contributions which are periodically contributed to a trust fund, the corpus of which is invested with the Life Insurance Corporation of India.

Compensated absences

The Group has a policy on compensated absences which are both accumulating and non-accumulating in nature. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an external actuary at each Balance Sheet date using projected unit credit method on the additional amount expected to be paid / availed as a result of the unused entitlement that has accumulated at the Balance Sheet date. Expense on non-accumulating compensated absences is recognized in the period in which the absences occur.

2.22.1 Gratuity and Pension

The following table sets out the details of the defined benefit retirement plans and the amounts recognized in the Group's financial statements as at March 31, 2025 and March 31, 2024:

Particulars	Gratuity		Pension	
	As at		As at	
	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024
Change in benefit obligations				
Benefit obligations at the beginning	2,116	1,778	1,020	917
Transfer	5	29	-	-
Service cost	335	307	52	54
Interest expense	141	121	18	20
Remeasurements - Actuarial (gains) / losses	93	34	69	24
Past service cost - plan amendments	-	-	-	(33)
Employee contribution	-	-	33	34
Benefits paid	(181)	(154)	(60)	(10)
Translation difference	2	1	51	14
Benefit obligations at the end	2,511	2,116	1,183	1,020
Change in plan assets				
Fair value of plan assets at the beginning	2,079	1,755	991	870
Transfer	-	-	-	-
Interest income	151	127	19	20
Remeasurements- Return on plan assets excluding amounts included in interest income	22	18	60	16
Employer contribution	656	328	46	51
Employee contribution	-	-	33	34
Benefits paid	(176)	(149)	(60)	(10)
Translation difference	1	-	48	10
Fair value of plan assets at the end	2,733	2,079	1,137	991
Funded status	222	(37)	(46)	(29)
Defined benefit plan asset (Refer note 2.10)	286	16	11	15
Defined benefit plan liability (Refer note 2.15)	(64)	(53)	(57)	(44)

Amount for the year ended March 31, 2025 and March 31, 2024 recognized in the Consolidated Statement of Profit and Loss under employee benefit expense:

Particulars	Gratuity		Pension	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Service cost	335	307	52	54
Net interest on the net defined benefit liability / (asset)	(10)	(6)	(1)	-
Plan amendments	-	-	-	(33)
Net cost	325	301	51	21

Amount for the year ended March 31, 2025 and March 31, 2024 recognized in the Consolidated Statement of Other Comprehensive Income:

Particulars	Gratuity		Pension	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Remeasurements of the net defined benefit liability / (asset)				
Actuarial (gains) / losses	93	34	69	24
(Return) / loss on plan assets excluding amounts included in the net interest on the net defined benefit liability/(asset)	(22)	(18)	(60)	(16)
	71	16	9	8

Break up of actuarial (gains)/losses for the year ended March 31, 2025 and March 31, 2024 is as follows:

(In ₹ crore)

Particulars	Gratuity		Pension	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
(Gain) / loss from change in demographic assumptions	-	-	-	-
(Gain) / loss from change in financial assumptions	38	10	47	24
(Gain) / loss from experience adjustment	55	24	22	-
	93	34	69	24

The weighted-average assumptions used to determine benefit obligations as at March 31, 2025 and March 31, 2024 are set out below:

Particulars	Gratuity		Pension	
	As at		As at	
	March 31, 2025	March 31, 2024	March 31, 2025	March 31, 2024
Discount rate ⁽¹⁾	6.5%	7.0%	0.9%-3.7%	1.5%-3.4%
Weighted average rate of increase in compensation levels ⁽²⁾	6.0%	6.0%	1%-3%	1%-3%
Weighted average duration of defined benefit obligation ⁽³⁾	5.7 years	5.8 years	13 years	12 years

The weighted-average assumptions used to determine net periodic benefit cost for the year ended March 31, 2025 and March 31, 2024 are set out below:

Particulars	Gratuity		Pension	
	Year ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Discount rate	7.0%	7.1%	1.5%-3.4%	1.8%-3.8%
Weighted average rate of increase in compensation levels	6.0%	6.0%	1%-3%	1%-3%

⁽¹⁾ For domestic defined benefit plan in India, the market for high quality corporate bonds being not developed, the yield of government bonds is considered as the discount rate. For most of our overseas defined benefit plan, given that the market for high quality corporate bonds is not developed, the Government bond rate adjusted for corporate spreads is used.

⁽²⁾ The average rate of increase in compensation levels is determined by the Company, considering factors such as, the Company's past compensation revision trends, inflation in respective markets and management's estimate of future salary increases.

⁽³⁾ Attrition rate considered is the management's estimate based on the past long-term trend of employee turnover in the Company. The tenure has been considered taking into account the past long-term trend of employees' average remaining service life which reflects the average estimated term of post-employment benefit obligation.

For domestic defined benefit plan in India, assumptions regarding future mortality experience are set in accordance with the published statistics by the Life Insurance Corporation of India. For overseas defined benefit plan, the assumptions regarding future mortality experience are set with regard to the latest statistics in life expectancy, plan experience and other relevant data.

The Group assesses all of the above assumptions with its projected long-term plans of growth and prevalent industry standards.

The Company contributes all ascertained liabilities towards gratuity to the Infosys Limited Employees' Gratuity Fund Trust. In case of Infosys BPM and EdgeVerve, contributions are made to the Infosys BPM Employees' Gratuity Fund Trust and EdgeVerve Systems Limited Employees Gratuity Fund Trust, respectively. Trustees administer contributions made to the trust as at March 31, 2025 and March 31, 2024, and contributions for gratuity are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law. The plan assets of the overseas defined benefit plan have been primarily invested in insurer managed funds and the asset allocation for plan assets is determined based on the investment criteria prescribed under the relevant regulations applicable to pension funds and the insurer managers. The insurers' investment are diversified and provide for guaranteed interest rates arrangements.

Actual return on assets (including remeasurements) of the gratuity plan for the year ended March 31, 2025 and March 31, 2024 were ₹173 crore and ₹145 crore, respectively and for the pension plan were ₹79 crore and ₹36 crore, respectively.

The contributions for gratuity are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law.

The table below sets out the details of major plan assets into various categories as at March 31, 2025 and March 31, 2024:

Particulars	Pension	
	As at	
	March 31, 2025	March 31, 2024
Equity	34%	34%
Bonds	30%	32%
Real Estate/Property	26%	26%
Cash and Cash Equivalents	1%	1%
Other	9%	7%

These defined benefit plans expose the Group to actuarial risk which are set out below:

Interest rate risk: The present value of the defined benefit plan liability is generally calculated using a discount rate determined by reference to government bond yields and in certain overseas jurisdictions, it is calculated in reference to government bond yield adjusted for a corporate spread. If bond yields fall, the defined benefit obligation will tend to increase.

Life expectancy and investment risk: The pension fund offers the choice between a lifelong pension and a cash lump sum upon retirement. The pension fund has defined rates for converting the lump sum to a pension and there is the risk that the members live longer than implied by these conversion rates and that the pension assets don't achieve the investment return implied by these conversion rates.

Asset volatility: A proportion of the pension fund is held in equities, which is expected to outperform corporate bonds in the long term but give exposure to volatility and risk in the short term. The pension fund board of insurer is responsible for the investment strategy and equity allocation is justified given the long-term investment horizon of the pension fund and the objective to provide a reasonable long term return on members' account balances.

Sensitivity of significant assumptions used for valuation of defined benefit obligation:

Impact from	(In ₹ crore)	
	As at March 31, 2025	
	Gratuity 1% point increase / decrease	Pension 0.5% point increase / decrease
Discount rate	135	55
Weighted average rate of increase in compensation levels	135	6

Sensitivity to significant actuarial assumptions is computed by varying one actuarial assumption used for the valuation of the defined benefit obligation and keeping all other actuarial assumptions constant. In practice, this is not probable, and changes in some of the assumptions may be correlated.

The Group expects to contribute ₹370 crore to gratuity and ₹44 crore to pension during the fiscal 2026.

The maturity profile of defined benefit obligation is as follows:

	(In ₹ crore)	
	Gratuity	Pension
Within 1 year	349	72
1-2 year	333	70
2-3 year	345	72
3-4 year	321	74
4-5 year	289	75
5-10 years	1,042	342

2.22.2 Provident fund

Infosys has an obligation to fund any shortfall on the yield of the trust's investments over the administered interest rates on an annual basis. These administered rates are determined annually predominantly considering the social and economic factors. The actuary has provided a valuation for provident fund liabilities on the basis of guidance issued by the Actuarial Society of India.

The following tables set out the funded status of the defined benefit provident fund plan of Infosys Limited and the amounts recognized in the Group's financial statements as at March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Change in benefit obligations		
Benefit obligations at the beginning	11,879	10,527
Service cost	952	880
Employee contribution	1,683	1,652
Interest expense	862	764
Actuarial (gains) / loss	218	96
Benefits paid	(1,727)	(2,040)
Benefit obligations at the end	13,867	11,879
Change in plan assets		
Fair value of plan assets at the beginning	11,812	10,184
Interest income	858	740
Remeasurements- Return on plan assets excluding amounts included in interest income	245	234
Employer contribution	1,057	1,042
Employee contribution	1,683	1,652
Benefits paid	(1,727)	(2,040)
Fair value of plan assets at the end	13,928	11,812
Funded status surplus/(deficit)	61	(67)
Irrecoverable surplus - effect of asset ceiling	(61)	-
Net liability (Refer note 2.15)	-	(67)

Amount for the year ended March 31, 2025 and March 31, 2024 recognized in the consolidated statement of profit and loss:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Service cost	952	880
Net interest on the net defined benefit liability / asset	4	24
Net provident fund cost	956	904

Amount for the year ended March 31, 2025 and March 31, 2024 recognized in the Consolidated Statement of Other Comprehensive Income:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Remeasurements of the net defined benefit liability / (asset)		
Actuarial (gains) / losses	218	96
(Return) / loss on plan assets excluding amounts included in the net interest on the net defined benefit liability / (asset)	(245)	(234)
Irrecoverable surplus - effect of asset ceiling	61	-
	34	(138)

The assumptions used in determining the present value obligation of the defined benefit plan under the Deterministic Approach are as follows:

Particulars	As at	
	March 31, 2025	March 31, 2024
Government of India (GOI) bond yield ⁽¹⁾	6.50%	7.00%
Expected rate of return on plan assets	8.00%	8.20%
Remaining term to maturity of portfolio	6 years	6 years
Expected guaranteed interest rate	8.25%	8.25%

⁽¹⁾ In India, the market for high quality corporate bonds being not developed, the yield of government bonds is considered as the discount rate. The tenure has been considered taking into account the past long-term trend of employees' average remaining service life which reflects the average estimated term of the post-employment benefit obligations.

The breakup of the plan assets into various categories as at March 31, 2025 and March 31, 2024 are as follows:

Particulars	As at	
	March 31, 2025	March 31, 2024
Central and State government bonds	60%	60%
Public sector undertakings and Private sector bonds	28%	30%
Others	12%	10%

The asset allocation for plan assets is determined based on the investment criteria prescribed under the relevant regulations.

The actuarial valuation of provident fund liability exposes the Group to interest rate risk. The defined benefit obligation calculated uses a discount rate based on government bonds. If bond yields fall, the defined benefit obligation will tend to increase.

As at March 31, 2025 the defined benefit obligation would be affected by approximately ₹129 crore on account of a 0.25% increase / decrease in the expected rate of return on plan assets.

The Group contributed ₹1,323 crore and ₹1,257 crore to the provident fund during the year ended March 31, 2025 and March 31, 2024, respectively. The same has been recognized in the Consolidated Statement of Profit and Loss under the head employee benefit expense.

The provident plans are applicable only to employees drawing a salary in Indian rupees.

2.22.3 Superannuation

The Group contributed ₹512 crore and ₹513 crore during the year ended March 31, 2025 and March 31, 2024, respectively and the same has been recognized in the Consolidated Statement of Profit and Loss under the head employee benefit expense.

2.22.4 Employee benefit costs include:

Particulars	(In ₹ crore)	
	Year ended March 31,	
	2025	2024
Salaries and bonus ⁽¹⁾	83,739	80,532
Defined contribution plans	677	670
Defined benefit plans	1,534	1,418
	85,950	82,620

(1) Includes employee stock compensation expense of ₹802 crore and ₹652 crore for the year ended March 31, 2025 and March 31, 2024 respectively.

2.23 EARNINGS PER EQUITY SHARE

Accounting policy

Basic earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares outstanding during the period. Diluted earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. The dilutive potential equity shares are adjusted for the proceeds receivable had the equity shares been actually issued at fair value (i.e. the average market value of the outstanding equity shares). Dilutive potential equity shares are deemed converted as at the beginning of the period, unless issued at a later date. Dilutive potential equity shares are determined independently for each period presented.

The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any share splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

The following is the computation of basic earnings per equity share:

Particulars	Year ended March 31,	
	2025	2024
Profit attributable to equity holders of the Company (in ₹ crore)	26,713	26,233
Basic earnings per equity share - weighted average number of equity shares outstanding ⁽¹⁾	4,141,611,738	4,138,568,090
Basic earnings per equity share (₹)	64.50	63.39

The following is a reconciliation of the equity shares used in the computation of basic and diluted earnings per equity share and computation of diluted earnings per equity share:

Particulars	Year ended March 31,	
	2025	2024
Profit attributable to equity holders of the Company (in ₹ crore)	26,713	26,233
Weighted average number of equity shares outstanding used in computing in basic earnings per equity share ⁽¹⁾	4,141,611,738	4,138,568,090
Effect of dilutive common equivalent shares - share options outstanding	10,439,446	6,112,335
Weighted average number of equity shares and common equivalent shares outstanding used in computing diluted earnings per equity share	4,152,051,184	4,144,680,425
Diluted earnings per equity share (₹)	64.34	63.29

⁽¹⁾ excludes treasury shares

For the years ended March 31, 2025 and March 31, 2024, there were 13,931 and 1,19,711 options to purchase equity shares which had an anti-dilutive effect.

2.24 CONTINGENT LIABILITIES AND COMMITMENTS

Accounting policy

Contingent liability is a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

2.24.1 Contingent liability

Particulars	As at	
	March 31, 2025	March 31, 2024
Contingent liabilities :		
Claims against the Group, not acknowledged as debts ⁽¹⁾	2,953	3,583
[Amount paid to statutory authorities ₹4,207 crore (₹8,754 crore)]		

⁽¹⁾ As at March 31, 2025 and March 31, 2024, claims against the Group not acknowledged as debts in respect of income tax matters amounted to ₹1,933 crore and ₹2,794 crore, respectively.

The claims against the Group primarily represent demands arising on completion of assessment proceedings under the Income Tax Act, 1961. These claims are on account of issues of disallowance of expenditure towards software being held as capital in nature, payments made to Associated Enterprises held as liable for withholding of taxes, among others. These matters are pending before various Income Tax Authorities and the Management including its tax advisors expect that its position will likely be upheld on ultimate resolution and will not have a material adverse effect on the Group's financial position and results of operations.

Amount paid to statutory authorities against the tax claims amounted to ₹4,199 crore and ₹8,743 crore as at March 31, 2025 and March 31, 2024, respectively.

2.24.2 Legal Proceedings

McCamish Cybersecurity incident

In November 2023, certain systems of Infosys McCamish Systems LLC ("McCamish"), a subsidiary of Infosys BPM Limited (a wholly owned subsidiary of Infosys Limited), were encrypted by ransomware, resulting in the non-availability of certain applications and systems. McCamish initiated its incident response and engaged cybersecurity and other specialists to assist in its investigation of and response to the incident and remediation and restoration of impacted applications and systems. By December 31, 2023, McCamish, with external specialists' assistance, substantially remediated and restored the affected applications and systems. Actions taken by McCamish included investigative analysis conducted by a third-party cybersecurity firm to determine, among other things, whether and the extent to which company or customer data was subject to unauthorized access or exfiltration. McCamish also engaged a third-party eDiscovery vendor in assessing the extent and nature of such data. McCamish in coordination with its third-party eDiscovery vendor has identified corporate customers and individuals whose information was subject to unauthorized access and exfiltration. McCamish processes personal data on behalf of its corporate customers.

From March 6, 2024 through July 25, 2024, six actions were filed in the U.S. District Court for the Northern District of Georgia against McCamish. The actions arise out of the cybersecurity incident at McCamish initially disclosed on November 3, 2023. All six actions have since been consolidated, and the consolidated class action complaint was filed on November 7, 2024, purportedly on behalf of all persons residing in the United States whose personally identifiable information was compromised in the incident, including all who were sent a notice of the incident. On December 20, 2024, the Court granted the parties' joint motion to stay proceedings pending the parties' efforts to resolve the lawsuit through mediation. On March 13, 2025, McCamish and the plaintiffs engaged in mediation, resulting in an in-principle agreement that sets forth the terms of a proposed settlement of the class action lawsuits against McCamish, as well as seven class action lawsuits arising out of the incident that have been filed against McCamish's customers. Under the settlement terms, McCamish has agreed to pay \$17.5 million (approximately ₹150 crore) into a fund to settle these matters. The agreed terms are subject to finalization of the terms of the settlement agreement, and preliminary and final court approval. If approved, the settlement will resolve all allegations made in the class action lawsuits without admission of any liability. McCamish has recorded an accrual of \$17.5 million (approximately ₹150 crore) related to the settlement. McCamish has recognized an insurance reimbursement receivable of \$17 million (approximately ₹145 crore) which has been offset against the settlement expense of \$17.5 million (approximately ₹150 crore) in the Statement of Profit and Loss. McCamish may incur additional costs including from indemnities or damages/claims, which are indeterminable at this

Others

Apart from legal proceedings and claims arising from the McCamish cybersecurity incident, the Group is subject to legal proceedings and claims which have arisen in the ordinary course of business. The Group's management reasonably expects that such ordinary course legal actions, when ultimately concluded and determined, will not have a material and adverse effect on the Group's results of operations or financial condition.

2.24.3 Commitments

Particulars	As at	
	March 31, 2025	March 31, 2024
Estimated amount of contracts remaining to be executed on capital contracts and not provided for (net of advances and deposits) ⁽¹⁾	935	780
Other commitments*	122	79

⁽¹⁾ Capital contracts primarily comprises of commitments for infrastructure facilities and computer equipment.

* Uncalled capital pertaining to investments

2.25 RELATED PARTY TRANSACTIONS

List of related parties:

Name of subsidiaries	Country	Holdings as at	
		March 31, 2025	March 31, 2024
Infosys Technologies (China) Co. Limited (Infosys China) ⁽¹⁾	China	100%	100%
Infosys Technologies S. de R. L. de C. V. (Infosys Mexico) ⁽¹⁾	Mexico	100%	100%
Infosys Technologies (Sweden) AB (Infosys Sweden) ⁽¹⁾	Sweden	100%	100%
Infosys Technologies (Shanghai) Company Limited (Infosys Shanghai) ⁽¹⁾	China	100%	100%
EdgeVerve Systems Limited (EdgeVerve) ⁽¹⁾	India	100%	100%
Infosys Austria GmbH ⁽¹⁾	Austria	100%	100%
Skava Systems Private Limited (Skava Systems) ⁽¹⁾⁽³⁵⁾	India	-	100%
Infosys Chile SpA ⁽¹⁾	Chile	100%	100%
Infosys Arabia Limited ⁽²⁾⁽²⁰⁾	Saudi Arabia	70%	70%
Infosys Consulting Ltda. ⁽¹⁾	Brazil	100%	100%
Infosys Luxembourg S.a.r.l. ⁽¹⁾	Luxembourg	100%	100%
Infosys Americas Inc. (Infosys Americas) ⁽¹⁾⁽²³⁾	U.S.	-	-
Infosys Consulting S.R.L. ⁽²⁾	Argentina	100%	100%
Infosys Romania S.r.l. (formerly Infosys Consulting S.R.L. (Romania)) ⁽¹⁾	Romania	100%	100%
Infosys Limited Bulgaria EOOD ⁽¹⁾	Bulgaria	100%	100%
Infosys Turkey Bilgi Teknolojileri Limited Sirketi ⁽¹⁾	Turkey	100%	100%
Infosys Germany Holding GmbH ⁽¹⁾	Germany	100%	100%
Infosys Automotive and Mobility GmbH & Co. KG ⁽¹⁾	Germany	100%	100%
Infosys Green Forum ⁽¹⁾	India	100%	100%
Infosys Business Solutions LLC ⁽¹⁾	Qatar	100%	100%
WongDoody Inc. ⁽¹⁾⁽³⁷⁾	U.S.	-	100%
IDUNN Information Technology Private Limited (formerly Danske IT and Support Services India Private Limited (“Danske IT”)) ⁽¹⁾⁽²⁵⁾	India	100%	100%
Infosys Public Services, Inc. USA (Infosys Public Services) ⁽¹⁾	U.S.	100%	100%
Infosys Public Services Canada Inc. ⁽¹¹⁾	Canada	100%	100%
Infosys BPM Limited ⁽¹⁾	India	100%	100%
Infosys BPM UK Limited ⁽²⁾	U.K.	100%	100%
Infosys (Czech Republic) Limited s.r.o. ⁽³⁾	Czech Republic	100%	100%
Infosys Poland Sp z o.o. ⁽³⁾	Poland	100%	100%
Infosys McCamish Systems LLC ⁽³⁾	U.S.	100%	100%
Portland Group Pty Ltd ⁽³⁾	Australia	100%	100%
Infosys BPO Americas LLC. ⁽³⁾	U.S.	100%	100%
Infosys BPM Canada Inc. ⁽³⁾⁽²⁴⁾⁽²⁹⁾	Canada	-	-
Panaya Inc. (Panaya) ⁽¹⁾	U.S.	100%	100%
Panaya Ltd. ⁽⁴⁾	Israel	100%	100%
Panaya Germany GmbH ⁽⁴⁾	Germany	100%	100%
Brilliant Basics Holdings Limited (Brilliant Basics) ⁽¹⁾⁽²⁰⁾	U.K.	100%	100%
Brilliant Basics Limited ⁽⁵⁾⁽²⁰⁾	U.K.	100%	100%
Infosys Consulting Holding AG ⁽¹⁾	Switzerland	100%	100%
Infosys Management Consulting Pty Limited ⁽⁶⁾	Australia	100%	100%
Infosys Consulting AG ⁽⁶⁾	Switzerland	100%	100%
Infosys Consulting GmbH ⁽⁶⁾	Germany	100%	100%
Infosys Consulting SAS ⁽⁶⁾	France	100%	100%
Infy Consulting B.V. ⁽⁶⁾	The Netherlands	100%	100%
Infosys Consulting (Belgium) NV ⁽⁶⁾	Belgium	100%	100%
Infy Consulting Company Ltd ⁽⁶⁾	U.K.	100%	100%
GuideVision s.r.o. ⁽⁷⁾	Czech Republic	100%	100%
GuideVision Deutschland GmbH ⁽⁸⁾	Germany	100%	100%
GuideVision Suomi Oy ⁽⁸⁾	Finland	100%	100%
GuideVision Magyarország Kft ⁽⁸⁾	Hungary	100%	100%
GuideVision Polska Sp. z o.o. ⁽⁸⁾	Poland	100%	100%
GuideVision UK Ltd ⁽⁸⁾⁽²⁰⁾	U.K.	100%	100%
Infosys Nova Holdings LLC. (Infosys Nova) ⁽¹⁾	U.S.	100%	100%
Outbox systems Inc. dba Simplus (US) ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Simplus ANZ Pty Ltd. ⁽⁹⁾	Australia	100%	100%
Simplus Australia Pty Ltd ⁽¹⁰⁾	Australia	100%	100%
Simplus Philippines, Inc. ⁽⁹⁾	Philippines	100%	100%
Kaleidoscope Animations, Inc. ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Kaleidoscope Prototyping LLC ⁽¹⁷⁾⁽²⁷⁾	U.S.	-	-
Blue Acorn iCi Inc (formerly Beringer Commerce Inc) ⁽⁹⁾⁽³⁸⁾	U.S.	-	100%
Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.) ⁽¹⁾	Singapore	100%	100%
Infosys Financial Services GmbH. (formerly Panaya GmbH) ⁽¹²⁾	Germany	100%	100%
Infosys South Africa (Pty) Ltd ⁽¹²⁾	South Africa	100%	100%
Infosys (Malaysia) SDN. BHD. (formerly Global Enterprise International (Malaysia) Sdn. Bhd.) ⁽¹²⁾	Malaysia	100%	100%
Infosys Middle East FZ LLC ⁽¹²⁾	Dubai	100%	100%
Infosys Norway ⁽¹²⁾	Norway	100%	100%
Infosys Compaz Pte. Ltd ⁽¹³⁾	Singapore	60%	60%
HIPUS Co., Ltd ⁽¹³⁾	Japan	81%	81%
Fluido Oy ⁽¹²⁾	Finland	100%	100%
Fluido Sweden AB ⁽¹⁴⁾	Sweden	100%	100%
Fluido Norway A/S ⁽¹⁴⁾	Norway	100%	100%
Fluido Denmark A/S ⁽¹⁴⁾	Denmark	100%	100%
Fluido Slovakia s.r.o ⁽¹⁴⁾	Slovakia	100%	100%

Infosys Fluido UK, Ltd. ⁽¹⁴⁾	U.K.	100%	100%
Infosys Fluido Ireland, Ltd. ⁽¹⁵⁾	Ireland	100%	100%
Stater N.V. ⁽¹³⁾	The Netherlands	75%	75%
Stater Nederland B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
Stater XXL B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
HypoCasso B.V. ⁽¹⁶⁾	The Netherlands	75%	75%
Stater Participations B.V. ⁽²⁸⁾	The Netherlands	-	-
Stater Belgium N.V./S.A. ⁽¹⁶⁾⁽²⁸⁾	Belgium	75%	75%
Stater GmbH ⁽¹⁶⁾	Germany	75%	75%
Infosys Germany GmbH (formerly Kristall 247. GmbH (“Kristall”)) ⁽¹²⁾	Germany	100%	100%
Wongdoody GmbH (formerly known as oddity GmbH) ⁽¹⁸⁾	Germany	100%	100%
WongDoody (Shanghai) Co. Limited (formerly known as oddity (Shanghai) Co., Ltd.) ⁽¹⁹⁾	China	100%	100%
WongDoody limited (Taipei) (formerly known as oddity Limited (Taipei)) ⁽¹⁹⁾	Taiwan	100%	100%
oddity space GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity jungle GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity code GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
WongDoody d.o.o (formerly known as oddity code d.o.o) ⁽¹⁹⁾⁽²⁶⁾	Serbia	100%	100%
oddity waves GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
oddity group services GmbH ⁽¹⁸⁾⁽²⁶⁾	Germany	-	-
BASE life science A/S ⁽¹²⁾	Denmark	100%	100%
BASE life science AG ⁽²¹⁾	Switzerland	100%	100%
BASE life science GmbH ⁽²¹⁾	Germany	100%	100%
BASE life science S.A.S. ⁽²¹⁾	France	100%	100%
BASE life science Ltd. ⁽²¹⁾	U.K.	100%	100%
BASE life science S.r.l. ⁽²¹⁾	Italy	100%	100%
Innovisor Inc. ⁽²¹⁾	U.S.	100%	100%
BASE life science Inc. ⁽²¹⁾	U.S.	100%	100%
BASE life science S.L. ⁽²¹⁾	Spain	100%	100%
InSemi Technology Services Private Limited ⁽³⁰⁾	India	100%	100%
Elbrus Labs Private Limited ⁽³⁰⁾⁽²²⁾	India	100%	-
Infosys Services (Thailand) Limited ⁽¹⁾⁽³²⁾	Thailand	100%	-
Infy tech SAS ⁽¹²⁾⁽³¹⁾	France	100%	-
in-tech Holding GmbH ⁽³³⁾⁽³⁹⁾	Germany	-	-
in-tech GmbH ⁽³³⁾	Germany	100%	-
Friedrich & Wagner Asia Pacific GmbH ⁽³³⁾⁽³⁹⁾	Germany	-	-
drivetechnik Fahrversuch GmbH ⁽³³⁾	Germany	100%	-
ProIT ⁽³³⁾	Romania	100%	-
in-tech Automotive Engineering de R.L. de C.V. ⁽³³⁾⁽²⁰⁾	Mexico	100%	-
Friedrich Wagner Holding Inc. ⁽³³⁾⁽²⁰⁾	U.S.	100%	-
in-tech Automotive Engineering SL ⁽³³⁾	Spain	100%	-
in-tech Automotive Engineering LLC ⁽³³⁾⁽³⁶⁾	U.S.	-	-
in-tech Services LLC ⁽³³⁾⁽³⁶⁾	U.S.	-	-
in-tech Engineering s.r.o ⁽³³⁾	Czech Republic	100%	-
in-tech Engineering GmbH ⁽³³⁾	Austria	100%	-
in-tech Engineering services S.R.L. ⁽³³⁾	Romania	100%	-
in-tech Group Ltd ⁽³³⁾	U.K.	100%	-
In-tech Automotive Engineering Shenyang Co. Ltd ⁽³³⁾	China	100%	-
in-tech Group India Private Ltd ⁽³³⁾	India	-	-
In-tech Automotive Engineering Beijing Co., Ltd ⁽³³⁾	China	100%	-
Blitz 24-893 SE ⁽³⁴⁾	Germany	100%	-
Infosys Limited SPC ⁽¹⁾⁽⁴⁰⁾	Oman	100%	-
Infosys BPM Netherlands B.V. ⁽³⁾⁽⁴¹⁾	The Netherlands	100%	-

⁽¹⁾ Wholly-owned subsidiary of Infosys Limited

⁽²⁾ Majority owned and controlled subsidiary of Infosys Limited

⁽³⁾ Wholly-owned subsidiary of Infosys BPM Limited

⁽⁴⁾ Wholly-owned subsidiary of Panaya Inc

⁽⁵⁾ Wholly-owned subsidiary of Brilliant Basics Holding Limited.

⁽⁶⁾ Wholly-owned subsidiary of Infosys Consulting Holding AG

⁽⁷⁾ Wholly-owned subsidiary of Infy Consulting Company Limited

- ⁽⁸⁾ Wholly-owned subsidiary of GuideVision s.r.o.
- ⁽⁹⁾ Wholly-owned subsidiary of Infosys Nova Holdings LLC
- ⁽¹⁰⁾ Wholly-owned subsidiary of Simplus ANZ Pty Ltd
- ⁽¹¹⁾ Wholly-owned subsidiary of Infosys Public Services, Inc.
- ⁽¹²⁾ Wholly-owned subsidiary of Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.)
- ⁽¹³⁾ Majority owned and controlled subsidiary of Infosys Singapore Pte. Ltd. (formerly Infosys Consulting Pte. Ltd.)
- ⁽¹⁴⁾ Wholly-owned subsidiary of Fluidio Oy
- ⁽¹⁵⁾ Wholly-owned subsidiary of Infosys Fluidio UK, Ltd.
- ⁽¹⁶⁾ Wholly-owned subsidiary of Stater N.V
- ⁽¹⁷⁾ Wholly-owned subsidiary of Kaleidoscope Animations, Inc.
- ⁽¹⁸⁾ Wholly-owned subsidiary of Infosys Germany GmbH (formerly Kristall 247. GmbH ("Kristall"))
- ⁽¹⁹⁾ Wholly-owned subsidiary of Wongdoody GmbH (formerly known as oddity GmbH)
- ⁽²⁰⁾ Under liquidation
- ⁽²¹⁾ Wholly-owned subsidiary of BASE life science A/S
- ⁽²²⁾ Wholly-owned subsidiary of InSemi Technology Services Private Limited
- ⁽²³⁾ Liquidated effective July 14, 2023
- ⁽²⁴⁾ Incorporated on August 11, 2023
- ⁽²⁵⁾ On September 1, 2023 Infosys Ltd. acquired 100% of voting interests in IDUNN Information Technology Private Limited (formerly Danske IT and Support Services India Private Limited ("Danske IT"))
- ⁽²⁶⁾ On September 29, 2023, oddity space GmbH, oddity waves GmbH, oddity jungle GmbH, oddity group services GmbH and oddity code GmbH merged into WongDoody GmbH and oddity code d.o.o which was formerly a subsidiary of oddity code GmbH has become a subsidiary of Wongdoody GmbH (formerly known as oddity GmbH).
- ⁽²⁷⁾ Kaleidoscope Prototyping LLC, a Wholly-owned subsidiary of Kaleidoscope Animations is liquidated effective November 1, 2023
- ⁽²⁸⁾ On November 24, 2023 Stater Participations B.V (Wholly-owned subsidiary of Stater N.V) merged with Stater N.V and Stater Belgium N.V./S.A which was formerly a wholly owned subsidiary of Stater Participations B.V. became a wholly owned subsidiary of Stater N.V
- ⁽²⁹⁾ On March 15, 2024 Infosys BPM Canada Inc., a Wholly-owned subsidiary of Infosys BPM Limited got dissolved.
- ⁽³⁰⁾ On May 10, 2024 Infosys Ltd. acquired 100% of voting interests in InSemi Technology Services Private Limited along with its subsidiary Elbrus Labs Private Limited
- ⁽³¹⁾ Incorporated on July 03, 2024
- ⁽³²⁾ Incorporated on July 26, 2024
- ⁽³³⁾ On July 17, 2024, Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited, acquired 100% of voting interests in in-tech Holding GmbH along with its subsidiary in-tech GmbH along with its six subsidiaries in-tech Automotive Engineering SL, ProIT, in-tech Automotive Engineering de R.L. de C.V, drivetech Fahrversuch GmbH, Friedrich Wagner Holding Inc along with its two subsidiaries (in-tech Automotive Engineering LLC and in-tech Services LLC) and Friedrich & Wagner Asia Pacific GmbH along with its five subsidiaries in-tech engineering s.r.o, in-tech engineering GmbH, in-tech engineering services S.R.L, in-tech Group Ltd along with its subsidiary (in-tech Group India Private Limited) and In-tech Automotive Engineering Shenyang Co., Ltd along with its subsidiary (In-tech Automotive Engineering Beijing Co., Ltd). Subsequently on September 01, 2024 in-tech Group India Private Limited became a wholly-owned subsidiary of Infosys limited.
- ⁽³⁴⁾ On October 17, 2024, Infosys Singapore Pte Ltd. acquired 100% of voting interests in Blitz 24-893 SE
- ⁽³⁵⁾ Liquidated effective November 14, 2024
- ⁽³⁶⁾ Liquidated effective November 30, 2024
- ⁽³⁷⁾ WongDoody Inc, a wholly-owned subsidiary of Infosys limited merged into Infosys Nova Holdings LLC effective January 1, 2025
- ⁽³⁸⁾ Kaleidoscope Animations, Blue Acorn iCi Inc and Outbox systems Inc. dba Simplus (US) merged into Infosys Nova Holdings LLC effective January 1, 2025
- ⁽³⁹⁾ in-tech Holding GmbH and Friedrich & Wagner Asia Pacific GmbH merged into in-tech GmbH effective January 1, 2025
- ⁽⁴⁰⁾ Incorporated on December 12, 2024
- ⁽⁴¹⁾ Incorporated on March 20, 2025

List of other related party

Particulars	Country	Nature of relationship
Infosys Limited Employees' Gratuity Fund Trust	India	Post-employment benefit plan of Infosys
Infosys Limited Employees' Provident Fund Trust	India	Post-employment benefit plan of Infosys
Infosys Limited Employees' Superannuation Fund Trust	India	Post-employment benefit plan of Infosys
Infosys BPM Limited Employees' Superannuation Fund Trust	India	Post-employment benefit plan of Infosys BPM
Infosys BPM Limited Employees' Gratuity Fund Trust	India	Post-employment benefit plan of Infosys BPM
EdgeVerve Systems Limited Employees' Gratuity Fund Trust	India	Post-employment benefit plan of EdgeVerve
EdgeVerve Systems Limited Employees' Superannuation Fund Trust	India	Post-employment benefit plan of EdgeVerve
Infosys Employees Welfare Trust	India	Controlled trust
Infosys Employee Benefits Trust	India	Controlled trust
Infosys Science Foundation	India	Controlled trust
Infosys Expanded Stock Ownership Trust	India	Controlled trust
Infosys Foundation ⁽¹⁾	India	Trust jointly controlled by KMPs

Refer to Note 2.22 for information on transactions with post-employment benefit plans mentioned above.

⁽¹⁾ During the year ended March 31, 2025 and March 31, 2024, the Group contributed ₹434 crore and ₹408 crore, respectively towards CSR.

List of key management personnel**Whole-time Directors**

Salil Parekh, Chief Executive Officer and Managing Director

Non-whole-time Directors

Nandan M. Nilekani

D. Sundaram

Micheal Gibbs

Bobby Parikh

Chitra Nayak

Govind Iyer

Helene Auriol Potier (appointed as independent director effective May 26, 2023)

Nitin Paranjpe (appointed as an additional and independent director effective January 1, 2024)

Uri Levine (retired as independent director effective April 19, 2023)

Executive Officers

Inderpreet Sawhney, Chief Legal Officer and Chief Compliance Officer

Jayesh Sanghrajka (appointed as Chief Financial Officer effective April 1, 2024)

Nilanjan Roy (resigned as Chief Financial Officer of the Company effective March 31, 2024)

Shaji Mathew, Chief Human Resources Officer

Mohit Joshi (resigned as President effective March 11, 2023 and was on leave till June 9, 2023 which was his last date with the Company)

Company Secretary

A.G.S. Manikantha

Transaction with key management personnel:

The table below describes the compensation to key management personnel which comprise directors and executive officers:

(In ₹ crore)

Particulars	Year ended March 31,	
	2025	2024
Salaries and other short term employee benefits to whole-time directors and executive officers ⁽¹⁾⁽²⁾	118	113
Commission and other benefits to non-executive/independent directors	19	17
Total	137	130

(1) Total employee stock compensation expense for the year ended March 31, 2025 and March 31, 2024 includes a charge of ₹70 crore and ₹68 crore, respectively, towards key management personnel. (Refer to Note 2.12)

(2) Does not include post-employment benefits and other long-term benefits based on actuarial valuation as these are done for the Company as a whole.

Name of entity	Net Assets		Share in profit or loss		Share in other comprehensive income		Share in total comprehensive income	
	as % age of consolidated net assets	Amount	as % age of consolidated profit or loss	Amount	as % age of consolidated other comprehensive income	Amount	as % age of consolidated total comprehensive income	Amount
Infosys Limited	75.2%	87,332	88.0%	25,568	100.0%	105	88.0%	25,673
<i>Indian Subsidiaries</i>								
Infosys BPM Limited	2.8%	3,276	2.7%	773	(3.8%)	(4)	2.6%	769
EdgeVerve Systems Limited (EdgeVerve)	1.5%	1,783	3.8%	1,095	(1.0%)	(1)	3.8%	1,094
Infosys Green Forum	0.3%	304	0.0%	6	0.0%	-	0.0%	6
Danske IT and Support Services India Private Limited ("DIT")	0.1%	79	0.0%	-	0.0%	-	0.0%	-
Skava Systems Pvt. Ltd. (Skava Systems)	0.0%	-	0.0%	-	0.0%	-	0.0%	-
Elbrus Labs Private Limited	0.0%	4	0.0%	-	0.0%	-	0.0%	-
Insemi Technology Service Private Limited	0.0%	42	(0.0%)	(5)	0.0%	-	(0.0%)	(5)
in-tech Group India Private Ltd,	0.0%	1	0.0%	-	0.0%	-	0.0%	-
<i>Foreign Subsidiaries</i>								
Infosys Technologies (China) Co. Limited (Infosys China)	0.6%	706	0.5%	153	0.0%	-	0.5%	153
Infosys Technologies S. de R. L. de C. V. (Infosys Mexico)	0.5%	548	0.3%	85	0.0%	-	0.3%	85
Infosys Technologies (Sweden) AB. (Infosys Sweden)	0.2%	250	0.2%	56	0.0%	-	0.2%	56
Infosys Technologies (Shanghai) Company Limited (Infosys Shanghai)	0.3%	379	(0.2%)	(72)	0.0%	-	(0.2%)	(72)
Panaya Inc. (Panaya)	0.2%	189	(0.0%)	(8)	0.0%	-	(0.0%)	(8)
Infosys Nova Holdings LLC. (Infosys Nova)	2.6%	2,978	0.3%	89	0.0%	-	0.3%	89
Panaya Ltd	(0.1%)	(161)	0.6%	187	0.0%	-	0.6%	187
Infosys Financial Services GmbH (Formerly known as Panaya GmbH)	0.0%	4	0.0%	1	0.0%	-	0.0%	1
Infosys Middle East FZ LLC	(0.0%)	(8)	0.0%	3	1.9%	2	0.0%	5
Infosys Chile SpA	0.1%	59	0.1%	22	0.0%	-	0.1%	22
WongDoody, Inc	0.0%	-	0.2%	48	0.0%	-	0.2%	48
Fluido Oy	0.1%	151	0.1%	20	0.0%	-	0.1%	20
Fluido Sweden AB (Extero)	0.1%	78	0.1%	18	0.0%	-	0.1%	18
Fluido Norway A/S	0.1%	66	0.0%	10	0.0%	-	0.0%	10
Fluido Denmark A/S	(0.0%)	(8)	0.0%	7	0.0%	-	0.0%	7
Fluido Slovakia s.r.o	0.0%	7	0.0%	1	0.0%	-	0.0%	1
Infosys Fluido UK Ltd	(0.0%)	(4)	0.0%	10	0.0%	-	0.0%	10
Infosys Fluido Ireland Ltd	0.0%	7	0.0%	3	0.0%	-	0.0%	3
Infosys Consulting Holding AG	0.5%	582	0.5%	147	0.0%	-	0.5%	147
Infosys Management Consulting Pty Ltd	0.1%	72	0.1%	20	0.0%	-	0.1%	20
Infosys Consulting AG	0.1%	162	0.1%	33	3.8%	4	0.1%	37
Infosys Consulting (Belgium) NV	0.0%	-	0.0%	4	0.0%	-	0.0%	4
Infosys Consulting GmbH	0.1%	165	0.1%	33	0.0%	-	0.1%	33
Infosys Singapore Pte. Ltd	5.8%	6,782	(0.0%)	(1)	0.0%	-	(0.0%)	(1)
Infosys Consulting SAS	0.0%	10	0.0%	5	0.0%	-	0.0%	5
Infosys Consulting S.R.L. (Argentina)	(0.0%)	(17)	(0.1%)	(31)	0.0%	-	(0.1%)	(31)
Infosys Austria GMBH	0.0%	3	0.0%	4	0.0%	-	0.0%	4
Infy Consulting B.V.	0.1%	65	0.0%	7	0.0%	-	0.0%	7
Infosys Consulting Ltda	0.1%	167	0.2%	46	0.0%	-	0.2%	46
Infosys Consulting S.R.L.	0.1%	134	0.1%	26	0.0%	-	0.1%	26
Infosys McCamish Systems LLC	1.1%	1,233	0.3%	76	0.0%	-	0.3%	76
Stater N.V.	0.4%	432	0.5%	138	0.0%	-	0.5%	138
Stater Nederland B.V.	0.1%	133	(0.3%)	(78)	0.0%	-	(0.3%)	(78)
Stater XXL B.V.	0.0%	-	0.0%	-	0.0%	-	0.0%	-
HypoCasso B.V.	0.0%	23	0.0%	11	0.0%	-	0.0%	11

Name of entity	Net Assets		Share in profit or loss		Share in other comprehensive income		Share in total comprehensive income	
	as % age of consolidated net assets	Amount	as % age of consolidated profit or loss	Amount	as % age of consolidated other comprehensive income	Amount	as % age of consolidated total comprehensive income	Amount
Stater GmbH	(0.1%)	(61)	(0.1%)	(29)	0.0%	-	(0.1%)	(29)
Stater Belgium N.V./S.A.	0.1%	113	0.1%	20	1.0%	1	0.1%	21
Infosys South Africa (Pty) Ltd	0.0%	10	0.0%	-	0.0%	-	0.0%	-
Infosys Limited Bulgaria EOOD	0.0%	13	0.0%	5	0.0%	-	0.0%	5
Kaleidoscope Animations, Inc.	0.0%	-	0.2%	46	0.0%	-	0.2%	46
Blue Acorn iCi Inc (formerly known as Beringer Commerce Inc)	0.0%	-	0.2%	53	0.0%	-	0.2%	53
GuideVision, s.r.o..	0.1%	152	0.1%	41	0.0%	-	0.1%	41
GuideVision Deutschland GmbH	(0.0%)	(9)	0.0%	-	0.0%	-	0.0%	-
GuideVision Suomi Oy	(0.0%)	(3)	(0.0%)	(3)	0.0%	-	(0.0%)	(3)
GuideVision Magyarország Kft.	(0.0%)	(1)	(0.0%)	(1)	0.0%	-	(0.0%)	(1)
GuideVision Polska SP. Z O.O.	0.0%	-	0.0%	-	0.0%	-	0.0%	-
GuideVision UK Ltd	0.0%	2	0.0%	-	0.0%	-	0.0%	-
Infosys Germany Holding GmbH	0.0%	1	(0.0%)	(1)	0.0%	-	(0.0%)	(1)
Infosys Automotive and Mobility GmbH & Co. KG	(1.1%)	(1,239)	(0.8%)	(240)	1.0%	1	(0.8%)	(239)
Infosys Turkey Bilgi Teknolojikeri Limited Sirketi	0.0%	8	(0.1%)	(23)	0.0%	-	(0.1%)	(23)
Infosys Germany GmbH (formerly Kristall 247. GmbH ("Kristall"))	3.5%	4,065	(0.2%)	(53)	0.0%	-	(0.2%)	(53)
WongDoody GmbH (formerly known as oddity GmbH)	0.0%	36	(0.1%)	(17)	0.0%	-	(0.1%)	(17)
oddity (Shanghai) Co., Ltd.	0.0%	6	0.0%	1	0.0%	-	0.0%	1
oddity Limited(Taipei)	0.0%	1	0.0%	1	0.0%	-	0.0%	1
Wongdoody D.O.O	0.0%	6	0.0%	1	0.0%	-	0.0%	1
Infosys Business Solutions LLC	0.0%	48	0.1%	16	0.0%	-	0.1%	16
Panaya Germany GmbH	(0.0%)	(1)	0.0%	1	0.0%	-	0.0%	1
Infosys Arabia Limited	0.0%	4	0.0%	-	0.0%	-	0.0%	-
Infosys Norway	0.0%	1	0.0%	-	0.0%	-	0.0%	-
Outbox systems Inc. dba Simplus (US)	0.0%	-	0.1%	34	0.0%	-	0.1%	34
Simplus Australia Pty Ltd	0.0%	16	0.0%	12	0.0%	-	0.0%	12
Simplus Philippines, Inc.	0.0%	19	0.0%	4	0.0%	-	0.0%	4
Simplus ANZ Pty Ltd.	0.0%	-	0.0%	-	0.0%	-	0.0%	-
BASE life science AG	(0.0%)	(3)	(0.1%)	(28)	(2.9%)	(3)	(0.1%)	(31)
BASE life science GmbH	(0.0%)	(1)	0.0%	3	0.0%	-	0.0%	3
BASE life science A/S	0.0%	10	(0.3%)	(80)	0.0%	-	(0.3%)	(80)
BASE life science S.A.S	0.0%	2	0.0%	2	0.0%	-	0.0%	2
BASE life science Ltd.	0.0%	8	0.0%	3	0.0%	-	0.0%	3
BASE life science S.r.l.	(0.0%)	(1)	(0.0%)	(1)	0.0%	-	(0.0%)	(1)
Innovisor Inc.	0.0%	-	0.0%	-	0.0%	-	0.0%	-
BASE life science Inc.	(0.0%)	(2)	(0.0%)	(1)	0.0%	-	(0.0%)	(1)
BASE life science S.L.	0.0%	12	0.0%	5	0.0%	-	0.0%	5
Infosys Public Services, Inc. USA (Infosys Public Services)	1.5%	1,745	1.2%	338	0.0%	-	1.2%	338
Infosys Luxembourg S.a.r.l	0.0%	57	0.1%	17	0.0%	-	0.1%	17
Infosys Compaz PTE Ltd	0.3%	303	0.3%	87	0.0%	-	0.3%	87
Infy Consulting Company Limited	0.3%	334	0.3%	75	0.0%	-	0.3%	75
Infosys Poland Sp. Z.o.o	1.1%	1,227	0.5%	145	0.0%	-	0.5%	145
Portland Group Pty Ltd	0.0%	50	0.0%	-	0.0%	-	0.0%	-
Infosys BPO Americas LLC	0.1%	96	0.1%	18	0.0%	-	0.1%	18
Infosys (Czech Republic) Limited s.r.o.	0.1%	103	(0.0%)	(9)	0.0%	-	(0.0%)	(9)
HIPUS Co., Ltd	0.1%	149	0.1%	31	0.0%	-	0.1%	31
Global Enterprise International (Malaysia) Sdn. Bhd.	0.0%	25	0.0%	8	0.0%	-	0.0%	8
Infosys BPM UK Limited	0.0%	22	0.0%	-	0.0%	-	0.0%	-
Infosys Public Services Canada Inc.	0.0%	31	0.0%	7	0.0%	-	0.0%	7
Brilliant Basics Holdings Limited	0.1%	70	0.0%	1	0.0%	-	0.0%	1
Brilliant Basics Limited	0.0%	1	0.0%	-	0.0%	-	0.0%	-
Infy tech SAS	0.0%	-	0.0%	-	0.0%	-	0.0%	-
In-tech Automotive Engineering Shenyang Co. Ltd	0.0%	11	0.0%	2	0.0%	-	0.0%	2
In-tech Automotive Engineering Beijing Co., Ltd	0.0%	9	0.0%	1	0.0%	-	0.0%	1
in-tech Holding GmbH	0.1%	83	0.0%	5	0.0%	-	0.0%	5
in-tech GmbH	0.4%	471	0.1%	21	0.0%	-	0.1%	21
drivetechnik Fahrversuch GmbH	0.0%	6	0.0%	2	0.0%	-	0.0%	2
Friedrich & Wagner Asia Pacific GmbH	0.0%	-	0.0%	10	0.0%	-	0.0%	10
ProIT,S.R.L	0.0%	19	0.0%	3	0.0%	-	0.0%	3
in-tech Engineering services S.R.L, RO	0.0%	7	0.0%	1	0.0%	-	0.0%	1
in-tech Automotive Engineering SL	(0.0%)	(4)	0.0%	-	0.0%	-	0.0%	-
in-tech Engineering GmbH, Austria	0.0%	9	0.0%	3	0.0%	-	0.0%	3
in-tech Automotive Engineering LLC	0.0%	-	0.0%	-	0.0%	-	0.0%	-
Friedrich & Wagner Holding Inc.	(0.0%)	(2)	(0.0%)	(1)	0.0%	-	(0.0%)	(1)
in-tech Services LLC	0.0%	-	0.0%	-	0.0%	-	0.0%	-
in-tech Automotive Engineering de R.L. de C.V	0.0%	-	0.0%	-	0.0%	-	0.0%	-
in-tech Engineering s.r.o	0.0%	12	0.0%	2	0.0%	-	0.0%	2
in-tech Group Ltd	0.0%	7	0.0%	13	0.0%	-	0.0%	13
Blue Acorn Llc	0.0%	-	0.0%	-	0.0%	-	0.0%	-
Blitz 24-893 SE	0.0%	1	0.0%	-	0.0%	-	0.0%	-
Infosys Services (Thailand) Limited	0.0%	10	(0.0%)	(2)	0.0%	-	(0.0%)	(2)
WongDoody Holding Inc.	0.0%	-	0.0%	-	0.0%	-	0.0%	-
Subtotal	100.0%	116,072	100.0%	29,059	100.0%	105	100.0%	29,164
Adjustment arising out of consolidation		(20,129)		(2,328)		349		(1,979)
Controlled Trusts		(125)		(18)		-		(18)
		95,818		26,713		454		27,167
Non-controlling Interests		385		37		5		42
Total		96,203		26,750		459		27,209

2.26 SEGMENT REPORTING

Ind AS 108, Operating segments, establishes standards for the way that public business enterprises report information about operating segments and related disclosures about products and services, geographic areas, and major customers. The Group's operations predominantly relate to providing end-to-end business solutions to enable clients to enhance business performance. The Chief Operating Decision Maker (CODM) evaluates the Group's performance and allocates resources based on an analysis of various performance indicators by business segments. Accordingly, information has been presented along business segments. The accounting principles used in the preparation of the financial statements are consistently applied to record revenue and expenditure in individual segments, and are as set out in the accounting policies.

Business segments of the Group are primarily enterprises in Financial Services and Insurance, enterprises in Manufacturing, enterprises in Retail, Consumer Packaged Goods and Logistics, enterprises in the Energy, Utilities, Resources and Services, enterprises in Communication, Telecom OEM and Media, enterprises in Hi-Tech, enterprises in Life Sciences and Healthcare and all other segments. The Financial services reportable segments has been aggregated to include the Financial Services operating segment and Finacle operating segment because of the similarity of the economic characteristics. All other segments represent the operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services.

Revenue and identifiable operating expenses in relation to segments are categorized based on items that are individually identifiable to that segment. Revenue for 'all other segments' represents revenue generated by Infosys Public services and revenue generated from customers located in India, Japan and China and other enterprises in Public services. Allocated expenses of segments include expenses incurred for rendering services from the Group's offshore software development centers and on-site expenses, which are categorized in relation to the associated efforts of the segment. Certain expenses such as depreciation and amortization, which form a significant component of total expenses, are not specifically allocable to specific segments as the underlying assets are used interchangeably. The Management believes that it is not practical to provide segment disclosures relating to those costs and expenses, and accordingly these expenses are separately disclosed as "unallocated" and adjusted against the total income of the Group.

Assets and liabilities used in the Group's business are not identified to any of the reportable segments, as these are used interchangeably between segments. The Management believes that it is currently not practicable to provide segment disclosures relating to total assets and liabilities since a meaningful segregation of the available data is onerous.

Business segment revenue information is collated based on individual customers invoiced or in relation to which the revenue is otherwise recognized.

Disclosure of revenue by geographic locations is given in note 2.18 Revenue from operations.

Business Segments

Year ended March 31, 2025 and March 31, 2024:

(In ₹ crore)									
Particulars	Financial Services ⁽¹⁾	Retail ⁽²⁾	Communication ⁽³⁾	Energy, Utilities, Resources and Services	Manufacturing	Hi-Tech	Life Sciences ⁽⁴⁾	All other segments ⁽⁵⁾	Total
Revenue from operations	45,175	22,059	19,108	21,710	25,207	13,090	11,831	4,810	162,990
	42,158	22,504	17,991	20,035	22,298	12,411	11,515	4,758	153,670
Identifiable operating expenses	25,871	10,931	12,420	11,882	16,167	7,592	7,166	2,986	95,015
	24,782	11,704	11,071	10,838	14,596	7,232	6,716	2,938	89,877
Allocated expenses	8,205	3,995	3,347	3,731	4,184	2,278	2,002	997	28,739
	8,052	3,918	3,232	3,674	3,505	2,026	1,901	1,060	27,368
Segment operating income	11,099	7,133	3,341	6,097	4,856	3,220	2,663	827	39,236
	9,324	6,882	3,688	5,523	4,197	3,153	2,898	760	36,425
Unallocable expenses									4,812
									4,678
Other income, net									3,600
									4,711
Finance cost									416
									470
Profit before tax									37,608
									35,988
Income tax expense									10,858
									9,740
Net Profit									26,750
									26,248
Depreciation and amortization expense									4,812
									4,678
Non-cash expenses other than depreciation and amortization									—
									—

⁽¹⁾ Financial Services include enterprises in Financial Services and Insurance

⁽²⁾ Retail includes enterprises in Retail, Consumer Packaged Goods and Logistics

⁽³⁾ Communication includes enterprises in Communication, Telecom OEM and Media

⁽⁴⁾ Life Sciences includes enterprises in Life sciences and Health care

⁽⁵⁾ Others include operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services

Significant clients

No client individually accounted for more than 10% of the revenues for the year ended March 31, 2025 and March 31, 2024, respectively.

2.27 FUNCTION WISE CLASSIFICATION OF CONSOLIDATED STATEMENT OF PROFIT AND LOSS

(In ₹ crore)

Particulars	Note No.	Year ended March 31,	
		2025	2024
Revenue from operations	2.18	162,990	153,670
Cost of Sales		113,347	107,413
Gross profit		49,643	46,257
Operating expenses			
Selling and marketing expenses		7,588	6,973
General and administration expenses		7,631	7,537
Total operating expenses		15,219	14,510
Operating profit		34,424	31,747
Other income, net	2.19	3,600	4,711
Finance cost		416	470
Profit before tax		37,608	35,988
Tax expense:			
Current tax	2.17	12,130	8,390
Deferred tax	2.17	(1,272)	1,350
Profit for the period		26,750	26,248
Other comprehensive income			
<i>Items that will not be reclassified subsequently to profit or loss</i>			
Remeasurement of the net defined benefit liability/asset, net	2.22	(92)	120
Equity instruments through other comprehensive income, net	2.5	19	19
		(73)	139
<i>Items that will be reclassified subsequently to profit or loss</i>			
Fair value changes on derivatives designated as cash flow hedge, net	2.11	(24)	11
Exchange differences on translation of foreign operations, net		357	226
Fair value changes on investments, net	2.5	199	144
		532	381
Total other comprehensive income / (loss), net of tax		459	520
Total comprehensive income for the period		27,209	26,768
Profit attributable to:			
Owners of the Company		26,713	26,233
Non-controlling interests		37	15
		26,750	26,248
Total comprehensive income attributable to:			
Owners of the Company		27,167	26,754
Non-controlling interests		42	14
		27,209	26,768

for and on behalf of the Board of Directors of Infosys Limited

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

**INDEPENDENT AUDITOR'S REPORT
TO THE BOARD OF DIRECTORS OF INFOSYS LIMITED
Report on the Audit of the Interim Condensed Consolidated Financial Statements**

Opinion

We have audited the accompanying interim condensed consolidated financial statements of **INFOSYS LIMITED** (the "Company"), and its subsidiaries (the Company and its subsidiaries together referred to as the "Group"), which comprise the Condensed Consolidated Balance Sheet as at March 31, 2025, the Condensed Consolidated Statement of Profit and Loss (including Other Comprehensive Income) for the three months and year ended on that date, the Condensed Consolidated Statement of Changes in Equity and the Condensed Consolidated Statement of Cash Flows for the year ended on that date, and notes to the financial statements including a summary of the material accounting policies and other explanatory information (hereinafter referred to as the "interim condensed consolidated financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid interim condensed consolidated financial statements give a true and fair view in conformity with the Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34") prescribed under section 133 of the Companies Act, 2013 (the "Act"), read with relevant rules issued thereunder and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at March 31, 2025, its consolidated profit and its consolidated total comprehensive income for the three months and year ended on that date, its consolidated changes in equity and its consolidated cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the interim condensed consolidated financial statements in accordance with the Standards on Auditing ("SAs") specified under section 143 (10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Interim Condensed Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the interim condensed consolidated financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the interim condensed consolidated financial statements.

Responsibilities of Management and Board of Directors for the Interim Condensed Consolidated Financial Statements

The Company's Board of Directors is responsible for the preparation and presentation of these interim condensed consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated total comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with Ind AS 34 and other accounting principles generally accepted in India. The respective Boards of Directors of the entities included in the Group are responsible for maintenance of the adequate accounting records for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting



records, relevant to the preparation and presentation of the respective interim financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error which have been used for the purpose of preparation of the interim condensed consolidated financial statements by the Directors of the Company, as aforesaid.

In preparing the interim condensed consolidated financial statements, the respective Boards of Directors of the entities included in the Group are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Boards of Directors either intend to liquidate their own respective entities or to cease operations, or have no realistic alternative but to do so.

The respective Boards of Directors of the entities included in the Group are also responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Audit of the Interim Condensed Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the interim condensed consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these interim condensed consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the interim condensed consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the interim condensed consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.



- Evaluate the overall presentation, structure and content of the interim condensed consolidated financial statements, including the disclosures, and whether the interim condensed consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group to express an opinion on the interim condensed consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of financial statements of such entities included in the interim condensed consolidated financial statements of which we are independent auditors.

Materiality is the magnitude of misstatements in the interim condensed consolidated financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the interim condensed consolidated financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the interim condensed consolidated financial statements.

We also communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

For DELOITTE HASKINS & SELLS LLP

Chartered Accountants

(Firm's Registration No. 117366W/W-100018)

Vikas Bagaria

Partner

(Membership No.060408)

UDIN:

Place: Bengaluru

Date: April 17, 2025

INFOSYS LIMITED AND SUBSIDIARIES

Condensed Consolidated Financial Statements under Indian Accounting Standards (Ind AS) for the three months and year ended March 31, 2025

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INFOSYS LIMITED AND SUBSIDIARIES
(In ₹ crore)

Condensed Consolidated Balance Sheets as at	Note No.	March 31, 2025	March 31, 2024
ASSETS			
Non-current assets			
Property, plant and equipment	2.2	11,778	12,370
Right-of-use assets	2.19	6,311	6,552
Capital work-in-progress		814	293
Goodwill	2.3	10,106	7,303
Other intangible assets		2,766	1,397
Financial assets			
Investments	2.4	11,059	11,708
Loans	2.5	16	34
Other financial assets	2.6	3,511	3,105
Deferred tax assets (net)		1,108	454
Income tax assets (net)		1,622	3,045
Other non-current assets	2.9	2,713	2,121
Total non-current assets		51,804	48,382
Current assets			
Financial assets			
Investments	2.4	12,482	12,915
Trade receivables	2.7	31,158	30,193
Cash and cash equivalents	2.8	24,455	14,786
Loans	2.5	249	248
Other financial assets	2.6	13,840	12,085
Income tax assets (net)		2,975	6,397
Other current assets	2.9	11,940	12,808
Total current assets		97,099	89,432
Total assets		148,903	137,814
EQUITY AND LIABILITIES			
Equity			
Equity share capital	2.11	2,073	2,071
Other equity		93,745	86,045
Total equity attributable to equity holders of the Company		95,818	88,116
Non-controlling interests		385	345
Total equity		96,203	88,461
Liabilities			
Non-current liabilities			
Financial Liabilities			
Lease liabilities	2.19	5,772	6,400
Other financial liabilities	2.12	2,141	2,130
Deferred tax liabilities (net)		1,722	1,794
Other non-current liabilities	2.13	215	235
Total non-current liabilities		9,850	10,559
Current liabilities			
Financial Liabilities			
Lease liabilities	2.19	2,455	1,959
Trade payables		4,164	3,956
Other financial liabilities	2.12	18,138	16,959
Other current liabilities	2.13	11,765	10,539
Provisions	2.14	1,475	1,796
Income tax liabilities (net)		4,853	3,585
Total current liabilities		42,850	38,794
Total equity and liabilities		148,903	137,814

The accompanying notes form an integral part of the interim condensed consolidated financial statements

As per our report of even date attached

for Deloitte Haskins & Sells LLP

for and on behalf of the Board of Directors of Infosys Limited

Chartered Accountants

Firm's Registration No :

117366W/ W-100018

Vikas Bagaria
Partner
Membership No. 060408

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INFOSYS LIMITED AND SUBSIDIARIES
(In ₹ crore, except equity share and per equity share data)

Condensed Consolidated Statement of Profit and Loss for the	Note No.	Three months ended March 31,		Year ended March 31,	
		2025	2024	2025	2024
Revenue from operations	2.16	40,925	37,923	162,990	153,670
Other income, net	2.17	1,190	2,729	3,600	4,711
Total income		42,115	40,652	166,590	158,381
Expenses					
Employee benefit expenses	2.18	22,015	20,393	85,950	82,620
Cost of technical sub-contractors		3,276	2,967	12,937	12,232
Travel expenses		520	471	1,894	1,759
Cost of software packages and others	2.18	3,899	3,687	15,911	13,515
Communication expenses		147	147	620	677
Consultancy and professional charges		301	489	1,655	1,726
Depreciation and amortization expenses		1,299	1,163	4,812	4,678
Finance cost		102	110	416	470
Other expenses	2.18	893	985	4,787	4,716
Total expenses		32,452	30,412	128,982	122,393
Profit before tax		9,663	10,240	37,608	35,988
Tax expense:					
Current tax	2.15	2,784	1,173	12,130	8,390
Deferred tax	2.15	(159)	1,092	(1,272)	1,350
Profit for the period		7,038	7,975	26,750	26,248
Other comprehensive income					
<i>Items that will not be reclassified subsequently to profit or loss</i>					
Remeasurement of the net defined benefit liability/asset, net		(145)	26	(92)	120
Equity instruments through other comprehensive income, net		29	(12)	19	19
		(116)	14	(73)	139
<i>Items that will be reclassified subsequently to profit or loss</i>					
Fair value changes on derivatives designated as cash flow hedge, net		(56)	28	(24)	11
Exchange differences on translation of foreign operations		384	(231)	357	226
Fair value changes on investments, net		63	37	199	144
		391	(166)	532	381
Total other comprehensive income /(loss), net of tax		275	(152)	459	520
Total comprehensive income for the period		7,313	7,823	27,209	26,768
Profit attributable to:					
Owners of the Company		7,033	7,969	26,713	26,233
Non-controlling interests		5	6	37	15
		7,038	7,975	26,750	26,248
Total comprehensive income attributable to:					
Owners of the Company		7,304	7,821	27,167	26,754
Non-controlling interests		9	2	42	14
		7,313	7,823	27,209	26,768
Earnings per equity share					
Equity shares of par value ₹5/- each					
Basic (₹)		16.98	19.25	64.50	63.39
Diluted (₹)		16.94	19.22	64.34	63.29
Weighted average equity shares used in computing earnings per equity share					
Basic (in shares)	2.20	4,142,429,577	4,139,432,133	4,141,611,738	4,138,568,090
Diluted (in shares)	2.20	4,151,537,321	4,145,052,370	4,152,051,184	4,144,680,425

The accompanying notes form an integral part of the interim condensed consolidated financial statements

As per our report of even date attached

for Deloitte Haskins & Sells LLP

for and on behalf of the Board of Directors of Infosys Limited

Chartered Accountants

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Vikas Bagaria
Partner
Membership No. 060408

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Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INFOSYS LIMITED AND SUBSIDIARIES
Condensed Consolidated Statement of Changes in Equity
(In ₹ crore)

Particulars	OTHER EQUITY															
	Equity Share capital ⁽¹⁾	Reserves & Surplus								Other comprehensive income				Total equity attributable to equity holders of the Company	Non-controlling interest	Total equity
		Capital reserve	Capital redemption reserve	Securities Premium	Retained earnings	General reserve	Share Options Outstanding Account	Special Economic Zone Re-investment reserve ⁽²⁾	Other reserves ⁽³⁾	Equity instruments through other comprehensive income	Exchange differences on translating the financial statements of a foreign operation	Effective portion of Cash Flow Hedges	Other items of other comprehensive income / (loss)			
Balance as at April 1, 2023	2,069	54	169	166	58,957	1,054	878	10,014	19	247	2,325	(5)	(540)	75,407	388	75,795
Changes in equity for the year ended March 31, 2024																
Profit for the period	—	—	—	—	26,233	—	—	—	—	—	—	—	—	26,233	15	26,248
Remeasurement of the net defined benefit liability/asset, net*	—	—	—	—	—	—	—	—	—	—	—	—	120	120	—	120
Equity instruments through other comprehensive income, net*	—	—	—	—	—	—	—	—	—	19	—	—	—	19	—	19
Fair value changes on derivatives designated as cash flow hedge, net*	—	—	—	—	—	—	—	—	—	—	—	11	—	11	—	11
Exchange differences on translation of foreign operations	—	—	—	—	—	—	—	—	—	—	227	—	—	227	(1)	226
Fair value changes on investments, net*	—	—	—	—	—	—	—	—	—	—	—	—	144	144	—	144
Total Comprehensive income for the period	—	—	—	—	26,233	—	—	—	—	19	227	11	264	26,754	14	26,768
Shares issued on exercise of employee stock options (Refer to Note 2.11)	2	—	—	3	—	—	—	—	—	—	—	—	—	5	—	5
Employee stock compensation expense (Refer to Note 2.11)	—	—	—	—	—	—	639	—	—	—	—	—	—	639	—	639
Transferred on account of exercise of stock options (Refer to note 2.11)	—	—	—	447	—	—	(447)	—	—	—	—	—	—	—	—	—
Transferred on account of options not exercised	—	—	—	—	—	160	(160)	—	—	—	—	—	—	—	—	—
Income tax benefit arising on exercise of stock options	—	—	—	—	—	—	3	—	—	—	—	—	—	3	—	3
Transfer to legal reserve	—	—	—	—	(3)	—	—	—	3	—	—	—	—	—	—	—
Dividends ⁽¹⁾	—	—	—	—	(14,692)	—	—	—	—	—	—	—	—	(14,692)	—	(14,692)
Dividends paid to non controlling interest of subsidiary	—	—	—	—	—	—	—	—	—	—	—	—	—	—	(39)	(39)
Buyback of shares pertaining to non controlling interest of subsidiary	—	—	—	—	—	—	—	—	—	—	—	—	—	—	(18)	(18)
Transferred to Special Economic Zone Re-investment reserve	—	—	—	—	(2,957)	—	—	2,957	—	—	—	—	—	—	—	—
Transferred from Special Economic Zone Re-investment reserve on utilization	—	—	—	—	867	—	—	(867)	—	—	—	—	—	—	—	—
Balance as at March 31, 2024	2,071	54	169	616	68,405	1,214	913	12,104	22	266	2,552	6	(276)	88,116	345	88,461

Condensed Consolidated Statement of Changes in Equity (contd.)

(In ₹ crore)

Particulars	OTHER EQUITY														Total equity attributable to equity holders of the Company	Non-controlling interest	Total equity
	Equity Share capital ⁽¹⁾	Capital reserve	Capital redemption reserve	Securities Premium	Reserves & Surplus		Share Options Outstanding Account	Special Economic Zone Re-investment reserve ⁽²⁾	Other reserves ⁽³⁾	Equity instruments through other comprehensive income	Other comprehensive income		Other items of other comprehensive income / (loss)				
					Retained earnings	General reserve					Exchange differences on translating the financial statements of a foreign operation	Effective portion of Cash Flow Hedges					
Balance as at April 1, 2024	2,071	54	169	616	68,405	1,214	913	12,104	22	266	2,552	6	(276)	88,116	345	88,461	
Changes in equity for the year ended March 31, 2025																	
Profit for the period	—	—	—	—	26,713	—	—	—	—	—	—	—	—	26,713	37	26,750	
Remeasurement of the net defined benefit liability/asset, net*	—	—	—	—	—	—	—	—	—	—	—	—	(92)	(92)	—	(92)	
Equity instruments through other comprehensive income, net*	—	—	—	—	—	—	—	—	—	19	—	—	—	19	—	19	
Fair value changes on derivatives designated as cash flow hedge, net*	—	—	—	—	—	—	—	—	—	—	—	(24)	—	(24)	—	(24)	
Exchange differences on translation of foreign operations	—	—	—	—	—	—	—	—	—	—	352	—	—	352	5	357	
Fair value changes on investments, net*	—	—	—	—	—	—	—	—	—	—	—	—	199	199	—	199	
Total Comprehensive income for the period	—	—	—	—	26,713	—	—	—	—	19	352	(24)	107	27,167	42	27,209	
Shares issued on exercise of employee stock options (Refer to Note 2.11)	2	—	—	4	—	—	—	—	—	—	—	—	—	6	—	6	
Employee stock compensation expense (Refer to Note 2.11)	—	—	—	—	—	—	785	—	—	—	—	—	—	785	—	785	
Transferred on account of exercise of stock options (Refer to Note 2.11)	—	—	—	471	—	—	(471)	—	—	—	—	—	—	—	—	—	
Transferred on account of options not exercised	—	—	—	—	—	198	(198)	—	—	—	—	—	—	—	—	—	
Income tax benefit arising on exercise of stock options	—	—	—	—	—	—	39	—	—	—	—	—	—	39	—	39	
Transfer to legal reserve	—	—	—	—	(2)	—	—	—	2	—	—	—	—	—	—	—	
Dividends ⁽¹⁾	—	—	—	—	(20,295)	—	—	—	—	—	—	—	—	(20,295)	—	(20,295)	
Dividends paid to non controlling interest of subsidiary	—	—	—	—	—	—	—	—	—	—	—	—	—	—	(2)	(2)	
Transferred to Special Economic Zone Re-investment reserve	—	—	—	—	(74)	—	—	74	—	—	—	—	—	—	—	—	
Transferred from Special Economic Zone Re-investment reserve to retained earnings	—	—	—	—	2,999	—	—	(2,999)	—	—	—	—	—	—	—	—	
Transferred from Special Economic Zone Re-investment reserve on utilization	—	—	—	—	881	—	—	(881)	—	—	—	—	—	—	—	—	
Balance as at March 31, 2025	2,073	54	169	1,091	78,627	1,412	1,068	8,298	24	285	2,904	(18)	(169)	95,818	385	96,203	

* Net of tax

⁽¹⁾ Net of treasury shares⁽²⁾ The Special Economic Zone Re-investment Reserve has been created out of the profit of eligible SEZ units in terms of the provisions of Sec 10AA(1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Group for acquiring new plant and machinery for the purpose of its business in the terms of the Sec 10AA(2) of the Income Tax Act, 1961.⁽³⁾ Under the Swiss Code of Obligation, few subsidiaries of Infosys Consulting are required to appropriate a certain percentage of the annual profit to legal reserve which may be used only to cover losses or for measures designed to sustain the Company through difficult times, to prevent unemployment or to mitigate its consequences.

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As per our report of even date attached

for Deloitte Haskins & Sells LLP

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for and on behalf of the Board of Directors of Infosys Limited

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DIN: 00041245

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and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918

INFOSYS LIMITED AND SUBSIDIARIES

Condensed Consolidated Statement of Cash Flows

Accounting policy

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Group are segregated. The Group considers all highly liquid investments that are readily convertible to known amounts of cash to be cash equivalents.

(In ₹ crore)			
Particulars	Note No.	Year ended March 31,	
		2025	2024
Cash flow from operating activities			
Profit for the period		26,750	26,248
Adjustments to reconcile net profit to net cash provided by operating activities:			
Income tax expense	2.15	10,858	9,740
Depreciation and amortization		4,812	4,678
Interest and dividend income		(2,570)	(2,067)
Finance cost		416	470
Impairment loss recognized / (reversed) under expected credit loss model		48	121
Exchange differences on translation of assets and liabilities, net		79	76
Stock compensation expense		802	652
Interest receivable on income tax refund		(327)	(1,934)
Provision for post sale client support		(110)	75
Other adjustments		833	1,464
Changes in assets and liabilities			
Trade receivables and unbilled revenue		(1,769)	(2,667)
Loans, other financial assets and other assets		(1,024)	(1,172)
Trade payables		176	91
Other financial liabilities, other liabilities and provisions		2,322	(1,334)
Cash generated from operations		41,296	34,441
Income taxes paid		(5,602)	(9,231)
Net cash generated by operating activities		35,694	25,210
Cash flows from investing activities			
Expenditure on property, plant and equipment and intangibles		(2,237)	(2,201)
Deposits placed with corporation		(1,225)	(847)
Redemption of deposits placed with Corporation		776	710
Interest and dividend received		2,040	1,768
Payment towards acquisition of business, net of cash acquired	2.1	(3,155)	—
Payment of contingent consideration pertaining to acquisition of business		—	(101)
Other receipts		10	128
Payments to acquire Investments			
Tax free bonds and government bonds		(2)	—
Liquid mutual fund units		(73,048)	(66,191)
Certificates of deposit		(6,978)	(8,509)
Commercial Papers		(6,403)	(10,387)
Non-convertible debentures		(3,240)	(1,526)
Other Investments		(60)	(14)
Proceeds on sale of Investments			
Tax free bonds and government bonds		109	150
Liquid mutual funds units		73,987	64,767
Certificates of deposit		6,688	9,205
Commercial Papers		7,735	6,479
Non-convertible debentures		2,591	1,230
Government securities		455	304
Equity and preference securities		—	26
Others		11	—
Net cash generated / (used in) from investing activities		(1,946)	(5,009)

Cash flows from financing activities

Payment of lease liabilities		(2,355)	(2,024)
Payment of dividends		(20,287)	(14,692)
Loan repayment of in-tech Holding GmbH (<i>Refer to Note 2.1</i>)		(985)	—
Payment of dividend to non-controlling interest of subsidiary		(2)	(39)
Payment towards buyback of shares pertaining to non controlling interest of subsidiary		—	(18)
Shares issued on exercise of employee stock options		6	5
Other payments		(538)	(736)
Net cash used in financing activities		(24,161)	(17,504)
Net increase / (decrease) in cash and cash equivalents		9,587	2,697
Effect of exchange rate changes on cash and cash equivalents		82	(84)
Cash and cash equivalents at the beginning of the period	2.8	14,786	12,173
Cash and cash equivalents at the end of the period	2.8	24,455	14,786
Supplementary information:			
Restricted cash balance	2.8	424	348

The accompanying notes form an integral part of the interim condensed consolidated financial statements

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for and on behalf of the Board of Directors of Infosys Limited

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Director

DIN: 00019437

Bengaluru

April 17, 2025

Jayesh Sanghrajka

Chief Financial Officer

A.G.S. Manikantha

Company Secretary

Membership No. A21918

INFOSYS LIMITED AND SUBSIDIARIES

Overview and notes to the Interim Condensed Consolidated Financial Statements

1. Overview

1.1 Company overview

Infosys Limited ('the Company' or Infosys) provides consulting, technology, outsourcing and next-generation digital services, to enable clients to execute strategies for their digital transformation. Infosys strategic objective is to build a sustainable organization that remains relevant to the agenda of clients, while creating growth opportunities for employees and generating profitable returns for investors. Infosys strategy is to be a navigator for our clients as they ideate, plan and execute on their journey to a digital future.

Infosys together with its subsidiaries and controlled trusts is hereinafter referred to as the "Group".

The Company is a public limited company incorporated and domiciled in India and has its registered office at Electronics city, Hosur Road, Bengaluru 560100, Karnataka, India. The Company has its primary listings on the BSE Ltd. and National Stock Exchange of India Limited. The Company's American Depositary Shares (ADS) representing equity shares are listed on the New York Stock Exchange (NYSE).

The Group's interim condensed consolidated financial statements are approved for issue by the Company's Board of Directors on April 17, 2025.

1.2 Basis of preparation of financial statements

These interim condensed consolidated financial statements are prepared in compliance with Indian Accounting Standard (Ind AS) 34 Interim Financial Reporting, under the historical cost convention on accrual basis except for certain financial instruments which are measured at fair values and defined benefit liability/(asset) which is recognised at the present value of defined benefit obligation less fair value of plan assets, the provisions of the Companies Act, 2013 ('the Act') and guidelines issued by the Securities and Exchange Board of India (SEBI). Accordingly, these interim condensed consolidated financial statements do not include all the information required for a complete set of financial statements. These interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in the Company's Annual Report for the year ended March 31, 2024. The Ind AS are prescribed under Section 133 of the Act read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 and relevant amendment rules issued thereafter.

Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use. The material accounting policy information used in preparation of the audited interim condensed consolidated financial statements have been discussed in the respective notes.

As the quarter and year-to-date figures are taken from the source and rounded to the nearest digits, the quarter figures in this statement added up to the figures reported for the previous quarters might not always add up to the year-to-date figures reported in this statement.

1.3 Basis of consolidation

Infosys consolidates entities which it owns or controls. The interim condensed consolidated financial statements comprise the financial statements of the Company, its controlled trusts and its subsidiaries. Control exists when the parent has power over the entity, is exposed, or has rights to variable returns from its involvement with the entity and has the ability to affect those returns by using its power over the entity. Power is demonstrated through existing rights that give the ability to direct relevant activities, those which significantly affect the entity's returns. Subsidiaries are consolidated from the date control commences until the date control ceases.

The financial statements of the Group companies are consolidated on a line-by-line basis and intra-group balances and transactions including unrealized gain / loss from such transactions are eliminated upon consolidation. These financial statements are prepared by applying uniform accounting policies in use at the Group. Non-controlling interests which represent part of the net profit or loss and net assets of subsidiaries that are not, directly or indirectly, owned or controlled by the Company, are excluded.

1.4 Use of estimates and judgments

The preparation of the interim condensed consolidated financial statements in conformity with Ind AS requires the Management to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the interim condensed consolidated financial statements and reported amounts of revenues and expenses during the period. The application of accounting policies that require critical accounting estimates involving complex and subjective judgments and the use of assumptions in these financial statements have been disclosed in *Note no. 1.5*. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as Management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates and judgements are reflected in the interim condensed consolidated financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the interim condensed consolidated financial statements.

1.5 Critical accounting estimates and judgments

a. Revenue recognition

The Group's contracts with customers include promises to transfer multiple products and services to a customer. Revenues from customer contracts are considered for recognition and measurement when the contract has been approved, in writing, by the parties to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligations to determine the deliverables and the ability of the customer to benefit independently from such deliverables, and allocation of transaction price to these distinct performance obligations involves significant judgment.

Fixed price maintenance revenue is recognized ratably on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period. Revenue from fixed price maintenance contract is recognized ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of the contract because the services are generally discrete in nature and not repetitive. The use of method to recognize the maintenance revenues requires judgment and is based on the promises in the contract and nature of the deliverables.

The Group uses the percentage-of-completion method in accounting for other fixed-price contracts. Use of the percentage-of-completion method requires the Group to determine the actual efforts or costs expended to date as a proportion of the estimated total efforts or costs to be incurred. Efforts or costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. The estimation of total efforts or costs involves significant judgment and is assessed throughout the period of the contract to reflect any changes based on the latest available information.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

b. Income taxes

The Group's two major tax jurisdictions are India and the United States, though the Company also files tax returns in other overseas jurisdictions.

Significant judgments are involved in determining the provision for income taxes, including amount expected to be paid / recovered for uncertain tax positions.

In assessing the realizability of deferred income tax assets, the Management considers whether some portion or all of the deferred income tax assets will not be realized. The ultimate realization of deferred income tax assets is dependent upon the generation of future taxable income during the periods in which the temporary differences become deductible. Management considers the scheduled reversals of deferred income tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred income tax assets are deductible, the Management believes that the Group will realize the benefits of those deductible differences. The amount of the deferred income tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carry forward period are reduced (*Refer to Notes 2.15*).

c. Business combinations and intangible assets

Business combinations are accounted for using Ind AS 103, Business Combinations. Ind AS 103 requires us to fair value identifiable intangible assets and contingent consideration to ascertain the net fair value of identifiable assets, liabilities and contingent liabilities of the acquiree. These valuations are conducted by external valuation experts. Estimates are required to be made in determining the value of contingent consideration, value of option arrangements and intangible assets. These measurements are based on information available at the acquisition date and are based on expectations and assumptions that have been deemed reasonable by the Management (*Refer to Note 2.1 and 2.3.2*).

d. Property, plant and equipment

Property, plant and equipment represent a significant proportion of the asset base of the Group. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of Group's assets are determined by the Management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology (*Refer to Note 2.2*).

e. Impairment of Goodwill

Goodwill is tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit (CGUs) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or groups of CGUs which benefit from the synergies of the acquisition and which represent the lowest level at which goodwill is monitored for internal management purposes.

The recoverable amount of CGUs is determined based on higher of value-in-use and fair value less cost to sell. Key assumptions in the cash flow projections are prepared based on current economic conditions and comprises estimated long term growth rates, weighted average cost of capital and estimated operating margins (*Refer to note 2.3*).

2. Notes to the Interim Condensed Consolidated Financial Statements

2.1 BUSINESS COMBINATIONS

Accounting policy

Business combinations have been accounted for using the acquisition method under the provisions of Ind AS 103, Business Combinations.

The purchase price in an acquisition is measured at the fair value of the assets transferred, equity instruments issued and liabilities incurred or assumed at the date of acquisition, which is the date on which control is transferred to the Group. The purchase price also includes the fair value of any contingent consideration. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair value on the date of acquisition. Contingent consideration is remeasured at fair value at each reporting date and changes in the fair value of the contingent consideration are recognized in the interim condensed Consolidated Statement of Profit and Loss.

The interest of non-controlling shareholders is initially measured either at fair value or at the non-controlling interests' proportionate share of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity of subsidiaries.

Business combinations between entities under common control is accounted for at carrying value of the assets acquired and liabilities assumed in the Group's consolidated financial statements.

The payments related to options issued by the Group over the non-controlling interests in its subsidiaries are accounted as financial liabilities and initially recognized at the estimated present value of gross obligations. Such options are subsequently measured at fair value in order to reflect the amount payable under the option at the date at which it becomes exercisable. In the event that the option expires unexercised, the liability is derecognized.

Acquisition

InSemi

On May 10, 2024, Infosys Ltd acquired 100% voting interests in InSemi Technology Services Private Limited, a semiconductor design services company headquartered in India. This acquisition is expected to strengthen our expertise in semiconductor ecosystem and Engineering R&D services.

The purchase price is allocated to assets acquired and liabilities assumed based upon determination of fair values at the date of acquisition as follows:

(In ₹ crore)			
Component	Acquiree's carrying amount	Fair value adjustments	Purchase price allocated
Net Assets ⁽¹⁾	40	-	40
Intangible assets:			
Customer related [#]	-	60	60
Brand [#]	-	13	13
Deferred tax liabilities on intangible assets	-	(18)	(18)
Total			95
Goodwill			103
Total purchase price			198

⁽¹⁾ Includes cash and cash equivalents acquired of ₹ 41 crore.

[#] The estimated useful life is around 1 year to 5 years

The excess of the purchase consideration paid over the fair value of assets acquired has been attributed to goodwill. The primary items that generated this goodwill are the value of the acquired assembled workforce and estimated synergies, neither of which qualify as an intangible asset.

Goodwill is not tax-deductible.

The purchase consideration of ₹198 crore includes cash of ₹168 crore and contingent consideration with an estimated fair value of ₹30 crore as on the date of acquisition.

At the acquisition date, the key inputs used in determination of the fair value of contingent consideration are the probabilities assigned towards achievement of financial targets and discount rate of 5.9%. The undiscounted value of contingent consideration as of March 31, 2025 was ₹33 crore.

Additionally, this acquisition has retention bonus and management incentive payable to the employees of the acquiree over three years, subject to their continuous employment with the Group and achievement of financial targets for the respective years. Bonus and incentives are recognized in employee benefit expenses in the Statement of Profit and loss over the period of service.

Fair value of trade receivables acquired is ₹32 crore as of acquisition date and as of March 31, 2025 the amounts are substantially collected.

Transaction costs that the Group incurs in connection with a business combination such as finder's fees, legal fees, due diligence fees, and other professional and consulting fees are expensed as incurred. The transaction costs of ₹2 crore related to the acquisition have been included under administrative expenses in the Consolidated Statement of Profit and loss for the three months ended June 30, 2024.

in-tech Holding GmbH

On July 17, 2024, Infosys Germany GmbH wholly owned step down subsidiary of Infosys Limited acquired 100% voting interests in in-tech Holding GmbH, a leading provider of engineering R&D services headquartered in Germany. This acquisition is expected to strengthen Infosys' engineering R&D capabilities and reaffirms its continued commitment to global clients to navigate their digital engineering journey.

The purchase price is allocated to assets acquired and liabilities assumed based upon determination of fair values at the date of acquisition as follows:

(In ₹ crore)			
Component	Acquiree's carrying amount	Fair value adjustments	Purchase price allocated
Assets ⁽¹⁾	731	-	731
Liabilities	(364)	-	(364)
Intangible assets:			
Customer related [#]	-	1,720	1,720
Brand [#]	-	147	147
Deferred tax liabilities on intangible assets	-	(511)	(511)
Goodwill	-	-	2,490
Loan	(985)		(985)
Total purchase price			3,228
Loan repayment			985
Total cash outflow			4,213

⁽¹⁾ Includes cash and cash equivalents acquired of ₹197 crore.

[#] The estimated useful life is around 6 years to 10 years

The excess of the purchase consideration paid over the fair value of assets acquired has been attributed to goodwill. The primary items that generated this goodwill are the value of the acquired assembled workforce and estimated synergies, neither of which qualify as an intangible asset.

Goodwill is not tax-deductible.

The total purchase consideration of EUR 356 million (₹3,228 crore) comprises the cash consideration paid to selling shareholders at the acquisition date.

Additionally, this acquisition has retention bonus and management incentive payable to the employees of the acquiree over two to five years, subject to their continuous employment with the Group and achievement of financial targets for the respective years. Bonus and incentives are recognized in employee benefit expenses in the Consolidated Statement of Profit and loss over the period of service.

Fair value of trade receivables acquired is ₹139 crore as of acquisition date and as of March 31, 2025 the amounts are substantially collected.

Transaction costs that the Group incurs in connection with a business combination such as finder's fees, legal fees, due diligence fees, and other professional and consulting fees are expensed as incurred. The transaction costs of ₹4 crore related to the acquisition have been included under administrative expenses in the Consolidated Statement of Profit and loss for the quarter ended September 30, 2024.

Proposed acquisitions

On April 17, 2025, Infosys Singapore Pte Ltd., a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the equity share capital of The Missing Link, a leading Cybersecurity service provider headquartered in Australia, for a consideration including earn-outs amounting up to AUD 98 million (approximately ₹527 crore), excluding management incentives, and retention bonus, subject to customary closing adjustments.

On April 17, 2025, Infosys Nova Holdings LLC, a wholly-owned step down subsidiary of Infosys Limited, entered into a definitive agreement to acquire 100% of the partnership interests of MRE Consulting Ltd, a leading Energy Consulting company, headquartered in USA, for a consideration including earn-outs amounting up to \$36 million (approximately ₹308 crore), excluding management incentives, and retention bonus, subject to customary closing adjustments. To consummate this transaction, Infosys Nova Holdings LLC has simultaneously incorporated an entity Infosys Energy Consulting Services LLC.

2.2 PROPERTY, PLANT AND EQUIPMENT

Accounting policy

Property, plant and equipment are stated at cost, less accumulated depreciation and impairment, if any. Costs directly attributable to acquisition are capitalized until the property, plant and equipment are ready for use, as intended by the Management. The charge in respect of periodic depreciation is derived at after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The Group depreciates property, plant and equipment over their estimated useful lives using the straight-line method. The estimated useful lives of assets are as follows:

Buildings ⁽¹⁾	22-25 years
Plant and machinery ⁽¹⁾⁽²⁾	5 years
Office equipment	5 years
Computer equipment ⁽¹⁾	3-5 years
Furniture and fixtures ⁽¹⁾	5 years
Vehicles ⁽¹⁾	5 years
Leasehold improvements	Lower of useful life of the asset or lease term

⁽¹⁾ Based on technical evaluation, the Management believes that the useful lives as given above best represent the period over which the Management expects to use these assets. Hence, the useful lives for these assets is different from the useful lives as prescribed under Part C of Schedule II of the Companies Act 2013

⁽²⁾ Includes Solar plant with a useful life of 25 years

Depreciation methods, useful lives and residual values are reviewed periodically, including at each financial year end. The useful lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology.

Advances paid towards the acquisition of property, plant and equipment outstanding at each Balance Sheet date is classified as capital advances under other non-current assets and the cost of assets not ready to use before such date are disclosed under 'Capital work-in-progress'. Subsequent expenditures relating to property, plant and equipment is capitalized only when it is probable that future economic benefits associated with these will flow to the Group and the cost of the item can be measured reliably. The cost and related accumulated depreciation are eliminated from the financial statements upon sale or retirement of the asset.

Impairment

Property, plant and equipment are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in the Consolidated Statement of Profit and Loss is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in the Consolidated Statement of Profit and Loss if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated depreciation) had no impairment loss been recognized for the asset in prior years.

The changes in the carrying value of property, plant and equipment for the three months ended March 31, 2025 are as follows:

Particulars	(In ₹ crore)							
	Land - Freehold	Buildings ⁽¹⁾	Plant and machinery	Office Equipment	Computer equipment	Furniture and fixtures	Leasehold Improvements	Vehicles
Gross carrying value as at January 1, 2025	1,432	11,716	3,459	1,608	8,734	2,371	1,451	48
Additions	47	5	11	31	697	12	40	—
Additions on Business Combinations (Refer to note 2.1)	—	—	—	—	—	—	—	—
Deletions**	—	(6)	(9)	(13)	(140)	(46)	(189)	—
Translation difference	—	6	—	2	15	3	5	—
Gross carrying value as at March 31, 2025	1,479	11,721	3,461	1,628	9,306	2,340	1,307	48
Accumulated depreciation as at January 1, 2025	—	(5,247)	(2,774)	(1,319)	(6,846)	(1,930)	(1,171)	(43)
Depreciation	—	(109)	(47)	(30)	(292)	(41)	(30)	—
Accumulated depreciation on deletions**	—	1	9	13	133	44	187	—
Translation difference	—	(3)	(1)	(1)	(8)	(2)	(5)	—
Accumulated depreciation as at March 31, 2025	—	(5,358)	(2,813)	(1,337)	(7,013)	(1,929)	(1,019)	(43)
Carrying value as at January 1, 2025	1,432	6,469	685	289	1,888	441	280	5
Carrying value as at March 31, 2025	1,479	6,363	648	291	2,293	411	288	5

The changes in the carrying value of property, plant and equipment for the three months ended March 31, 2024 are as follows:

Particulars	(In ₹ crore)							
	Land - Freehold	Buildings ⁽¹⁾	Plant and machinery	Office Equipment	Computer equipment	Furniture and fixtures	Leasehold Improvements	Vehicles
Gross carrying value as at January 1, 2024	1,432	11,498	3,305	1,510	8,497	2,308	1,456	45
Additions	—	287	140	33	345	54	35	—
Deletions*	—	—	(16)	(14)	(224)	(34)	(37)	—
Translation difference	—	(15)	(1)	(1)	(7)	(2)	(7)	—
Gross carrying value as at March 31, 2024	1,432	11,770	3,428	1,528	8,611	2,326	1,447	45
Accumulated depreciation as at January 1, 2024	—	(4,814)	(2,584)	(1,253)	(6,267)	(1,807)	(1,131)	(42)
Depreciation	—	(111)	(63)	(32)	(336)	(58)	(46)	—
Accumulated depreciation on deletions*	—	—	16	14	219	26	34	—
Translation difference	—	4	1	2	4	2	5	—
Accumulated depreciation as at March 31, 2024	—	(4,921)	(2,630)	(1,269)	(6,380)	(1,837)	(1,138)	(42)
Carrying value as at January 1, 2024	1,432	6,684	721	257	2,230	501	325	3
Carrying value as at March 31, 2024	1,432	6,849	798	259	2,231	489	309	3

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2025 are as follows:

(In ₹ crore)

Particulars	Land - Freehold	Buildings ⁽¹⁾	Plant and machinery	Office Equipment	Computer equipment	Furniture and fixtures	Leasehold Improvements	Vehicles	Total
Gross carrying value as at April 1, 2024	1,432	11,770	3,428	1,528	8,611	2,326	1,447	45	30,587
Additions	47	43	63	139	1,317	93	139	2	1,843
Additions on Business Combinations (Refer to note 2.1)	—	1	—	11	6	23	—	2	43
Deletions**	—	(113)	(31)	(52)	(633)	(101)	(290)	(1)	(1,221)
Translation difference	—	20	1	2	5	(1)	11	—	38
Gross carrying value as at March 31, 2025	1,479	11,721	3,461	1,628	9,306	2,340	1,307	48	31,290
Accumulated depreciation as at April 1, 2024	—	(4,921)	(2,630)	(1,269)	(6,380)	(1,837)	(1,138)	(42)	(18,217)
Depreciation	—	(444)	(203)	(118)	(1,249)	(187)	(157)	(2)	(2,360)
Accumulated depreciation on deletions**	—	13	21	51	616	94	286	1	1,082
Translation difference	—	(6)	(1)	(1)	—	1	(10)	—	(17)
Accumulated depreciation as at March 31, 2025	—	(5,358)	(2,813)	(1,337)	(7,013)	(1,929)	(1,019)	(43)	(19,512)
Carrying value as at April 1, 2024	1,432	6,849	798	259	2,231	489	309	3	12,370
Carrying value as at March 31, 2025	1,479	6,363	648	291	2,293	411	288	5	11,778

** During the three months and year ended March 31, 2025, certain assets which were not in use having gross book value of ₹113 crore (net book value: Nil) and ₹513 crore (net book value: Nil), respectively were retired.

The changes in the carrying value of property, plant and equipment for the year ended March 31, 2024 are as follows:

(In ₹ crore)

Particulars	Land - Freehold	Buildings ⁽¹⁾	Plant and machinery	Office Equipment	Computer equipment	Furniture and fixtures	Leasehold Improvements	Vehicles	Total
Gross carrying value as at April 1, 2023	1,431	11,562	3,302	1,482	8,519	2,303	1,445	45	30,089
Additions	1	300	193	106	931	121	108	1	1,761
Deletions*	—	(55)	(64)	(60)	(846)	(99)	(102)	(1)	(1,227)
Translation difference	—	(37)	(3)	—	7	1	(4)	—	(36)
Gross carrying value as at March 31, 2024	1,432	11,770	3,428	1,528	8,611	2,326	1,447	45	30,587
Accumulated depreciation as at April 1, 2023	—	(4,535)	(2,437)	(1,198)	(5,826)	(1,675)	(1,032)	(40)	(16,743)
Depreciation	—	(450)	(259)	(130)	(1,387)	(250)	(206)	(3)	(2,685)
Accumulated depreciation on deletions*	—	55	64	59	836	89	97	1	1,201
Translation difference	—	9	2	—	(3)	(1)	3	—	10
Accumulated depreciation as at March 31, 2024	—	(4,921)	(2,630)	(1,269)	(6,380)	(1,837)	(1,138)	(42)	(18,217)
Carrying value as at April 1, 2023	1,431	7,027	865	284	2,693	628	413	5	13,346
Carrying value as at March 31, 2024	1,432	6,849	798	259	2,231	489	309	3	12,370

* During the three months and year ended March 31, 2024, certain assets which were not in use having gross book value of ₹181 crore (net book value: Nil) and ₹775 crore (net book value: Nil), respectively were retired.

⁽¹⁾ Buildings include ₹250/- being the value of five shares of ₹50/- each in Mittal Towers Premises Co-operative Society Limited.

The aggregate depreciation has been included under depreciation and amortization expense in the interim condensed Consolidated Statement of Profit and Loss.

Repairs and maintenance costs are recognized in the Consolidated Statement of Profit and Loss when incurred.

Consequent to the Companies (Corporate Social Responsibility Policy) Amendment Rules, 2021 ("the Rules"), the Company was required to transfer its CSR capital assets installed prior to January 2021. Towards this the Company had incorporated a subsidiary 'Infosys Green Forum' (IGF) under Section 8 of the Companies Act, 2013. During the year ended March 31, 2022 the Company had completed the transfer of assets upon obtaining the required approvals from regulatory authorities, as applicable. During March 31, 2024, the application filed by IGF for registration u/s.12AB of the Income Tax Act was rejected and registration cancelled. IGF has filed an appeal against this order before Income Tax Appellate Tribunal.

2.3 GOODWILL AND OTHER INTANGIBLE ASSETS

2.3.1 Goodwill

Accounting policy

Goodwill represents the purchase consideration in excess of the Group's interest in the net fair value of identifiable assets, liabilities and contingent liabilities of the acquired entity. When the net fair value of the identifiable assets, liabilities and contingent liabilities acquired exceeds purchase consideration, the fair value of net assets acquired is reassessed and the bargain purchase gain is recognized in capital reserve. Goodwill is measured at cost less accumulated impairment losses.

Impairment

Goodwill is tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit (CGU) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or groups of CGUs which benefit from the synergies of the acquisition and which represents the lowest level at which goodwill is monitored for internal management purposes. A CGU is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or group of assets. Impairment occurs when the carrying amount of a CGU including the goodwill, exceeds the estimated recoverable amount of the CGU. The recoverable amount of a CGU is the higher of its fair value less cost to sell and its value-in-use. Value-in-use is the present value of future cash flows expected to be derived from the CGU. Key assumptions in the cash flow projections are prepared based on current economic conditions and includes estimated long term growth rates, weighted average cost of capital and estimated operating margins.

Following is a summary of changes in the carrying amount of goodwill:

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Carrying value at the beginning	7,303	7,248
Goodwill on acquisitions (Refer to note 2.1)	2,593	—
Translation differences	210	55
Carrying value at the end	10,106	7,303

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to the CGU or groups of CGUs, which benefit from the synergies of the acquisition.

2.3.2 Intangible Assets

Accounting policy

Intangible assets are stated at cost less accumulated amortization and impairment. Intangible assets are amortized over their respective individual estimated useful lives on a straight-line basis, from the date that they are available for use. The estimated useful life of an identifiable intangible asset is based on a number of factors including the effects of obsolescence, demand, competition, and other economic factors (such as the stability of the industry, and known technological advances) and the level of maintenance expenditures required to obtain the expected future cash flows from the asset. Amortization methods and useful lives are reviewed periodically including at each financial year end.

Research costs are expensed as incurred. Software product development costs are expensed as incurred unless technical and commercial feasibility of the project is demonstrated, future economic benefits are probable, the Group has an intention and ability to complete and use or sell the software and the costs can be measured reliably. The costs which can be capitalized include the cost of material, direct labor, overhead costs that are directly attributable to prepare the asset for its intended use.

Impairment

Intangible assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the CGU to which the asset belongs.

If such assets are considered to be impaired, the impairment to be recognized in the Consolidated Statement of Profit and Loss is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in the Consolidated Statement of Profit and Loss if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated amortization) had no impairment loss been recognized for the asset in prior years.

2.4 INVESTMENTS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current Investments		
Unquoted		
Investments carried at fair value through other comprehensive income		
Preference securities	167	91
Equity instruments	2	2
	169	93
Investments carried at fair value through profit or loss		
Target maturity fund units	465	431
Equity and Preference securities	25	—
Others ⁽¹⁾	196	198
	686	629
Quoted		
Investments carried at amortized cost		
Government bonds	16	28
Tax free bonds	1,465	1,731
	1,481	1,759
Investments carried at fair value through other comprehensive income		
Non convertible debentures	3,320	2,217
Equity securities	57	113
Government securities	5,346	6,897
	8,723	9,227
Total non-current investments	11,059	11,708
Current Investments		
Unquoted		
Investments carried at fair value through profit or loss		
Liquid mutual fund units	1,957	2,615
	1,957	2,615
Investments carried at fair value through other comprehensive income		
Commercial Paper	3,641	4,830
Certificates of deposit	3,504	3,043
	7,145	7,873
Quoted		
Investments carried at amortized cost		
Government bonds	15	—
Tax free bonds	154	—
	169	—
Investments carried at fair value through other comprehensive income		
Non convertible debentures	1,549	1,962
Government securities	1,662	465
	3,211	2,427
Total current investments	12,482	12,915
Total investments	23,541	24,623
Aggregate amount of quoted investments	13,584	13,413
Market value of quoted investments (including interest accrued), current	3,369	2,428
Market value of quoted investments (including interest accrued), non current	10,392	11,201
Aggregate amount of unquoted investments	9,957	11,210
Investments carried at amortized cost	1,650	1,759
Investments carried at fair value through other comprehensive income	19,248	19,620
Investments carried at fair value through profit or loss	2,643	3,244

⁽¹⁾ Uncalled capital commitments outstanding as at March 31, 2025 and March 31, 2024 was ₹122 crore and ₹79 crore, respectively.

Refer to Note 2.10 for Accounting policies on Financial Instruments.

Method of fair valuation:

(In ₹ crore)

Class of investment	Method	Fair value as at	
		March 31, 2025	March 31, 2024
Liquid mutual fund units - carried at fair value through profit or loss	Quoted price	1,957	2,615
Target maturity fund units - carried at fair value through profit or loss	Quoted price	465	431
Tax free bonds and government bonds - carried at amortized cost	Quoted price and market observable inputs	1,812	1,973
Non-convertible debentures - carried at fair value through other comprehensive income	Quoted price and market observable inputs	4,869	4,179
Government securities - carried at fair value through other comprehensive income	Quoted price and market observable inputs	7,008	7,362
Commercial Papers - carried at fair value through other comprehensive income	Market observable inputs	3,641	4,830
Certificates of deposit - carried at fair value through other comprehensive income	Market observable inputs	3,504	3,043
Quoted Equity securities - carried at fair value through other comprehensive income	Quoted price	57	113
Unquoted equity and preference securities - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	25	—
Unquoted equity and preference securities - carried at fair value through other comprehensive income	Discounted cash flows method, Market multiples method, Option pricing model	169	93
Others - carried at fair value through profit or loss	Discounted cash flows method, Market multiples method, Option pricing model	196	198
Total		23,703	24,837

Note: Certain quoted investments are classified as Level 2 in the absence of active market for such investments.

2.5 LOANS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non Current		
Loans considered good - Unsecured		
Other loans		
Loans to employees	16	34
	16	34
Loans credit impaired - Unsecured		
Other loans		
Loans to employees	3	2
Less: Allowance for credit impairment	(3)	(2)
	—	—
Total non-current loans	16	34
Current		
Loans considered good - Unsecured		
Other loans		
Loans to employees	249	248
Total current loans	249	248
Total loans	265	282

2.6 OTHER FINANCIAL ASSETS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non Current		
Security deposits ⁽¹⁾	273	259
Unbilled revenues ^{(1)#}	2,031	1,677
Restricted deposits ^{(1)*}	82	47
Net investment in sublease ⁽¹⁾	1,106	1,114
Others ⁽¹⁾	19	8
Total non-current other financial assets	3,511	3,105
Current		
Security deposits ⁽¹⁾	65	75
Restricted deposits ^{(1)*}	2,949	2,535
Unbilled revenues ^{(1)#}	8,183	7,923
Interest accrued but not due ⁽¹⁾	842	537
Foreign currency forward and options contracts ^{(2) (3)}	192	84
Net investment in sublease ⁽¹⁾	1,139	710
Others ⁽¹⁾	470	221
Total current other financial assets	13,840	12,085
Total other financial assets	17,351	15,190
⁽¹⁾ Financial assets carried at amortized cost	17,159	15,106
⁽²⁾ Financial assets carried at fair value through other comprehensive income	28	23
⁽³⁾ Financial assets carried at fair value through profit or loss	164	61

* Restricted deposits represent deposits with financial institutions to settle employee related obligations as and when they arise during the normal course of business.

Classified as financial asset as right to consideration is unconditional and is due only after a passage of time.

2.7 TRADE RECEIVABLES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Current		
Trade Receivable considered good - Unsecured	31,670	30,713
Less: Allowance for expected credit loss	512	520
Trade Receivable considered good - Unsecured	31,158	30,193
Trade Receivable - credit impaired - Unsecured	206	196
Less: Allowance for credit impairment	206	196
Trade Receivable - credit impaired - Unsecured	—	—
Total trade receivables	31,158	30,193

2.8 CASH AND CASH EQUIVALENTS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Balances with banks		
In current and deposit accounts	24,455	14,786
Cash on hand	-	-
Total cash and cash equivalents	24,455	14,786
Balances with banks in unpaid dividend accounts	45	37
Deposit with more than 12 months maturity	75	57

Cash and cash equivalents as at March 31, 2025 and March 31, 2024 include restricted cash and bank balances of ₹424 crore and ₹348 crore respectively. The restrictions are primarily on account of bank balances held by irrevocable trusts controlled by the company.

The deposits maintained by the Group with banks and financial institutions comprise of time deposits, which can be withdrawn by the Group at any point without prior notice or penalty on the principal.

2.9 OTHER ASSETS

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Capital advances	208	155
Advances other than capital advances		
Others		
Withholding taxes and others	534	673
Unbilled revenues [#]	201	103
Defined benefit plan assets	297	31
Prepaid expenses	282	343
Deferred Contract Cost		
Cost of obtaining a contract	312	129
Cost of fulfillment	879	687
Total non-current other assets	2,713	2,121
Current		
Advances other than capital advances		
Payment to vendors for supply of goods	413	356
Others		
Unbilled revenues [#]	4,668	4,845
Withholding taxes and others	2,841	3,540
Prepaid expenses	3,080	3,329
Deferred Contract Cost		
Cost of obtaining a contract	343	200
Cost of fulfillment	504	358
Other receivables	91	180
Total current other assets	11,940	12,808
Total other assets	14,653	14,929

[#] Classified as non financial asset as the contractual right to consideration is dependent on completion of contractual milestones.

Withholding taxes and others primarily consist of input tax credits and VAT recoverable from tax authorities.

2.10 FINANCIAL INSTRUMENTS

Accounting policy

2.10.1 Initial recognition

The Group recognizes financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are recognized at fair value on initial recognition, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities, which are not at fair value through profit or loss, are added to the fair value on initial recognition. Regular way purchase and sale of financial assets are accounted for at trade date.

2.10.2 Subsequent measurement

a. Non-derivative financial instruments

(i) Financial assets carried at amortized cost

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

(ii) Financial assets carried at fair value through other comprehensive income (FVOCI)

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The Group has made an irrevocable election for certain investments which are classified as equity instruments to present the subsequent changes in fair value in other comprehensive income based on its business model.

(iii) Financial assets carried at fair value through profit or loss (FVTPL)

A financial asset which is not classified in any of the above categories is subsequently fair valued through profit or loss.

(iv) Financial liabilities

Financial liabilities are subsequently carried at amortized cost using the effective interest method, except for contingent consideration and financial liability under option arrangements recognized in a business combination which is subsequently measured at fair value through profit or loss.

b. Derivative financial instruments

The Group holds derivative financial instruments such as foreign exchange forward and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. The counterparty for such contracts is generally a bank.

(i) Financial assets or financial liabilities, carried at fair value through profit or loss.

This category includes derivative financial assets or liabilities which are not designated as hedges.

Although the Group believes that these derivatives constitute hedges from an economic perspective, they may not qualify for hedge accounting under Ind AS 109, Financial Instruments. Any derivative that is either not designated as hedge, or is so designated but is ineffective as per Ind AS 109, is categorized as a financial asset or financial liability, at fair value through profit or loss.

Derivatives not designated as hedges are recognized initially at fair value and attributable transaction costs are recognized in net profit in the Consolidated Statement of Profit and Loss when incurred. Subsequent to initial recognition, these derivatives are measured at fair value through profit or loss and the resulting exchange gains or losses are included in other income. Assets/ liabilities in this category are presented as current assets/current liabilities if they are either held for trading or are expected to be realized within 12 months after the Balance Sheet date.

(ii) Cash flow hedge

Primarily, the Group designates certain foreign exchange forward and options contracts as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecast cash transactions.

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. Any ineffective portion of changes in the fair value of the derivative is recognized immediately in the net profit in the interim condensed Consolidated Statement of Profit and Loss. If the hedging instrument no longer meets the criteria for hedge accounting, then hedge accounting is discontinued prospectively. If the hedging instrument expires or is sold, terminated or exercised, the cumulative gain or loss on the hedging instrument recognized in cash flow hedging reserve till the period the hedge was effective remains in cash flow hedging reserve until the forecasted transaction occurs. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the net profit in the Consolidated Statement of Profit and Loss upon the occurrence of the related forecasted transaction. If the forecasted transaction is no longer expected to occur, then the amount accumulated in cash flow hedging reserve is reclassified to net profit in the interim condensed Consolidated Statement of Profit and Loss.

2.10.3 Derecognition of financial instruments

The Group derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under Ind AS 109. A financial liability (or a part of a financial liability) is derecognized from the Group's Balance Sheet when the obligation specified in the contract is discharged or cancelled or expires.

2.10.4 Fair value of financial instruments

In determining the fair value of its financial instruments, the Group uses a variety of methods and assumptions that are based on market conditions and risks existing at each reporting date. The methods used to determine fair value include discounted cash flow analysis, option pricing model, market multiples, available quoted market prices and dealer quotes. All methods of assessing fair value result in general approximation of value, and such value may never actually be realized.

Refer to table 'Financial instruments by category' below for the disclosure on carrying value and fair value of financial assets and liabilities. For financial assets and liabilities maturing within one year from the Balance Sheet date and which are not carried at fair value, the carrying amounts approximates fair value due to the short maturity of these instruments.

2.10.5 Impairment

The Group recognizes loss allowances using the expected credit loss (ECL) model for the financial assets and unbilled revenue which are not fair valued through profit or loss. Loss allowance for trade receivables and unbilled revenues with no significant financing component is measured at an amount equal to lifetime ECL. For all other financial assets, ECLs are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL.

The Group determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Group considers current and anticipated future economic conditions relating to industries the Group deals with and the countries where it operates.

The amount of ECL (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recorded is recognized as an impairment loss or gain in Consolidated Statement of Profit and Loss.

Financial instruments by category

The carrying value and fair value of financial instruments by categories as at March 31, 2025 are as follows:

(In ₹ crore)

Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to Note 2.8)	24,455	—	—	—	—	24,455	24,455
Investments (Refer to Note 2.4)							
Equity and preference securities	—	25	—	226	—	251	251
Tax free bonds and government bonds	1,650	—	—	—	—	1,650	1,812 ⁽¹⁾
Liquid mutual fund units	—	—	1,957	—	—	1,957	1,957
Target maturity fund units	—	—	465	—	—	465	465
Non convertible debentures	—	—	—	—	4,869	4,869	4,869
Government securities	—	—	—	—	7,008	7,008	7,008
Certificates of deposit	—	—	—	—	3,504	3,504	3,504
Commercial paper	—	—	—	—	3,641	3,641	3,641
Other investments	—	—	196	—	—	196	196
Trade receivables (Refer to Note 2.7)	31,158	—	—	—	—	31,158	31,158
Loans (Refer to Note 2.5)	265	—	—	—	—	265	265
Other financials assets (Refer to Note 2.6) ⁽³⁾	17,159	—	164	—	28	17,351	17,271 ⁽²⁾
Total	74,687	25	2,782	226	19,050	96,770	96,852
Liabilities:							
Trade payables	4,164	—	—	—	—	4,164	4,164
Lease liabilities (Refer to Note 2.19)	8,227	—	—	—	—	8,227	8,227
Financial Liability under option arrangements (Refer to Note 2.12)	—	—	667	—	—	667	667
Other financial liabilities (Refer to Note 2.12)	16,511	—	61	—	33	16,605	16,605
Total	28,902	—	728	—	33	29,663	29,663

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on tax free bonds and government bonds carried at amortized cost of ₹80 crore

⁽³⁾ Excludes unbilled revenue on contracts where the right to consideration is dependent on completion of contractual milestones

The carrying value and fair value of financial instruments by categories as at March 31, 2024 were as follows:

(In ₹ crore)

Particulars	Amortized cost	Financial assets/ liabilities at fair value through profit or loss		Financial assets/liabilities at fair value through OCI		Total carrying value	Total fair value
		Designated upon initial recognition	Mandatory	Equity instruments designated upon initial recognition	Mandatory		
Assets:							
Cash and cash equivalents (Refer to Note 2.8)	14,786	—	—	—	—	14,786	14,786
Investments (Refer to Note 2.4)							
Equity and preference securities	—	—	—	206	—	206	206
Tax free bonds and government bonds	1,759	—	—	—	—	1,759	1,973 ⁽¹⁾
Liquid mutual fund units	—	—	2,615	—	—	2,615	2,615
Target maturity fund units	—	—	431	—	—	431	431
Non convertible debentures	—	—	—	—	4,179	4,179	4,179
Government securities	—	—	—	—	7,362	7,362	7,362
Commercial paper	—	—	—	—	4,830	4,830	4,830
Certificates of deposit	—	—	—	—	3,043	3,043	3,043
Other investments	—	—	198	—	—	198	198
Trade receivables (Refer to Note 2.7)	30,193	—	—	—	—	30,193	30,193
Loans (Refer to Note 2.5)	282	—	—	—	—	282	282
Other financial assets (Refer to Note 2.6) ⁽³⁾	15,106	—	61	—	23	15,190	15,106 ⁽²⁾
Total	62,126	—	3,305	206	19,437	85,074	85,204
Liabilities:							
Trade payables	3,956	—	—	—	—	3,956	3,956
Lease liabilities (Refer to Note 2.19)	8,359	—	—	—	—	8,359	8,359
Financial Liability under option arrangements (Refer to Note 2.12)	—	—	597	—	—	597	597
Other financial liabilities (Refer to Note 2.12)	15,750	—	30	—	1	15,781	15,781
Total	28,065	—	627	—	1	28,693	28,693

⁽¹⁾ On account of fair value changes including interest accrued

⁽²⁾ Excludes interest accrued on tax free bonds and government bonds carried at amortized cost of ₹84 crore

⁽³⁾ Excludes unbilled revenue on contracts where the right to consideration is dependent on completion of contractual milestones

For trade receivables, trade payables, other assets and payables maturing within one year from the Balance Sheet date, the carrying amounts approximate the fair value due to the short maturity of these instruments.

Fair value hierarchy

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 - Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2025 is as follows:

(In ₹ crore)

Particulars	As at March 31, 2025	Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.4)				
Investments in liquid mutual fund units	1,957	1,957	—	—
Investments in target maturity fund units	465	465	—	—
Investments in tax free bonds	1,781	1,227	554	—
Investments in government bonds	31	31	—	—
Investments in non convertible debentures	4,869	4,869	—	—
Investment in government securities	7,008	6,972	36	—
Investments in equity instruments	59	57	—	2
Investments in preference securities	192	—	—	192
Investments in commercial paper	3,641	—	3,641	—
Investments in certificates of deposit	3,504	—	3,504	—
Other investments	196	—	—	196
Others				
Derivative financial instruments - gain (Refer to Note 2.6)	192	—	192	—
Liabilities				
Derivative financial instruments - loss (Refer to Note 2.12)	63	—	63	—
Financial liability under option arrangements (Refer to Note 2.12) ⁽¹⁾	667	—	—	667
Liability towards contingent consideration (Refer to Note 2.12) ⁽²⁾	31	—	—	31

⁽¹⁾ Discount rate ranges from 9% to 15%

⁽²⁾ Discount rate - 6%

During the year ended March 31, 2025, government securities and non convertible debentures of ₹297 crore was transferred from Level 2 to Level 1 of fair value hierarchy, since these were valued based on quoted price. Further, non convertible debentures and tax free bonds of ₹554 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

The fair value hierarchy of assets and liabilities measured at fair value on a recurring basis as at March 31, 2024 was as follows:

(In ₹ crore)

Particulars	As at March 31, 2024	Fair value measurement at end of the reporting period using		
		Level 1	Level 2	Level 3
Assets				
Investments (Refer to note 2.4)				
Investments in liquid mutual fund units	2,615	2,615	—	—
Investments in target maturity fund units	431	431	—	—
Investments in tax free bonds	1,944	1,944	—	—
Investments in government bonds	29	29	—	—
Investments in non convertible debentures	4,179	3,922	257	—
Investment in government securities	7,362	7,289	73	—
Investments in equity instruments	115	113	—	2
Investments in preference securities	91	—	—	91
Investments in commercial paper	4,830	—	4,830	—
Investments in certificates of deposit	3,043	—	3,043	—
Other investments	198	—	—	198
Others				
Derivative financial instruments - gain (Refer to Note 2.6)	84	—	84	—
Liabilities				
Derivative financial instruments - loss (Refer to Note 2.12)	31	—	31	—
Financial liability under option arrangements (Refer to Note 2.12) ⁽¹⁾	597	—	—	597

⁽¹⁾ Discount rate ranges from 9% to 15%

During the year ended March 31, 2024, government securities, non convertible debentures and tax free bonds of ₹2,143 crore was transferred from Level 2 to Level 1 of fair value hierarchy, since these were valued based on quoted price. Further, government securities of ₹ 73 crore were transferred from Level 1 to Level 2 of fair value hierarchy, since these were valued based on market observable inputs.

A one percentage point change in the unobservable inputs used in fair valuation of Level 3 assets and liabilities does not have a significant impact in its value.

Majority of investments of the Group are fair valued based on Level 1 or Level 2 inputs. These investments primarily include investment in liquid mutual fund units, target maturity fund units, tax-free bonds, certificates of deposit, commercial papers, treasury bills, government securities, non-convertible debentures, quoted bonds issued by government and quasi-government organizations. The Group invests after considering counterparty risks based on multiple criteria including Tier I capital, Capital Adequacy Ratio, Credit Rating, Profitability, NPA levels and Deposit base of banks and financial institutions. These risks are monitored regularly as per Group's risk management program.

2.11 EQUITY

Accounting policy

Ordinary Shares

Ordinary shares are classified as equity share capital. Incremental costs directly attributable to the issuance of new ordinary shares, share options and buyback are recognized as a deduction from equity, net of any tax effects.

Treasury Shares

When any entity within the Group purchases the company's ordinary shares, the consideration paid including any directly attributable incremental cost is presented as a deduction from total equity, until they are cancelled, sold or reissued. When treasury shares are sold or reissued subsequently, the amount received is recognized as an increase in equity, and the resulting surplus or deficit on the transaction is transferred to / from securities premium.

Description of reserves

Capital Redemption Reserve

In accordance with section 69 of the Indian Companies Act, 2013, the Company creates capital redemption reserve equal to the nominal value of the shares bought back as an appropriation from general reserve / retained earnings.

Retained earnings

Retained earnings represent the amount of accumulated earnings of the Group.

Securities premium

The amount received in excess of the par value of equity shares has been classified as securities premium. Amounts have been utilized for bonus issue and share buyback from share premium account.

Share options outstanding account

The share options outstanding account is used to record the fair value of equity-settled share based payment transactions with employees. The amounts recorded in share options outstanding account are transferred to securities premium upon exercise of stock options and transferred to general reserve on account of stock options not exercised by employees.

Special Economic Zone Re-investment reserve

The Special Economic Zone Re-investment reserve has been created out of the profit of the eligible SEZ unit in terms of the provisions of Sec 10AA (1)(ii) of Income Tax Act, 1961. The reserve should be utilized by the Company for acquiring new plant and machinery for the purpose of its business in terms of the provisions of the Sec 10AA (2) of the Income Tax Act, 1961.

Other components of equity

Other components of equity include currency translation, remeasurement of net defined benefit liability / asset, equity instruments fair valued through other comprehensive income, changes on fair valuation of investments and changes in fair value of derivatives designated as cash flow hedges, net of taxes.

Currency translation reserve

The exchange differences arising from the translation of financial statements of foreign subsidiaries with functional currency other than Indian rupees is recognized in other comprehensive income and is presented within equity.

Cash flow hedge reserve

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in other comprehensive income and accumulated in the cash flow hedging reserve. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the interim condensed Consolidated Statement of Profit and Loss upon the occurrence of the related forecasted transaction.

EQUITY SHARE CAPITAL

Particulars	<i>(In ₹ crore, except as otherwise stated)</i>	
	As at	
	March 31, 2025	March 31, 2024
Authorized		
Equity shares, ₹5 par value		
480,00,00,000 (480,00,00,000) equity shares	2,400	2,400
Issued, Subscribed and Paid-Up		
Equity shares, ₹5 par value ⁽¹⁾	2,073	2,071
414,36,07,528 (413,99,50,635) equity shares fully paid-up ⁽²⁾		
	2,073	2,071

Note: Forfeited shares amounted to ₹1,500 (₹1,500)

⁽¹⁾ Refer to Note 2.20 for details of basic and diluted shares

⁽²⁾ Net of treasury shares 96,55,927 (1,09,16,829)

The Company has only one class of shares referred to as equity shares having a par value of ₹5/-. Each holder of equity shares is entitled to one vote per share. The equity shares represented by American Depositary Shares (ADS) carry similar rights to voting and dividends as the other equity shares. Each ADS represents one underlying equity share.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the Company in proportion to the number of equity shares held by the shareholders, after distribution of all preferential amounts. However, no such preferential amounts exist currently, other than the amounts held by irrevocable controlled trusts. For irrevocable controlled trusts, the corpus would be settled in favor of the beneficiaries.

There are no voting, dividend or liquidation rights to the holders of options issued under the company's share option plans

For details of shares reserved for issue under the employee stock option plan of the Company refer to the note below.

The reconciliation of the number of shares outstanding and the amount of share capital as at March 31, 2025 and March 31, 2024 are as follows:

Particulars	As at March 31, 2025		As at March 31, 2024	
	Number of shares	Amount	Number of shares	Amount
As at the beginning of the period	413,99,50,635	2,071	413,63,87,925	2,069
Add: Shares issued on exercise of employee stock options	36,56,893	2	35,62,710	2
As at the end of the period	414,36,07,528	2,073	413,99,50,635	2,071

(In ₹ crore, except as stated otherwise)

Capital allocation policy

Effective fiscal 2025, the Company expects to continue its policy of returning approximately 85% of the free cash flow cumulatively over a 5-year period through a combination of semi-annual dividends and/or share buyback/ special dividends subject to applicable laws and requisite approvals, if any. Under this policy, the Company expects to progressively increase its annual dividend per share (excluding special dividend if any).

Free cash flow is defined as net cash provided by operating activities less capital expenditure as per the consolidated statement of cash flows prepared under IFRS. Dividend and buyback include applicable taxes.

The Company's objective when managing capital is to safeguard its ability to continue as a going concern and to maintain an optimal capital structure so as to maximize shareholder value. In order to maintain or achieve an optimal capital structure, the Company may adjust the amount of dividend payment, return capital to shareholders, issue new shares or buy back issued shares. As of March 31, 2025, the Company has only one class of equity shares and has no debt. Consequent to the above capital structure there are no externally imposed capital requirements.

Dividend

The final dividend on shares is recorded as a liability on the date of approval by the shareholders and interim dividends are recorded as a liability on the date of declaration by the Company's Board of Directors. Income tax consequences of dividends on financial instruments classified as equity will be recognized according to where the entity originally recognized those past transactions or events that generated distributable profits.

The Company declares and pays dividends in Indian rupees. Companies are required to pay/distribute dividend after deducting applicable taxes. The remittance of dividends outside India is governed by Indian law on foreign exchange and is also subject to withholding tax at applicable rates.

The amount of per share dividend recognized as distribution to equity shareholders in accordance with Companies Act 2013 is as follows:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Interim dividend for fiscal 2025	—	—	21.00	—
Special dividend for fiscal 2024	—	—	8.00	—
Final dividend for fiscal 2024	—	—	20.00	—
Interim dividend for fiscal 2024	—	—	—	18.00
Final dividend for fiscal 2023	—	—	—	17.50

(in ₹)

During the year ended March 31, 2025, on account of the final and special dividend for fiscal 2024 and interim dividend for fiscal 2025, the Company has incurred a net cash outflow of ₹20,295 crore (excluding dividend paid on treasury shares)

The Board of Directors in their meeting held on April 17, 2025 recommended a final dividend of ₹22/- per equity share for the financial year ended March 31, 2025. The payment is subject to the approval of shareholders in the AGM of the Company to be held on June 25, 2025 and if approved, would result in a net cash outflow of approximately ₹9,116 crore (excluding dividend paid on treasury shares).

Employee Stock Option Plan (ESOP):

Accounting policy

The Group recognizes compensation expense relating to share-based payments in net profit based on estimated fair values of the awards on the grant date. The estimated fair value of awards is recognized as an expense in the statement of profit and loss on a straight-line basis over the requisite service period for each separately vesting portion of the award as if the award was in-substance, multiple awards with a corresponding increase to share options outstanding account.

Infosys Expanded Stock Ownership Program 2019 (the 2019 Plan) :

On June 22, 2019 pursuant to approval by the shareholders in the Annual General Meeting, the Board has been authorized to introduce, offer, issue and provide share-based incentives to eligible employees of the Company and its subsidiaries under the 2019 Plan. The maximum number of shares under the 2019 Plan shall not exceed 5,00,00,000 equity shares. To implement the 2019 Plan, up to 4,50,00,000 equity shares may be issued by way of secondary acquisition of shares by Infosys Expanded Stock Ownership Trust. The Restricted Stock Units (RSUs) granted under the 2019 Plan shall vest based on the achievement of defined annual performance parameters as determined by the administrator (Nomination and Remuneration Committee). The performance parameters will be based on a combination of relative Total Shareholder Return (TSR) against selected industry peers and certain broader market domestic and global indices and operating performance metrics of the Company as decided by administrator. Each of the above performance parameters will be distinct for the purposes of calculation of quantity of shares to vest based on performance. These instruments will generally vest between a minimum of 1 to maximum of 3 years from the grant date.

2015 Stock Incentive Compensation Plan (the 2015 Plan) :

On March 31, 2016, pursuant to the approval by the shareholders through postal ballot, the Board was authorized to introduce, offer, issue and allot share-based incentives to eligible employees of the Company and its subsidiaries under the 2015 Stock Incentive Compensation Plan. The maximum number of shares under the 2015 Plan shall not exceed 2,40,38,883 equity shares (this includes 1,12,23,576 equity shares which are held by the trust towards the 2011 Plan as at March 31, 2016). These instruments will generally vest over a period of 4 years. The plan numbers mentioned above are further adjusted with the September 2018 bonus issue.

The equity settled and cash settled RSUs and stock options would vest generally over a period of 4 years and shall be exercisable within the period as approved by the Nomination and Remuneration Committee (NARC). The exercise price of the RSUs will be equal to the par value of the shares and the exercise price of the stock options would be the market price as on the date of grant.

Controlled trust holds 96,55,927 and 1,09,16,829 shares as at March 31, 2025 and March 31, 2024, respectively, under the 2015 Plan. Out of these shares, 200,000 equity shares each have been earmarked for welfare activities of the employees as at March 31, 2025 and March 31, 2024.

The following is the summary of grants made during the three months and year ended March 31, 2025 and March 31, 2024:

Particulars	2019 Plan				2015 Plan			
	Three months ended March 31,		Year ended March 31,		Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024	2025	2024	2025	2024
Equity Settled RSUs								
Key Management Personnel (KMP)	49,000	26,900	119,699	141,171	85,674	77,094	380,842	498,730
Employees other than KMP	3,617,798	3,582,471	3,624,646	4,046,731	1,722,470	3,442,700	1,874,690	4,640,640
Total Grants	3,666,798	3,609,371	3,744,345	4,187,902	1,808,144	3,519,794	2,255,532	5,139,370
Cash settled RSU								
Key Management Personnel (KMP)	-	-	-	-	-	-	-	-
Employees other than KMP	-	-	-	-	94,050	169,040	94,050	176,990
Total Grants	3,666,798	3,609,371	3,744,345	4,187,902	1,902,194	3,688,834	2,349,582	5,316,360

Notes on grants to KMP:

CEO & MD

Under the 2015 Plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee approved the following grants for fiscal 2025. In accordance with such approval the following grants were made effective May 2, 2024.

- 245,679 performance-based RSUs (Annual performance equity grant) of fair value of ₹34.75 crore. These RSUs will vest in line with the employment agreement based on achievement of certain performance targets.
- 14,140 performance-based grant of RSUs (Annual performance equity ESG grant) of fair value of ₹2 crore. These RSUs will vest in line with the employment agreement based on achievement of certain environment, social and governance milestones as determined by the Board.
- 35,349 performance-based grant of RSUs (Annual performance Equity TSR grant) of fair value of ₹5 crore . These RSUs will vest in line with the employment agreement based on Company's performance on cumulative relative TSR over the years and as determined by the Board.

Further, in accordance with the employee agreement which has been approved by the shareholders, the CEO is eligible to receive an annual grant of RSUs of fair value ₹3 crore which will vest overtime in three equal annual installments upon the completion of each year of service from the respective grant date. Accordingly, annual time-based grant of 16,204 RSUs was made effective February 1, 2025 for fiscal 2025.

Though the annual time based grants and annual performance equity TSR grant for the remaining employment term ending on March 31, 2027 have not been granted as of March 31, 2025, since the service commencement date precedes the grant date, the company has recorded employment stock compensation expense in accordance with Ind AS 102, Share based payment. The grant date for this purpose in accordance with Ind AS 102, Share based payment is July 01, 2022.

Under the 2019 Plan:

The Board, on April 18, 2024, based on the recommendations of the Nomination and Remuneration Committee, approved performance-based grant of RSUs amounting to ₹10 crore for fiscal 2025 under the 2019 Plan. These RSUs will vest based on achievement of certain performance targets. Accordingly, 70,699 performance based RSU's were granted effective May 2, 2024.

Other KMP

Under the 2015 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved 69,470 time based RSUs to other KMP under the 2015 plan. Time based RSUs will vest over four years.

Under the 2019 plan:

During the year ended March 31, 2025, based on recommendations of Nomination and Remuneration Committee, the Board approved performance based grants of 49,000 RSUs to other KMPs under the 2019 plan. These RSUs will vest over three years based on achievement of certain performance targets.

The break-up of employee stock compensation expense is as follows:

Particulars	(in ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
<i>Granted to:</i>				
KMP	18	17	70	68
Employees other than KMP	180	208	732	584
Total ⁽¹⁾	198	225	802	652
⁽¹⁾ Cash-settled stock compensation expense included in the above	3	4	17	13

The fair value of the awards are estimated using the Black-Scholes Model for time and non-market performance based options and Monte Carlo simulation model is used for TSR based options.

The inputs to the model include the share price at date of grant, exercise price, expected volatility, expected dividends, expected term and the risk free rate of interest. Expected volatility during the expected term of the options is based on historical volatility of the observed market prices of the Company's publicly traded equity shares during a period equivalent to the expected term of the options. Expected volatility of the comparative company have been modelled based on historical movements in the market prices of their publicly traded equity shares during a period equivalent to the expected term of the options. Correlation coefficient is calculated between each peer entity and the indices as a whole or between each entity in the peer group.

The fair value of each equity settled award is estimated on the date of grant using the following assumptions:

Particulars	For options granted in			
	Fiscal 2025- Equity Shares- RSU	Fiscal 2025- ADS-RSU	Fiscal 2024- Equity Shares-RSU	Fiscal 2024- ADS-RSU
Weighted average share price (₹) / (\$ ADS)	1,808	21.44	1,588	19.19
Exercise price (₹) / (\$ ADS)	5.00	0.07	5.00	0.07
Expected volatility (%)	21-26	23-28	23-31	25-33
Expected life of the option (years)	1-4	1-4	1-4	1-4
Expected dividends (%)	2-3	2-3	2-3	2-3
Risk-free interest rate (%)	7	4-5	7	4-5
Weighted average fair value as on grant date (₹) / (\$ ADS)	1,555	18.20	1,317	16.27

The expected life of the RSU/ESOP is estimated based on the vesting term and contractual term of the RSU/ESOP, as well as expected exercise behavior of the employee who receives the RSU/ESOP.

2.12 OTHER FINANCIAL LIABILITIES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Others		
Accrued compensation to employees ⁽¹⁾	12	7
Accrued expenses ⁽¹⁾	1,890	1,779
Compensated absences	99	89
Financial liability under option arrangements ^{(2) #}	115	98
Payable for acquisition of business - Contingent consideration ⁽²⁾	20	—
Other Payables ⁽¹⁾⁽⁴⁾	5	157
Total non-current other financial liabilities	2,141	2,130
Current		
Unpaid dividends ⁽¹⁾	45	37
Others		
Accrued compensation to employees ⁽¹⁾	4,924	4,454
Accrued expenses ⁽¹⁾	8,467	8,224
Payable for acquisition of business - Contingent consideration ⁽²⁾	11	—
Payable by controlled trusts ⁽¹⁾	173	211
Compensated absences	2,908	2,622
Financial liability under option arrangements ^{(2) #}	552	499
Foreign currency forward and options contracts ^{(2) (3)}	63	31
Capital creditors ⁽¹⁾	520	310
Other payables ⁽¹⁾⁽⁴⁾	475	571
Total current other financial liabilities	18,138	16,959
Total other financial liabilities	20,279	19,089
⁽¹⁾ Financial liability carried at amortized cost	16,511	15,750
⁽²⁾ Financial liability carried at fair value through profit or loss	728	627
⁽³⁾ Financial liability carried at fair value through other comprehensive income	33	1
Financial liability under option arrangements on an undiscounted basis	761	690
Financial liability towards contingent consideration on an undiscounted basis	33	—

⁽⁴⁾ The Group entered into financing arrangements with a third party towards technology assets taken over by the Group from a customer as a part of transformation project which was not considered as distinct goods or services as the control related to those assets was not transferred to the Group in accordance with Ind AS 115 - Revenue from contract with customers. As at March 31, 2025 and March 31, 2024, the financial liability pertaining to such arrangements amounts to ₹67 crore and ₹372 crore, respectively.

Represents liability related to options issued by the Group over the non-controlling interests in its subsidiaries

Accrued expenses primarily relate to cost of technical sub-contractors, telecommunication charges, legal and professional charges, brand building expenses, overseas travel expenses, office maintenance and cost of third party software and hardware.

2.13 OTHER LIABILITIES

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Non-current		
Others		
Accrued defined benefit liability	115	159
Others	100	76
Total non-current other liabilities	215	235
Current		
Unearned revenue	8,492	7,341
Others		
Withholding taxes and others	3,256	3,185
Accrued defined benefit liability	6	5
Others	11	8
Total current other liabilities	11,765	10,539
Total other liabilities	11,980	10,774

2.14 PROVISIONS

Accounting policy

A provision is recognized if, as a result of a past event, the Group has a present legal or constructive obligation that is reasonably estimable, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The Group recognizes a reimbursement asset when, and only when, it is virtually certain that the reimbursement will be received if the Group settles the obligation.

a. Post sales client support

The Group provides its clients with a fixed-period post sales support on its fixed-price, fixed-timeframe contracts. Costs associated with such support services are accrued at the time related revenues are recorded and included in Consolidated Statement of Profit and Loss. The Group estimates such costs based on historical experience and estimates are reviewed on a periodic basis for any material changes in assumptions and likelihood of occurrence.

b. Onerous contracts

Provisions for onerous contracts are recognized when the expected benefits to be derived by the Group from a contract are lower than the unavoidable costs of meeting the future obligations under the contract. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established the Group recognizes any impairment loss on the assets associated with that contract.

Provision for post-sales client support and other provisions:

Particulars	As at	
	March 31, 2025	March 31, 2024
Current		
Others		
Post-sales client support and others	1,325	1,796
Other provisions pertaining to settlement (refer to note 2.21.2)	150	—
Total provisions	1,475	1,796

Provision for post-sales client support and other provisions majorly represents costs associated with providing sales support services which are accrued at the time of recognition of revenues and are expected to be utilized over a period of 1 year.

Provision for post sales client support and other provisions is included in cost of sales in the condensed consolidated statement of profit and loss.

2.15 INCOME TAXES

Accounting policy

Income tax expense comprises current and deferred income tax. Income tax expense is recognized in net profit in the Consolidated Statement of Profit and Loss except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity or other comprehensive income. Current income tax for current and prior periods is recognized at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date. Deferred income tax assets and liabilities are recognized for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profit or loss at the time of the transaction. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred income tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted by the Balance Sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect of changes in tax rates on deferred income tax assets and liabilities is recognized as income or expense in the period that includes the enactment or the substantive enactment date. A deferred income tax asset is recognized to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilized. Deferred income taxes are not provided on the undistributed earnings of subsidiaries and branches where it is expected that the earnings of the subsidiary or branch will not be distributed in the foreseeable future.

The Group offsets current tax assets and current tax liabilities; deferred tax assets and deferred tax liabilities, where it has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously. The income tax provision for the interim period is made based on the best estimate of the annual average tax rate expected to be applicable for the full financial year. Tax benefits of deductions earned on exercise of employee share options in excess of compensation charged to income are credited to equity.

Income tax expense in the Consolidated Statement of Profit and Loss comprises:

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Current taxes	2,784	1,173	12,130	8,390
Deferred taxes	(159)	1,092	(1,272)	1,350
Income tax expense	2,625	2,265	10,858	9,740

Income tax expense for the three months ended March 31, 2025 and March 31, 2024 includes reversals (net of provisions) of ₹117 crore and ₹871 crore, respectively. Income tax expense for the year ended March 31, 2025 and March 31, 2024 includes provisions (net of reversals) of ₹132 crore and reversals (net of provisions) of ₹937 crore, respectively. These provisions and reversals pertaining to prior periods are primarily on account of adjudication of certain disputed matters, upon filing of tax return and completion of assessments, across various jurisdictions.

During the quarter ended March 31, 2025, the Company received orders under section 250 of the Income Tax Act, 1961, from the Income Tax Authorities in India for the assessment years, 2016-17 and 2019-20. These orders confirmed the Company's position with respect to tax treatment of certain contentious matters. As a result interest income (pre-tax) of ₹327 crore was recognised and provision for income tax aggregating ₹183 crore was reversed with a corresponding credit to the Statement of Profit and Loss. Also, upon resolution of the disputes, an amount aggregating to ₹1,068 crore has been reduced from contingent liabilities.

Deferred income tax for the three months and year ended March 31, 2025 and March 31, 2024 substantially relates to origination and reversal of temporary differences.

The Company's Advanced Pricing Arrangement (APA) with the Internal Revenue Service (IRS) for US branch income tax expired in March 2021. The Company has applied for renewal of APA and currently the US taxable income is based on the Company's best estimate determined based on the expected value method.

2.16 REVENUE FROM OPERATIONS

Accounting policy

The Group derives revenues primarily from IT services comprising software development and related services, cloud and infrastructure services, maintenance, consulting and package implementation, licensing of software products and platforms across the Group's core and digital offerings (together called as "software related services") and business process management services. Contracts with customers are either on a time-and-material, unit of work, fixed-price or on a fixed-timeframe basis.

Revenues from customer contracts are considered for recognition and measurement when the contract has been approved in writing by the parties, to the contract, the parties to contract are committed to perform their respective obligations under the contract, and the contract is legally enforceable. Revenue is recognized upon transfer of control of promised products or services ("performance obligations") to customers in an amount that reflects the consideration the Group has received or expects to receive in exchange for these products or services ("transaction price"). When there is uncertainty as to collectability, revenue recognition is postponed until such uncertainty is resolved.

The Group assesses the services promised in a contract and identifies distinct performance obligations in the contract. The Group allocates the transaction price to each distinct performance obligation based on the relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In the absence of such evidence, the primary method used to estimate standalone selling price is the expected cost plus a margin, under which the Group estimates the cost of satisfying the performance obligation and then adds an appropriate margin based on similar services.

The Group's contracts may include variable consideration including rebates, volume discounts and penalties. The Group includes variable consideration as part of transaction price when there is a basis to reasonably estimate the amount of the variable consideration and when it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved.

Revenue on time-and-material and unit of work based contracts, are recognized as the related services are performed. Fixed price maintenance revenue is recognized ratably either on a straight-line basis when services are performed through an indefinite number of repetitive acts over a specified period or ratably using a percentage of completion method when the pattern of benefits from the services rendered to the customer and the Group's costs to fulfil the contract is not even through the period of contract because the services are generally discrete in nature and not repetitive. Revenue from other fixed-price, fixed-timeframe contracts, where the performance obligations are satisfied over time is recognized using the percentage-of-completion method. Efforts or costs expended are used to determine progress towards completion as there is a direct relationship between input and productivity. Progress towards completion is measured as the ratio of costs or efforts incurred to date (representing work performed) to the estimated total costs or efforts. Estimates of transaction price and total costs or efforts are continuously monitored over the term of the contracts and are recognized in net profit in the period when these estimates change or when the estimates are revised. Revenues and the estimated total costs or efforts are subject to revision as the contract progresses. Provisions for estimated losses, if any, on incomplete contracts are recorded in the period in which such losses become probable based on the estimated efforts or costs to complete the contract.

The billing schedules agreed with customers include periodic performance based billing and / or milestone based progress billings. Revenues in excess of billing are classified as unbilled revenue while billing in excess of revenues are classified as contract liabilities (which we refer to as unearned revenues).

In arrangements for software development and related services and maintenance services, by applying the revenue recognition criteria for each distinct performance obligation, the arrangements with customers generally meet the criteria for considering software development and related services as distinct performance obligations. For allocating the transaction price, the Group measures the revenue in respect of each performance obligation of a contract at its relative standalone selling price. The price that is regularly charged for an item when sold separately is the best evidence of its standalone selling price. In cases where the Group is unable to determine the standalone selling price, the Group uses the expected cost plus margin approach in estimating the standalone selling price. For software development and related services, the performance obligations are satisfied as and when the services are rendered since the customer generally obtains control of the work as it progresses.

Certain cloud and infrastructure services contracts include multiple elements which may be subject to other specific accounting guidance, such as leasing guidance. These contracts are accounted in accordance with such specific accounting guidance. In such arrangements where the Group is able to determine that hardware and services are distinct performance obligations, it allocates the consideration to these performance obligations on a relative standalone selling price basis. In the absence of standalone selling price, the Group uses the expected cost-plus margin approach in estimating the standalone selling price. When such arrangements are considered as a single performance obligation, revenue is recognized over the period and measure of progress is determined based on promise in the contract.

Revenue from licenses where the customer obtains a "right to use" the licenses is recognized at the time the license are made available to the customer. Revenue from licenses where the customer obtains a "right to access" is recognized over the access period.

Arrangements to deliver software products generally have three elements: license, implementation and Annual Technical Services (ATS). When implementation services are provided in conjunction with the licensing arrangement and the license and implementation have been identified as two distinct separate performance obligations, the transaction price for such contracts are allocated to each performance obligation of the contract based on their relative standalone selling prices. In the absence of standalone selling price for implementation, the Group uses the expected cost plus margin approach in estimating the standalone selling price. Where the license is required to be substantially customized as part of the implementation service the entire arrangement fee for license and implementation is considered to be a single performance obligation and the revenue is recognized using the percentage-of-completion method as the implementation is performed. Revenue from client training, support and other services arising due to the sale of software products is recognized as the performance obligations are satisfied. ATS revenue is recognized ratably on a straight line basis over the period in which the services are rendered.

Contracts with customers includes subcontractor services or third-party vendor equipment or software in certain integrated services arrangements. In these types of arrangements, revenue from sales of third-party vendor products or services is recorded net of costs when the Group is acting as an agent between the customer and the vendor, and gross when the Group is the principal for the transaction. In doing so, the Group first evaluates whether it obtains control of the specified goods or services before they are transferred to the customer. The Group considers whether it is primarily responsible for fulfilling the promise to provide the specified goods or services, inventory risk, pricing discretion and other factors to determine whether it controls the specified goods or services and therefore, is acting as a principal or an agent.

A contract modification is a change in the scope or price or both of a contract that is approved by the parties to the contract. A contract modification that results in the addition of distinct performance obligations are accounted for either as a separate contract if the additional services are priced at the standalone selling price or as a termination of the existing contract and creation of a new contract if they are not priced at the standalone selling price. If the modification does not result in a distinct performance obligation, it is accounted for as part of the existing contract on a cumulative catch-up basis.

The incremental costs of obtaining a contract (i.e., costs that would not have been incurred if the contract had not been obtained) are recognized as an asset if the Group expects to recover them.

Certain eligible, nonrecurring costs (e.g. set-up or transition or transformation costs) that do not represent a separate performance obligation are recognized as an asset when such costs (a) relate directly to the contract; (b) generate or enhance resources of the Group that will be used in satisfying the performance obligation in the future; and (c) are expected to be recovered.

Capitalized contract costs relating to upfront payments to customers are amortized to revenue and other capitalized costs are amortized to expenses over the respective contract life on a systematic basis consistent with the transfer of goods or services to customer to which the asset relates. Capitalized costs are monitored regularly for impairment. Impairment losses are recorded when present value of projected remaining operating cash flows is not sufficient to recover the carrying amount of the capitalized costs.

The Group presents revenues net of indirect taxes in its Consolidated Statement of Profit and Loss.

Revenue from operation for the three months and year ended March 31, 2025 and March 31, 2024 are as follows:

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Revenue from software services	38,999	36,064	155,395	145,285
Revenue from products and platforms	1,926	1,859	7,595	8,385
Total revenue from operations	40,925	37,923	162,990	153,670

Products & platforms

The Group also derives revenues from the sale of products and platforms like Finacle – core banking solution, Edge Suite of products, Panaya platform, Stater digital platform and Infosys McCamish – insurance platform.

Disaggregated revenue information

Revenue disaggregation by business segments has been included in segment information (Refer to Note 2.23). The table below presents disaggregated revenues from contracts with customers by geography and contract type. The Group believes that this disaggregation best depicts how the nature, amount, timing and uncertainty of revenues and cash flows are affected by industry, market and other economic factors.

For the three months and year ended March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Revenues by Geography*				
North America	23,344	22,606	94,397	92,411
Europe	12,771	10,861	48,595	42,267
India	1,206	833	5,014	3,881
Rest of the world	3,604	3,623	14,984	15,111
Total	40,925	37,923	162,990	153,670

* Geographical revenue is based on the domicile of customer

The percentage of revenue from fixed-price contracts for the quarter ended March 31, 2025 and March 31, 2024 is 54% and 54%, respectively. The percentage of revenue from fixed-price contracts for the year ended March 31, 2025 and March 31, 2024 is 54% and 53%, respectively.

Trade Receivables and Contract Balances

The timing of revenue recognition, billings and cash collections results in receivables, unbilled revenue, and unearned revenue on the Group's Consolidated Balance Sheet. Amounts are billed as work progresses in accordance with agreed-upon contractual terms, either at periodic intervals (e.g., monthly or quarterly) or upon achievement of contractual milestones.

The Group's receivables are rights to consideration that are unconditional. Unbilled revenues comprising revenues in excess of billings from time and material contracts and fixed price maintenance contracts are classified as financial asset when the right to consideration is unconditional and is due only after a passage of time.

Invoicing to the clients for other fixed price contracts is based on milestones as defined in the contract and therefore the timing of revenue recognition is different from the timing of invoicing to the customers. Therefore unbilled revenues for other fixed price contracts (contract asset) are classified as non-financial asset because the right to consideration is dependent on completion of contractual milestones.

Invoicing in excess of earnings are classified as unearned revenue.

Trade receivables and unbilled revenues are presented net of impairment in the consolidated Balance Sheet.

2.17 OTHER INCOME, NET

Accounting policy

Other income is comprised primarily of interest income, dividend income, gain/loss on investment and exchange gain/loss on forward and options contracts and on translation of foreign currency assets and liabilities. Interest income is recognized using the effective interest method. Dividend income is recognized when the right to receive payment is established.

Foreign currency

Accounting policy

Functional currency

The functional currency of Infosys, its Indian subsidiaries and controlled trusts is the Indian rupee. The functional currencies for foreign subsidiaries are their respective local currencies. These financial statements are presented in Indian rupees (rounded off to crore; one crore equals ten million).

Transactions and translations

Foreign-currency denominated monetary assets and liabilities are translated into the relevant functional currency at exchange rates in effect at the Balance Sheet date. The gains or losses resulting from such translations are recognized in the Condensed Consolidated Statement of Profit and Loss and reported within exchange gains/ (losses) on translation of assets and liabilities, net, except when deferred in Other Comprehensive Income as qualifying cash flow hedges. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at fair value are translated at the exchange rate prevalent at the date when the fair value was determined. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of transaction. The related revenue and expense are recognized using the same exchange rate.

Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net profit for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the relevant functional currencies using the exchange rate in effect on the date of the transaction.

The translation of financial statements of the foreign subsidiaries to the presentation currency is performed for assets and liabilities using the exchange rate in effect at the Balance Sheet date and for revenue, expense and cash-flow items using the average exchange rate for the respective periods. The gains or losses resulting from such translation are included in currency translation reserves under other components of equity. When a subsidiary is disposed off, in full, the relevant amount is transferred to net profit in the Condensed Consolidated Statement of Profit and Loss. However when a change in the parent's ownership does not result in loss of control of a subsidiary, such changes are recorded through equity.

Other Comprehensive Income, net of taxes includes translation differences on non-monetary financial assets measured at fair value at the reporting date, such as equities classified as financial instruments and measured at fair value through other comprehensive income (FVOCI).

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the exchange rate in effect at the Balance Sheet date.

Government grant

The Group recognizes government grants only when there is reasonable assurance that the conditions attached to them shall be complied with, and the grants will be received. Government grants related to assets are treated as deferred income and are recognized in net profit in the Consolidated Statement of Profit and Loss on a systematic and rational basis over the useful life of the asset. Government grants related to revenue are recognized on a systematic basis in net profit in the Consolidated Statement of Profit and Loss over the periods necessary to match them with the related costs which they are intended to compensate.

Other income for the three months and year ended March 31, 2025 and March 31, 2024 is as follows:

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Interest income on financial assets carried at amortized cost				
Tax free bonds and Government bonds	30	31	122	131
Deposit with Bank and others	386	222	1,401	929
Interest income on financial assets carried at fair value through other comprehensive income				
Non-convertible debentures, commercial paper, certificates of deposit and government securities	305	318	1047	1007
Income on investments carried at fair value through profit or loss				
Gain / (loss) on liquid mutual funds and other investments	54	88	287	285
Income on investments carried at fair value through other comprehensive income	—	—	2	—
Income on investments carried at amortized cost				
Gain/(loss) on tax free bond	4	—	4	—
Interest on income tax refund	328	1,916	343	1,965
Exchange gains / (losses) on forward and options contracts	(70)	190	(205)	100
Exchange gains / (losses) on translation of other assets and liabilities	180	(123)	464	87
Miscellaneous income, net	(27)	87	135	207
Total other income	1,190	2,729	3,600	4,711

2.18 EXPENSES

Accounting policy

Gratuity and Pensions

The Group provides for gratuity, a defined benefit retirement plan ('the Gratuity Plan') covering eligible employees majorly of Infosys and its Indian subsidiaries. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment with the Group. The Company contributes Gratuity liabilities to the Infosys Limited Employees' Gratuity Fund Trust (the Trust). In case of Infosys BPM and EdgeVerve, contributions are made to the Infosys BPM Employees' Gratuity Fund Trust and EdgeVerve Systems Limited Employees' Gratuity Fund Trust, respectively. Trustees administer contributions made to the Trusts and contributions are invested in a scheme with the Life Insurance Corporation of India as permitted by Indian law.

The Group operates defined benefit pension plan in certain overseas jurisdictions, in accordance with the local laws. These plans are managed by third party fund managers. The plans provide for periodic payouts after retirement and/or for a lumpsum payment as set out in rules of each fund and includes death and disability benefits. The defined benefit plans require contributions which are based on a percentage of salary that varies depending on the age of the respective employees.

Liabilities with regard to these defined benefit plans are determined by actuarial valuation, performed by an external actuary, at each Balance Sheet date using the projected unit credit method. These defined benefit plans expose the Group to actuarial risks, such as longevity risk, interest rate risk and market risk.

The Group recognizes the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability. Gains and losses through re-measurements of the net defined benefit liability / (asset) are recognized in other comprehensive income and are not reclassified to profit or loss in subsequent periods. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognized in other comprehensive income. The effect of any plan amendments is recognized in net profit in the Consolidated Statement of Profit and Loss.

Provident fund

Eligible employees of Infosys receive benefits from a provident fund, which is a defined benefit plan. Both the eligible employee and the Company make monthly contributions to the provident fund plan equal to a specified percentage of the covered employee's salary. The Company contributes a portion to the Infosys Limited Employees' Provident Fund Trust. The trust invests in specific designated instruments as permitted by Indian law. The remaining portion is contributed to the government administered pension fund. The rate at which the annual interest is payable to the beneficiaries by the trust is being administered by the Government of India. The Company has an obligation to make good the shortfall, if any, between the return from the investments of the trust and the notified interest rate.

In respect of Indian subsidiaries, eligible employees receive benefits from a provident fund, which is a defined contribution plan. Both the eligible employee and the respective companies make monthly contributions to this provident fund plan equal to a specified percentage of the covered employee's salary. Amounts collected under the provident fund plan are deposited in a government administered provident fund. The Companies have no further obligation to the plan beyond its monthly contributions.

Superannuation

Certain employees of Infosys, Infosys BPM and EdgeVerve are participants in a defined contribution plan. The Group has no further obligations to the plan beyond its monthly contributions which are periodically contributed to a trust fund, the corpus of which is invested with the Life Insurance Corporation of India.

Compensated absences

The Group has a policy on compensated absences which are both accumulating and non-accumulating in nature. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an external actuary at each Balance Sheet date using projected unit credit method on the additional amount expected to be paid/availed as a result of the unused entitlement that has accumulated at the Balance Sheet date. Expense on non-accumulating compensated absences is recognized in the period in which the absences occur.

Particulars	(In ₹ crore)			
	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
<i>Employee benefit expenses</i>				
Salaries including bonus	21,059	19,527	82,232	79,315
Contribution to provident and other funds	599	529	2,338	2,213
Share based payments to employees (Refer to Note 2.11)	198	225	802	652
Staff welfare	159	112	578	440
	22,015	20,393	85,950	82,620
<i>Cost of software packages and others</i>				
For own use	655	555	2,467	2,145
Third party items bought for service delivery to clients	3,244	3,132	13,444	11,370
	3,899	3,687	15,911	13,515
<i>Other expenses</i>				
Repairs and maintenance	322	316	1,320	1,278
Power and fuel	50	49	222	199
Brand and marketing	344	285	1,223	1,007
Rates and taxes	77	84	346	326
Consumables	66	47	227	170
Insurance	73	53	301	210
Provision for post-sales client support and others	(228)	-129	(110)	75
Commission to non-whole time directors	5	5	18	16
Impairment loss recognized / (reversed) under expected credit loss model	(53)	-98	48	121
Contributions towards Corporate Social Responsibility	92	182	585	533
Others	145	191	607	781
	893	985	4,787	4,716

2.19 Leases

Accounting Policy

The Group as a lessee

The Group's lease asset classes primarily consist of leases for land, buildings and computers. The Group assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the group assesses whether: (1) the contract involves the use of an identified asset (2) the Group has substantially all of the economic benefits from use of the asset through the period of the lease and (3) the Group has the right to direct the use of the asset.

At the date of commencement of the lease, the Group recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Group recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

As a lessee, the Group determines the lease term as the non-cancellable period of a lease adjusted with any option to extend or terminate the lease, if the use of such option is reasonably certain. The Group makes an assessment on the expected lease term on a lease-by-lease basis and thereby assesses whether it is reasonably certain that any options to extend or terminate the contract will be exercised. In evaluating the lease term, the Group considers factors such as any significant leasehold improvements undertaken over the lease term, costs relating to the termination of the lease and the importance of the underlying asset to Group's operations taking into account the location of the underlying asset and the availability of suitable alternatives. The lease term in future periods is reassessed to ensure that the lease term reflects the current economic circumstances.

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset.

Right-of-use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related right-of-use asset if the Group changes its assessment if whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

The Group as a lessor

Leases for which the Group is a lessor is classified as a finance or operating lease. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sublease separately. The sublease is classified as a finance or operating lease by reference to the right-of-use asset arising from the head lease.

For operating leases, rental income is recognized on a straight line basis over the term of the relevant lease.

Following are the changes in the carrying value of right-of-use assets for the three months ended March 31, 2025:

(In ₹ crore)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of January 1, 2025	601	3,339	24	2,381	6,345
Additions*	—	284	2	370	656
Deletions	—	(104)	—	(192)	(296)
Depreciation	(1)	(180)	(3)	(223)	(407)
Translation difference	—	9	1	3	13
Balance as of March 31, 2025	600	3,348	24	2,339	6,311

* Net of adjustments on account of modifications.

Following are the changes in the carrying value of right-of-use assets for the three months ended March 31, 2024:

(In ₹ crore)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of January 1, 2024	607	3,527	18	2,740	6,892
Additions*	—	61	2	376	439
Deletions	—	(92)	—	(215)	(307)
Impairment	—	—	—	—	—
Depreciation	(2)	(185)	(2)	(234)	(423)
Translation difference	—	(13)	(1)	(35)	(49)
Balance as of March 31, 2024	605	3,298	17	2,632	6,552

* Net of adjustments on account of modifications

Following are the changes in the carrying value of right-of-use assets for the year ended March 31, 2025:

(In ₹ crore)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of April 1, 2024	605	3,298	17	2,632	6,552
Additions*	—	816	13	1,306	2,135
Addition due to Business Combination (Refer to Note 2.1)	—	155	5	—	160
Deletions	—	(236)	(6)	(652)	(894)
Depreciation	(6)	(714)	(11)	(965)	(1,696)
Translation difference	1	29	6	18	54
Balance as of March 31, 2025	600	3,348	24	2,339	6,311

* Net of adjustments on account of modifications.

Following are the changes in the carrying value of right-of-use assets for the year ended March 31, 2024:

(In ₹ crore)

Particulars	Category of ROU asset				Total
	Land	Buildings	Vehicles	Computers	
Balance as of April 1, 2023	623	3,896	15	2,348	6,882
Additions*	—	394	12	1,872	2,278
Deletions	(10)	(181)	(1)	(755)	(947)
Impairment	—	(88)	—	—	(88)
Depreciation	(6)	(728)	(10)	(851)	(1,595)
Translation difference	(2)	5	1	18	22
Balance as of March 31, 2024	605	3,298	17	2,632	6,552

* Net of adjustments on account of modifications and lease incentives

The aggregate depreciation expense on ROU assets is included under depreciation and amortization expense in the interim condensed Consolidated Statement of Profit and Loss.

The following is the break-up of current and non-current lease liabilities as at March 31, 2025 and March 31, 2024:

(In ₹ crore)

Particulars	As at	
	March 31, 2025	March 31, 2024
Current lease liabilities	2,455	1,959
Non-current lease liabilities	5,772	6,400
Total	8,227	8,359

2.20 EARNINGS PER EQUITY SHARE

Accounting policy

Basic earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares outstanding during the period. Diluted earnings per equity share is computed by dividing the net profit attributable to the equity holders of the Group by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. The dilutive potential equity shares are adjusted for the proceeds receivable had the equity shares been actually issued at fair value (i.e. the average market value of the outstanding equity shares). Dilutive potential equity shares are deemed converted as at the beginning of the period, unless issued at a later date. Dilutive potential equity shares are determined independently for each period presented.

The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any share splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

2.21 CONTINGENT LIABILITIES AND COMMITMENTS

Accounting policy

Contingent liability is a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

2.21.1 Contingent liability

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Contingent liabilities :		
Claims against the Group, not acknowledged as debts ⁽¹⁾	2,953	3,583
[Amount paid to statutory authorities ₹4,207 crore (₹8,754 crore)]		

⁽¹⁾ As at March 31, 2025 and March 31, 2024, claims against the Group not acknowledged as debts in respect of income tax matters amounted to ₹1,933 crore and ₹2,794 crore, respectively.

The claims against the Group primarily represent demands arising on completion of assessment proceedings under the Income Tax Act, 1961. These claims are on account of issues of disallowance of expenditure towards software being held as capital in nature, payments made to Associated Enterprises held as liable for withholding of taxes, among others. These matters are pending before various Income Tax Authorities and the Management including its tax advisors expect that its position will likely be upheld on ultimate resolution and will not have a material adverse effect on the Group's financial position and results of operations.

Amount paid to statutory authorities against the tax claims amounted to ₹4,199 crore and ₹8,743 crore as at March 31, 2025 and March 31, 2024, respectively.

2.21.2 Legal Proceedings

McCamish Cybersecurity incident

In November 2023, certain systems of Infosys McCamish Systems LLC (“McCamish”), a subsidiary of Infosys BPM Limited (a wholly owned subsidiary of Infosys Limited), were encrypted by ransomware, resulting in the non-availability of certain applications and systems. McCamish initiated its incident response and engaged cybersecurity and other specialists to assist in its investigation of and response to the incident and remediation and restoration of impacted applications and systems. By December 31, 2023, McCamish, with external specialists’ assistance, substantially remediated and restored the affected applications and systems. Actions taken by McCamish included investigative analysis conducted by a third-party cybersecurity firm to determine, among other things, whether and the extent to which company or customer data was subject to unauthorized access or exfiltration. McCamish also engaged a third-party eDiscovery vendor in assessing the extent and nature of such data. McCamish in coordination with its third-party eDiscovery vendor has identified corporate customers and individuals whose information was subject to unauthorized access and exfiltration. McCamish processes personal data on behalf of its corporate customers.

From March 6, 2024 through July 25, 2024, six actions were filed in the U.S. District Court for the Northern District of Georgia against McCamish. The actions arise out of the cybersecurity incident at McCamish initially disclosed on November 3, 2023. All six actions have since been consolidated, and the consolidated class action complaint was filed on November 7, 2024, purportedly on behalf of all persons residing in the United States whose personally identifiable information was compromised in the incident, including all who were sent a notice of the incident. On December 20, 2024, the Court granted the parties’ joint motion to stay proceedings pending the parties’ efforts to resolve the lawsuit through mediation. On March 13, 2025, McCamish and the plaintiffs engaged in mediation, resulting in an in-principle agreement that sets forth the terms of a proposed settlement of the class action lawsuits against McCamish, as well as seven class action lawsuits arising out of the incident that have been filed against McCamish’s customers. Under the settlement terms, McCamish has agreed to pay \$17.5 million (approximately ₹150 crore) into a fund to settle these matters. The agreed terms are subject to finalization of the terms of the settlement agreement, and preliminary and final court approval. If approved, the settlement will resolve all allegations made in the class action lawsuits without admission of any liability.

McCamish has recorded an accrual of \$17.5 million (approximately ₹150 crore) related to the settlement. McCamish has recognized an insurance reimbursement receivable of \$17 million (approximately ₹145 crore) which has been offset against the settlement expense of \$17.5 million (approximately ₹150 crore) in the Statement of Profit and Loss. McCamish may incur additional costs including from indemnities or damages/claims, which are indeterminable at this time.

Others

Apart from legal proceedings and claims arising from the McCamish cybersecurity incident, the Group is subject to legal proceedings and claims which have arisen in the ordinary course of business. The Group’s management reasonably expects that such ordinary course legal actions, when ultimately concluded and determined, will not have a material and adverse effect on the Group’s results of operations or financial condition.

2.21.4 Commitments

Particulars	(In ₹ crore)	
	As at	
	March 31, 2025	March 31, 2024
Estimated amount of contracts remaining to be executed on capital contracts and not provided for (net of advances and deposits) ⁽¹⁾	935	780
Other commitments*	122	79

⁽¹⁾ Capital contracts primarily comprises of commitments for infrastructure facilities and computer equipment.

* *Uncalled capital pertaining to investments*

2.22 RELATED PARTY TRANSACTIONS

Refer Note 2.20 "Related party transactions" in the Company's 2024 Annual Report on Form 20-F for the full names and other details of the Company's subsidiaries and controlled trusts.

Changes in Subsidiaries

During the year ended March 31, 2025, the following are the changes in the subsidiaries:

- Danske IT and Support Services India Private Limited renamed as IDUNN Information Technology Private Limited
- On May 10, 2024 Infosys Ltd. acquired 100% of voting interests in InSemi Technology Services Private Limited along with its subsidiary Elbrus Labs Private Limited
- Infosys Services (Thailand) Limited, a Wholly-owned subsidiary of Infosys Limited was incorporated on July 26, 2024.
- Infy tech SAS, a Wholly-owned subsidiary of Infosys Singapore Pte Limited was incorporated on July 03, 2024.
- On July 17, 2024, Infosys Germany GmbH, a wholly owned subsidiary of Infosys Singapore Pte. Limited, acquired 100% of voting interests in in-tech Holding GmbH along with its subsidiary in-tech GmbH along with its six subsidiaries in-tech Automotive Engineering SL, ProIT, in-tech Automotive Engineering de R.L. de C.V, drivetech Fahrversuch GmbH, Friedrich Wagner Holding Inc along with its two subsidiaries (in-tech Automotive Engineering LLC and in-tech Services LLC) and Friedrich & Wagner Asia Pacific GmbH along with its five subsidiaries in-tech engineering s.r.o, in-tech engineering GmbH, in-tech engineering services S.R.L, in-tech Group Ltd along with its subsidiary (in-tech Group India Private Limited) and In-tech Automotive Engineering Shenyang Co., Ltd along with its subsidiary (In-tech Automotive Engineering Beijing Co., Ltd). Subsequently on September 01, 2024 in-tech Group India Private Limited became a wholly-owned subsidiary of Infosys limited.
- On October 17, 2024, Infosys Singapore Pte Ltd. acquired 100% of voting interests in Blitz 24-893 SE ,Germany
- Skava systems Private Limited, a wholly-owned subsidiary of Infosys Ltd has been liquidated effective November 14, 2024
- in-tech Automotive Engineering de. R L de. C V, a wholly-owned subsidiary of in-tech GmbH is under liquidation.
- Friedrich Wagner Holding Inc, a wholly-owned subsidiary of in-tech GmbH is under liquidation.
- in-tech Services LLC, a wholly-owned subsidiary of Friedrich Wagner Holding Inc has been liquidated effective November 30, 2024
- in-tech Automotive Engineering LLC, a wholly-owned subsidiary of Friedrich Wagner Holding Inc has been liquidated effective November 30, 2024
- Infosys Consulting S.r.l. (Romania) renamed as Infosys Romania S.r.l.
- Kaleidoscope Animations, a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- Blue Acorn iCi Inc, a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- WongDoody Inc, a wholly-owned subsidiary of Infosys limited merged into Infosys Nova Holdings LLC effective January 1, 2025
- Outbox systems Inc. dba Simplus (US), a wholly-owned subsidiary of Infosys Nova Holdings LLC merged into Infosys Nova Holdings LLC effective January 1, 2025
- in-tech Holding GmbH, a wholly-owned subsidiary of Infosys Singapore Pte. Limited merged into in-tech GmbH effective January 1, 2025
- Friedrich & Wagner Asia Pacific GmbH, a wholly-owned subsidiary of in-tech GmbH merged into in-tech GmbH effective January 1, 2025
- Infosys Limited SPC, a Wholly-owned subsidiary of Infosys Limited was incorporated on December 12, 2024.
- Infosys BPM Netherlands B.V., a Wholly-owned subsidiary of Infosys BPM Limited was incorporated on March 20, 2025.

Change in key management personnel

The following are the changes in the key management personnel:

Executive Officers:

- Jayesh Sanghrajka (appointed as Chief Financial Officer effective April 1, 2024)

Transaction with key management personnel:

The table below describes the compensation to key management personnel which comprise directors and executive officers:

Particulars	Three months ended March 31,		Year ended March 31,	
	2025	2024	2025	2024
Salaries and other short term employee benefits to whole-time directors and executive officers ⁽¹⁾⁽²⁾	33	30	118	113
Commission and other benefits to non-executive/independent directors	5	5	19	17
Total	38	35	137	130

(1) Total employee stock compensation expense for the three months ended March 31, 2025 and March 31, 2024 includes a charge of ₹18 crore and ₹17 crore, respectively, towards key management personnel. For the year ended March 31, 2025 and March 31, 2024 includes a charge of ₹70 crore and ₹68 crore, respectively, towards key management personnel. (Refer to Note 2.11)

(2) Does not include post-employment benefits and other long-term benefits based on actuarial valuation as these are done for the Company as a whole.

2.23 SEGMENT REPORTING

Ind AS 108, Operating segments, establishes standards for the way that public business enterprises report information about operating segments and related disclosures about products and services, geographic areas, and major customers. The Group's operations predominantly relate to providing end-to-end business solutions to enable clients to enhance business performance. The Chief Operating Decision Maker (CODM) evaluates the Group's performance and allocates resources based on an analysis of various performance indicators by business segments. Accordingly, information has been presented along business segments. The accounting principles used in the preparation of the financial statements are consistently applied to record revenue and expenditure in individual segments, and are as set out in the accounting policies.

Business segments of the Group are primarily enterprises in Financial Services and Insurance, enterprises in Manufacturing, enterprises in Retail, Consumer Packaged Goods and Logistics, enterprises in the Energy, Utilities, Resources and Services, enterprises in Communication, Telecom OEM and Media, enterprises in Hi-Tech, enterprises in Life Sciences and Healthcare and all other segments. The Financial services reportable segments has been aggregated to include the Financial Services operating segment and Finacle operating segment because of the similarity of the economic characteristics. All other segments represent the operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services.

Revenue and identifiable operating expenses in relation to segments are categorized based on items that are individually identifiable to that segment. Revenue for 'all other segments' represents revenue generated by Infosys Public services and revenue generated from customers located in India, Japan and China and other enterprises in Public services. Allocated expenses of segments include expenses incurred for rendering services from the Group's offshore software development centers and on-site expenses, which are categorized in relation to the associated efforts of the segment. Certain expenses such as depreciation and amortization, which form a significant component of total expenses, are not specifically allocable to specific segments as the underlying assets are used interchangeably. The Management believes that it is not practical to provide segment disclosures relating to those costs and expenses, and accordingly these expenses are separately disclosed as "unallocated" and adjusted against the total income of the Group.

Assets and liabilities used in the Group's business are not identified to any of the reportable segments, as these are used interchangeably between segments. The Management believes that it is currently not practicable to provide segment disclosures relating to total assets and liabilities since a meaningful segregation of the available data is onerous.

Business segment revenue information is collated based on individual customers invoiced or in relation to which the revenue is otherwise recognized.

Disclosure of revenue by geographic locations is given in note 2.16 Revenue from operations.

Business Segments

Three months ended March 31, 2025 and March 31, 2024:

Particulars	(In ₹ crore)								Total
	Financial Services ⁽¹⁾	Retail ⁽²⁾	Communication ⁽³⁾	Energy, Utilities, Resources and Services	Manufacturing	Hi-Tech	Life Sciences ⁽⁴⁾	All other segments ⁽⁵⁾	
Revenue from operations	11,614	5,440	4,798	5,308	6,527	3,397	2,765	1,076	40,925
	10,010	5,429	4,666	5,068	5,589	3,316	2,762	1,083	37,923
Identifiable operating expenses	6,665	2,736	3,074	2,771	4,182	2,005	1,639	613	23,685
	6,042	2,591	3,033	2,717	3,656	1,995	1,639	652	22,325
Allocated expenses	2,001	1,064	888	960	1,149	597	509	198	7,366
	2,027	974	823	920	852	518	491	209	6,814
Segment operating income	2,948	1,640	836	1,577	1,196	795	617	265	9,874
	1,941	1,864	810	1,431	1,081	803	632	222	8,784
Unallocable expenses									1,299
									1,163
Other income, net									1,190
									2,729
Finance cost									102
									110
Profit before tax									9,663
									10,240
Income tax expense									2,625
									2,265
Net Profit									7,038
									7,975
Depreciation and amortization									1,299
									1,163
Non-cash expenses other than depreciation and amortization									—
									—

Year ended March 31, 2025 and March 31, 2024:

ended March 31, 2020 and March 31, 2019.

(In ₹ crore)									
Particulars	Financial Services ⁽¹⁾	Retail ⁽²⁾	Communic- ation ⁽³⁾	Energy, Utilities, Resources and Services	Manufacturing	Hi-Tech	Life Sciences ⁽⁴⁾	All other segments ⁽⁵⁾	Total
Revenue from operations	45,175	22,059	19,108	21,710	25,207	13,090	11,831	4,810	162,990
	42,158	22,504	17,991	20,035	22,298	12,411	11,515	4,758	153,670
Identifiable operating expenses	25,871	10,931	12,420	11,882	16,167	7,592	7,166	2,986	95,015
	24,782	11,704	11,071	10,838	14,596	7,232	6,716	2,938	89,877
Allocated expenses	8,205	3,995	3,347	3,731	4,184	2,278	2,002	997	28,739
	8,052	3,918	3,232	3,674	3,505	2,026	1,901	1,060	27,368
Segment operating income	11,099	7,133	3,341	6,097	4,856	3,220	2,663	827	39,236
	9,324	6,882	3,688	5,523	4,197	3,153	2,898	760	36,425
Unallocable expenses									4,812
									4,678
Other income, net									3,600
									4,711
Finance cost									416
									470
Profit before tax									37,608
									35,988
Income tax expense									10,858
									9,740
Net Profit									26,750
									26,248
Depreciation and amortization expense									4,812
									4,678
Non-cash expenses other than depreciation and amortization									—

⁽¹⁾ Financial Services include enterprises in Financial Services and Insurance

⁽²⁾ Retail includes enterprises in Retail, Consumer Packaged Goods and Logistics

⁽³⁾ Communication includes enterprises in Communication, Telecom OEM and Media

⁽⁴⁾ Life Sciences includes enterprises in Life sciences and Health care

⁽⁵⁾ Others include operating segments of businesses in India, Japan, China, Infosys Public Services & other enterprises in Public Services

Significant clients

No client individually accounted for more than 10% of the revenues for the three months and year ended March 31, 2025 and March 31, 2024, respectively.

2.24 FUNCTION WISE CLASSIFICATION OF CONDENSED CONSOLIDATED STATEMENT OF PROFIT AND LOSS

(In ₹ crore)

Particulars	Note No.	Three months ended March 31,		Year ended March 31,	
		2025	2024	2025	2024
Revenue from operations	2.16	40,925	37,923	162,990	153,670
Cost of Sales*		28,575	26,748	113,347	107,413
Gross profit		12,350	11,175	49,643	46,257
Operating expenses					
Selling and marketing expenses		1,957	1,735	7,587	6,973
General and administration expenses		1,818	1,819	7,632	7,537
Total operating expenses		3,775	3,554	15,219	14,510
Operating profit		8,575	7,621	34,424	31,747
Other income, net	2.17	1,190	2,729	3,600	4,711
Finance cost		102	110	416	470
Profit before tax		9,663	10,240	37,608	35,988
Tax expense:					
Current tax	2.15	2,784	1,173	12,130	8,390
Deferred tax	2.15	(159)	1,092	(1,272)	1,350
Profit for the period		7,038	7,975	26,750	26,248
Other comprehensive income					
<i>Items that will not be reclassified subsequently to profit or loss</i>					
Remeasurement of the net defined benefit liability/asset, net		(145)	26	(92)	120
Equity instruments through other comprehensive income, net		29	(12)	19	19
		(116)	14	(73)	139
<i>Items that will be reclassified subsequently to profit or loss</i>					
Fair value changes on derivatives designated as cash flow hedge, net		(56)	28	(24)	11
Exchange differences on translation of foreign operations, net		384	(231)	357	226
Fair value changes on investments, net		63	37	199	144
		391	(166)	532	381
Total other comprehensive income / (loss), net of tax		275	(152)	459	520
Total comprehensive income for the period		7,313	7,823	27,209	26,768
Profit attributable to:					
Owners of the Company		7,033	7,969	26,713	26,233
Non-controlling interests		5	6	37	15
		7,038	7,975	26,750	26,248
Total comprehensive income attributable to:					
Owners of the Company		7,304	7,821	27,167	26,754
Non-controlling interests		9	2	42	14
		7,313	7,823	27,209	26,768

*During the three months ended March 31, 2025, a decline in the revenue estimates led to the carrying value of the customer related intangibles assets recognized on business combination exceeding the estimated recoverable amount. Consequently, the Company has recognized ₹188 crore as the excess of carrying value over the estimated recoverable value for the three months ended March 31, 2025 as part of depreciation and amortization expenses.

for and on behalf of the Board of Directors of Infosys Limited

Nandan M. Nilekani
Chairman
DIN: 00041245

Salil Parekh
Chief Executive Officer
and Managing Director
DIN: 01876159

Bobby Parikh
Director
DIN: 00019437

Bengaluru
April 17, 2025

Jayesh Sanghrajka
Chief Financial Officer

A.G.S. Manikantha
Company Secretary
Membership No. A21918